



Registration document and annual financial report 2016



BANQUE ET CITOYENNE

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La Banque Postale Group

Registration Document and Annual financial report

2016



Only the French version of the Registration document has been submitted to the AMF ; it is therefore the only version that is binding in law. The original document was submitted to the French Financial Markets Authority (AMF) on 14 March 2017 in accordance with Article 212-13 of its General Regulations. It may be used in support of a financial transaction only if supplemented by a Transaction Note approved by the AMF. This document was prepared by the issuer and its signatories are liable for its content.

The English language of this report is a free translation from the original, which was prepared in French. All possible care has been taken to ensure that this translation is an accurate presentation of the original. However, in all matters of interpretation, views or opinion expressed in the original language version of the document in French take precedence over the translation.

Pursuant to Article 28 of EC Regulation 809/2004 of 29 April 2004, the following documents have been incorporated by reference into this Registration Document:

- ▶ the consolidated financial statements for the financial year ended 31 December 2015, together with the related statutory auditors' report, presented respectively on pages 113 to 171 and pages 172–173 of Registration Document No. D.16-0147 registered with the French Financial Markets Authority on 16 March 2016;
- ▶ the consolidated financial statements for the financial year ended 31 December 2014, together with the related statutory auditors' report, presented respectively on pages 109 to 170 and pages 171–172 of Registration Document No. D.15-0141 registered with the French Financial Markets Authority on 16 March 2015.

These documents are available at the Company's registered office at 115, rue de Sèvres – 75275 Paris Cedex 06, France, as well as on its website www.labanquepostale.com.

INTRODUCTION

Company name and trading name

The name of the Company is: “La Banque Postale”, herein called La Banque Postale.

Legal form - Applicable legislation

Limited Company with Executive and Supervisory Boards

The Company is governed by current laws and regulations, and specifically by:

- ▶ the provisions of the French Commercial Code regarding commercial companies;
- ▶ the provisions of the French Monetary and Financial Code regarding credit institutions;
- ▶ the provisions of law No. 2005-516 of 20 May 2005 regarding the regularisation of the Post Office business;
- ▶ the provisions of order No. 2014-948 of 20 August 2014 regarding governance and transactions involving the share capital of companies with public shareholdings.

Place of registration and registration number – Date of incorporation – Country of origin

The Company was registered with the Paris Trade and Companies Registry under number 421 100 645 on 10 December 1998.

Country of origin: France

Registered share capital amount

The share capital is set at four billion forty-six million four hundred and seven thousand five hundred and ninety-five euros (€4,046,407,595). It is divided into thirty-five million one hundred and eighty-six thousand one hundred and fifty-three (35,186,153) fully paid-up shares of a single class.

Duration of the Company

The duration of the Company is 99 years from the date of its registration with the Trade and Companies Registry (*i.e.* 10 December 1998), except in the event of dissolution or extension decided by the Extraordinary General Meeting.

Registered office

The Company's registered office is at 115 rue de Sèvres – 75275 Paris Cedex 06, France.

The telephone number for the registered office is +33(0) 1 57 75 60 00.

OVERVIEW OF LA BANQUE POSTALE GROUP

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1.1 KEY FIGURES

La Banque Postale, a Limited Company with Executive and Supervisory Boards, is the parent company of La Banque Postale Group.

A civic-minded bank, it has assumed La Poste's values of trust, accessibility and local presence, endowing it from the start with an unusual and unique positioning on the French market. This policy is driven by an offer based on moderate service prices, access for all customers and a simple product range that focuses on customer needs.

As at 31 December 2016, La Banque Postale represented:

- ▶ 10.7 million active customers;
- ▶ 11.5 million deposit accounts;
- ▶ 9,532 advisors and customer service managers;
- ▶ 794 specialist property advisors, 837 specialist wealth advisors, and 60 wealth management advisors⁽¹⁾;
- ▶ 8.1 million bank cards and 7,800 ATMs.

Consolidated key data (published data)

(€ millions)	2012	2013	2014	2015	2016
Net Banking Income	5,241	5,539	5,673	5,745	5,602
Operating expenses ⁽¹⁾	4,486	4,685	4,672	4,693	4,587
Gross operating income	755	854	1,001	1,052	1,015
Cost of risk	152	154	163	181	181
Net income, Group share	574	579	677	707	694
Balance sheet total (in billions of euros)	196	200	213	219	230
Cost-income ratio ⁽²⁾	85.8%	84.9%	82.7%	82.1%	82.4%

(1) Operating expenses = general operating expenses + net depreciation and amortisation and impairment of property, plant and equipment and intangible assets.

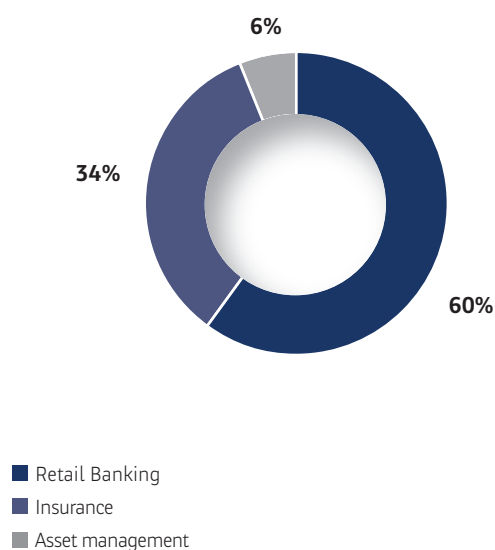
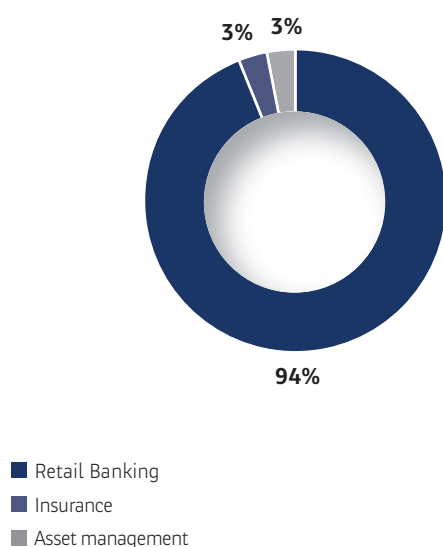
(2) Cost-income ratio = operating expenses/(net banking income - doubtful interest).

La Banque Postale Group's business is focused on Retail Banking activities in France. It is organised around three business divisions:

- ▶ Retail Banking, its core business, mainly focused on individual customers, and extended to legal entities in 2011 and local authorities in 2012;
- ▶ insurance, undertaken by life insurance, contingency, property and casualty, and health subsidiaries;
- ▶ asset management, undertaken by the asset management subsidiaries.

BUSINESS LINE CONTRIBUTIONS TO NBI AND NET INCOME, GROUP SHARE, IN 2016

The breakdown of net income includes the contribution of CNP Assurances to the Insurance business income.



(1) 2016 average.

Financial structure

La Banque Postale Group has a financial structure characterised by sound solvency ratios and comfortable liquidity ratios.

	2012	2013	2014	2015	2016
Common Equity Tier 1 ratio ⁽¹⁾ (CET1)	12.1%	11.4%	12.7%	13.2%	13.7%
Loan to deposit ratio	59%	67%	75%	75%	74%

(1) Ratios: Basel 2.5 CRD in 2012 and 2013, and Basel 3 CRR from 2014.

Rating

At 31 December 2016, La Banque Postale had good credit ratings, reflecting its financial strength and its rigorous risk management:

	Standard & Poor's	Fitch
Long-term ratings	A	A-
Outlook	Stable	Stable
Date updated	26 October 2016	4 May 2016
Short-term rating	A-1	F1

In 2016, the annual rating review by Fitch and Standard & Poor's did not result in any change. For Fitch, the intrinsic rating remained A-. For Standard & Poor's, the intrinsic rating remained BBB+.

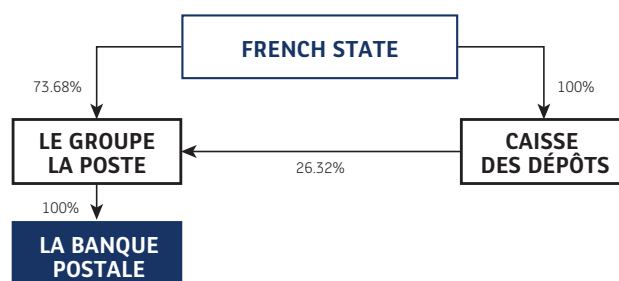
1.2 THE GROUP SHAREHOLDING STRUCTURE

1.2.1 Shareholding

Le Groupe La Poste owns all of La Banque Postale's equity capital and voting rights, except for the eight shares held by the directors. There are no employee shareholders.

Article 1 of law No. 2010-123 of 9 February 2010 provides that La Poste's share capital shall be held by the French State and by other Government bodies, except for any capital that may be held under employee ownership schemes.

La Poste is controlled by the French State, 73.68% directly and 26.32% through the Caisse des dépôts et consignations.



1.2.2 Changes in the share capital

In 2013, the share capital was increased to €3,413,734,750 following a capital increase via the contribution of La Banque Postale's head office. In 2014, the share capital was increased to €4,046,407,595

following a further capital increase. No further change in the share capital took place in 2015 and 2016.

	2012	2013	2014	2015	2016
Number of shares	27,702,042	29,684,650	35,186,153	35,186,153	35,186,153
Share capital (€)	3,185,734,830	3,413,734,750	4,046,407,595	4,046,407,595	4,046,407,595
La Poste holding	100%	100%	100%	100% ⁽¹⁾	100% ⁽¹⁾

(1) With the exception one-share loans to Supervisory Board members.

The shares that make up the share capital have not been pledged.

1.2.3 Dividend policy

The dividend distribution policy is set by agreement with the shareholder, and is decided by the General Meeting, on the Executive Board's recommendation.

The dividends distributed are as follows:

	2012	2013	2014	2015	2016
Dividend per share	9.32	8.78	8.66	9.04	8.87*
Distribution (€ millions)	258	261	305	318	312*

* For 2016, the proposed dividend is €8.87 for each of the 35,186,153 shares making up the share capital. It will be submitted for approval to the General Meeting that must be held before 31 May 2017.

1.2.4 Shareholder relations

Pursuant to Article 16 of law No. 2005-516 of 20 May 2005, and to its enactment decree of 30 August 2005, La Poste, a Public and Commercial Company, transferred all the assets, rights and obligations relating to its Financial Services to La Banque Postale, with effect from 31 December 2005. Equity interests were included in the transfer, with the exception, where appropriate, of those required by La Poste for its directly managed businesses. As a result of these transactions, La Poste holds all the capital of La Banque Postale (except for the shares held by the members of the Supervisory Board, which amount to less than 0.01% of the capital).

The aforementioned Article 16 expressly provides that La Poste must own a majority interest in the Bank's capital.

The relationship between La Poste and La Banque Postale is very close. It operates both at governance and management body level, and in the companies' industrial and commercial dealings. As a result, the Executive Board Chairman of La Banque Postale is also Executive Vice-President of La Poste and a member of its Executive Committee. The La Banque Postale Supervisory Board comprises six members of Le Groupe La Poste, some of whom belong to the Board committees. The Chairman of La Poste is also the Chairman of the Supervisory Board of La Banque Postale.

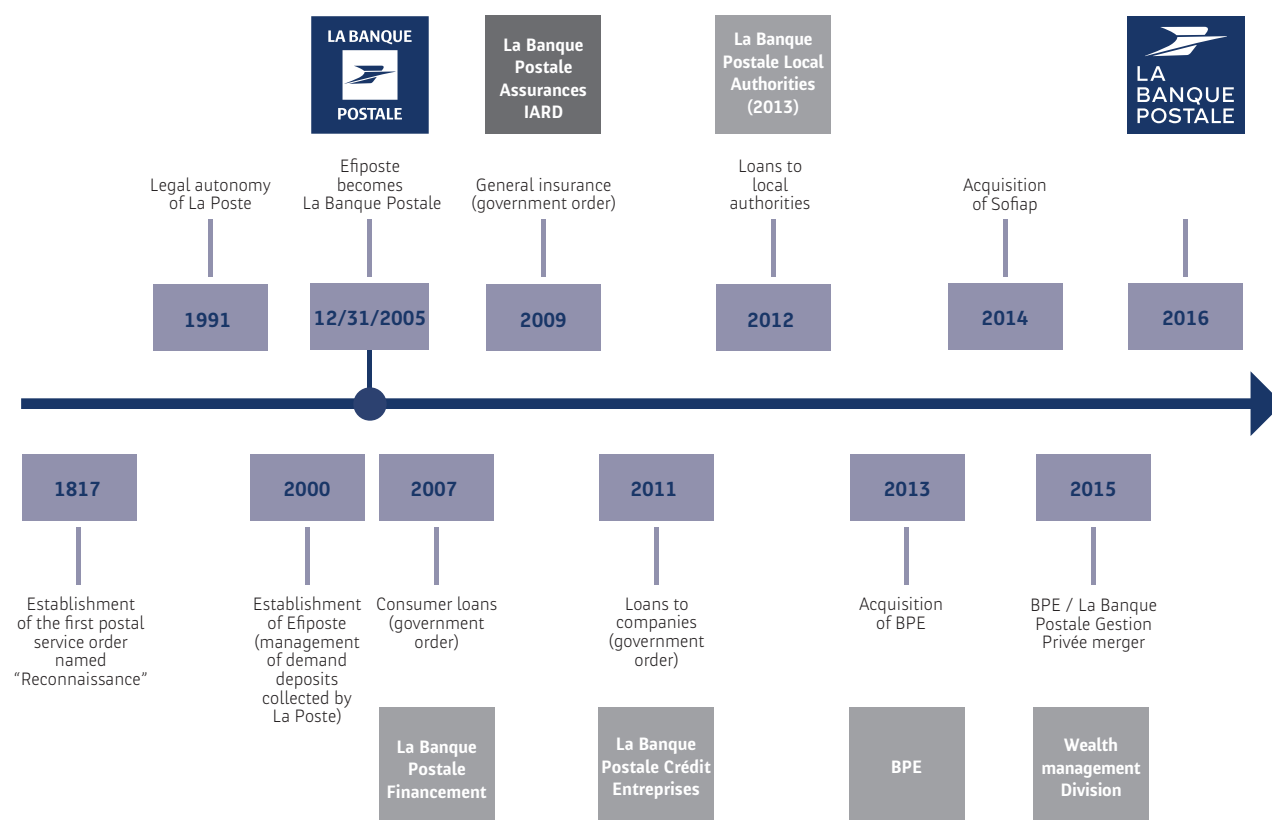
La Poste is La Banque Postale's main service provider, and La Banque Postale uses La Poste's resources to conduct its business. Various agreements have been reached between La Poste and La Banque Postale in this respect, and pursuant to Article 16 of law No. 2005-516 of 20 May 2005. The main agreements have been authorised by the La Banque Postale Supervisory Board. These agreements are regularly updated, depending on the trends observed and presented to the Supervisory Board.

As a subsidiary of Le Groupe La Poste, La Banque Postale must obtain prior authorisation from the Board of Directors of La Poste to carry out certain transactions such as acquisitions, investments, disposals of assets, strategic partnership transactions, and other significant investments and divestments. The Bank must request prior authorisation for any borrowing made by it which has a significant impact on the consolidated balance sheet of Le Groupe La Poste.

Lastly, La Banque Postale is La Poste's main banker.

As well as its close relationship with its parent company, La Banque Postale is in frequent contact with the French Government Holdings Agency (APE), which is regularly informed of the Bank's strategic direction.

1.3 HISTORY



As the successor to La Poste Financial Services, La Banque Postale was established on 31 December 2005, via the legal transformation of Efposte, an investment company established in 2000 to provide financial management for La Poste's demand deposit outstandings, and which wanted to establish a banking subsidiary able to carry in its balance sheet all customer deposits and loans.

La Banque Postale has a distinguishing feature arising from the public service missions of its sole shareholder, La Poste, which is the obligation to open a Livret A account free of charge for any person who requests it. As part of this mission, it authorises payment transactions to Livret A accounts relating to social security benefits and to civil servants' pensions, as well as direct debits relating to the payment of taxes and duties, water, gas, and electricity bills, and subsidised housing rents. Finally, La Banque Postale is the only bank which authorises withdrawals from and deposits to Livret A accounts starting at €1.5.

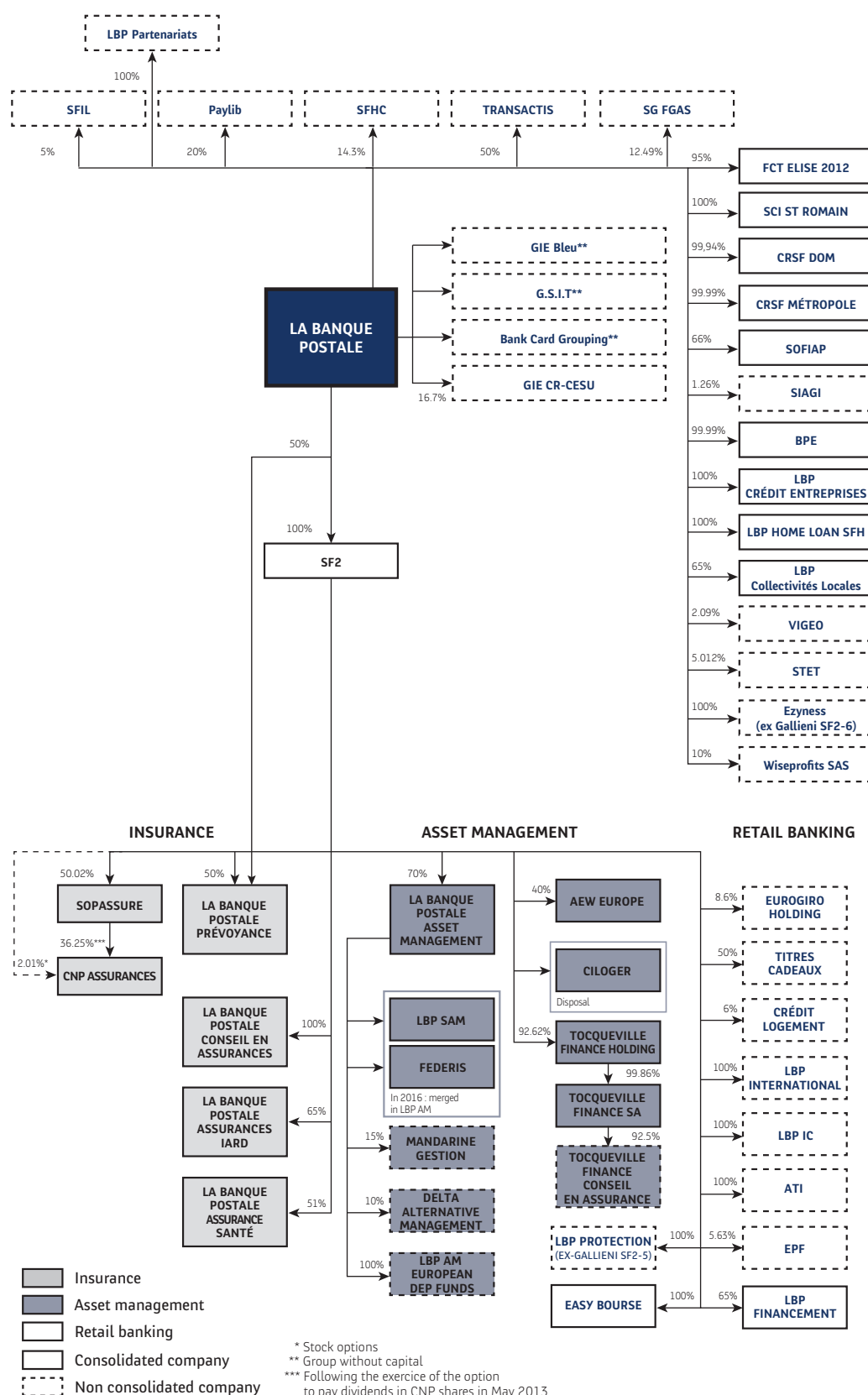
Since its establishment, and in accordance with its licence, La Banque Postale has expanded its range to all types of home loans. Previously, La Poste could only offer home loans to customers who had already built up savings, via a PEL or CEL account.

Its business lines have gradually been extended to consumer loans (in 2007), property and casualty insurance (in 2009), the supply of financial products and services to corporations (in 2011), and more recently to financing services for local authorities (in 2012).

Since this date, La Banque Postale has offered the full range of retail banking products and services, and is continuing its development through new acquisitions and the implementation or strengthening of partnerships.

In 2016, La Banque Postale chose, on its tenth anniversary, to reaffirm its identity and unique character by renewing its logo and communication codes. The new logo represents the dynamic and civic-minded approach as a bank for everyone.

1.4 GROUP ORGANISATION



The organisational chart shown does not include entities to be sold or consolidated entities in which the holding is below a 2% threshold (except for SIAGI, which is shown historically).

1.4.1 Organisational structure

La Banque Postale's structure is based on the La Poste Financial Services organisational chart. This structure includes:

- ▶ La Banque Postale, the Group's parent company (formerly Efposte), to which the Financial Services' activities were transferred. It is also at the heart of Retail Banking activities and directly holds the most recent acquisitions;
- ▶ SF2, the holding company grouping together the subsidiaries and equity investments of La Banque Postale, except for entities held directly by La Banque Postale. SF2 was transferred to La Banque Postale when the Bank was founded, as it existed prior to La Poste's Financial Services and already included most of the Insurance and Asset Management subsidiaries at the time of the transfer.

Operational relations with Le Groupe La Poste

Wholly owned by La Poste, La Banque Postale is both a customer (for mail, parcel, network and other services) and a supplier (as its principal bank) to the Group. La Poste acts as a service provider, supplying staff who act on behalf of La Banque Postale.

Relations between La Banque Postale and La Poste are conducted within the framework of service agreements as provided for by law No. 2005-516 of 20 May 2005 concerning the regulation of post office business activities (Article 16).

This arrangement comprises a Framework Agreement which establishes the general and responsibility principles between La Poste and La Banque Postale.

The Agreement has 14 implementing conventions divided according to the following five areas:

- ▶ information technology and telecommunications;
- ▶ employee support and accommodation;
- ▶ ATMs and commercial distribution;
- ▶ controls, risks, compliance, combating money laundering and terrorism financing;
- ▶ support functions.

La Poste staff used by La Banque Postale implement the Bank's policies on its behalf. These employees have been authorised to act on the Bank's behalf, in accordance with specific rules necessary for

conducting banking business, and primarily exercise the back and middle-office functions, IT support, and the banking, financial and insurance product sales force activities of La Banque Postale.

Over-the-counter services are performed by La Poste Network's Post Offices and are governed by agreements concerning the type of work to be carried out, its unit tariff in accordance with an economic model, the way it is carried out and quantitative and qualitative service criteria.

Resources available to La Banque Postale

The resources provided by Le Groupe La Poste primarily include the distribution capability of La Poste Network's 17,000 public outlets including 8,800 in its own right, a dedicated IT Department and the activity carried out by 23 Financial Centres. These Financial Centres (19 in metropolitan France and 4 in its overseas departments) and 6 national Financial Centres have a specific expertise⁽¹⁾, and their responsibility is to handle customer requests, administratively manage files, provide means of payment, process emails and documents, and carry out risk and fraud management and distance selling of products.

La Banque Postale's organisation is also based on 42 subsidiaries and strategic investments⁽²⁾.

Staff available to La Banque Postale

The operational organisation relies on three categories of staff:

- ▶ 4,222 employees whom La Banque Postale employs directly or in its subsidiaries, and who are spread throughout France;
- ▶ 15,217 employees working in La Poste Financial Services, who⁽³⁾ are placed under the responsibility of the Chairman of La Banque Postale's Executive Board, in his capacity as Executive Vice-President of La Poste responsible for Financial Services;
- ▶ 9,741 employees of La Poste belonging to the Banking Advisory Line⁽⁴⁾ in post offices.

In all, more than 29,000 employees work for and on behalf of La Banque Postale⁽⁵⁾.

For more details on the employees, please refer to the section on "Social Indicators" in Chapter 6 "Corporate Social Responsibility".

1.4.2 Partnerships

In order to broaden its business and skills portfolio, and in order to improve its coverage of customers' requirements, La Banque Postale has implemented a very active partnership policy that focuses primarily on the effective sharing of know-how, and on cost control, in accordance with the values that it embodies.

La Banque Postale's multi-partner policy is based on the pooling of expertise, technology, and tools, and on access to the customer base. Through these partnerships, La Banque Postale has been able to rapidly develop new business lines relying on the expertise of standard-setters in each field.

(1) Customer introductions, negotiable securities, insurance and home insurance, electric money, money order transfers and optical interbank payment orders, loans.

(2) Companies more than 5% owned.

(3) The Financial Services include the Financial Centres, the National Centres and the IT Department of the Financial Services and the Retail Brand (DISFE).

(4) See definition within the CSR chapter of this document.

(5) Permanent contracts, fixed term contracts and secondment.

Insurance partnerships

La Poste Financial Services distribute a range of life insurance policies relying on the expertise of CNP Assurances. The distribution conditions for life insurance products are defined by a business agreement. In March 2016, CNP Assurances and La Banque Postale renewed their distribution partnership up to the end of 2025, with its scope being extended to include BPE, the private banking subsidiary, and a direct partnership in collective credit protection insurance for home loans being set up. Moreover, La Banque Postale consolidates 20.15% of⁽¹⁾ CNP Assurances.

In 1998, CNP Assurances and La Poste Financial Services decided to create a company in which both companies had an equal interest and that was renamed La Banque Postale Prévoyance in 2007, in order to provide a range of contingency insurance products covering the requirements of La Banque Postale's customers. In June 2016 and in the context of renewing its agreements with CNP Assurances, La Banque Postale acquired from CNP Assurances its 50% stake in La Banque Postale Prévoyance, bringing its holding to 100%.

In 2009, La Banque Postale teamed up with Groupama in the general insurance sector, within the La Banque Postale Assurances IARD subsidiary, which is 65% owned by La Banque Postale.

In 2010, the Bank entered into a partnership with La Mutuelle Générale in the health insurance sector, via the establishment of La Banque Postale Assurance Santé, originally 65% owned by La Banque Postale. The launch in 2015 of a new supplementary health product adapted to the requirements of very small, small and medium-sized businesses led to Malakoff Médéric entering the share capital of the subsidiary. La Banque Postale now holds 51% of La Banque Postale Assurance Santé, while Malakoff Médéric and La Mutuelle Générale respectively hold 14% and 35%. The development of the partnership with Malakoff Médéric in the insurance field is part of a larger partnership that also covers asset management.

For more details on the insurance business line, please refer to point "1.6.2. Insurance"

Partnerships in loans

La Banque Postale Financement, owned 65% by La Banque Postale and 35% by Franfinance, a subsidiary of Société Générale, is the entity dedicated to consumer credit. Distribution is provided by post offices, electronic communication channels and a dedicated call centre.

Established in 2013, La Banque Postale Collectivités Locales, 65% owned by La Banque Postale and 35% by Caisse des dépôts et Consignations, offers services on loans granted by La Banque Postale to local authorities and hospitals. Eligible loans are refinanced by CAFFIL (Caisse Française de Financement Local), a company in which La Banque Postale (5%), Caisse des dépôts et consignations (20%) and the French State (75%) are shareholders.

In 2014, La Banque Postale formed a partnership with SNCF following the acquisition from Crédit Immobilier de France and SNCF of a 66% stake in SOFIAP. SOFIAP offers home loans to individual customers mainly employed by SNCF. Since the end of 2014, SOFIAP has also offered regulated loans to Gaz de France employees.

Partnerships in asset management

In June 2015, La Banque Postale Asset Management (LBPAM) and Aegon Asset Management (Aegon AM) finalised a capital and

industrial partnership agreement. This agreement allows LBPAM to expand its skills, strengthening its expertise and its institutional positioning. On this occasion, Aegon AM acquired a 25% minority stake in the capital of LBPAM.

In July 2015, La Banque Postale and Malakoff Médéric completed the merger of their subsidiaries La Banque Postale Asset Management (LBPAM) and Fédérés Gestion d'Actifs, allowing LBPAM to develop its asset management activities with mutual insurance companies and to expand its range of products, in particular socially responsible investment (SRI). This transaction took the form of a 100% contribution of capital and voting rights by Fédérés Gestion d'Actifs to LBPAM and a 5% equity stake by Malakoff Médéric in LBPAM's capital. Fédérés Gestion d'Actifs merged with La Banque Postale Asset Management at the end of April 2016, effective retroactively to 1 January.

In November 2016, La Banque Postale concluded the discussions entered into with Natixis at the beginning of the year on the merger of their real estate assets managers Ciloger and AEW Europe. According to the terms of the agreement concluded with Natixis, La Banque Postale offered Ciloger to AEW Europe in October 2016 and in exchange for this received 40% of AEW Europe's share capital. With €24 billion of assets under management, this new entity creates one of the leading real estate asset managers in Europe. The balance of AEW Europe's share capital is 60% owned by Natixis Global Asset Management.

For more details on the asset management business line, please refer to point "1.6.3 Asset management"

Partnerships in the means of payment field

In 2008, La Banque Postale and Société Générale created Transactis, a joint venture to pool the resources of the two partners to develop and operate electronic money systems in order to handle all of La Banque Postale and Société Générale's transactions with retailers, as well as all customer cash flows for both institutions. In June 2016, the two organisations decided to create a new industrial partnership around this operating structure that provides Transactis with a shared computerised processing system for all of the transfers and direct debits of the two groups.

In 2013, BNP Paribas, La Banque Postale and Société Générale launched Paylib, a company offering a new, simple and safe solution for internet payments. Le Crédit Mutuel Arkéa joined the consortium in July 2014, followed in November 2014 by Le Crédit Agricole. La Banque Postale owns a 20% stake in the company.

Other partnerships

La Banque Postale and Natixis founded the Titres Cadeaux (Gift Vouchers) subsidiary in 2006, in which both parties have an equal interest, in order to market multi-retailer gift vouchers and cards to private customers, professionals, companies, and works councils.

La Banque Postale is authorised to issue Universal Personal Service Cheques (CESU), which are a system that makes it easier for individuals to pay their home help's salaries and social security contributions. It also owns 16.66% of the GIE CESU economic interest group, a CESU processing and repayment body founded with five other partners.

(1) 18.14% via Sopassure and 2.01% call option.

1.5 2016 HIGHLIGHTS

February

La Banque Postale celebrated its 10th anniversary.
La Banque Postale extended its offering to legal entities by joining with Arval to offer its clients a range of long-term rentals of passenger cars and commercial vehicles.
Agreement with the CNIL for La Banque Postale to launch a remote payment, voice authentication service.

March

Renewal of the distribution partnership with CNP Assurances until the end of 2025, and extension to BPE.

August

Publication by La Banque Postale of the results of the stress tests carried out by the European Banking Authority leading in an adverse scenario to a CET1 ratio of 9.7% at the end of 2018, reflecting LBP's high degree of resilience and its ability to address a severe economic downturn.

September

La Banque Postale took part in the Responsible Finance Week and showcased its "Investir Autrement" range, a choice of socially responsible products.
La Banque Postale unveiled its new logo:



April

Merger of Fédérés Gestion d'Actifs and LBPAM effective retroactively to 1 January.
New commitments entered into with the EIB to support large-scale programmes totalling €250 million for SMEs, energy optimisation and hospitals.

October

La Banque Postale acquired a 10% stake in WeShareBonds⁽¹⁾, a new crowdfunding player approved by the French Markets Regulator (AMF), to ramp up its financing activity for French SMEs.

May

Announcement of strengthened governance arrangements for La Banque Postale and expansion of the Executive Board in support of operational development and effectiveness.

November

Notification of specific capital requirements set by the ECB in the context of the 2016 SREP, resulting in a CET1 requirement of 7.625% at 1 January 2017.
Natixis and La Banque Postale concluded the merger of their respective real estate asset managers, AEW Europe and Ciloger, with La Banque Postale owning 40% of the new entity.

June

Buyback by La Banque Postale of the 50% stake of CNP Assurances in La Banque Postale Prévoyance.
Equity increased via a *benchmark* "Tier 2" subordinate issue of €500 million.
La Banque Postale and Société Générale extended their Transactis industrial partnership by creating a shared computerised processing system for all of the transfers and direct debits of the two groups.

(1) Trademark of Wiseprofits SAS.

1.6 PRESENTATION OF THE BUSINESS UNITS AND BUSINESS LINES

With nearly 10.7 million individual customers and more than 396,000 legal entities at the end of 2016 (companies, professionals and the local public sector), the development of La Banque Postale relies on building and maintaining a sustainable customer relationship, focused on understanding customer needs and the willingness to provide tailored advice to them.

The business of La Banque Postale Group is organised around three units: Retail Banking (including individual, corporate, professional and local public sector customers), insurance and asset management.

1.6.1 Retail Banking

Retail Banking covers the businesses of La Banque Postale and the Retail Banking and private banking subsidiaries such as La Banque Postale Financement, La Banque Postale Crédits

Entreprises, BPE (which absorbed La Banque Postale Gestion Privée in 2015) and SOFIAP.

It also includes the Limited Property Investment Partnerships (SCIs) that own the operating premises for Financial Centres (in metropolitan France and the overseas departments) and the registered office, and the SF2 company, which holds La Banque Postale equity investments and receives dividends from non-consolidated equity investments.

The offering for retail banking customers

La Banque Postale offers a complete range of products and services to individuals, in the fields of deposits and savings, loans (home and consumer), payment means and insurance products, as well as specific products and services for high-net-worth customers. This unit also comprises the loans and deposits businesses aimed at companies, professionals, non-profit associations and the local public sector.

La Banque Postale offers its customers comprehensive Retail Banking products:

Current accounts

La Banque Postale offers “Formule de Compte”, an account formula with products and services which can be tailored to each individual’s needs and financial position. With more than 830,000 accounts opened in 2016, the total number of accounts reached 6.7 million⁽¹⁾.

Demand deposit balances reached €58.9 billion at the end of 2016 and grew 9% including an increase of 33.9% for demand deposits for legal entities alone.

Cards and cheques

Total bank cards reached 8.1 million by the end of 2016. The stock increased by around 1% compared with the previous year, including +4% for high-added-value bank cards (Visa Premier). The growth rate of card payments to shopkeepers and businesses reached 7.2% in 2016.

Savings products

Balance-sheet savings products

With more than €74.6 billion in funds in Livret A, LDD and LEP accounts, La Banque Postale is a major stakeholder in regulated savings and represents 18.5% of the market share in these three products⁽²⁾.

According to the most recent SOFIA survey (Baromètre de la Banque, de l’Assurance et du Crédit, March 2016), 26.2% of all Livret A accounts are at La Banque Postale⁽³⁾.

The range of home savings products consists of the Plan épargne logement or PEL (Home Loan Savings Plan) and the Compte épargne logement or CEL (Home Loan Savings Account). Funds for this range increased by 4.5% in 2016 to €31.9 billion due to the substantial appeal of the return of the PEL in an environment of low interest rates, which were lowered on two occasions during the year and now stand at 1% since 1 August 2016.

Financial savings products

La Banque Postale life insurance funds⁽⁴⁾ grew by 1.1% and reached €125.9 billion for a market share in funds of 7.8%.

UCITS funds stood at €11.9 billion at the end of 2016, down by 11.1% in the context of volatile and globally adverse markets.

Home loans

Transactions in the new and old property markets remained active in 2016. In this context, La Banque Postale supported more than 70,000 home loan projects including almost 49,000 purchases of old or new properties. Home loan outstandings increased by 3.2% to €55.9 billion.

La Banque Postale also guides its customers in their first purchase of a primary residence with suitable financing eligible for assisted loans (Home Savings, Zero Interest loans, etc.).

Consumer loans

The consumer credit service was developed in the spirit of the new law No. 2010-737 of 1 July 2010 on the reform of consumer credit, known as the Lagarde law, and is based on the Bank’s values, especially transparency for customers, and focusing on the risks of over-indebtedness.

On offer in post offices and remotely from the Customer Relations Centre, its marketing was expanded in 2016 to the Financial Centres.

In 2016, the revolving credit range was extended through a credit option card which should be marketed by Financial Centres in 2017.

At end 2016, total consumer loan outstandings reached €4.9 billion (+8.4%), including €192 million of rolling credit outstandings.

Online broking

La Banque Postale offers online broking services for customers who want to independently manage their investments on the financial markets through its wholly-owned subsidiary EasyBourse. This company provides easy access to foreign stock markets, to a wide range of financial products and instruments, and to deferred settlement services, as well as to information, through articles, topical files and interviews with market experts. The customer can follow the stock market, manage their accounts (positions, unrealised gains and losses, committed and available, and order book) and put through orders.

In July 2016, EasyBourse implemented its 100% online subscription service via its website using electronic signatures, the creation of an online dossier and a deposit on account opening by bank card.

In 2016, EasyBourse handled more than 585,000 stock exchange orders on behalf of more than 23,000 customer accounts.

Gift Vouchers

In the area of Titres Cadeaux, the Titres Cadeaux SAS subsidiary creates, promotes, issues, distributes, processes and reimburses all gift vouchers and cards and other special payment vouchers that are not subject to the banking monopoly and that enable their holders to buy specific items or services from a list of retailers or other companies.

Other businesses

The funds-transfer business is also a buoyant area, based on two activities: firstly, the money order business, inherited from La Poste and enabling international money transfers through the Universal Postal Union, and secondly, Western Union transfers, also available from post offices.

(1) Inventory of package offers for all customers.

(2) Source: Banque de France, November 2016.

(3) Source: Sofia, March 2016 batch.

(4) Products distributed by LBP SA and its subsidiaries.

Since 2015, La Banque Postale has been supplementing its foreign exchange service with Travelex, a major provider of B2B digital solutions, and now offers more than 50 foreign currencies on line, at competitive rates, in order to support customers travelling outside the euro zone.

La Banque Postale has also developed innovative partnerships to increase services for young customers, by supporting, since 2011, KissKissBankBank Technologies, which specialises in crowdfunding. Buoyed by its initial two successes, in 2016 La Banque Postale, KissKissBankBank and MakeSense⁽¹⁾ launched the third edition of Social Cup, the first cup for student social entrepreneurs aimed at supporting financial projects in social and environmental fields.

In 2016, as a means of developing its SME range, La Banque Postale acquired a 10% stake in the share capital of WeShareBonds, a new crowdfunding player specialising in loans to SMEs.

Lastly, on the international front, La Banque Postale Consultants, a wholly-owned subsidiary, provides advisory services on how to set up a post-office banking service.

Types of retail banking customers: individual customers

Customer relations are a major driver for the development of La Banque Postale, which places the customer's interests first central to all its businesses, from product design to the advice provided to customers. La Banque Postale is therefore developing a dedicated range to meet the specific needs of all of its customers.

Young customers

La Banque Postale is developing closer relations with its young customer base (18 to 29 years) by offering day-to-day money management services, special accounts, recommendations for building up capital and a savings account designed for young people (Swing). La Banque Postale also provides higher-education financing solutions with personal student loans and personal apprenticeship loans that can be used to finance all or part of vocational training. It also offers health insurance for young people abroad. In 2016, almost 1.2 million young people had their main bank account at La Banque Postale.

Senior customers

As it is concerned with supporting senior customers and because of its legitimacy in providing service to individuals on a local basis, La Banque Postale, as a member of the "silver economy" programme of Le Groupe La Poste, offers solutions that are tailored to each stage of older peoples' lives, from retirement until old age, via a range of insurance products (life and non-life), loans and, since 2015, services such as the "estate planning" service which provides advice on understanding mechanisms and considering strategies for transferring assets.

Financially vulnerable customers

In addition to its banking accessibility function and its reasonable pricing policy, La Banque Postale plays an essential role in combating banking exclusion through its daily actions to enable access to quality banking services to the greatest number of people and by providing guidance to financially vulnerable customers, notably to prevent over-indebtedness and develop an original comprehensive approach to banking inclusion.

Micro-loans

Following the authorisation of the Social Cohesion Fund to provide a guarantee for this funding, La Banque Postale is one of the leading players in the social micro-loans business in France. In this context, it works with 146⁽²⁾ regional associations responsible for identifying individuals who do not have access to banking services due to their low solvency, and supporting them in their plans (examples of partner associations: Secours Catholique, UDAF, French Red Cross, Les Restos du Cœur, etc.).

La Banque Postale also offers business micro-loans with Adie, a recognised public-interest association and a major player in micro-loans in France whose goal is to help unemployed people who have no access to bank loans to start up a business. Since the introduction of this partnership, over 1,700 micro-entrepreneurs have been assisted and more than 350 have been able to complete their projects thanks to Adie financing.

La Banque Postale has also been experimenting with the distribution of a home micro-loan to finance energy saving work or adapt a home in the event of disability or dependence. This work will lead in 2017 to the marketing of the EcoPTZ Habiter Mieux ("live better") range for low-income customers who qualify for Anah's "Habiter Mieux" programme.

Lastly, Bank customers who are refused a consumer loan due to low solvency are presented with the personal micro-loans option, and are directed either to the platform of Crédit Municipal de Paris (for Île-de-France customers), or to the www.france-microcredit.org website for all other customers. The same is true for small entrepreneurs looking for funding to start up or expand their professional activity, who are directed to the Adie phone platform.

Budget and financial support

In the spirit of its policy of being a responsible and civic-minded bank, La Banque Postale has created "L'Appui", a platform for personal financial advice with a dual purpose: on the one hand, assisting customers of La Banque Postale experiencing one-off or recurring financial difficulties, and, on the other hand, improving prevention of financial difficulties. Since it was formed, "L'Appui" advisors have supported more than 70,000 customers and more than 30,000 of them have benefited from full assistance. The scope of "L'Appui" now extends to La Banque Postale customers in the French Overseas Departments. In November 2015, the French data protection authority (CNIL) agreed that the "L'Appui" service could be provided throughout the country and on all channels for contacting the Bank.

La Banque Postale, a CRESUS partner as part of the business of its subsidiary specialising in consumer credit, has strengthened its ties with this recognised public-interest organisation which specialises in supporting customers in debt.

In 2016, La Banque Postale put in place dedicated services to provide support to customers in financial difficulties: the "Over-indebted" and "Right to a bank account" programmes, and the experimental "Budget Advice Points", in addition to the customer-support service provided by "L'Appui".

The Bank's commitment also involves assistance on several training projects focused on the use of banking services. This assistance is provided in particular by La Banque or Le Groupe La Poste employees as part of a skills volunteer programme promoting banking inclusiveness.

(1) Association for the promotion of social entrepreneurship.

(2) Number of active agreements.

In addition, La Banque Postale supports the Institut pour l'Éducation Financière du Public (IEFP), a non-profit association accredited by the Ministry of National Education, the purpose of which is to help citizens acquire basic financial knowledge. The Bank is also continuing its work in the think tank "L'Initiative contre l'exclusion" bancaire (The initiative against banking exclusion)⁽¹⁾, set up to bring together committed stakeholders from the social welfare and non-profit association field who want to develop new initiatives against banking and financial exclusion.

Lastly, La Banque Postale sits, alongside representatives of the government, consumer and family non-profit associations, non-profit associations combating exclusion, and other lending institution representatives, on the Observatoire de l'Inclusion Bancaire (OIB)⁽²⁾. Its purpose is to monitor the practices of credit institutions with regard to banking inclusion, especially for people who are financially vulnerable.

For further information, see Chapter 6 "Corporate Social Responsibility", Section 6.2.1.1 "Banking accessibility"

High-net-worth customers

La Banque Postale currently has more than 605,000 high-net-worth customers⁽³⁾ to whom it offers a range of products and services, which include the following:

- ▶ investment solutions, in particular the discretionary management service offered by BPE and the wealth funds offered by La Banque Postale Asset Management, Fédérïs Gestion d'Actifs and Tocqueville Finance;
- ▶ top-of-the-range life insurance;
- ▶ top-of-the-range means of payment;
- ▶ tax optimisation solutions;
- ▶ contingency insurance products for individuals.

To support its high-net-worth customers, La Banque Postale has a team of dedicated specialist wealth advisors (837 advisors throughout France) as well as a team of 60 wealth management advisors for the wealthiest customers⁽⁴⁾.

The specialist wealth advisors and the wealth management advisors are able to offer the entire range of La Banque Postale products.

These advisors collaborate with the Group's 794 specialist property advisors on property projects⁽⁴⁾.

BPE, the wealth management bank, which has been a wholly owned subsidiary of La Banque Postale since 2013, is the last element in the package and has 61,000 high-net-worth customers and a network of 31 branches with 235 employees supporting customers. It offers the full services of a private bank (open architecture and multi-management savings, delegated management agreements, asset-based financing) and has a Wealth Management service to manage financial assets worth more than €1 million and to support its customers in wealth engineering, and preparing and supporting business handovers. Thanks to the merger in 2015 with La Banque Postale Gestion Privée, which was part of the process of accelerating the development of the wealth management activity, BPE offers a vast range of discretionary management options representing various profiles, which can be taken out as part of a life

insurance policy, a stock savings plan (PEA) or a securities account. Assets under discretionary management (GSM) stood at just over €4 billion at the end of 2016 (euro fund assets included).

La Banque Postale Immobilier Conseil, wholly owned, extends the property leasing service offered to high-net-worth customers through its property asset management service.

Types of Retail Banking customers: legal entities

La Banque Postale has developed its offer to legal entities through its parent company and its specialist Retail Banking subsidiaries, La Banque Postale Crédit Entreprises (LBPCE) and La Banque Postale Collectivités Locales, and its asset management and insurance subsidiaries. The 19 corporate business centres and 11 local public sector business centres established in France ensure that commercial relations with economic stakeholders are as close as possible.

At end-2016, La Banque Postale had more than 396,000 legal entities, and benefited from its positioning as a recognised leading banker in the regions. It has a diverse range of customers: from large companies and large institutions to SMEs and professional customers, from large management associations to local non-profit associations, from large social housing associations to the smallest local authorities; legal entities of all sizes now benefit from a complete range of products: accounts, payment systems, investments, advice, financing and insurance.

La Banque Postale, which has been marketing financing products for companies since 2011 and for the local public sector since 2012, now offers all kinds of financing:

- ▶ short-term: cash facilities, overdrafts, credit lines that can be managed online;
- ▶ medium and Long-term: traditional financing, revolving credit facility;
- ▶ signed commitments: first demand guarantee, loan guarantee, other guarantees;
- ▶ specialist financing via its LBPCE subsidiary: equipment leasing, property leasing, factoring.

La Banque Postale has become a leading lender in the market: nearly €15.3 billion of financing was authorised in 2016 for legal entities (compared to €12.1 billion in 2015, representing an increase of +25.9%). Outstanding loans to legal entities stood at €14.4 billion, representing an increase of 48.2% compared to 2015.

La Banque Postale is continuing to innovate and speed up its range of services in cash flow products and investments in order to offer services that fulfil the expectations and concerns of its customers. In addition to its financing offering, La Banque Postale supports its customers in three major areas:

- ▶ **cash flow management:** as a major historic stakeholder in cash flow handling, La Banque Postale offers its customers a large range of payment and collection services to manage their everyday cash flows (cheques, cheque-letter, transfer, direct debits, interbank payment orders, etc.), as well as a range of electronic money services both locally and electronically, a range of Visa Business cards enabling current business expenses management to be simplified while benefiting from many insurance and support

(1) This think tank currently includes Adie, ANDML, the Salvation Army, ATD Quart Monde, Crésus, the French Red Cross, La Banque Postale, Emmaüs France, Habitat et Humanisme, les Restos du cœur, Secours catholique, le Secours populaire, Soliha and UNCCAS.

(2) The composition of the Observatoire, which is chaired by the Governor of the Banque de France, was published by order of the Minister of Finances and Public Accounts dated 1 August 2014, in the Journal Officiel (French Government Gazette).

(3) Excluding BPE.

(4) 2016 average.

* Including repurchase of factoring receivables.

services, and finally specific added value services in the area of cash collections;

- **cash management:** La Banque Postale is offering a wider range of investments. It covers the requirements to compensate short-term cash assets: savings accounts, monetary UCITS, accounts in credit, negotiable certificates of deposit but also a diverse range of medium and long-term investments: bond UCITS, equity and balanced funds, capitalisation contracts, EMTNs, open-ended property funds and REITs;
- **insurance:** La Banque Postale rounds out its offer for legal entities with dedicated insurance products: means of payment insurance, loan and key person insurance, comprehensive insurance for businesses and associations, insurance for sole traders and a collective health insurance range.

Using its nationwide network, La Banque Postale is increasing its expertise, at the service of stakeholders in the real and solidarity economy, in order to support their projects and guide them in managing banking for their business. In these five major markets, it has achieved a leading position over the years.

Large account customers

La Banque Postale is a major partner for its 4,000 large corporate and institutional customers. It provides large businesses with a wide range of products and services in terms of cash flow management, asset management and market, financing and staff policy products, and supports the development of large institutions and, more particularly, mutual insurance companies and stakeholders in the field of social protection (provident institutions, insurance providers, social organisations, etc.).

Small and medium company customers

La Banque Postale supports SMEs and ISEs based in mainland France by making available to them services that are tailored to their profile and requirements in terms of everyday banking, cash flow and cash management, and financing. It is continuously innovating and improving its services for its 110,000 ISE, SME and VSE customers, using the expertise of its subsidiaries and partners in order to meet customer expectations, whatever their size.

In April 2016, it signed several refinancing packages with the EIB, including €50 million to support SMEs and ISEs. It also signed the InnovFin guarantee agreement "EU Finance for Innovators": loans that are granted by La Banque Postale in order to support its loans to SMEs and to small and innovative ISEs in France will be 50% guaranteed by the European Investment Fund (EIF) with the support of the European Union.

Professional customers

Professionals are already long-standing customers of Le Groupe La Poste whether they are self-employed persons, shopkeepers, craft workers, or in the liberal professions.

- 400,000 professionals visit post offices every day for their mail and parcel activity;

- 340,000 professionals are already retail customers of La Banque Postale.

In the context of the Group's strategic plan, La Banque Postale has decided to grow this customer base by introducing a dedicated sales force. By 2020, 1,000 professional customer managers will be introduced in post offices to provide everyday support for professional customers, both for banking management purposes and development projects. They provide banking services covering all of the requirements of professionals at some of the cheapest prices in the market.

In 2016, this service was expanded by medium and long-term financing solutions, an offering that values the dual professionals-individuals relation, and lastly a service offering devoted to franchising.

Non-profit association customers

La Banque Postale is one of the main stakeholders in the non-profit association market, with more than 266,000 local non-profit associations as customers and nearly 6,500 management associations which account for a quarter of the French market.

Since the end of 2013, La Banque Postale has been offering management associations a large range of financing offers, particularly to support them in carrying out real estate projects for the acquisition of new sites, for renovations and to bring old premises up to standard, or as part of construction projects.

La Banque Postale has also added to its services for non-profit associations, by launching a comprehensive online insurance offering that provides a broad range of basic cover and optional cover appropriate for the profile of the association holding the policy.

Local public sector customers (local authorities, hospitals, semi-public companies and social housing agencies)

Since 2012, La Banque Postale has been authorised to provide loans to the local public sector.

It provides simple and understandable liquidity-backed products that are granted under a transparent pricing policy and a responsible approach to advice and risk.

It became the leading lending bank to local authorities in 2015 with more than 25% of the accessible market⁽¹⁾, and it also offers its services to social housing associations and local public companies.

In addition to financing, La Banque Postale supports social housing agencies, local public companies and health associations with all their cash flow management or investment issues. It is in particular the leading bank for the collection of low-cost public-housing rents in cash via its post office network.

In October 2016, La Banque Postale was selected by the STIF (the Ile-de-France transport authority) to provide €225 million in financing as part of the renewal of some of the rolling stock in Ile-de-France.

(1) Source: Observatoire Finance Active.

1.6.2 Insurance

The Insurance Division groups together some 500 employees working to develop and manage products and customer relations. La Banque Postale is also present in life insurance (savings/retirement), personal insurance (contingency and health) and in property and liability insurance (home, car, legal protection, means of payment and extended cover). It is aimed at individuals as well as professionals and non-profit associations.

With the purchase from CNP Assurances of its 50% stake in La Banque Postale Prévoyance, La Banque Postale has completed the formation of its Non-Life Insurance Division.

Life insurance

La Banque Postale Group consolidates a 20.15% share⁽¹⁾ CNP Assurances group and markets its life insurance and capitalisation products. In 2016, it accounted for 27.8% of the revenue of the CNP Assurances group. CNP products make up most of the life insurance products offered by La Banque Postale.

La Banque Postale offers segmented life insurance and retirement solutions in order to better meet customer requirements:

- ▶ retail customers: with products accessible to the great majority of people through appropriate and evolving formulas;
- ▶ high-net-worth customers: with flexible customised policies, specifically designed for the top-of-the-range market. Multi-asset and multi-manager, certain ranges developed with CNP Assurances or with the Allianz Group, another partner of La Banque Postale Group, also offer discretionary management.

Contingency insurance

Through its subsidiary La Banque Postale Prévoyance, La Banque Postale offers a full range of personal contingency insurance products covering all the protection required from the uncertainties of life (death, dependency, funerals, personal accident cover, etc.) and offering a broad range of services beyond financial services. In 2016, La Banque Postale brought its stake in La Banque Postale Prévoyance to 100%.

The quality of the contingency insurance range is regularly recognised by the profession. In 2016, its new "Autonomie" insurance product received the Excellence Label from Les Dossiers de l'Épargne 2016 together with Résolys Obsèques, Avisys and Sérénia.

With nearly 281,000 new policies in 2016 and more than 2.75 million policies in its portfolio at the end of 2016, La Banque Postale Prévoyance is positioned as a major player in the French market. Its growth has also been boosted by credit protection insurance policies taken out during a financing transaction with La Banque Postale Financement (consumer credit). Following the renegotiation of its agreements with CNP Assurances, La Banque Postale Prévoyance no longer sells collective credit protection insurance for home loans.

Health

Since the end of 2011, La Banque Postale Assurance Santé, 51% owned by La Banque Postale (see Chapter 1 – Section 1.4.2 Partnerships) has offered supplementary health insurance, reflecting the values and strategic choices of La Banque Postale.

La Banque Postale's successful introduction of health insurance products is reflected in sales of more than 100,000 products during 2016 and a portfolio of more than 163,000 policies.

As part of its merger with Malakoff Médéric, in April 2015 La Banque Postale Assurance Santé put on the market a collective health insurance product for businesses with fewer than 50 employees, which it continues to market.

In 2015, La Banque Postale Assurance Santé launched a critical illness insurance product, Assurance Coup Dur Santé (hard times health insurance). Only available initially in post offices, it became widely available by means of distance selling in the Financial Centres in 2016. With more than 41,000 new policies in 2016, there were nearly 47,000 policies in place at end-2016.

After being awarded the supplementary health insurance assistance (ACS) tender by the Ministry of Health, La Banque Postale Assurance Santé, together with La Mutuelle Générale and Malakoff Médéric, have been marketing a supplementary health insurance policy with the ACS seal of approval called "Oui santé" ("Yes to health") since July 2015. More than 37,000 policies for this service have been subscribed during 2016.

Property and liability insurance

La Banque Postale offers individuals a range of property and liability insurance through its subsidiary, La Banque Postale Assurances IARD.

The core of the range is focused on Vehicle, Comprehensive Home and Legal Protection insurance, gradually extended to all distribution channels between the end of 2010 and end of 2011. With the redesign of home insurance in 2015, vehicle insurance was updated in 2016. This has also been expanded to cover aggravated and non-typical risks in partnership with the major insurers (Allianz, AXA, L'Équité, Arisa and La Parisienne) via the broker, AOG.

A multi-channel system (telephone, internet and post offices) allows customers to choose how they will interact and to anticipate changing practices.

In order to meet the widely varying expectations of its customers, particularly young people and families, La Banque Postale Assurances IARD has also expanded its range by launching, at the end of 2013, two "pocket products" (warranty extension, portable device insurance) with 80,000 policies in place at the end of 2016.

In a very competitive and low-growth market, La Banque Postale Assurances IARD exceeded 1.5 million policies in 2016, less than five years after its launch.

Lastly, taking advantage of the experience of its tele-monitoring offer as a home insurance policy option in partnership with Confintex (Groupama), La Banque Postale began to market a property tele-monitoring service in post offices via post office counters in 2016.

Furthermore, *La Banque Postale Conseil en Assurances*, the Group's insurance broker and a wholly-owned subsidiary of La Banque Postale, designs and offers turnkey insurance, assistance and service solutions for the various management bodies and subsidiaries of La Banque Postale and for Le Groupe La Poste generally.

These services are closely tied with current accounts (Alliatys means of payment insurance taken out by nearly 7.1 million customers), bank cards (7.3 million), mobile phones, savings products, and all kinds of loans for individuals, non-profit associations, companies and social housing associations.

(1) 18.14% via Sopassure and 2.01% call option.

1.6.3 Asset management

This business brings together the Group's third-party asset management companies and offers the expertise that La Banque Postale Group needs to provide its private and legal entities with a full range of savings and investment products covering traditional financial markets as well as more specific asset classes (debt funds, Euro PP, high return, hedged shares, etc.). The third-party asset management subsidiaries include 260 employees working on macro-economic and financial management and analysis, product development and financial engineering, and customer relations with the various customer categories in the Group.

Assets under management totalled €180.6 billion at the end of 2016.

Since August 2013, all asset management subsidiaries are now formally committed to complying with the PRI (Principles for Responsible Investment), showing their intention to implement responsible management in line with the Group's values.

Following 2015, which was marked by La Banque Postale opening up the equity capital of La Banque Postale Asset Management to two minority shareholders, Aegon Asset Management for 25% and Malakoff Médéric for 5%, 2016 saw the merger of Ciloger and AEW Europe.

For more details, see Chapter 1 – Section 1.4.2 – “Partnerships”

Asset Management plays a major role in business with high-net-worth customers, as the UCITS-format collective products of La Banque Postale Asset Management and Tocqueville Finance are used in discretionary management and in insurance policy context.

Full-service investments

La Banque Postale Asset Management is the fifth largest French management company in terms of managed assets, and represents, within the asset management business of La Banque Postale, the specialist in UCITS management and institutional orders, operating now on almost all financial markets.

The research and analysis synergies developed between La Banque Postale Asset Management and its new partner, Aegon

Asset Management, allow it to offer investment solutions in multiple international asset classes of rates and shares. This led, in spring 2016, to a new range of five flexible allocation funds with managed risk for individual customers. Between May and December, these products attracted €738 million⁽¹⁾, reflecting the high degree of interest in this type of product in a low interest environment.

In the same way, the arrival in its midst in 2015 of Fédérès Gestion d'Actifs with its €27 billion of investments, led La Banque Postale Asset Management to expand its expertise in the financial management of Euro-Private Placement, and consolidate its analysis and mastery of SRI management.

“Value” share management

La Banque Postale offers its customers UCITS from Tocqueville Finance, a 92.6% owned subsidiary. This subsidiary has a particularly well-developed network of financial investment advisors, independent wealth management advisors, private banks and institutional investors. A specialist in managing shares of the “Value” (discounted values) and “Small and Medium Capitalisation” type, the firm invests to foster the long-term growth of companies, applying management strategies driven by strong convictions that are independent of the indices.

Tocqueville Finance also provides wealth management for customers that do not necessarily hold a bank account with La Banque Postale, and under stock savings plans (PEA) and life insurance policies.

Tocqueville Finance launched a new unit-linked account on behalf of La Banque Postale and of CNP within the Vie Génération top-of-the-range life insurance policy.

REITs (SCPIs) and open-ended property funds (OPCIs)

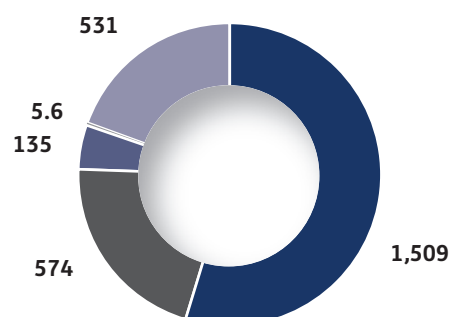
La Banque Postale sold its 90% stake, brought beforehand to 100%, in Ciloger to AEW Europe in October 2016 and from that time has owned 40% of AEW Europe.

1.6.4 A multi-channel relationship serving all business lines

La Banque Postale ensures a close relationship with its customers, using an innovative multi-channel relationship system which allows each customer to select the method of initiating contact with the Bank. La Banque Postale thus offers the customer the possibility of staying in contact with the Bank regardless of his or her whereabouts or requirements: by internet, mobile internet, phone, mail, post office.

NUMBER AND TYPE OF CONTACTS WITH LA BANQUE

(in millions)



- Electronic banking contact details
- Commercial website visits
- Banking transactions carried out by Post Office counter clerks
- Advisor meetings
- ATM transactions

(1) €839 million of assets under management and inflows of €738 million at end-December.

This relationship with customers is built on and relies on the relationship in the post office, staffed by more than 9,500 advisors and customer service managers helping customers. La Banque Postale also relies on a network of over 7,800 Automatic Teller Machines⁽¹⁾ throughout France, and which processed over 531 million transactions in 2016.

Financial Centres also play an important role in this multi-channel relationship: almost 9,500 employees are dedicated to transaction processing and customer relations, and over 9.3 million calls were received and processed in these centres in 2016. The National Customer Introduction Centre has been providing a dedicated solution for customers and prospective customers who want to find out about the Bank and its products since 2009. A single telephone number has been⁽²⁾ introduced: 3639. The three specialised platforms of the subsidiaries La Banque Postale Financement, La Banque Postale IARD and La Banque Postale Assurance Santé also play a key role in this remote communication.

The internet site, www.labanquepostale.fr, available since June 2014, is a central element in online communication. With nearly 48 million visits per month on average in 2016, the website labanquepostale.fr is a major channel for information, data collection and contacting the bank. In 2015 a new section dedicated to high-net-worth customers was added to this website.

As a substantial proportion of customer contacts with La Banque Postale are made digitally, a tablet application was launched in 2014 and a new mobile application was introduced in 2015. They allow the customer to navigate in an identical world regardless of the medium used for consultation.

Lastly, La Banque Postale customers have the option of a full remote banking relationship using La Banque Postale Chez Soi. The five La Banque Postale Chez Soi (LBPCS) branches offer customers a 100% remote advice service (chat, video, telephone, email) enabling them to access all products and services of La Banque Postale at the same rate as the other channels, as well as enabling fully independent money management and guidance by a dedicated team of advisors. At 31 December 2016, more than 100,000 customers use this service.

Today, 56% of active customers use online services and 78% of online banking users have their main bank account at La Banque Postale.

An evolving relationship model

Since 2013, La Banque Postale has offered its customers Paylib to make their online payments. Keen to strengthen the security of online payments, it developed a new "My payments" application in 2015 which allows Paylib to be used for online purchases on partner sites without inputting bankcard data that has been securely registered in advance within the "My payments" portfolio, as well as the 3D-Secure system by inputting of a PIN code directly into the application.

Since 2014, La Banque Postale's Paiement Mobile Sans Contact (Contactless Mobile Payment) service allows local purchases to be paid for at all sales outlets accepting contactless payments.

In February 2016, La Banque Postale was the first leading French bank to get the consent of the CNIL to launch voice authentication for remote payment for its customers.

1.7 STRATEGY AND OUTLOOK

Since it was created in 2006, La Banque Postale has built up a number of specialisations in Retail Banking, insurance and asset management, becoming a fully-fledged bank offering a complete range of services that meet economic and societal challenges, and provide support to everyone.

Its history and values make it unique, and in serving the real economy, La Banque Postale is now building the bank of tomorrow by capitalising on its fundamentals. With its 2014-2020 development plan "Osons créer la banque de demain" (Daring to create the bank of tomorrow), which is an integral part of Le Groupe La Poste's

strategic plan "*La Poste 2020: Conquérir l'avenir*" (conquering the future), La Banque Postale has positioned itself to transform itself, accelerate its development and increase its operational effectiveness, in support of its customers and in a rapidly changing environment: an economic and financial context notable for historically low interest rates, consumer behaviour and ways of life that are changing under the influence of new technologies, a changing French regulatory context, particularly in terms of prudential supervision and a banking competition landscape which is strongly refocused on the mature Retail Banking market.

1.7.1 The objectives of the 2020 development plan

La Banque Postale's development plan prioritises commercial development for all types of customers, whether individuals or legal entities, and developing the Asset Management and Insurance Divisions which underpin its diversification strategy.

Accelerate business development in the retail banking market

In the Retail Banking market, the major development focus is on:

- ▶ winning and retaining the loyalty of young customers. Attractive commercial terms for products, responsiveness to suggestions and the quality of customer relations are the keys to attracting

and retaining the loyalty of these demanding customers. Specific offers and commercial guidance are provided to them;

- ▶ building life solutions for seniors. The societal challenge presented by an ageing population and the management of dependency has led La Banque Postale to provide new solutions (dependency insurance, etc.) and to support its senior customers while taking each one's financial situation into account;
- ▶ accelerating the development of wealth banking, relying on a strengthened sales structure, a full range of services and appropriate organisation. The creation of a wealth management unit in La Banque and the merger of La Banque Postale Gestion Privée and BPE at the end of 2015 illustrate the Bank's desire to accelerate the expansion of the high-net-worth customer segment,

(1) ATMs.

(2) €0.15 inc. tax per minute + any additional charge depending on the operator.

primarily in the areas of wealth and tax engineering and made-to-measure management. Wealth management services are growing with the support of La Banque Postale Group's entities specialising in asset management, insurance and contingency insurance;

- ▶ offering vulnerable customers tailored solutions and providing the long-term public interest financing known as banking accessibility. La Banque Postale is continuing its commitment to banking solutions for vulnerable customers, in particular through the Livret A account, but also through banking and budget support or the support of budgetary and financial education, via workshops with partner non-profit associations.

La Poste Network's banking priority took shape in 2014 through the introduction of single commercial teams for La Banque and La Poste Network. The gradual expansion and development of Network stakeholders' responsibilities allows them to devote themselves entirely to developing banking activities for private customers and to take quick and high-quality commercial decisions, in close proximity to customers.

Continuing to build the bank for businesses and the regions

Crafts people, large companies, shopkeepers, associations, mutual insurance bodies, hospitals, social housing organisations, local authorities, etc. all contribute in their way to life and prosperity in the regions by fostering their proximity to their customers, their members and citizens.

Using its nationwide network, La Banque Postale is supporting the projects of all of these stakeholders and guiding them in the banking management of their activities. It intends to increase its expertise to the benefit of stakeholders in the real and solidarity economy, building on its banking expertise, combined with its knowledge of local issues and its public service values. In order to propose offers that are tailored to everyone's requirements, La Banque Postale relies in

particular on the Corporate and Regional Development Department whose commercial activity is organised to allow it to be as close as possible to customers.

This work is notably based on:

- ▶ conquering the professionals market: La Banque Postale uses its "Banque des pros" programme, which looks to provide professionals (crafts people, VSEs, shopkeepers, etc.) with the most appropriate solutions. Although La Banque Postale is positioning itself in this market as a challenger to the leading banking groups that dominate it, it is able to build on its historical and local relationship with professionals who are often customers on a personal basis. La Banque Postale intends to build on the synergies between its sales forces, by implementing its "Dual Relationship" offer in order to reinforce its appeal and to win new professional customers. The gradual ramp-up of this programme involves constructing and deploying a specialised sales force in post offices throughout the country, and training 1,000 Pro advisors (including 200 since 2015) by 2020;
- ▶ consolidating local public sector positions: In 2016, after four years supporting regional activities (regions, departments, local authorities, consortia, municipalities, etc.), La Banque Postale is and wants to continue to be the benchmark bank in the local public sector and the leading lending bank in this market;
- ▶ developing of large corporate and institutional customer accounts: La Banque Postale is gradually consolidating its position as a recognised stakeholder in cash flow and cash management banking and offers a comprehensive range of banking products and services in the areas of cash flow management, asset management, market products and financing. It is introducing a bank-corporate relationship based on partnership and joint development of solutions, by making available to large companies and institutions a team of specialist large customer project managers, which is completely dedicated to developing tailored services in accordance with La Banque Postale's and its subsidiaries' business lines.

1.7.2 The levers of the development plan

The development plan is based on a solid balance sheet, increased equity and the planned gradual integration of La Banque Postale's internal risk assessment method: based on a better knowledge of customers and risks, it should allow the Bank to manage and control the risks related to its activities more effectively. It is part in La Banque's various management processes, product pricing, loan granting and recovery, and as far as the process of managing the equity capital.

The development plan is also based on the major transformation programmes intended to serve La Banque's commercial ambitions. These include:

- ▶ the Cap Client 3.0 programme which aims to offer a more ergonomic and smart work station that allows advisors to use more fluid banking applications and processes in order to better prepare for their interviews, refine their business cases, provide the best recommendations at the correct time for their customers and, as a result, improve sales efficiency at all levels of the banking relationship;
- ▶ the Excello programme, which is organising the transformation of Financial Centre activities (La Banque's remote front-office, and middle and back office) in order to increase the effectiveness of the Financial Centres (team professionalisation and specialisation; streamlining of processes; developing tools to become more flexible, efficient and productive);

- ▶ the Concerto programme is also a major transformation programme and part of the renewal of La Banque's information systems. It involves designing an information system capable of responding to all of the bank's requirements in terms of processing speed, flexibility and security. In particular it involves overhauling the production and processing lines for banking transactions.

The development plan also focuses on identifying future business activities and training La Banque Postale and La Poste Network stakeholders in these new business activities. This cross-entity project led to the creation of the École de la Banque et du Réseau (EBR) which underpins the Group's strategic transformation by supporting the career development of 70,000 La Banque Postale, Financial Services, and La Poste Network employees.

In 2016, the EBR supported 8,700 employees through courses leading to qualifications or diplomas, provided almost 370,000 training days for La Banque Postale, Financial Services, and La Poste Network employees, and rolled out major courses aimed at all the managers of the priority banking network and at expanding and delegating Home Loans for banking advisors and managers. Training of Heads of Sector (of whom 780 received training in 2016) will conclude in spring 2017.

In order to succeed with its ambitious development plan, the Bank is activating every lever at its disposal:

- ▶ service quality, through the quality of the customer experience and effective multi-channel management, a lever for customer satisfaction and loyalty;
- ▶ improved effectiveness of La Banque Postale-La Poste Network, through the development of the Network's banking culture and by optimising tools, processes and organisation;
- ▶ innovation, through the overhaul of the means of payment model and product innovations;
- ▶ improving the effectiveness of the Financial Centres, by building an agile and successful model, around an innovative social model;
- ▶ streamlining head office and support functions and optimising cross-entity processes with other Group entities.

Through all of these actions, La Banque Postale proves and will continue to prove that by offering its customers a range of banking and insurance products and services, based on simplicity, accessibility and transparency, it gives priority to development that supports changing habits, entirely devoted to customer satisfaction.

CORPORATE GOVERNANCE AND INTERNAL CONTROL

2

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2.1 REPORT OF THE CHAIRMAN OF THE SUPERVISORY BOARD ON THE CONDITIONS UNDER WHICH THE WORK OF THE BOARD WAS PREPARED AND ORGANISED AND ON THE INTERNAL CONTROL PROCEDURES

This report has been prepared on the basis of the work performed by the risk and compliance managers, the Internal Audit Department and the Company Secretary. Regular discussions on the Company's risk and internal control have taken place between the Executive Board, the Chairmen of the Committees concerned and the control

function managers, primarily within the Supervisory Board and its Committees. This report has been sent to the Financial Statements Committee, which has provided the Supervisory Board with its comments. This report was approved at the Supervisory Board meeting of 22 February 2017.

2.1.1 Corporate governance

La Banque Postale is a Limited Company with Executive and Supervisory Boards wholly-owned by La Poste. The Company began trading on 1 January 2006, after having received authorisation from the French Prudential Supervision and Resolution Authority (ACPR) on 2 December 2005.

The choice of a dual corporate governance structure allows a clear division between management and control powers, and guarantees the separation of these powers and the balance between them. Thus, there is a tangible separation between the supervision and management powers owned by the Executive Board and the control and decision-making powers exercised by the Supervisory Board.

La Banque Postale is subject to the French Commercial Code, the French Monetary and Financial Code, the decree of 3 November 2014 relating to the internal control of banking sector businesses, payment services and investment services subject to the French Prudential Supervision and Resolution Authority (ACPR), the regulations of the French Advisory Committee on Financial Legislation and Regulation (CCLRF) as a credit institution, and since 25 May 2016, to Order No. 2014-948 of 20 August 2014 relating to the governance and share capital transactions of companies with public shareholdings.

Corporate Governance Code applied

La Banque Postale has structured its corporate governance rules on the corporate governance principles of listed companies in compliance

with the Code published by the Afep/Medef (*Association française des entreprises privées/Mouvement des entreprises de France*; www.afep.com) and the report of the Audit Committee working group of the French Financial Markets Authority (AMF).

La Banque Postale complies with most of these recommendations, subject to the distinctive nature of its shareholder base, and to the application of the regime instituted by Order No. 2014-948 of 20 August 2014 relating to the governance and share capital transactions of companies with public shareholdings, and in accordance with Article 3 of the decree of 9 August 1953, as amended by the decree of 26 July 2012, relating to French Government control of the remuneration of the managers of public companies. This provides in particular for:

- ▶ a large number of employees' representatives on the Supervisory Board, i.e. one third of the Board members;
- ▶ where applicable, the presence on the Supervisory Board of one member designated by the Government and/or members appointed by the General Meeting upon proposal by the Government;
- ▶ a cap on the remuneration of executive corporate officers and the approval by the Minister of the economy of the amount of attendance fees, remuneration for various activities and benefits in kind for corporate officers, as well as remuneration elements, compensation or benefits due or likely to be due as a result of their termination of activity, changing activity, or subsequent thereto.

Application of the Afep/Medef Code

The recommendations of the Code are applied, except for the following:

RECOMMENDATION OF THE AFEP/MEDEF CODE	COMPANY PRACTICES COMMENTS
Independent directors Recommendation 8.3. "The independent directors should account for half the members of the Board in widely-held corporations without controlling shareholders. In controlled companies, independent directors should account for at least a third of Board members. Directors representing the employee shareholders and directors representing employees are not taken into account when determining these percentages."	Company practices: In 2016, 30% of the Board was composed of independent members; members representing employees were not counted in establishing this percentage. Comments: This difference is explained by the Company's specific situation, being held by a single shareholder. The threshold of 33% of independent members is attained if the representative designated by the Government, whose presence on the Board is related to Order No. 2014-948 of 20 August 2014, is not taken into account.
Length of term of office Recommendation 13.1. "The duration of directors' terms of office, set by the by-laws should not exceed a maximum of four years, so that the shareholders can express their wishes regarding these terms of office with sufficient frequency."	Company practices: The term of office of the members of the Supervisory Board is five years. Comments: The provisions of law No. 83-675 of 26 July 1983 relating to the democratisation of the public sector, required that the Company has terms of office lasting five years. In 2016, at the time of the switch to the regime of Order No. 2014-948 relating to the governance and share capital transactions of companies with public participation, the Company considered that this term of office allowed the Board to operate efficiently. This decision was supported by the fact that the Company is held by a single shareholder, where the term of office of the directors is five years.
Recommendation 13.2. "Terms should be staggered so as to avoid replacement of the entire body and to favour a smooth replacement of directors."	Company practices: The terms of office of all members end on the same date, after of a five-year period. Comments: The provisions of law No. 83-675 of 26 July 1983 relating to the democratisation of the public sector, required the Company to reappoint all members of the Supervisory Board at the same time. In 2016, at the time of the switch to the regime of Order No. 2014-948 relating to the governance and share capital transactions of companies with public participation, the Company considered that not staggering the terms of office of the Board members did not jeopardise the proper operation of the Board. Furthermore, this decision does not hinder members of the Supervisory Board being regularly reappointed during their term of office. Thus, in 2016, one third of the members were changed.
Audit Committee Recommendation 15.1. "(...) The appointment or extension of the term of office of the audit committee's Chairman is proposed by the nominations committee and should be the subject of a specific review by the Board."	Company practices: The appointment of the Chairman of the Financial Statements Committee is subject to specific examination by the Board but is not proposed by the Compensation Committee. Comments: The Financial Statements Committee is routinely chaired by an independent member of the Supervisory Board whose candidacy, at the time of his or her appointment, is examined in depth by the Nomination Committee.
Nomination Committee Recommendation 16.1. "It must not include any executive Officer and must mostly consist of independent directors."	Company practices: No executive corporate officer shall sit on the Nomination Committee and three of the six members shall be independent, not counting the member representing employees. Comments: Out of the seven members comprising the Nomination Committee, one member represents the employees and another represents the Government. The five remaining members are Board members appointed by the General Meeting and among the latter, three have independent status; i.e. a total of 60% of the Nomination Committee are independent members, excluding the employee and Government representatives.

RECOMMENDATION OF THE AFEP/MEDEF CODE

Compensation Committee

Recommendation 17.1.

"It must not include any executive Officer and must mostly consist of independent directors. It is recommended that the Chairman of the committee be independent and that one of its members be an employee director."

Code of ethics of the Board members

Recommendation 19.

"(...) In the absence of legal provisions to the contrary, the director should personally be a shareholder and, by virtue of the provisions in the by-laws or the internal regulations, hold a minimum number of shares that is significant in relation to the directors' fees awarded. If he or she does not hold these shares when assuming office, he or she should use his or her directors' fees to acquire them. The director will notify the corporation of this information, which will publish it in its annual report;"

Executive corporate officers' obligation to hold shares

Recommendation 22

"The Board of Directors defines a minimum number of registered shares that the company Officers must retain through to the end of their term of office. This decision is reviewed at least on each extension of their term of office."

COMPANY PRACTICES
COMMENTS

Company practices:

No executive corporate officer shall sit on the Compensation Committee; and the Committee shall include one member representing employees and a Chairman who is an independent member of the Board.

Three of the six members shall be independent, not counting the member representing employees.

Comments:

Out of the seven members comprising the Compensation Committee, one member shall represent the employees and another the Government.

The five remaining members are Board members appointed by the General Meeting, and among the latter three have independent status; i.e. a total of 60% of the Nomination Committee shall be independent members, excluding the employee and Government representatives.

Company practices:

The members of the Supervisory Board are not required to be shareholders in the Company.

Comments:

The fact that members of the Supervisory Board do not hold a significant number of shares is explained by the specific character of the Company's shareholding. Indeed, all La Banque Postale shares are held by its parent company, La Poste, and cannot be traded on a regulated exchange.

As La Poste does not wish to open the share capital, holding shares would have no meaning with regard to the philosophy of the Afep/Medef Code in the absence of any market for these shares.

Company practices:

The members of the Executive Board do not hold any shares in the Company.

Comments:

The fact that members of the Executive Board do not hold a number of shares is explained by the specific character of the Company's shareholding. Indeed, all La Banque Postale shares are held by its parent company, La Poste, and cannot be traded on a regulated exchange.

As La Poste does not wish to open the share capital, holding shares would have no meaning with regard to the philosophy of the Afep/Medef Code in the absence of any market for these shares.

Declarations of absence of convictions, bankruptcy, sanctions, absence of family ties and benefits as a result of service agreements concerning members of the Supervisory Board and the Executive Board

There are no family ties between the members of the Supervisory Board and the Executive Board. Likewise, over the last five years, no member of either Board has been convicted of fraud or associated, as members of executive or management bodies, with a bankruptcy, receivership or liquidation.

In the last five years, the members of the Supervisory Board and Executive Board have not been subject to any incrimination or official public sanctions, nor have they been prohibited from being Board members.

Members of the Supervisory Board and Executive Board do not enjoy any benefits in respect of service agreements with the Company or one of its subsidiaries.

Conflicts of interest

The Board considers that its current operating conditions enable it and its Committees to fulfil their duties with the effectiveness, objectivity and independence required, particularly concerning the prevention of potential conflicts of interest.

The rules for managing conflicts of interest shown in the Members' Board Charter of the Supervisory Board of La Banque Postale specify that "(...) every member of the Board shall inform the Supervisory Board and its Chairman as soon as he/she becomes aware of any situation concerning him/her that is likely to give rise to a conflict of interest, even potential or temporary, with the interests of La Banque Postale or of any of its subsidiaries.

In such cases, the member of the Supervisory Board shall:

- ▶ abstain from taking part in the discussions and from any decision on the issues in question, if the conflict of interest is temporary;
- ▶ take all measures aimed at ending said conflict of interest, including tendering their resignation from their office as a Board member to the Chairman of the Supervisory Board, if it turns out that the conflict of interest is ongoing.

Generally speaking, every member of the Board shall undertake to avoid any conflict that may exist between their material or moral interests and those of La Banque Postale or any of its subsidiaries."

To the best of the company's knowledge, there are no conflicts of interest between the duties of the members of the Supervisory and Executive Boards towards the Bank, and their private interests.

Regardless of the related party agreements and commitments, there is no arrangement or agreement entered into with clients, suppliers and any other third parties, whereby a member of the Supervisory Board has been appointed.

2.1.1.1 Conditions governing the preparation and structure of the work performed by the Board

Structure and operation of the Board – Composition of the Board

The Combined General Meeting which was held on 25 May 2016 amended the Articles of Association so as to implement, with respect to the Company, the relevant provisions of Order No. 2014-948 of 20 August 2014 regarding governance and share capital transactions of companies with public participation.

Consequently, the Company is now governed by a Supervisory Board made up of three to eighteen members, including at least one third of members representing employees, elected under the conditions of the law on democratisation of the public sector dated 26 July 1983 and, where applicable, a representative designated by the Government and/or members of the Supervisory Board appointed by the General

Meeting upon proposal by the Government, pursuant to Articles 4, 6 and 7 of Order No. 2014-948 of 20 August 2014.

As at the date of this report, the Supervisory Board has fifteen members, namely:

- ten members appointed by the General Meeting, including the Government; the Government representative is appointed by decree;
- five members representing employees.

The Board is chaired by Philippe Wahl, Chairman and Chief Executive Officer of La Poste.

Members of the Supervisory Board are elected for a term of office of five years. Among the nine Board members appointed by the General Meeting, other than the Government, six perform management duties in Le Groupe La Poste and three are independent.

Board members appointed upon proposal by La Poste are appointed due to the positions they hold within the Group.

Changes in the composition of the Supervisory Board in 2016 were as follows:

	2016	Comments
Departure	Marie-Pierre de Baillencourt	Resignation following her appointment as Government representative on the Board of Directors of La Poste
Departure	Georges Lefebvre (Permanent Representative of La Poste)	Change of positions within Le Groupe La Poste
Departure	Catherine Le Floch	Resignation due to a change of position within Le Groupe La Poste
Departure	Jean-Paul Forceville	Resignation
Departure	Christiane Marcellier	Resignation due to taking up an executive office which makes it impossible to continue her term of office
Arrival	Elisabeth Ayrault	Co-option
Arrival	Philippe Bajou	Permanent Representative of La Poste
Arrival	Virgile Bertola	Co-option
Arrival	Sylvie François	Co-option
Arrival	Sophie Lombard	Co-option
	Nathalie Dieryckxvisschers/Government	Nathalie Dieryckxvisschers' term of office ended on 25 May 2016 when the Company came under the regime of Order No. 2014-948 of 20 August 2014. The Government was then appointed by the General Meeting as a member of the Supervisory Board and Nathalie Dieryckxvisschers was designated as Government representative on the Board.

As at the date of this report, the Supervisory Board is composed of nine men and six women. The percentage of women, excluding the five employee representatives in accordance with the provisions of law No. 2011-103 of 27 January 2011, stands at 40%.

All members of the Board are of French nationality.

The Board is keen to have a balanced composition, both on the Board and in its Committees, with respect to female and male representation and also the diversity of skills of its members. As there is no international business activity, nationality is not a determining factor in their appointment.

The members of the Executive Board, as well as the Government Commissioner appointed by the Government due to its public interest remit, the secretary of the Works Council and the Chief Financial Officer also attend the Supervisory Board meetings.

The average age of the Board members at 31 December 2016 was 55 years old.

Skills and availability

The Board ensures that its members collectively have the knowledge, skills and experience required in the areas of banking and financial markets, legal and regulatory requirements that apply to the Company,

its system of governance including internal control procedures, strategic planning and how to implement it, risk management, accounting and financial reporting and, in addition, insurance markets and the legal and regulatory requirements that apply to companies in this sector.

The Board also ensures that the members appointed to its special committees have the appropriate skills and experience to carry out their remits on these committees.

Seminars on strategic, technical and topical issues are organised regularly for members of the Supervisory Board and the Risk Committee.

Special attention is paid to availability to attend the Company's governing bodies, and to compliance with the rules of the French Commercial Code, French Monetary and Financial Code and the Afep/Medef Code about the holding of multiple offices. The members of the Supervisory Board and the Executive Board are invited to report to the Chairman of the Company's Supervisory Board before accepting a new appointment in order to verify that the new appointment is compatible with legal and regulatory provisions. New members of the Supervisory Board receive a summary document informing them of their obligations with respect to holding multiple offices.

Vice-Chairman of the Board

The Vice-Chairman of the Supervisory Board is responsible, when the Chairman is absent, for convening the Board, directing discussions, making sure laws and regulations as well as the Board's internal rules are followed and, when necessary, for asking the Executive Board for any information from the members of the Board or the Committees.

Information on the new Supervisory Board members

When new members of the Supervisory Board assume their position, they are given a file containing the Bank's Articles of Association, the minutes of recent Supervisory Board meetings, the internal regulations that apply to the Board and its Committees, the Supervisory Board Members' Charter and the most recent Registration Document, the professional ethics handbook, the Permanent Control Charter and the principal instruments implementing the CRD IV rules.

Appointments and positions held by members of the Supervisory Board

Nota bene: terms of office and positions held in companies whose shares are traded on regulated markets are identified by an asterisk.*

Philippe WAHL, born in 1956	Biography
Chairman of the Supervisory Board First appointment: 15 October 2013 Appointment expiry date: 26 February 2018 Board Committees: Member of the Nomination Committee and Compensation Committee Professional address: La Poste -9 rue du Colonel Pierre Avia -75015 Paris Education: Graduate of the IEP, Paris, Research Master's Degree in Monetary and Financial Economics, and former student of the ENA	▶ Auditor, then Master of Requests at the French Council of State, between 1984 and 1988. ▶ From 1986 to 1988, special advisor to the Chairman of the French Stock Exchange Commission's Office. ▶ From 1988 to 1991, technical advisor responsible for Monetary, Financial and Tax Affairs at the Prime Minister's Office. ▶ Appointed advisor to the Chairman of Compagnie Bancaire in 1991, then as a member of the Management Committee in 1992 and Executive Vice-President in 1994. ▶ Appointed Head of Paribas' Specialist Financial Services Division and a member of the Executive Committee in 1997. ▶ Appointed Chief Executive Officer of the Caisse Nationale des Caisses d'Épargne in 1999. ▶ Appointed Chief Executive Officer of the Havas group in 2005, and Vice-Chairman of the Bolloré group in 2006. ▶ Appointed Chief Executive Officer of Royal Bank of Scotland's (RBS) French subsidiary in 2007, advisor to the RBS Global Banking and Markets Board in London in 2008, and Chief Executive Officer of RBS's French, Belgian and Luxembourg subsidiaries in 2009. ▶ Executive Vice-President and member of the Executive Committee of Le Groupe La Poste, and Chairman of the Executive Board of La Banque Postale between January 2011 and October 2013. ▶ Vice-Chairman of the French Banking Association between June 2012 and December 2013 and member of the French Banking Federation's Executive Committee between July 2012 and December 2013. ▶ Director since 1 August 2013 and Chairman and Chief Executive Officer of La Poste since 26 September 2013.
Other current appointments	Appointments that expired during the last five years
Le Groupe La Poste companies ▶ Chairman and Chief Executive Officer of La Poste (a Limited Company). ▶ Director of Sopassure (a Limited Company). ▶ Director of L'Envol, La Banque Postale's campus (a non-profit association). ▶ Permanent Representative of La Poste on the Board of Directors of Poste Immo (a Limited Company). ▶ Permanent Representative of La Poste on the Board of Directors of GeoPost (a Limited Company). ▶ Member of the Strategy Committee of La Poste Silver (a Simplified Joint-Stock Company) since 25 March 2016. Companies outside Le Groupe La Poste ▶ Director and member of the Nomination and Compensation Committee of CNP Assurances* (a Limited Company). ▶ Member of the Institut Montaigne Management Committee.	▶ Member of the Supervisory Board of La Banque Postale Financement (a Limited Company with Executive and Supervisory Boards). ▶ Member of the Finance Committee, member and Chairman of the Board of Directors, member and Chairman of the Nomination and Compensation Committee of La Banque Postale Prévoyance (a Limited Company). ▶ SF2's representative on the Board of Directors and Chairman and Chief Executive Officer of Sopassure (a Limited Company). ▶ Member and Vice-Chairman of the Supervisory Board of Société Financière de Paiements (a Simplified Joint-Stock Company). ▶ Chairman of the Board of Directors, General Representative and Vice-Chairman of the Board of Directors of L'Envol, La Banque Postale's campus (a non-profit association). ▶ Member of the Audit Committee of CNP Assurances (a Limited Company). ▶ Director and Chairman and Chief Executive Officer of SF2 (a Limited Company). ▶ Member and Chairman of the Supervisory Board of La Banque Postale Gestion Privée (a Limited Company with Executive and Supervisory Boards). ▶ Member and Chairman of the Board of Directors of La Banque Postale Assurance Santé (a Limited Company). ▶ Member and Chairman of the Supervisory Board and of the Compensation Committee of La Banque Postale Asset Management, (a Limited Company with Executive and Supervisory Boards). ▶ Member and Chairman of the Board of Directors and of the Nomination and Compensation Committee of La Banque Postale Assurance IARD (a Limited Company). ▶ Representative of La Banque Postale, manager of the Limited Property Investment Partnerships CRSF Dom and CRSF Métropole. ▶ Director and member of the Audit Committee of Société de Financement Local (a Limited Company). ▶ Member of the Supervisory Board of the Fonds de Garantie des Dépôts. ▶ Vice-Chairman of the Association Française des Banques (French Banking Association). ▶ Member of the Executive Committee of the Fédération Bancaire Française (French Banking Federation). ▶ Member and Chairman of the Executive Board and of the Nomination and Compensation Committee of La Banque Postale Asset Management (a Limited Company with Executive and Supervisory Boards). ▶ Member of the Board of Directors of the association Paris Europlace. ▶ Permanent Representative of La Poste on the Board of Directors of Sofipost (a Limited Company).
Attendance rate at the Supervisory Board	100%
Attendance rate at the Nomination Committee	100%
Attendance rate at the Compensation Committee	100%

Yves BRASSART, born in 1960**Vice-Chairman of the Supervisory Board****First appointment:** 24 April 2014**Appointment expiry date:** 26 February 2018**Board Committees:** Member of the Financial Statements and Risk Committees and Chairman of the Strategy Committee**Professional address:** La Poste -9 rue du Colonel Pierre Avia -75015 Paris**Education:** Graduate of IEP Paris, Public Service Section, ENSPTT and the EDHEC business school - DECS (Diploma in advanced accounting)**Biography**

- ▶ Has worked within Le Groupe La Poste since 1987. From 1987 to 1990, various positions in the marketing and sales area of the group La Poste's Postal Department. Then Marketing and Sales Director for post/packages from 1991 to 1993.
- ▶ From 1994 to 1999, Chief Financial Officer at Le Groupe La Poste for western France.
- ▶ From 1999 to 2006, Head of La Poste's Financial Services and also Chief Financial Officer for the General Public Network from 2001 to 2003.
- ▶ From 2006 to 2011, Chief Financial Officer of La Banque Postale.
- ▶ From September 2011 to April 2014, Head of Finance and Strategy at La Banque Postale, as well as supervision of the Financial Operations Department from September 2012.
- ▶ From January 2013 to 7 April 2014, member of the Executive Board of La Banque Postale.
- ▶ From 7 April 2014, Executive Vice-President, Chief Financial Officer and member of the Executive Committee of Le Groupe La Poste then, since 7 September 2015, Executive Vice-President in charge of Finance and Development.

Other current appointments**Le Groupe La Poste companies**

- ▶ Executive Vice-President of La Poste (a Limited Company) in charge of Finance and Development.
- ▶ Director and member of the Audit Committee of Poste Immo (a Limited Company).
- ▶ Director, member of the Audit and Financial Statements Committee and of the Strategy Committee of Geopost (a Limited Company).
- ▶ Member of the Supervisory Committee of Vehiposte (a Simplified Joint-Stock Company).
- ▶ Member of the LP/SFR Strategy Committee of La Poste Telecom (a Simplified Joint-Stock Company).
- ▶ Permanent Representative of La Poste, Non-Voting Advisor of Siparex Associés (a Limited Company).
- ▶ Chairman of the Supervisory Board of XAnge Capital (a Limited Company with Executive and Supervisory Boards).
- ▶ Permanent Representative of La Poste, Member of the Supervisory Board de Siparex Proximité Innovation (a Simplified Joint-Stock Company).
- ▶ Member of the Strategy Committee of La Poste Silver (a Simplified Joint-Stock Company) since 25 March 2016.

Companies outside Le Groupe La Poste

- ▶ None.

Appointments that expired during the last five years

- ▶ Member and Chairman of the Directors' Committee of La Banque Postale Assurance Santé (a Simplified Joint-Stock Company).
- ▶ Chairman of Galliéni SF2-3, Galliéni SF2-4, Galliéni SF2-5 and Galliéni SF2-6 (Simplified Joint Stock Companies).
- ▶ Permanent Representative of SF2 on the Board of Directors of La Banque Postale Conseil en Assurances (a Limited Company).
- ▶ Member of the Executive Board and the Audit Committee of La Banque Postale (a Limited Company with Executive and Supervisory Boards).
- ▶ Director of SF2 (a Limited Company).
- ▶ Member of the Supervisory Board and the Audit Committee of La Banque Postale (a Limited Company with Executive and Supervisory Boards).
- ▶ Director of Préviposte (a Limited Company).
- ▶ Permanent Representative of SF2 on the Board of Directors, member and Chairman of the Audit Committee, member of the Finance Committee and Independence Committee of La Banque Postale Prévoyance (a Limited Company).
- ▶ Permanent Representative of SF2 on the Supervisory Board, member of the Audit Committee and member and Chairman of the Nomination and Compensation Committee of La Banque Postale Financement (a Limited Company with Executive and Supervisory Boards).
- ▶ Director and member of the Audit Committee of La Banque Postale Assurances IARD (a Limited Company).
- ▶ Member and Chairman of the Board of Directors of La Banque Postale Home Loan SFH (a Limited Company).
- ▶ Chairman of Issy La Banque Postale (a Simplified Joint-Stock Company).
- ▶ Chairman of Auxiliaire Transactions Immobilières (a Simplified Joint-Stock Company).
- ▶ Member of the Directors Committee and the Audit and Risk Committee of La Banque Postale Crédit Entreprises (a Simplified Joint-Stock Company).
- ▶ Chairman of the "LBPAM Obli Monde" Mutual Fund.
- ▶ Permanent Representative of La Poste, Member of the Supervisory Board of XAnge Private Equity (a Simplified Joint-Stock Company).
- ▶ Chairman of LP 2 (a Simplified Joint-Stock Company) until 25 March 2016.

Attendance rate at the Supervisory Board	86%
Attendance rate at the Financial Statements Committee	67%
Attendance rate at the Risk Committee	83%
Attendance rate at the Strategy Committee	100%

Elisabeth AYRAULT, born in 1955**Independent member of the Supervisory Board****First appointment:** 15 April 2016**Appointment expiry date:** 26 February 2018**Board Committees:** Member of the Nomination Committee, the Compensation Committee and the Strategy Committee**Professional address:** CNR -28 boulevard Raspail -75007 Paris**Education:** DPLG (Government-registered) architect - Graduate of the Institut Agronomique Méditerranéen (IAM) (Mediterranean Agronomic Institute) and of the Institut Administration des Entreprises (IAE) (Business Administration Institute) - DEA (Research Master's) in Urban Geography**Biography**

- ▶ From 1980 to 1986, established the Terrain Vague architecture and town planning agency.
- ▶ From 1987 to 1991, real estate development and arranging transactions at SAE then SETIC.
- ▶ From 1991 to 1997, Côte d'Azur Regional Manager at Dumez Immobilier Promotion, a Suez subsidiary.
- ▶ From January 1998 to December 2008, Key Accounts Manager, then Europe Sales Manager, and finally Ile de France Region Chief Executive Officer at Elyo, a subsidiary of Groupe GDF-Suez.
- ▶ From January 2009 to June 2013, Executive Vice-President of SITA France, after having been Chief Executive Officer of SITA Ile de France.
- ▶ Since July 2013, Chairman of the Executive Board of CNR (Compagnie Nationale du Rhône) and from September 2013 to June 2016, Chairman of the Board of Directors of SHEMA (Société Hydro-Electrique du Midi - Midi Hydro-Electric Company).

Other current appointments**Le Groupe La Poste companies**

- ▶ None.

Companies outside Le Groupe La Poste

- ▶ Member and Chairman of the Executive Board of CNR (a Limited Company with Executive Board and Supervisory Board).
- ▶ Member of the Supervisory Board and Chairman of the Audit Committee of the Grand Port Maritime de Marseille (Great Seaport of Marseille) (Public institution).
- ▶ Permanent director of the Fondation Rovaltain.
- ▶ Member of the Board of Directors of the Syndicat des Energies Renouvelables (Renewable Energies Association) (trade association).
- ▶ Member of the Board of Directors of the Union Française de l'Electricité (French Electricity Union) (trade association).

Appointments that expired during the last five years

- ▶ Permanent Representative of Sita France on the Board of Directors of Sita Oise (Simplified Joint-Stock Company).
- ▶ Permanent Representative of Sita France on the Board of Directors of Sita Lorraine (a Private Limited Company).
- ▶ Permanent Representative of Sita France on the Board of Directors of Sita Dectra (a Limited Company).
- ▶ Permanent Representative of Sita France on the Board of Directors of Recydem.
- ▶ Permanent Representative of Sita France on the Board of Directors of Cycleade (a Simplified Joint-Stock Company).
- ▶ Chairman of Osyllys (a Simplified Joint-Stock Company).
- ▶ Chairman of Ysee.
- ▶ Chairman of Sit'Alternatif (a Simplified Joint-Stock Company).
- ▶ Director of Val'Horizon (a Simplified Joint-Stock Company).
- ▶ Director of Sita Agora (a Limited Company).
- ▶ Director of Scori (a Limited Company).
- ▶ Executive Vice-President, Vice-Chairman of the Board of Directors and Permanent Representative of Sita France on the Board of Directors of Novergie (a Simplified Joint-Stock Company).
- ▶ Member and Chairman of the Board of Directors of Sita Centre Est (a Simplified Joint-Stock Company).
- ▶ Member and Chairman of the Board of Directors of Sita Nord (a Limited Company).
- ▶ Member and Chairman of the Board of Directors of Sita IDF (a Simplified Joint-Stock Company).
- ▶ Member of the Management Committee of Energylis (a Simplified Joint-Stock Company).
- ▶ Chairman of Ivry Paris XIII (a Simplified Joint-Stock Company).
- ▶ Chairman of CN'Air (a Simplified Joint-Stock Company).
- ▶ Member and Chairman of the Supervisory Board of Lyon Terminal (a Limited Company with an Executive Board and Supervisory Board) until 11 May 2016.
- ▶ Member and Chairman of the Board of Directors of SHEMA (a Limited Company) until 23 June 2016.
- ▶ Alternate director of the Fondation d'entreprise ENGIE until 13 October 2015.

Attendance rate at the Supervisory Board	67%
Attendance rate at the Nomination Committee	0%
Attendance rate at the Compensation Committee	N/A
Attendance rate at the Strategy Committee	50%

Marie-Pierre de BAILLIENCOURT, born in 1970

Independent member of the Supervisory Board from 22 October 2014 to 7 January 2016

Board Committees: Member of the Strategy Committee, Financial Statements Committee, Risk Committee, Nomination Committee and Compensation Committee until 7 January 2016.

Education: Holder of a doctorate in geopolitics (Paris) - PhD in International Affairs and Political Science

Biography

- From 1995 to 1997, Sherpa for the Secretary-General of the United Nations.
- From 1998 to 2001, Project Leader with the Chairman's Office, responsible for international development at Rexel (Pinault-Printemps-Redoute).
- From 2001 to 2004, Senior Consultant and then project manager at McKinsey & Company.
- From 2004 to 2010 at Dassault Systèmes, Chief of Staff for the Chief Executive Officer from 2004 to 2007 and Vice-President "Industry" from 2007 to 2010.
- From 2011 to 2012, established a consultancy in strategy and innovation, MPBC Conseil.
- From 2012 to 2014, Executive Vice-President at Bull.
- Since 2014, member of the Board of Directors of GTT (Gaztransport and Technigaz).
- Since January 2015, Executive Vice-President of the DCNS company, responsible for the Group's international development.
- Since 21 December 2015, member of the Board of Directors of La Poste.

Current appointments until 7 January 2016**Le Groupe La Poste companies**

- Director of La Poste (a Limited Company)

Companies outside Le Groupe La Poste

- Director, member of the Audit and Risk Management Committee and member of the Nomination and Compensation Committee of Gaztransport and Technigaz* (a Limited Company).
- Managing Director of MPBC Conseil (a Private Limited Company).
- Executive Vice President - Development of DCNS (a Limited Company).
- Chairman of the Board of Directors of DCNS Coopération (a Limited Company).
- Chairman of the Board of Directors of DCNS Malaysia (Company Limited by Shares).

Appointments that expired during the last five years

- Member of the Nomination, Compensation and Audit Committees of La Banque Postale (a Limited Company with Executive and Supervisory Boards).

Attendance rate at the Supervisory Board	N/A
Attendance rate at the Financial Statements Committee	N/A
Attendance rate at the Nomination Committee	N/A
Attendance rate at the Compensation Committee	N/A
Attendance rate at the Risk Committee	N/A
Attendance rate at the Strategy Committee	N/A

Philippe BAJOU, born in 1958**Permanent Representative of La Poste, member of the Supervisory Board****First appointment:** 5 April 2016**Appointment expiry date:** 26 February 2018**Board Committees:** None**Professional address:** La Poste -9 rue du Colonel Pierre Avia -75015 Paris**Education:** Graduate of ENSPTT - Degree in electronics (Paris XI)**Biography**

- ▶ Has worked within Le Groupe La Poste since 1982.
- ▶ Head of mission at the French Post and Telecommunications Ministry with the Director of Joint Projects in 1989, then various positions within the Financial Department of La Poste.
- ▶ Head of Financial Affairs and Investments for La Poste in 1995, responsible for the CCP (postal cheque accounts) fund management project from 1998.
- ▶ Chief Executive Officer of Etiposte in 2000.
- ▶ Member of the Executive Board of La Banque Postale from December 2005 to January 2013.
- ▶ Executive Vice President of Le Groupe La Poste and Chief Executive Officer of La Poste Network from December 2012 to June 2015.
- ▶ On 19 February 2015, became Executive Vice President responsible for the transformation of Le Groupe La Poste.
- ▶ And since 2 February 2016, General Secretary and Executive Vice President of Le Groupe La Poste.

Other current appointments**Le Groupe La Poste companies**

- ▶ Executive Vice President and since 2 February 2016 General Secretary of La Poste (a Limited Company),
- ▶ Chairman of the Board of Directors of Poste Immo (a Limited Company).
- ▶ Director of L'Envol, La Banque Postale's campus (a non-profit association).
- ▶ Director of Fondation La Poste.
- ▶ Member of the Strategy and Finance Committee of La Poste Telecom (a Simplified Joint-Stock Company).
- ▶ Director and member of the Nomination and Compensation Committee of Geopost (a Limited Company) since 11 April 2016.
- ▶ Chairman of the Supervisory Committee of Vehiposte (a Simplified Joint-Stock Company) since 17 March 2016.

Appointments that ended before 6 February 2017

- ▶ Representative of Poste Immo, Managing Director of the companies SCI (Limited Property Investment Partnership) 44 Vaugirard, SCI Activités Courrier Industriel, SCI Activités Annexes, SCI Activités Colis, SCI Activités Courrier de Proximité, SCCV (Property construction and sale company) Rue du Champ Macret Roye, SCCV Roye Nord, SCCV PI Marseille Colbert, SCCV PI 14, SCI PI Bordeaux - Tourville, SCI PI 11, SCI BP, SCI BP Mixte, SCI Centre de Loisirs, SCI PI Route du Moulin Bateau - Bonneuil, SCI La Bataille, SCI Logement, SCI Tertiaire, SCI Tertiaire Mixte, SCI Dom, SCI Arkadea Lyon Girondins, SCI Arkadea Marseille Saint Victor, SCI Arkadea Fort de France, SCI Arkadea Lyon Croix Rousse, SCI Arkadea Rennes Trigone, SC Pyxis, SCI Green Opale and SCI 51 La Boétie.
- ▶ Representative of Poste Immo, Chairman of the companies Poste Immo Invest, Ciposte, Locaposte, Immostoc and Poste Immo Développement (a Simplified Joint-Stock Company).
- ▶ Chief Executive Officer of Poste Immo (a Limited Company)

Companies outside Le Groupe La Poste

- ▶ None.

Appointments that expired during the last five years

- ▶ Director and member of the Supervisory Board of BPE (a Limited Company).
- ▶ Member and Chairman of the Directors Committee of Easybourse (a Simplified Joint-Stock Company).
- ▶ Member of the Executive Board of La Banque Postale Financement (a Limited Company with Executive and Supervisory Boards).
- ▶ Permanent Representative of SF2, director, member and Chairman of the Finance Committee of La Banque Postale Assurances IARD (a Limited Company).
- ▶ Member and Vice-Chairman of the Supervisory Board of La Banque Postale Asset Management (a Limited Company with Executive and Supervisory Boards).
- ▶ Member and Chairman of the Directors Committee and of the Audit and Risk Committee of La Banque Postale Crédit Entreprises (a Simplified Joint-Stock Company).
- ▶ Member and Chairman of the Supervisory Board of La Banque Postale Gestion Privée (a Limited Company with Executive and Supervisory Boards).
- ▶ Permanent Representative of La Banque Postale, director of the Office de Coordination Bancaire et Financière (Banking and Financial Coordination Office) (non-profit association).
- ▶ Member and Chairman of the Directors Committee of Titres-Cadeaux (a Simplified Joint-Stock Company).
- ▶ Member and Vice-Chairman of the Board of Transactis (a Simplified Joint-Stock Company).
- ▶ Permanent Representative of SF2, Director of Tocqueville Finance (a Limited Company).
- ▶ Permanent Representative of SF2, Director of Tocqueville Finance Holding (a Simplified Joint-Stock Company).
- ▶ Member and Vice-Chairman of the Scientific Committee of the École de La Banque et du Réseau.

Attendance rate at the Supervisory Board

100%

Virgile BERTOLA, born in 1972	
Member of the Supervisory Board	
First appointment: 19 February 2016	
Appointment expiry date: 26 February 2018	
Board Committees: Member of Strategy, Financial Statements, and Risk Committees	
Professional address: La Poste -9 rue du Colonel Pierre Avia -75015 Paris	
Education: Degree in Chartered Accountancy and DESS post-graduate degree in Corporate Finance (Paris–Dauphine University)	
Biography	
▶ From October 1996 to December 2003, manager at Andersen. ▶ From January 2004 to February 2007, Senior Manager at Deloitte. ▶ From March 2007 to April 2012, Manager of Financial Control and Consolidation, reporting to the Executive Vice President – Finance and Administration at Nexans. ▶ From May 2012 to March 2016, Manager of Financial Control of Le Groupe La Poste reporting to the Executive Vice President responsible for group finance and development: monitoring the performance of the various branches, including La Banque Postale. ▶ Since 1 March 2016, Director of Strategy, Outlook and Innovation for Le Groupe La Poste.	
Other current appointments	
Le Groupe La Poste companies	
▶ Director of Strategy, Outlook and Innovation for La Poste (a Limited Company) since 1 March 2016. ▶ Member of the Supervisory Board of Siparex Proximité Innovation (a Simplified Joint-Stock Company).	
Companies outside Le Groupe La Poste	
▶ None	
Appointments that expired during the last five years	
▶ None.	
Attendance rate at the Supervisory Board	100%
Attendance rate at the Financial Statements Committee	100%
Attendance rate at the Risk Committee	100%
Attendance rate at the Strategy Committee	50%
Nathalie DIERYCKXVISSCHERS, born in 1974	
Member of the Supervisory Board from 2 October 2014 to 25 May 2016 and since then	
Permanent Representative of the French Government, Member of the Supervisory Board	
First appointment: 21 October 2014	
Appointment expiry date: 26 February 2018	
Board Committees: Member of the Strategy, Financial Statements, Risk, Nomination and Compensation Committees	
Professional address: Ministry of Economy and Finance, French Investments Agency (APE) –139, rue de Bercy Télédéc 228 – 75572 Paris cedex 12	
Education: Holder of a DEA (Research Master's) in private wealth law - Former student at the École Normale Supérieure de Cachan - Former student at the ENA – Certificate of aptitude for the profession of lawyer (CAPA) - Associate Professor in economics and management	
Biography	
▶ From 1998 to 1999, Associate Professor in economics and management in a secondary school. ▶ From September 1999 to May 2001, legal expert then lawyer specialising in business law at the firm Chaillot Miellat in Paris. ▶ From May 2001 to August 2005, Project Leader with the Energy Regulatory Commission. ▶ From September 2004 to May 2010, at the Ministry of Economy, Finance and Industry, legal consultant to the Industrial and Financial Law Office of the Legal Affairs Division (September 2004 to October 2005) and Assistant to the Head of the Office of Insurance Companies and Brokers with the French Treasury Department (April 2009 to May 2010). ▶ From September 2010 to August 2014, Assistant Financial Advisor for the Commonwealth of Independent States and Georgia at the French Embassy in Russia. ▶ Since August 2014, Manager of Holdings in the Services and Finances Equity Department of the French Investment Agency (APE).	
Other current appointments	
Le Groupe La Poste companies	
▶ None.	
Companies outside Le Groupe La Poste	
▶ Head of Holdings with the Department of Holdings in the Services and Finance Section of the Government Holdings Agency. ▶ Representative of the French Government, member of the Supervisory Board and the Audit Committee of the Montpellier-Mediterranean Airport (a Limited Company with an Executive Board and Supervisory Board).	
Appointments that expired during the last five years	
▶ Member of the Audit Committee, and until 25 May 2016 member representing the French Government on the Supervisory Board of La Banque Postale (a Limited Company with an Executive Board and Supervisory Board).	
Attendance rate at the Supervisory Board	86%
Attendance rate at the Financial Statements Committee	100%
Attendance rate at the Risk Committee	100%
Attendance rate at the Nomination Committee	100%
Attendance rate at the Compensation Committee	100%
Attendance rate at the Strategy Committee	50%

Jean-Paul FORCEVILLE, born in 1957**Member of the Supervisory Board from 25 August 2014 to 15 April 2016****Board Committees:** None**Education:** Graduated from the ESC in Paris and the ENSPTT**Biography**

- ▶ Has pursued a career within Le Groupe La Poste since 1979, particularly in charge of various functions in the areas of sales and communication, and also worked for the Financial Department.
- ▶ From 1990 to 1992, Technical Advisor for Budget, Finance and Planning in French Ministry for Post, Telecommunications and Space.
- ▶ In 1992, Chief Executive Officer of Sofipost, a subsidiary of La Poste.
- ▶ In 1995, Deputy Head of La Poste's Strategic Division and, in 1998, Chief of Staff to the Chairman and Chief Executive Officer of Le Groupe La Poste.
- ▶ From 1997 to 1998, Technical Advisor to the Minister for Civil Service, Government Reform and Decentralisation.
- ▶ In 2001, Head of External Relations, and in 2004, Head of European and International Affairs of Le Groupe La Poste.
- ▶ From May 2014, Head of European and National Regulation, while also retaining his duties as Head of External Relations.
- ▶ From 1 January 2015 to 15 April 2016, Head of Regulation and Institutional and European Affairs of Le Groupe La Poste.

Current appointments until 15 April 2016**Le Groupe La Poste companies**

- ▶ Head of Regulation and Institutional and European Affairs of La Poste (a Limited Company).
- ▶ Director of Sofrepost (a Limited Company).
- ▶ Director of La Poste Global Mail (a Simplified Joint-Stock Company).
- ▶ Chairman of the Board of Directors of Posteurop (a non-profit association).
- ▶ Director of Mediapost Vietnam (a Vietnamese company).
- ▶ Director of Asienda Management (a Simplified Joint-Stock Company).
- ▶ Director of Asendia Holding (a Swiss company).

Companies outside Le Groupe La Poste

- ▶ None.

Appointments that expired during the last five years

- ▶ Chairman of the Board of Directors and then Chairman and Chief Executive Officer of Sofrepost (a Limited Company).
- ▶ Member and Chairman of the Board of Directors of Mediapost Vietnam (a Vietnamese company).

Attendance rate at the Supervisory Board

100%

Sylvie FRANÇOIS, born in 1954**Member of the Supervisory Board****First appointment:** 15 April 2016**Appointment expiry date:** 26 February 2018**Board Committees:** Member of the Nomination and Compensation Committees**Professional address:** La Poste -9 rue du Colonel Pierre Avia - 75015 Paris**Education:** Graduate of IEP Paris - former student at the ENA - Holds a degree in law and a DEA (Research Master's) in labour law**Biography**

- ▶ From 1980 to 1997, alternated between ministerial office positions and positions of responsibility in the administration: Office Manager for the Employment Division at the Labour Ministry in 1980, Technical Advisor to the Office of the Minister of Social Affairs and Health in 1983, Chief of Staff for the Secretary of State for Technological and Technical Education from 1985 to 1986 and from 1988 to 1989, Technical Advisor responsible for the renewal of the public service with Michel Rocard from 1989 to 1992 and Deputy Director of Training Courses at the Ministry of Higher Education and Research from 1992 to 1997.
- ▶ From 1997 to February 2008, Head of Human Resources and member of the Executive Committee of CCF-HSBC France.
- ▶ From February 2008 to September 2012, Head of Human Resources for La Banque Postale and its financial services.
- ▶ Since September 2012, Executive Vice President, Head of Human Resources and Employee Relations for Le Groupe La Poste.

Other current appointments**Le Groupe La Poste companies**

- ▶ Executive Vice President responsible for human resources and employee relations for La Poste (a Limited Company).

Companies outside Le Groupe La Poste

- ▶ Director of La Mutuelle Générale (a Mutual Insurance Company).
- ▶ Director and member of the Economics and Strategy Committee of the RATP (a Public and Commercial Company) since 12 July 2016.

Appointments that expired during the last five years

- ▶ Director of the Sicav (UCITS) LBPAM Responsable Actions Euro.

Attendance rate at the Supervisory Board

100%

Attendance rate at the Nomination Committee

100%

Attendance rate at the Compensation Committee

N/A

Thierry FRESLON, born in 1968 Employee representative member of the Supervisory Board First appointment: ¹ December 2015 Appointment expiry date: 26 February 2018 Board Committees: Member of Financial Statements and Risk Committees Professional address: AVEA – 8, rue Brillat Savarin – 75013 Paris Education: Certificate in Economics and Employee Relations, IEP Paris – CESB and CESA, HEC DECF – Advanced vocational training certificate in accounting and business management, distinction in English	Biography ▶ Pursued a career in property firms and companies and, in particular, as an accountant and treasurer from 1990 to 1994. ▶ Joined Le Groupe La Poste in 1995 and, in particular, was Assistant Chief Accountant of the Group Central Treasury Department from 1996 to 1999. ▶ From 2000 to 2005, Manager of bank-related accounting, then central accounting at Efposte. ▶ From 2006 to 2011, Special Advisor to the Accounting Department of La Banque Postale and, in parallel, Secretary of the Works Council. ▶ From 2012 to 31 December 2015, Manager of Internal Control Procedures and General Resources at Transactis. ▶ Since 1 December 2015, Employee Representative on the Supervisory Board of La Banque Postale. ▶ Since January 2016, Chairman of AVEA, a non-profit association of Le Groupe La Poste.
Other current appointments Le Groupe La Poste companies ▶ Chairman of AVEA (non-profit association) since January 2016. Companies outside Le Groupe La Poste ▶ None. Attendance rate at the Supervisory Board 86% Attendance rate at the Financial Statements Committee 100% Attendance rate at the Risk Committee 83%	Appointments that expired during the last five years ▶ None.
Jean-Robert LARANGE, born in 1954 Employee representative member of the Supervisory Board First appointment: 27 February 2008 Appointment expiry date: 26 February 2018 Board Committees: None Professional address: La Banque Postale – 115, rue de Sèvres – 75275 Paris cedex 06 Education: Graduate of the Institut supérieur du commerce International (ISCID-IFCE) and holder of a Master's degree in International Affairs from EDHEC	Biography ▶ Held sales and marketing positions at a number of companies (including Thomson-CSF, Alliance.com, and Iris Développement). ▶ Joined La Poste Group in 2002 as the Head of Business Finance Sales Development in the Paris and Île-de-France Financial Centre, then made responsible for monitoring Internal Audit Department recommendations at La Banque Postale. ▶ Head of Banking Services in the jointly managed La Poste Network and in non-Post Office entities from 2006 to July 2014. ▶ Since July 2014, seconded to the ADIE Sud-Ouest, which manages the partnership between La Banque Postale and ADIE and the professional coaching of entrepreneurs and business creators.
Other current appointments Le Groupe La Poste companies ▶ None. Companies outside Le Groupe La Poste ▶ None. Attendance rate at the Supervisory Board 86%	Appointments that expired during the last five years ▶ Member of the Strategy Committee of La Banque Postale (a Limited Company with an Executive Board and a Supervisory Board).

Georges LEFEBVRE, born in 1952

Permanent Representative of La Poste, member of the Supervisory Board from 12 December 2005 to 5 April 2016.

Board Committees: None

Education: Degree in Mathematics – Graduate of the ENSPTT

Biography

- ▶ Pursued a career in the French Post Office and Telecommunications Service, including appointments as Head of Human Resources, then as a Civil Service Administrator.
- ▶ Joined La Poste's Executive Management team in 1991, with responsibility for the employee relations aspects of the change of status.
- ▶ Head of Human Resources and Employee Relations at Le Groupe La Poste since 1998, and member of the Executive Committee.
- ▶ Chief Executive Officer of Le Groupe La Poste, Head of Human Resources and Employee Relations and member of the Executive Committee from 2002 to 2010.
- ▶ From March 2010 to August 2012, General Representative and Head of Human Resources and Employee Relations at Le Groupe La Poste, and member of the Executive Committee.
- ▶ Since September 2012, General Representative of Le Groupe La Poste responsible for Group Cohesion and Unity.
- ▶ From 1 September 2015 to 31 January 2016, General Representative of Le Groupe La Poste responsible for cross-functional policies and Group cohesion.
- ▶ From 1 February 2016 to 5 April 2016, General Representative of Le Groupe La Poste responsible for supporting the social and solidarity economy.

Current appointments until 5 April 2016**Le Groupe La Poste companies**

- ▶ General Representative of Le Groupe La Poste, responsible for supporting the social and solidarity economy.
- ▶ Director and member of the Nomination and Compensation Committee of GeoPost (a Limited Company).
- ▶ Director and member of the Nomination and Compensation Committee of Poste Immo (a Limited Company).
- ▶ Chairman of the Supervisory Committee of Vehiposte (a Simplified Joint-Stock Company).

Companies outside Le Groupe La Poste

- ▶ None.

Attendance rate at the Supervisory Board

100%

Appointments that expired during the last five years

- ▶ Director and member of the Nomination and Compensation Committee of Sofipost (a Limited Company).
- ▶ Member and Chairman of the following UCITS: "LBPAM Actions Europe Monde", "LBPAM Profil 50", "LBPAM Actions 80", and "LBPAM Profil 15".
- ▶ Member of the Nomination and Compensation Committee, then member of the Nomination Committee and the Compensation Committee of La Banque Postale (a Limited Company with Executive and Supervisory Boards).

Catherine LE FLOCH, born in 1976

Member of the Supervisory Board from 22 October 2014 to 18 February 2016

Board Committees: Member of the Strategy, the Financial Statements and the Risk Committees until 18 February 2016

Education: Graduate of the Ecole nationale supérieure de l'aéronautique et de l'espace (National Graduate School of Aeronautics and Space) (SUPAERO) - Engineering degree and master's degree in business engineering

Biography

- ▶ From 2000 to 2009, senior manager at A.T. Kearney.
- ▶ From 2009 to 2014, Head of Strategy then Head of Strategy and Sustainable Development for Poste Immo.
- ▶ From September 2014 to 15 January 2016, Head of Strategy, Outlook and Innovation at Le Groupe La Poste.
- ▶ From 18 January 2016, Head of Purchasing at Le Groupe La Poste.

Current appointments until 18 February 2016**Le Groupe La Poste companies**

- ▶ Member of the Management Committee of Maileva (a Simplified Joint-Stock Company).

Companies outside Le Groupe La Poste

- ▶ None.

Attendance rate at the Supervisory Board

N/A

Attendance rate at the Financial Statements Committee

0%

Attendance rate at the Risk Committee

0%

Attendance rate at the Strategy Committee

N/A

Appointments that expired during the last five years

- ▶ None.

Sophie LOMBARD, born in 1969**Independent member of the Supervisory Board****First appointment:** 15 April 2016**Appointment expiry date:** 26 February 2018**Board Committees:** Member of the Strategy, Financial Statements, Risk and Nomination Committees and Chairman of the Compensation Committee**Professional address:** -**Education:** Graduate of the EDHEC Business School - MBA from Columbia Business School, NY**Biography**

- ▶ From 1992 to 1995, at Société Générale, marketing and commercialisation of structured rate products for customers in France, Switzerland and Benelux (capital markets, options division).
- ▶ From 1997 to 2001, at Deutsche Bank, Associate then Vice-Chairman, in London and Paris.
- ▶ From 2001 to 2012, at PAI Partners: deal-making and monitoring investments in the consumer goods and distribution sector:
 - From 2001 to 2009, Investment Director then Principal
 - From 2010 to 2012, Partner
- ▶ From 2013 to 2017, founder and Managing Director of Eloa Conseil, advisor on strategy and investments with investment funds.
- ▶ Since the start of 2017, Partner Parvilla.

Other current appointments**Le Groupe La Poste companies**

- ▶ None.

Companies outside Le Groupe La Poste

- ▶ Director, member of the Audit Committee and Nomination and Compensation Committee of Kaufman et Broad (a Limited Company).
- ▶ Managing Director of Eloa Conseil (a Private Limited Company)
- ▶ Member of the Investment Committee of Citizen Capital (Fund).
- ▶ Member of PAI Human Capital (Endowment Fund).
- ▶ Member of the Strategy Committee of the Centre TedyBear (a Simplified Joint-Stock Company) since 28 September 2016.

Appointments that expired during the last five years

- ▶ Director of Marcolin (a Limited Company).
- ▶ Executive Vice President and director of Financière Gaillon 8 (a Limited Company) until 8 September 2016.

Attendance rate at the Supervisory Board	100%
Attendance rate at the Financial Statements Committee	100%
Attendance rate at the Risk Committee	100%
Attendance rate at the Nomination Committee	100%
Attendance rate at the Compensation Committee	N/A
Attendance rate at the Strategy Committee	100%

Steeve MAIGNE, born in 1969**Employee representative member of the Supervisory Board****First appointment:** 27 February 2008**Appointment expiry date:** 26 February 2018**Board Committees:** Member of Financial Statements and Risk Committees**Professional address:** La Banque Postale – 115, rue de Sèvres – 75275 Paris cedex 06**Education:** Background in sales and finance**Biography**

- ▶ Pursued a career at Le Groupe La Poste as a Financial Advisor, and then as a Customer Service Manager from 1998 to 2004.
- ▶ Regional secretary for the Paris/Île-de-France CFE-CGC trade union, responsible for the La Poste General Public Network, member of La Poste's Employee-Relations Committees until 2007.
- ▶ Employee representative on the Supervisory Board of the La Poste Employee Savings Fund until 2007.
- ▶ From 2008 to 2013, Head of the Internal Synergies Project within La Banque Postale's Social and Local Economy Department.
- ▶ Since 2013, Quality Manager for the Compliance Department of La Banque Postale.

Other current appointments**Le Groupe La Poste companies**

- ▶ None.

Companies outside Le Groupe La Poste

- ▶ Alternate Director and member of the financial and markets commissions at Urssaf Ile de France.
- ▶ Permanent member of the Instance Paritaire Territoriale (Territorial Joint Body) of the Paris Ile de France Employment Office since 1 September 2016.

Appointments that expired during the last five years

- ▶ Member of the Audit Committee of La Banque Postale (a Limited Company with an Executive Board and Supervisory Board).
- ▶ Director of Logipostel (a rent-controlled housing production company) until 30 September 2016.

Attendance rate at the Supervisory Board	100%
Attendance rate at the Financial Statements Committee	100%
Attendance rate at the Risk Committee	100%

Christiane MARCELLIER, born in 1956

Member of the Supervisory Board from 23 September 2014 to 15 April 2016

Board Committees: Member of the Strategy Committee, Financial Statements Committee, Risk Committee, Nomination Committee and Chairman of the Compensation Committee until 15 April 2016.

Education: Holder of a master's degree in applied economics and an undergraduate diploma in mathematics for decision-making, both from Paris IX Dauphine University

Biography

- ▶ Financial Analyst and Head of Research successively at DAFSA, HSBC, then NatWest, from 1982 to 1997.
- ▶ Pursued a career in the Strategy and Development Department within the Executive Management of Paribas.
- ▶ Member of the Executive Committee of the Caisse Nationale des Caisses d'Épargne (CNCE) between 2000 and 2004, in charge of the Strategy Department and then of the Insurance Division.
- ▶ Head of Development, Strategy and Synergies for France and Latin Europe at ABN Amro from 2005 to 2007.
- ▶ Founded JD4C Conseil in 2008, a mergers and acquisitions consultancy company - for the banking, insurance and property sectors.
- ▶ From 2013 to 2014, Deputy Chief Executive Officer at Financière de Courcelles, then Senior Advisor in 2015.
- ▶ Since January 2016, Chairman of Groupe Financière CEP.

Current appointments until 15 April 2016**Le Groupe La Poste companies**

- ▶ Member of the Supervisory Board, member of the Audit Committee and Chairman of the Nomination and Compensation Committee of La Banque Postale Asset Management, (a Limited Company with Executive and Supervisory Boards).

Companies outside Le Groupe La Poste

- ▶ Managing Partner of JD4C Conseil (a Private Limited Company).
- ▶ Chairman of the Executive Board of Financière Holding CEP (a Simplified Joint-Stock Company) since 7 January 2016.

Appointments that expired during the last five years

- ▶ Member of the Supervisory Board and Chairman of the Audit Committee of Infovista (a Limited Company).
- ▶ Member of the Audit, Nomination and Compensation Committee of La Banque Postale (a Limited Company with Executive and Supervisory Boards).
- ▶ Chairman of the Audit Committee of La Banque Postale Asset Management (a Limited Company with Executive Board and Supervisory Board).
- ▶ Director and member of the Audit and Internal Control, Nomination and Compensation Committees of GFI Informatique (a Limited Company)*.
- ▶ Director, member of the Strategy and Nomination Committees of Financière Holding CEP (a Simplified Joint-Stock Company) until 7 January 2016.
- ▶ Director of Axa Assurances IARD (a Mutual Insurance Company) until 15 January 2016.
- ▶ Director of Axa Assurances Mutuelle Vie (a Mutual Insurance Company) until 15 January 2016.

Attendance rate at the Supervisory Board	100%
Attendance rate at the Financial Statements Committee	100%
Attendance rate at the Risk Committee	100%
Attendance rate at the Nomination Committee	100%
Attendance rate at the Compensation Committee	100%
Attendance rate at the Strategy Committee	N/A

Françoise PAGET BITSCH, born in 1957

Employee representative member of the Supervisory Board

First appointment: 11 March 2009

Appointment expiry date: 26 February 2018

Board Committees: Member of the Strategy Committee

Professional address: La Banque Postale – 115, rue de Sèvres – 75275 Paris cedex 06

Education: Degree in fluid mechanics (University of Aix-Marseille)

Biography

- ▶ Joined Le Groupe La Poste in 1979 as a branch management executive.
- ▶ Held positions as Business Development Manager, Deputy Branch Manager and then Branch Manager until 1994.
- ▶ Delegate management auditor until 2001, then more specifically in charge of implementation and supervision of the management cycle for the Management Contracts Division.
- ▶ Project leader for the switch to the euro in the Vaucluse Department.
- ▶ Departmental management auditor in the area of mail.
- ▶ Since 2006, Banking Controller at RTB Méditerranée.

Other current appointments**Le Groupe La Poste companies**

- ▶ None.

Companies outside Le Groupe La Poste

- ▶ None.

Appointments that expired during the last five years

- ▶ None.

Attendance rate at the Supervisory Board	71%
Attendance rate at the Strategy Committee	100%

Didier RIBADEAU DUMAS, born in 1946**Independent member of the Supervisory Board****First appointment:** 13 February 2006**Appointment expiry date:** 26 February 2018**Board Committees:** Member of the Strategy and the Compensation Committees, Chairman of the Financial Statements and Nomination Committees.**Professional address:** -**Education:** Former student at the ENA – Law degree**Biography**

- ▶ Pursued a career at the French Ministry of the Economy and Finance from 1971 to 1984; Deputy-Director at the Treasury from 1981 to 1984.
- ▶ Chief Executive Officer of a CIC group bank until 1989.
- ▶ Vice-Chairman, then Senior Vice-Chairman at the Paris office of the Boston Consulting Group until 2006.
- ▶ Managing Partner of DRD Conseil (2006-2012) and partner in Courcelles (2007-2012).

Other current appointments**Le Groupe La Poste companies**

- ▶ Director, Chairman of the Nomination and Compensation Committee, member of the Strategy Committee and the Audit Committee of Poste Immo (a Limited Company).
- ▶ Member of the Supervisory Board of BPE (a Limited Company).

Companies outside Le Groupe La Poste

- ▶ Managing Partner of Sauvigny (a Limited Property Investment Partnership).
- ▶ Representative of ABC Arbitrage on the Board of Directors of ABC Asset Management (a Limited Company).
- ▶ Director of ABC Arbitrage (a Limited Company).
- ▶ Member of the Supervisory Committee of Comgest (a Limited Company).

Appointments that expired during the last five years

- ▶ Managing Director of DRD Conseil (a Private Limited Company).
- ▶ Non-voting advisor of ABC Arbitrage (a Limited Company).
- ▶ Director of La Mondiale (a Mutual Insurance Company).
- ▶ Director of AG2R La Mondiale (a Mutual Group Insurance Company).
- ▶ Chairman of the Audit Committee and of the Nomination and Compensation Committee of La Banque Postale (a Limited Company with Executive and Supervisory Boards).

Attendance rate at the Supervisory Board	86%
Attendance rate at the Financial Statements Committee	100%
Attendance rate at the Risk Committee	100%
Attendance rate at the Nomination Committee	100%
Attendance rate at the Compensation Committee	100%
Attendance rate at the Strategy Committee	50%

Nicolas ROUTIER, born in 1963**Member of the Supervisory Board****First appointment:** 30 July 2015 (effective from 1 September 2015)**Appointment expiry date:** 26 February 2018**Board Committees:** None**Professional address:** La Poste -9 rue du Colonel Avia 75015 Paris**Education:** Graduated from the IEP in Paris and the ENSPTT - Degree in economics**Biography**

- ▶ Has worked within Le Groupe La Poste since 1988. From 1988 to 1991, Strategic Planning Manager and Economic and Financial Strategy Manager then, from 1991 to 1994, Head of the Management Control Service in the Group Financial Department.
- ▶ In 1994, Head of La Poste de l'Oise.
- ▶ In 1997, member of La Poste's Operational Committee. Creation of the Purchasing Department, becoming Head of it until 2001.
- ▶ In parallel, from 1998 to 2001, Head of Management Control.
- ▶ From 2001, Head of Strategy, member of the Executive Committee and from mid-2002, Executive Vice President, Group Strategic Development.
- ▶ From 2004 to 2009, Advisor to the Group Chairman. Also in 2004 became Chairman of the Direct Distribution Trade Association.
- ▶ From March 2009 to June 2014, Chief Executive Officer, Mail. Also appointed Chairman of the Postal Operators Trade Association.
- ▶ From July 2014 to September 2015, Executive Vice-President of Le Groupe La Poste and Chief Executive Officer of Mail and Parcel Services.
- ▶ Since 7 September 2015, Executive Vice President of Le Groupe La Poste responsible for institutional strategy and regulation.

Other current appointments**Le Groupe La Poste companies**

- ▶ Executive Vice President responsible for institutional strategy and regulation for La Poste (a Limited Company).
- ▶ Director of Geopost (a Limited Company).
- ▶ Director of Poste Immo (a Limited Company).
- ▶ Member of the Supervisory Board of Véhiposte (a Simplified Joint-Stock Company).

Companies outside Le Groupe La Poste

- ▶ None.

Appointments that expired during the last five years

- ▶ Director and member of the Policy Committee of Docapost (a Simplified Joint-Stock Company).
- ▶ Director and Chairman of the Board of Directors of Sofipost (a Limited Company).
- ▶ Member and Vice-Chairman of the Board of Directors of Asendia Holding AG (a Swiss company).
- ▶ Member and Vice-Chairman of the Board of Directors of Asendia Management (a Simplified Joint-Stock Company).
- ▶ Member of the Policy Committee of Mediapost Holding (a Simplified Joint-Stock Company).
- ▶ Director of La Poste Global Mail (a Simplified Joint-Stock Company).
- ▶ Member of the Policy Committee of Viapost (a Simplified Joint-Stock Company).
- ▶ Member of the Supervisory Board of Fret GV (a Simplified Joint-Stock Company).

Attendance rate at the Supervisory Board	100%
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Hélène WOLFF, born in 1955**Employee representative member of the Supervisory Board****First appointment:** 26 October 2006**Appointment expiry date:** 26 February 2018**Board Committees:** Member of the Strategy, Nomination and Compensation Committees**Professional address:** La Banque Postale – 115, rue de Sèvres – 75275 Paris cedex 06**Education:** DEA (Master of advanced studies) in International Economics, DESS (specialised Master) in Financial Markets, DEA in Energy Economics**Biography**

- ▶ Marketing Manager at Crédit Mutuel until 1988, then held a number of management positions in financial companies.
- ▶ Joined Le Groupe La Poste in 1993, occupying a number of positions, including Accounting Planner, and Project Manager in the payroll and banking process units.
- ▶ Since 2006, Head of Project Management Assistance in La Banque Postale, then Project Quality Manager.

Other current appointments**Le Groupe La Poste companies**

- ▶ None.

Companies outside Le Groupe La Poste

- ▶ None.

Appointments that expired during the last five years

- ▶ Member of the Audit Committee and Nomination and Compensation Committee of La Banque Postale (a Limited Company with Executive and Supervisory Boards).

Attendance rate at the Supervisory Board	0%*
Attendance rate at the Nomination Committee	0%*
Attendance rate at the Compensation Committee	0%*
Attendance rate at the Strategy Committee	0%*

* On long-term leave.

Dominique BOCQUET, born in 1957**Government Commissioner****First appointment:** By decree of 21 December 2012 published in the Official Journal of 11 January 2013**Professional address:** Ministry of the Economy, Finance and Industry, 139 rue de Bercy – 75006 Paris Cedex 12**Education:** Graduate of the IEP Paris – Former student at the ENA (Promotion Solidarité [Solidarity class])**Published works:**

Génération Europe (Editions François Bourin, 1989).

France-Allemagne un couple en panne d'idées

(Fondation Saint-Simon, 1996)

Pour une mondialisation raisonnée, Les révolutions discrètes de l'OCDE (La Documentation Française, 2012).

Biography

- ▶ Special Advisor at the Treasury Department, French Ministry of Economy and Finance (1987-1990).
- ▶ General Secretary of the Mouvement Européen France from 1991 to 1996.
- ▶ From 1996 to 2000, Financial advisor for Africa (Treasury Department) and member of the Central African Banking Commission (Bank of Central African States).
- ▶ Head of Cabinet for the Cooperation and French Language Minister in 2000.
- ▶ Financial Adviser Minister to the French delegation to the OECD between 2003 and 2008.
- ▶ Head of the Economic Department of the French Embassy in Morocco between 2008 and 2012.
- ▶ Since 2013, Economic and Financial Auditor General at the French Treasury Department, Government Commissioner to La Banque Postale and the Sociétés de financement du cinéma (SOFICA) and the rental unit guarantee fund (CGLLS).

Assessment of the notion of independent member

Since La Banque Postale was founded, its Supervisory Board has used the general definition in the Afep/Medef Code to assess the independence of its members. Members of the Supervisory Board are therefore considered to be independent as long as they have no relationship of any kind with the Company, its parent Group or its management that is likely to compromise their freedom of judgement.

Independence is reviewed each year by the Nomination Committee, which presents its findings to the Supervisory Board. The latter, in accordance with the findings made by the Nomination Committee which reviewed the members' independence in the light of the new recommendations of the Afep/Medef Code, confirmed in February 2017 the independence of three members of the Board: Elisabeth Ayrault, Sophie Lombard and Didier Ribadeau Dumas.

	Criterion 1	Criterion 2	Criterion 3	Criterion 4	Criterion 5	Criterion 6	Criterion 7
Philippe Wahl, Chairman of the Supervisory Board	x	x	ok	ok	ok	ok	x
Yves Brassart, Vice-Chairman of the Supervisory Board	x	ok	ok	ok	ok	ok	x
Elisabeth Ayrault	ok	ok	ok	ok	ok	ok	ok
La Poste, represented by Philippe Bajou	x	ok	ok	ok	ok	ok	x
Virgile Bertola	x	ok	ok	ok	ok	ok	x
Sylvie François	x	ok	ok	ok	ok	ok	x
Nicolas Routier	x	ok	ok	ok	ok	ok	x
Didier Ribadeau Dumas	x	ok	ok	ok	ok	ok	ok
Sophie Lombard	ok	ok	ok	ok	ok	ok	ok
The French Government, represented by Nathalie Dieryckxviisschers	ok	ok	ok	ok	ok	ok	x

Key:

"ok" represents an independence criterion that is complied with according to the Afep/Medef criteria.

"x" represents an independence criterion that is not satisfied according to the criteria of the Afep/Medef Code.

Criterion 1: Not having been an employee or corporate officer during the past five years.

Criterion 2: Not holding cross directorships.

Criterion 3: Not having significant business relationships.

Criterion 4: Not having close family ties with a corporate officer.

Criterion 5: Not having been statutory auditor of the Company during the past five years.

Criterion 6: Not having been a director of the Company for more than 12 years.

Criterion 7: Not being a representative of a major shareholder.

Didier Ribadeau Dumas holds two offices in other Le Groupe La Poste companies, but it was considered that these offices do not undermine his independence.

If a conflict of interest occurs, Didier Ribadeau Dumas must, in accordance with the Board Member's Charter which he signed when appointed:

- ▶ abstain from taking part in the discussions and from any decision on the issues in question, if the conflict of interest is temporary;
- ▶ take all measures aimed at ending said conflict of interest, including tendering his resignation as a Board member to the Chairman of the Supervisory Board, if it turns out that the conflict of interest is ongoing.

Furthermore, by signing the aforementioned charter, Didier Ribadeau Dumas undertook to avoid any conflict that may exist between his material or moral interests and those of La Banque Postale and any of its subsidiaries.

Role of the Supervisory Board

The Supervisory Board holds powers in particular under the French Commercial Code, the French Monetary and Financial Code, the decree of 3 November 2014 on the internal control of banking sector companies, payment services and investment services supervised by the French Prudential Supervision and Resolution Authority (ACPR), and under the Company's Articles of Association.

The Supervisory Board deliberates upon major strategic, economic, financial and technological orientations of the Company, prior to the decisions of the Executive Board on these topics.

It reviews the corporate governance plan and evaluates its effectiveness. It approves and regularly reviews the strategies and policies governing the taking, management, monitoring and reducing of risks. It determines the guidelines and monitors the implementation of the supervision systems and reviews the internal control activity and results.

It provides ongoing supervision of the way in which the Executive Board manages the Company and grants prior approval for transactions that the latter cannot carry out without its permission, in accordance with Article 14 of the Articles of Association.

The Supervisory Board checks and audits the financial statements. It appoints the members of the Executive Board, sets their remuneration in accordance with the decree of 9 August 1953 amended on 26 October 2012, and also has the power to dismiss them, in accordance with Article 12 of the Articles of Association.

Internal rules and Charter

The Supervisory Board has adopted internal rules, which govern and determine the preparation and organisation of its work. These internal rules are updated on a regular basis, in order to be compliant with legal and regulatory changes, as well as corporate governance recommendations and best practices. The Board has also adopted the "Supervisory Board Members' Charter", which outlines the rights and obligations of Board members. The internal rules and the Supervisory Board Members' Charter are contained in Chapter 9 of this Registration Document.

Conditions governing the preparation and structure of the work performed by the Board

The Supervisory Board meets at least four times a year. Meeting agendas are approved by the Chairman depending on issues the Board is legally required to review or matters reported to the Board concerning the Bank's operations and strategic choices.

The Board members are invited to attend at least ten days before the meeting. At least six days before Board meetings, the agenda, the meeting minutes of the previous meeting and any other documents needed to support the agenda, are sent to the Board members.

Supervisory Board meetings last three hours on average.

The items for discussion are presented by a member of the Executive Board or, if applicable, by the person responsible for them. Presentations are followed by an exchange of views, following which the Board issues an opinion as necessary.

The Company Secretary draws up draft minutes of the meeting, and then submits them to the Board members for approval at the beginning of the next meeting.

To support the Board's work, two strategic seminars bringing together Supervisory Board participants were organised in 2016. They focused on the following issues:

- ▶ the 2016-2018 trajectory and the strategic drivers;
- ▶ the information technology projects;
- ▶ Insurance Division;
- ▶ the strategy related to means of payment;

- ▶ the CSR strategy;
- ▶ inspection of operational sites (customer relations centre, back office, etc.) and meeting with the Network's stakeholders.

In addition, two Risk Committee seminars, to which all members of the Supervisory Board were invited, were organised. These seminars concerned in particular:

- ▶ the organisation of supervision by the European Central Bank;
- ▶ the bank evaluation method (SREP – Supervisory Review and Evaluation Process);
- ▶ the risk tolerance framework (RAF - Risk Appetite Framework);
- ▶ the processes for assessing internal capital adequacy (ICAAP – Internal Capital Adequacy Assessment Process) and internal liquidity adequacy (ILAAP – Internal Liquidity Adequacy Assessment Process);
- ▶ market activities and their supervision system;
- ▶ operational risks and their management system.

Activities of the Board in 2016

The Supervisory Board met seven times during the 2016 financial year with an average attendance rate of 91% (excluding periods of long-term leave).

In addition to the Board members themselves, the Government Commissioner, the Works Council Secretary and the Chief Financial Officer, certain heads of La Banque Postale occasionally participated in the Board meetings depending on points in the agenda. The statutory auditors attended those meetings where the annual and half-year financial statements were presented.

During 2016, the work performed by the Board focused primarily on the following issues:

Strategy:

- ▶ the Bank's strategic directions;
- ▶ trajectory and strategic drivers;
- ▶ CSR strategy (corporate social and environmental responsibility);
- ▶ project for starting up a new subsidiary/Project preparing the bank of tomorrow;
- ▶ news and payments strategy;
- ▶ banking accessibility;
- ▶ monitoring reorganisation, growth and partnership activities;
- ▶ partnership and external growth projects;
- ▶ strategic development of certain subsidiaries.

Governance - Operation of the Supervisory Board:

- ▶ appointment of a new member of the Executive Board;
- ▶ change in the composition of the Supervisory Board and its committees;
- ▶ independence of the Supervisory Board members;
- ▶ amendment of the internal rules of the Supervisory Board;
- ▶ remuneration of Executive Board members;
- ▶ La Banque Postale's remuneration policy;
- ▶ report prepared pursuant to Article 266 of the decree of 3 November 2014;
- ▶ update on the operation of the Supervisory Board and its committees.

The Bank's business activity:

- ▶ quarterly business reports;

- ▶ overview of the annual and consolidated 2015 financial statements, together with the proposed appropriation of net income and the Executive Board's management report;
- ▶ overview of the half-year financial statements and the half-year business report;
- ▶ overview of the budget;
- ▶ authorisation of bond issues;
- ▶ ICAAP (Internal Capital Adequacy Assessment Process) approval;
- ▶ financial Management Charter;
- ▶ internal models.

Control of the Bank's business activity:

- ▶ professional and salary equality policy;
- ▶ internal control and risk management report prepared pursuant to Articles 258 et seq. of the decree of 3 November 2014;
- ▶ corporate governance and internal control report prepared by the Chairman of the Supervisory Board (report pursuant to Article L. 225-68 of the French Commercial Code);
- ▶ Risk Management Policy;
- ▶ Compliance Charter;
- ▶ Internal Audit work;
- ▶ overview of the work performed by the Supervisory Board Committees;
- ▶ monitoring reports and investigations by the French Prudential Supervision and Resolution Authority (ACPR) and the European Central Bank;
- ▶ annual review of related-party agreements;
- ▶ review of business activity and results of internal control procedures.

This work and the ensuing discussions enabled the Supervisory Board to exercise its powers of control over the Bank's management team, together with its decision-making powers.

Organisation and operation of special committees in 2016

In order to comply with the decree of 3 November 2014 on internal control implemented pursuant to CRD directive IV, the Supervisory Board, at its meeting of 16 December 2014, decided to replace the Audit Committee by Financial Statements and Risk Committees, and to replace the Nomination and Compensation Committee by a Nomination Committee and a Compensation Committee. The Supervisory Board also had a Strategy Committee to assist it in its duties.

The duties of each of these committees, the criteria for the selection of their members and their rules of procedure are featured in the internal rules approved by the Supervisory Board.

Any Board deliberation relating to the area of expertise of one of the five committees, must be adopted after advice has been sought from that committee, whose Chairman shall inform the Board of its recommendations, suggestions or opinion.

Setting up these committees is not intended to delegate powers to them that are assigned to the Executive Board by law or by the Articles of Association, or to reduce or limit the Executive Board's powers.

The Executive Board makes available to the members of these committees, within a reasonable time period, all the items and documents enabling the committees to conduct their work and formulate their recommendations, suggestions or opinions.

The length of a committee member's appointment coincides with the length of their term of office as Board member.

Four out of five of the Supervisory Board Committees are chaired by an independent member.

Note that when their operation during the past year is reviewed, the various committees discuss progress and the avenues for improvement, in the absence of the Bank's management team.

Financial Statements Committee

Because La Banque Postale has a single public shareholder, and pursuant to the law on the democratisation of the public sector, which provides for the inclusion of employee representatives on the Board, the committee consists of Board members appointed by the General Meeting, by Company employees and by the French Government.

On 31 December 2016, the Financial Statements Committee comprised seven members and was composed as follows:

- ▶ two independent members, Didier Ribadeau Dumas (Chairman of the Committee) and Sophie Lombard;
- ▶ two members belonging to Le Groupe La Poste, Yves Brassart and Virgile Bertola;
- ▶ one member representing the French Government, Nathalie Dierckxvischers;
- ▶ two members representing employees, Thierry Freslon and Steeve Maigne.

The Government Commissioner also attends Financial Statements Committee meetings.

The committee's internal rules are updated on a regular basis, in order to ensure that they remain compliant with legal and regulatory changes, as well as with corporate governance recommendations and best practices.

Most members of the committee have financial and accounting experience, primarily from former tenure in positions that they have held or hold (as a head of finance, with the French Ministry of the Economy and Finance, or as member of the senior management team of a bank).

The scope of the committee's responsibilities primarily extends to:

- ▶ checking the clarity of financial information supplied by the Executive Board and assessing the relevance of the accounting methods adopted;
- ▶ participating in the selection of the statutory auditors and ensuring that they are independent and objective.

The Financial Statements Committee meets at least twice per year and, in particular, prior to any meeting of the Supervisory Board where one or more questions relating to its area of expertise are on the agenda. The Chairman of this Committee reports on its work to the Supervisory Board after every meeting. It may seek the assistance of any person whose skills and expertise seem necessary to carry out its mission.

The committee listens to the opinions of the statutory auditors, the Bank's Chief Financial Officer, the Heads of Compliance and Risk and the Internal Auditor on issues that concern them, in particular on the Company's risks and significant off-balance sheet commitments, the main points of the results of the legal audit and the accounting options used.

The committee met three times in 2016 with an average attendance rate of 90%.

During 2016, its work focused primarily on the following issues:

a) Financial data and accounting methods:

- ▶ account-closing options;
- ▶ overview of the half-year financial statements and the half-year business report;
- ▶ overview of the annual financial statements and the Registration Document.

b) Statutory auditors:

- ▶ assessment of the interim work and 2016 work schedule of the statutory auditors;
- ▶ a detailed summary of the certification work of the statutory auditors and following up their previous recommendations;
- ▶ new rules applicable to the performance of assignments by statutory auditors.

c) Functioning of the committee:

- ▶ 2017 work schedule of the Financial Statements Committee and assessment of its operation in 2016.

Risk Committee

At 31 December 2016, the Risk Committee was composed of seven members, namely:

- ▶ two independent members, Didier Ribadeau Dumas (Chairman of the Committee) and Sophie Lombard;
- ▶ two members belonging to Le Groupe La Poste, Yves Brassart and Virgile Bertola;
- ▶ one member representing the French Government, Nathalie Dierckxvischers;
- ▶ two members representing employees, Thierry Freslon and Steeve Maigne.

The Government Commissioner also attends Risk Committee meetings.

Members of the Executive Board and the Company's Head of Finance may be asked to attend Committee meetings at the request of the Committee Chairman.

Members of the Risk Committee have the knowledge, skills and expertise necessary to perform their remit and to understand and monitor the Group's strategy and appetite for risk.

The committee's internal rules are updated on a regular basis, to ensure that they remain compliant with legal and regulatory changes, as well as with corporate governance recommendations and best practices.

The scope of the committee's responsibilities primarily extends to:

- ▶ assessing the quality of internal control, in particular the principles and system of risk management;
- ▶ taking note of the Company's Internal Audit Department's Charter and that of the Permanent Control Department;
- ▶ examining accounting aspects of the Company's remuneration policy and practices and its position in terms of risk;
- ▶ more generally, ensuring compliance with the tasks provided by the French Monetary and Financial Code and by the decree of 3 November 2014 on the internal control of banking sector companies, payment services and investment services supervised by the French Prudential Supervision and Resolution Authority (ACPR).

The Risk Committee meets at least four times per year and, in particular, prior to any meeting of the Supervisory Board where one or more questions relating to its area of expertise are on the agenda. The Chairman of this Committee reports on its work to the Supervisory Board after every meeting. It may also seek the assistance of any person whose skills and expertise seem necessary to carry out its mission.

The committee listens to the opinions of the statutory auditors, the Bank's Chief Financial Officer, the Heads of Compliance and Risk and the Internal Auditor on issues that concern them, in particular on the Company's risks and significant off-balance sheet commitments,

the main points of the results of the legal audit and the accounting options used.

The committee met six times in 2016 with an average attendance rate of 90%.

During 2016, its work focused primarily on the following issues:

a) Legal and regulatory reports:

- ▶ recovery and resolution plan;
- ▶ report by the Chairman of the Supervisory Board on the conditions for preparing and organising the Board's work and the internal control procedures;
- ▶ internal control and risk management report (reports pursuant to Articles 258-264 of the decree of 3 November 2014);
- ▶ review of business activity and results of internal control procedures: Article 252 of the decree of 3 November 2014, main lessons from the risk measures;
- ▶ ACPR (Prudential Control and Resolution Authority) "Customer protection" questionnaire;
- ▶ 2017 work schedule for the Risk Committee and assessment of its operation in 2016 (produced in Executive Session format in the absence of the Bank's management team);
- ▶ ICAAP (Internal Capital Adequacy Assessment Process).

b) Risks and internal control:

- ▶ main disputes and provisions;
- ▶ result of the work by the Internal Audit Department and work schedule for 2017;
- ▶ compliance and regulatory monitoring system;
- ▶ scenarios for the internal stress test model;
- ▶ Risk Management Policy;
- ▶ 2016 EBA stress test;
- ▶ main lessons drawn from the risk measures in order to ensure continued business activity and the control measures for outsourced activities.

Nomination Committee

At 31 December 2016, the Nomination Committee was composed of seven members, namely:

- ▶ three independent members, Didier Ribadeau Dumas (Chairman of the Committee), Elisabeth Ayrault and Sophie Lombard;
- ▶ two members belonging to Le Groupe La Poste, Philippe Wahl and Sylvie François;
- ▶ one member representing the French Government, Nathalie Dierckxvischers;
- ▶ one member representing the employees, Hélène Wolff.

The Government Commissioner also attends the Nomination Committee meeting.

Its members are selected on the basis of their skills and professional experience.

The committee's internal rules are updated on a regular basis, to ensure that they remain compliant with legal and regulatory changes, as well as with corporate governance recommendations and best practices.

In order to prepare the work of the Board in the field of appointment procedures within the Company and its subsidiaries, the committee is responsible for the following tasks:

- ▶ prior review of the profiles of individuals approached to sit on the Board due to their independence from the Company or Le Groupe La Poste, or to become a member of the Executive Board. The committee also gives its opinion on renewals of appointments;
- ▶ periodic assessment, and at least once per year:
 - of the structure, size, composition and efficiency of the Board with regard to the tasks assigned to it. The committee submits to the Board any relevant recommendations,
 - on the knowledge, skills and experience of the Board members, both individually and collectively. The committee reports on this appraisal to the Board,
 - of the qualification as an independent member of the Board;
- ▶ setting the target to be achieved in relation to gender balance on the Board and the preparation of a policy to achieve this target;
- ▶ annual assessment of the balance and diversity of knowledge, skills and experience possessed individually and collectively by the Board members. It also specifies the tasks and qualifications that are necessary for Board positions and assesses the time devoted to Board member functions;
- ▶ review of the management succession plan in order to recommend possible candidates to the Board, notably in the event of an unforeseen vacancy.

The Nomination Committee met three times in 2016 with a 93% attendance rate (excluding periods of long-term leave).

During 2016, its work concerned in particular the review of Board members' independence and the periodic review of the composition and operation of the committee. The Committee reviewed the profiles of candidates approached to sit on the Board as independent members, one appointment to the Executive Board and an assessment of the operation of the Strategy Committee.

Compensation Committee

At 31 December 2016, the Compensation Committee was composed of seven members, namely:

- ▶ three independent members, Sophie Lombard (Chairman), Elisabeth Ayrault and Didier Ribadeau Dumas;
- ▶ two members belonging to Le Groupe La Poste, Philippe Wahl and Sylvie François;
- ▶ one member representing the French Government, Nathalie Dierckxvischers;
- ▶ one member representing the employees, Hélène Wolff.

The Government Commissioner also attends the Compensation Committee meeting.

Members of the Executive Board may attend Committee meetings at the request of the Chairman of the Compensation Committee.

Its members have the knowledge and skills to carry out the tasks devolved to the committee and are, in particular, qualified to analyse the Company's policies and practices in the field of remuneration, including the Company's risk policy.

The committee's internal rules are updated on a regular basis, to ensure that they remain compliant with legal and regulatory changes, as well as with corporate governance recommendations and best practices.

In order to prepare the work of the Board in the field of remuneration procedures within the Company and its subsidiaries, the Compensation Committee is notably responsible for the following tasks:

- ▶ the annual review:
 - of the principles of the remuneration policy,
 - the remuneration, allowances and benefits of all types awarded to the Company's corporate officers,
 - the remuneration policy for employees who manage collective investment undertakings and for employees who are financial market professionals, whose activities are likely to have a material impact on the Company's risk exposure,
 - the report prepared by the Executive Board pursuant to Article 266 of the decree of 3 November 2014 and forwarded to the French Prudential Supervision and Resolution Authority (ACPR);
- ▶ the policy on attendance fees;
- ▶ the study of retirement and contingency plans;
- ▶ the study of the appropriateness or otherwise of setting up mechanisms for corporate officers and/or employees to invest in or share profits from the share capital.

The committee makes sure that the remuneration policy complies with the provisions of the decree of 3 November 2014, and that it is consistent with professional standards, regardless of whether the remuneration is fixed or variable, paid in cash or shares, or consists of benefits in kind, and of whether it is deferred or not. The Compensation Committee reviews the remuneration of the Head of Risk, the Head of Compliance, and of the Internal Auditor.

The Compensation Committee met twice in 2016 with a 100% attendance rate (excluding periods of long-term leave).

Composition of the Committees

The table below summarises the composition of all of the Board's Special Committees.

Composition of the special committees (at 31 December 2016)	Financial Statements Committee	Risk Committee	Nomination Committee	Compensation Committee	Strategy Committee
Elisabeth Ayrault			◊	◊	◊
Virgile Bertola	◊	◊			◊
Yves Brassart	◊	◊			◊
Didier Ribadeau Dumas	◊	◊	◊	◊	◊
Sylvie François			◊	◊	
Sophie Lombard	◊	◊	◊	◊	◊
Philippe Wahl			◊	◊	
Nathalie Dieryckxvisschers	•	•	•	•	•
Thierry Freslon	Δ	Δ			
Steeve Maigne	Δ	Δ			
Françoise Paget Bitsch					Δ
Hélène Wolff			Δ	Δ	Δ

Key:

◊: Committee Chairman;

◊: Committee Member;

Δ: Member elected by the employees;

•: Member representing the French Government.

Assessment of the work performed by the Board and the committees

Every year the Supervisory Board devotes one item on its agenda to analysing its operation.

In 2014 the Board decided to carry out an initial formal assessment of the work of the Board and its Committees, conducted by an

During 2016, its work focused primarily on the following issues:

- ▶ the principles of the remuneration policy and the report prepared pursuant to Article 266 of the decree of 3 November 2014;
- ▶ the remuneration for Executive Board members and setting their objectives;
- ▶ updating the remuneration policy;
- ▶ the review of the remuneration for the Head of Risk, the Head of Compliance and the Internal Auditor;
- ▶ the attendance fees paid for 2015 and 2016.

Strategy Committee

The Strategy Committee had eight members as follows:

- ▶ three independent members, Sophie Lombard, Elisabeth Ayrault and Didier Ribadeau-Dumas;
- ▶ two members belonging to Le Groupe La Poste, Yves Brassart (Chairman of the Committee) and Virgile Bertola;
- ▶ one member representing the Government, Nathalie Dieryckxvisschers;
- ▶ two members representing the employees, Hélène Wolff and Françoise Paget-Bitsch.

The Government Commissioner also attends the meetings of the Strategy Committee.

The Strategy Committee examines and monitors the implementation of the Company's multi-year strategic plan, together with the strategic plans and operations of the Company and its subsidiaries.

To address strategic issues that should be presented for consideration by the Supervisory Board, the Strategy Committee met twice in 2016 with an attendance rate of 71% (excluding period of long-term leave).

During 2016, its work concerned in particular partnership projects and a project for setting up a subsidiary.

independent member of the Board. The results and avenues for improvement were then presented to the Board.

At its meeting on 14 December 2016, during discussion of the item devoted to its operation, the Supervisory Board decided that a further formal assessment of its work and that of its committees should be carried out by two independent Board members. This assessment

was conducted through detailed questionnaires on the operation of the Board and each of its Committees, which were sent to each Board member, to the members of the Committees in question and to the Government Commissioner. The conclusions of this assessment were presented at the Supervisory Board meeting of 22 February 2017. The great majority of the results were satisfactory or very satisfactory and have enabled some areas for improvement to be identified.

2.1.1.2 Conditions for shareholder participation in the General Meeting

The conditions governing shareholder participation in the General Meeting of La Banque Postale are defined in Article 31 of the Articles of Association, which are contained in Chapter 8 of this Registration Document.

2.1.1.3 Principles and rules for setting the remuneration of corporate officers

La Banque Postale, supported by the work of the Compensation Committee, has used the principles and rules to set fees and pay corporate officers in accordance with the main recommendations of the Afep/Medef Code and with the provisions of the decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sectors, subject to the control of the French Prudential Supervision and Resolution Authority (ACPR).

Remuneration has been reviewed following the order of 15 October 2012 subjecting La Banque Postale to the provisions of Article 3 of the decree of 9 August 1953, as amended by the decree of 26 July 2012 on government control over the remuneration of the managers of public companies. In accordance with the provisions of the French Monetary and Financial Code and the Afep/Medef Code, the individual remuneration for executive corporate officers and the total sum allocated to employee managers and market professionals during the financial year were subjected to an advisory vote of the shareholders during the Annual General Meeting of 25 May 2016.

The standardised overview of the remuneration of the corporate officers prepared in compliance with the Afep/Medef Code and the recommendations of the French Financial Markets Authority is shown in the "Information on the members of the Supervisory and Executive Boards" section in Chapter 2 of the Registration Document.

Rules for determining the remuneration of Executive Board members

Fixed and variable remuneration

On the proposal of the Compensation Committee, the Supervisory Board determines the remuneration of the Executive Board.

Since 15 October 2012, in accordance with Article 3, as amended, of the decree of 9 August 1953, the Minister of the Economy must be consulted before any decisions are made relating to the remuneration components for the activities of Executive Board members and its Chairman and must approve them. This remuneration must not exceed a gross amount set by decree; this amount is currently €450,000.

Consequently, the Chairman of the Executive Board now exclusively receives a fixed activity remuneration, equal to the limit, one part of which is paid by La Poste pursuant to an employment contract made necessary by the postal model of La Banque Postale that appointed him Head of the La Poste Financial Services Department (Financial Centres).

Marc Batave has an annual variable remuneration equal, for 2016, to a maximum of 27% of his fixed remuneration. It is determined on the basis of achievement by the Executive Board of qualitative objectives as well as on the basis of business performance and financial performance criteria. Financial performance, weighted at 65%, is analysed using six indicators, namely:

- (i) consolidated net banking income excluding home savings provision;
- (ii) cost-income ratio excluding home savings provision;
- (iii) operating income after risks and excluding home savings provision;
- (iv) the economic contribution of the subsidiaries;
- (v) the net income/equity ratio;
- (vi) the change in net banking income from legal entities.

Sales performance, weighted at 15%, is analysed using confidential indicators and qualitative objectives, weighted at 20%, are focused on adherence to the Bank's values, as described in its strategic plan, and on social performance that incorporates especially efficient training programmes, support for employees transferring between business lines, the quality of working life and on the successful execution of the Bank's major programmes.

Mrs Anne-Laure Bourn is paid in respect of her employment contract with Le Groupe La Poste.

Members of the Executive Committee do not receive any remuneration from La Banque Postale other than that paid in respect of their appointment as Company officers nor any remuneration for their terms exercised in the subsidiaries of La Banque Postale Group.

Other benefits or compensation

Remy Weber and Marc Batave receive the health and contingency insurance taken out by La Banque Postale for all La Banque Postale employees. They also receive the contingency insurance coverage common to all of the Group's manager grades and a Company car.

Anne-Laure Bourn receives the health and contingency insurance taken out by La Poste for all La Poste employees, as well as the supplementary health and contingency insurance for all La Poste executive managers. She also receives a company car.

The members of the Executive Board do not receive non-compete compensation and are not awarded equity or debt options on the Company's capital or performance-based shares.

Lastly, executive corporate officers do not benefit from any complementary retirement scheme.

Severance compensation

In accordance with Article 3 of the decree of 9 August 1953 amended on 26 July 2012, remuneration, compensation or benefit payments due or likely to fall due to members of the Executive Board or its Chairman, due to the termination of activity or a change in position or subsequent to these, must also be approved by the Minister of the Economy.

Following decisions of the Supervisory Board on 27 February, 31 July and 15 October 2013, the termination of the term of office of the members of the Executive Board, in the case of revocation during a term or at the time of a merger, a change of control or strategy leading to the departure of a member of the Executive Board and when there is no gross misconduct or serious misconduct and without deficiency seriously affecting the financial position of the Company, can give entitlement to compensation.

For the Chairman of the Executive Board, this compensation would be equal to twice the amount of fixed annual remuneration set on the day of termination of office. The severance compensation due to Marc Batave would be the aggregate amount of his last annualised

fixed remuneration on the date of termination of his duties, plus the average of the annualised variable component of his remuneration over the last three years.

The payment of this compensation is subject to compliance with a performance condition, i.e. the Executive Board must have a success rate of 80% or higher in meeting the annual targets for two out of the last three financial years ended. These objectives are identical to those determining the variable portion of the members of the Executive Board.

Following exchanges between the French Investments Agency (APE) and La Poste, the members of the Executive Board cannot receive compensation in cases when their terms are not renewed.

Marc Batave opted for an unemployment insurance policy taken out by La Banque Postale and providing compensation in all cases limited to one year's remuneration over the chosen compensation period. This insurance policy will replace the severance compensation listed above on completion of the waiting period.

Rules for determining the remuneration of Supervisory Board members

Members of the Supervisory Board receive attendance fees which, in compliance with the order of 15 October 2012 making La Banque Postale subject to Article 3 of the decree of 9 August 1953 as amended, must be approved by the French Minister of the Economy.

The attendance fees policy is proposed to the Supervisory Board by the Compensation Committee. This policy, which is set using benchmark analysis performed by a panel of banks, insurance companies and a sample of companies in which the Government has a stake, is detailed below.

Attendance fees are allocated to all members of the Supervisory Board with the exception of members representing the employees.

A yearly lump sum of attendance fees is allocated to the Chairman of the Supervisory Board.

The amount of attendance fees paid to the other Board members is calculated on the basis of their actual attendance at meetings of the Supervisory Board and the committees, with the Chairman of each committee receiving an additional annual fixed amount.

Since financial year 2013, attendance fees are paid twice yearly:

- ▶ a first payment, in the form of an advance calculated using the above-mentioned method, according to the number of Board and Committee meetings held during the first half of the current year;
- ▶ a second payment made following the approval of the total annual amount of the individual attendance fees by the Minister of the Economy.

Pursuant to the internal regulations of La Poste Group, the attendance fees allocated to the members of the Supervisory Board from La Poste Group are paid to La Poste. In addition, these members do not receive any attendance fees in respect of their positions in companies in La Banque Postale Group.

The maximum total sum authorised, set by the General Meeting, is €450,000 (amount unchanged since 2006).

Attendance fees due for the 2016 financial year

The Chairman of the Supervisory Board received an annual lump sum in attendance fees for the 2016 financial year of €90,000. The amount allocated to each member of the Supervisory Board was calculated on a pro rata basis of their actual attendance up to €15,000 per year.

In addition, the Chairmen of the Audit and Risk Committees received €12,000 in recognition of their position, while the Chairmen of the Nomination, Compensation and Strategy Committees each received €8,000. Finally, the members of the committees received €1,500 per meeting attended.

Members of the Supervisory Board and the Board's committees from La Poste Group did not receive their attendance fees, which were directly paid to La Poste. In the same way, the attendance fees for the French Government were paid to the Treasury.

Information in Article L. 225-100-3 of the French Commercial Code

In accordance with the provisions of Article L. 225-100-3 of the French Commercial Code, the following items should be disclosed and explained, where appropriate, when they are likely to have an impact in the event of a public offer.

The current capital structure of La Banque Postale makes it impossible for a takeover bid to be made on Company shares which are not admitted for trading on a regulated market. However, reference is made below to the items listed in Article L. 225-100-3 of the French Commercial Code to the extent that this information is contained in the Registration Document for other obligations or is directly addressed below:

1. structure of the Company's share capital: this information is shown in Chapter 1 "Overview of La Banque Postale Group";
2. statutory restrictions on the exercise of voting rights and the transfer of shares, or clauses in the agreements brought to the knowledge of the Company pursuant to Article L. 233-11: none (see Chapter 8, Articles of Association);
3. direct or indirect investments in the Company's share capital, of which it is aware pursuant to Articles L. 233-7 and L. 233-12: none (see Chapter 1 "Overview of La Banque Postale Group");
4. list of the holders of any securities conferring special control rights and a description of these rights: not applicable. No security confers special control rights;
5. control mechanisms stipulated under any employee-shareholding scheme, where control rights are not exercised by the latter: not applicable. There is no employee-shareholding scheme;
6. shareholder agreements of which the Company is aware and which may result in restrictions on the transfer of shares and the exercise of voting rights: not applicable. La Banque Postale has a single shareholder;
7. rules applicable to the appointment and replacement of members of the Executive Board as well as to the amendment of the Company's Articles of Association: this information appears in Chapter 8 "Articles of Association";
8. powers of the Executive Board, in particular to issue or buy back shares: this information appears in Chapter 8 "Articles of Association" (Article 14);
9. agreements entered into by the Company that would be altered or terminated in the event of a change in the Company's control, except where this disclosure would seriously jeopardise its interests, aside from the legal disclosure obligation: not applicable;
10. agreements stipulating compensation for the members of the Executive Board or employees, if they resign or are made redundant without just cause or if their employment is terminated due to a public offering: a very limited number of employees (fewer than 10) is guaranteed an end-of-contract payment by their employment contract.

2.1.2 Internal control

2.1.2.1 Internal control benchmarks

La Banque Postale's internal control system is governed by:

- ▶ the decree of 3 November 2014 on the additional monitoring of financial conglomerates;
- ▶ the decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sectors under the supervision of the French Prudential Supervision and Resolution Authority (ACPR);
- ▶ the decree of 3 November 2014 on prudential supervision on a consolidated basis.

The prudential regulations have incorporated the "significance" of institutions in order to regulate the level of obligations to be met in relation to governance, the risk management and control system and capital requirements.

To ensure compliance at all times with the regulatory ratios (solvency, liquidity and leverage), institutions must integrate systems to measure risks taken and potential risks, as well as capital and liquidity management systems. Large institutions have also been strongly encouraged to develop an internal capacity to evaluate their risks.

It is the responsibility of the supervisory body to evaluate its efficiency, and to approve and regularly review the strategies governing the taking, management, monitoring and reduction of identified and potential risks. The decree on internal control specifies this role in the definition of the supervision guidelines and policy, approval of the overall limits (in particular liquidity), in establishing a strategy for business continuity and remuneration policy.

This role implies that members of the Supervisory Board shall have the necessary knowledge, skills and expertise to understand and monitor the Group's strategy and appetite for risk. Accordingly, the powers of the ACPR regarding directors, as well as company managers, have been increased particularly as regards appointments and the assessment of expertise.

2.1.2.2 Guiding principles

The Executive Board sets the fundamental principles (strategic guidelines, values, appetite for risk, governance), which are approved by the Supervisory Board, and on the basis of which each business activities sets its priorities and the associated risk management system under the supervision of the Group Risk Department. These fundamental principles are reflected in the Risk Management Policy (RMP).

General framework for internal control

The risk management system has three lines of defence that constitute the general internal control framework:

- ▶ a first line within the operational business lines responsible for applying the risk management procedures which they will have defined in advance in concert with the Group Risk Department (GRD);
- ▶ a second line consisting of the GRD, which ensures the existence of an appropriate, uniform framework to define and improve the risk management procedures;
- ▶ a third line via internal controls designed to give an independent idea of the effectiveness of the risk management system in place.

The internal control system of La Banque Postale includes permanent and periodic controls. This is based on:

- ▶ a Risk Management Policy and a charter of the Risk Management unit drawn up by the Group's Risk Management Division; a La Banque Postale Group Permanent Control Charter drawn up by the Compliance and Permanent Control Division and by the Group Risk Department; a La Banque Postale Group Periodic Control Charter drawn up by the Internal Audit Department. It establishes a series of principles for risk management and control that must be implemented by each management entity in charge of processes. Each department defines documents and maintains a booklet of its procedures. These include the audit point(s) necessary to ensure quality operations;
- ▶ the responsibility of all the players, which constitutes the basis of effective management and control procedures. All employees must ensure that the work that they perform and the transactions that they handle are executed in accordance with the expected procedures and the level of quality required. They must be in a position to account for the effective management of the work that they perform and the inherent risks of that work at any time. This principle relies on close involvement of managers;
- ▶ proportionality between the controls in place and the level of risk to be managed. Each manager shall analyse their own risk and implement an appropriate control framework in order to achieve a reasonable level of confidence that their business activities are properly managed, and that they comply with the Company's internal and external standards and regulations;
- ▶ thoroughness of the scope of the control procedures. It covers all the activities of La Banque Postale. These procedures apply to all kinds of risk, to all those employed directly by the Bank and all those acting in its name and on its behalf, and to all the entities of La Banque Postale Group. The internal control procedures also extend to essential services that have been outsourced.

Policies, charters, standards and procedures in force

The regulatory framework is divided into internal rules, validated by the Bank's Executive Board:

- ▶ the Risk Management Policy with respect to risk management (update presented to the Supervisory Board's Risk Committee in January 2017) and Risk Charter (approved in October 2015), which contains, among other items, the formal Risk Appetite Framework (RAF), see below;
- ▶ the Permanent Control Charter of La Banque Postale Group (update presented to the Supervisory Board's Risk Committee in January 2017);
- ▶ the Periodic Control Charter of La Banque Postale Group (update presented to the Supervisory Board's Risk Committee in January 2017).

Reference files are distributed to the Bank's departments in order to implement the systems, in particular:

- ▶ the standards issued by the Group Standards Approval Committee;
- ▶ the key items of an internal control system;
- ▶ the procedure implementing the Product Review Committee;
- ▶ the methodology guides for applying standards, etc.

These risk management systems are updated over time.

Risk Management Policy (RMP)

The Group Risk Management Policy defines La Banque Postale Group's risk management policy. It is part of an approach that is broader than the narrower field of risk monitoring, and plays a full part in the strategic and financial oversight of La Banque Postale.

It aims to determine the degree of risk tolerance that is compatible with the Bank's strategy, level of capital and financial business plan.

As part of this, its role is to define:

- ▶ the level of acceptable risk for La Banque Postale Group;
- ▶ the general rules for measuring and framing risk-taking;
- ▶ the general arrangements for supervising and monitoring risks.

Furthermore, the risk measurement carried out in La Banque Postale Group feeds a significant number of internal processes which allow the organisation's performance to be monitored and, where applicable, adjustments to be made.

This inclusion of a risk-based approach at a more "strategic" oversight level is notably demonstrated by the annual budget process which is overseen operationally by the Group Financial Department, since it reviews the capital allocations to each business activity and the income projected from each one feeds into the Bank's Capital Planning system. The performance reviews for each business activity also include a risk dimension; for example, indicators like cost of risk, or complying with limits are key components for assessing this performance.

The Risk Appetite Framework

The Risk Appetite Framework, and the different levels of target requirements related to it, were developed by La Banque Postale in order to bring together all of its legal and regulatory requirements, as well as international and European best practice.

The purpose of the Risk Appetite Framework defined by La Banque Postale is to ensure that at all times, the Bank has the level of capital necessary to cover all of its risks and to ensure the development of its business activities. The framework also aims to ensure compliance with the bank's different regulatory requirements:

- ▶ in this way, the bank's risk appetite policy is based on a number of key indicators (solvency, liquidity, risk concentration, global rate risks, excessive leverage risks, trading portfolio risk, etc.) for which overall internal limits are set in addition to regulatory requirements.

These limits are then set on a more operational basis at a business level.

The limits are also developed in accordance with the recovery and resolution plan and they are reviewed and approved on at least an annual basis and with each major change in the Group's current regulatory framework.

2.1.2.3 Main parties responsible

La Banque Postale's system of internal control and risk management is structured, with respect to risk control, management and monitoring, around:

- ▶ a control system as close as possible to the business activities;
- ▶ internal control functions that cover:
 - permanent control,
 - risk monitoring and management,
 - periodic control;
- ▶ governance committees relating to internal control.

2.1.2.3.1 Control organised as close as possible to the business activities

La Banque Postale has established a specific system for transactions performed within its network. The aim of this system is to audit the transactions performed in post offices, in coordination with La Poste Network.

The Executive Management of La Poste Network is responsible for designing and managing the Level 1 audits for banking activities in post offices.

Level 2 banking controls are conducted by controllers dedicated to the core banking business. In particular, banking controllers, employees of La Banque Postale, perform level 2 audits on the banking business conducted in post offices, under the responsibility of the Bank's Regional Representatives and the leadership of the Compliance and Permanent Control Department.

2.1.2.3.2 The internal control functions

The **Compliance and Permanent Control Department** manages the permanent control procedures.

The Compliance and Permanent Control Department is directly attached to the Executive Board.

Its mission is as follows:

- ▶ manage the risk of non-compliance as defined in Article 10 of the decree of 3 November 2014⁽¹⁾;
- ▶ the coordination of all Level 2 audits.

To do this, the Compliance and Permanent Control Department is divided into three departments:

- ▶ Customer Protection and Ethics Department;
- ▶ Financial Transactions Security Department;
- ▶ Permanent Control Department.

The Group Risk Department (GRD)

The Executive Board answers to the Supervisory Board when it comes to controlling risks. It ensures that both it and the Supervisory Board have a clear vision of the risks and how they are evolving.

For La Banque Postale Group, the risk management function within the meaning of the regulations is provided by the Risk function, which reports to the Head of Group Risk. He advises the management body with regard to all aspects of risk management and, in particular, the

(1) This is the risk of non-compliance with legal and regulatory provisions, professional standards, business ethics, as well as the guidelines from the Supervisory Board and instructions from the Executive Board.

preparation of the risk appetite framework. He reports to the Executive Board regarding all of his activities and the level of risk to which the Group is exposed or could be exposed. He has the option to report directly to the Supervisory Board and/or to his Risk Committee in the event that the risks affecting or likely to affect the Bank change. He may inform members of the Supervisory Board of any information necessary for them to perform their duties.

The Risk Division

The Risk Division is made up of all of the employees of La Banque Postale Group who, either because of their specific role or in an operational context, make a significant contribution to the three responsibilities of the Risk Department, namely:

- ▶ the drawing up of rules in the field of risk-taking;
- ▶ risk prevention;
- ▶ measuring, monitoring and managing risks at the various monitoring levels within the Group (subsidiaries, activities and business lines, Group).

The Risk Division ensures proper implementation of the legislative and regulatory provisions of a prudential character applying to the various Group entities and activities.

It provides risk measurement, monitoring and management pursuant to the decree relating to internal control. It ensures that the risk management system, namely risk identification, measurement and management, is effective, exhaustive and standardised, and that the level of risk taken is consistent with the guidelines for the business activity, in particular the objectives and resources of the Group and the Group companies, as defined by their management body.

The guiding principles of the Risk Division are as follows:

Principle 1: The La Banque Postale Head of Group Risk is responsible for the risk management function of La Banque Postale Group within the meaning of Article 74 of the decree relating to internal control, and, as such, is responsible for the Risk function in charge of risk management for all the Group entities.

Principle 2: The La Banque Postale Group Risk Department is the contact point for the entire Group for the relevant prudential authorities, on all topics concerning the Risk Division.

Principle 3: The Group Risk Department, as part of its mission to conduct cross-functional and consolidated risk management, participates directly or indirectly, via a representative from the Risk Division, in all the dedicated Risk Committees of the subsidiaries. As a result, it has a right of oversight over any decision made by the said committees which may affect the risk profile of the entity or the Group, while complying with the governance of the entity concerned.

Principle 4: The Risk Division staff are attached at least functionally to the LBP Head of Group Risk or to any other colleague designated by him.

Pursuant to these principles, the LBP Group Risk Division is composed of:

- ▶ the Group Risk Department, the department in charge of risk management and of running the Risk Division; and
- ▶ all the entities and employees contributing to the Group's risk management.

Role and obligations of the Risk Division entities and relationship with the Group Risk Department

The heads of risk for the banking subsidiaries report to the GRD. The Risk Departments of all other entities have a functional relationship with the Group Head of Risk.

The subsidiaries are responsible, under the supervision of the GRD, for defining, monitoring and managing their risk levels, as well as

producing reports and IT data for the Group Risk Department. They must ensure the data is of good quality, reliable and exhaustive, enabling risk monitoring and control on a corporate and consolidated basis.

The Internal Audit Department is dedicated to periodic audits

The Internal Audit Department is responsible for periodic audits as defined in the decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sectors under the supervision of the French Prudential Supervision and Resolution Authority (ACPR). It assesses risk management, together with the quality of internal control.

The Internal Audit Department's main mission is to ensure, with regard to all the activities of La Banque Postale Group, and in accordance with Article 17 of the aforementioned decree:

- ▶ transactions are compliant;
- ▶ the level of risk actually incurred;
- ▶ procedures are complied with;
- ▶ the permanent control procedures are effective and appropriate in character.

To this end, the Internal Audit Department assesses:

- ▶ risk management, the legality and compliance of transactions within the Company;
- ▶ the operational effectiveness and productivity of the Company with regard to its objectives;
- ▶ the systems introduced in order to ensure a constant increase in quality customer service.

The Internal Audit Department is organised into two business units responsible for conducting audit missions and two support units.

The Business units:

- ▶ **The "Bank/Insurance" Division** handles thematic and cross-functional audits relating to processes and entities for the entire scope and activities of La Banque Postale Group.
- ▶ **The Specialist Business Activity unit (Modelled Risks and Information System)** handles specialist audits and provides technical support to the Bank/Insurance unit.

The Support units:

- ▶ **The External Audits Coordination Department** coordinates on-site audits and audit missions conducted by external bodies (supervisory authorities, La Poste Group audits, etc.).
- ▶ **The Resources Division** handles all the Department's support and cross-functional functions: Data mining and IS resources, management, team development and monitoring the implementation of action plans arising from audits.

2.1.2.3.3

Top-level management structures dedicated to control procedures

Since 2015 and the establishment of a Financial Statements Committee and a Risk Management Committee, there are four bodies organising and driving La Banque Postale risk management:

1. Risk Committee (of the Supervisory Board):
 - ▶ its role is to:
 - a. assess the quality of internal control procedures through:
 - reviewing the consistency of the internal control procedures, risk management and the respect of ethical principles,

- reviewing the periodic control programme,
- reviewing the monitoring of the principal recommendations of the Internal Audit Department and the supervisory authorities,
- reviewing the organisation's risk management principles,
- reviewing the effectiveness of internal control and risk management systems;
- b.** taking note of the Permanent Control Charter and the Periodic Control Charter:
 - body not focussed on the national level,
 - chaired by the Chairman of the Audit Committee, an independent member of the Supervisory Board,
 - frequency: as often as is necessary.
- 2.** Financial Statements Committee (of the Supervisory Board):
 - ▶ its role is to:
 - a.** ensure that the information provided is clear and assessing the relevance of accounting methods adopted through:
 - reviewing the draft financial statements presented to the Board (verification of the conditions of preparation, relevance and permanence of principles and methods),
 - reviewing the framework for consolidating the financial statements and the consolidation scope,
 - auditing the separate and consolidated financial statements;
 - b.** conduct the process for selecting statutory auditors with:
 - recommendations to the Supervisory Board regarding their appointment, reappointment, remunerations and independence,
 - reviewing the statutory auditors' work programme.
- 3.** Group Risk Management Committee:
 - ▶ its role is to define La Banque Postale's risk management policy, without prejudice to the responsibilities of the Compliance Department, to approve the risk management procedures (authorisation rules, delegations and limits) and to receive reports about compliance with them, as well as to examine credit, market and operational risks and to monitor the principal commitments.

The Group Risk Department must also report to this committee about:

- the scope and reliability of consolidated risk measurement systems,
- changes in risks with respect to the general focus of the activity implemented and the management policies of operating activities,
- detecting any concentrations of abnormal risks,
- the vulnerability of the Group to worst-case scenarios (stress scenarios),
- chaired by the member of the Executive Board in charge of internal control,
- supervised by the Head of LBP Group Risk.

4. Internal Control Coordination and Ethics Committee:

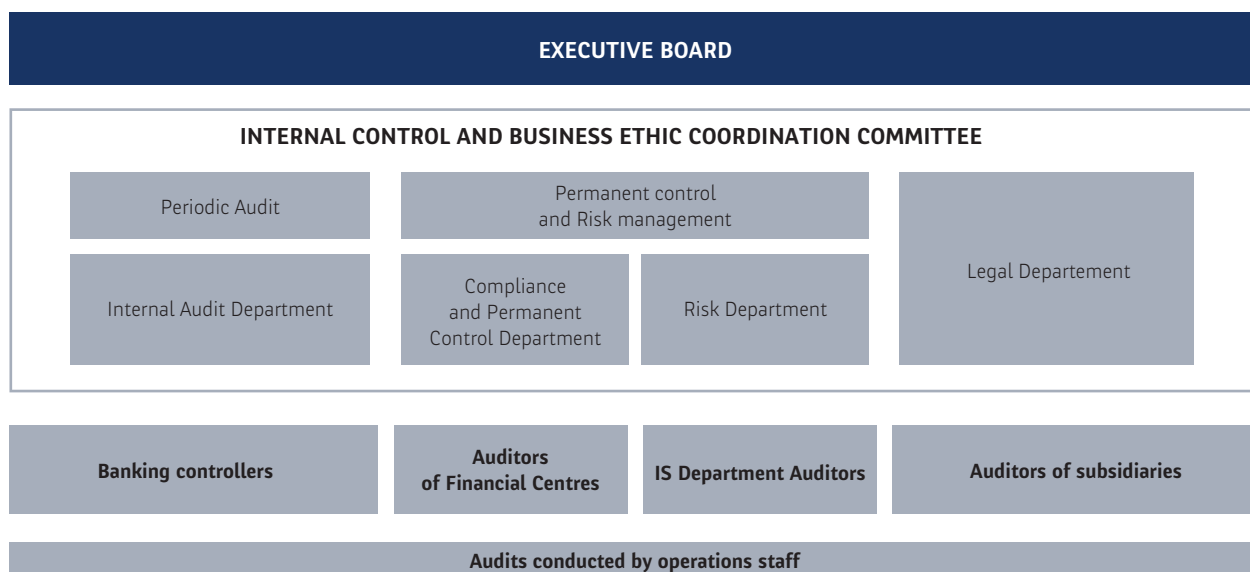
Its role is to supervise:

- the coverage plan for permanent control procedures and its principal salient features;
- the progress of the Internal Audit Department programme and tasks that have already been completed;
- the reporting of operational risks, particularly the business continuity plan;
- the progress of the control plan of the Information Systems Department and its principal salient features;
- the progress of the DRCB control plan and its principal salient features;
- fraud monitoring and AML-CFT (anti-money laundering and counter-terrorism financing) reporting;
- the vision of Group audits;
- the vision of the main contentious issues.

In terms of business ethics, the committee:

- monitors the application of business ethics rules and compliance and regulatory changes;
- monitors the updating of the list of "sensitive personal information" and respect for confidentiality rules;
- hears cases of major conflicts of interest.

Organisational chart



Control function staff at 31 December 2016⁽¹⁾**Central functions****Central departments that make up the Internal Control Coordination Committee:**

▶ The Group Risk Department (GRD)	142
▶ Internal Audit Department	87
▶ Compliance and Permanent Control Department	68

Other departments supervised by the Compliance and Permanent Control Department:

▶ Risk and Control Department in the Operations Department	20
▶ Financial Department	12
▶ Information Systems Department	6
▶ Department of Businesses and Land Development	3
▶ Retail Banking Department	3
▶ Human Resources Department	2
▶ Insurance Division	1
▶ Financial Operations Department	1
▶ Unattached staff	85
- A sub-total of	430

Local functions**Control of banking activities in post offices, Financial Centres and subsidiaries:**

▶ Banking controllers (COB)	193
▶ COB manager and assistants	20
▶ Heads of Risk and Banking Control (in Financial Centres)	24
▶ Risk Controllers and Experts (in Financial Centres)	107
▶ Risk Department	75
▶ Anti-Money Laundering and Counter-Terrorism Financing	67
▶ Unattached staff	38
- A sub-total of	524
- A total of	954

2.1.2.4 Assignments from the Risk, Compliance and Internal Audit Departments and achievements in 2016**Risk Department**

The Risk Department is responsible for the Risk Division for the entire Group. It is charged with the function of managing necessary risks:

- ▶ ensuring the consistency, standardisation, efficiency and exhaustiveness of risk measurement;
- ▶ risk monitoring and management.

It is also responsible for managing the Group's consolidated risks.

The task of the Group Risk Department is to develop a coordinated Group Risk Management Policy, subject to the decisions of the Bank's Executive Board.

Each entity is responsible for its risk management policy and regular risk audits subject to approval by the Group Risk Department, which ensures that the risk management policies of the subsidiaries are in

line with those of the parent company and that they are correctly applied.

The Group Risk Department is in charge of the measurement, monitoring and management of consolidated risks.

As such, it is operationally responsible for:

- investigating the overall limits set by the Executive Board and approved by the Supervisory Board;
- investigating the criteria and thresholds, determined by the Supervisory Board, that make it possible to identify the incidents (point j) which the Department wishes to draw to the Board's attention (see Articles 98 and 244 of the decree relating to internal control);
- investigating individual or operational limits concerning the consolidated risks submitted to the Group Risk Management Committee;
- implementing the delegated plans and monitoring them;
- defining reporting standards specifying the nature and content of the reports that the Group's entities send it; the validation of said standards is the responsibility of the Group Standards Validation Committee;
- reporting on exposures and consolidated risks to the Supervisory Board's Risk Committee and the Bank's Executive Board, accompanied by analyses concerning:
 - the scope and reliability of consolidated risk measurement systems,
 - changes in risks with respect to the general focus of the activity implemented and the management policies of operating activities,
 - detecting any concentrations of abnormal risks,
 - the vulnerability of the Group to worst-case scenarios (stress scenarios);
- defining action plans when the limit is likely to be reached or exceeded, in order to return within the limits determined, while first alerting the business lines/entities;
- alerting the Executive Board when a limit is likely to be reached or when an overall limit has been exceeded, and monitoring the action plan for dealing with this breach;
- alerting the Executive Board and the Group Internal Audit Department if the action plan has not been carried out within the allotted time;
- reporting incidents covered by Article 98 of the decree of 3 November 2014.

The Group Risk Department is one of the contacts for the supervisory authorities for non-compliance risks. It manages the items relating to the Risks Division for regulatory disclosures prepared on a consolidated basis. When it is questioned by the relevant authorities, it informs the Group Executive Board, the management of the entities concerned, the Group Internal Auditor and, where applicable, the Group Head of Permanent Control and Compliance.

The performance, consistency and reliability of the "risk" information systems, as well as the quality of the associated data, are crucial for the efficiency of the Group's risk management system.

As part of its task of consolidated risk management, the Group Risk Department is responsible for managing the risk information system and for the quality of the associated data, in close coordination with the entities in charge of the Group's various information technology platforms.

(1) Figures estimated at 31 December 2016, including attached and unattached (not full-time) staff.

From the Group's Risk Information System arise:

- ▶ requirements for risk measurement, consolidation, cross-functional analysis, monitoring and reporting, in their various components including in particular financial risks, credit risks and operational risks;
- ▶ the roll-out by each "business line" (operational or support functions) of these requirements (measurement, consolidation, cross-functional analysis, monitoring, reporting) after discussions with these functions; this roll-out relies on core risk tools, fed by the management systems of each function; this data supply is carried out either at the basic transaction level or by pre-calculated items.

In this context, the Risk Division ensures that each information system in the Business line units is adequate for the core risk tools and is associated both with their definition and implementation.

The core risk tools are organised by type of risk and are determined by the business line. They are constituted in particular of specific tools for:

- ▶ the supply of data from cross-functional analysis tools;
- ▶ financial risks;
- ▶ credit risks;
- ▶ operational risks;
- ▶ overall interest rate risks;
- ▶ intermediation risks;
- ▶ liquidity risk;
- ▶ delivery and settlement risks;
- ▶ leverage risk.

The Risk Control function is responsible for supervising the permanent control system of the Risk Division.

Internal Audit Department

As in previous years, at the end of 2015, the Internal Audit Department created its programme of missions for 2016 based on the audit universe, the risk map, requests from the Audit Committee, the Executive Committee and the subsidiaries, as well as the proposals of the Management Committee of the Internal Audit Department. This schedule complies with the regulatory obligation to conduct a full cycle of investigations on all business activities over the smallest possible number of financial years, set at four by La Banque Postale.

Approximately 40 missions were conducted in 2016, addressing the points deemed most sensitive with respect to the Bank's business activities and its organisation, while continuing to cover all the Bank's activities and entities, and those of its subsidiaries that grew consistently with the Group.

The missions conducted covered the following main Activities and Processes:

- ▶ Governance and Internal Control
- ▶ Human resources management
- ▶ Insurance
- ▶ Asset management
- ▶ Business activities
- ▶ Information Systems
- ▶ Projects
- ▶ Sales processes

The entities audited in 2016 were mainly:

- ▶ the departments of La Banque Postale itself

- ▶ the distribution channels (La Poste Network, DEDT network)
- ▶ the Financial Centres
- ▶ the insurance and asset management subsidiaries
- ▶ the providers of outsourced essential services

As well as a cross-functional assignment on change management, the main projects audited by the Internal Audit Department in 2016 were:

- ▶ concerto
- ▶ inactive accounts

Compliance and Permanent Control Division

The Compliance and Permanent Control Department is directly attached to the Executive Board and is responsible for:

- ▶ managing the risk of non-compliance as defined in Article "10p" of the decree of 3 November 2014, via:
 - managing the risk-mapping related to customer protection with all LBP Group entities,
 - investigating new items, products: a Product Review Committee (PRC) determines and assesses the risks related to the creation of new products,
 - supporting commercial advertising for the completion of product launch media; the principle of subsidiarity adopted means that this responsibility is shared with the subsidiaries,
 - the coordination of measures to combat money laundering and the financing of terrorism, defining procedures, managing TRACFIN (intelligence and action aimed at combating illicit financial circuits) tools and declarations, and the DG TPE (General Directorate of the Treasury and Economic Policy),
 - compliance with the general regulations of the AMF (Autorité des marchés financiers, or French Financial Markets Authority) for investment services,
 - the development and publication of good conduct rules and the provision of leadership to the ethics correspondents,
 - central expertise in the field of the prevention of fraud (identification and control of the risks of fraud, securing and publishing fraud management processes, awareness raising amongst the players and adapted tools). Overall fraud monitoring is provided by the Operational Risk Department as part of its tasks (see Chapter 4.2.5 on Operational Risk),
- participation in various initiatives and projects:
 - work covering changes in the principles of the remuneration of sales people: ensuring that the remuneration processes do not generate conflicts of interest between the Bank, its advisers and customers,
 - work relating to cross-cutting projects which have an impact in terms of compliance;
- ▶ the coordination of all Level 2 controls via:
 - audits carried out by the banking controllers in the post office network and local public sector and business centres,
 - level 2 audits carried out in the AML-CFT function,
 - functional management of the Level 2 audits in the Financial Centres and the Information System Department through the dedicated departments,
 - the implementation of Level 2 audits in entities providing investment services (DOF, SVM, CNVM),
 - supporting and monitoring departments at Head Office and in the subsidiaries in the implementation of their internal control systems.

All these systems work in a coordinated way and fulfil a dual advisory and control role, in order to ensure that the Company's best practices, culture, and values are reflected in its day-to-day activities, so as to protect:

- ▶ customers, from the risk of poor advice;
- ▶ the Bank and its employees, from the risk of non-compliance with the regulations;
- ▶ the community, by fighting against money laundering and the financing of terrorism.

To carry out its role properly, the Department of Compliance and Permanent Control (DCCP) is organised into three Departments, based on the business lines and the objectives assigned:

- ▶ the Department for the Protection of Customers and Business Ethics (DPCD);
- ▶ the Financial Transactions Security Department (DSOF);
- ▶ the Permanent Control Department (DCP).

As regards compliance, in 2015 La Banque Postale established a Customer Protection and Ethics Department. This department covers the DCCP tasks with respect to reviewing new products, supervising the investment and business ethics services, and organising customer protection. Indeed, the theme of the protection of customers is becoming more and more present in the Bank's environment as well as in the minds and the concerns of legislators and regulators.

The **Department for the Protection of Customers and Business Ethics** is organised into four separate and complementary departments/functions.

- ▶ The political function of customer protection manages risk mapping related to customer protection. It also has the role of developing internal compliance standards which will specify, for the business lines and the subsidiaries, the process for taking into account changes in the regulations relating to the protection of customers
- ▶ The Customer Protection Compliance Department supports the Business Lines and Departments in taking account of the compliance imperatives in commercial developments. This objective is implemented using various complementary elements, by raising awareness, training and supporting the business lines in their operational application and by examining and holding Product Examination Committee meetings, which determine and evaluate the risks of non-compliance for new products or significantly modified products. It also involves verification in order to ensure that the imperatives of compliance have indeed been taken into account

In the framework of the examination of new product files, the Product Examination Committee determines and evaluates the risks of non-compliance related to the creation of new products and significant modifications to existing products. The Director of Compliance and Permanent Control chairs this committee and formulates an opinion in writing prior to any launch including in the case of simple "experimentation"

- ▶ The function of Head of Compliance for Investment Services (RCSI). This function is set out in the regulations and is common to all banks. The RCSI is the favoured point of contact for the Financial Markets Authority (AMF). It monitors prevention and the implementation of the General Regulations of the AMF within the Bank and its subsidiaries. It participates in projects falling within its scope of responsibilities (financial instruments).

The RCSI of La Banque Postale chairs a quarterly meeting of a committee comprising all the RCCIs and RCSIs of La Banque Postale

Group. Monitoring of new regulations and discussions relating to the compliance of investment services, particularly between producers and distributors, are carried out regularly

- ▶ The Head of Business Ethics personifies the importance placed by La Banque Postale on the respect for its values: "Performance", "Difference", "Cohesion", "Responsibility" and "Accessibility". It defines the rules on individual and collective behaviour and ensures their communication to all persons concerned. Risk of non-compliance and permanent control Rules of good conduct are incorporated in the internal rules of procedure of La Banque Postale and La Poste. The professional ethics handbook is appended to the internal rules of procedure.

The business ethics structure is organised into three levels:

- the La Banque Postale Business Ethics Department, attached to the Compliance and Permanent Control Department
- "business ethics officers" in the operational units: the La Poste Network, the Financial Centres, the Financial Services and Retail Brand IT Department (DISFE), the Head Office Departments, the subsidiaries, the Asset Management and Insurance Divisions. These officers work to disseminate business ethics standards within their entities. They guarantee and promote La Banque Postale's rules of conduct
- local contacts are well-positioned to pick up any potential breaches or problems that come to their attention, which they then report up the line. They also have an educational role to play by providing information to and raising awareness among their colleagues. Around 100 local contacts are positioned within the Network, with the Managers of the La Poste network. The Risks and Banking Control Director also acts as the local contact person in each Financial Centre.

In terms of governance, a monthly "Business Ethics Committee" meeting, chaired by the Business Ethics Director of La Banque Postale brings together the local contacts from the La Poste network, the DISFE, the Department of Operations, the Department of Human Resources, the Risk Department and the Retail Bank management. This committee is extended to include all the officers of La Banque Postale Group on a quarterly basis.

An "Alert Committee" is chaired by the Business Ethics manager and brings together the local contacts from the La Poste network, the Operations Department, the DISFE and the HR Department. It meets as often as necessary and its role is to debate certain alerts which are difficult to manage.

The Business Ethics Manager of La Banque Postale is a member of La Poste Ethics Committee. In this respect, he participates in the reviews and work which is common to all the Group's business lines.

Furthermore, the Business Ethics and Authorisations Department also manages the authorisation system, including the insurance authorisations, mapping and the AMF certification.

The prevention of money laundering and the financing of terrorism (AML-CFT) is for its part managed within the **Financial Transactions Security Department** (DSOF) which is attached to the Department of Compliance and Permanent Control.

La Banque Postale's system for combating money laundering and the financing of terrorism is articulated on three levels (national, regional, local), enabling it to assume its responsibilities both on the transactions that it performs independently and on those made in its name and on its behalf by La Poste Network, which is responsible for implementing the resources necessary for the proper completion of transactions that it performs in the name of, and on behalf of the Bank.

The Financial Transactions Security Department

The prevention of money laundering and of the financing of terrorism (AML-CFT) is managed within the Financial Transactions Security Department (DSOF) which is attached to the Department of Compliance and Permanent Control. The Head of the Department is responsible for the system.

In addition to a very operational activity, namely managing the alerts, the DSOF is the contracting authority for the tools dedicated to the unit. A project unit supports any bank projects that may affect the Department's activity as soon as they start. This unit also establishes or updates the regulatory documentation and training related to the AML-CFT function.

It also plays a role in supervision, the provision of expertise and the definition of training for the bank's AML-CFT Division, extended to the managers of these systems in subsidiaries and in the Monaco branch. In particular, it ensures that the system is consistent throughout La Banque Postale Group with regard to the classification of money laundering and terrorism financing risks and ensures consolidated reporting.

Finally, the Financial Transactions Security Department is responsible for managing the bank's relationships with TRACFIN (AML-CFT) and with the Treasury (financial penalties and embargoes) at national level.

To carry out its work successfully, the Financial Transactions Security Department has dedicated resources, including 14 regional TRACFIN informant officers, reporting directly to management. These TRACFIN informant officers are the only persons within the function (excluding the subsidiaries, branches and management) authorised to convey suspicious transaction reports to TRACFIN and to respond to the rights of communication exercised by that body. They are also responsible for implementing actions on leadership and raising awareness in the La Poste network, the Financial Centres and the business centres of the Business unit.

A dedicated regional AML-CTF Division on two levels

The first level is made up of seven AML units in the Financial Centres (i.e. some 60 employees), attached operationally to the DSOF and responsible for analysing all alert systems from post offices, Business Centres and Financial Centres, as well as the alerts generated by the dedicated AML-CTF software package.

In addition, one of the seven AML units is also in charge of the entire procedure for handling first level alerts stemming from filters of financial penalty lists with the aid of a filtering tool, and is responsible for monitoring at-risk countries, particularly fiscally non-cooperative countries and those listed for monitoring by the Financial Action Task Force (FATF).

Having analysed warnings and alerts, the AML unit analysts either proceed to a justified filing with no action, or prepare an investigation file for referral to the Level 2 AML-CFT function.

The 14 informant officers constitute Level 2 of the function for the AML segment. They receive the investigation files, perform a further examination, complete the assembly of any information gathered and transmit a suspicious transaction report to TRACFIN if the suspicion is confirmed.

With regard to the filtering of financial penalty lists, alerts not raised by Level 1 are transmitted to the dedicated operational unit of the Financial Transactions Security Department which manages the entire system.

The local system

The local system is based on the Sector Heads for the Post Office branches, the Operational Risk Managers in the Financial Centres and the Business Centre Heads for the Corporate function.

- The Sector Heads are the AML-CFT managers in the Post Office branches.

They are in charge of establishing alerts related to anomalies, reported as part of Post Office activities, that are likely to constitute a money

laundering or terrorism financing risk. These alert systems feed into the AML-CFT Division's tools for combating money laundering.

They are also in charge of Level 1 control of Post Office branch procedures related to the fight against money laundering. These controls are documented in the Sector Head's control guidance sheet. They must ensure that training delivered to staff on money laundering prevention is properly approved. Level 2 controls are carried out by the banking controllers.

- The Operational Risk Managers, in the Financial Centres are responsible for risk management, including money laundering and terrorism financing risks. They are responsible for:
 - monitoring specific risks related to sensitive customers and the termination of the business relationship;
 - monitoring alerts issued by various Centre services;
 - raising the awareness of and training the Financial Centre staff with the support of the AML-CTF units.
- The Business Centre Heads of the Corporate unit have the same responsibilities as the Sector Heads with regard to the activities of specialist business centre advisors and the professional customer managers.

The Permanent Control Department

The Permanent Control Department's task is to provide an independent measurement of the effectiveness of risk management. This fits into the bank's three lines of defence.

Permanent Level 2 control is the control that is made, retrospectively, by people dedicated to this permanent control function.

The Permanent Control Department contributes to improving the link between risk and control and is responsible for coordinating all Level 2 controls. It does this by:

- audits carried out by the banking controllers in the post office network and local public sector and business centres;
- Level 2 audits carried out in the AML-CFT function;
- functional management of Level 2 controls in Financial Centres and in the IS department with the participation of dedicated departments;
- the implementation of Level 2 audits in entities providing investment services (Financial Operations Department (DOF); Securities Service (SVM); National Securities Centre (CNVM));
- supporting and monitoring departments at Head Office and in the subsidiaries in the implementation of their internal control systems.

2.1.2.5 Controls applied to the preparation and processing of financial information

The preparation and processing of financial and accounting information is the responsibility of the Financial Department, which is made up of the Accounting Department, the Management Control Department, the Taxation Department and the Department of Balance Sheet Management and Supervisor Relations.

The accounting function

La Banque Postale Accounting Department is responsible for the preparation and processing of accounting information. The Department's key tasks are to produce and disseminate high-quality accounting information, supported by the managers of La Banque Postale's Accounting and using the accounting project management resources. The Accounting Department stipulates and implements the organisational and IT processes and structures used to produce the financial statements.

In addition to the Accounting Department, La Banque Postale's accounting function includes the banking back-office accounting teams, who report to the Financial Centre Directors, or, in some cases, to the Directors of the business lines. The Bank's Accounting Department sends these teams the instructions and control programmes necessary to ensure the consistency and quality of the information produced. The accounting function also includes a centre specialising in the accounting-based processing of the Bank's general resources, together with the Financial Transactions Department's accounting team, which is responsible for recording market transactions in the accounts.

The Accounting Department coordinates and defines the Level 1 justification and audit programmes that must be implemented by the Bank's operating Accounting Departments, which are located in the Financial Centres, in the National Centres, in the Financial Transactions Department and in the general resources Accounting Departments. These auditing and control programmes are reviewed based on the risk analysis carried out periodically when the financial statements are prepared and audited by the dedicated teams for the central auditing of financial statements.

The Accounting Department supplements this Level 1 work by a set of Level 2 auditing controls, consisting of recurrent cross-functional controls to ensure the quality and exhaustiveness of the Level 1 work carried out in the operational entities. The control process is set out formally in audit manuals and is also based on procedures for justifying the financial statements and approving the account-closing records scheduled in the work programmes. The Level 2 work is done by a dedicated team of auditors.

The Level 2 audit is organised around the main activities: deposit and savings account maintenance/loan activities/financial transactions/general resources/consolidation. The activities are reapportioned into audit cycles that each result in the drafting of a monthly audit summary and of detailed summaries, during the audit phase, presenting the significant events in the cycle, the results of the work and an analytical review of the activity.

The auditors' work schedules are periodically updated, in order to:

- ▶ adapt to changes in the activities and the regulatory context;
- ▶ include project-related changes;
- ▶ take into account newly identified risk factors, or conversely, of risks that no longer apply;
- ▶ optimise the effectiveness of the control process as part of the shortening of end-of-period accounting lead-times.

The audit work on the Bank's retail activity is organised on a declarative basis on the Financial Centres and supplemented by audit cycles based on the sampling of complete records. In this way, all the centres and cycles are tested several times a year. The work is also incorporated into an accounting quality trend chart, which gives a monthly overview of the test results and the quality of the Level 1 system.

These recurrent checks are backed up by tightened audit periods known as "pre-close periods", which begin one to two months before the closing date for the half-year and annual financial statements, and allow for a "dress rehearsal" by the contributors (centres, Head Office Departments). These procedures secure timetables and processes; moreover, they provide interim information on the status of the financial statements to the statutory auditors before they begin their work.

Regarding the scope of financial transactions, the Accounting Department has tightened the coordination process for the parties involved (Financial Transactions Department and Risk Departments). The aim of this system, which takes the form of monitoring meetings and setting down feedback channels, is to:

- ▶ provide in advance the expected schedules for the control deliverables;
- ▶ return comments by the auditors (Internal Audit, statutory auditors);
- ▶ define action plans allowing points for improvement to be monitored.

The entire accounts production system is supplemented by meetings with the statutory auditors' panel, which enable the highlights to be reviewed and the account-closing options to be examined before they are implemented (impacts from new regulations, processing of new products, changes in scope of subsidiaries).

The Accounting Department also co-ordinates the consolidation of the companies that make up La Banque Postale Group, according to specific instructions.

The process for producing the consolidated financial statements now includes:

- ▶ a system triggered by consolidation instructions sent to all subsidiaries in the scope of consolidation;
- ▶ meetings outlining the Group's news, standards and processes, allowing for discussion within the subsidiaries' Accounting Departments;
- ▶ a Level 2 control organised according to a control schedule and the drafting of summaries so that risks can be dealt with and standards application coordinated at the Group level;
- ▶ a comparison of the management results with the accounting result;
- ▶ an analytical review procedure presented by the subsidiaries to the Group's Financial Department in the presence of the statutory auditors of the subsidiary and the Group.

The subsidiaries have their own structure that enables them to perform level 1 and 2 accounting controls at the separate financial statements scope.

The Accounting Department is also in charge of regulatory reporting production (except for the prudential ratios produced by the Group Risk Department) for the French Prudential Supervision and Resolution Authority (ACPR) or the European Supervisor.

Lastly, the Accounting Department has identified, inside a dedicated function, responsibility for the definition of accounting standards applicable to the Group (international standards) and La Banque Postale (French standards). This Department writes the standards manual, interprets new standards and applies them to the Group's accounts. It helps define accounting principles when new business activities or products are launched and responds to business line and Accounting Division requests on the implementation and application of standards. Regular publications are also distributed to the various players within the Bank to inform the business clients about possible changes or to remind them of the principles and methods. It is also within this Department that the IFRS 9 project and its issues are addressed.

Management control function

The Management Control Department is responsible for collating management information. It contributes to the preparation of financial information.

Operational management control is located in the business lines and placed under their responsibility. The business lines constitute (subsidiaries or management) a level where management information is prepared, and they obtain the resources to produce it at the quality level and standards expected.

The main tasks of Central Management Control, reporting to the Group Financial Department, are to:

- ▶ consolidate and build the budget and the Bank's medium- and long-term plan;
- ▶ provide budget reporting and monitoring;
- ▶ develop a "group" management income that is separate from the accounting data, allowing a monthly accounting-management reconciliation to be drawn up;
- ▶ carry out short-term income estimates or scenario analyses;
- ▶ monitor the subsidiaries and group investments administratively and financially;
- ▶ participate in the stress test work and reporting to the supervisor on the profitability indicators;
- ▶ ensure production of trend charts and summary reporting on business activity and profitability for the Management and the shareholder.

Management Control is also responsible for:

- ▶ analysing the performance of the Group, its business lines and its entities;
- ▶ managing the product pricing system based on contributions from the business lines;

- ▶ qualifying the information used in commercial performance reporting on credit volumes and margins;
- ▶ monitoring the performance of the business lines and the half-yearly performance review by management in *ad hoc* bodies;
- ▶ preparing analytical accounting, monitoring the resources used in operating the business;
- ▶ reviewing the return on supply projects and investments.

The financial communication function

All financial communication is compiled by the Department of Capital Management and Supervisor Relations, the Head of which reports to the Chief Financial Officer. This Department takes care to rely on general principles and best practice in financial communication, as shown in the guide "Cadre et Pratiques de Communication Financière" (Financial Communication Framework and Practices) (written by the Financial Communication Observatory under the supervision of the French Financial Markets Authority).

Its tasks consist of:

- ▶ coordinating and preparing the information published in financial media releases, media releases on income, and presentations given to institutional investors, credit analysts and ratings agencies, taking care to ensure that the messages are consistent;
- ▶ coordinating and preparing the regulated financial information submitted for approval to the French Financial Markets Authority (Registration Document and half-yearly update);
- ▶ conducting, with the other group functions, a regulatory monitoring;
- ▶ organising and coordinating relations with the ratings agencies;
- ▶ together with the other group functions, liaising with credit investors and the French Financial Markets Authority (AMF);
- ▶ ensuring that financial information is provided on the La Banque Postale website www.labanquepostale.com.

2.2 STATUTORY AUDITORS' REPORT PREPARED PURSUANT TO ARTICLE L. 225-235 OF THE FRENCH COMMERCIAL CODE ON THE REPORT OF THE CHAIRMAN OF LA BANQUE POSTALE'S SUPERVISORY BOARD

La Banque Postale SA
Registered office: 115, rue de Sèvres – 75275 Paris Cedex 06, France
Share capital: €4,046,407,595

Statutory auditors' report prepared pursuant to Article L. 225-235 of the French Commercial Code on the report of the Chairman of the Supervisory Board of La Banque Postale S.A.

Financial year ending 31 December 2016

Ladies and Gentlemen,

In our capacity as the statutory auditors of La Banque Postale SA and pursuant to the provisions of Article L. 225-235 of the French Commercial Code, we hereby submit our report on the report prepared by the Chairman of your Company in accordance with the provisions of Article L. 225-68 of the French Commercial Code in respect of the financial year ending 31 December 2016.

It is the Chairman's responsibility to draw up a report on the internal control and risk management procedures implemented at the Company and other information required by Article L. 225-68 of the French Commercial Code, including information on corporate governance procedures, and to submit that report to the Supervisory Board for approval.

Our role is to:

- ▶ inform you of our observations on the information in the Chairman's report on internal control and risk management procedures relating to the production and processing of accounting and financial information; and
- ▶ certify that the report includes the other information required by Article L. 225-68 of the French Commercial Code. It is not our responsibility to check the accuracy of this other information.

We have performed our work in accordance with the professional standards applicable in France.

Information regarding internal control and risk management procedures in respect of the preparation and processing of accounting and financial information

Professional standards require us to implement procedures to assess the accuracy of the information concerning internal control and risk management procedures in relation to the preparation and processing of the accounting and financial information contained in the Chairman's report. These procedures primarily consist in:

- ▶ familiarising ourselves with the internal control and risk management procedures in respect of the preparation and processing of the accounting and financial information supporting the information presented in the Chairman's report, together with the existing documentation;
- ▶ familiarising ourselves with the work that enabled the information and the existing documentation to be prepared;
- ▶ determining whether any major internal control failings in respect of the preparation and processing of accounting and financial information that we may have identified during our assignment are discussed appropriately in the Chairman's report.

Based on that work, we have no comment to make on the information regarding the Company's internal control and risk management procedures in respect of the preparation and processing of the accounting and financial information in the report prepared by the Chairman of the Supervisory Board pursuant to the provisions of Article L. 225-68 of the French Commercial Code.

Additional information

We hereby certify that the report prepared by the Chairman of the Supervisory Board contains the additional information required by Article L. 225-68 of the French Commercial Code.

Paris La Défense 28 février 2017

KPMG Audit

A division of KPMG SA
Marie-Christine Jolys
Partner

Neuilly-sur-Seine 28 février 2017

PricewaterhouseCoopers Audit

Jacques Lévi
Partner

2.3 INFORMATION ABOUT THE MEMBERS OF THE SUPERVISORY BOARD AND THE EXECUTIVE BOARD

2.3.1 Composition of the Executive Board

La Banque Postale is a Limited Company with Executive and Supervisory Boards.

Executive Management of the Company is provided by the Executive Board, which has the broadest powers to act on behalf of the Company in all circumstances, within the limits of its corporate purpose and subject to the powers expressly conferred on Supervisory Boards and Shareholders' Meetings by French law and the Company's Articles of Association.

The Executive Board is composed of three members designated by the Supervisory Board:

- ▶ Rémy Weber, Chairman of La Banque Postale's Executive Board;
- ▶ Marc Batave, member of the Executive Board and Chief Executive Officer of the Commercial Bank and Insurance*;

- ▶ Anne-Laure Bourn, member of the Executive Board and Executive Vice President of Le Groupe La Poste responsible for the Network, and responsible for the oversight of the Operations Department.

The Supervisory Board has decided to appoint a fourth member whose selection is under way.

The members of the Executive Board have the status of executive corporate officer within the meaning of Article L. 511-13 of the French Monetary and Financial Code.

As previously authorised by the Supervisory Board, members of the Executive Board have divided management duties between themselves. They have also set the amounts in excess of which certain actions committing the Company require prior approval from the Executive Board. Failure to secure that approval may result in the individual concerned being personally liable to the Company and its shareholders.

* The term 'Chief Executive Officer' is not used within the meaning of Article L. 225-66 of the French Commercial Code.

2.3.2 Mandates and functions of the members of the Executive Board

Nota bene: Terms of office and positions held in companies whose shares are traded on regulated markets are identified by an asterisk*.

Rémy WEBER, born in 1957	Biography
Chairman of the Executive Board First appointment: 15 October 2013 Appointment expiry date: 26 February 2018 Professional address: La Banque Postale – 115, rue de Sèvres – 75275 Paris Cedex 06 Education: Graduate of the IEP Aix en Provence and of HEC	▶ Beginning in 1983, various positions in La Banque Française's Foreign Trade Department. ▶ From 1987 to 1989, Special Advisor in the Department of International Affairs at the Treasury. ▶ In 1990, Deputy Director of Investment and Mergers & Acquisitions at Financière B.F.C.E. ▶ In 1993, Regional Director at the Lyonnaise de Banque; subsequently, General Secretary and Director of Operations from 1995 to 1996, Executive Vice-President from 1996 to 1999 and Chief Executive Officer from 1999 to 2002. ▶ From 2002 to 2013, Chairman and Chief Executive Officer of CIC Lyonnaise de Banque, member of the Executive Board and then of the Executive Committee of the CIC group. ▶ Since 15 October 2013, Chairman of the Executive Board of La Banque Postale, Executive Vice-President and Head of Financial Services of La Poste.
Current appointments	Appointments that expired during the last five years
Le Groupe La Poste companies ▶ Executive Vice-President and Head of Financial Services of La Poste (a Limited Company). ▶ Chairman of the Board of Directors of SF2 (a Limited Company). ▶ Chairman of the Supervisory Board and member of the Compensation Committee of La Banque Postale Asset Management, (a Limited Company with Executive and Supervisory Boards). ▶ Director of La Banque Postale Assurance Santé (a Limited Company). ▶ Chairman of the Board of Directors and Chairman of the Compensation Committee for La Banque Postale Assurances IARD (a Limited Company). ▶ Director and, since 28 March 2016, Chairman and Chief Executive Officer of Sopassure (a Limited Company). ▶ Representative of La Banque Postale, Manager of the Limited Property Investment Partnerships CRSF Dom, CRSF Métropole and Tertiaire Saint Romain. ▶ Director and Vice-Chairman of the Board of Directors of l'Envoi, the La Banque Postale campus (non-profit association). ▶ Member of the Supervisory Board of La Banque Postale Crédit Entreprises (French société anonyme with an Executive and Supervisory Board) since 26 January 2017. ▶ Director of Poste Immo (a Limited Company).	▶ Chairman and Chief Executive Officer of CIC Lyonnaise de Banque (a Limited Company). ▶ Chairman of Gesteurop (a Simplified Joint-Stock Company). ▶ Director of Euro P3C (a Limited Company). ▶ Member of the Management Committee of Euro Information (a Simplified Joint-Stock Company). ▶ Permanent Representative of CIC on the Board of Directors of Sofemo (a Limited Company). ▶ Permanent Representative of CIC Lyonnaise de Banque on the Board of Directors of CM-CIC Asset Management (a Limited Company). ▶ Permanent Representative of CIC Lyonnaise de Banque on the Board of Directors of CM-CIC Factor (a Limited Company). ▶ Permanent Representative of CIC Lyonnaise de Banque on the Board of Directors of UVP (a Mutual Insurance Company). ▶ Permanent Representative of the Crédit Mutuel insurance group on the Board of Directors of ACM IARD (a Limited Company). ▶ Permanent Representative of CIC Lyonnaise de Banque, Member and Chairman of the Executive Committee of Danifos (a Simplified Joint-Stock Company). ▶ Permanent Representative of CM-CIC Investissement on the Board of Directors of Descours et Cabaud (a Limited Company). ▶ Chief Executive Officer of SF2 (a Limited Company). ▶ Member of the Supervisory Board of the Fonds de Garantie des Dépôts. ▶ Member of the Audit Committee of Société de Financement Local (a Limited Company). ▶ Chairman of the Board of Directors of La Banque Postale Assurance Santé (a Limited Company). ▶ Chairman of the Compensation Committee of La Banque Postale Asset Management (a Limited Company with Executive Board and Supervisory Board). ▶ Member of the Audit Committee of CNP Assurances* (a Limited Company). ▶ Member and Chairman of the Board of Directors and member and Chairman of the Nomination and Compensation Committee of La Banque Postale Prévoyance (a Limited Company) until 28 June 2016. ▶ Director, member of the Risk and Internal Control Committee and member of the Financial Statements Committee of the Société de Financement Local (a Limited Company) until 24 March 2016.
Companies outside Le Groupe La Poste	
▶ Vice-Chairman of the Association Française des Banques (AFB) (French Banking Association). ▶ Permanent Representative of the AFB, member of the Executive Committee of the French Banking Federation. ▶ Director and member of the Strategy Committee of CNP Assurances* (a Limited Company). ▶ Member of the Board of Paris Europlace (non-profit association). ▶ Director and Chairman of the Board of Directors of the Lyon Opera (non-profit association).	

Marc BATAVE, born in 1958**Member of the Executive Board****First appointment:** 9 January 2013**Appointment expiry date:** 26 February 2018**Professional address:** La Banque Postale – 115, rue de Sèvres – 75275 Paris Cedex 06**Education:** Graduate of the ESSEC**Biography**

- ▶ Crédit du Nord Group from 1983 to 2011:
 - Deputy Head of the Labour Relations Section of the Human Resources Department of Crédit du Nord from 1983 to 1985.
 - Financial Negotiating Department from 1985 to 1986.
 - Head of “Financial Savings and Insurance” Products Department, Head of Retail Banking then Head of Marketing at Crédit du Nord from 1986 to 1993.
 - From 1993 to January 2000, Vice-Chairman, then Chairman of the Executive Board of Banque Courtois.
 - From January 2000 to July 2011, Head of Customer Relations, Executive Vice-President and then Deputy Chief Executive Officer at Crédit du Nord.
- ▶ La Banque Postale:
 - From 1 November 2012 to 9 January 2013, Head of Business and Professional Activities for La Banque Postale and member of the Executive Committee of La Banque Postale.
 - Since 9 January 2013, member of the La Banque Postale’s Executive Board and also General Secretary from 9 January 2013 to 25 May 2016.
 - Since 25 May 2016, Chief Executive Officer of the Commercial Bank and Insurance and acting Secretary General.

Current appointments**Le Groupe La Poste companies**

- ▶ Acting General Secretary and Chief Executive Officer of the Commercial Bank and Insurance for La Banque Postale (a Limited Company with an Executive Board and Supervisory Board).
- ▶ Permanent Representative of SF2A on the Board of Directors of Tocqueville Finance (a Limited Company) and Tocqueville Finance Holding (a Simplified Joint-Stock Company).
- ▶ Chairman of the Administration Committee of La Banque Postale Crédit Entreprises (a Simplified Joint-Stock Company).
- ▶ Director and Chairman of the Financial Committee of La Banque Postale Assurances IARD (a Limited Company).
- ▶ Member of the Administration Committee and since 17 March 2016 Vice-Chairman of the Administration Committee of Titres-Cadeaux (a Simplified Joint-Stock Company).
- ▶ Vice-Chairman of the Board of Transactis (a Simplified Joint-Stock Company).
- ▶ Permanent Representative of La Banque Postale on the Board of Directors of La Banque Postale Home Loan SFH (a Limited Company).
- ▶ Chairman of the Supervisory Board and of the Nomination and Compensation Committee of BPE (a Limited Company with an Executive Board and Supervisory Board).
- ▶ Director of La Banque Postale Collectivités Locales (a Limited Company).
- ▶ Member of the Supervisory Board of La Banque Postale Financement (a Limited Company with Executive and Supervisory Boards).
- ▶ Permanent Representative of La Banque Postale on the Policy Committee of Adresse Musée de La Poste (non-profit association).
- ▶ Permanent Representative of SF2, member of the Supervisory Board of La Banque Postale Asset Management (a Limited Company with an Executive Board and Supervisory Board) since 20 June 2016.
- ▶ Chairman of the Administration Committee of Ezyne (a Simplified Joint-Stock Company) since 6 January 2017.
- ▶ Chairman of the Supervisory Board of La Banque Postale Crédit Entreprises (French société anonyme with an Executive and Supervisory Board) since 26 January 2017.

Companies outside Le Groupe La Poste

None.

Appointments that expired during the last five years

- ▶ Executive Chairman, member and Chairman of the Audit and Risk Committee of La Banque Postale Crédit Entreprises (a Simplified Joint-Stock Company).
- ▶ Member and Chairman of the Supervisory Board and member of the Compensation Committee of SOFIAP (a Limited Company with an Executive Board and Supervisory Board).
- ▶ Permanent Representative of La Banque Postale on the Board of Directors, Chairman of the Audit and Risk Committee and member of the Nomination and Compensation Committee of BPE (a Limited Company).
- ▶ Permanent Representative of La Banque Postale, member of the Supervisory Board of XAnge Private Equity (a Limited Company with an Executive Board and Supervisory Board).
- ▶ Member of the Supervisory Board and of the Compensation Committee of La Banque Postale Gestion Privée (a Limited Company with an Executive Board and Supervisory Board).
- ▶ Permanent Representative of La Banque Postale on the Board of Directors of OCBF (non-profit association) until 24 January 2016.
- ▶ Chairman of the Administration Committee of Titres-Cadeaux (a Simplified Joint-Stock Company) until 17 March 2016.
- ▶ Member of the Supervisory Board of the Fonds de Garantie des Dépôts (Fund) until 15 April 2016.

Anne-Laure BOURN, born in 1962**Member of the Executive Board****First appointment:** 25 May 2016**Appointment expiry date:** 26 February 2018**Professional address:** La Poste -9 rue du Colonel Pierre Avia - CP 407 -75015 Paris**Education:** Graduate of the Institut Supérieur de Gestion (ISG), the Institut Technique de Banque (ITB), the Institut des Hautes Finances (IHF), EMBA and HEC**Biography**

- ▶ From 1985 to 1988, marketing studies manager then product manager at Thomson Grand Public.
- ▶ At the Crédit Agricole Regional Bank in Morbihan, financial analyst from 1988 to 1990 then manager of the professional financing service from 1990 to 1992 and marketing manager from 1992 to 1995.
- ▶ Entered Le Groupe La Poste in 1995 as marketing and organisation manager for La Poste Grand Public Grand Ouest; in 2000, became Head of the Financial Centre in Rennes then in 2005 Head of the Financial Centre in Paris.
- ▶ From 2006 to 2009, Territorial Representative of La Banque Postale Ouest Dom Corse.
- ▶ From 2009 to 2011, Secretary General and member of the Executive Board of La Banque Postale Asset Management.
- ▶ From 2011 to June 2015, Head of Operations for La Banque Postale.
- ▶ Since June 2015, Executive Vice President of Le Groupe La Poste and Chief Executive Officer of La Poste Network.

Current appointments**Le Groupe La Poste companies**

- ▶ Executive Vice Chairman in charge of La Poste Network branch (a Limited Company).
- ▶ Member of the Supervisory Board of La Banque Postale Asset Management, (a Limited Company with Executive and Supervisory Boards).
- ▶ Director of Poste Immo (a Limited Company).

Companies outside the La Poste Group

None.

Appointments that expired during the last five years

- ▶ Member and Chairman of the Supervisory Board of Asset Management Lab (a Limited Company).
- ▶ Director of La Banque Postale Assurances IARD (a Limited Company).
- ▶ Member of the Policy Committee of Docapost BPO (a Simplified Joint-Stock Company).

2.3.3 Remuneration

The data on remuneration provided below complies with the principles and rules of determination adopted by La Banque Postale and described in detail in the report of the Chairman of the Supervisory Board.

2.3.3.1 Remuneration of members of the Supervisory Board for the 2015 and 2016 financial years

Amount of the attendance fees and other remuneration paid to the members of the Supervisory Board in connection with their appointments at La Banque Postale Group

Name of the corporate officers	Gross amounts due for 2015 (€)	Recipient	Gross amounts due for 2016 (€)	Recipient
Philippe Wahl				
Attendance fees	90,000	La Poste	90,000	La Poste
Other exceptional remuneration	0	-	0	
Marc André Feffer				
Attendance fees	17,500	La Poste	0	La Poste
Other exceptional remuneration	0	-	0	
Philippe Bajou				
Attendance fees	0	-	12,857	La Poste
Other exceptional remuneration	0	-	0	
Yves Brassart				
Attendance fees	34,000	La Poste	34,357	La Poste
Other exceptional remuneration	0	-	0	
Virgile Bertola				
Attendance fees	0	-	25,500	La Poste
Other exceptional remuneration	0	-	0	
Sylvie François				
Attendance fees	0	-	14,357	La Poste
Other exceptional remuneration	0	-	0	
Jean-Paul Forceville				
Attendance fees	15,000	La Poste	2,143	La Poste
Other exceptional remuneration	0	-	0	
Georges Lefebvre				
Attendance fees	18,000	La Poste	2,143	La Poste
Other exceptional remuneration	0	-	0	
Nicolas Routier				
Attendance fees	6,000	La Poste	15,000	La Poste
Other exceptional remuneration	0	-	0	
Marie-Pierre de Baillencourt				
Attendance fees	30,000	The person concerned	0	The person concerned
Other exceptional remuneration	0	-	0	
Nathalie Dieryckxvisschers				
Attendance fees	0	-	16,071	The French Government
Other exceptional remuneration	0	-	0	
Elisabeth Ayrault				
Attendance fees	0	-	10,071	The person concerned
Other exceptional remuneration		-		
Sophie Lombard				
Attendance fees	0	-	26,357	The person concerned
Other exceptional remuneration	0	-	0	
Catherine Le Floch				
Attendance fees	33,000	La Poste	0	La Poste
Other exceptional remuneration	0	-	0	

Name of the corporate officers	Gross amounts due for 2015 (€)	Recipient	Gross amounts due for 2016 (€)	Recipient
Christiane Marcellier				
Attendance fees	73,000	The person concerned	48,786	The person concerned
Other exceptional remuneration	0	-	0	-
Didier Ribadeau Dumas				
Attendance fees	86,000	The person concerned	74,857	The person concerned
Other exceptional remuneration	0	-	0	-
Jean-Robert Larangé				
Attendance fees	0	-	0	-
Other exceptional remuneration	0	-	0	-
Steeve Maigne				
Attendance fees	0	-	0	-
Other exceptional remuneration	0	-	0	-
Françoise Paget Bitsch				
Attendance fees	0	-	0	-
Other exceptional remuneration	0	-	0	-
Thierry Freslon				
Attendance fees	0	-	0	-
Other exceptional remuneration	0	-	0	-
Hélène Wolff				
Attendance fees	0	-	0	-
Other exceptional remuneration	0	-	0	-
TOTAL	402,500		372,499	

In addition,

(1) Philippe Wahl received from La Poste remuneration including benefits in kind of €453,206 for 2016.

(2) Christiane Marcellier received €25,000 in attendance fees for her term of office in La Banque Postale Asset Management in respect of 2016.

(3) Didier Ribadeau-Dumas received €7,500 in attendance fees in respect of his mandate with BPE and €38,000 in attendance fees in respect of his mandate with Poste Immo for 2016.

Corporate officers do not benefit from equity or debt options on the Company's share capital or performance based shares, and for this reason, the Company does not complete the tables 4 to 10 requested by the AMF's recommendations relating to corporate officers' remuneration.

Remuneration of employee representative members on the Supervisory Board

Employee representative members on the Supervisory Board do not receive any remuneration in respect of their Supervisory Board appointment.

All gross remuneration (including the variable component) paid to employee representatives on the Supervisory Board under their employment contracts was €303,020 in 2016.

2.3.3.2 Remuneration of the members of the Executive Board for 2015 and 2016

Standardised tables that comply with the Afep/Medef recommendation and the AMF recommendation of 22 December 2008

Table 1. Summary of the gross remuneration, share options and shares awarded to Executive Board members

(in euros)	2015 financial year	2016 financial year
Philippe Wahl		
Gross remuneration payable for the financial year (details in Table 2)	0	0
Value of multi-year variable remuneration during the financial year	0	0
Value of share options awarded during the financial year	NA	NA
Value of performance-based shares awarded during the financial year	NA	NA
Total	0	0
Remy Weber		
Gross remuneration payable for the financial year (details in Table 2)	453,456	453,456
Value of multi-year variable remuneration during the financial year	0	0
Value of share options awarded during the financial year	NA	NA
Value of performance-based shares awarded during the financial year	NA	NA
Total	453,456	453,456
Marc Batave		
Gross remuneration payable for the financial year (details in Table 2)	415,120	420,036
Value of multi-year variable remuneration during the financial year	0	0
Value of share options awarded during the financial year	NA	NA
Value of performance-based shares awarded during the financial year	NA	NA
Total	415,120	420,036
Yves Brassart		
Gross remuneration payable for the financial year (details in Table 2)	0	0
Value of multi-year variable remuneration during the financial year	0	0
Value of share options awarded during the financial year	NA	NA
Value of performance-based shares awarded during the financial year	NA	NA
Total	0	0
Anne-Laure Bourn		
Gross remuneration payable for the financial year (details in Table 2)	0	274,496*
Value of multi-year variable remuneration during the financial year	0	0
Value of share options awarded during the financial year	NA	NA
Value of performance-based shares awarded during the financial year	NA	NA
Total	0	274,496
EXECUTIVE BOARD TOTAL	868,576	1,147,988*

* Anne-Laure Bourn's annual variable remuneration for 2016 has not been determined at the date of this Document.

Table 2. Summary of the gross remuneration, share options and shares awarded to Executive Board members

(in euros)	2015 financial year		2016 financial year	
	Amounts payable for the financial year	Amounts paid during the financial year	Amounts payable for the financial year	Amounts paid during the financial year
Philippe Wahl⁽¹⁾				
Fixed remuneration	0	0	0	0
Variable annual remuneration	0	0	0	0
Multi-year variable remuneration*	0	55,628	0	25,139
Severance compensation	0	0	0	0
Attendance fees ⁽²⁾	0	0	0	0
Benefits in kind	0	0	0	0
Total	0	55,628	0	25,139
Remy Weber				
Fixed remuneration	450,000	450,000	450,000	450,000
Of which paid by La Banque Postale	360,000	360,000	360,000	360,000
Of which paid by La Poste	90,000	90,000	90,000	90,000
Variable annual remuneration	0	0	0	0
Multi-year variable remuneration	0	0	0	0
Severance compensation	0	0	0	0
Attendance fees ⁽²⁾	0	0	0	0
Benefits in kind ⁽³⁾	3,456	3,456	3,456	3,456
Total	453,456	453,456	453,456	453,456
Marc Batave				
Fixed remuneration	315,000	315,000	315,000	315,000
Variable annual remuneration	79,050	92,750	83,690 ⁽⁴⁾	79,050
Multi-year variable remuneration	0	0	0	0
Severance compensation	0	0	0	0
Attendance fees ⁽²⁾	0	0	0	0
Benefits in kind ⁽³⁾	21,070	21,070	21,346	21,346
Total	415,120	428,820	420,036	415,396
Yves Brassart⁽⁵⁾				
Fixed remuneration	0	0	0	0
Variable annual remuneration	0	22,500	0	0
Multi-year variable remuneration	0	0	0	0
Severance compensation	0	0	0	0
Attendance fees ⁽²⁾	0	0	0	0
Benefits in kind	0	0	0	0
Total	0	22,500	0	0
Anne-Laure Bourn⁽⁶⁾				
Fixed remuneration	0	0	270,360	270,360
Variable annual remuneration	0	0	⁽⁷⁾	47,992
Multi-year variable remuneration	0	0	0	0
Severance compensation	0	0	0	0
Attendance fees ⁽²⁾	0	0	0	0
Benefits in kind ⁽³⁾	0	0	4,136	4,136
Total	0	0	274,496⁽⁷⁾	322,488
EXECUTIVE BOARD TOTAL	868,576	960,404	1,147,988⁽⁷⁾	1,216,479

* The multi-year remuneration paid to Philippe Wahl is the deferred variable remuneration for the years 2011 and 2012. The variable remuneration amounts exceeding the threshold of €150,000 were spread over three years:

- ▶ above €150,000, 60% of the variable portion was paid the year following the year for which the variable portion was granted and 40% was deferred over three years following the year the 60% was paid;
- ▶ of the 60% paid the year following the year for which the variable portion was granted, 50% was paid at the end of the Supervisory Board meeting granting the variable portion and 10% at the end of June;
- ▶ the deferred remuneration liable to be paid was re-evaluated based on the increase in La Banque Postale's equity between the financial year to which the variable component relates and the date of calculation of said payment.

The last payment for the 2011 variable remuneration was made in 2015, and for the 2012 variable remuneration in 2016.

(1) Philippe Wahl was a member of the Executive Board until 15 October 2013.

(2) Members of the Executive Board do not receive attendance fees for offices that they perform in La Banque Postale Group companies.

(3) For Rémy Weber, the benefits in kind are a company car. For Marc Batave, they are a company car and senior executive unemployment insurance (GSC). Finally, for Anne-Laure Bourn, they are a company car and a Carte Bleue (debit card) benefit.

(4) Subject to approval by the Minister of the Economy.

(5) Yves Brassart was a member of the Executive Board until 7 April 2014.

(6) Anne-Laure Bourn has been a member of the Executive Board since 25 May 2016. She is paid by La Poste.

(7) Anne-Laure Bourn's annual variable remuneration for 2016 has not been determined at the date of this Document.

Marc Batave's variable remuneration for 2016

Marc Batave's variable remuneration for 2016 is based on the achievement by the Executive Board of the following objectives:

- ▶ qualitative objectives: (20%)
- ▶ quantitative objectives - Commercial performance criteria: (15%)

These objectives are confidential in nature.

- ▶ quantitative objectives - Financial performance criteria (65%):

- economic contribution of the subsidiaries,
- trend in NBI from corporations,
- consolidated NBI,
- cost-income ratio,
- gross income,
- net income/equity ratio.

The level of achievement of the quantitative criteria was assessed in detail, and objective by objective, at the Supervisory Board meeting of 22 February 2017, upon proposal by the Compensation Committee. The overall rate of achievement of the objectives was 98.4%.

Table 3. Employment contract, supplementary pension plan and compensation for executive corporate officers

	Employment contract with La Banque Postale		Supplementary pension plan		Other benefits or compensation payable or likely to be payable on account of a termination or a change in position		Compensation related to a non-compete clause	
	Yes	No	Yes	No	Yes	No	Yes	No
Executive corporate officers								
Rémy Weber Chairman of the Executive Board since 15 October 2013		✓		✓	✓			✓
Marc Batave Member of the Executive Board since 9 January 2013		✓*		✓	✓			✓
Anne-Laure Bourn Member of the Executive Board since 25 May 2016		✓		✓		✓		✓

* Marc Batave's employment contract has been suspended since 9 January 2013.

Benefits allocated to managers for termination or change of position

No benefits were allocated to managers for termination or change of position during the 2015 and 2016 financial years.

Supplementary pension arrangements made for the benefit of Executive Board members

As of 31 December 2016, La Banque Postale had made no supplementary pension arrangements for Executive Board members.

2.3.3.3 Remuneration of members of the General Management Committee

In 2016, the total gross remuneration (including the variable portion) paid under their employment contracts to members of the General Management Committee, excluding members of the Executive Board and excluding Robert Villani who is paid by La Poste, amounted to €5,649,581.

No other remuneration was paid to members of the General Management Committee. Moreover, they do not receive attendance fees for appointments that they hold in Group companies.

Members of the General Management Committee receive termination pay established in accordance with the collective bargaining agreements, valued at a total of €960,000.

2.3.3.4 Remuneration for regulated employees

The Compensation Committee, pursuant to the decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sector, subject to the French

Prudential Supervision and Resolution Authority (ACPR), has prepared work for the Supervisory Board, which then decided on the policy for remuneration of regulated employees proposed by the Executive Board.

The Board therefore issued a positive opinion on La Banque Postale's remuneration policy, which has established a global framework for the variable remuneration of the Bank's regulated employees, so as not to jeopardise its ability to generate equity and have a negative impact on its liquidity.

That framework is based on the joint fulfilment of the following two criteria:

- ▶ the total amount of variable remuneration cannot exceed 30% of the fixed remuneration;
- ▶ the total amount of variable remuneration must not exceed 5% of La Banque Postale's consolidated gross Operating income.

2.3.3.4.1 The professionals concerned within La Banque Postale

Pursuant to Article L. 511-71 of the French Monetary and Financial Code, the rules relating to remuneration policy are applied to managers of the institution concerned and to those personnel categories, including risk takers, individuals exercising a control function and any employee who, in light of his total income, is in the same pay band, whose professional activities have a significant impact on the risk profile of the Company or the Group.

EU Delegated Regulation No. 604/2014 enacted by the European Commission on 4 March 2014 adopted technical regulatory standards regarding appropriate qualitative and quantitative criteria to identify the categories of employees whose professional activities have a significant impact on an institution's risk profile.

Within La Banque Postale, those professionals covered by rules relating to the remuneration policy and practices of credit institutions in 2016 are:

- ▶ for executives: the members of the Executive Committee;
- ▶ for persons exercising the control functions: the three directors exercising a control function, i.e. the Chief Risk Officer, the Head of Compliance and the Internal Auditor;
- ▶ for the Risk Takers: the Head of the Financial Operations Department and the traders.

2.3.3.4.2 The remuneration principles in La Banque Postale

Principle of proportionality for variable remuneration

In view of its internal organisation along with the nature, extent and low complexity of its activities, as well as the very low exposure to risk of the activities of La Banque Postale which come under the scope of the decree of 3 November 2014, La Banque Postale Group has established a remuneration policy which guarantees an annual cap and a principle of deferred payment in accordance with the requirements provided by Articles L. 511-75 to L. 511-88 of the French Monetary and Financial Code. However, it was not judged appropriate to set up a malus scheme covering variable remuneration, given its low exposure to risks.

In effect, La Banque Postale:

- ▶ mainly operates a Retail Banking activity for individuals;
- ▶ at this stage, the corporate financing activity remains modest with respect to La Banque Postale's overall NBI;
- ▶ the activity of the Department of Financial Operations is almost exclusively dedicated to interest rate markets for the purposes of hedging its home loan transactions; it replaces its cash surpluses on the interbank market.

Annual cap on variable remuneration

The variable remuneration paid to the professionals in question during a financial year may not exceed 100% of the fixed remuneration.

Variable remuneration will be subject to deferred payment, in accordance with the procedures laid down below, for any professional concerned within La Banque Postale who enjoys variable remuneration in excess of:

- ▶ €150,000 for members of the La Banque Postale Executive Committee;
- ▶ €150,000 for the directors exercising a control function (the Head of Risk, the Head of Compliance and the Internal Auditor);

- ▶ €150,000 for the Head of the Financial Operations Department (DOF); and
- ▶ €100,000 for the traders.

Moreover, under decree No. 2012-915 of 26 July 2012 relating to Government control of the remuneration of executive corporate officers of public companies, which institutes a mechanism for capping the remuneration of executive corporate officers of public institutions and companies at €450,000 gross annually, the Chairman of the La Banque Postale Executive Board receives no variable remuneration.

Principle of deferred, conditional payment of variable remuneration

In accordance with the rules relating to the policy and practices for remuneration of credit institutions, La Banque Postale has instituted a deferred payment mechanism, over a period of three years, for the variable part of the remuneration of the professionals involved.

All variable remuneration is spread out in accordance with the following procedures:

- ▶ above the variable remuneration thresholds set above, according to the professional categories in question, a part of the variable portion is paid in the year following that in which the variable portion is recognised (the "Paid Component") and the remainder of the variable remuneration is deferred (the "Deferred Component") over the three years following the year in which payment of the Paid Component is made;
- ▶ the Paid Component is 60% of the total amount of variable remuneration and the Deferred Component is 40% of the total amount of variable remuneration;
- ▶ the Deferred Components are paid in equal instalments over three years, in March each year;
- ▶ the Deferred Component will be re-evaluated based on the increase in La Banque Postale's equity between the financial year to which the variable component relates and the date of liquidation of said payment minus capital increases subscribed by third parties, and disregarding any potential changes in the dividend distribution rate.

Payment of any Deferred Component likely to be made to the employees in question is subject to achieving positive net income on a consolidated basis at the end of the year preceding that in which the payment is made.

Ban on guaranteed variable remuneration

Regulated persons cannot be provided with guaranteed variable remuneration beyond the first year of engagement of the regulated persons concerned and subject to La Banque Postale Group still being in a healthy and solid financial position.

The Supervisory Board meeting of 22 February 2017 approved these principles.

2.3.4 Internal committees of the Executive Board

In 2016, the Executive Board was supported by a system that consists of ten steering committees.

Executive Committee

The Executive Committee (Comex), is a body chaired by Rémy Weber and composed, in addition to its Chairman, of 10 members, namely:

- ▶ Marc Batave, member of the Executive Board and Chief Executive Officer of the Commercial Bank and Insurance;
- ▶ Anne-Laure Bourn, Member of the Executive Board, Executive Vice President of Le Groupe La Poste, Chief Executive Officer of La Poste Network;
- ▶ Serge Bayard, Head of Businesses and Land Development;
- ▶ Didier Brune, Head of Strategy and Development;
- ▶ Catherine Charrier-Leflaive, Assistant Head of La Poste Network in charge of business development, Head of Retail Banking and Insurance;

- ▶ Florence Lustman, Chief Financial Officer;
- ▶ Didier Moaté, Head of Human Resources, Executive Vice President of La Poste Network;
- ▶ Patrick Renouvin, Head of the Solutions Division;
- ▶ Daniel Roy, Head of the Asset Management Division;
- ▶ Robert Villani, Executive Vice President of the Network in charge of organisation, risk and the customer experience, Head of Operations.

The Executive Committee meets once a fortnight. It is La Banque Postale's policy body and supports the Executive Board, particularly regarding business action.

The General Management Committee (CDG) is a body for communicating the Company's key messages and news on marketing and distribution. It monitors the progress of major structuring projects and deals with the responsible development policy.

At present, the CDG is composed as follows:

- ▶ Marc Batave, member of the Executive Board and Chief Executive Officer of the Commercial Bank and Insurance;
- ▶ Anne-Laure Bourn, Member of the Executive Board, Executive Vice President of Le Groupe La Poste, Chief Executive Officer of La Poste Network;
- ▶ Serge Bayard, Head of Businesses and Land Development;
- ▶ Didier Brune, Head of Strategy and Development;
- ▶ Catherine Charrier-Leflaive, Assistant Head of La Poste Network in charge of business development, Head of Retail Banking and Insurance;
- ▶ François Géronde, Head of Group Risk;
- ▶ Alice Holzman, Head of Digital and Communication;
- ▶ Guillaume de Lussac, Head of the Insurance Division and Chairman of La Banque Postale Assurances IARD;
- ▶ Florence Lustman, Chief Financial Officer;
- ▶ Stéphane Magnan, Head of Financial Operations;
- ▶ Didier Moaté, Head of Human Resources, Executive Vice President of La Poste Network;
- ▶ Franck Oniga, Head of Marketing for La Banque Postale;
- ▶ Patrick Renouvin, Head of the Solutions Division;
- ▶ Jean-Marc Ribes, Head of the Wealth Management Division and Chairman of the Executive Board of BPE;
- ▶ Dominique Rouquayrol de Boisse, Head of Legal Affairs;
- ▶ Daniel Roy, Head of the Asset Management Division;
- ▶ Pierre-Manuel Sroczyński, Head of Permanent Control and Compliance;
- ▶ Julien Têtu, Chairman of the Executive Board of La Banque Postale Financement;
- ▶ Christophe Van de Walle, Internal Auditor;
- ▶ Robert Villani, Executive Vice President of the Network in charge of organisation, risk and the customer experience, Head of Operations;
- ▶ Philippe Cuvelier, Deputy Head of Information Systems;
- ▶ Régis Folbaum, Head of Payments.

Eight *ad hoc* committees:

- ▶ the Group Risk Management Committee;
- ▶ the Group ALM Committee;
- ▶ the Group Capital Management Committee;
- ▶ the Strategy Committee for Information Systems and Major Projects;
- ▶ the Marketing Strategy Committee;
- ▶ the Internal Control Coordination and Business Ethics Committee;
- ▶ the Group Investments Committee;
- ▶ the Management Monitoring Committee for third parties.

Minutes are always drafted after each meeting by the Company Secretary and submitted to the Chairman of the Committee for approval.

ACTIVITIES AND RESULTS OF LA BANQUE POSTALE GROUP

3

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3.1 BUSINESS ENVIRONMENT AND HIGHLIGHTS

3.1.1 Economic and financial environment

Annual average worldwide growth declined slightly but strengthened during the year.

Worldwide growth, which had been growing at around 3% since 2012, increased slightly during 2016. This pattern primarily reflects that of the US economy. Growth, which was disappointing in the first half of the year, firmed up from the third quarter onwards. In particular, the negative impact of the oil sector began to fade. In China, business activity picked up from spring onwards as a result of government support. Countries which had experienced a severe recession in 2015 (Russia and Brazil) also, and for different reasons, showed signs of stabilising. For its part, euro zone growth, which was strong at the beginning of the year, slowed down in the second and third quarters, with household purchasing power affected by the increase in oil prices from the end of January onwards. However, at the end of the year, the business climate showed encouraging signs of improvement. The growth of the French economy was also a little disappointing in the second and third quarters with household spending suffering from the rebound in the price of oil. On the positive side, the property market regained momentum under the joint effect of very low interest rates and public incentive measures. In total, growth in French GDP remained a little above 1% in 2016, as in 2015. As in the other euro zone countries, the business climate improved at the end of 2016, allowing the unemployment rate to fall during the year.

With the rebound in the oil price, inflation began to increase.

The oil price reached its low point at the end of January 2016 with the Brent at less than \$30 per barrel. It then increased in steps and ended the year at around \$55 per barrel. OPEC and other producer countries, including Russia, reached an agreement to reduce their production at the end of November. In Europe, inflation was very low but increased during the year following the rebound in the oil price. In annual average terms, it reached 0.2% in France as in the euro zone (respectively +0.6% and +1.1% over one year in December).

Upturn in interest rates after the summer

Medium and long-term interest rates in the euro zone reached a turning point at the end of the summer. They had reached an

extremely low level following the announcement of the result of the UK referendum which appeared to foreshadow economic and financial turbulence and, therefore, even more accommodative monetary policies. However, they subsequently recovered, driven primarily by US rates. Donald Trump's election accelerated the trend by leading investors to revise their inflation expectations upwards. The economic relaunch promised by Donald Trump would occur in a country with almost full employment. In total, the 10-year US rate gained around 100 basis points during the second half of the year and was accompanied by a hike in the dollar. German Bund performance was in negative territory in mid-June before becoming positive again. For its part, French 10-year government bond yields reached 0.75% in December 2016 having reached a low point of 0.10% during the summer. A gap between German and French rates occurred at the end of the year with investors beginning to build in a political risk premium for France on the grounds of the elections taking place in spring 2017. Furthermore, France is now issuing an amount of sovereign debt that is clearly higher than German sovereign debt.

Short-term interest rates remained negative under the effect of the ECB's accommodative monetary policy. After the rate for deposits for commercial banks with the central bank fell to -0.4% in March, the Eonia moved downwards then stabilised at around -0.35%. For its part, the 3-month Euribor converged towards -0.32% at the end of the year. Regulated interest rates for savings products (Livret A, Sustainable Development account, National Savings account, home loan savings accounts) remained stable in 2016. The Livret A return has been 0.75% since August 2015. On the other hand, the home loans savings account return fell on two occasions during the year: from 2% to 1.5% in February, then to 1% in August.

End of year jump for stock exchanges

European stock markets experienced a year of mixed fortunes, which was notable for periods of decline under the impulse of economic and political uncertainties, particularly before the UK referendum. However, the strength of the UK economy, at least in the short term, and the strengthening of worldwide growth led to an upturn which was amplified by Donald Trump's victory in the US elections. In effect, investors took particular note of the promises in the candidate's programme that were favourable to company revenues (through tax reductions) and to business conditions (through deregulation). In total, the CAC 40 was up 4.9% over the year.

3.1.2 2016 highlights

La Banque Postale, for ten years now, has successfully completed many steps in the consolidation and development of its historic business lines and the conquest of new clientele.

In 2016, in a context of historically low interest rates and volatile financial markets, the Bank, with its strong financial structure, accelerated its development and the diversification of its activities, at the service of all its customers.

The Bank thus **consolidated its partnerships** throughout the year. To this end, it renewed its distribution agreements with CNP Assurances and completed its Non-Life Insurance Division with the buyback from CNP Assurances of its stake in La Banque Postale Prévoyance. With Société Générale it signed a memorandum of agreement to extend the business of their joint venture Transactis to cover the processing of European and international transfers and direct debits, in partnership with Sopra Banking Software, and to pursue the pooling of its costs

in connection with payment means. It finalised its discussions with Natixis leading to closer ties being forged between their real estate asset managers Ciloger and AEW Europe, and the creation of a leader in the management of real estate assets in Europe managing assets worth more than €24 billion⁽¹⁾. As part of this transaction, La Banque Postale took a 40% stake in the share capital of AEW Europe by way of payment for its subsidiary Ciloger. Fédérïs Gestion d'Actifs, the management company specialising in Socially Responsible Investment (SRI) bought from Malakoff Médéric in 2015, has been merged with La Banque Postale Asset Management.

The Bank also **stepped up its commercial actions across all its business lines**.

To meet its customers' expectations, La Banque Postale Asset Management created a new range of five risk managed flexible allocation funds. The successful launch of this range illustrates the benefits of the new partnership with Aegon Asset Management, meaning that henceforth La Banque Postale Asset Management is positioned as a global investor. Since the launch in mid-May, 738 million euros have been collected, reflecting customers' strong interest in these flexible products with interest rates remaining low.

Insurance subsidiaries continued to extend their ranges: new enhanced Vehicle offer, deployment of the ACDS offer (Assurance Coups Durs Santé) and "Oui Santé" offer for the beneficiaries of supplementary health insurance aid, the latter two resulting in the signature of 78,000 new policies in the year.

La Banque Postale thus continued attracting new individual customers, high-net-worth in particular, bringing all the Bank's high-net-worth customers to more than 605,000 and its total number of main bank account holders to over 8.6 million.

In line with its development strategy in the small business segment, La Banque Postale launched its "Dual Relationship" offer for customer, who amalgamate their professional and personal accounts. This solution simplifies their relationship with the Bank and promotes sharing across sales forces. In addition, the deployment of small business account managers has intensified, with almost 220 employees in place at end December 2016.

In accompanying elected officials in a comprehensive approach, La Banque Postale is now a reference bank for the local public sector. In 2016, it implemented more than €9 billion in funding to the customers of this segment, and strengthened its position as leading lender to local authorities and public hospitals with a 29% market share in terms of medium-to-long-term loan production.

Finally, in the context of the development of its offers to legal entities and players in the local public sector, La Banque Postale signed new agreements with the EIB (European Investment Bank) Group: three new refinancing packages for a total of €250 million will support specific programs for SMEs, energy optimisation, or hospitals.

The strengthening of the Executive Board announced in spring 2016, with the arrival of the Chief Operating Officer of Le Groupe La Poste responsible for La Poste Network and now Executive Director for Financial Services, is an essential component enabling commercial activities to be structured and more closely coordinated and to reinforce the links with La Poste Network.

During the year, the Bank's **financial strength** was confirmed through the stress testing exercise conducted by the European Banking Authority (EBA): the effects of the adverse scenario, bringing the phased-in CET1 ratio to a value of 9.7% by the end of year 2018, demonstrated the ability of the Bank to face up to an adverse environment while preserving its solvency position.

Meanwhile, the results of the annual SREP exercise for 2016 conducted by the European Central Bank (ECB) resulted in CET1 requirements of 7.625% and Total Capital of 11.125%, applicable from 1 January to 31 December 2017, and well below the actual ratios posted by the Bank.

The Bank, ever committed to satisfying its customers, is improving its **operational efficiency**. To this end it relies on its major transformation programs that are delivering their first benefits: after rolling out interview assistance tools and providing a new campaign management tool, the Cap Client 3.0 programme has entered a new phase focusing on customers' business development needs, while the Excello programme aims to improve processes and tools that enhance service quality.

This improved efficiency at the service of the Group's development is accompanied by a **major employee training program** to which the Bank is particularly attached. The EBR (Ecole de la Banque et du Réseau, or the banking and network school) provided nearly 370,000 training days and trained more than 47,000 employees⁽²⁾ in new professions during the year, so that everyone can find a place within the Bank of tomorrow.

Aware of the importance of taking climate issues into account in its business, La Banque Postale pursued its actions with regard to its CSR policy. It has itself analysed its investment portfolios in order to measure its exposure to climate risks. To reduce its direct environmental footprint, the Bank has also expanded its internal Carbon Fund mechanism allowing it to increase the number of CO₂ emission-reduction projects funded internally and throughout the country.

On the occasion of its 10th anniversary, and with the strength of the 10.7 million active customers it serves on a daily basis, La Banque Postale reaffirmed its identity and its difference by renewing its logo and its codes of communication. Close to its customers and focusing as always on their interests, it is the incarnation of a bank deploying its civic energy on a daily basis at the service of all.

(1) La Banque Postale is now consolidating 40% of the new entity using the equity method.

(2) Network, Financial Services and Bank Scope.

3.2 ACTIVITIES AND RESULTS OF LA BANQUE POSTALE GROUP

Annual revenues were resilient overall. They were however notable for the erosion of net banking income in a context of persistently low interest rates, which partly masks business momentum and cost control, and for non-recurring items and a positive tax effect.

Consolidated income statement (in millions of euros)

Main lines in the income statement ⁽¹⁾	2016	2015	%
Net banking income	5,602	5,745	-2.5%
Operating expenses	(4,587)	(4,693)	-2.3%
Gross operating income	1,015	1,052	-3.5%
Cost of risk	(181)	(181)	0.2%
Operating income	834	871	-4.3%
Equity associate ⁽²⁾	191	207	-7.6%
Pre-tax income	1,023	1,094	-6.5%
Tax	(288)	(350)	-17.6%
Net income, Group share	694	707	-1.8%
Cost to income ratio	82.4%	82.1%	+0.3 points

(1) Published figures.

(2) Entity CNP Assurances + entity AEW EUROPE since 2016.

Consolidated net banking income (NBI) was €5,602 million, i.e. a 2.5% decrease on 31 December 2015. Excluding the home savings provision⁽¹⁾ effect and on a like-for-like basis⁽²⁾, it was down by 6.3%. It includes a capital gain of €107 million linked to the transfer of Visa Europe securities.

The Group's operating expenses⁽³⁾ stood at €4,587 million, a decrease of 2.3%. On a like-for-like basis⁽⁴⁾, they were down 2.5%. They reflect the constant attention paid by the Bank to its operating expenses, particularly through the service agreements with the La Poste network, in a context of investment and development of the activities of its subsidiaries. This favourable trend also includes a one-off reduction in taxes and duties resulting from a reassessment notice for 2012 and 2013 from the tax audit regarding compliance with the rules that apply to regulated savings and the reimbursement of a contribution to the Deposit Guarantee and Resolution Fund.

The cost-income ratio was up by 0.3 point to 82.4%.

The cost of risk remained controlled and was €181 million (+0.2%). It includes additional provisions, including on home loans, while the cost of risk on current accounts declined strongly. Compared with the commercial banking outstandings, the cost of risk remained at a very low level at 22 basis points⁽⁵⁾.

Operating income was €834 million, down 4.3%. This includes the non-recurring items mentioned previously. The share of profits of equity associates, now including AEW Europe, fell by 7.6% to stand at €191 million. This reduction, which was also observed in the first half-year, is due to the capital gain realised by CNP from the disposal in June of its stake in La Banque Postale Prévoyance, which has been removed from the consolidated financial statements of La Banque Postale.

Pre-tax income reached €1,023 million, down 6.5%. Net income was down by 1.3% at €734 million. Net income, Group share, was down 1.8% at €694 million, due to the higher weight of the minority shareholders.

(1) Reversal of provisions of €141.7 million in 2016 against a provision allowance of €63.5 million in 2015.

(2) Ciloger and Fédérès Gestion d'Actifs in the amount of €20 million.

(3) General operating expenses + depreciation, amortisation and impairment.

(4) Ciloger and Fédérès Gestion d'Actifs in the amount of €13 million.

(5) Cost of commercial banking credit risk.

3.3 ACTIVITIES AND RESULTS BY BUSINESS LINE

3.3.1 Retail Banking and private banking

(€ million)	2016	2015 ⁽¹⁾	%
Net banking income	5,242	5,415	-3.2%
Operating expenses	(4,389)	(4,519)	-2.9%
Gross operating income	853	895	-4.7%
Cost of risk	(181)	(181)	+0.2%
Operating income	672	715	-6%

(1) La Banque Postale Gestion Privée's business activities were transferred from the Asset Management Division to the Retail Banking Division.

Commercial results of Retail Banking: Service take-up⁽¹⁾

The Bank relies on a base of 10.7 million active individual customers, including 8.6 million customers holding their main account with the bank, more than 605,000 high net-worth customers and nearly 400,000 legal entities. Almost 830,000 new account packages (combining cards and services with current account opening) were recorded during the year, the total number reaching 6.7 million⁽²⁾ and the service take-up rate 58.3%⁽³⁾. The total number of payment cards continued to rise and reached 8.1 million (+1%), while the service take-up rate in CCP cards rose to 70.6%.

Commercial results of Retail Banking: savings

Persisting low interest rates impacted investments of ordinary or so-called liquid savings: their outstanding position fell to €80.5 billion (-€0.6 billion or -0.8%). This decline was centred on the Livret A (whose return is set at 0.75%) with outstanding falling by €0.6 billion (-1%) to €59.6 billion.

Home savings deposits on the other hand continued to grow and stood at €31.9 billion (+€1.4 billion, or 4.5%), despite the decrease in the return of the home loan savings plans taken out on or after 1 August 2016 to 1%.

Sight deposits also continued to rise and reached €58.9 billion (+€4.9 billion, or +9%). Of these, the sight deposits of individual customers represented €52 billion, growing by €3.1 billion (or +6.4%), while the sight deposits of legal entities rose more sharply (+33.9%) to €6.8 billion and reflect the Bank's development of this customer segment.

All in all, outstanding savings on the balance sheet⁽⁴⁾ increased by €4.9 billion to stand at €171.9 billion (+2.9%).

Regarding financial savings, life insurance outstandings rose 1.1% to €125.9 billion, despite the decline of 3.3% of gross inflows. UCITS outstandings were hit by the impact of low interest rates, thus falling by €1.5 billion, or -11.1% to stand at €11.9 billion.

Overall, deposits in Retail Banking customer savings (balance sheet savings and non-consolidated financial savings) stood at €309.7 billion, an increase of €4.7 billion (+1.6%).

Commercial results of Retail Banking: lending

La Banque Postale continued to help its customers finance their projects throughout the year. The production of home loans in 2016 reached €11.2 billion, a 12.8% decline, following an unusual 2015 year marked by a high rate of external loan redemptions, in a context of low interest rates increasing competition between institutions. This includes home loan production of the subsidiaries BPE and SOFIAP for €950 million. Prepayments and renegotiations remained high but were down by 37% and 44% over the period respectively. Meanwhile, consumer credit continued to grow, with production of €2.4 billion, an increase of 5.6% with the share of revolving credit of €156 million, rising by almost 18%.

All in all, outstanding loans to individuals rose by 3.5% to €61.5 billion, including €4.9 billion of outstandings in consumer credit, up 8.4% over the period, while outstandings in home loans were up 3.2% at €55.9 billion.

La Banque Postale in parallel continued the **development of its activities at the service of legal entities**, with a very dynamic loan production of €15.3 billion, an increase of 25.9% over the period⁽⁵⁾. Issuance of loans is divided between €7.4 billion in short-term loans and €7.9 billion in medium-to-long-term loans. Outstanding loans to corporates and the Local Public Sector came to €14.4 billion, an increase of 48.2% after the transfer to CAFFIL, as part of the loan refinancing agreements for local communities and public health institutions, amounting to nearly €3 billion over the period.

Overall, outstanding loans rose 9.8% (+€6.8 billion) to €75.9 billion, illustrating the role played by the Bank in financing the real economy.

Financial results of Retail Banking

Net Banking Income

Net Banking Income for Retail Banking was down 3.2% (-€173 million) to stand at €5,242 million. Excluding the effect of the home savings provision, it was down by 6.9% (-€378 million). It incorporates the capital gain from the transfer of Visa securities for €107 million.

(1) LBP SA scope.

(2) Inventory of package offers for all customers, data estimated at the end of 2016.

(3) Service take-up rate for all customers, data estimated at the end of 2016.

(4) Individuals and legal entities.

(5) Including repurchase of factoring receivables.

Revenues from commissions rose by €41 million (+1.9%) to €2,258 million. This increase is explained by an increase in insurance commissions in connection with the development of the business, and is partially concealed by the decline in commissions on securities, discretionary asset management and UCITS under the effect of less favourable markets; prepayment commissions dropped due to fewer repurchases of home loans than in the year 2015.

Interest and similar income amounted to €3,051 million, down €182 million (-5.6%). Excluding the home savings provision effect, it fell by €387 million. This item was impacted by lower income on centralised outstanding savings related to the decline in the rate of return and the amount of centralised outstandings (one impact being that of decentralisation of half of the outstandings of Savings Accounts (LEP) on 1 July 2016), but also by the decline in revenue from loans in the low interest rate context (notably, the full effect in 2016 of the year 2015 renegotiations) and the decline in income from the assets of financial portfolios, mitigated by the capital gains made on the Visa securities sales.

Other income fell by €32 million to -€67 million.

Operating expenses

Retail Banking operating expenses dropped by 2.9% to €4,389 million. Charges of Banque Postale S.A. are the main component of all operating expenses and they declined by more than 3% while the operating expenses of Retail Banking subsidiaries rose more than 6%, in support of their development.

Cost of risk

The cost of risk for the Retail Banking business line stood at €181 million, almost stable (+0.2%). Reported to loans outstanding, it stood at 22 basis points⁽¹⁾ (-1 bp).

Operating income

The Retail Banking business line posted an operating income of €672 million, down 6%.

3.3.2 Asset management⁽²⁾

Asset management (€ million)	2016	2015 ⁽¹⁾	%
Net banking income	163	144	+12.7%
Operating expenses	(93)	(79)	+17.6%
Gross operating income	70	66	+6.7%
Cost of risk	0	(0.1)	NS
Operating income	70	65	+6.9%

(1) La Banque Postale Gestion Privée's business activities were transferred from the Asset Management Division to the Retail Banking Division.

At 31 December, assets under management (€180.6 billion) consisted of those of La Banque Postale Asset Management (including La Banque Postale Structured Asset Management and Fédérés Gestion d'Actifs) for €179.2 billion and those of Tocqueville Finance for €1.4 billion⁽³⁾. On a like-for-like basis⁽⁴⁾, they rose 1.3% over the period.

Outstandings of La Banque Postale Asset Management (including those of La Banque Postale Structured Asset Management and Fédérés Gestion d'Actifs) rose 1.2%. This performance was driven by a positive market effect offset by net withdrawals centred on institutional clients and funds and mandates invested in short-term assets. Inflows from individual customers were buoyed by the great success of the new range of the five flexible allocation funds with managed risk, launched mid-May 2016, which alone resulted in €839 million in funds under management at the end of the year.

Tocqueville Finance outstandings (excluding LBPAM management delegation) grew by almost 13% over the period, under the double influence of positive net inflows of €94 million and a generally favourable market. Net Banking Income for the Asset Management Division stood at €163 million at 31 December 2016, an increase of 12.7%. On a like-for-like basis⁽⁵⁾, NBI was down 0.9%, mainly reflecting the decline in commissions on mutual fund management linked to the decline of average outstandings negatively impacted by market trend, after a favourable 2015. At year end, market conditions improved however and halted this downward trend.

Operating expenses were up 17.6% to stand at €93 million. On a like-for-like basis⁽⁶⁾, this represented an increase of 1.1%.

All in all, operating income of the asset management subsidiaries rose by 6.9% to €70 million.

(1) Cost of commercial banking credit risk.

(2) Excluding AEW Europe's contribution by the equity method.

(3) Outstandings of private management included, excluding LBPAM management delegation in the amount of €339 million, compared to €277 million in 2015.

(4) Excluding Ciloger.

(5) Ciloger and Fédérés Gestion d'Actifs in the amount of €20 million.

(6) Ciloger and Fédérés Gestion d'Actifs in the amount of €13 million.

3.3.3 Insurance⁽¹⁾

Insurance (€ million)	2016	2015	%
Net banking income	198	186	+6.3%
Operating expenses	(106)	(95)	+11.6%
Gross operating income	92	91	+0.8%
Cost of risk	(0)	(0)	NS
Operating income	92	91	+0.8%

The overall portfolio of policies numbered almost 4,452,000, an increase of 5.5%.

The health insurance policy portfolio grew by nearly 50% to stand at over 163,000 policies, thanks to the success of ACDS (Assurance Coups Durs Santé, or hard times health insurance) and "Oui Santé" supplementary health insurance assistance) products, which alone accounted for over 78,000 new policies. The revenue of the subsidiary trended favourably, essentially due to a volume effect.

The IARD insurance policy portfolio grew by nearly 14% to more than 1.5 million policies. Growth of the subsidiary's revenue was particularly supported over the year by the Legal Protection and Pocket product ("Produits de poche") offers and was supported both by volume effect and by an average premium effect.

The personal contingency insurance portfolio of La Banque Postale Prévoyance remained almost unchanged at around 2,750,000 (-0.3%) policies, while the production of new business fell, impacted specifically by the end of the marketing of the single premium funeral policy in September 2015, due to regulatory changes, and with the full effect being felt in 2016. The subsidiary's revenue, excluding the effect when sales of the single premium funeral policy ended, was up over the year.

Net banking income for the Insurance Division rose by 6.3% to €198 million.

Insurance subsidiaries' operating expenses were up 11.6% to €106 million.

All in all, the operating income of the insurance subsidiaries was €92 million, up 0.8%.

3.3.4 Balance Sheet and Financial Structure

The consolidated balance sheet at 31 December 2016 stood at €229.6 billion, versus €218.7 billion at 31 December 2015, an increase of €10.9 billion.

La Banque Postale has a sound financial structure: regulatory capital rose by €1.4 billion to more than €11.5 billion. The figure includes the issuance of Tier 2 subordinated debt during the year including the public offering of €500 million in June.

- ▶ La Banque Postale's Common Equity Tier 1 ratio⁽²⁾ amounted to 13.7%, up 0.5 points compared with December 2015.
- ▶ the total capital ratio of La Banque Postale meanwhile stood at 19.4%, up 0.7 points compared to December 2015.
- ▶ the Bank's estimated leverage ratio, considering the transitional measures relating to outstanding centralised savings at the CDC, in application of the European Central Bank decision of 24 August 2016, is 4.6%. Excluding outstanding savings centralised at the CDC in accordance with the Delegated Act of October 10, 2014, it is stable at 5.2%.

La Banque Postale showed a comfortable liquidity position, as shown by:

- ▶ a loans-to-deposits ratio of 74%⁽³⁾, which is near-stable compared to December 2015;
- ▶ an estimated LCR of 260%, sharply higher compared to December 2015 (218%), notably under the effect of the

decentralisation of part of the National Savings account (LEP) outstandings. It is still significantly higher than the regulatory requirements.

At 31 December 2016, La Banque Postale had good credit ratings, reflecting its financial strength and its rigorous risk management:

	Standard & Poor's	Fitch
Long-term ratings	A	A-
Outlook	Stable	Stable
Date updated	26 October 2016	4 May 2016
Short-term rating	A-1	F1

Following the Supervisory Review and Evaluation process (SREP) conducted by the European Central Bank (ECB) in 2016, the level of phased-in CET1 equity required on a consolidated basis was set at 7.625% at 1 January 2017. This requirement includes an "Other systemic institution" buffer (O-SIB) of 0.125%, a capital conservation buffer (CCB) of 1.25% and a Pillar 2 Requirement (P2R) of 1.75%.

The "Total capital" requirement stands at 11.125% for 2017. The fully loaded CET1 and Total Capital requirements, excluding the so-called "P2G⁽⁴⁾" requirement, would be 9% and 12.5% respectively, given the increase in the buffers (O-SIB and CCB).

(1) Excluding CNP Assurances's contribution by the equity method.

(2) CRR/CRD 4 with transition measures. The fully loaded ratio is 14.3%.

(3) The loan to deposit ratio for the Group is defined as the ratio between loans and deposits, excluding savings funds centralised within the Caisse des dépôts et consignations (CDC).

(4) In accordance with the prudential regulations, failing to comply with the so-called P2G recommendation does not impact the ability of the institutions to distribute dividends and hybrid AT1 subordinated debt.

3.4 ANALYSIS OF THE CONSOLIDATED BALANCE SHEET

The following analysis is in comparison to the 2015 balance sheet.

The total consolidated balance sheet stood at €229.6 billion as at 31 December 2016, up €10.9 billion compared with 31 December 2015, i.e. +5%.

The main asset items in the balance sheet comprised:

- ▶ financial assets at fair value through profit and loss (€12.3 billion as at 31 December 2016 versus €11 billion as at 31 December 2015). This item essentially comprised bonds and other fixed-income securities for €11 billion versus €10.2 billion at the end of 2015;
- ▶ available-for-sale financial assets (€18.9 billion as at 31 December 2016 compared to €15.6 billion as at 31 December 2015). This item essentially consists of bonds and other fixed-income securities for €10 billion compared to €10.8 billion at the end of 2015 and government paper and similar securities with for €7.5 billion (compared to €3.2 billion at the end of 2015);
- ▶ loans and receivables – credit institutions (€84.5 billion as at 31 December 2016 compared with €83.1 billion as at 31 December 2015). This item mainly comprises accounts and loans – credit institutions and similar for €83.9 billion, which includes funds of Livret A accounts, Sustainable Development accounts, and National Savings accounts (LEP) centralised at the Caisse des dépôts et Consignations (CDC) for €70.7 billion;
- ▶ loans and receivables – customers (€78.8 billion as at 31 December 2016 compared with €73.6 billion as at 31 December 2015). This item essentially includes outstandings for home loans, consumer loans and corporate (businesses, professionals and local public sector) loans;

- ▶ financial assets held to maturity (€22.3 billion Compared to €24.2 billion at 31 December 2015). This item, which essentially consists of government paper and similar securities for €19.9 billion, is falling as assets mature.

The main liability items in the balance sheet, apart from the Equity, Group share of €9.7 billion:

- ▶ liabilities due to credit institutions for €19 billion (versus €15.7 billion as at 31 December 2015). This item essentially includes securities assigned under repo agreements for €15.7 billion versus €13.4 billion as at 31 December 2015;
- ▶ liabilities to customers for €176 billion (versus €171.8 billion as at 31 December 2015). This item comprises demand deposits for €58.9 billion and special savings accounts for €113.3 billion, including €31.9 billion in home savings, €59.6 billion in Livret A accounts and €21.7 billion in other special accounts (LEP, LDD and other accounts);
- ▶ debt securities for €10.5 billion (versus €9.1 billion as at December 2015);
- ▶ subordinated debt for €3.8 billion (versus €3.2 billion at 31 December 2015), an item reinforced by a debt issue of €600 million carried out in June and October 2016.

The Bank's ROA⁽¹⁾ is 0.30% at 31 December 2016, (-0.02 point compared to 31 December 2015).

The residual direct and indirect PIIGS exposure of La Banque Postale⁽²⁾ was down to €1.2 billion versus €1.5 billion at the end of 2015. It was essentially concentrated on Italy and to a lesser extent on Spain.

3.5 ADDITIONAL INFORMATION

3.5.1 French Economic Modernisation Act (LME) information – Suppliers' terms of payment

At 31 December 2016, payables to suppliers booked in the separate financial statements of La Banque Postale amounted to almost €58 million, of which over €45 million was payable within one month or less.

(€ '000s)	Reminder of the closing balance	≤ 1 month	> 1 month and ≤ 2 months	> 2 months
2016	57,980	44,860	13,120	0
2015	85,959	61,745	24,215	0

(1) Return on assets (Net income, Group share/Balance sheet total).

(2) Net book value (including impairment) of exposure on the bank's own account, see Chapter 4 of this Registration Document.

3.5.2 Amount of non-tax-deductible expenses

The amount of non-tax deductible expenses, as listed in Article 39-4 of the French General Tax Code, was not material.

3.5.3 Research and development, patents and licenses

Research and development expenditure was not material.

3.5.4 Table of delegations granted by the General Meeting of Shareholders and their use in 2016

General Meeting	Purpose of the authorisation given to the Executive Board	Delegation validity period	Limit	Use in 2016
None	None	None	None	None

3.5.5 Appropriation of 2016 profit and loss (€)

Net income for the period	564,066,405.74
- Allocation to the legal reserve	(28,203,320, 29)
+ Prior retained earnings	726,521,318.81
TOTAL	1,262,384,404.26

And decides to allocate it as follows:

► dividend	312,101,177.11
► retained earnings	950,283,227.15
TOTAL	1,262,384,404.26

The proposed dividend is €8.87 for each of the 35,186,153 shares making up the share capital.

3.5.6 Investment

La Banque Postale has not made any significant investments (investment of over €1 billion) during the financial year.

3.5.7 Internal control

In the framework of the law on Financial Security of 1 August 2003, it is the responsibility of the Chairman of the Supervisory Board to account, in a report attached to the management report, for the conditions governing the preparation and structure of the work performed by the Board and for the internal control procedures instituted by the Company, on a consolidated basis.

This report, made public under the conditions provided for by the Autorité des marchés financiers (AMF) and included in this document (Chapter 2, Chairman's report) comprises two parts:

- the first covers the work of the Supervisory Board of La Banque Postale;
- the second brings together information on the principles for organising internal control and risk management monitoring systems within La Banque Postale Group.

3.5.8 Information relating to business locations and business as at 31 December 2016

Article L. 511-45 of the French Monetary and Financial Code requires that credit institutions publish information relating to the financial year ended 31 December 2016 concerning their business locations and their business included in their scope of consolidation, in each State or territory.

Business locations by country as at 31 December 2016

France

Retail Banking

La Banque Postale
SCI CRSF DOM
SCI CRSF
SCI Tertiaire Saint Romain
SF2
La Banque Postale Financement
La Banque Postale Credit Entreprises
EasyBourse
FCT Elise 2012
BPE

La Banque Postale Collectivités Locales
La Banque Postale Home Loan SFH
SOFIAP

Insurance

CNP Assurances Group
La Banque Postale Prévoyance
La Banque Postale Conseil en Assurances
Sopassure
La Banque Postale Assurances IARD
La Banque Postale Assurances Santé

Asset management

La Banque Asset Management
Tocqueville Finance Holding
Tocqueville Finance SA
AEW Europe

Principality of Monaco

Retail Banking

La Banque Postale: Post office

Data presented by country as at 31 December 2016

State or Territory consolidated contribution (€ '000s)	NBI and revenue ⁽¹⁾	FTE staff ⁽²⁾	Net income before tax ⁽³⁾	Amount of income tax for which the business locations are liable	Public grants received ⁽⁴⁾
France	5,599,487	4,408	1,021,419	-287,972	0
Principality of Monaco	2,808		1,257	-419	0
GROUP TOTAL	5,602,295	4,408	1,022,676	-288,391	0

(1) The amount of net banking income and revenue correspond to the contribution by business locations in France and the Post Office in the Principality of Monaco to LBP's consolidated financial statements.

(2) The full-time-equivalent staff includes all employees with a local employment contract as well as employees who have been physically seconded.

(3) This is the profit for the period before corporate income tax and other taxes.

(4) These are public grants actually paid and excluding tax credits.

3.6 POST BALANCE SHEET EVENTS

None.

3.7 RECENT CHANGES AND OUTLOOK FOR 2017

La Banque Postale, like all euro zone credit institutions, is facing a double shock:

- ▶ an economic context of historically low interest rates which is unfavourable to its business;
- ▶ a structural context connected to the digital revolution and its impact on customer behaviour, the consumption of banking services and the nature of the relationship between the customer and its Bank.

Faced with the interest rate risk, it will continue to adapt its model and will further accelerate its conquest and the diversification of its activities. This strategy will continue to be based on the development of all of its clients (individuals including high-net-worth, professionals, corporates, etc.) as well as the development of its three branches of activity (Retail Banking, Asset Management and Insurance). By increasing its customers' take-up, it will be able to develop commission revenues that are less sensitive to the interest rate environment. In this respect, La Banque Postale will be able to rely on its new partnerships.

In the face of ever higher expectations from its customers with regard to the simplicity of exchanges and the quality of service, the Bank will continue to modernise its home loan distribution model and will gradually mobilise the network banking advisors, in addition to specialist property advisors. The Network's strengthened independence in the area of approval decisions, as close as possible to its customers for a more supple and reactive response, will play a role in smoothing exchanges and improving the customer experience.

The Ecole de la Banque et du Réseau (EBR), created just over a year ago, will coordinate the training plan for the new system and will play

a full role as the instigator of new skills in order to make this project a success. At the same time, it will continue to train Professional Customer managers, with the goal of training 1,000 of them by 2020, and high-net-worth customer advisors.

La Banque Postale is also actively preparing for its future 100% digital Bank, which will be taken forward by a subsidiary, whose accreditation process has recently been engaged with the ACPR. Natively centred on the mobile usages of customers in general, this Bank will be open to all, simple, useful, close, transparent and responsible, in accordance with the values of the Group. The Bank aims to launch this offering in the autumn of 2018.

The Bank will also continue to pay constant attention to its costs in a context of investment and development of the activities of its subsidiaries. It will be able to capitalise on the deployment of its major programs for better operational efficiency of the action of advisors, of that of its Financial Centres and information systems. The Cap Client 3.0, Concerto and Excello programs are key to this quest for efficiency, but also for the quality of service and quality of life in the workplace for employees.

Proud of its banking accessibility mission, ever since it was created La Banque Postale has multiplied actions for banking inclusion, in partnership with registered public associations. In a complex economic and financial context, it wishes to continue these actions and in the first half of 2017 intends to announce new initiatives for its more vulnerable customers.

Dynamic and innovative, La Banque Postale will continue to reinvent itself while reaffirming its unique nature as a "Civic-minded Bank".

3.8 INFORMATION ON THE STATUTORY AUDITORS

Statutory auditors of La Banque Postale	Start date of first assignment	End date of the assignment
PricewaterhouseCoopers Audit (member of the Versailles Regional Chamber of Statutory Auditors) 63, rue de Villiers 92200 Neuilly-sur-Seine Represented by Jacques Lévi as from the 2016 financial year Alternate auditor: Jean-Baptiste Deschryver	28 April 2004	The General Meeting called in 2022 to approve the financial statements for the year ending 31 December 2021
KPMG Audit (member of the Versailles Regional Chamber of Statutory Auditors) Division of KPMG S.A. Tour Eqho 2, avenue Gambetta CS60055 92066 Paris La Défense Represented by Marie-Christine Jolys as from the 2015 financial year Alternate auditor: KPMG Audit FS1	27 May 2010	The General Meeting called in 2022 to approve the financial statements for the year ending 31 December 2021

Furthermore, as regards the audit of the previous accounts:

2014 financial year

PricewaterhouseCoopers Audit

63, rue de Villiers
 92200 Neuilly-sur-Seine
 Represented by Agnès Hussherr

KPMG Audit

2, avenue Gambetta
 CS60055
 92066 Paris - La Défense
 Represented by Isabelle Goalec

2015 financial year

PricewaterhouseCoopers Audit

63, rue de Villiers
 92200 Neuilly-sur-Seine
 Represented by Agnès Hussherr

KPMG Audit

2, avenue Gambetta
 CS60055
 92066 Paris - La Défense
 Represented by Marie-Christine Jolys

3.9 ALTERNATIVE PERFORMANCE MEASURES – ARTICLE 223-1 OF THE AMF REGULATIONS

Alternative performance indicators	Definition and method of calculation
NBI excluding the effect of the home savings provision	NBI restated for provisions or reversal of provisions on liabilities related to home loans savings accounts (PEL and CEL)
Operating expenses	Sum of operating expenses and net depreciation and amortisation and impairment of property, plant and equipment and intangible assets
Cost-income ratio	Operating expenses divided by NBI corrected for doubtful interest
Cost of risk in basis points	Average commercial banking credit risk costs for the quarter divided by outstandings at the beginning of each quarter

RISK MANAGEMENT – PILLAR III INFORMATION

4

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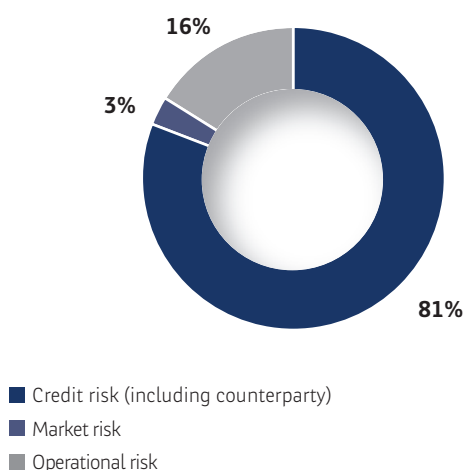
The objective of this chapter is to present the main risks to which La Banque Postale is exposed in the context of its business activities and to provide information on its risk management and capital.

The purpose of this information is to comply with the reporting obligations pursuant to EU Regulation No. 575/2013 relating to

the prudential requirements applicable to credit institutions and investment firms (CRR) and EU Directive 2013/36/EU on access to the activity of credit institutions and the prudential supervision of credit institutions and investment firms.

Key figures

WEIGHTED ASSETS BY TYPE OF RISK AT 31 DECEMBER 2016



	2016	2015
CAPITAL (€ million)*		
Common Equity Tier 1 (CET1)	8,171	7,155
Tier 1 (T1)	8,971	7,955
Total Capital	11,551	10,115
RISK-WEIGHTED ASSETS (€ millions)		
Total RWA	59,534	54,208
CAPITAL RATIOS (%)*		
CET1 ratio (%)	13.7%	13.2%
T1 ratio (%)	15.1%	14.7%
Total capital ratio (%)	19.4%	18.7%
ADDITIONAL BUFFERS		
Capital conservation buffer	1.25%	0.625%
Countercyclical buffer (%)	0%	0%
Additional buffer	0.125%	0.0625%
LEVERAGE RATIO		
Exposure to leverage ratio**	196,096	229,429
Leverage ratio (%)	4.6%	3.5%
LIQUIDITY RATIO		
Total HQLA	13,925	15,667
Total net outflows	(5,358)	(7,191)
LCR ratio (%)	260%	218%

* Pro forma 2015.

** Estimated before application of the delegated act and 2016 exposure, taking account of transitional measures relating to the treatment of savings funds centralised within the Caisse des Dépôts (CDC), in accordance with the ECB's decision of 24 August 2016.

4.1 GENERAL PROCEDURES FOR RISK CONTROL AND MONITORING

La Banque Postale's internal control procedures cover all risks and involve the Group Risk Department, the Compliance and Permanent Control Division and the Internal Audit Department.

Further information about this system, which includes its stakeholders and their missions together with their governance, is set out in chapter 2 of the Registration Document "Internal Control".

4.1.1 Regulatory framework

La Banque Postale's internal control system is governed by:

- ▶ the decree of 3 November 2014 on the additional monitoring of financial conglomerates;
- ▶ the decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sectors under the supervision of the French Prudential Supervision and Resolution Authority (ACPR);
- ▶ the decree of 3 November 2014 on prudential supervision on a consolidated basis.

The prudential regulations have incorporated the "significance" of institutions in order to regulate the level of obligations to be met in relation to governance, the risk management and control system and capital requirements.

To ensure compliance at all times with the regulatory ratios (solvency, liquidity and leverage), institutions must integrate systems to measure risks taken and potential risks, as well as capital and liquidity management systems. Large institutions have also been strongly encouraged to develop an internal capacity to evaluate their risks.

It is the responsibility of the supervisory body to review the Bank's governance system and evaluate its efficiency, and to approve and regularly review the strategies governing the taking, management, monitoring and reduction of identified and potential risks. The decree on internal control specifies this role in the definition of the supervision guidelines and policy, approval of the overall limits (in particular liquidity), in establishing a strategy for business continuity and remuneration policy.

This role implies that members of the Supervisory Board have the necessary knowledge, skills and expertise to understand and monitor the Group's strategy and appetite for risk. Accordingly, the powers of the ACPR regarding directors, as well as company managers, have been reinforced regarding appointments and the assessment of expertise in particular.

Implementation of the CRD IV Directive and CRR regulation

La Banque Postale has implemented the requirements of Basel III since 1 January 2014, namely:

- ▶ the new calculations of solvency ratios with:
 - new weighting rules covering credit institutions (including application of weighting based on the external rating of the institution, rather than on the State where it is based),
 - a change to the application of the Financial Conglomerates Directive for calculating capital;
- ▶ implementing the LCR (short-term liquidity ratio) calculations produced for the regulator;
- ▶ the production of information on the NSFR and leverage ratio to regulators for the calibration of future indicators and associated limits.

From September 2016, La Banque Postale has been applying the Delegated Acts relating to the LCR liquidity ratio and leverage ratio.

The solvency ratio is calculated on a consolidated scope; insurance holdings are consolidated by the equity method.

Current methodology used to calculate capital requirements

The standardised approach is used to quantify the capital requirements under Pillar I for:

- ▶ credit risk;
- ▶ market risk;
- ▶ operational risks.

The general approach is employed, with use of the regulatory settings to apply risk reduction techniques.

For operational risk, the equity requirements are independent of the level of loss under this risk. The amount is calculated based on the NBI generated by each banking activity (including the bank's main activity of Retail Banking). Each business is weighted (from 12% to 18% for the most risky).

4.1.2 Operational implementation of the reference framework

4.1.2.1 Implementation of the regulatory framework

The regulatory framework is divided into internal rules, validated by the Bank's Executive Board:

- ▶ the Risk Management Policy with respect to risk management (update presented to the Supervisory Board's Risk Committee in January 2017) and Risk Charter (approved in October 2015), which contains, among other items, the formal Risk Appetite Framework (RAF), see below;
- ▶ the Permanent Control Charter of La Banque Postale Group (update presented to the Supervisory Board's Risk Committee in January 2017);
- ▶ the Periodic Control Charter of La Banque Postale Group (update presented to the Supervisory Board's Risk Committee in January 2017).

The Bank has completed its own risk management systems following obtained successive approvals for the financing of local public sector companies and entities in addition to the customer segments that were managed by means of risk control systems already in place since the Bank's creation (Sovereign, Banking and Insurance, Retail Banking).

4.1.2.2 Internal control organisation, governance and actors

The Executive Board sets the fundamental principles (strategic guidelines, values, appetite for risk, governance), which are approved by the Supervisory Board, and on the basis of which each business activities sets its priorities and the associated risk management system under the supervision of the Group Risk Department. These fundamental principles are reflected in the Risk Management Policy (RMP).

The risk management system has three lines of defence that constitute the general internal control framework:

- ▶ a first line within the operational business lines responsible for applying the risk management procedures which they will have defined in advance in concert with the Group Risk Department (GRD);
- ▶ a second line consisting of the GRD, which ensures the existence of an appropriate, uniform framework to define and improve the risk management procedures;
- ▶ a third line via internal controls designed to give an independent idea of the effectiveness of the risk management system in place.

The internal control system of La Banque Postale includes permanent and periodic controls. This is based on:

- ▶ a Risk Management Policy and a charter of the Risk Management unit drawn up by the Group's Risk Management Division; a La Banque Postale Group Permanent Control Charter drawn up by the Compliance and Permanent Control Division and by the Group Risk Department; a La Banque Postale Group Periodic Control Charter drawn up by the Internal Audit Department. It establishes a series of principles for risk management and control that must be implemented by each management entity in charge of processes. Each department defines documents and maintains a booklet of its procedures. These include the audit point(s) necessary to ensure quality operations;
- ▶ the responsibility of all the players, which constitutes the basis of effective management and control procedures. All employees

must ensure that the work that they perform and the transactions that they handle are executed in accordance with the expected procedures and the level of quality required. They must be in a position to account for the effective management of the work that they perform and the inherent risks of that work at any time. This principle relies on close involvement of managers;

- ▶ proportionality between the controls in place and the level of risk to be managed. Each manager shall analyse their own risk and implement an appropriate control framework in order to achieve a reasonable level of confidence that their business activities are properly managed, and that they comply with the Company's internal and external standards and regulations;
- ▶ thoroughness of the scope of the control procedures. It covers all the activities of La Banque Postale. These procedures apply to all kinds of risk, to all those employed directly by the Bank and all those acting in its name and on its behalf, and to all the entities of La Banque Postale Group. The internal control procedures also extend to essential services that have been outsourced.

Risk Management Policy

The Group Risk Management Policy defines La Banque Postale Group's risk management policy. It is part of an approach that is broader than the narrower field of monitoring risks, and plays a full part in the strategic and financial oversight of La Banque Postale.

It aims to determine the degree of risk tolerance that is compatible with the Bank's strategy, level of capital and financial business plan.

As part of this, its role is to define:

- ▶ the level of acceptable risk for La Banque Postale Group;
- ▶ the general rules for measuring and framing risk-taking;
- ▶ the general arrangements for supervising and monitoring risks.

Furthermore, the risk measurement carried out in La Banque Postale Group feeds a significant number of internal processes which allow the organisation's performance to be monitored and, where applicable, adjustments to be made.

This inclusion of a risk-based approach at a more "strategic" oversight level, is notably demonstrated by the annual budget process which is overseen operationally by the Group Finance Department, since it reviews the equity allocations to each business activity and the income projected from each one feeds into the Bank's Capital Planning system. The performance reviews for each business activity also include a "risk" dimension; for example, indicators like cost of risk or complying with limits are key components for assessing this performance.

The Risk Appetite Framework

The Risk Appetite Framework, and the different levels of target requirements related to it, were developed by La Banque Postale in order to bring together all of its legal and regulatory requirements, as well as international and European best practice.

The purpose of the Risk Appetite Framework defined by La Banque Postale is to ensure that at all times, the Bank has the level of capital necessary to cover all of its risks and to ensure the development of its business activities. The framework also aims to ensure compliance with the Bank's different regulatory requirements.

- ▶ In this way, the bank's risk appetite policy is based on a number of key indicators (solvency, liquidity, risk concentration, global rate risks, excessive leverage risks, trading portfolio risk) for

which overall internal limits are set in addition to regulatory requirements.

These limits are then set on a more operational basis at a business level.

The limits are also prepared in accordance with the recovery and resolution plan and they are reviewed and approved on at least an annual basis and with each major change in the Group's current regulatory framework.

4.1.2.3 Risk monitoring, measurement and control systems

Risk management is defined as the identification and management of risks.

The identification of risks involves determining risk factors, *i.e.* explanations of sources of potential or known loss that the Group might incur (insolvency of borrowers, fraudulent behaviour, volatility of market prices, macroeconomic deterioration, changes to the legal and regulatory framework, etc.). This identification is based on the creation of risk maps according to different types of risk (credit and counterparty risk, residual risk, market risk including basis risks, operational risk including model-related risks, excessive leverage risks, systematic risks, etc.) for each Group business and entity. This mapping also provides a consolidated vision of internal and external risk factors that the Group is facing or might face.

Risk management involves the preparation of models measuring the different types of risk that the Group faces.

Risk management allows risks to be hedged, in particular by using appropriate provision and insurance policies or by using credit derivatives or securitisations. It also involves putting in place risk management procedures, processes and tools within the Risk Department.

In addition to management by type of risk, activity and entity, analysis, measurement and monitoring are also performed in a cross-entity and forward looking manner.

- ▶ cross-entity: providing an overview of the Group's risk exposure including a consolidated vision;
- ▶ forward-looking: incorporating events which, if they occurred, could have consequences for business activities and the risks faced.

4.1.2.3.1 Cross-entity risk management systems

Cross-entity concepts and rules

In order to ensure consistency in decision-making, measurement, management and monitoring, the concept and rules that apply to all Group entities and business activities, particularly those in relation to so-called prudential regulation, are defined by the Group Risk Department and approved by the Standards Validation Committee. The GRD is responsible for their dissemination and ensures their correct operational implementation.

Models

For its management needs and an appropriate risk control, La Banque Postale Group employs a number of models using, in particular, internal data.

As these tools are used for or assist with management decision-making, a dedicated system is in place to ensure that risk related to errors during their design, implementation or use is controlled.

The monitoring performed is the subject of a report to the Head of Group Risk, the Group Risk Management Committee and the *ad hoc* committees of the Supervisory Board.

Cross-entity and consolidated management

In order to ensure that the different bodies responsible for managing and monitoring the Group and to comply with the prudential "risks" reporting obligations to the competent authorities (COREP, Large Exposures, International Liabilities, LCR, NSFR, ALMM, STE), the Group Risk Department brings together the resources and tools for creating, analysing, preparing and disseminating of risk monitoring reports, particularly in the area of global limits.

The monitoring of limits, expressed as a solvency ratio, within the "risk appetite framework" is performed by monitoring the RWA level and its distribution by risk type (market, credit and operational) and by business activity. This monitoring is carried out in the context of the RWA Committee by the Group Risk Department and the Finance Department as well as the various Group departments/business activities.

Internal reports to the Risk function are also mainly produced in a centralised manner and use the same source systems as those used for regulatory declarations.

4.1.2.3.2 Forward-looking systems

Regulatory monitoring

The Group has a monitoring system responsible for following the drafting of laws and regulations that could affect its business activity and/or its strategy when they enter into force. The objective is that, whatever the field of application (consumer protection, AML-FT, financial sector stability, accounting, etc.), the Bank anticipates impacts, takes appropriate measures and is able to fulfil its obligations in a timely manner.

In terms of the stability of the financial sector, the Group monitors consultations conducted by international authorities, which are primarily the Financial Stability Board (FSB) or the Basel Committee ahead of their future transposition into EU law.

Impact analyses, in the area of capital requirements, risk concentration or liquidity are built into the Internal Capital Adequacy Assessment Process (ICAAP) including, in particular, the Bank's capital planning) and Internal Liquidity Adequacy Assessment Process (ILAAP) procedures, and those for risk management and information systems are taken into account in planning projects.

Stress tests

Within the Bank, stress tests are defined as a recurring process that makes it possible to analyse the Group's ability to resist a severe but plausible deterioration in the economic environment in which it operates.

Stress testing activities play a role in creating a joint Risk-Finance management system and are designed to be consistent with the Bank's risk appetite and strategy.

The objectives of the stress test approach contribute to defining and evaluating over time:

- ▶ the risk-taking strategy and policy through stress tests, the capital adequacy in the event of a deterioration in the macro-economic context (severe but plausible);
- ▶ setting limits and alert levels to provide a framework for risk-taking according to different areas of focus (type of risks, sectoral, individual, etc.);
- ▶ being able to meet regulators' demands but also internal demands or those of Le Groupe La Poste.

Nature of stress test exercises

The purpose of the stress test system is to cover two major categories of work:

- ▶ macro/global stresses (loss stress testing and financial strength stress testing). At this stage, the tests principally address the issue of the Bank's solvency. They are also designed to be enhanced by other kinds of Group stress tests (liquidity stress testing, reverse stress testing, etc.). The types of tests, methods and performance terms and conditions used in these internal and regulatory tests are similar to recent work, notably conducted in 2014 (ECB Comprehensive Assessment test) and 2016 (EBA stress test);
- ▶ specific and additional stress tests appropriate to each business activity/subsidiary (primarily, insurance/asset management/consumer loans) or by type of risk (credit/market/operational).

Governance and system organisation

The stress test system benefits from a governance arrangement which enables its results to play an active role in the Bank's monitoring and risk management system.

Thus, ultimately:

- ▶ the purpose of stress test activities is to provide information to the Risk committee of the Supervisory Board, which approves the

framework for activities and, where appropriate, monitors that they are carried out correctly. It is informed of and verifies results, assumptions, methods and scenarios. It also makes decisions about implementing preventative and corrective actions that are required;

- ▶ the Executive Board's Group Risk Management Committee bears ultimate responsibility for implementing the system. It approves the scenarios, methods and results, approves preventative and corrective actions to be implemented according to the results and, in particular, the limits and alert levels by type of risk/business activity;
- ▶ the Operational committee Stress Test, developed to respond to this type of activity, manages the operational implementation of the stress test programme; it verifies that it is performed correctly at each stage. It also ensures, as far as possible, that assumptions are consistent and coordinated across specific and global stress tests. Finally, it assesses the effectiveness of the programme and the system implemented and suggests preventative actions to the Group Risk Management Committee.

The incorporation of stress tests in the Bank's Capital Planning is also performed primarily by the Capital Management Committee where the results of financial strength stress tests may be presented before being sent to Le Groupe La Poste.

4.2 PRINCIPAL STRUCTURAL RISK FACTORS

4.2.1 Macro-economic and regulatory risks

The economic, regulatory and financial environment in which La Banque Postale carries out its business activities has, by definition, repercussions for its business, results and outlook.

The purpose of the section below is to present the principal risks that may affect them but it does not offer an exhaustive list of the risks to which La Banque Postale is exposed.

Moreover, in addition to these principal macro-economic and regulatory risks, other risk assumptions with consequences that are difficult to measure could affect the bank in different ways (activity, financial situation, access to market financing, level of global risk, La Banque Postale's image and reputation, etc.):

- ▶ the systemic consequences of worldwide events;
- ▶ the changes in assessments of credit rating provided by ratings agencies;
- ▶ the changes in accounting standards (see chapter 5, Section 1.3 "Standards and interpretations not yet applied");
- ▶ the adequacy of the level of provisions made (see chapter 5, Section 1.5 "Principles adopted for the preparation of the consolidated financial statements") compared to the actual materialisation of risk;
- ▶ the interruption or failure of information systems;
- ▶ the consequences of extreme unforeseeable events (natural catastrophes, terrorism, pandemics, etc.);
- ▶ the changing competitive landscape in France, particularly the emergence of new entrants such as Fintech;
- ▶ the external or internal fraud or misappropriation;

- ▶ the risks materialising that were not identified or were not significant at the time.

4.2.1.1 Risks related to the macro-economic and market environment

La Banque Postale's situation is influenced by macro-economic and market conditions and could be affected by unfavourable developments in these due to adverse shocks.

Very low interest rates over a long period of time

European economies being trapped in a regime of low growth and inflation could bring about a situation of continuing low interest rates. This stalemate could itself arise from a combination of adverse shocks such as a banking and financial crisis in China, a rapid cyclical slowdown in the United States or the creation of a vicious circle of political instability and a deteriorating economic situation in some euro zone Member States (see below political risk). Possible domino effects from Brexit, with other states requesting to leave the European Union, could also represent shocks likely to weaken economic growth and prevent the European Central Bank from returning to its normal monetary policy. In addition, expectations about medium-term inflation would persistently remain very low. In such a context, the interest rate curve would both stay low and do so for a long period of time, reducing income from interest from the Bank's business activities.

A sharp increase in interest rates

On the other hand, a sharp increase in interest rates could arise from an inflationary shock which would produce a rebound in inflation expectations and prevent the major central banks from returning their monetary policy to normal more rapidly. This situation could arise from geopolitical events causing a sharp and long lasting increase in the price of oil and causing a rebound in interest rates whose impact would be: a deterioration in countries' solvency which would reinforce the increase in bond rates; losses on bond portfolios held by institutional investors and the banks; demands for buybacks from the holders of life insurance contracts, which might be outperformed by more short-term investments that are more reactive to changes in market rates. This situation could affect the capital gains of bond portfolios managed for individuals, the cost of inflation-indexed balance sheet resources or investments in the capital of insurance companies. The impact could be tempered by the gradual improvement in interest income arising from the move upwards and the steepening of the interest rate curve.

Political risks from adverse economic impacts

The general socio-economic environment is such that it influences French economic conditions and impacts La Banque Postale's business activities.

In spring 2017, in the context of the outcome of the French presidential elections, a narrow parliamentary majority or the introduction of unpopular reforms could lead to forms of instability or protest. More generally, to the extent that the so-called "peripheral" euro zone countries remain weak and their public debt remains high and their deficits unresolved, any political instability in these countries could feed investors' fears and revive fears of debt, causing interest rate tensions. These events could, firstly, impact the income from the Bank's self-managed bond portfolios and, secondly, affect its income and that of its asset management subsidiaries.

4.2.1.2 Regulatory risks

La Banque Postale is exposed to operational and financial constraints and also to any uncertainties relating to the implementation of proposed legal and regulatory measures. These include, in response to the last global financial crisis, the introduction of a number of changes and rules in the financial world.

The principal measures concern:

- ▶ the introduction of the Single Supervisory Mechanism (SSM), strengthening the powers of the European Central bank (ECB) which is responsible, in particular, for the annual Supervisory Review and Evaluation Process (SREP) exercise and for stress tests, granting it the option of requiring from banks equity requirements that are in addition to the Pillar II requirements;
- ▶ the changes to the FIM and EMIR regulations on financial instruments markets;
- ▶ the completion of work initiated as part of Basel III and in particular the review of so-called Pillar I risk evaluation methodologies and the introduction of the leverage ratio;
- ▶ the review of the regulatory framework on capital requirements (CRR2 and CRD V) and the Bank Recovery and Resolution Directive (BRRD2) and the implementation of the Total Loss Absorbing Capacity (TLAC) and Minimum Requirement for own funds and Eligible Liabilities (MREL) for which the requirement level is set on a case-by-case basis.

Some measures, that are in preparation and which may change over time, could, according to their scope, force La Banque Postale to increase its own equity, modify the way in which it conducts its financing operations, involve higher financing costs or have consequences for the profitability of some business activities.

4.2.2 Risks relative to banking activities

La Banque Postale's structural risk factors are also related to its Retail Banking activity: **liquidity risk** and **interest rate risk** associated with converting short-term customer deposits to long-term use (see specific paragraph above), **credit risk** on loans granted to its customers and **operational risks** on banking activities. The **market risk** is also a structural risk factor which is closely monitored by La Banque Postale.

Liquidity risk is, as defined by the decision of 3 November 2014, the risk that a business cannot meet its commitment or cannot unwind or cover a position either because of the market situation (systemic risk) or idiosyncratic factors (own risks), within a specific period or at a reasonable cost.

Market risk represents the potential loss of value, in terms of income or the bank's balance sheet, which would be caused by unfavourable fluctuations in market parameters such as interest rates, exchange rates or volatility.

Interest rate risk represents the likelihood of seeing the Bank's future margins or economic value affected by fluctuations in interest rates.

As required by the Basel Committee, significant interest rate risks in the banking book (bank portfolio) must be identified and measured. Interest rate risk is measured by maturity and by type of index for products dependent on variable rates or rates subject to review (Euribor, Inflation, Eonia, etc.).

Credit risk is defined as the risk incurred in the event of default by a counterparty or counterparties, considered as the same group of related clients, within the meaning of EU Regulation No. 575/2013.

Operational risk is, in accordance with EU Regulation No. 575-2013 of 26 June 2013 and the decree of 3 November 2014, the "risk of losses resulting from unsuitability or failure attributable to internal procedures, persons and systems, or to external events. Operational risk notably includes risks linked to events having a low probability of occurrence but a high impact, risks of internal and external fraud, legal risks, risks of non-compliance (including damage to reputation), and risks linked to the model but excluding strategic risks".

The Bank has conducted a review of the risks that could have a significant unfavourable effect on its business activities, on its financial position or its results (or on its ability to meet its targets), and believes that there are no material risks other than those presented above.

4.3 CAPITAL MANAGEMENT AND CAPITAL ADEQUACY

4.3.1 Transition from the statutory consolidated balance sheet to the prudential balance sheet at 31 December 2016

Defined by CRR regulation 575/2013, the field of application of the prudential scope pertaining to equity requirements is different from the field of application of the accounting consolidation scope whose composition is subject to the application of IFRS standards.

Processing particularities relating to the accounting and the prudential scopes

Entities	Accounting treatment	Prudential treatment
Groupe CNP Assurances	Equity Method	Equity method
LBP Prévoyance	Full consolidation	Equity method
LBP Assurances IARD		
LBP Assurance Santé		

(€ '000s)	31.12.2016 Statutory format	Adjustments linked to insurance companies consolidated using the equity method	31.12.2016 Prudential format
ASSETS			
Cash and central banks	2,732,044	0	2,732,044
Financial assets at fair value through profit and loss	12,329,901	(48,909)	12,280,992
Hedging derivatives	1,577,501	0	1,577,501
Available-for-sale financial assets	18,879,482	(2,220,202)	16,659,280
Loans and receivables – credit institutions	84,461,375	(11,854)	84,449,521
Loans and receivables – customers	78,783,991	7,157	78,791,148
Revaluation differences on interest rate risk hedged portfolios	137,559	0	137,559
Financial assets held to maturity	22,270,714	(32,638)	22,238,076
Current tax assets	339,671	(1,762)	337,909
Deferred tax assets	84,450	(42)	84,408
Accruals and other assets	3,412,488	(593,205)	2,819,283
Non-current assets held for sale	0	0	0
Deferred profit-sharing	0	0	0
Investments in associates	3,226,660	488,874	3,715,534
Investment property	0	0	0
Property, plant and equipment	661,900	(1,177)	660,723
Intangible assets	519,456	(155,246)	364,210
Goodwill	160,227	0	160,227
TOTAL	229,577,420	(2,569,004)	227,008,415
LIABILITIES			
Central banks	0	0	0
Financial liabilities at fair value through profit or loss	600,095	0	600,095
Hedging derivatives	914,107	0	914,107
Liabilities due to credit institutions	19,003,276	(12,746)	18,990,530
Liabilities to customers	175,994,407	21,217	176,015,624
Debt securities	10,483,528	0	10,483,528
Revaluation differences on interest rate risk hedged portfolios	1,050,505	0	1,050,505
Current tax liabilities	17,489	(1,979)	15,510
Deferred tax liabilities	123,126	(87,770)	35,356
Debts linked to non-current assets held for sale	0	0	0
Accruals and other liabilities	4,965,332	(235,627)	4,729,705
Underwriting provisions of insurance and shadow companies	2,231,202	(2,231,202)	0
Provisions	590,190	(2,149)	588,041
Subordinated debt	3,780,398	0	3,780,398
Non controlling interests	79,187	(18,749)	60,438
Equity, Group share	9,744,578	1	9,744,578
Capital	4,046,408	0	4,046,408
Consolidated reserves and others	3,821,817	7	3,821,824
Gains and losses recognised directly in equity	1,182,528	(7)	1,182,521
Profit/(loss) for the period	693,825	1	693,825
TOTAL	229,577,420	(2,569,004)	227,008,415

4.3.2 Regulatory framework for capital requirements

The regulatory framework defining prudential requirements has been developed and strengthened since the last financial crisis in 2008, by gradually introducing new solvency, leverage and liquidity constraints, and by defining a European framework for managing bank crises including a plan for the recovery and restitution of banking establishments.

As a result, from 1 January 2014, La Banque Postale is subject to the prudential regulations defined by the Basel III agreements: Directive 2013/36/EU and EU Regulation No. 575/2013 of the European Parliament and of the Council. The legislation provided for a phased-in introduction in order to allow institutions to manage transition in a gradual way.

In terms of solvency, three levels of equity are defined:

- ▶ core Tier 1 capital or Common Equity Tier 1 capital (CET1);
- ▶ Tier 1 capital comprising Common Equity Tier 1 capital and additional Tier 1 capital or Additional Tier 1 capital (AT1);
- ▶ total capital comprising Tier 1 capital and Tier 2 capital.

In total, three levels of solvency ratio are calculated:

- ▶ the core Tier 1 capital ratio or CET1 ratio;
- ▶ the Tier 1 equity ratio or T1 ratio;
- ▶ the total capital ratio.

These ratios are calculated by comparing each category of Group capital to the total assets weighted by Group risks. They are subject to a “phased” evaluation, that is to say, they incorporate the transition measures provided by the legal texts in terms of applying the prudential filters and deductions.

La Banque Postale has to comply with the following Pillar I minimum capital requirements: 4.5% of Common Equity Tier 1 (CET1); 6%

of Tier 1 (CET1 + Additional Tier 1) and 8% of Total capital (Tier 1 + Tier 2).

The CRD4 Directive also imposes additional specific CET1 requirements which are broken down as follows for La Banque Postale:

- ▶ a capital conservation buffer: applicable to all European Union banks, this is set at 2.5% of core Tier 1 equity (CET1) on a 2019 horizon and aims to absorb losses in a situation of severe economic stress.
- ▶ a buffer according to its EBA classification in April 2016 as an other systemically important bank (O-SIB): this is set at 0.25% on a 2019 horizon. This classification is updated annually.
- ▶ a countercyclical buffer may also be added. This is determined on a country basis and aims to combat excessive credit growth. It applied to countries that have an exposure to these countries. In France, the HCSF (High Council for Financial Stability) is responsible for setting it each year. On 30 December 2016, the HCSF kept the rate that applies in France at 0%. At 31 December 2016, and taking into account its international exposure, LBP is not required to calculate a countercyclical buffer.

Composition of additional requirements specific to La Banque Postale

	2016	2017	2018	2019+
Capital conservation buffer	0.625%	1.25%	1.875%	2.5%
O-SIB buffer	0.0625%	0.125%	0.1875%	0.25%

With regards to Pillar II, La Banque Postale is also subject to additional capital requirements set by the European Central Bank as part of its Supervisory Review and Evaluation Process (SREP).

The aspects reviewed are related to the bank’s business activity profile, its governance and risk management, the evaluation of risks to its capital together with its liquidity and refinancing capacity.

In 2016, and unlike the 2015 SREP exercise, the ECB introduced a distinction between a supplemental requirement or Pillar II requirement (P2R) which is added to the minimum CET1 requirement, and an capital recommendation in respect of the second pillar or Pillar II Guidance (P2G). It should be noted that P2R alone determines

the trigger point for potential restrictions on distributions in the event that the Bank’s CET1 total requirements are exceeded (i.e. minimum requirement + P2R + buffers).

Following the 2016 SREP exercise, the level of phased-in CET1 capital required on a consolidated basis for La Banque Postale was set at 7.625% at 1 January 2017. This requirement includes an “other systemic establishment” (O-SIB) buffer of 0.125%, a capital conservation buffer (CCB) of 1.25% and a Pillar II Requirement (P2R) of 1.75%. This requirement does not include the Pillar II Guidance (P2G) recommendation.

Composition of CET1 capital requirements at 1 January 2017 for Pillar II

	2017	2019 vision with “fully loaded” buffers
CET1	4.5%	4.5%
Pillar II “requirement”	1.75%	1.75%
Total CET1 (including P2R -2016 SREP)	6.25%	6.25%
Capital conservation buffer	1.25%	2.5%
O-SIB buffer	0.125%	0.25%
TOTAL CET1 (INCLUDING 2016 SREP AND BUFFERS)	7.625%	9%

The total capital requirement amounts to 11.125%, including 1.5% in respect of AT1 and 2% in respect of T2.

4.3.3 Composition of capital

La Banque Postale's Common Equity Tier 1 (CET1) capital includes:

Group share book equity (capital, issue premiums, reserves and annual profits) less the proposed dividend (45% of Group share of net income) and regulatory adjustments that apply:

- deductions of goodwill and intangible assets (net of related tax liabilities);
- regulatory adjustments (transitional measures applicable to unrealised gains and losses of AFS securities, fair value reserves in relation to gains and losses generated by cash flow hedges, AVA).

La Banque Postale's Additional Tier 1 capital includes:

The €800 million perpetual security, convertible into Common Equity Tier 1 capital, issued in December 2013 and wholly subscribed by the single shareholder, La Poste.

Tier 2 capital includes:

Subordinated securities issued in November 2010, April 2014, November 2015, and in June and October 2016, less the share held by Group entities and holdings, and reintegrations related to gains on variable-income securities.

Reconciliation of accounting equity and regulatory capital

	31.12.2016	31.12.2015*
(€ '000s)	Phased-in Basel III	Phased-in Basel III
Group shareholders' share capital and retained earnings	9,744,578	8,776,433
Dividend plan	(312,101)	(318,082)
Deduction of goodwill and other intangible fixed assets	(560,736)	(519,845)
Transitional and other adjustments applicable to CET1 equity	(700,635)	(783,699)
Common Equity Tier 1	8,171,106	7,154,807
Eligible AT1 capital instruments	800,000	800,000
Additional T1 capital	800,000	800,000
T1 capital	8,971,106	7,954,807
Capital instruments and subordinated loans	2,452,110	2,004,491
Other reintegrations	128,041	155,434
T2 capital	2,580,151	2,159,925
TOTAL CAPITAL	11,551,257	10,114,732

* 2015 proforma.

Detailed analysis of the composition of regular capital

(€ '000s)	2016		2015	
	Phased-in	Transitional items	Phased-in	Transitional items
COMMON EQUITY TIER 1 CAPITAL (CET1): INSTRUMENTS AND RESERVES				
Capital instruments and related share premium accounts	4,063,127		4,063,127	
<i>Of which ordinary shares</i>	4,063,127		4,063,127	
Retained earnings	1,001,807		830,127	
Accumulated other comprehensive income (and other reserves)	3,985,819		3,176,368	
Funds for general banking risk				
Amount of qualifying items referred to in Article 484 (3), and the related share premium accounts subject to phase out from CET1				
Minority interests (amount allowed in consolidated CET1)				
Independently reviewed interim profits net of any foreseeable change or dividend	381,724		388,729	
Common Equity Tier 1 (CET1) capital before regulatory adjustments	9,432,477	-	8,458,351	-
COMMON EQUITY TIER 1 (CET1) CAPITAL: REGULATORY ADJUSTMENTS				
Additional Value adjustments	(87,194)		(61,332)	
Intangible assets (net of related tax liability)	(554,719)		(519,845)	
Empty set in the EU				
Deferred tax assets that rely on future profitability excluding those arising from temporary differences	(6,017)	4,011	(5,160)	7,740
Fair value reserves related to gains or losses on cash flow hedges	(198,548)		(104,417)	
Negative amounts resulting from the calculation of expected loss amounts				
Any increase in equity that results from securitised assets				
Gains or losses on liabilities valued at fair value resulting from changes in own credit standing				
Defined benefit pension fund assets				
Direct and indirect holdings by an institution of own CET1 instruments				
Direct, indirect and synthetic holdings of the CET1 instruments of financial sector entities where those entities have reciprocal cross holdings with the institution designed to inflate artificially the own funds of the institution				
Direct, indirect and synthetic holdings by the institution of the CET1 instruments of financial sector entities where the institution does not have a significant investment in those entities (amount above 10% threshold and net of eligible short positions)				
Direct, indirect and synthetic holdings by the institution of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities (amount above 10% threshold and net of eligible short positions)				
Empty set in the EU				
Exposure amount of the following items which qualify for a RW of 1250%, where the institution opts for the deduction alternative				
<i>Of which qualifying holdings outside the financial sector</i>				
<i>Of which securitisation positions</i>				
<i>Of which free deliveries</i>				
Deferred tax assets arising from temporary differences (amount above 10% threshold, net of related tax liability where the conditions in Article 38 (3) are met)				
Amount exceeding the 15% threshold				
<i>Of which direct and indirect holdings by the institution of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities</i>				
Empty set in the EU				
<i>Of which deferred tax assets arising from temporary differences</i>				

(€ '000s)	2016		2015	
	Phased-in	Transitional items	Phased-in	Transitional items
Losses for the current financial year				
Foreseeable tax charges relating to CET1 items				
Regulatory adjustments applied Common Equity Tier 1 capital with regard to amounts subject to a pre CCR treatment				
Regulatory adjustments related to unrealised gains and losses pursuant to Articles 467 and 468	(414,893)	(414,893)	(612,790)	(612,790)
Amount to deduct or add to common equity Tier 1 regarding the additional filters and deductions provided by the pre-CCR provisions				
Qualifying AT1 deductions that exceed the AT1 capital of the institution				
Total regulatory adjustments to Common Equity Tier 1 (CET1)	(1,261,371)	(410,882)	(1,303,544)	(605,050)
Common Equity Tier 1 (CET1)	8,171,106	(410,882)	7,154,807	(605,050)
ADDITIONAL TIER 1 (AT1) CAPITAL				
Capital instruments and related share premium accounts	800,000		800,000	
Of which classified as equity under applicable accounting standards				
Of which classified as liability under applicable accounting standards	800,000		800,000	
Amount of qualifying items referred to in Article 484 (3), and the related share premium accounts subject to phase out from AT1				
Qualifying Tier 1 capital included in consolidated AT1 capital (including minority interest not included in row 5) issued by subsidiaries and held by third parties				
Of which instruments issued by subsidiaries subject to phase out				
Additional Tier 1 (AT1) capital before regulatory adjustments	800,000		800,000	
ADDITIONAL TIER 1 (AT1) CAPITAL: REGULATORY ADJUSTMENTS				
Direct and indirect holdings by an institution of own AT1 instruments				
Direct, indirect and synthetic holdings of the AT1 instruments of financial sector entities where those entities have reciprocal cross holdings with the institution designed to inflate artificially the own funds of the institution				
Direct, indirect and synthetic holdings of the AT1 instruments of financial sector entities where the institution does not have a significant investment in those entities (amount above 10% threshold and net of eligible short positions)				
Direct, indirect and synthetic holdings by the institution of the AT1 instruments of financial sector entities where the institution has a significant investment in those entities (amount above 10% threshold and net of eligible short positions)				
Regulatory adjustments applied to Additional Tier 1 Capital with regards to amounts subject to a pre-CCR treatment and transitional measures and which will be gradually excluded in accordance with the provisions of EU Regulation N°575/2013				
Residual amounts deducted from Additional Tier 1 Capital with regards to the deduction of Common Equity Tier 1 capital during the transition period in accordance with Article 472 of EU Regulation N°575/2013				
Residual amounts deducted from Additional Tier 1 Capital with regards to the deduction of Tier 2 capital during the transition period in accordance with Article 475 of EU Regulation N°575/2013				
Amount to deduct or add to Additional Tier 1 capital regarding the additional filters and deductions provided by pre-CCR provisions				
Qualifying T2 instruments that exceed the T2 capital of the institution				
Total regulatory adjustments to Additional Tier 1 (AT1) capital	0	0		
Additional Tier 1 (AT1) capital	800,000		800,000	
Tier 1 capital (CET1 + AT1)	8,971,106	(410,882)	7,954,807	(605,050)
TIER 2 CAPITAL: INSTRUMENTS AND PROVISIONS				
Capital instruments and related share premium accounts	2,452,110	352,110	2,016,082	516,082

(€ '000s)	2016		2015	
	Phased-in	Transitional items	Phased-in	Transitional items
Amount of qualifying items referred to in Article 484 (5), and the related share premium accounts subject to phase out from T2				
Qualifying own funds instruments included in consolidated T2 capital (including minority interests and AT1 instruments not included in rows 5 or 34) issued by subsidiaries and held by third parties				
<i>Of which instruments issued by subsidiaries subject to phase out</i>				
Credit risk adjustments				
Tier 2 (T2) capital before regulatory adjustments	2,452,110	352,110	2,016,082	516,082
TIER 2 (T2) CAPITAL: REGULATORY ADJUSTMENTS				
Direct and indirect holdings by an institution of own T2 instruments and subordinated loans				
Holdings of the T2 instruments and subordinated loans of financial sector entities where those entities have reciprocal cross holdings with the institution designed to inflate artificially the own funds of the institution			(11,591)	
Direct and indirect holdings of the T2 instruments and subordinated of financial sector entities where the institution does not have a significant investment in those entities (amount above 10% threshold and net of eligible short positions)				
<i>Of which new holdings not subject to transitional measures</i>				
<i>Of which holdings existing before 1 January 2013 subject to transitional measures</i>				
Direct and indirect holdings by the institution of the T2 instruments and subordinated loans of financial sector entities where the institution has a significant investment in those entities (amount above 10% threshold and net of eligible short positions)				
Regulatory adjustments applied to Tier 2 Capital with regards to amounts subject to a pre-CCR treatment and transitional measures and which will be gradually excluded in accordance with the provisions of EU Regulation N°575/2013				
Residual amounts deducted from Tier 2 Capital with regards to the deduction of Common Equity Tier 1 capital during the transition period in accordance with Article 472 of EU Regulation N°575/2013				
Residual amounts deducted from Tier 2 Capital with regards to the deduction of Additional Tier 1 capital during the transition period in accordance with Article 475 of EU Regulation N°575/2013				
Amounts to deduct or add to Tier 2 capital regarding the additional filters and deductions provided by pre-CCR provisions	128,041	128,041	155,434	155,434
Total regulatory adjustments to Tier 2 (T2) capital	128,041	128,041	143,843	155,434
Tier 2 (T2) capital	2,580,151	480,151	2,159,925	671,516
Total capital (T1 + T2)	11,551,257	69,269	10,114,732	66,466
Assets weighted with regards to amounts subject to pre-CCR treatment and to transitional measures and which will be gradually excluded in accordance with the provisions of EU Regulation N°575/2013 (residual CCR amounts)				
<i>Of which "CET1 instruments of financial service entities" not deducted from CET1 (EU Regulation N°575/2013)</i>				
<i>Of which "deductible deferred tax assets depending on future profits and arising from timing differences" not deducted from CET1 (EU Regulation N°575/2013, residual amounts)</i>				
<i>Of which "AT1 instruments of financial service entities" not deducted from AT1 (EU Regulation N°575/2013)</i>				
<i>Of which "T2 instruments of financial service entities" not deducted from T2 items (EU Regulation N°575/2013)</i>				
Total risk-weighted assets	59,533,990		54,208,316	
Capital ratios and buffers				
Common Equity Tier 1 (as a percentage of total risk exposure amount)	13.7%		13.2%	
Tier 1 (as a percentage of total risk exposure amount)	15.1%		14.7%	
Total capital (as a percentage of total risk exposure amount)	19.4%		18.7%	

	2016		2015	
	Phased-in	Transitional items	Phased-in	Transitional items
(€ '000s)				
Institution specific buffer requirement (CET1 requirement in accordance with Article 92 (1) point a, plus capital conservation and countercyclical buffer requirements, plus systemic risk buffer, plus systemically important institution buffer, expressed as a percentage of the amount of risk exposure)	5.1875%		4.5%	
Of which capital conservation buffer requirement	0.625%			
Of which countercyclical buffer requirement				
Of which systemic risk buffer requirement				
Of which Global Systemically Important Institution (G-SII) or Other Systemically Important Institution (O-SII) buffer	0.0625%			
Common Equity Tier 1 available to meet buffers (as a percentage of risk exposure amount)	8.5%		8.7%	
Non relevant in EU regulation				
Non relevant in EU regulation				
Non relevant in EU regulation				
AMOUNTS BELOW THE THRESHOLDS FOR DEDUCTION (BEFORE RISK WEIGHTING)				
Direct and indirect holdings of the capital of financial sector entities where the institution does not have a significant investment in those entities (amount below 10% threshold and net of eligible short positions)	298,771		413,047	
Direct and indirect holdings by the institution of the CET1 of financial sector entities where the institution has a significant investment in those entities (amount below 10% threshold and net of eligible short positions)	13,628		12,290	
Empty set in the EU				
Deferred tax assets arising from temporary differences (amount below 10% threshold, net of related tax liability where the conditions in Article 38 (3) are met)	74,380		281,411	
APPLICABLE CAPS ON THE INCLUSION OF PROVISIONS IN TIER 2				
Credit risk adjustments included in T2 in respect of exposures subject to standardised approach (prior to application of the cap)				
Cap on inclusion of credit risk adjustments in T2 under standardised approach	597,595		543,631	
Credit risk adjustments included in T2 in respect of exposures subject to internal ratings-based approach (prior to application of the cap)				
Cap for inclusion of credit risk adjustments in T2 under internal-ratings based approach				
CAPITAL INSTRUMENTS SUBJECT TO PHASE-OUT ARRANGEMENTS (ONLY APPLICABLE BETWEEN 1 JANUARY 2013 AND 1 JANUARY 2022)				
Current cap on CET1 instruments subject to phase-out arrangements				
Amount excluded from CET1 due to cap (excess over cap after redemptions and maturities)				
Current cap on AT1 instruments subject to phase-out arrangements				
Amount excluded from AT1 due to cap (excess over cap after redemptions and maturities)				
Current cap on T2 instruments subject to phase-out arrangements				
Amount excluded from T2 due to cap (excess over cap after redemptions and maturities)				

4.3.4 Super-subordinated securities and preferred shares

Issuer		La Banque Postale				
ISIN	FR0011659184	FR0010969410	FR0011855865	FR0013054913	FR0013181898	FR0013207354
Law governing the instrument	French law	French law	French law	French law	French law	French law
REGULATORY TREATMENT						
Transitory CRR regulations	Additional T1 equity	T2 equity with grandfathering	T2 equity	T2 equity	T2 equity	T2 equity
CRR rules after transition	Additional T1 equity	Not eligible	T2 equity	T2 equity	T2 equity	T2 equity
Level	Consolidated	Consolidated	Consolidated	Consolidated	Consolidated	Consolidated
Type of instruments	Additional CET1 (art. 51/52 of the CRR)	Tier 2 subordinated securities (Art. 484)	Tier 2 subordinated securities (Art. 63)	Tier 2 subordinated securities (Art. 63)	Tier 2 subordinated securities (Art. 63)	Tier 2 subordinated securities (Art. 63)
Amount recorded in regulatory capital (€ thousands)	800,000	750,000	750,000	750,000	500,000	100,000
Nominal value of the instrument (%)	100	100	100	100	100	100
Issue price (%)	100	99.310	99.705	99.623	99.97	99.593
Buyback price		100	100	100	100	100
Accounting category	Liabilities at amortised cost	Liabilities at amortised cost	Liabilities at amortised cost	Liabilities at amortised cost	Liabilities at amortised cost	Liabilities at amortised cost
Date of initial issue	13/12/2013	30/11/2010	23/04/2014	19/11/2015	09/06/2016	05/10/2016
Term	Perpetual	Fixed-term	Fixed-term	Fixed-term	Fixed-term	Fixed-term
Initial maturity	No maturity date	30/11/2020	23/04/2026	19/11/2027	09/06/2028	05/10/2028
Buyback option subject to the prior approval of the supervisory authority	Yes	Yes	Yes	Yes	No	No
Optional date for exercising the option	13/12/2019 Option in the case of regulatory, fiscal, accounting event or methods for calculating the solvency ratio	Option in the case of fiscal event	23/04/2021 Option in the case of regulatory or fiscal events	19/11/2022 Option in the case of regulatory or fiscal events		
Subsequent dates	Every five years from 13/12/2019					
COUPONS/DIVIDENDS						
Dividend/coupon	Fixed	Fixed	Fixed	Fixed	Fixed	Fixed
Coupon rate	8%	4.375%	2.75%	2.75%	3.00%	2.25%
Existence of a mechanism to suspend dividend/coupon payments	yes	no	no	no	no	no
Full discretion, partial discretion or mandatory (in terms of schedule)	Full discretion	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
Full discretion, partial discretion or mandatory (in terms of the amount)	Full discretion	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
Existence of a step-up mechanism or another buyback incentive	no	no	no	no	no	no
Cumulative or non cumulative	no	no	no	no	no	no
Convertible or non-convertible	yes	yes	no	no	no	no

Issuer		La Banque Postale					
If convertible, conversion trigger	Decision of the holder or falling 7% under the solvency ratio specified for CET1	Regulatory reclassification					
If convertible, fully or partially	Always fully converted	Always fully converted					
If convertible, conversion rate	Based on the issuer's equity at the time of conversion	At par					
If convertible, conversion mandatory or optional	Mandatory upon trigger criterion and at the choice of the holder	Optional at the choice of the issuer					
If convertible, type of instrument converted to	T1 equity	Other					
If convertible, issuer of the instrument converted to	Holder	Holder					
Characteristics in terms of capital reduction	No	No					
In the event of a capital reduction, reduction trigger							
In the event of a capital reduction, total or partial							
In the event of a capital reduction, permanent or temporary							
In the event of a capital reduction, description of the mechanism to re-increase the equity capital							
Rank of the instrument in the case of liquidation							
Existence of non-compliant characteristics	no	no	no	no	no	no	no

4.3.5 Capital steering and internal capital adequacy

Objectives

La Banque Postale has implemented a planning system for its capital at the level of the Group, in order to ensure that the following objectives are met:

- ▶ assess the Group's current position in terms of solvency with respect to the risk profile of the Group and its appetite for risk;
- ▶ anticipate future needs through medium-term forecasts integrating internal and external constraints, investment opportunities, as well as any regulatory developments which may impact the bank's capital structure;
- ▶ assess capital adequacy and see to the adequate allocation of its equity between its businesses and subsidiaries, with a view to the Risk/Rewards management;
- ▶ define the measures required to achieve the capital objectives defined by management together with its major shareholders.

Governance

This planning approach is fully integrated into the strategic piloting of the Bank; it is implemented by Finance Department and relies on the following two processes:

The **Capital Management Committee** created in 2014, which meets every quarter under the chairmanship of the Chairman of the Executive Board. The committee is responsible for:

- ▶ defining the objectives in relation to capital management (target ratios, etc.);
- ▶ examining the equity path and defining the action plans which are necessary in order to achieve the capital objectives defined by management (securities issues, capital increase requests, arbitrages/business orientations, etc.);
- ▶ validating preventive actions tied to the financial strength of the Bank, suggested by the Stress Test Operational Committee,

based on the internal stress test results and those conducted at the request of regulators;

- ▶ examining the recommendations of regulatory and supervisory authorities and their impact on La Banque Postale's capital and the methods used.

The **RWA Committee** created in 2014 and chaired by the Finance Department and the Group Risk Department. This committee, which meets quarterly, has as its mission, on the one hand, to validate the assumptions of projected weightings and prudential outstandings; and, on the other, to monitor the developments of the RWA of the businesses in comparison with the RWA estimated in the budget framework.

With regards to Pillar II, La Banque Postale also has a process to assess the adequacy of its internal capital (Internal Capital Adequacy Assessment Process (ICAAP)), which is built upon the following elements:

- ▶ Medium-term planning of regulatory capital requirements, in particular incorporating the Group's development ambitions and future regulatory developments. This planning exercise performed once a year tends to evaluate the Group's financial strength in both a central economic (capital planning) and stressed scenario (annual financial strength stress test).
- ▶ The assessment and the projection of capital requirements induced by the principal risks of the Group using the bank's own methods.

Recovery and Resolution

The European Directive of 15 May 2014 "establishing a framework for recovery and resolution" (the Bank Recovery and Resolution Directive (BRRD)) transposed by Order No. 2015-1024 of 20 August 2015 establishes a framework for the resolution of banks throughout the European Union, giving the resolution authorities common instruments and powers to take pre-emptive action against banking crises, maintain financial stability and reduce taxpayers' exposure to losses as far as possible ("bail-outs"). It is planned that losses will

be borne first and foremost by shareholders, then by bearers of AT1 and AT2 instruments and finally by other creditors according to the priority of their claims, pursuant to normal insolvency procedures.

In the event that the internal bailout mechanism is used ("bail-in"), the holders of so-called eligible resources (including subordinated debt and senior debt) could see their securities being written down, converted or their terms and conditions being amended (in particular, the maturity date).

The BRRD also includes the option of writing down or converting AT1 and AT2 at the "point of non-viability", that is to say, at the point where the relevant authority decides that the institution fulfils the conditions triggering the resolution procedure or would cease to be viable if these equity instruments were not written down or converted. The impact of the BRRD's procedural requirements on credit institutions, including La Banque Postale, is still uncertain.

La Banque Postale monitors regulatory developments pertaining to recovery and resolution, as well as the work of the Single Resolution Panel⁽¹⁾ which, in particular, determines requirements in respect of MREL (Minimum Requirement for own funds and Eligible Liabilities) namely a minimum equity requirement, and eligible liabilities must be available in order to absorb losses in the event of resolution.

La Banque Postale is on the list of "other systemically important institutions" or "O-SII" in accordance with the provisions of Article L511-41-1 A VII of the French Monetary and Financial Code. It is not therefore subject to the Total Loss Absorbing Capacity (TLAC) as defined by the Financial Stability Board (FSB) in its standard published on 9 November 2015 and directed at "global systemically important banks"⁽²⁾. Nevertheless, it is closely following the work on transposing the TLAC into European law. This work has to confirm the scope of application of this measure.

In addition, in December 2015, La Banque Postale submitted its recovery and resolution plan for the first time to the supervising authority (ECB). The principal objective of the plan is to identify actions in order to restore the bank's financial health in the event of a severe deterioration.

(1) The Single Resolution Council has been fully operational since 1 January 2016.

(2) In accordance with the provisions of Article L511-41-1 A VI of the French Monetary and Financial Code.

4.3.6 Capital requirements and capital adequacy

Overview of risk weighted assets by approach

(€ million)	31.12.2016		31.12.2015
	Risk weighted assets	Capital requirements	Risk weighted assets
Credit risk (excluding counterparty risk)	46,541	3,723	43,226
Of which standardised approach	46,541	3,723	43,226
Of which internal rating-based approach			
Counterparty risk	1,606	128	533
Of which standardised approach	1,606	128	533
Of which internal rating-based approach			
Settlement risk			
In banking book securitisation exposures	39	3	55
Of which internal rating-based approach			
Of which internal rating-based prudential approach			
Of which standardised approach/simplified prudential approach	39	3	55
Market risk	2,068	165	1,215
Of which standardised approach	2,068	165	1,215
Of which internal rating-based approach			
Operational risk	9,280	742	9,179
Of which basic indicator approach			
Of which standardised approach	9,280	742	9,179
Of which advanced measurement approach			
TOTAL	59,534	4,761	54,208

Overview of risk weighted assets by asset classes

(€ million)	31.12.2016		31.12.2015
	Risk weighted assets	Capital requirements	Risk weighted assets
Credit risk (excluding counterparty risk)	46,580	3,723	43,281
Of which standardised approach	46,580	3,723	43,281
▶ Central administrations and central banks	84		102
▶ Regional administrations and local authorities	1,174	94	1,015
▶ Public sector entities	49	4	40
▶ Multilateral development banks		0	
▶ International organisations		0	
▶ Institutions	9,321	746	9,410
▶ Entreprises	8,171	654	5,534
▶ Retail customers	11,507	921	12,075
▶ Guaranteed by a mortgage on real estate	6,303	504	5,631
▶ Exposures in default	786	63	565
▶ Items associated with a particularly high risk	924	74	649
▶ Covered bonds	350	28	426
▶ Receivables from institutions and companies with short-term credit assessments		0	
▶ Open-ended property funds	335	27	526
▶ Shares	5,111	409	4,876
▶ Other items	2,426	194	2,379
▶ Securitisation	39	3	55
Of which internal model-based approach			
Counterparty risk	1,606	128	533
Of which standardised approach	1,269	102	265
Of which market price			
Of which initial risk			
Of which internal models approach			
Of which amount as contribution to the failure of a central counterparty			
Including CVA	337	27	268
Market risk	2,068	165	1,215
Operational risk	9,280	742	9,179
TOTAL	59,534	4,761	54,208

Risk-weighted assets over the year in 2016 increased by 10%, or €5,326 million for a growth of gross exposure of €16,675 million.

Credit risk-weighted assets (including exposures in respect of counterparty risk) increased by €4,301 million.

Market risk risk-weighted assets grew significantly, by €853 million, including +€739 million for the specific risk related to a growth of outstandings and to the review of corporate segment weightings.

RWA with respect to operational risk was stable.

4.3.7 Prudential ratios

4.3.7.1 Regulatory capital and capital ratios

(€ million)	2016	2015*
Common Equity Tier 1 amounts	8,171	7,155
Tier 1 capital amounts	8,971	7,955
Total prudential capital amounts	11,551	10,115
Common Equity Tier 1 capital ratio	13.7%	13.2%
Tier 1 capital ratio	15.1%	14.7%
Total capital ratio	19.4%	18.7%

*2015 proforma

The change in the Tier 1 capital ratio in 2016 is mainly related to the increase in Tier 1 equity that is related to the incorporation of net income, and to the change in treatment of gains and losses from AFS securities as a result of the ECB regulations and of the different methodology used to calculate the value of put options on non-controlling interests. Total capital includes Tier 2 issues made during the year.

4.3.7.2 Leverage ratio

The leverage ratio compares Tier 1 equity (as the numerator) to an exposure (as the denominator) composed of balance sheet items and off-balance sheet items.

Since 1 January 2015 and until 31/12/2017, the leverage ratio is subject to European Banking Authority (EBA) assessment and calibration and from January 2018 could become a Pillar I ratio (minimum capital requirements). Its minimum level is set at 3%.

By a decision of the European Central Bank of 24 August 2016, La Banque Postale has been authorised to integrate gradually and linearly fashion up to 2022 its CDC exposure. From 1 January 2023, La Banque Postale must incorporate the total amount of its CDC exposure in the measurement of its total exposure, subject to any potential changes.

Summary comparison of accounting assets and the measurement of exposure for leverage ratio purposes

(€ million)	31.12.2016 (with the application of transitional measures)
BALANCE SHEET TOTAL IN IFRS FORMAT	229,577
<i>Adjustments for investments in banks, insurance companies or financial and commercial entities which are consolidated for accounting purposes but which are outside the regulatory consolidation scope</i>	(2,569)
<i>Adjustments for fiduciary assets recognised on the balance sheet pursuant to the applicable accounting framework but excluded from the leverage ratio total exposure measure</i>	
<i>Adjustments for financial derivatives</i>	568
<i>Adjustments for temporary sales of shares (repurchase transactions and other types of guaranteed loans)</i>	2,507
<i>Adjustments for off-balance sheet items</i>	10,354
<i>Other adjustments</i>	(44,341)
EXPOSURE TO LEVERAGE RATIO	196,096

Breakdown of exposures

(€ million)	31.12.2016 (with the application of transitional measures)
Balance sheet item exposure	
► Balance sheet items (excluding derivatives and temporary sales of shares)	177,740
► Assets deducted for the purposes of calculating Tier 1 capital	(1,261)
TOTAL BALANCE SHEET EXPOSURES	176,479
Derivative exposures	
► Replacement cost associated with all derivatives transactions (net of eligible cash variation margin)	2,213
► Add-on amounts for PFE (Potential Future Exposure) associated with all derivatives transactions	568
► Gross amount including collateral provided on derivatives where deducted from the balance sheet assets pursuant to the applicable accounting basis	(917)
► Deductions of receivables assets for the cash variation margin provided in derivatives transactions	(1,311)
► Adjusted effective notional amount of written credit derivatives	0
► Offsetting of adjusted effective notionals and add-on deductions for written credit derivatives	0
TOTAL DERIVATIVES EXPOSURES	554
Exposure to securities financing transactions (SFT)	
► Gross SFT assets (without offsetting), after adjusting for sales accounting transactions	6,203
► Offset amounts of cash payables and cash receivables of gross SFT assets	0
► Counterparty credit risk for SFT assets	2,507
► Exposure to transactions where the bank operates as an agent	0
TOTAL SFT EXPOSURES	8,709
Other off-balance sheet exposures	
► Off-balance sheet exposures at gross notional amount	0
► Adjustments for conversion to credit equivalent amounts	10,354
OFF-BALANCE SHEET ITEMS	10,354
Capital and total exposure	
► Tier 1 capital	8,971
► Total exposure	196,096
Leverage ratio	
► Basel III leverage ratio	4.6%

The leverage ratio calculated by entirely excluding outstandings centralised within the CDC from the exposure (in the denominator) stood at 5.2% at 31 December 2016, the same as at 31 December 2015.

Breakdown of balance sheet exposures

(€ million)	31.12.2016 (with the application of transitional measures)
Total balance sheet exposures (except for derivatives, SFT and exempted exposures), including:	176,479
Trading book exposures	11,749
Banking book exposures, including:	164,730
Covered bonds	3,491
Exposures treated as sovereign	67,965
Exposure to regional governments, multilateral development banks, international organisations and public sector entities not treated as sovereign borrowers	3,939
Institutions	8,997
Exposures secured by mortgages on real estate	16,099
Retail exposures	46,493
Corporate	13,686
Exposures in default	810
Other exposures (particularly shares, securitisations and other non-credit obligation assets)	3,249

Description of the processes used to manage the risk of excessive leverage

The risk of excessive leverage is defined as an institution's vulnerability risk arising from leverage or potential leverage.

The leverage ratio is one of the CRR indicators that currently allows excessive leverage to be measured. The risk of excessive leverage may lead to corrective measures being taken that were not planned in the financial and capital business plan, in particular the sale of assets.

The leverage ratio forms part of the risk management system with the introduction of a limit of 3% in the Risk Management Policy (PMR) and is monitored by the Group Risk Management Committee and Capital Management Committee.

The leverage ratio is currently calculated for information purposes and is expected to enter into force in 2018 with a limit. This ratio measures, without any risk related aspect, the ratio between the size of the balance sheet and the level of Tier 1 equity.

La Banque Postale does not intend to finance its assets and, in particular, its new loan productions by means of debt leverage. For the bank, it is at this time more a matter of using its excess retail customer resources for loan production.

The regulator still has to stabilise the calculation methodology and to determine the limit that will be applied.

With regards to the credit business activity financed by its retail customer resources, the risk of excessive leverage is controlled and monitored as part of the ICAAP (Internal Capital Adequacy Assessment Process).

4.3.8 Publication of global systemically important indicators – Data at 31 December 2016

In accordance with the recommendations of the national supervisor, La Banque Postale sets out below its ten indicators relating to financial institutions of systemic importance to the global economy. These data were established according to the Basel Committee's specific instructions on banking control and cannot be directly compared to other information published by La Banque Postale.

(€ '000s)		31.12.2016	31.12.2015
Size	Total assets	227,008,415	216,060,322
	Value of domestic payment transactions	2,383,027,219	647,237,650
Importance (including substitutability/ financial system infrastructure)	Private sector deposits from depositors in the EU	169,255,648	165,557,293
	Private sector loans to recipients in the EU	68,493,203	64,641,263
Complexity/cross-border activity	Value of OTC derivatives (notional)	74,822,247	76,129,623
	Cross-jurisdictional liabilities	7,443,077	2,427,406
	Cross-jurisdictional claims	15,317,174	19,815,606
	Intra financial system liabilities	22,861,037	20,208,267
Interconnectedness	Intra financial system assets	19,365,214	29,600,454
	Debt securities outstanding	14,268,474	12,248,201

4.4 CREDIT RISKS (audited)

The information presented in this section is an integral part of the consolidated financial statements certified by the Statutory Auditors as information required by IFRS 7.

Key figures

Key indicators	31.12.2016	31.12.2015
Cost of risk on loans (in bp) ⁽¹⁾	22	23
Gross rate of doubtful loans ⁽²⁾	1.68%	1.61%
Gross hedging rate of doubtful loans	37.52%	39.4%

(1) The 2015 and 2016 methods are different, with Basel parameters being used in 2016 for home loan provisions and overdrafts.

(2) Cost of commercial banking credit risk.

Depreciation principles are set out in the Financial Statements, chapter 5, Section 1.5 "Presentation and valuation rules".

Developments related to the entry into force of the new IFRS 9 standard on 1 January 2018 are set out in the Financial Statements, chapter 5, Section 1.3 "Standards and interpretations not yet applied".

For information, and with regards to the regulatory scope, the amount of non-performing loans is as follows:

Gross value in € millions	31.12.2016	31.12.2015
Amount of non-performing loans	1255.8	989.1

4.4.1 Organisation of credit risk and counterparty risk management

The Group Risk Department reports to the Group Risk Management Committee on the drafting and implementation of measures for monitoring and managing credit risks relating to retail and legal entities in accordance with the decree of 3 November 2014.

In terms of risk monitoring procedures, the Group Risk Department defines the monthly credit risk monitoring indicators approved by the Group Risk Management Committee.

The Group Risk Department hedges credit risk, i.e., the risk incurred in the event that a counterparty defaults or counterparties considered as a single beneficiary within the meaning of (EU) Regulation No. 575/2013 of the European Parliament and Council relating to the prudential requirements applicable to credit institutions and investment firms (CRR of 26 June 2013), in particular Articles 387 to 403 and 493.

Organisation and management of credit risk

The Risk Management Policy and the Risk Charter have been reflected by the establishment of a robust and durable risk structure, taking into account all the changes to La Banque Postale since its inception

in order to secure the Group's future results, and taking best market practices into account in order to measure and control the risks, with the use of internal models for the determination of internal capital.

The risk unit was completely deployed regionally, and has regionalised dashboards to monitor and pilot its risk by staying close to the ground. These dashboards are also used at the centralised level and contribute to the fluidity of exchanges between the centralised functions and the regional functions of the risk unit.

Revision of internal rating models to comply with the new Basel III requirements

In 2013, La Banque Postale launched an "Internal Models" programme. Since 2015, the Group Risk Department has incorporated in its credit risks framework and monitoring system the Basel ratings and parameters (PD, LGD, ELBE) arising from the internal models for the LBP SAM Individuals scope. Taking account of these models in approval and delegation chain processes, and every day management has brought about a significant improvement in risk management for private customers.

Risk exposure of La Banque Postale Group

(€ '000s)	31.12.2016	31.12.2015
Financial assets at fair value through profit and loss	11,797,858	10,480,239
Derivative instruments at fair value through profit and loss	532,043	555,035
Hedging derivatives	1,577,501	1,228,567
Available-for-sale financial assets	18,879,482	15,610,500
Loans and receivables – credit institutions	84,461,375	83,101,861
Loans and receivables – customers	78,783,991	73,628,314
Financial assets held to maturity	22,270,714	24,157,604
Balance sheet exposure net of impairment charges	218,302,964	208,762,120
Financing commitments given	20,086,922	17,269,595
Guarantees given	2,535,439	3,066,520
Off-balance sheet exposure net of impairment charges	22,622,361	20,336,115
TOTAL NET EXPOSURE	240,925,325	229,098,235

4.4.2 Credit risk on retail customers

4.4.2.1 Credit risk on retail customers: framework and definition

In terms of financing to individuals, the activities conducted by La Banque Postale Group that give rise to a credit risk include:

- ▶ home loans to individuals and to high-net-worth Limited Property Investment Partnerships (SCIs) (La Banque Postale and its subsidiaries BPE and SOFIAP);

- ▶ overdrafts and means of payment granted to individuals (La Banque Postale and its subsidiary BPE);
- ▶ consumer loans (La Banque Postale Financement, BPE, as well as La Banque Postale for former loans to employees of Le Groupe La Poste);
- ▶ personal micro-loans (La Banque Postale).

The retail customer credit business activity is highly concentrated on France (99.9% of outstandings)

Risk management

For retail credit, the Group Risk Department is responsible on behalf of La Banque Postale Group for:

- ▶ defining the rules and tools governing risk-taking and the management of inherent risks;
- ▶ monitoring the effective application of these rules and the proper functioning of the tools at the level of La Banque Postale SA, La Banque Postale Financement, BPE and SOFIAP.

It develops the rules for granting and committing to loans.

The Retail Credit Risk Department supervises the LBP Retail Credit Risk Committee that is the highest appointed body within La Banque Postale Group for making loans to individuals.

For management of inherent risk, the Group Risk Department is responsible for the rules on covering risk, working with the Legal

Department, the Operations Department and the departments governing provisions for accounts receivable in relation to the Accounts Department.

Beyond the scope of its own authority, it has these “rules of the game” approved by the Group Risk Management Committee (chaired by a member of the Executive Board) or by the Executive Board, if requested by the Chairman of the Group Risk Management Committee.

After validation, the Retail Credit Risk Department ensures implementation and monitors the proper application of these rules throughout the loan process.

As part of the development of the risk function, the LBPF, BPE and SOFIAP Heads of Risk now report to the Head of Group Risk.

In compliance with applicable regulations, the Retail Credit Risk Department guarantees implementation of audit and risk monitoring procedures and coordinates all necessary related steps.

Monitoring is provided by the Group Risk Management Committee over the consolidated scope with specific monitoring of each of the subsidiaries.

4.4.2.2 Credit risk exposure on transactions with retail customers

2016 financial year

(€ million)	31.12.2016					
	Balance sheet (gross)		Off-balance sheet gross		Total exposure	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Home loans	55,948	94%	3,305	6%	59,273	81%
Consumer loans	4,931	88%	698	12%	5,629	8%
Current accounts in debit and similar	533	7%	7,295	93%	7,828	11%
TOTAL	61,413	84%	11,297	16%	72,711	100%

2015 financial year

(€ million)	31.12.2015					
	Balance sheet (gross)		Off-balance sheet gross		Total exposure	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Home loans	54,214	96%	2,275	4%	56,490	81%
Consumer loans	4,553	90%	519	10%	5,072	7%
Current accounts in debit and similar	681	8%	7,867	92%	8,548	12%
TOTAL	59,448	85%	10,662	15%	70,110	100%

The distribution of exposure is stable compared with the previous year, despite the reduction in authorised overdrafts (-€572 million).

Guarantees received

2016 financial year

(€ million)	31.12.2016									
	Security rights		Guarantee by a legal entity		Guarantee by an individual		Unguaranteed		Balance sheet (gross)	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Home loans	18,748		36,061		25		1,115		55,948	
▶ Performing loans	18,440	33%	35,751	65%	24	0%	1,090	2%	55,304	99%
▶ Impaired loans	308	48%	311	48%	0	0%	25	4%	644	1%
Consumer loans	5		10		1		4,916		4,931	
▶ Performing loans	5	0%	8	0%	1	0%	4,551	100%	4,565	93%
▶ Impaired loans	0	0%	2	0%	0	0%	365	100%	367	7%

2015 financial year

(€ million)	31.12.2015									
	Security rights		Guarantee by a legal entity		Guarantee by an individual		Unguaranteed		Balance sheet (gross)	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Home loans	17,526		35,209		18		1,461		54,214	
▶ performing loans	17,227	32%	35,028	65%	18	0%	1,428	3%	53,701	99%
▶ impaired loans	299	58%	181	35%	-	0%	33	6%	513	1%
Consumer loans	3		9		1		4,539		4,553	
▶ performing loans	3	0%	8	0%	1	0%	4,227	100%	4,239	93%
▶ impaired loans	-	0%	2	0%	-	0%	312	100%	314	7%

The share of home loans guaranteed is slightly higher (+1.2%) to the detriment of legal entity guarantees (-0.5%) and unguaranteed loans (-0.7%), in line with the increase in PAS.

Almost all outstanding consumer loans are without guarantees.

Credit quality of financial assets that are neither doubtful nor impaired on an individual basis

(€ million)	31.12.2016		31.12.2015	
	Amounts outstanding	%	Amounts outstanding	%
Performing home loans	55,304	100.0%	53,701	100.0%
▶ Without arrears	54,926	99.3%	53,373	99.4%
▶ With arrears	378	0.7%	328	0.6%
Performing consumer loans	4,565	100.0%	4,239	100.0%
▶ Without arrears	4,501	98.6%	4,163	98.2%
▶ With arrears	64	1.4%	76	1.8%

The portion of performing loans not in arrears (99.3%) increased for consumer loans (+0.4%) and was down slightly for home loans (-0.1%).

Doubtful financial assets – Customers

2016 financial year*

(€ million)	31.12.2016										
	Non-impaired loans with arrears						Guarantees				
	≤30 days	>30 days ≤60 days	>60 days ≤90 days	>90 days ≤180 days	>180 days	Total	Impaired loans	Security rights	Guarantee by a legal entity	Guarantee by an individual	Unguaranteed
Home loans	265	67	34	12	0	378	644	308	311	0	25
Consumer loans	40	16	8	0	0	64	367	0	2	0	365
TOTAL	305	82	42	12	0	442	1,011	308	313	0	390

2015 financial year

(€ million)	31.12.2015										
	Non-impaired loans with arrears						Guarantees				
	≤30 days	>30 days ≤60 days	>60 days ≤90 days	>90 days ≤180 days	>180 days	Total	Impaired loans	Security rights	Guarantee by a legal entity	Guarantee by an individual	Unguaranteed
Home loans	195	63	34	37	-	328	513	299	181	1	33
Consumer loans	20	12	11	18	15	76	314	0	2	0	312
TOTAL	215	75	45	55	15	405	826	299	183	1	345

Impaired home loans increased by €131 million in 2016 (€644 million) and represented 1.15% of total amounts outstanding, compared to 0.95% in 2015. The home loans in question are principally loans guaranteed by legal entities and security rights.

The balance of doubtful consumer loans in arrears and impaired consumer loans increased by €41 million in 2016 compared to 2015.

* In 2016, guarantees are presented for impaired customer loans and 2015 data were treated in this way.

Breakdown of individually impaired financial assets – Private customers**2016 financial year**

(€ million)	31.12.2016			
	Receivables (a)	Retained value of the guarantee	Updated provisions (b)	Updated provision rate (b/a)
IMPAIRED HOME LOANS				
Security rights	285	184	(111)	39%
Guarantee by a legal entity	252	227	(29)	11%
Guarantee by an individual	0	0	0	41%
Unguaranteed	23	4	(18)	80%
Loans classified as doubtful according to the contagion principle, but not in arrears	84	84	(1)	1%
Total impaired home loans	644	499	(159)	25%
Impaired consumer loans	367	1	(167)	45%
Total impaired consumer loans	367	1	(167)	45%
Impaired current accounts in debit and similar	53	10	(40)	76%
Impaired current accounts in debit and similar	53	10	(40)	76%

2015 financial year

(€ million)	31.12.2015			
	Receivables (a)	Retained value of the guarantee	Updated provisions (b)	Updated provision rate (b/a)
IMPAIRED HOME LOANS				
Security rights	262	219	(78)	30%
Guarantee by a legal entity	126	122	(10)	8%
Guarantee by an individual	1	-	-	26%
Unguaranteed	27	-	(12)	46%
Loans classified as doubtful according to the contagion principle, but not in arrears	97	90	(13)	14%
Total impaired home loans	513	431	(114)	22%
Impaired consumer loans	314	1	(149)	47%
Total impaired consumer loans	314	1	(149)	47%
Impaired current accounts in debit and similar	129	-	(109)	84%
Impaired current accounts in debit and similar	129	-	(109)	84%

Since 2016, provisions for the home loans and ordinary LBP SAM accounts are based on Basel parameters (PD, LGD, ELBE) arising from internal models.

For consumer loans, the rate of provisions fell from 47% to 45%.

4.4.3 Credit risk on legal entities

La Banque Postale's business activities generate credit risk on two levels:

- ▶ within the scope of its commercial economy-financing activities, in September 2011, La Banque Postale obtained authorisation from the French Prudential Control and Resolution Authority to offer financing to legal entities ("PMOs"). In view of the product ranges offered, the primary customer segments are currently the following: companies, local authorities, public health institutions, social housing associations and non-profit associations;
- ▶ within the scope of its financial market transactions, La Banque Postale must also manage credit risk stemming from interbank cash transactions such as deposits, loans and buybacks (with respect to financial institutions) and issuer risk on debt securities (from Companies, Financial Institutions, Sovereign States, Local Authorities) in the trading room.

These risks come in the form of balance sheet and off-balance sheet commitments (guarantees, collateral, investments of La Banque Postale's insurance subsidiaries, un-drawn proportion of loans granted, etc.).

La Banque Postale has retained a prudent approach and a gradual ramp-up of the business.

The range of finance options offered by La Banque Postale currently includes: overdraft facilities, advances on grants, equipment leasing, medium-term credit for business start-ups and takeovers, bilateral or syndicated loans for large corporate clients, property leasing and factoring business.

Since 2012, La Banque Postale has been providing a financing offering to customers from the Local Social Economy (social housing associations, mutual insurance companies, local and regional authorities, public health institutions, management associations, local non-profit associations): credit lines, medium and long-term

financing. Since 2014, the short-term and medium/long-term financing offers were extended to Social Housing Promoters and semi-public companies.

Since 2015, the range of financing has been supplemented by an overdraft offer for small and medium-sized enterprises of significant size (>€30 million in revenue) or intermediate-size entities with top rating.

In the context of the proposed development of the specialised credit business activity which aims to develop the range of financing and increase the volume of activity, La Banque Postale Group is strengthening the risk teams of La Banque Postale Crédit Entreprises (LBPCE) by creating a dedicated Risk Department which plays a role in equipment leasing approvals and factoring. It is also responsible, for all the commitments entered into by LBPCE, of the supervision, monitoring and management (including partner relationships) of credit risks, operational risks and financial risks, in collaboration with the Group Risk Department. La Banque Postale Crédit Entreprises remains entirely integrated within La Banque Postale's system both in terms of La Banque Postale's investigation and approval process and in terms of the management and monitoring of risks.

For professional customers, La Banque Postale has been offering a range of financing comprising overdraft facilities, equipment leasing, factoring and medium-term credit since January 2016.

This business activity is being developed in the context of investigation processes within the framework of decision-aiding tools in order to ensure that risk is appropriately managed.

La Banque Postale has been deploying an offer of simple derivatives without margin call, intended for Large Corporates, Institutions, Financial Institutions of the housing-financing type (Housing Financing Company) or mortgage-credit type (Mortgage Credit Company), Large Local Authorities, Public Health Institutions, Social Housing Associations.

During 2016, a new real estate development range was developed and introduced in the second half of 2016.

4.4.3.2 Approval process

La Banque Postale's granting and commitment rules are drawn up in accordance with Articles 111 and 112 of the decree of 3 November 2014 on the internal control of companies in the banking, payment and investment services sector subject to the French Prudential Control and Resolution Authority.

The investigation and decision-making process is based upon: eligibility conditions, analysis and the determination of a financial score specific to each segment, and in some cases, the collection of guarantees.

The aim of the risk management system selected for legal entities financing is to detect risks at every level in each of the business

processes (granting, management, recovery and provisioning). It is based on the following elements:

- ▶ a complete Loan Committee system at different levels of the Bank and an assignee plan tailored to each segment;
- ▶ individual risk monitoring procedures and a management platform for global risk.

For micro-businesses, SMEs, and non-profit associations, the general research and decision-making process is supplemented by a specific banking behaviour score.

According to the market, transactions of a unit amount greater than or equal to €10 million or €20 million must be approved by a member of the Executive Board.

4.4.3.3 Investment limits

In investment matters, third parties are systematically rated and allocated an individual limit which is intended to limit the total commitment. Where applicable, these individual limits are supplemented by so-called group limits, which govern exposure to a group of third parties that are considered as a single beneficiary within the meaning of article 4–39 of (EU) Regulation No. 575/2013 of the European Parliament and of the Council.

La Banque Postale's scope of activities is generally limited to "investment-grade" counterparties and issuers, i.e. those whose internal rating is at least BBB-.

The minimum rating is lowered to BB-⁽¹⁾ in some specific cases, particularly for loans to large corporate clients and to the local public sector, provided that the bank has an on-going business relationship or authorisation from the Executive Board.

Before it can carry out repurchases or forward financial instruments with financial institutions other than the Housing Financing Companies (SFH) or Mortgage Credit Companies (SCF) exposing it to a counterparty risk, La Banque Postale must first ensure that there is an ISDA or FBF framework agreement with clauses concerning collateral. The quantitative aspects entered into such agreements (instruments concerned, threshold and frequency of margin calls, exemptions, etc.) are subject to approval by the Group Risk Department. In the event of significant deterioration of the risk, the issuers and counterparties concerned are subject to strict monitoring by the Watch List Committee which reports to the Group Risk Management Committee.

The individual limits are supplemented with a set of limits aimed at limiting the risk of concentration on groups of counterparties classified according to their geographic area, business segment, type of activity and internal rating. These diversification limits can be reviewed monthly by the Group Risk Management Committee. This committee also validates a list of authorised countries and a list of authorised currencies.

(1) According to the ACP correlation tables, BB- corresponds to quality level 4 (BB- to BB+ at FITCH and S&P; Ba1 to Ba3 at Moody's; 4 to 5 at COFACE; 4 to 5+ at FIBEN).

4.4.3.4 Credit and market risk exposure with legal entities

2016 financial year

(€ million)	31.12.2016					
Category	Sovereign	Bank	Corporate	Public administration	Securitisation	Total
Financial assets at fair value through profit and loss	723	10,144	932	0	0	11,798
Available-for-sale financial assets	8,258	8,488	1,846	281	7	18,879
Loans and receivables – credit institutions	81,213	3,249	0	0	0	84,461
Loans and receivables – customers	1,028	4	11,530	5,147	127	17,837
Financial assets held to maturity	20,322	1,920	3	26	0	22,271
TOTAL	111,543	23,805	14,310	5,454	134	155,246

(€ million)	31.12.2016				
Rating	AAA	AA	A	Other	Total
Financial assets at fair value through profit and loss	0	821	6,514	4,463	11,798
Available-for-sale financial assets	4,308	5,089	4,860	4,622	18,879
Loans and receivables – credit institutions	202	82,075	1,255	928	84,461
Loans and receivables – customers	79	656	1,698	15,404	17,837
Financial assets held to maturity	1,759	18,327	0	2,185	22,271
TOTAL	6,348	106,969	14,326	27,603	155,246

Within the scope of market activities and of La Banque Postale SA, which represent the majority of the “Others” category, the share of assets rated as BB- or lower is less than 6%.

(€ million)	31.12.2016			
Geographic area	France	Euro zone	Outside euro zone	Total
Financial assets at fair value through profit and loss	5,929	3,719	2,150	11,798
Available-for-sale financial assets	6,513	7,206	5,161	18,879
Loans and receivables – credit institutions	83,987	146	329	84,461
Loans and receivables – customers	16,987	385	465	17,837
Financial assets held to maturity	17,680	4,032	559	22,271
TOTAL	131,096	15,488	8,662	155,246

Total exposures outside the euro zone are concentrated in the Great Britain, the United States, Canada and Switzerland.

2015 financial year

(€ million)	31.12.2015					
Category	Sovereign	Bank	Corporate	Public administration	Securitisation	Total
Financial assets at fair value through profit and loss	226	9,203	1,051	-	-	10,480
Available-for-sale financial assets	3,737	9,471	2,132	263	7	15,610
Loans and receivables – credit institutions	79,715	3,374	-	-	-	83,089
Loans and receivables – customers	1,281	2	9,003	4,153	381	14,819
Financial assets held to maturity	22,319	1,831	-	8	-	24,158
TOTAL	107,277	23,881	12,186	4,424	388	148,156

(€ million)	31.12.2015				
Rating	AAA	AA	A	Other	Total
Financial assets at fair value through profit and loss	-	1,170	5,557	3,753	10,480
Available-for-sale financial assets	1,230	3,599	6,115	4,666	15,610
Loans and receivables – credit institutions	190	81,634	831	433	83,089
Loans and receivables – customers	234	858	4,321	9,406	14,819
Financial assets held to maturity	1,313	22,026	0	819	24,158
TOTAL	2,968	109,288	16,824	19,076	148,156

(€ million)

31.12.2015

Geographic area	France	Euro zone	Hors zone euro	Total
Financial assets at fair value through profit and loss	5,605	3,180	1,695	10,480
Available-for-sale financial assets	6,513	4,772	4,326	15,610
Loans and receivables – credit institutions	82,789	61	239	83,089
Loans and receivables – customers	14,225	264	330	14,819
Financial assets held to maturity	18,838	4,508	812	24,158
TOTAL	127,969	12,785	7,402	148,156

Financial assets at fair value through profit and loss

The financial assets at fair value through profit and loss comprise securities. The bulk of the financial assets at fair value through profit and loss stem from bank issuers (86% of portfolio positions).

They consist of good quality assets mainly located in France, as shown in the three tables above (figures shown in millions of euros).

Loans and receivables – credit institutions

As part of its day-to-day business, La Banque Postale performs inter-bank transactions, including deposits and securities lending/borrowing.

The counterparty risk attached to inter-bank deposits is managed in the same way as issuer risk (the transactions are included in individual, group, and diversification limits).

Financial assets held to maturity

These are good quality assets, essentially consisting of bonds issued or guaranteed by euro zone countries as shown in the above tables (figures shown in millions of euros). The portion of sovereign issuers in this portfolio is 91%. In addition, 90% of portfolio positions consist of issuers with a first-class rating (AAA to AA-).

Sovereign exposures

At 31 December 2016, La Banque Postale's direct and indirect exposure to PIIGS was €1.20 billion. This amount has constantly been decreasing since 2011.

This is primarily due to the redemption of certain lines that had reached maturity. The breakdown of direct and indirect sovereign exposure is as follows:

2016 financial year

(€ '000s)	Total Bank Portfolio	Assets at fair value through profit and loss	Derivatives	Total direct exposure ¹	Repurchase transactions	Off-balance sheet	Total direct and indirect exposure ²	Exposure in %
Greece	0	0	0	0	0	0	0	
Ireland	0	0	0	0	0	0	0	
Italy	387,416	551,205	0	938,621	257,182	0	1,195,803	3.9%
Portugal	0	0	0	0	0	0	0	
Spain	6,965	0	0	6,965	0	0	6,965	0.0%
Total PIIGs	394,381	551,205	0	945,586	257,182	0	1,202,768	3.9%
Germany	4,476,964	0	0	4,476,964	13,574	0	4,490,538	14.5%
Austria	15,380	0	0	15,380	4,354	0	19,734	0.1%
Belgium	2,246,720	0	0	2,246,720	11,363	0	2,258,083	7.3%
Finland	0	0	0	0	5,983		5,983	0.0%
France	18,586,875	0	0	18,586,875	1,229,552	0	19,816,427	63.9%
Luxembourg	590,547	1,065	0	591,612	0	0	591,612	1.9%
Netherlands	1,248,707	0	0	1,248,707	0	0	1,248,707	4.0%
Poland	22,664	0	0	22,664	25,417	0	48,081	0.2%
Slovakia	1,045	0	0	1,045	0	0	1,045	0.0%
Slovenia	6,552	0	0	6,552	0	0	6,552	0.0%
Supra-national	0	0	0	0	0	0	0	
Total Europe	27,195,454	1,065	0	27,196,519	1,290,243	0	28,486,762	91.8%
Rest of the world	990,252	170,284	0	1,160,536	182,414	0	1,342,950	4.3%
TOTAL	28,580,087	722,554	0	29,302,641	1,729,839	0	31,032,480	100%

Identification based on the scope defined by the EBA, including local and regional authorities or bodies benefiting from a government guarantee. These exposures do not include savings funds centralised within the CDC.

(1) Direct exposures: net carrying amount (including impairment) of exposure on the Bank's own account.

(2) Direct and indirect exposures: direct exposures to which are added the indirect exposures via guarantees issued to the Group's UCITS.

The unrealised gains and losses are €9,824 thousand. Securities are classified in N1. No impairment on stocks was recorded as at 31 December 2016.

The main changes, in terms of nominal value, of PIIGS sovereign securities are related to securities that have matured in the amount of -€458 million for securities held to maturity and purchases of €550 million for financial assets at fair value as a result.

PIIGS sovereign securities generally have maturities of less than three years.

Reminder of sovereign exposures at 31 December 2015

(€ '000s)	Total Bank Portfolio	Assets at fair value through profit and loss	Derivatives	Total Direct exposure ⁽¹⁾	Repurchase transactions	Off-balance sheet ⁽²⁾	Total Direct and indirect exposures ⁽³⁾	Exposure (%)
Greece	0	0	0	0	0	0	0	
Ireland	0	0	0	0	0	0	0	
Italy	562,770	0	0	562,770	246,681	0	809,451	2.4%
Portugal	0	0	0	0	0	0	0	
Spain	290,278	0	0	290,278	388,820	0	679,098	2.0%
Total PIIGs	853,048	0	0	853,048	635,501	0	1,488,549	4.3%
Germany	2,133,905	0	6,368	2,140,273	73,417	2,337,184	4,550,874	13.2%
Austria	875	0	0	875	8,315	0	9,190	0.0%
Belgium	2,206,194	0	0	2,206,194	22,798	0	2,228,992	6.5%
France	18,032,214	645,191	28,130	18,705,535	3,145,522	1,007,346	22,858,402	66.4%
Luxembourg	18,364	0	0	18,364	0	0	18,364	0.1%
Netherlands	408,302	0	2,659	410,961	27,028	663,634	1,101,623	3.2%
Poland	23,065	0	0	23,065	25,417	0	48,482	0.1%
Slovakia	0	0	0	0	0	0	0	
Slovenia	0	0	0	0	0	0	0	
Supra-national	572,599	0	0	572,599	0	0	572,599	1.7%
Total Europe	23,395,518	645,191	37,156	24,077,865	3,302,497	4,008,164	31,388,526	91.2%
Rest of the world	1,262,107	0	0	1,262,107	282,708	0	1,544,815	4.5%
TOTAL	25,510,673	645,191	37,156	26,193,020	4,220,706	4,008,164	34,421,890	100.0%

(1) Direct exposures: net carrying amount (including impairment) of exposure on the Bank's own account.

(2) Off-balance sheet transactions including forward bonds (forward prices).

(3) Direct and indirect exposures: direct exposures to which are added the indirect exposures via guarantees issued to the Group's UCITS.

Non-sovereign exposures of some European Union countries

The Group's principal non-sovereign exposures to the following countries: Greece, Ireland, Italy, Portugal and Spain, represent a total amount of €2,275 million (compared to €3,064 million at 31 December 2015). They are mainly shared between the Banking, with €1,821 million, and Corporate, with €431 million, categories (compared to, respectively, €2,438 million and €626 million at 31 December 2015).

Local public sector risk

This is primarily a risk concerning local authorities, as La Banque Postale had prioritised the launch of its financing business on this market in June 2012. The business of financing public health institutions and social housing associations was launched gradually as of 2013.

Corporate risk

At 31 December 2016, La Banque Postale's corporate exposure had significantly increased due to the development of La Banque Postale loans to companies and the diversification of issuers in which La Banque Postale invests.

Of particular note is the sharp increase in amounts outstanding for medium to long-term loans granted to companies. These have seen a sharp increase in their amounts outstanding during the last quarter of 2016 **+€1,068 million** as a result of the Banks's development strategy for this customer segment.

The majority of amounts outstanding on companies in which the bank has securities investments are rated at least BBB-. There is strict monitoring of conditions for companies with lower ratings within the portfolio, in order to ensure that risk is mitigated: guarantees, clauses limiting potential deterioration of counterparty credit risk, financial covenants, seniority guarantees. The majority of these commitments involve French companies.

Credit risk stemming from transactions with legal entities

2016 financial year*

(€ million)	31.12.2016					
	Balance sheet (gross)		Financial commitments and commitments given		Total exposure	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Capital lease transactions	2,051	92.2%	174	7.8%	2,224	9.6%
Loans to the local public sector	5,679	55.9%	4,482	44.1%	10,161	44.0%
Loans to other legal entities	5,991	64.0%	3,374	36.0%	9,366	40.5%
Factoring - commercial receivables	818	100.0%			818	3.5%
Other cash flow loans						
Current accounts in debit and similar	226	42.2%	310	57.8%	536	2.3%
Other						
TOTAL	14,765	64%	8,340	36%	23,105	100%

2015 financial year

(€ million)	Balance sheet (gross)		Financial commitments and commitments given		Total exposure	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Capital lease transactions	1,568	89%	201	11%	1,770	11%
Loans to the local public sector	4,495	53%	3,980	47%	8,476	52%
Loans to other legal entities	3,561	66%	1,816	34%	5,377	33%
Factoring - commercial receivables	146	100%			146	1%
Other cash flow loans		100%				
Current accounts in debit and similar	183	33%	379	67%	562	3%
Other						
TOTAL	9,954	61%	6,377	39%	16,330	100%

Guarantees received for loans granted to legal entities

2016 financial year

(€ million)	31.12.2016									
	Security rights		Guarantee by a legal entity		Guarantee by an individual		Unguaranteed		Balance sheet (gross)	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Capital lease transactions	1,124		286				641		2,051	
► Performing loans	1,124	56%	276	14%			622	31%	2,021	99%
► Impaired loans			10	34%			19	66%	29	1%
Loans to the local public sector			24				5,655		5,679	
► Performing loans			24	0%			5,613	100%	5,637	99%
► Impaired loans							42	100%	42	1%
Loans to other legal entities	1,158		2,210				2,622		5,991	
► Performing loans	1,158	20%	2,200	37%			2,579	43%	5,938	99%
► Impaired loans			10	19%			43	81%	53	1%
Factoring business - commercial receivables			53		1		764		818	
► Performing loans			53	7%	1	0%	760	93%	814	100%
► Impaired loans							4	100%	4	0%

* In 2016, "loans to other legal entities" outstandings are included in "other customer loans"

2015 financial year

(€ million)	31.12.2015									
	Security rights		Guarantee by a legal entity		Guarantee by an individual		Unguaranteed		Balance sheet (gross)	
	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%	Amounts outstanding	%
Capital lease transactions	-		207	13%	23	1%	1,343	85%	1,573	100%
▶ performing loans	-	-	207	13%	23	1%	1,338	85%	1,568	100%
▶ impaired loans	-	-	-	8%	-	-	4	92%	5	0%
Loans to the local public sector	-		44	1%	-		4,452	99%	4,495	100%
▶ performing loans	-	-	44	1%	-	-	4,451	99%	4,494	100%
▶ impaired loans	-	-	-	-	-	-	1	100%	1	0%
Loans to other legal entities	727	20%	1,543	61%	1		1,289	118%	3,561	100%
▶ performing loans	727	20%	1,543	43%	1	-	1,288	36%	3,560	100%
▶ impaired loans	-	-	-	18%	-	-	1	82%	1	0%
Factoring business - commercial receivables	-		12	8%	1	4%	134	188%	146	100%
▶ performing loans	-	-	12	8%	-	-	133	91%	145	99%
▶ impaired loans	-	-	-	-	-	3%	1	97%	1	1%

Credit quality of financial assets that are neither doubtful nor impaired on an individual basis - legal entities

(€ million)	31.12.2016		31.12.2015	
	Amounts outstanding	%	Amounts outstanding	%
Performing capital lease transactions	2,021	100%	1,568	100%
▶ Without arrears	2,019	100%	1,562	100%
▶ With arrears	2	0%	6	0%
Performing loans to the local public sector	5,637	100%	4,494	100%
▶ Without arrears	5,635	100%	4,492	100%
▶ With arrears	2	0%	3	0%
Performing loans to other legal entities	5,938	100%	3,560	100%
▶ Without arrears	5,314	89%	3,560	100%
▶ With arrears	624	11%	0	0%
Factoring and performing commercial receivables	814	100%	145	100%
▶ Without arrears	776	95%	124	85%
▶ With arrears	38	5%	22	15%

Doubtful financial assets and breakdown of individually impaired financial assets

2016 financial year

(€ million)	31.12.2016										
	Non-impaired loans with arrears						Guarantees				
	≤30 days	>30 days ≤60 days	>60 days ≤90 days	>90 days ≤180 days	>180 days	Total	Impaired loans	Security rights	Guarantee by a legal entity	Guarantee by an individual	Unguaranteed
Capital lease transactions	2	0	0			2	29		10		19
Loans to the local public sector	2					2	42				42
Factoring business - commercial receivables	28	5	4			38	4				4
Loans to other legal entities	624		0			624	53		10		43
TOTAL	656	5	5			666	128		20		109

2015 financial year*

(€ million)	31.12.2015										
	Non-impaired loans with arrears						Guarantees				
	≤30 days	>30 days ≤ 60 days	>60 days ≤ 90 days	>90 days ≤ 180 days	>180 days	Total	Impaired loans	Security rights	Guarantee by a legal entity	Guarantee by an individual	Unguaranteed
Capital lease transactions	4	2	-	-	-	6	5	-	-	-	5
Loans to the local public sector	1	2	-	-	-	3	1	-	-	-	1
Factoring business - commercial receivables	18	4	-	-	-	22	1	-	-	-	1
Loans to other legal entities	-	-	-	-	-	-	1	-	-	-	1
TOTAL	23	7	-	-	-	30	8	-	-	-	8

2016 financial year

(€ million)	31.12.2016			
	Receivables (a)	Retained value of the guarantee	Updated provisions (b)	Updated provision rate (b/a)
IMPAIRED CAPITAL LEASE TRANSACTIONS				
Guarantee by a legal entity	10	2	(4)	39%
Unguaranteed	19	0	(7)	35%
TOTAL IMPAIRED CAPITAL LEASE TRANSACTIONS	29	2	(11)	37%
TOTAL IMPAIRED LOANS TO THE LOCAL PUBLIC SECTOR	42	0	(5)	12%
IMPAIRED LOANS TO OTHER LEGAL ENTITIES				
Guarantee by a legal entity	10	10	(1)	15%
Unguaranteed	43	0	(39)	90%
TOTAL IMPAIRED LOANS TO OTHER LEGAL ENTITIES	53	10	(40)	76%

2015 financial year

(€ million)	31.12.2015			
	Receivables (a)	Retained value of the guarantee	Updated provisions (b)	Updated provision rate (b/a)
IMPAIRED CAPITAL LEASE TRANSACTIONS				
Security rights	0	0	0	
Guarantee by a legal entity	2	0	(1)	29%
Guarantee by an individual	0	0	0	
Unguaranteed	3	0	(1)	41%
Loans classified as doubtful according to the contagion principle, but not in arrears	0	0	0	
TOTAL IMPAIRED CAPITAL LEASE TRANSACTIONS	5	0	(2)	36%

4.4.4 Credit risk mitigation

La Banque Postale employs risk reduction techniques for its commercial and Retail Banking activities.

Risk mitigation technique for its commercial banking activities in the Retail Banking market

► To mitigate home loan risk:

The general principle is that any financing must be fully covered by a guarantee, which provides an adequate level of cover that complies with the Group Risk Management Policy, namely:

- top tier mortgage security rights (or top tier equivalent): money-lender's privilege, conventional mortgage, mortgage pledge granted by a third party as guarantee of a borrower's debt;
- pledge of financial products (life insurance policies, securities accounts, REIT units) in compliance with the loan amount covered by the pledged savings, as specified in the general terms and conditions for granting loans, depending on the type of investments pledged (equity, bonds, monetary, etc.);
- guarantee provided by a body authorised and pre-approved by La Banque Postale's Guarantor Referencing Committee.

* In 2016, guarantees are presented for impaired customer loans and 2015 data were treated in this way.

By way of exception to the preceding principles, some small home improvement loans are granted with no guarantee.

Bridging loans can be granted without or with lesser guarantees, if the sale agreement or the promise of sale for the asset that is the subject of the loan has been signed, and the conditions precedent favouring the buyer of the asset have been lifted. In such a case, the bank can take a simple pledge of mortgaged assets (PAH) on the asset to be sold.

If the quality of the file so justifies, the bank may grant an unguaranteed loan, provided that all the unguaranteed loans granted to the same customer together do not exceed the limit fixed by the terms and conditions for granting loans.

If the quality of the file so justifies, La Banque Postale may accept a guarantee from an individual as the principal guarantee, within the limits fixed by the terms and conditions for granting loans.

In accordance with Article 453 of the CRR, all of the security rights accepted as part of the technical mitigation of credit risk for retail customers are subject to a review of their eligibility and valuation on at least an annual basis.

It should be noted that all home loan security rights are subject to a quarterly review based on updated notarised indices.

► To mitigate consumer loan risk:

Consumer loans are granted without guarantees or collateral.

Risk mitigation technique for its commercial banking activities in the commercial banking market for legal entities

In the area of guarantees and credit risk mitigation techniques for legal entities, La Banque Postale relies on the following principles:

- guarantees are “credit risk mitigators”; their role is to limit the bank’s loss in the event of a borrower default (LGD);
- any commitment must be covered by a guarantee except where risk management systems provide otherwise;
- guarantees accepted must comply with the provisions of the risk management systems: *i.e.* approved in legal terms and managed by operational entities;
- as far as possible, security rights must be legible in prudential terms. However, this is not compulsory. Some guarantees do not lead to a reduction in equity.

Risk mitigation technique for its market activities

Market activities are a consequence of the bank’s and its subsidiaries’ commercial activity (primarily, loans and savings).

The management of the Group’s financial risks and associated security rights is notable for a high level of prudence. This aims to limit the volatility of future NBIs. Limits are placed on this financial management, with some hedging potentially limited in accordance with the level of Group equity.

The institutions/collateral that La Banque Postale uses are:

	Agency Code	Long Term Rating	Short Term Rating	Credit quality level
Crédit logement	MOODY’S	Aa3		1
Fonds de cohésion sociale (fgas)		NR		NR
Cnp assurances	Standard and Poor’s	A		2
	MOODY’S	Aa1		1
Régie autonome des transports parisiens	Standard and Poor’s	AA+		
	MOODY’S	Aa3	P-1	1
Sncf mobilités	Standard and Poor’s	AA-	A-1+	

4.4.5 Use of external ratings agencies

La Banque Postale, in the context of its legal entity customer credit activities, calls on external ratings agencies. In 2016, five external bodies were used by La Banque Postale: Standard & Poors, Moody’s, Fitch, DBRS and FIBEN.

These five ratings agencies are consulted in order to determine the credit quality level that applies to each counterparty. In accordance with current regulations, the level used to assess credit risk is the second most unfavourable rating in the event that there is no consensus between the five agencies.

4.4.6 Securitisation

La Banque Postale has two “banking book” securitisation portfolio categories:

- positions in securitisation mutual funds of €134 million which are rated or whose underlying assets are perfectly understood and allow transparent treatment;

- a securities portfolio of securitisations under repurchase transactions, treated in accordance with Articles 111.2 and 221-225 of the CRR in order to determine equity requirements.

Bank portfolio securitisation exposures

	classic	synthetic	Total
TOTAL “RETAIL”			
<i>Of which residential property receivables</i>			
<i>Of which credit cards</i>			
<i>Of which other retail customer exposures</i>			
<i>Of which re-securitisation</i>			
TOTAL “WHOLESALE”			
<i>Of which loans to companies</i>			
Commercial property receivables			
Property leasing and receivables			
Other wholesale customer exposures	134		134
re-securitisation			

Exposures and associated regulatory capital requirements

	Value of exposures (by risk weighting band)					Value of exposures (by regulatory approach)						RWA (by regulatory approach)					Capital requirements after cap						
	<20%	20-50%	50-100%	100%-1250%	12.5	AFN	NI	AP	NI	AS/APS	1250%	AFN	NI	AP	NI	AS/APS	1250%	AF	NI	AP	NI	AS/APS	1250%
Total exposure																							
CLASSIC SECURITISATION																							
Of which securitisation																							
Of which underlying retail																							
Of which wholesale		93	40							134						39						3	
Of which re-securitisation																							
Of which senior																							
Of which non-senior																							
SYNTHETIC SECURITISATION																							
Of which securitisation																							
Of which underlying retail																							
Of which wholesale																							
Of which re-securitisation																							
Of which senior																							
Of which non-senior																							

4.4.7 Counterparty risk

According to the terminology used by La Banque Postale, counterparty risk stems primarily from forward financial instruments. Exposure is assessed via the present value method.

Counterparty risk is generated by all derivative products held in LBP banking or trading portfolios. This risk is always calculated when the Financial Operations Department enters into an International Swaps and Derivatives Association (ISDA) or French Banking Federation (FBF) derivatives contract with a third party. The scope of types of options, as currently defined, that generate a counterparty risk is as follows:

- ▶ Credit derivatives;
- ▶ Forward contracts (forwards);
- ▶ Forward exchange rate (FX forwards);
- ▶ Options;
- ▶ Swaps.

This risk is limited by the fact that these transactions mainly take place with top-tier financial institutions and that they are systematically performed as part of agreements that make provision for netting exposures and putting up collateral with regular margin calls. Furthermore, most of the instruments involved are “plain vanilla” swaps.

Moreover, with the deployment of a range of simple derivatives aimed at legal entity customers, the first transactions were carried out in 2016 and were without margin calls.

Counterparty risk is also generated by all security loans/borrowings (or equivalent) held in LBP portfolios, namely:

- ▶ repo agreements (repo and reverse repo for, respectively, repurchase and reverse repurchase transactions) on securities whose underlying assets are generally bonds, and may be covered by Global Master Repurchase Agreement (GMRA) or French Banking Federation (FBF) type agreements. The principal leg (i.e. negotiated at the start of the transaction) of these agreements is the cash leg. The securities leg(s) therefore forms the collateral in these transactions;
- ▶ securities loans and borrowings (commonly and respectively called securities lending and securities borrowing), whose underlying assets are generally shares, may be covered by Global Master Securities Lending Agreement (GMSLA) type framework agreements;
- ▶ transactions known as sell and buy back and buy and sell back, comprising two separate transactions, sale and purchase, one spot, the other forward, generally involve bonds. These transactions may be covered by GMRA-type contracts which must then be amended so that they are properly covered.

The residual risks are subject to limits and are periodically monitored by the Corporate, Public Sector and Institutional Credit Risk Department.

Analysis of exposure to counterparty risk by approach

	Notional amount	Cost of replacement/ Market value	Potential future exposure	Effective expected positive exposure	Multiplier	EAD post CRM	RWA/APR
Market price evaluation		999	485			590	233
Initial exposure							
Standardised method							
Simple method based on financial security rights							
General method based on financial security rights						2,708	1,036
VaR for financial security rights							
TOTAL							1,269

Equity requirement with regard to credit valuation adjustment (CVA)

	Default exposure after taking into account CRM techniques	RWA
Total of portfolios subject to the advanced CVA requirement		
1) VaR component (including x3 multiplier)		
2) VaR component in period of tension (including x3 multiplier)		
Total of portfolios subject to the standard CVA requirement	683	337
Total of portfolios subject to the CVA requirement	683	337

Exposures to counterparty risk by regulatory portfolio and by risk weighting

Risk weighting/ exposure category	0%	2%	4%	10%	20%	35%	50%	70%	75%	100%	150%	250%	370%	1250%	Other deductions	Not rated	Total
Sovereign borrowers	1,644																1,644
Public bodies excluding central government																	0
Multilateral development banks																	0
Banks	1,803	559			410		2,423			4							5,199
Investment firms																	0
Corporate	121				62		4			43	2						233
Regulatory retail portfolios																	0
Other assets																	0
TOTAL	3,568	559	0	0	472	0	2,427	0	0	47	2	0	0	0			7,076

4.4.8 Concentration risk by beneficiary – large exposures

Regulations on large exposures are applied in accordance with the prudential requirements that apply to credit institutions and investment firms published in the official Journal of the European Union of 26 June 2013 (Directive 2013/36/EU and EU Regulation No. 575/2013 of the European Parliament and of the Council) and which entered into force on 1 January 2014. They stipulate that institutions must comply with the following limit: the total amount

of risks incurred in respect of a single beneficiary may not exceed 25% of the Group's net equity.

At 31 December 2016, none of the limits set by the Supervisory Board had been exceeded. The amount of the investment in CNP Assurances is subject to enhanced due diligence carried out jointly by the Financial Department and the Group Risk Department.

4.5 FINANCIAL RISKS**4.5.1 Structural interest rate, liquidity and exchange rate risks****4.5.1.1 Governance and organisation**

The Asset and Liability Management Committee (ALM Committee), the main decision-making body for matters concerning the bank's financial management, is an Executive Board committee chaired by the Chief Financial Officer.

ALM Committee

The ALM Committee is responsible for:

- ▶ approving outflow agreements pertaining to Retail Banking balance sheet components;
- ▶ ensuring consistency across the Group's financial and commercial policies;
- ▶ planning and developing a framework for the progression of future net interest margins;
- ▶ managing financial risk arising from the balance sheet of La Banque Postale and its subsidiaries, in particular liquidity risk, interest rate risk and exchange rate risk;

- ▶ carrying out a periodic review of the thresholds underpinning tactical and structural liquidity management;
- ▶ ensuring the diversification of the bank's financing sources and defining the issue schedule;
- ▶ periodically examining customer deposit models and formally validating the associated outflow assumptions;
- ▶ deciding on financial asset placement and hedging policies to be implemented;
- ▶ carrying out a review of all powers delegated to the operational teams;
- ▶ organising the terms and conditions for financing strategic acquisitions;
- ▶ organising the refinancing of Group subsidiaries;
- ▶ determining a framework for the use of risk management and hedging instruments.

Twice a year, the Group's main subsidiaries give a presentation of their financial risk management to the ALM Committee. The ALM Committee considers the interest rate and liquidity indicators and the investment policy of these subsidiaries.

The ALM Committee decides on general guidelines for financial management and approves the models and tariff rules for internal contracts.

The ALM Committee prepares supporting documentation for the Balance Sheet Operational Management Committee with contributions from the departments concerned (the interest rate, credit, derivatives, cash management and financial risk units and the Finance Department) and proposes interest rate and liquidity risk management strategies in accordance with the guidelines defined by the ALM Committee, based on economic scenarios.

Backing transactions take place regularly between the subsidiaries and La Banque Postale, generally on a monthly basis, by agreement with the subsidiaries and subject to supervision by the Group ALM Committee. The Committee ensures that gaps are offset, observing the threshold allocated to each subsidiary.

Capital Operational Management Committee

This is a sub-committee of the ALM Committee, responsible for the operational application of ALM Committee decisions on the ALM banking book and on cash management.

It provides an interface between the ALM Committee, the Cash Management unit and other authorised divisions, to proceed with interest rate hedging transactions and liquidity transactions.

Group Risk Management Committee

This committee validates risk management principles and thresholds. It validates the ALM risk management system, in particular the thresholds applicable to asset and liability management. It authorises and approves instruments used for financial management (ALM, trading room), through the New Instrument Committee (a sub-committee of the Group Risk Steering Committee, see market risk).

Financial Risk Committee

A sub-committee of the Group Risk Management Committee, the Financial Risk Committee is responsible for technical aspects of management of the financial risk management system upon delegation by the Group Risk Steering Committee.

This committee is responsible for:

- ▶ reviewing banking book thresholds and exposures, specifically as part of the periodic reviews carried out by the Group Risk Steering Committee;
- ▶ developing and implementing the methodologies for calculating exposures;
- ▶ approving action plans arising from reported anomalies.

Model Approval Committee

This committee is in charge of the approval of La Banque Postale Group models, and includes ALM models in its mapping and in its roadmap.

Capital Management Committee

The Capital Management Committee supervises matters related to equity management, the risk-weighting of assets and related indicators. In this respect, it defines capital management objectives (ratio, targets, etc.):

- ▶ it examines the progression of equity;
- ▶ it defines action plans (share issues, capital increase requests, arbitrage transactions, business orientations, etc.).

4.5.1.2 Interest rate risk

Interest rate risk represents the likelihood of seeing the bank's future margins or economic value affected by interest rate fluctuations. Interest rate risk management includes managing the sensitivity of the net interest margin.

This risk is monitored using interest rate sensitivity indicators for future margins and for economic value and by modelling scenarios which allow the bank's capacity to withstand exogenous shocks to be assessed.

The interest rate movements foreseen affect both uncertain flows from financial products and the performance of Retail Banking operations, via the behavioural models, particularly implicit options available to customers.

The supervision of interest rate risk is the responsibility of the ALM Committee which monitors indicators and forecasts their evolution based on commercial policy guidelines and observed customer behaviour.

Objectives

Interest rate risk is managed so as to hedge the sensitivity of the bank's future net interest margin under the constraint of compliance with economic value sensitivity indicators. This management is performed with dynamic procedures, based on the business plan, using interest rate derivatives (hedging) or modulating commercial policy.

The balance sheet includes implicit and explicit options, giving non-linear results for economic value based on interest rates. In this context, ALM proposes a regular re-balancing of structural positions using market instruments.

Scope

As required by the Basel Committee, significant interest rate risks in the banking book are identified and measured. Some of these risks may give rise to a specific follow-up procedure.

Interest rate risk is measured by maturity and by type of index for products dependent on variable rates or rates subject to review (Euribor, Inflation, Eonia, etc.) whilst taking into account likely outflow agreements, which are themselves dependent on market conditions. It encompasses several risk factors:

- ▶ fixing risk related to differences between new interest rates applied to assets and to liabilities (according to baseline rates and maturities);
- ▶ yield curve risk related to fixing risk: generated by yield curve changes (translation, rotation, etc.);
- ▶ basis risk: related to the use of multiple baseline interest rates and which causes risks due to the imperfect correlation of different reference rates;
- ▶ option-related risks (contractual or behavioural);
- ▶ risks caused by positions exposed to the real interest rate/inflation.

In this respect, the net interest margin variation is measured on the basis of several interest rate scenarios. The interest rate risk on the balance sheet is simulated with dynamic modelling, taking into account future variations of outstanding amounts (early repayments, new income, etc.) in accordance with behavioural models and the business plan.

Transactions involving bond portfolios under delegated management do not fall under overall interest rate risk as their risk is monitored and managed according to the individual threshold for each portfolio. These portfolios, specific to the trading room, are subject to market risk-related thresholds.

Assessing overall interest rate risk

Agreements and Models

The interest rate gap and interest rate sensitivity valuation methodologies are determined according to the type of assets (or liabilities) comprising the balance sheet:

- ▶ maturing amounts outstanding (contractual outflow corrected or not by a model);
- ▶ non-maturing amounts outstanding (contractual outflow);
- ▶ off-balance sheet (liquidity commitments and guarantees).

Transactions with no contractual maturity date (including customer deposits and livret accounts) are included in accordance with the

outflow agreements approved by the ALM Committee and by the Group Risk Department.

Off-balance sheet transactions are included whilst taking into account drawdown assumptions.

The interest rate gap

For a given currency, the nominal interest rate gap is calculated for fixed rate transactions and for variable rate and reviewable rate transactions, up to the next rate review or rate fixing date. The nominal interest rate gap does not take into account interest rate drops.

The interest rate gap is the difference between the average amount of assets at fixed rate interest and the average amount of liabilities at fixed rate interest, including the effect of off-balance sheet items (swaps and amortised balances) by maturity.

Table: Interest Rate Gap by maturity (€ million) at 31.12.2016

(Negative amount = Surplus positions at fixed rate)

Average spot liquidity gap (in € millions)	0 to 1 year	1 to 5 years	5 to 10 years	>10 years
Uses	(90,097)	(60,868)	(24,987)	(2,543)
Resources	92,203	71,817	30,609	1,299
Off-balance sheet	(9,021)	(10,076)	3,847	(222)
Rate gap 31/12/2016	(6,914)	874	1,775	(1,465)
Rate gap 31/12/2015	(10,462)	(3,853)	(1,025)	777
Differences	(3,548)	(4,727)	(2,799)	2,243

La Banque Postale significantly reduced its long-term conversion position in 2016 (-€4.7 billion between years 1 and 5).

EVE (Economic Value of Equity) sensitivity

This corresponds to a negative change in value following an instantaneous shock of $\pm 2\%$, applied to the bank's regulatory capital.

Regulatory capital is calculated using static modelling, based on the contractual maturities of balance sheet items.

Since January 2016, this calculation has been carried out in accordance with the EBA guidelines published in May 2015.

EVE sensitivity by level of parallel interest rate shock (€ millions) at 31.12.2016

	(200)	200
EVE sensitivity in € million at 31/12/2016	(715)	(712)
EVE/Equity sensitivity at 31/12/2016	-6.74%	-6.71%
EVE sensitivity in € million at 31/12/2015	469	(552)
EVE/Equity sensitivity at 31/12/2015	4.69%	-5.52%

The reduction of the long-term conversion position and the methodology changes arising from EBA directives have significantly changed La Banque Postale's exposure: its exposure to either a lowering or a raising of interest rates by ± 200 basis points now amounts to -6.7% of its equity.

It should be stressed that the regulatory limit is -20% for a shock of ± 200 basis points.

Net Interest Margin (NIM) sensitivity

Net interest margin sensitivity is defined as being the difference between NIM in a modified interest rate scenario and NIM in a baseline interest rate scenario.

NIM sensitivity is calculated for each interest rate scenario by taking into account the interest rate-dependent behavioural models, and by maintaining levels of new income and deposits from commercial business, and retaining the assumptions related to financial transactions applicable in the baseline scenario.

Only the behavioural models show a reaction to the shock scenario. Their impacts on amounts outstanding modify the level of short-term financing.

List of different interest rate scenarios featuring instantaneous shock, in relation to the baseline curve:

- ▶ parallel +1% (translation +1);
- ▶ parallel -1% (translation -1);
- ▶ shock of +0.5% on all curves and on rates less than or equal to 1 year and -0.5% on all curves and on all rates greater than 1 year. ("flattening" scenario);
- ▶ shock of -0.5% on all curves and on all rates less than or equal to 1 year and +0.5% on all curves and on all rates greater than 1 year ("steepening" scenario).

It should be noted that a floor rate of -1% is applied to NIM calculations.

Net Interest Margin (NIM) sensitivity at 1 year/Scenario (€ million) at 31.12.2016

	31.12.2016	31.12.2015
Translation +1	94	15
Translation -1	(68)	(51)
Steepening	18	34
Flattening	(8)	(46)

The least favourable scenario at 1 year for La Banque Postale is a shock of -100 basis points with a fall in NIM of €68 million amounting to forecast NIM of €2.5 billion, or 2.8%. This exposure to a downward change in interest rates increased slightly in 2015.

Other scenarios: a rise in short-term rates, virtual deflation or static rates, were also carried out.

4.5.1.3 Liquidity risk

Liquidity risk is defined, by the decree of 3 November 2014, as the risk that an enterprise cannot meet its commitments or cannot unwind or cover a position either because of the market situation (systemic risk) or idiosyncratic factors (own risks), within a specific period or at a reasonable cost.

Two types of management are concerned: on the one hand, management of the bank's short-term liquidity enabling it to keep the cost of management minimal and within reasonable risk limits, and on the other hand, management of the bank's liquidity in the event of significant stress.

The two main features that drive La Banque Postale's liquidity management policy are, firstly, its very low risk profile and, secondly, the fact that its resources, both short- and long-term, are derived mainly from its customers. Since these resources are, for the most part, non-maturing and payable at any time (deposits, livret accounts), their outflow is modelled to determine their profile over time. La Banque Postale has taken a conservative approach to its liquidity assessments and has adopted very conservative assumptions in relation to these outflows. Consequently, for the calculation of resources there are upper bounds for the volatility of outstanding amounts and lower bounds for their liquidity duration.

LCR EBA at 31.12.2016

Item	dec-16	dec-15
Buffer of liquid assets	13,925	15,667
Cash outflows	(21,433)	(18,617)
Cash inflows	16,074	11,425
Net cash outflows	(5,358)	(7,191)
Shortfall	8,567	8,475
LCR	260%	218%
Ratio inflows/outflows	75%	61%

The LCR has significantly improved, particularly due to the effect of the decentralisation of 50% of the outstanding amounts from National Savings accounts (Livret d'Epargne Populaire or LEP) (€4 billion).

The LCR is also one of the constraints to be observed when forecasting dynamic liquidity.

Moreover, as part of the ILAAP procedure, the LCR ratio was tested under several stress scenarios.

A calculation of LCR and of the liquidity reserve is produced each day.

The concentration, cost and refinancing structure, and the concentration of the asset buffer, are assessed regularly and are

Liquidity risk management

The ALM Committee is responsible for liquidity risk management, in compliance with the principals and limits approved by the Group Risk Management Committee. This responsibility is partially delegated to the Balance Sheet Operational Management Committee and to the trading room's cash management and long-term financing units for tactical liquidity risk related to the bank's cash management.

Liquidity risk measurement**Short-term monitoring of liquidity**

This system is based on:

- Regulatory liquidity ratios and reporting
- Liquidity Coverage Ratio (LCR)

The LCR is a monthly short-term liquidity ratio which measures the bank's capacity to withstand a severe worsening of its financial situation, for up to 30 days, in a systemic shock environment.

According to the target, LCR should be greater than 100% and the bank has a transition period to achieve that level.

This ratio is calculated by dividing the sum of unencumbered, high quality liquid assets by the liquidity need in a stress environment over a 30-day horizon.

Since 30 September 2016, La Banque Postale has applied the principles and methodologies required pursuant to the European Commission Delegated Act (EU) 2015/61 dated 10 October 2014.

the subject of regulatory reports (Additional Liquidity Monitoring Metrics or ALMM) which accompany publication of the LCR.

- Net Stable Funding Ratio (NSFR)

The NSFR corresponds to the amount of available stable funding in relation to required stable funding. This ratio should, at all times, be at least 100%. "Available Stable Funding" refers to the portion of resources that are not payable within the relevant time horizon, in this case, within 1 year. The amount of "Required Stable Funding" of a business depends on its liquidity features and the residual maturity of assets (and off-balance sheet positions) held.

The NSFR is expected to become a mandatory requirement on 1 January 2018. At the present time, and according to the regulatory liquidity tests carried out by the ECB, the NSFR ratio is greater than 100%.

The system also depends on:

- 1) tools allowing the Cash Management unit to monitor intra-day positions in real time;
- 2) daily calculation of the liquidity gap by the Cash Management unit;
- 3) leading indicators for a liquidity crisis are monitored each week and defined in the bank's emergency funding plan;
- 4) biannual market access tests, enabling verification of market access in different currencies.

Long-term liquidity monitoring

The Bank assesses its long-term liquidity level according to a liquidity gap. The liquidity gap includes forecast static gaps by maturity and limits defined at 1-, 3- and 5-year horizons. The assumptions applied

correspond to a stressed scenario, giving a conservative view of the Group's liquidity position.

The liquidity gap assessment methodologies are determined according to the type of asset (or liability) on the balance sheet:

- maturing amounts outstanding (contractual outflow corrected or not by a model);
- non-maturing amounts outstanding (contractual outflow);
- liquidity profile of marketable assets;
- off-balance sheet (liquidity commitments and guarantees).

Transactions with no contractual maturity date (including customer deposits and livret accounts) are included in accordance with the outflow agreements approved by the ALM Committee and by the Group Risk Department.

Off-balance sheet transactions are included whilst taking into account drawdown assumptions.

The transferability of certain transactions may be taken into account, if required.

Long-term liquidity gap (€ million) at 31.12.2016

Average spot liquidity gap (€ million)	1 year	3 years	5 years
Uses	(77,799)	(58,218)	(43,653)
Resources	97,905	79,268	57,286
Off-balance sheet	(6,087)	(4,497)	(2,946)
Liquidity gap 31.12.2016	14,019	16,553	10,688
Liquidity gap 31.12.2015	12,337	16,385	12,066
Adjustments	1,681	168	(1,378)

The growth of outstanding loans (+€4.6 billion in year 3) was offset by a decentralisation effect (LEP effect) amounting to €2.6 billion and the deposits in savings and current accounts (+€2.7 billion).

"Dynamic" liquidity assessments involve the application of assumptions on the bank's income and on refinancing its budget and its medium/long-term business plan. These assumptions enable the calculation of a "balance sheet forecast", a financing plan, a future estimated LCR and a static gap forecast.

Emergency Funding Plan (EFP)

The Emergency Funding Plan is to be monitored by the governance bodies in charge of financial management (the ALM Committee, the Capital Operational Management Committee and the Group Risk Management Committee) and put into operation by the Financial Operations Department.

The Emergency Funding Plan forms part of the Bank's annual internal liquidity assessment procedures. The Emergency Funding Plan sets out the leading indicators selected to judge the robustness of the markets (financial or banking) to which the liquidity of La Banque Postale is exposed. These indicators can be broken down into two major groups:

- systemic indicators,
- idiosyncratic indicators.

Each indicator is allocated a threshold level (comfort, vigilance or warning).

The Emergency Funding Plan also makes provision for a mechanism to be implemented in the event of a proven crisis, be it systemic or idiosyncratic. This mechanism appears mainly in the form of an inventory of the various funding (or liquidity) sources accessible by La Banque Postale, depending on the amounts involved and the speed of implementation required. The Emergency Funding Plan also makes provision for specific governance through committees

which will monitor the leading indicators. The purpose of this governance is to assure management of the heightened surveillance of the bank's liquidity risk. The presentation of indicators (during normal periods) is carried out at meetings of the Capital Operational Management Committee. The indicators selected, and the proposed action measures, are tested on the markets so that their suitability and the market liquidity can be fully appreciated.

The funding test consists of testing the market by issuing short-term debt. The aim of this type of test is to regularly check on the bank's ability to quickly obtain funds in the markets to ensure that its estimated borrowing capacity remains valid. It is envisaged that this type of test will be carried out at least twice a year.

La Banque Postale successfully tested its funding capacity twice in 2016, for a significant amount, in a single day, across its various currencies.

Liquidity Reserve

Definition

The purpose of the Liquidity Reserve is to quantify the amount of cash and liquidity readily available through the sale or repurchase of securities in order to cope with a liquidity crisis.

The Liquidity Reserve is composed of:

- cash placed with the Central Bank (excluding the mandatory reserves);
- securities comprising the HQLA (High Quality Liquid Asset) buffer, mainly consisting of government securities, covered bonds and corporate securities satisfying the prudential liquidity criteria defined by regulations for calculation of the Liquidity Coverage Ratio (LCR), with a discount applied to the valuation of these securities in accordance with prudential regulations;
- other securities that can be marshalled through the ECB (mainly banking securities) subject to an ECB discount.

Premium quality secured home loans that can be mobilised by the Group's home loans company through the issue of a covered bond. This also represents a significant source of liquidity (potentially around €10 billion of collateral at 31/12/2016, in addition to the other sources of funding usually used by the bank).

Composition of the Liquidity Reserve at 31.12.2016

Liquidity reserve (€ million)	dec-16
Cash and Central Bank	11,248
Unencumbered HQLA securities	13,925
Other ECB eligible securities	13,403
TOTAL LIQUIDITY RESERVE	38,576

Risk reduction technique

In addition to the prudent liquidity management system implemented by the ALM Committee and Risk Committee, La Banque Postale has diverse sources of financing:

- ▶ a €20 billion certificate of deposit programme, the aim being to refinance a portion of La Banque Postale's short-term financing requirements and to satisfy demand from institutional customers;
- ▶ a €10 billion EMTN programme;
- ▶ a €10 billion EMTN programme for issuing home financing bonds (Obligations de Financement de l'Habitat or OFH);
- ▶ a portfolio of securities held to maturity, consisting mainly of rapidly accessible, high-quality government bonds, which constitutes a stable source of eligible assets enabling access to ECB refinancing operations or to the securities repo market;
- ▶ access to the interbank market.

4.5.1.4 Encumbered/Unencumbered Assets

The data below are presented at their median value (quarterly database of 2016).

	Carrying amount of encumbered assets		Fair value of encumbered assets		Carrying amount of non encumbered assets		Fair value of unencumbered assets	
		of which eligible central bank		of which eligible central bank		of which eligible central bank		of which eligible central bank
(€ '000s)								
Assets of the institution	98,407,624	17,867,011	-	-	126,865,490	26,394,044	-	-
Loans payable on demand	-	-	-	-	2,578,315	-	-	-
Equity instruments	58,577	-	-	-	921,067	-	921,067	-
Debt securities	17,944,688	17,867,011	19,882,466	19,803,609	33,559,767	26,394,044	35,225,439	27,640,305
of which covered bonds	400,466	400,466	472,335	472,335	3,140,374	3,122,976	3,356,996	3,340,753
of which asset-backed securities	-	-	-	-	719,524	-	719,524	-
of which public administration	16,624,011	15,615,103	17,563,087	17,530,907	12,099,562	10,553,101	12,640,621	11,488,830
of which financial institutions	1,217,500	1,217,500	1,247,955	1,247,955	19,486,984	14,922,327	20,291,731	15,175,540
of which non-financial companies	2,810	-	-	-	2,132,125	1,014,414	2,168,874	1,014,412
Loans and advances other than loans on demand	79,366,748	-	-	-	77,668,827	-	-	-
of which mortgage loans	6,522,523	-	-	-	9,112,419	-	-	-
Other assets	906,999	-	-	-	10,206,559	-	-	-

	Fair value of encumbered collateral received or own debt securities issued received or own debt securities issued		Fair value of collateral received or own debt securities issued available for encumbrance	
		of which eligible central bank		of which eligible central bank
(€ '000s)				
Collateral received by the institution	462,814	462,814	3,905,682	3,011,088
Loans payable on demand	-	-	-	-
Equity instruments	-	-	-	-
Debt securities	462,814	462,814	3,905,682	3,011,088
of which covered bonds	-	-	18,523	5,983
of which asset-backed securities	-	-	226,514	56,868
of which public administration	462,814	462,814	2,983,572	2,982,460
of which financial institutions	-	-	820,645	-
of which non-financial companies	-	-	43,462	39,178
Loans and advances other than loans on demand	-	-	-	-
Other collateral received	-	-	-	-
Own debt securities issued other than own covered bonds or ABSs	-	-	-	-
Total assets and/or collateral received and own debt securities issued	99,522,028	18,234,513	-	-

(€ '000s)	Backed liabilities, potential liabilities or securities which have been loaned	Assets and/or collateral received and own debt securities issued other than covered bonds and encumbered ABSs
Carrying amount of selected financial liabilities	97,827,443	97,970,188
Derivatives	1,343,396	532,101
<i>of which OTC</i>	1,343,396	526,433
Deposits	92,919,278	91,083,446
Repo agreements	18,022,470	16,820,858
<i>of which central bank</i>	-	-
Guarantee deposits other than repo agreements	75,029,052	73,174,943
<i>of which central bank</i>	-	-
Debt securities	3,559,879	6,494,647
<i>of which covered bonds</i>	3,559,879	6,494,647
<i>of which asset-backed securities</i>	-	-
Other encumbered assets	1,586,507	1,654,537
Par value of loan commitments received	1,586,507	1,654,537
Financial guarantees received	-	-
Fair value of securities issued with non-financial guarantees	-	-
Other	-	-
Total encumbered assets	99,413,950	99,522,028

La Banque Postale Group's encumbered assets consist of the following:

- ▶ the Group has made or has committed to make securities repurchase agreements and pledges securities in favour of the Central Bank and Crédit Logement;
- ▶ the Group pledges home loans in order to hedge bond issues made by the Group's home finance company (La Banque Postale Home Loan SFH) in favour of holders;
- ▶ margin calls on securities and derivatives;
- ▶ guarantee deposits.

The median "Asset Encumbrance" ratio is 43%.

4.5.1.5 Exchange rate risk

Exchange rate risk, particularly that related to international mandates and financial activities, remains very moderate despite the start

of dollar-denominated business by the Corporate and Regional Development Department.

In fact, the balance sheet of La Banque Postale is managed almost exclusively in euros. The foreign currency market activities of the cash management unit and those related to portfolios are systematically hedged and converted into euros beyond a given exchange rate position threshold.

The residual exchange rate risk related to income earned from those activities is managed by converting that income at least once every six months or, alternatively, when it reaches the established threshold.

The foreign currency activity of the retail bank, which mainly concerns international mandates, is relatively small in volume.

At 31/12/2016, the exchange rate position of La Banque Postale amounted to €220 million, of which more than three-quarters was dollar-denominated.

4.5.2 Market risk

4.5.2.1 Organisation and governance

Financial Risk Department

Market risk encompasses the risk of losses, generated by adverse changes to variables (interest rates, exchange rates, spreads, volatility, etc.), on the value of financial instruments in the balance sheet or commitments undertaken by the bank.

Within the Group Risk Department, it is the responsibility of the Financial Risk Department and, in particular, the Market Risk unit, to manage market risk.

To ensure comprehensive monitoring of market risks, the monitoring scope of the Market Risk unit extends to encompass all fair value transactions. The Financial Risk Department defines a framework for market risk management, observing the principles governing organisation and tasks set out in the "Group Risk Management Charter" and in the "Risk Management Policy". It reports to the Head

of Group Risk and to various committees, specifically, the Group Risk Management Committee and the Risk Committee.

The Financial Risk Department reports to the Group Risk Management Committee, on a monthly basis, on market risk monitoring. It informs the Group Risk Steering Committee of the main developments and significant events. The Group Risk Steering Committee is the body responsible for approving the main market and drawdown thresholds. The Head of Group Risk is delegated to manage thresholds set at portfolio level. The Group Risk Steering Committee delegates the management of technical aspects of the financial risk management system to the Financial Risk Committee (see Section 4.5.1 Structural interest rate, liquidity and exchange rate risk).

Valuation and Performance Analysis Unit

This unit of La Banque Postale is responsible for independent valuation of market transactions, aggregate risk assessment and Level 1 control of market activities.

New Market Instruments Committee

The New Market Instruments Committee is a sub-committee of the Group Risk Steering Committee. It meets according to need for approval of financial instruments among business units of La Banque Postale Group.

This committee is responsible for approving the use of financial instruments related to market transactions.

The approval concerns the capacity of the business unit and of the support and management departments to manage the use of the instrument in question, in all its facets.

4.5.2.2 Market risk within the Group

In particular, market risk concerns all balance sheet and off-balance sheet items measured at fair value. These items are present in La Banque Postale and in several Group subsidiaries, namely:

- ▶ in the insurance subsidiaries;
 - LBP Prévoyance,
 - LBP Assurances IARD,
 - LBP Assurance Santé;
- ▶ in the asset management subsidiaries:
 - LBP Asset Management,
 - LBP Structured Asset Management (merged in La Banque Postale Asset Management in 2016);
- ▶ in the banking subsidiaries:
 - BPE,
 - SOFIAP.

The Market Risk unit of the Financial Risk Department is responsible for monitoring the bank's market risk and for consolidated supervision at Group level.

4.5.2.3 Missions of the Financial Risk Department

Within the Financial Risk Department, the work concerning the Market Risk unit is organised along four main lines:

- ▶ Thresholds and authorisations

Loss risks are delimited by commitment or exposure thresholds and by the establishment of a list of authorised financial products. Therefore, the Financial Risk Department is responsible for:

- a) advising on requests for overall and operational thresholds;
 - b) advising on requests for new financial products or investments;
 - c) monitoring compliance with thresholds;
 - d) reporting and managing any overruns, specifically through the systematic dispatch of an overrun notification sheet.
- ▶ Valuation

The official valuation of market transactions is managed by the Valuation and Performance Analysis unit, reporting to the Financial Operations Department. One potential source of losses is the possibility of incorrect valuation of the price of portfolio assets. The Financial Risk Department therefore strives to ensure that the value of these assets represents fair market value with the least possible degree of uncertainty. To that end, the Financial Risk Department:

- a) checks and approves the valuation methods in conjunction with the Model Approval unit;

- b) approves the valuation parameters;
- c) verifies the quality of market data and compliance with valuation procedures;
- d) defines valuation adjustments as part of prudent valuation, in accordance with the Capital Requirements Regulation (CRR).

- ▶ Risk measurement and control

In order to manage risk-taking, the Financial Risk Department must be in a position to provide an accurate account of the risks to which the bank is exposed. Consequently, the Financial Risk Department is responsible for:

- a) identifying risk factors according to the products and strategies implemented;
- b) establishing risk measurement methodologies and retrospectively verifying their effectiveness (Backtesting);
- c) controlling the positions taken by the Group in order to ensure that they fall within the established thresholds.

- ▶ Procedural control

The Market Risk unit of the Financial Risk Department draws up a control plan to ensure the successful execution of its work and the quality of data produced.

4.5.2.4 Measurement and control of market risk

Background

Market risk represents the risk that financial instruments held in portfolio may lose value as a result of an adverse change in market conditions. Essentially, it concerns assets restated at fair value, since valuation variations have a direct impact on the bank's profits or equity. Exceptionally, certain portfolios valued at acquisition cost also fall within the scope of the Financial Risk Department.

The Financial Risk Department defines a measurement framework that is suited to the bank's market exposure.

The main market risk factors include:

- ▶ interest rate risk;
- ▶ the credit risk premium;
- ▶ risk of price variation of financial instruments;
- ▶ exchange rate risk;
- ▶ core product risk;
- ▶ volatility risk;

And, by extension,

- ▶ settlement and delivery risk.

Other parameters are taken into account in market risk management, specifically asset liquidity.

4.5.2.5 Market risk indicators

Sensitivities

Sensitivities enable measurement of the exposure of the bank's portfolio to changing risk factors.

The Financial Risk Department approves the sensitivity calculation methodology and ensures that all risk factors identified as relevant and substantial are taken into account.

Value at Risk (VaR)

VaR is an indicator of the risk of loss to which the bank is exposed. It gives an estimate of maximum potential losses over a given horizon within a given probability. However, this indicator does not provide any signals with regard to the level of potential losses that may arise from infrequent events.

The VaR indicator is calculated on trading portfolios and also on certain banking portfolios. An overall VaR encompassing all positions is also calculated.

VaR is broken down by each of the activities included in the market portfolio.

As a precautionary measure, La Banque Postale decided to apply a VaR indicator (one-day, 99%) to all of its mark to market positions. The VaR indicator used by La Banque Postale is a parametric VaR, calculated using a variance-covariance matrix that includes risk factors such as interest rate, spread and exchange rate risk, volatility, and the risk of movements in the stock market indices to which the bank is exposed. In terms of risk factors, the main approximation concerns “specific interest rate risk”: the credit spread risk (to which bonds are sensitive) is taken into account by a sector-rating approach which captures a portion of this type of risk.

This matrix is calculated using a scaling factor designed to give a higher weighting to recent movements than to older ones.

La Banque Postale’s implementation therefore does not cover second-degree (convex) risks, which are actually rare in its accounts.

The resulting VaR partly covers option-related risks, although second-degree risks are not taken into account. Although they are not currently significant, building option positions could lead Risk Department to adopt a more appropriate methodology.

The Risk Department back-tests the results of the model used to calculate the VaR indicator, in order to assess its quality.

Stress scenarios

The VaR estimate, calculated on the assumption that it follows a normal distribution, is carried out under normal market conditions and does not provide any information on the amount of the potential loss when the VaR is overrun. The ability to estimate potential losses under unusual market conditions (terror attack, collapse of a major group, etc.), is therefore a necessity and this is when stress scenarios are implemented.

A stress scenario involves simulating an extreme situation in order to evaluate the financial impact on La Banque Postale’s profits or equity. The use of these scenarios is an analytical and management tool providing a better grasp of market risk.

La Banque Postale seeks to deal in all markets (UCITS, currencies, rates, loans and derivatives). However, at the present time, the bank deals mainly in interest rate products, loans and UCITS. This is why the crisis scenarios foreseen mainly concern exchange rates, interest rates, credit spreads and UCITS, according to their asset class.

There are two major stress groups under consideration, pursuant to the relevant regulations. We distinguish between “objective” and “subjective” methods:

- Objective methods are based on historic facts (events which have actually occurred). To build the scenarios, changes which took place in the past during major financial crises are applied to current market conditions. These are historic scenarios.

A historic stress scenario is set off by a violent event affecting a combination of factors. With the aim of planning for the worst, the horizons selected are those corresponding to the first stage of the crisis’ spread up to the first indication of price stabilisation, given that several trading days are needed to close out the most risky positions.

Historic scenarios reconstruct the following 8 financial crises:

- stock exchange crash, 19 October 1987;
- withdrawal of sterling from the ERM, 20 September 1992;
- bond market crash 1994-1995;
- russian crisis, 17 August 1998;
- LTCM failure, 23 September 1998;
- WTC terror attacks, 11 September 2001;
- Enron scandal, 31 October 2001;
- collapse of Lehman Brothers, 15 September 2008 (a global stress scenario and a credit stress scenario).
- Subjective methods apply plausible variations which, although they have never occurred, would jeopardise the bank if they did. These shocks are calibrated with assumptions based on historic statistics drawn from market data.

A stress test is applied to a given category of market risk. La Banque Postale carries out stress testing on the following risks:

- general interest rate risk: various changes, such as steepening or flattening or widening of spreads, are applied to the euribor/libor interbank rate curves;
- specific interest rate risk: stress testing is based on the application of different shocks to the credit spread curves of corporate, financial and sovereign debt issuers;
- equity risk (UCITS): various shocks are also applied to UCITS according to their asset class.

4.5.2.6 Market risk thresholds

Organisation

Market portfolio risk is delimited by VaR thresholds. These thresholds are fixed by the Group Risk Management Committee at the proposal of the ALM Committee and, in accordance with Risk Management Policy, must not exceed 0.75% of the institution’s consolidated CET1 capital.

These VaR thresholds are applied operationally through a more detailed set of limits, while the Risk Department ensures, when they are determined, that they are consistent with the VaR thresholds approved by the Group Risk Management Committee. The implementation of these thresholds and monitoring of compliance with them by market operators, are the subject of regular reports given at meetings of the Group Risk Management Committee and the Risk Committee.

The application of thresholds addresses the organisation of La Banque Postale’s financial activities. Thus, thresholds are defined by trading room activity, and take into account the aim of transaction management and the impact of transactions on the bank’s profits and equity.

Risk metrics

The thresholds are applied to the relevant risk measures to delimit the potential impact of adverse changes in the markets on the bank’s profits and on its equity. The objective is also to ensure that each

activity remains within the specified management framework and only concerns market instruments that the bank's internal systems are operationally capable of managing.

Review of thresholds

The market risk thresholds must be capable of changing according to the needs and development of the environment. Each update is presented at a Group Risk Management Committee meeting for approval or advice in the event of its delegation.

The thresholds are subject to annual review in conjunction with the Front Office. It is important to ensure that the allocated thresholds remain consistent with changes in the financial markets and the bank's activities.

The thresholds may also be reviewed at other times, at the request of the Front Office or at the discretion of the Risk Department.

Exceeding the threshold

Threshold overruns are notified to market operators and to the Head of Group Risk. The manager of the desk concerned must inform the Financial Risk Department of the reasons for the overrun and the actions envisaged to get back within the authorised thresholds.

Taking the background of the case into consideration, the Financial Risk Department evaluates the suitability of the corrective actions envisaged and may, if necessary and with the agreement with the Head of Group Risk, authorise a threshold overrun for a limited period if it cannot be quickly corrected due to operational reasons or the market environment.

Threshold overruns and temporary overrun authorisations are reported each month to the Group Risk Management Committee and must be logged in an overrun notification sheet approved by the Head of Group Risk.

4.5.2.7 Financial instruments and currencies authorised for trading

The Financial Risk Department draws up a list of authorised products, approved by the Group Risk Management Committee. All new instruments appearing on that list must first be approved by the New Market Instruments Committee.

The Executive Board draws up a list of currencies authorised for trading. The Financial Risk Department ensures that this list is complied with and that there is sufficient operational capacity to manage these currencies, particularly in terms of risk calculation.

4.5.2.8 Risk exposure

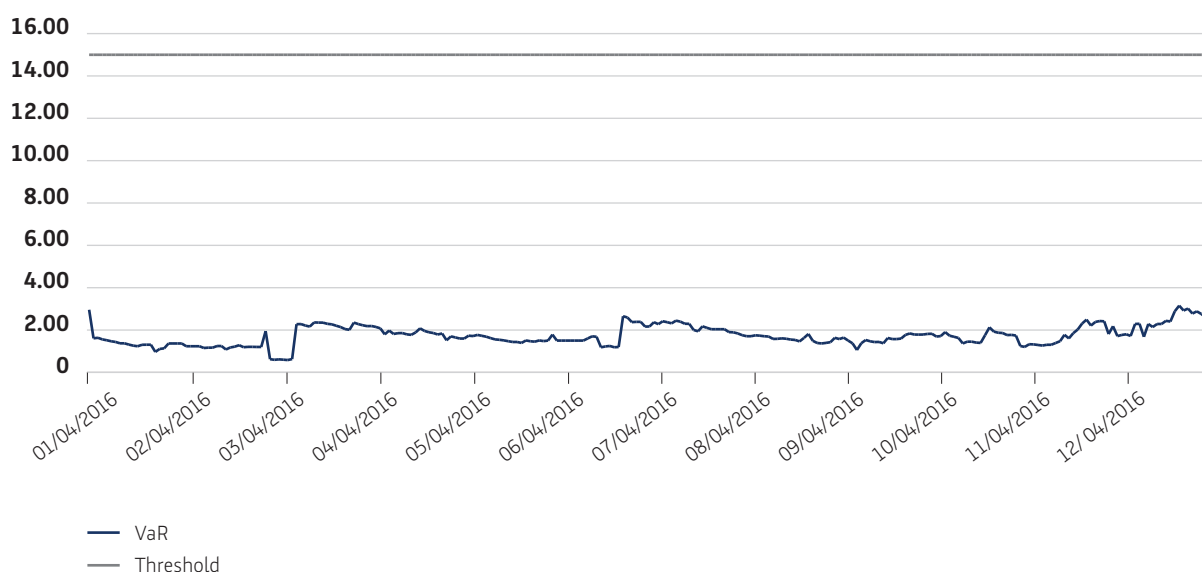
La Banque Postale is exposed to market risks due to its cash management and balance sheet management activities (portfolio of assets available for sale and hedging transactions).

The market portfolio, which combines all transactions exposed to market risks, includes not only the trading portfolio, defined in Articles 102 to 104 of EU Regulation No. 575/2013 of the European Parliament and Council dated 26 June 2013 pertaining to capital requirements for credit establishments and investment firms, but also banking portfolio transactions, including available-for-sale securities and certain lending and borrowing transactions.

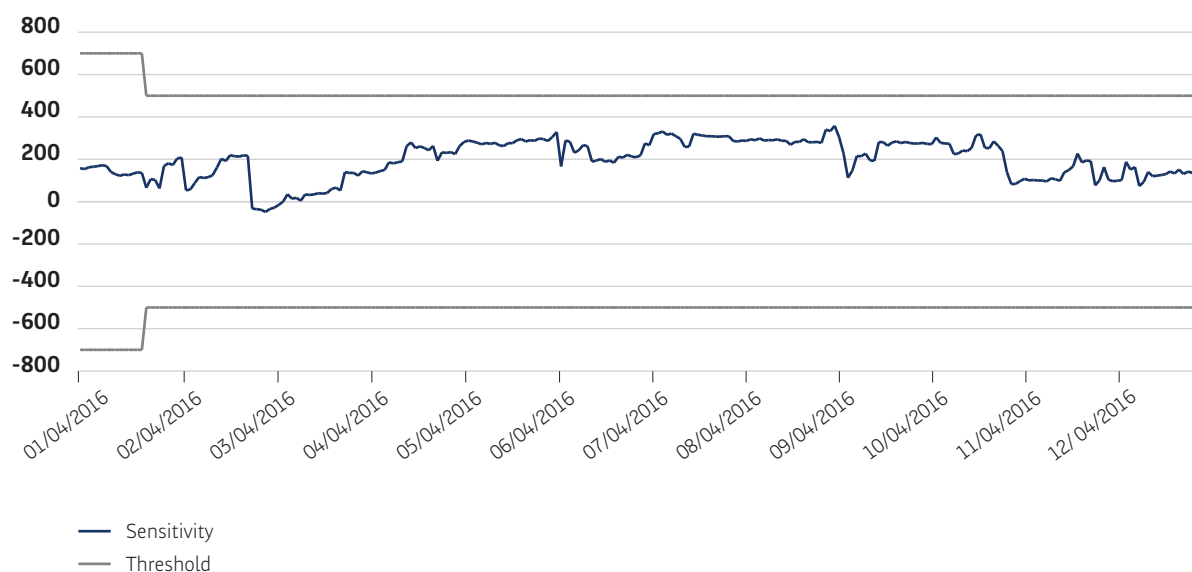
In terms of market risk management, La Banque Postale is first and foremost exposed to interest rate risk, credit spread risk and equity market risk. Exchange-rate risk, particularly connected with international mandates and financial activities, risk of volatility or commodities risk is moderate.

4.5.2.9 Evolution of the main risk indicators for the trading room and threshold monitoring in 2016

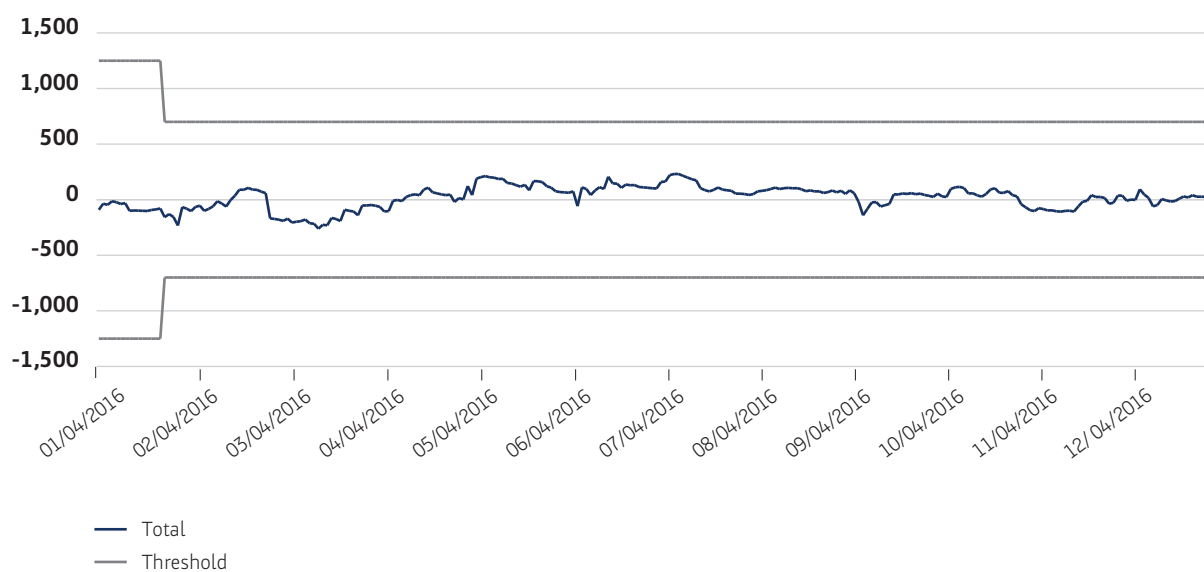
Value at Risk of the trading portfolio (€ million)



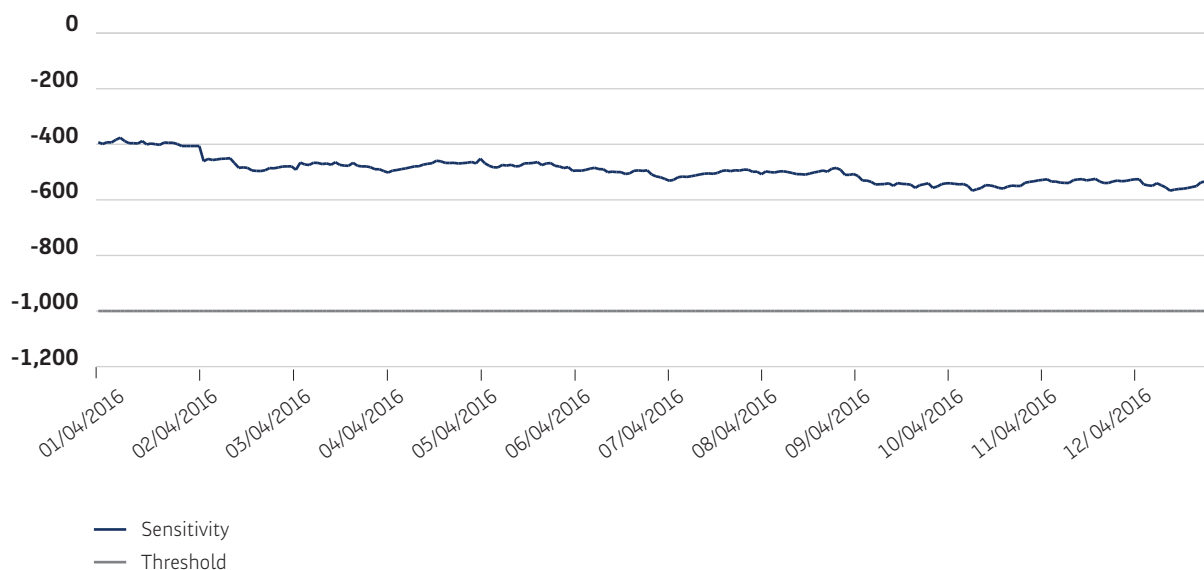
The trading portfolio VaR remained well below its threshold throughout 2016. In June, the VaR was significantly impacted by the result of the UK referendum on membership of the European Union, rising from €1.2 million to €2.6 million.

Rate sensitivity of the trading portfolio (€ thousand/bp)

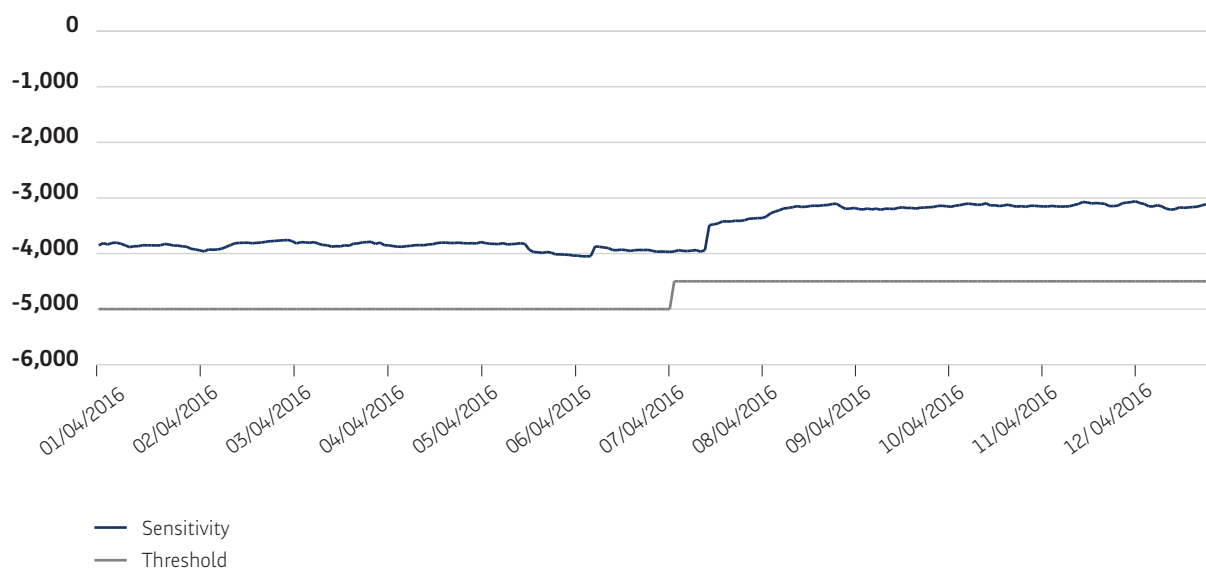
No threshold overrun was reported on the rate sensitivity of the trading portfolio.

Overall rate sensitivity (€ thousand/bp)

Overall rate sensitivity remained contained throughout 2016. Interest rates are hedged overall in the portfolio.

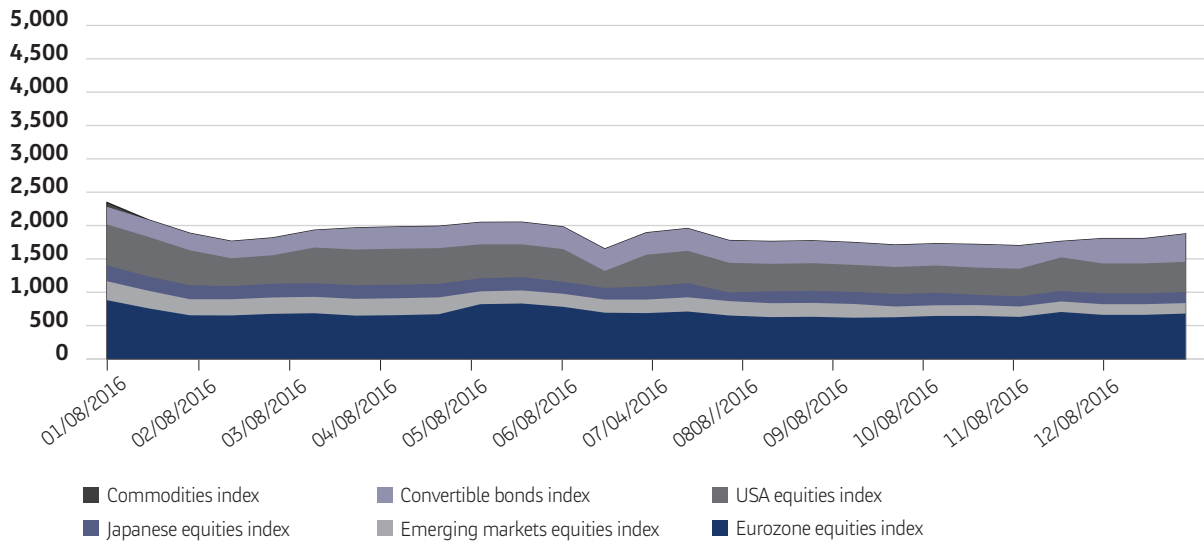
Credit sensitivity of the trading portfolio (€ thousand/bp)

The credit sensitivity of the trading portfolio continued to trend downward with spreads; it rose by €135,000 per basis point during 2016 to reach €528,000 per basis point at the end of the year.

Overall credit sensitivity (€ thousand/bp)

The overall credit sensitivity threshold was reduced by €500,000 per basis point to €4,500,000 per basis point to take into account the modification of the monitoring scope of this threshold.

Sensitivity to indices



The sensitivity of the UCITS portfolio⁽¹⁾ fell by around 20% over the year following investments in less volatile vehicles. The overall distribution of exposures remained fairly stable.

Exceeding the threshold

Within the scope monitored by the Market Risk unit, seven threshold overruns were reported in 2016. All overruns were notified and corrective measures were taken enabling a quick return to threshold level.

4.5.2.10 Authorised products and currencies

The main developments in 2016 concern bond investments and related hedging instruments:

- ▶ authorisation of positions exposed to inflation, particularly on French and European inflation indices;
- ▶ creation of a US\$ bond portfolio;
- ▶ authorisation of investments in Tier 2 bonds.

(1) For its component at daily valuation.

4.6 OPERATIONAL RISKS

4.6.1 Regulatory framework and definition of operational risk

In accordance with EU regulation No. 575/2013 of 26 June 2013 and the decree of 3 November 2014, the definition of operational risk adopted by La Banque Postale, as approved by the Group Risk Management Committee on 26 February 2015, encompasses the “risk of losses resulting from the unsuitability or failure of internal

procedures, personnel or systems, or from external events. Operational risk notably includes risks linked to events having a low probability of occurrence but a high impact, risks of internal and external fraud, legal risks, risks of non-compliance (including damage to reputation), and risks linked to the model, but excludes strategic risks”.

4.6.2 Scope of application

This definition applies to all of the activities of:

- ▶ La Banque Postale and its subsidiaries;
- ▶ La Poste in all sectors performing transactions in the name of and on behalf of La Banque Postale;

- ▶ companies in which La Banque Postale, through investment, plays a direct and effective management role.

The operational risk management procedures rely upon the principal of the empowerment of the businesses in the identification, measurement, hedging and monitoring of their risks.

4.6.3 Governance

Positioning of the Operational Risk Department

The Group Risk Department is responsible, with respect to the Executive Board, for the procedures for managing and monitoring La Banque Postale Group’s operating risks.

As such, the Operational Risk Department, under the responsibility of the Group Risk Department, reports to the Group Risk Management Committee for the creation and implementation of procedures for managing and monitoring operational risks.

In 2016, the two dedicated departments for “Information Systems Security” and for the “Emergency and Business Continuity Plan and Safety of Persons and Property” began to report directly to the Group Risk Department.

Missions of the Operational Risk Department

As part of monitoring any type of risks associated with operations (volume V of the decree of 3 November 2014), the main missions of the Operational Risk Department are:

- ▶ **To establish the framework:** establish operational risk policy and governance for La Banque Postale Group, define operational risk management standards, methods and tools and ensure their operational application (supervision of the OR function).
- ▶ **To monitor:** identify the major risks of La Banque Postale Group, monitor and report on the effectiveness of the systems in place to manage those risks.
- ▶ **To anticipate future threats:** identify and model stress test scenarios, identify weak signals.
- ▶ **To provide support:** help players in the OR function with the implementation and supervision of systems in place in their unit, contribute to building their professionalism.

Operational risk management players

The respective roles and responsibilities of players of La Banque Postale Group with regard to operational risk management are set out formally in the “Group risk management system – Operational risk”, approved by the Risk Steering Committee and distributed to the various Group entities and bodies working in the name of and on behalf of La Banque Postale (La Poste Network).

The application of the “Group risk management system – Operational risk” is carried out through procedures and operating methods set forth in the documentation database for operational risk management.

The key principle is the accountability of business units. Managers of bank entities are the risk managers who, to carry out their duties in respect of operational risks, rely on specifically designated employees known as “Delegated Risk Managers”.

The Operational Risk Department depends on these officers, who are dedicated or who perform operational activities. They comprise the operational risk function. The Delegated Risk Managers are placed in the business units, the support departments and the subsidiaries. Within their respective spheres of responsibility, the Delegated Risk Managers:

- ▶ identify the standards and procedures within their structure;
- ▶ ensure the implementation and application of the operational risk management system;
- ▶ monitor its effectiveness;
- ▶ report to the Operational Risk Department.

The Operational Risk Department mobilises all players involved in the OR function with the help of an OR functional road map which establishes the action priorities, deliverables and the respective delivery schedule for each year.

Bodies

The Operational Risk Department participates, on a monthly basis, in meetings of the Group Risk Steering Committee, chaired by the General Secretary. The main tasks of this committee with regard to operational risk are to approve the Risk Management System for Operational Risk, and monitor the effectiveness of the operational risk management system. Once a year, the Group Risk Management Committee approves the consolidated Group Operational Risk Map and the list of Outsourced Essential Services.

In addition, each business line must organise, at least twice per year, an Operational Risk and Control Committee meeting, chaired by the head of the business line and attended by all entities contributing to

the business line in question. This committee must address and deal with all matters related to operational risk: operational risk mapping, operational risk events, action plans, outsourced essential services, monitoring, 1st level and 2nd level control results. In this committee, the Head of Group Risk has a right of veto on all decisions that might have an influence on the bank's risk profile.

The Operational Risk Department organises quarterly meetings of Delegated Risk Managers as part of the work of the Coordination Committee for the Operational Risk Function. These committee meetings notably make it possible to coordinate the actions initiated by the OR function, to exchange good practices and to reflect on changes to be made to the Operational Risk Management System.

4.6.4 Calculation of capital requirements in respect of operational risk

Calculation method

The entire La Banque Postale Group implements a calculation of capital requirements according to the standardised approach pursuant to articles 317 to 320 of EU regulation No. 575/2013 of 26 June 2013.

The calculation of weighted assets is obtained by multiplying the capital requirements by 12.5.

Summary Table

	31.12.2016		31.12.2015
	Risk weighted assets	Capital requirements	Risk weighted assets
(€ million)			
Standardised approach	9,280	742	9,179

4.6.5 Operational Risk Monitoring System

Operational risks are classified according to the risk category framework proposed by the Basel Committee and set forth in article 324 of EU regulation No. 575/2013 of 26 June 2013 concerning prudential requirements applicable to Credit Institutions and Investment firms.

This operational risk management system is based primarily on:

- ▶ operational risk **mapping**;
- ▶ the implementation of a **system for communicating events and losses sustained** by the various entities of La Banque Postale and the subsidiaries concerned to the Group Risk Department;

- ▶ **modelling and quantification of operational risk stress tests**;
- ▶ a **report**, consisting of an assessment of operational risk levels by Basel group, based on events identified and monitoring indicators.

The system implemented aims to ensure that La Banque Postale Group, as well as all entities acting in its name and on its behalf, is organised in such a way that it is able to continually identify, evaluate and monitor its operational risks, so that it can take appropriate preventive or corrective measures.

Thus, operational risk management contributes to strengthening the bank's internal control system.

4.6.6 Key figures

The warning thresholds for operational risk are defined in the Risk Management Policy of La Banque Postale Group, approved by the Supervisory Board.

In 2016, there were no significant events, within the meaning of article 98 of the decree of 3 November 2014.

Since 2007, the “external fraud” group represents the Group’s main exposure. These are frequent cases of fraud, mainly linked to means of payment and new distribution channels.

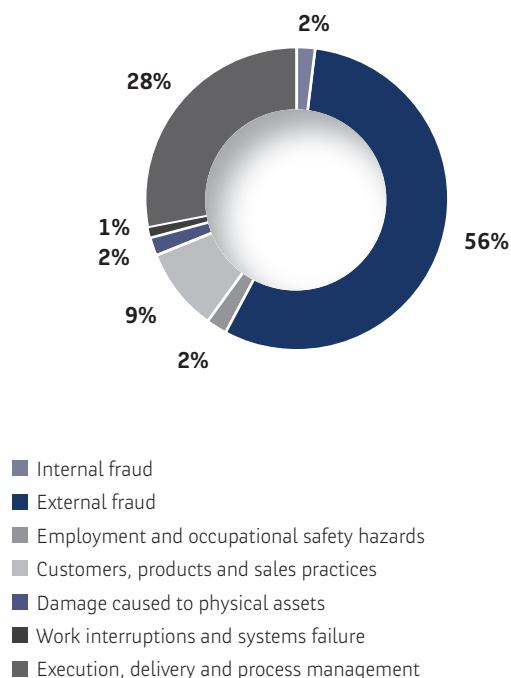
INCIDENTS ASSOCIATED WITH OPERATIONAL RISK, BY NUMBER (AVERAGE FROM 2012 TO 2016 AS A %)



The prevention of external fraud is a matter that is given continuous attention by the Group.

The development of fraud prevention measures, together with the establishment of targeted actions, has enabled a significant reduction of losses associated with this risk.

INCIDENTS ASSOCIATED WITH OPERATIONAL RISK, BY VALUE (AVERAGE FROM 2012 TO 2016 AS A %)



Breakdown by business line, by average value from 2012 to 2016

Retail Banking	89.1%
Commercial banking	3.9%
Asset management	0.4%
Payment and settlement	4.3%
Retail brokering	0.1%
Trading and sales	0.3%
Business financing	0.0%
Agency services	0.0%
Business items	1.9%

4.6.7 Information Systems Security (ISS)

4.6.7.1 A risk-based approach towards Information Systems Security

Information System Security is defined as an overall system for hedging risks that guarantees an appropriate level of protection of the data and the linked assets in order to guarantee:

- ▶ its *availability*: ensure that authorised users have access to information and associated resources as and when required;
- ▶ its *integrity*: guarantee the accuracy and reliability of the information and data processing methods;

- ▶ its *confidentiality*: ensure that only authorised persons may access the information;
- ▶ its *traceability*: be informed of persons who have accessed information, and the time and duration of access.

The process of securing Information Systems is the responsibility of the Business lines under the leadership of the Group RSSI (Manager of Information Systems Security). Cross-entity information security is provided in all business activities of La Banque Postale Group by the RSSI.

The process has four primary focuses:

- ▶ the definition of the ISS Strategy of La Banque Postale, based on the Risk Management Policy. It comprises the General Policy on Information Systems Security, governance, subject-specific policies, directives on security techniques, operational procedures and IT charters;
- ▶ monitoring of the operational forms of this ISS strategy, and warning in case of any drift;
- ▶ support to business lines, in accordance with the ISS strategy, in their approach to covering IS-related risks:
 - challenging their risks analysis in terms of IS,
 - briefing employees on developments in IS security risks;
- ▶ summarising La Banque Postale Group's exposures to ISS risks in order to assist the Group Risk Department in making Executive Management Bodies aware of risk exposure.

4.6.7.2 Positioning and work of the ISS Department

Part of the Group Risk Department, this department has responsibility, across all business lines and entities of La Banque Postale Group, for:

- ▶ defining the Information Systems Security Policy (General ISS policy, subject-specific policies, governance, charters), in compliance with the regulatory framework, and ensuring its update based on the residual diagnostic risk level;
- ▶ approving the alignment of the Information Systems Security Policy with IS Department security directives and Security Assurance Plans for outsourced essential services;
- ▶ measuring the IS risk level, through the degree of application of the LBP Group security policy;
- ▶ scrutinising the ISS risk maps and the ISS risk analyses produced by group business activities;
- ▶ summarising the ISS risk exposure of La Banque Postale Group;
- ▶ setting up and applying an IS security function for La Banque Postale Group in all of its constituent entities;
- ▶ ensuring the execution of action plans to manage identified risks;
- ▶ advising, assisting, informing and warning business entities so that they may produce ISS analyses and action points (new projects and/or large-scale projects, data classification, awareness raising, etc.);
- ▶ participating, as an expert, in crisis units impacting on IS security;
- ▶ raising awareness, among all personnel of La Banque Postale Group, of training for players involved in the IS security function;
- ▶ ensuring a dialogue with the banking sector on matters related to IS security;
- ▶ defining ISS control matters and ensuring their implementation;

- ▶ participating, within their sphere of responsibility, in the preparation of regulatory reports.

4.6.7.3 ISS function and officers

The respective roles and responsibilities of players of La Banque Postale Group are specified by IS Security governance, approved by the Group Risk Management Committee and distributed to the various Group entities and bodies working in the name of and on behalf of La Banque Postale (La Poste Network).

Policies are applied for each business line with the support of Emergency and Business Continuity Plan-Safety of Persons and Property (EBCP-SPP) departmental tools (see following paragraph).

The individuals responsible for implementation are the Risk Managers who nominate, within their entity and, particularly, within their risk function, a contact person in charge of IS security.

The ISS officers of business lines and entities of La Banque Postale Group are responsible for:

- ▶ applying the ISS reference framework of La Banque Postale Group;
- ▶ measuring the IS risk level, particularly through the degree of application of the security policy;
- ▶ coordinating the players in charge of IS security within their sphere of responsibility;
- ▶ alerting their line managers and the La Banque Postale Group ISS Manager in the event of a major risk;
- ▶ supporting, advising, assisting, informing and alerting their business line on behalf of their ISS section;
- ▶ ensuring, with the La Banque Postale Group ISS Manager, that business line risk analyses are consistent, particularly with regard to aspects associated with IS security;
- ▶ ensuring, within their sphere of responsibility, the execution of action plans to manage identified risks;
- ▶ providing feedback for the supervisory system of La Banque Postale Group, particularly on matters associated with IS security which present specific challenges (regulatory, technical, functional, etc.) for their area;
- ▶ developing the ISS awareness-raising plan of La Banque Postale Group, and participating in its implementation;
- ▶ approving the alignment of the activities of their entity with the Information Systems Security Policy;
- ▶ defining and implementing the ISS control plan within their sphere of responsibility, under the framework defined by the La Banque Postale Group ISS Manager;
- ▶ reporting to the La Banque Postale Group ISS Manager on risk exposure related to IS security and alerting him/her in the event of a major or critical risk;
- ▶ participating, within their sphere of responsibility, in the preparation of regulatory reports.

4.6.8 Emergency and Business Continuity Plan (EBCP) and Safety of Persons and Property (SPP)

4.6.8.1 Regulatory framework and definition

Business continuity: definition

An Emergency and Business Continuity Plan (EBCP) is a “combination of measures designed to ensure, under various crisis scenarios, including extreme shocks, the continuance of service provision or other essential or significant operational tasks, if necessary at a basic level for a temporary period, and subsequently, the planned resumption of the activities of the companies concerned, and to minimise business losses” (article 10 of the decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sectors under the supervision of the French Prudential Supervision and Resolution Authority (ACPR)).

At La Banque Postale, the Emergency and Business Continuity Plan is:

- ▶ the Emergency Plan that encompasses crisis management;
- ▶ the Business Continuity Plan.

Crisis management: definition

Crisis management is the combination of all organisational methods and means that would enable La Banque Postale to prepare for and handle a crisis event. It assumes the establishment of a specific system for oversight, warning, management, problem resolution and recovery of normal business activity.

The principles set forth in the policy governing the business continuity plan and in the crisis management policy are that business continuity management and crisis management form an integral part of:

- ▶ all banking, non-banking and financial activities of La Banque Postale Group;
- ▶ all businesses and entities consolidated under La Banque Postale Group;
- ▶ entities acting in the name of and on behalf of La Banque Postale (La Poste Network);
- ▶ entities involved in outsourced business activities.

Safety of Persons and Property: definition

La Banque Postale Group accommodates, in multiple properties, employees and assets that contribute to its business, in addition to various kinds of data and personal information related to its customers and personnel.

The physical protection of all of these people and assets, both tangible and intangible, takes on a strategic aspect that the Group has an obligation to fulfil. This constitutes both a moral obligation, in terms of its values, and a legal obligation to:

- ▶ ensure that trust is maintained between the bank, its customers, its employees and its partners, thereby preserving its image;
- ▶ continually preserve its physical and informational assets and its business activities;
- ▶ ensure the effectiveness of resources to enable each player to fulfil their duties.

4.6.8.2 Implementation of the EBCP at La Banque Postale

The general policy and governance of the Business Continuity Plan (BCP) seeks to provide a reference framework by defining the

organisation, tasks and responsibilities that it involves and the principles and rules to be observed by the La Banque Postale Group; it forms part of the Risk Management Policy of La Banque Postale Group. This policy aims to:

- ▶ control the impact of major events:
 - by implementing and managing developed solutions,
 - by mobilising each stakeholder in La Banque Postale Group;
- ▶ implement governance and a uniform business continuity management system in which the actions are formalised, traced and shared with management, the Group Risk Department and the Executive Board.

Scenarios selected

The Business Continuity Plan of La Banque Postale is based on several technical emergency Information System solutions and a complete organisational procedure notably including an organisational plan, response modes and communication actions.

It aims to cover situations of extreme shocks and is designed to minimally confront the crisis scenarios used by La Banque Postale.

The scenarios used by La Banque Postale have been segmented into four categories:

- ▶ damage to buildings;
- ▶ failure of information systems and/or technical systems;
- ▶ employee absence;
- ▶ non-availability of essential service providers.

Priority activities

To maintain consistency with the other banks operating in Paris, La Banque Postale has grouped its critical business activities by “Banque de France” macro process and excluding “Banque de France”, prioritising processes according to their criticality, and the maximum admissible period of interruption.

List of Banque de France macro processes and prioritised processes:

- ▶ market liquidity:
 - interbank lending,
 - daily liquidity management,
 - foreign exchange transactions;
- ▶ cash and cash equivalents:
 - refinancing by the Central Bank,
 - access to accounts on the Central Bank’s books and management of mandatory reserves;
- ▶ non-cash means of payment:
 - bank card transactions,
 - settlement of cross-border transactions,
 - exchanges of transactions between participants on the central system platforms;
 - management of transfers (excluding large amounts),
 - management of cheque transactions,
 - management of international payment means;

- ▶ management of financial instruments:
 - order receipt/transmission,
 - negotiation of OTC transactions,
 - settlement and delivery;
- ▶ fiduciary system:
 - cash management,
 - updated list of macro-processes and processes excluding Banque de France;
- ▶ insurance:
 - management of damages;
- ▶ information technology:
 - incident management and continuity of service,
 - management of information security,
 - crisis management;
- ▶ legal, risk and regulatory control:
 - management of financial sanctions,
 - development of regulatory reports,
 - risk monitoring;
- ▶ human resources:
 - management of payroll, personnel, and employee relations.

4.6.8.3 Positioning and work of the EBCP - SPP Department

Part of the Group Risk Department, this department is responsible, across all business lines and entities of La Banque Postale Group, for:

In terms of business continuity

- ▶ establishing the business continuity framework, notably through the various departmental policies;
- ▶ prescribing the rules to be observed;
- ▶ issuing an opinion on specific business continuity policies for certain business lines;
- ▶ providing the assistance needed by business lines;
- ▶ monitoring the overall effectiveness of the Business Continuity system;
- ▶ reporting to the Group Risk Management Committee or to the Executive Board, as necessary, particularly with regard to the Business Continuity Plan's maturity;
- ▶ providing functional supervision of the Business Continuity Plan function and developing their professionalism.

In terms of crisis management

- ▶ establishing the crisis management framework and best practices;
- ▶ managing the La Banque Postale Group's crisis management system and supervising its crisis unit via the Major Event Escalation Unit (MEEU);
- ▶ alerting management bodies in the event of a major event;
- ▶ supervising, instructing and training the contact persons in charge of crisis management;
- ▶ measuring the maturity of crisis management systems within Group entities and reporting in this respect to the Group Risk Management Committee or to the Executive Board;
- ▶ managing the relationship with the Network and with Le Groupe La Poste in terms of crisis management;

- ▶ participating, within their sphere of responsibility, in banking sector drills and in the resolution of banking sector crises.

The Major Event Escalation Unit, under the responsibility of the Group BCP Manager, is on call 24 hours per day and 7 days per week to handle any major incidents that should be managed by the bank's managing bodies.

In terms of the safety of persons and property

- ▶ establishing the SPP framework through the bank's physical security policy;
- ▶ ensuring application of the framework;
- ▶ defining systems to measure the level reached in terms of physical security control;
- ▶ assessing the level of physical security of sites;
- ▶ supervising, instructing and training the contact persons in charge of physical security;
- ▶ reporting to the Group Risk Management Committee or to the Executive Board on the organisation and availability of resources for monitoring and controlling risks associated with physical security.

4.6.8.4 EBCP - SPP function and officers

The respective roles and responsibilities of the La Banque Postale Group players are specified in the "Business Continuity Plan", "Crisis Management" and "Physical Security" policy documents approved by the Group Risk Management Committee and distributed, in December 2014, to the various Group entities and bodies working in the name of and on behalf of La Banque Postale (La Poste Network).

Policies are applied for each business line with the support of EBCP-SPP departmental tools.

The managers responsible for implementation are:

- ▶ the Risk Managers who organise implementation in their respective entities and an officer in charge of business continuity;
- ▶ the Risk Managers who organise implementation in their respective entities and an officer in charge of crisis management, within his/her sphere of responsibility.
- ▶ a security officer in each of the various entity properties, designated by the entity head, to relay the work of the EBCP-SPP Department.

The business lines and entities of La Banque Postale Group are responsible for:

In terms of business continuity

- ▶ proposing the essential and major processes that should be covered by a BCP;
- ▶ defining and establishing the organisational structure and resources needed for business continuity management with regard to the process or processes under their sphere of responsibility;
- ▶ proposing the essential or major processes that will be tested on an annual basis, based on the road map established by the Group BCP Manager;
- ▶ organising drills with the assistance of process managers and BCP specialist units;
- ▶ conveying the bank's business continuity culture and disseminating it among their respective business lines.

In terms of crisis management

- ▶ establishing the crisis management system;
- ▶ organising the response, at all times, for essential or major processes;

- ▶ informing those holding contracts with Partners or outsourced essential service providers, to safeguard the relationship between them;
- ▶ taking responsibility for escalating actions through units;
- ▶ testing the effectiveness of the crisis management system in place and keeping abreast of developments in business continuity systems;
- ▶ reporting on the maturity of their system to the Crisis Management head at La Banque Postale and to partners and outsourced essential service providers;
- ▶ raising awareness of the system among players;

- ▶ supervising the business line's crisis unit.

In terms of safety of persons and property

Each head of the operational departments and each branch head must:

- ▶ implement the safety policy and monitor its proper application;
- ▶ lead training and awareness-raising activities within their entity; suited to various categories of employees;
- ▶ update, annually or in the event of a major event, the business line risk fact-sheets concerning physical security.

4.7 EXPOSURES IN EQUITIES NOT INCLUDED IN THE TRADING BOOK

(€ '000s)	Risk-weighted exposures
Equity investments	3,613,107
Subordinated securities	190,186
Other	1,307,581
TOTAL EQUITY RISK	5,110,825

Consolidated equity investments mainly consist of La Banque Postale's interest in CNP Assurances.

4.8 RISK OF NON-COMPLIANCE AND PERMANENT CONTROL

4.8.1 Supervision of the non-compliance risk management procedures

Definition

Non-compliance risk is defined in banking regulations as "the risk of legal, regulatory or disciplinary sanctions, or significant financial loss or damage to reputation, due to failure to comply with provisions relating to banking and financial activities, regardless of whether these provisions are legal or regulatory, directly applicable national or European provisions, professional or ethical standards or instructions from company managers given in accordance with the guidelines of the supervisory body".

Risk associated with customer protection was introduced into the banking regulations in 2011. When the Prudential Supervision and Resolution Authority (ACPR) was set up, the newly created regulator was granted, through Article L.612-1 of the French Monetary and Financial Code, the role of "ensuring that persons subject to the control of the regulator comply with the rules designed to safeguard the protection of their customers [...] and that the resources and procedures that they implement to that end are fit for purpose."

In addition, as a provider of Investment Services, La Banque Postale is obliged to comply with the General Regulations of the French Financial Markets Authority (AMF) with regard to risk management and to manage the associated risks.

Non-compliance risk includes risks associated with combating money laundering and the financing of terrorism activities.

The Compliance and Permanent Control Department

The Compliance and Permanent Control Department is directly attached to the Executive Board and is responsible for:

- ▶ the management of non-compliance risk by:
 - managing the mapping of risks associated with customer protection across all La Banque Postale Group entities,
 - the appraisal of new accounts and products: a Product Review Committee determines and assesses the risks associated with the creation of new products,
 - supporting commercial communications to develop marketing aids, while implementation of the subsidiarity principle means that this responsibility is shared with the subsidiaries,
 - the coordination of measures to combat money laundering and the financing of terrorism, defining procedures, managing TRACFIN (intelligence and action aimed at combating illicit financial circuits) tools and declarations, and the DGTPE (General Directorate of the Treasury and Economic Policy),
 - compliance with the general regulations of the AMF (Autorité des Marchés Financiers, or French Financial Markets Authority) for investment services,

- the development and publication of good conduct rules and the provision of leadership to the ethics correspondents,
- central expertise in the field of the prevention of fraud (identification and control of the risks of fraud, securing and publishing fraud management processes, awareness raising amongst the players and adapted tools). Group-wide fraud monitoring is part of the work of the Operational Risk Department (see Section 4.2.5 on Operational Risk);
- participation in various initiatives and projects:
- work covering changes in the principles of the remuneration of sales people: ensuring that the remuneration processes do not generate conflicts of interest between the Bank, its advisers and customers,
- work relating to cross-cutting projects which have an impact in terms of compliance;
 - ▶ the coordination of all level 2 controls via:
- audits carried out by the banking controllers in the post office network and local public sector and business centres;
- level 2 audits carried out in the AML-CFT unit;
- functional management of Level 2 audits in Financial Centres and in the IS Department with the participation of the dedicated departments;
- the implementation of Level 2 audits in entities providing investment services (DOF, SVM, CNVM);
- supporting and monitoring departments at Head Office and in the subsidiaries in the implementation of their internal control systems.

To do this, the Compliance and Permanent Control Department is divided into three departments:

- ▶ the Department for the Protection of Customers and Business Ethics (DPCD);
- ▶ the Financial Transactions Security Department (DSOF);
- ▶ the Permanent Control Department (DCP).

The Compliance and Permanent Control Department:

- ▶ has its own budget;
- ▶ is entitled to examine the budgets of other “compliance” functions within the system.

In the event that the Head of Permanent Control and Compliance disagrees with those budgets, the Department can request a final decision from the Executive Board on the matter.

The Head of Compliance and Permanent Control has full responsibility for the functional or hierarchical operation of the Compliance function, which primarily consists of:

- ▶ the heads of Territorial Control responsible for the supervision of banking controllers;
- ▶ and by the Risk Management Department, reporting to the Operations Department, by means of the Permanent Control Department through its hierarchical link with the managers responsible for internal banking controllers and the banking controllers attached to the Financial Centres.

These responsibilities specifically involve managing careers in a manner consistent with the requirements of each organisation.

All these systems work in a coordinated way and fulfil a dual advisory and control role, in order to ensure that the Company’s best practices, culture, and values are reflected in its day-to-day activities, so as to protect:

- ▶ customers, by ensuring compliance with the customer protection regulations;
- ▶ the bank and its employees, by ensuring compliance with all regulations;
- ▶ all stakeholders, by combating money laundering and the financing of terrorism.

Within the Compliance and Permanent Control Department, the Permanent Control Department is responsible for the hierarchical management of banking controllers working in the Post Office network and Business Centres of La Banque Postale. To that end, it supplies banking controllers and their managers with the tools to enable them to carry out their control duties: control plan, control questionnaires and tools for the consolidation of combined results, according to the corresponding level of responsibility of managers.

This responsibility extends to the Directors of Banking Risks and Controls and internal auditors in the Financial Centres, via the operational department responsible for control within the Operations Department and to the Department of Information Systems (DSI) under similar terms.

The DCP is responsible for the functional management of the permanent control procedures put in place by LBP Head Office Departments and its subsidiaries and controls the Outsourced Essential Services.

Thus, it ensures the standardisation of systems across all Group activities which enables it to produce a control plan document which incorporates all the control programmes for: the Network, Financial Centres, IT, Investment Services, Head Office, Subsidiaries and Outsourced Essential Service Providers.

4.8.2 Customer protection and investment services compliance

The system for management of customer protection risk is based on the key principle of accountability among all players involved. This principle is the foundation of an efficient customer protection system. All employees must ensure that the work that they perform and the transactions that they handle are executed in accordance with the expected procedures and the level of quality required, while taking into account the customer’s interests. This principle relies on close involvement of managers.

Similarly, all employees must ensure that each project that they work on is managed in compliance with the systems and internal rules of La Banque Postale Group with regard to customer protection.

The job of protecting customers has always been a matter handled with great vigilance by La Banque Postale. It has a system which aims to control, as effectively as possible, the risks to which it is exposed and it ensures that the system is adapted according to needs.

La Banque Postale is equipped to identify potential or proven risks, whether upstream through regulatory monitoring, or with feedback through the analysis of complaints and control results.

The bank has organised a system for managing this risk.

System

Regulatory monitoring allows the bank to follow the texts applicable to transactions and information related to the personnel concerned. It is based on the regulations set out in the decree of 3 November 2014 and is implemented by the Legal Department.

Within La Banque Postale, regulatory monitoring is organised around a regulatory monitoring Committee, which meets on a monthly basis and which is attended mainly by the legal specialists of the La Banque Postale

Group legal unit, and by four Monitoring Committees which meet twice per month and are attended by the business units and subsidiaries, the Compliance and Permanent Control Department and the Risk Department.

As part of its work on compliance with customer protection regulations, the Compliance and Permanent Control Department establishes the *compliance framework* adopted by La Banque Postale Group in its application of regulatory texts.

To that end, it issues “Compliance Standards”. These standards specify how certain regulatory texts should be incorporated by the business units and subsidiaries.

The Customer Protection and Business Ethics Department ensures, through a validation procedure, that the marketing documentation and all marketing aids produced by the business units and subsidiaries are compliant with the regulations and address the interests of customers.

As part of the implementation of the decree of 3 November 2014 in relation to internal control applicable to the creation of new products and to the significant modification of existing products, La Banque Postale set up a *Product Review Committee* chaired by the Head of the Compliance and Permanent Control Department.

The Compliance and Permanent Control Department is also where all claims are forwarded by the Supervisory Authorities, namely the Prudential Supervision and Resolution Authority (ACPR) and the French Financial Markets Authority (AMF). It is in charge of dealing with these claims by addressing them with a clear and comprehensive response. In addition to the responses given, these complaints are analysed and fed into the customer protection risk map.

With the same objective, *all claims handled* by La Banque Postale are examined as part of an annual report prepared by the Quality Department. The Compliance and Permanent Control Department relies on the content of this report to provide information for the *customer protection risk map*.

The *customer protection risk map* is a key management tool. It enables the various entities to identify, manage and monitor the successful handling of customer protection risks. The *customer protection risk map* enables the Compliance Department to monitor, group-wide, the management of risks associated with customer protection by the business units responsible for them.

This map constitutes a key element for preparation of the control plan.

The entire Compliance and Permanent Control Department function participates in the implementation of this system in the Group.

Compliance of investment services

The compliance control system for investment services is managed by the Head of Compliance for Investment Services, assisted by the

Investment Services Compliance Department. The latter department assists with the functional application of the control of the delivery of investment services by physical persons working under the authority of La Banque Postale, or on its behalf, as well as controlling relationships with customers and with the markets.

The RCSI chairs La Banque Postale Group’s RCCI/CCSN Committee, which is a quarterly forum for Compliance and Internal control managers of subsidiaries providing investment services to discuss experiences and dialogue on expertise.

The Investment Services Compliance Department manages the mapping of risks associated with investment services (and ancillary risks). The purpose of this risk mapping exercise is to assess the suitability and effectiveness of the compliance systems in terms of detecting any risk of non-compliance with the professional obligations referred to in Section II of article L.621-15 of the French Monetary and Financial Code.

The risk map identifies the professional obligations applicable to the entity in respect of investment services and the compliance systems in place that enable compliance therewith, including the permanent controls. The essential points are the items referred to in the annual survey, addressed to the AMF, which require Level 2 controls. It is based on the results of permanent and periodic controls and on events.

The non-compliance risk assessment enables the frequency of Level 2 controls for investment services to be adjusted, depending on the level of risk.

This risk map feeds into the customer protection risk map for matters concerning customer protection, and also feeds directly into the bank’s operational risk map for risks related to market integrity and information barriers.

Finally, the Investment Services Compliance Department prepares a map of the various potential conflict of interest situations in its business activities which could compromise customer interests (and/or those of unit holders). This risk map ensures that organisational or procedural measures are implemented to prevent or manage potential conflicts of interest and ensures that the related controls are carried out and produce satisfactory results.

On 21 June 2016, the AMF Sanctions Committee imposed a financial penalty of €1.5 million on La Banque Postale. The objections concerned the systematic failure to observe an internal procedure to warn customers redeeming units from 2 guaranteed mutual funds close to their maturity. La Banque Postale did not appeal the decision and took the measures required to ensure that these incidents, which took place in 2012 and 2013, would not happen again.

4.8.3 Combating money laundering and illegal activities

The fight against money laundering and the financing of terrorism is managed within the Financial Transactions Security Department which reports to the Compliance and Permanent Control Department.

La Banque Postale’s system for combating money laundering and the financing of terrorism is articulated on three levels (national, regional, local), enabling it to assume its responsibilities both on the transactions that it performs independently and on those made in its name and on its behalf by La Poste Network, which is responsible for implementing the resources necessary for the proper completion of transactions that it performs in the name of, and on behalf of the Bank.

Financial Transactions Security Department

The fight against money laundering and the financing of terrorism is managed by the Financial Transactions Security Department, reporting to the Compliance and Permanent Control Department, whose Head is responsible for the system.

In addition to a very operational activity, namely managing the alerts, the DSOF is the contracting authority for the tools dedicated to the function. A project unit supports all bank projects, from their inception, that may have an impact on its activity. This unit also establishes or updates the regulatory documentation and training related to the AML-CFT function.

It also plays a role in supervision, the provision of expertise and the definition of training for the bank's AML-CFT function, extended to the managers of these systems in subsidiaries and in the Monaco branch. In particular, it ensures that the system is consistent throughout La Banque Postale Group with regard to the classification of money-laundering and terrorism financing risks and ensures consolidated reporting.

Finally, the Financial Transactions Security Department is responsible for managing the bank's relationships with TRACFIN (AML-CFT) and with the Treasury (financial penalties and embargoes) at national level.

To carry out its work successfully, the Financial Transactions Security Department has dedicated resources, including 14 regional TRACFIN informant officers, reporting directly to management. These regional TRACFIN informant officers are the only persons within the function (excluding the subsidiaries, branches and management) authorised to convey suspicious transaction reports to TRACFIN and to respond to the rights of communication exercised by that body. They are also in charge of the implementation of events and awareness raising activities with the La Poste network, Financial Centres and business centres of the Corporate function.

A dedicated AML-CFT function on two levels

The first level consists of the AML units in the Financial Centres (involving around sixty employees), reporting, operationally, to the Financial Transactions Security Department and responsible for analysing all alerts from Post Office branches, Corporate business centres and Financial Centres, in addition to the warnings generated by the dedicated AML-CFT software.

In addition, one of the seven AML units is also in charge of the entire procedure for handling first level alerts stemming from filters of financial penalty lists with the aid of a filtering tool, and is responsible for monitoring at-risk countries, particularly fiscally non-cooperative countries and those listed for monitoring by the Financial Action Task Force (FATF).

Having analysed warnings and alerts, the AML unit analysts either proceed to a justified filing with no action, or prepare an investigation file for referral to the Level 2 AML-CFT function.

The fourteen informant officers constitute Level 2 of the function for the AML segment. They receive the investigation files, perform a further examination, complete the assembly of any information gathered and transmit a suspicious transaction report to TRACFIN if the suspicion is confirmed.

With regard to the filtering of financial penalty lists, alerts not raised by Level 1 are transmitted to the dedicated operational unit of the Financial Transactions Security Department which manages the entire system.

The local system

The local system is based on the Sector heads for the Post Office branches, the Operational Risk Managers in the Financial Centres and the Business Centre heads for the Corporate function.

- The Sector heads are the AML-CFT managers in the Post Office branches.

They are in charge of establishing alerts related to anomalies, reported as part of Post Office activities, that are likely to constitute a money laundering or terrorism financing risk. These alert systems feed into the AML-CFT unit's tools for combating money laundering.

They are also in charge of Level 1 control of Post Office branch procedures related to the fight against money laundering. These controls are documented in the Sector Head's control guidance sheet. They must ensure that training delivered to staff on money laundering prevention is properly approved. Level 2 controls are carried out by the banking controllers;

- The Operational Risk Managers, in the Financial Centres are responsible for risk management, including money laundering and terrorism financing risks. They are responsible for:
 - monitoring specific risks related to sensitive customers and the termination of the business relationship,
 - monitoring alerts issued by various Centre services,
 - raising the awareness of and training the Financial Centre staff with the support of the AML-CFT units;
- The Business Centre Heads of the Corporate function have the same responsibilities as the Sector Heads with regard to the activities of specialist business centre advisors and the professional customer managers.

4.8.4 Business ethics

Business ethics

La Banque Postale has chosen to have a Business Ethics function in place since it was first created. By doing so, the bank gives more meaning and visibility to ethics and thus creates a kind of "benchmark" in matters of "rules of good conduct", which is fully consistent with the "whistle-blowing" procedures in the regulations.

To this end, **the banking business ethics function** is structured on three levels:

- the Head of Business Ethics, reporting to the Compliance and Permanent Control Department;
- "business ethics officers" attached to the operational units; the La Poste Network, the Financial Centres, the Financial Services and Retail Brand IT Department (DISFE), the other Head Office Departments, subsidiaries, the Asset Management and Insurance units;
- local contacts who serve as close-at-hand points of contact.

The position of "Business Ethics Officer" defined by La Banque Postale, is held by employees reporting to the Head of Operations, the Head of La Poste Network, the Head of the DISFE, the Head Office Departments, and to the subsidiaries and units.

The role of "Business Ethics Officer" can be assigned to an employee with other responsibilities, to the extent that those responsibilities are independent from his or her business ethics.

These employees are in charge of disseminating business ethics standards within their unit. They guarantee and promote La Banque Postale's rules of conduct.

Local contact points are managed by the Business Ethics Officers.

Because they work at grass-roots level, local contacts are well-positioned to pick up any potential breaches or problems that come to their attention, which they then escalate. They also have an educational role to play by providing information to and raising awareness among their colleagues. Around 100 local contact points have been set up throughout the network. A local point of contact

also exists within each Financial Centre in the form of the Head of Permanent Control and Business Ethics.

Risk of non-compliance and permanent control rules of good conduct are incorporated in the internal rules of procedure of La Banque Postale and La Poste. The professional ethics handbook is appended to the internal rules of procedure.

Ongoing training on business ethics issues is provided in all the entities of the Bank, La Poste Network and the Financial Centres and subsidiaries. Specific training is given to new hires.

In addition, audits are performed to ensure that business ethics standards are applied by the Permanent Control Department by incorporating topics relating to business ethics in the control plans.

La Banque Postale has implemented procedures for withdrawing the right to act in its name and on its behalf from La Poste Network and Financial Centre employees who have breached its business ethics guidelines. This process is managed by the Head of Business Ethics and the Head of Permanent Control and Compliance.

The Business Ethics Division has implemented procedures for escalating and handling breach of business ethics and misuse committed by employees, who have the right to act in the name and on behalf of La Banque Postale. The warnings are observed by the Permanent Control of the Bank and are forwarded to the supervisors working closely with the concerned persons, with a view to measures being taken.

In terms of governance, a “Business Ethics Committee”, chaired by the Head of Business Ethics of La Banque Postale, holds regular meetings. It brings together contacts from La Poste Network, the DISFE, the Operations Department, the Human Resources Department and the Risks Department. These committee meetings are periodically extended to all officers of La Banque Postale Group.

Since 2016, the function has included the “ethics” dimension, particularly with regard to conduct risk, in view of developments in international regulations, and it is preparing for the implementation of the anti-corruption measures provided in the Sapin II bill.

4.8.5 Permanent control

The aim of the permanent control system is to provide independent measurement of the effectiveness of risk management. It is based on the bank's three lines of defence. It is responsible for coordinating all the controls, and helps to improve the link between risk and control. The entire system is described in the Permanent Control Charter.

Pursuant to article 13 of the decree of 3 November 2014, La Banque Postale has set up two types of permanent control:

- ▶ the first type, **Level 1**, concerns the permanent controls conducted by agents carrying out operational activities:
 - by the line managers of agents carrying out controlled transactions,
 - by operational staff, as part of cross-checks,
 - by the operational teams themselves, as part of their day-to-day activities;
- ▶ the second type of control, Level 2, combines permanent controls carried out by dedicated control agents who do not perform an operational role. These controls are carried out retrospectively by personnel dedicated to the permanent control function. The teams concerned may be centralised or may be located according to the activity, business line or entity concerned.

Permanent control at La Banque Postale is managed and coordinated by two entities:

- ▶ the Compliance and Permanent Control Department (DCCP);
 - ▶ the Group Risk Department (GRD);
- according to each one's respective remit. These departments ensure the successful functioning of the Level 1 and Level 2 control chain.

The general principle for the distribution of tasks among these two departments is as follows:

- ▶ the Compliance and Permanent Control Department is in charge of the operational monitoring of Level 2 controls. It also contributes to Level 1 controls, particularly through the transfer of risk and control indicators, in addition to Level 1 reporting tools defined in close collaboration with the Group Risk Department. The Compliance and Permanent Control Department manages non-compliance risk control. The Compliance and Permanent Control Department is also in charge of Level 2 control for the AML-CFT function;
- ▶ the Group risk control and management function is managed by the Group Risk Department. The Group Risk Department is responsible

for managing and fixing the permanent control framework on the credit risk segment (including counterparty risk in market transactions) and financial risk (ALM, liquidity and market risk). Within this framework, the Group Risk Departments in charge of Credit Risk (the Retail Credit Risk Department and the Enterprise and Institutional Credit Risk Department) and Financial Risk (the Financial Risk Department) carry out Level 2 controls directly, coordinating with and complementing those carried out by the teams monitored by the Permanent Control Department (see above). With regard to operational risks, Level 1 permanent control is the responsibility of the business units. They may be supported by the operational risk function monitored by the Operational Risk Department (risk approach) and by the permanent control function supervised by the Compliance and Permanent Control Department (business line expertise). The Operational Risk Department, supported by players from the Information Systems Security (ISS) and Safety of Persons and Property (SPP) functions, ensures that the ISS and SPP risk control system is operationally sound and efficient. The Operational Risk Department is responsible for Level 2 permanent control of the Emergency and Business Continuity Plan. The coordination of Level 2 permanent control of operational risk, is carried out in close collaboration with the Compliance and Permanent Control Department, notably as part of the work of the Permanent Control Coordination Committee.

The Group Risk Department is in charge of essential work related to the risk function, required for the consistency, uniformity, effectiveness and comprehensiveness of risk measurement and for the oversight and management of risks. Further details concerning the organisation, work and remit of each segment of the Group Risk Department are set out in the Group Risk Charter.

The Permanent Control Department, part of the Compliance and Permanent Control Department, is in charge of the coordination of all Level 2 audits of all entities.

The Head of Permanent Control has full and complete competence with regard to the functional and hierarchical supervision of the unit. These responsibilities specifically involve managing careers in a manner consistent with the requirements of each organisation.

Two Deputy Heads of Permanent Control are responsible for managing the two main units:

- ▶ since 2016, one Deputy Head is in charge of the hierarchical management of the Banking Controllers function, through the heads of Territorial Control. As such, he is the point of contact for

banking controllers within La Poste Network and supervises the Banking Controller function across the Network;

- ▶ another Deputy Head of Permanent Control is in charge of the functional management of permanent control of Head Office units and departments. In this respect, since end-2015, he heads the Management Department of the Permanent Control function, with responsibility for setting up a standardised and efficient control system within the Head Office departments, subsidiaries and Outsourced Essential Services. In addition, he supervises Level 2 control of the AML-CFT function.

His sphere of responsibility extends to:

- ▶ the Permanent Control Department, within the Operations Department, notably through the hierarchical link with the Managers of Internal Banking Controllers and the internal banking controllers attached to the Financial Centres;
- ▶ the Risk Management Department within the Information Systems Department-DISFE.

Through this permanent control system, the bank ensures that controls are standardised across all Group activities, which allows it to develop a control plan incorporating all control programmes in a single document: Network, Financial Centres, IT, Investment Services, Head Office, Subsidiaries and Outsourced Essential Service Providers.

4.9 INSURANCE RISKS

The Insurance Division comprises four subsidiaries constituted as limited companies and a qualifying shareholding in CNP Assurances, itself a limited company.

Through its insurance subsidiaries - La Banque Postale Assurances IARD (LBPAI), La Banque Postale Prévoyance (LBPP), La Banque Postale Assurance Santé (LBPAS) and La Banque Postale Conseil en Assurances (LBPCA) - and its relationship with CNP Assurances (through both its commercial partnership and its equity interest

in CNP Assurances), La Banque Postale Group is exposed to risks inherent to the insurance sector.

The development of La Banque Postale's activities with its customers has relied, since its creation, on the reinforcement of its insurance offers. In this respect, the insurance business is an important element of the Group's strategy.

For more information on the insurance activities, refer to chapter 1 "Overview of La Banque Postale Group", Section 1.6.2 Insurance.

4.9.1 Management of insurance risks

All of the subsidiaries and investments of the Group belonging to the insurance sector must meet, at all times, the regulatory requirements of this sector. Indeed, La Banque Postale, while it is not an insurance group within the meaning of Article L.331-1-2 of the French Insurance Code, as the parent company and head of the financial conglomerate, is responsible for ensuring that each of its subsidiaries meets all the requirements and, more generally, as regards the insurance business as a whole, that the mechanisms for risk control implemented are in line with, in particular, the Risk Management Policy and the charter of the risk unit of the Group.

The Risk Management Policy of the Insurance Business is carried out on the basis of the legal and regulatory framework implemented by the "Solvency 2" and "FICOD" directives, transposed into French law. This Policy sets out the strategies, principles and processes making it possible to identify, measure, manage and monitor risks to which the insurance activities of La Banque Postale Group are exposed, including those entrusted to its partners from the insurance sector.

Within the framework of the Group's Risk Management Policy and the Group Risk Management Charter, and by delegation of La Banque Postale's Risk Management Department, the implementation of the risk management system for the management, control and monitoring of Insurance Business risk is entrusted to the Insurance Risk and Actuarial Department, which:

- ▶ develops and validates a Risk Management Policy for the Insurance Business, which is integrated into the Group Risk Management Policy;
- ▶ implements the mechanisms for the control of the La Banque Postale Group's risks, by deploying and adapting them, as applicable, for the Insurance Business, taking into account the applicable sectoral regulations;

- ▶ oversees compliance, by the Insurance Business entities, with the Group systems and with the requirements specific to the Business and the applicable regulations.

Said mechanisms for controlling insurance risk must make it possible for the Group to have a sub-consolidated vision, at the level of the Insurance Business, of the risks taken and the potential risks, and to ensure at all times that they are compatible with the appetite for risk. Equally, this mechanism must make such monitoring possible on a consolidated basis at the level of the Group.

To ensure that the insurance activities are aligned with La Banque Postale Group in terms of risk management, the Insurance Risk Committee coordinates and supervises the risk management system for the entire Insurance Business, including outsourced activities. In particular, it is in charge of providing a consolidated perspective of Insurance Business risk and of the corresponding level of control.

The committee is chaired by the Head of the Insurance Division and is coordinated by the Divisional Head of Finance, Risk and Compliance. Committee meetings are attended by managers from various functions contributing to the risk control and management system of La Banque Postale: the subsidiaries, the Group Risk Department, the Compliance and Permanent Control Department, the Finance Department and the Legal Department.

With regard to the Insurance Division, the **governance of risk** is based on:

- ▶ the executive bodies of each subsidiary: the Board of Directors and its Audit and Risk Committee, in addition to other committees deriving from it: the Financial Committee and the Development Committee;
- ▶ the operational governance bodies: the General Management of each subsidiary which, supported by two Executive Directors,

undertakes various responsibilities with regard to the establishment, management and monitoring of the internal control and risk management system (implementation of the Risk Management Policy, defining operational thresholds with regular reviews according to the development of the risk profile; examining the indicator dashboard and updating the risk map; recommending measures aimed at adapting and improving the internal control and risk management system to the Board of Directors and applying the Board's guidelines on measures to be taken to mitigate identified risks and/or introduce improvements based on reports received);

- ▶ the Risk Management Committee of each subsidiary (definition and monitoring of risk strategy, measurement of the capital levels required and definition of any corrective actions, oversight of the risk management system and of the control plan, monitoring of the main risk indicators);
- ▶ the Model and Assumptions Committee of each subsidiary (reports on the status of the models, environment and security in place, approval and reporting to the Risk Management Committee on changes to models and their impact as well as model thresholds, attainment of approval for management strategies proposed to

business heads, debating the assumptions, legal framework and models used);

- ▶ the Product Review Committee (analysis of new products or guarantees and of their risks in order to verify their suitability with regard to the business plan and risk profile of the subsidiary, compliance validation, approval or refusal of projects to launch new products or guarantees);
- ▶ the four key functions of each subsidiary: Risk Management, Compliance Checking, Actuarial Verification and Internal Audit (which is delegated to the Internal Audit Department of La Banque Postale). The key functions have direct access to the Board of Directors.

The operational thresholds are fixed by type of insurance risk, in line with the risk tolerance of each subsidiary, and are approved by each subsidiary's Board of Directors. They provide a strict framework for risk management and the selection of risks.

Risks linked to insurance activities are monitored by La Banque Postale Risk Management Committee, and the CNP Assurances Audit and Risk Committee.

4.9.2 Classification of insurance risks

La Banque Postale's Insurance Business risks are grouped into four main risk categories in line with the risk classification of the Solvency 2 regulations and the conglomerated risk map:

- ▶ financial risks;
- ▶ insurance liability risks (or technical risks);
- ▶ operational and non-compliance risks;
- ▶ other risks.

Market risks

The insurance subsidiaries of La Banque Postale carry out market transactions as part of their balance sheet asset and liability management: shareholder equity and commitments towards policy holders are covered by various categories of assets exposed to the risk of securities' price changes resulting from movements in the financial markets and factors inherent to each issuer.

The insurance subsidiaries are exposed to the following market risks:

- ▶ interest rate risk;
- ▶ equity risk;
- ▶ property risk;
- ▶ spread risk;
- ▶ exchange rate risk;
- ▶ concentration risk;
- ▶ liquidity risk;
- ▶ counterparty risk.

Interest rate risk

Interest rate risk arises from the sensitivity of the value of financial assets and instruments to changes affecting the yield curve or interest rate volatility.

Since most of the portfolio is composed of interest rate products, the asset portfolio is mainly exposed to interest rate risk: an interest rate rise would have an immediate repercussion on the level of unrealised capital gains or losses on fixed income assets; a fall in interest rates would entail a dilution of the asset's overall rate of return caused by actuarial rates upon purchase of bonds at a lower rate.

Equity risk and property risk

Equity risk and property risk result from the sensitivity of the value of these assets to changes affecting the market value or volatility of equities and/or property.

As with direct investments in equities and through equity investment funds, equity portfolios are sensitive to fluctuations that may be sustained in the equity markets and the risk of loss of value caused by a fall in prices of property and infrastructure assets.

Exchange rate risk

Exchange rate risk is associated with exposure through investments denominated in a currency other than the euro. There is a risk that the investment currency will fall in relation to the euro. There may be some indirect exchange rate risk exposure arising from placements in investment funds able to invest in securities denominated in a foreign currency.

Concentration risk

Concentration risk arises either from insufficient asset portfolio diversification or from significant exposure to default by a single securities issuer or by a group of related issuers.

Liquidity risk

Liquidity risk, for the insurance subsidiaries, is the risk of being unable to realise their investments and retain assets in order to meet their financial obligations when they fall due.

Counterparty risk

Counterparty risk is the risk of possible losses which could lead to an unexpected default, or the deterioration of the credit quality of the insurance subsidiaries' counterparties and debtors.

The scope of counterparty risk includes contracts with provision for risk mitigation, such as reinsurance contracts, securitisations and derivatives, and receivables due from intermediaries and insured parties.

In order to manage market risk, strategic and tactical investment allocation guidelines are defined annually by the insurance subsidiaries of La Banque Postale Group. These guidelines specify targets for portfolio distribution by asset class, the maturities and preferred interest rates for fixed-income investments, as well as the bank's objectives in terms of hedging financial risks.

Oversight of the implementation of these guidelines involves assessing compliance with the thresholds applicable to each asset class, monitoring portfolio sensitivity and ensuring a satisfactory liquidity level.

Technical risks, or insurance liability risks

As with their activities in Property & Casualty insurance and in Health & Personal Risk insurance, the insurance subsidiaries of La Banque Postale are exposed to underwriting risk and to catastrophe risk, associated with changes to the features of portfolios of insured parties.

Underwriting risk is defined as the risk which the insurer takes in distributing insurance contracts to physical persons or to legal entities, stemming from:

- ▶ market segments or risk categories which are not consistent with the risk profile and commercial strategies of the insurance company;
- ▶ complex risk categories which are difficult to assess;
- ▶ insufficient technical competencies within the internal personnel and the sales networks;
- ▶ failure to comply with limits.

Underwriting risk encompasses the following risks:

- ▶ **mortality risk**: mortality risk is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from fluctuations affecting the level, trend or volatility of mortality rates, when a rise in these rates brings on a rise in the value of insurance commitments;
- ▶ **longevity risk**: longevity risk is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from fluctuations affecting the level, trend or volatility of mortality rates, when a fall in these rates brings on a rise in the value of the insurance commitments;
- ▶ **incapacity/disability risk**: disability risk is the risk of loss, or of an unfavourable change in the value of insurance commitments,

resulting from fluctuations affecting the level, trend or volatility of disability, sickness and morbidity rates;

- ▶ **surrender risk**: surrender risk is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from fluctuations affecting the level, trend or volatility of early termination, expiry, renewal and surrender of policies;
- ▶ **expense risk**: expense risk is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from fluctuations affecting the level, trend or volatility of expenses incurred for the management of insurance or reinsurance contracts;
- ▶ **revision risk**: revision risk is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from fluctuations affecting the level, trend or volatility of revision rates applicable to annuities, as a result of a change in the legal environment or state of health of the insured party;
- ▶ **premium and reserve risk**: premium and reserve risk is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from fluctuations affecting the occurrence, frequency and gravity of insured events, as well as the date and amount of claim settlements;
- ▶ **catastrophe risk** is the risk of loss, or of an unfavourable change in the value of insurance commitments, resulting from significant uncertainty of pricing and provisioning assumptions in the light of extreme or irregular events.

Through their underwriting policies, the Property & Casualty and Health & Personal Risk insurance subsidiaries define their requirements in terms of controls, management and monitoring of underwriting risk, in line with the features of the portfolios insured. The applicable rules aim to hedge the anticipated level of technical risk. Underwriting thresholds have been defined for each risk.

Operational risks and risks of non-compliance

These risks correspond to loss of value tied to failing or unsuitable internal processes or to external events. Operational risk includes legal risks, but does not include risks stemming from strategic decisions, or from reputational risks.

Other risks

Other risks concern those tied to internal and external factors and which may have a significant impact on the strategy and the achievement of the objectives of the insurance subsidiaries or of an entity of the Insurance Business.

This type of risk consists of the risk linked to regulatory developments, risk of distribution, risk to reputation, emerging risk, and partnership risk.

4.10 CONGLOMERATE RISK

La Banque Postale was identified as Conglomerate Head by the competent authority upon its creation in 2006 and, in that respect, is subject to Additional Oversight.

The obligations related to Additional Oversight are described in the Decree of 3 November 2014 concerning Additional Oversight, transposing EC Directive 2002/87, also known as the FICOD directive.

In this respect, the insurance subsidiaries: La Banque Postale Assurances IARD (LBPAI), La Banque Postale Prévoyance (LBPP), La Banque Postale Assurance Santé (LBPAS) and La Banque Postale Conseil en Assurances (LBPCA), in addition to the qualifying shareholding in CNP Assurances, the La Banque Postale Asset Management firms and the subsidiary credit institutions and investment firms, are subject to additional oversight in the following areas:

- ▶ capital adequacy;
- ▶ concentration risk;
- ▶ intra-group positions;

The conglomerate structure corresponds to the group structure set out in chapter 1 of this document, while the consolidation method is detailed in chapter 5, Note 11. The governance of CNP Assurances is described in its own Registration Document for 2015, in chapter 5 related to Corporate Governance and Internal Control (its 2016 Registration Document has not yet been issued).

Other risks are monitored by sector. In some cases, the same risk may have a very different impact according to the sector, such that other risks are individual to each sector. They are subject to specific monitoring by sector (see chapter 4 of the La Banque Postale Registration Document on credit institutions and asset management firms and, specifically, Section 4.9 for the monitoring of insurance subsidiaries, and refer to the CNP Assurances Registration Document (Chairman's report on Risks)).

Conglomerate risk monitoring was the subject of the first group-wide risk map in 2016. The risk mapping work extended into 2017 with the operational integration of risk map monitoring.

4.10.1 Governance and organisation

Conglomerate risks are monitored, in particular, for:

- ▶ the subsidiaries, at group body level, namely the Insurance Risk Committee, then the Group Risk Committee (see Section 4.9 on insurance);
- ▶ the qualifying shareholding in CNP Assurances, at the level of the Conglomerate Committee, which is subject to specific cross-functional monitoring. This conglomerate committee meets on a quarterly basis and includes members from the financial functions (accounting and capital planning) and from the internal control functions (risk, compliance and permanent control) for each entity. Thereafter, monitoring takes place at the level of the Group Risk Committee.

La Banque Postale applies the principle of proportionality for the monitoring of subsidiaries and its qualifying shareholding since these could have a significant impact on the risk profile of the Conglomerate and on Group performance. The bank strengthened its Additional Oversight system in 2016, in particular, by reorganising its Insurance

Division, with better identification of key functions and the creation of a position dedicated to conglomerate oversight.

The management and monitoring of risks in the insurance sector is therefore the remit of the Insurance Risk Committee and the Conglomerate Committee. The main risk factors and risk indicators are discussed at meetings of those committees.

A summary is presented to the Group Risk Steering Committee, containing, in particular:

- ▶ solvency ratios for the insurance sector;
- ▶ monitoring of concentration risk, broken down by the conglomerate's main beneficiaries.

A summary is also presented on the asset management subsidiaries, setting out:

- ▶ distribution by asset class and by rating;
- ▶ monitoring of concentration risk, broken down by sector, by geographic area and by bank debt beneficiary.

4.10.2 Capital adequacy monitoring

As Conglomerate Head, La Banque Postale must ensure the stand-alone capital adequacy of each entity subject to prudential requirements and of the bank at conglomerate level.

The level of capital, at Conglomerate level, must be sufficient to meet the capital requirements (ratio above 100%).

Due to the entry into force of the Solvency II regulations, the solvency requirements for insurance entities at 31 December 2016 were not available at the date of publication of this Registration Document. Henceforth, the capital ratio for conglomerates will be published in the half-yearly update of the Registration Document.

Going forward, La Banque Postale will take into account the conglomerate's solvency needs as part of its capital planning exercise.

4.10.3 Monitoring of concentration risk

La Banque Postale must ensure that its information is complete and comprehensive to provide full and proper oversight of concentration risk. La Banque Postale has all the information required to monitor concentration risk.

In particular, it takes into account, for insurance sector exposures, the different assessment of exposures borne, the bank carrying fully and directly the risk of exposure carried on its balance sheet assets while the insurers' exposures, which are positioned in relation to insurance

premiums, generate a residual risk (zero on certain supports) carried by the Conglomerate.

The conglomerate does not change the risk profile of La Banque Postale to a significant degree. It remains exposed mostly to sovereign risk and local authority risk in the euro zone and mainly in France. The remaining exposures are mainly located on the banking counterparties.

4.10.4 Monitoring of intra-group position risk

La Banque Postale monitors intra-group positions between the insurance entities and the credit institutions.

These positions concern intra-group commission flows and positions on securities. It should be noted that works are planned to reduce positions in subordinated securities at the end of 2016.

4.11 LEGAL AND FISCAL RISK

The Legal Department has two roles in terms of controlling legal risk. It advises the bank's Departments, enabling them to measure the legal risk inherent to their activity, and it also defends the bank's interests.

Control of legal risk extends throughout La Banque Postale Group with the formation of the La Banque Postale Group legal unit. While the legal officers of the subsidiaries report functionally to the La Banque Postale Group Head of Legal Affairs, the legal unit ensures there is consolidated information on and management of significant legal risks that could impact the subsidiaries.

The Legal Department also contributes to the work performed by the Bank's various committees:

- ▶ within the Regulatory Monitoring Committee, the Legal Department defines, disseminates and implements the policy positions concerning the laws and regulations which affect the Bank's business activities;
- ▶ within the New Products Committee, the Legal Department analyses the cases presented and issues opinions;
- ▶ within the Disputes & Provisions Committee, the Legal Department discusses disputes in progress and the provisions to be booked for them;

- ▶ within the Internal Control Coordination Committee, the Legal Department takes part in reviews concerning audits and internal control activities;

- ▶ within the national Watch-list Committees and Special Matters & Disputes Committees concerning business markets and regional authorities, the Legal Department acts as an advisor. It presents the matters being litigated and their provisioning connected to such markets.

The French Competition Authority's decision of 20 September 2010, by which 11 retail banks and the Banque de France were ordered to pay a fine of €384.9 million for collusion regarding cheque image exchange fees, was examined by the Paris Court of Appeal and referred back following an appeal in cassation. The judgement is expected during the second quarter of 2017.

On 21 June 2016, a penalty was imposed on La Banque Postale by the AMF due to its failure to observe an internal procedure to warn customers redeeming units from a mutual fund close to its maturity.

On 24 March 2016, La Banque Postale received a notice of complaint from the Prudential Supervision and Resolution Authority (ACPR) concerning its failure to observe the same internal warning procedure applicable to the redemption of unit-linked products associated with the same mutual fund. The procedure is awaiting an ACPR hearing.

To the Company's knowledge, there are no other governmental, court or arbitration proceedings, including any proceedings that are pending or threatened, likely to have or having had any significant effect on the Company and/or Group's financial position or profitability over the last 12 months.

Fiscal risks are the responsibility of the Tax Department attached to the bank's Finance Department. This Department centralises fiscal management and consultancy for all the bank's different business lines and the subsidiaries of La Banque Postale. It helps the different contacts to prevent and control fiscal risks.

The Tax Department takes part in and issues its opinion within the different internal committees, namely the Product Review Committee, the Regulatory Monitoring, Prudential Accounting and Governance Monitoring Committee, Cross-Entity Securities Committee and the Cross-Entity Savings Committee.

La Banque Postale received an assessment notice for the opening conditions and functioning of regulated savings accounts for 2012 and 2013.

4.12 ENVIRONMENTAL RISKS

These risks are identified and described in chapter 6 of this Registration Document.

4.13 REMUNERATION POLICY

Items related to the remuneration policy are set out in chapter 2 of this Registration Document, under Section 2.3.3 Remuneration.

Certain items will be completed in the half-yearly update of the Registration Document.

4.14 PILLAR III CORRELATION TABLE

CRR Article	Subject	Chapter 4 - Risk Management	Page	Or page of Registration Document
90 (CRDIV)	Return on assets			Chapter 3, page 76
435	Risk management policy and objectives	Operational implementation of the reference framework	Pages 84+	
436	Scope of application	Capital management and capital adequacy	Page 88	
437	Ownfunds	Capital management and capital adequacy	Pages 91+	
438	Capital requirements	Current methodology used to calculate capital requirements Capital management and capital adequacy	Page 83 Pages 99+	
439	Exposure to credit and counterparty risk	Credit risks	Pages 103+	
440	Capital buffers	Capital management and capital adequacy	Page 90	
441	Indicators of global systemic importance	Publication of indicators of global systemic importance	Page 103	
442	Credit risk adjustments	Credit risks	Pages 103+	
443	Unencumbered assets	Encumbered/unencumbered assets	Pages 123+	
444	Use of external ratings agencies	Use of external ratings agencies	Page 115	
445	Market risk exposure	Market risk	Page 124+	
446	Operational risk	Operational risks	Pages 131+	
447	Exposures in equities not included in the trading book	Exposures in equities not included in the trading book	Page 137	
448	Exposures to interest rate risk on positions not included in the trading book	Interest rate risk	Pages 119+	
449	Exposures to securitisation positions	Securitisation	Page 116	
450	Remuneration policy			Chapter 2, page 62+ Additional information to be provided in the half-yearly update of the Registration Document
451	Leverage	Prudential ratios	Pages 101+	
452	Use of the IRB approach for credit risk		NA	
453	Use of credit risk mitigation techniques	Credit risks	Pages 114+	
454	Use of the advanced measurement approach for operational risk		NA	
455	Use of internal models for market risk		NA	

4.15 DECLARATION ON ITEMS WITH RESPECT TO PILLAR III

La Banque Postale publishes information with regard to Pillar III in its annual Registration Document.

La Banque Postale considers that the risk management systems currently in place within the bank, through the various risk identification, measurement and management systems (by type, activity and entity) combined with the cross-functional and forward-looking systems, ensure that the bank has a comprehensive vision of its risk profile and enables it to put in place the appropriate preventive or corrective actions, as necessary.

Chapter 4, dealing with risk management and information with regard to Pillar III, was presented to the Supervisory Board on 22 February 2017.

The preparation of this chapter was coordinated by the financial communication unit and the information set out herein was produced and documented by the Accounting Department, the Department of Capital Management and Supervisor Relations, and the Tax Department, all three reporting to the Finance Department, the Group Risk Department, the Compliance and Permanent Control Department, the Legal Department and the Insurance Division. The information with regard to the remuneration policy was produced jointly by the Company Secretary and the Human Resources Department.

This chapter was also read by the statutory auditors as part of their work to review the Registration Document.

FINANCIAL STATEMENTS AS AT 31 DECEMBER 2016

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5.1 CONSOLIDATED FINANCIAL STATEMENTS

Consolidated income statement at 31 December 2016

(€ '000s)	Notes	31.12.2016	31.12.2015
Interest and similar income	3.1	4,491,693	4,850,934
Interest and similar expenses	3.1	(1,663,822)	(1,726,031)
Commissions (income)	3.2	2,674,666	2,567,788
Commissions (expenses)	3.2	(285,651)	(275,239)
Net gains or losses on financial instruments at fair value through profit or loss	3.3	(12,253)	(73,771)
Net gains and losses on assets available for sale	3.4	208,069	135,482
Income from other activities	3.5	1,047,496	1,032,411
Expenses from other activities	3.5	(857,903)	(766,342)
Net banking income		5,602,295	5,745,232
General operating expense	3.6	(4,411,629)	(4,467,672)
Net depreciation, amortisation and impairment of tangible and intangible fixed assets		(175,821)	(225,505)
Gross operating income		1,014,845	1,052,054
Cost of risk	3.7	(181,214)	(180,938)
Operating income		833,631	871,116
Share of profits of equity associates	2.11	190,981	206,793
Net gains and losses on other assets	3.8	(1,936)	15,760
Changes in value of goodwill	3.9	0	0
Pre-tax income		1,022,676	1,093,670
Income tax	3.10	(288,391)	(349,988)
Net income		734,285	743,681
Non-controlling interests		40,460	36,870
NET INCOME, GROUP SHARE		693,825	706,811
Basic earnings per ordinary share (in euros)		19.72	20.09
Diluted earnings per ordinary share (in euros)		17.46	17.62
Dividend per ordinary share (in euros)		8.87	9.04

Consolidated balance sheet at 31 December 2016

(€ '000s)	Notes	31.12.2016	31.12.2015
ASSETS			
Cash and central banks	2.1	2,732,044	1,811,631
Financial assets at fair value through profit and loss	2.2	12,329,901	11,035,274
Hedging derivatives	2.3	1,577,501	1,228,567
Available-for-sale financial assets	2.4	18,879,482	15,610,500
Loans and receivables – credit institutions	2.5	84,461,375	83,101,861
Loans and receivables – customers	2.6	78,783,991	73,628,314
Revaluation differences on interest rate risk hedged portfolios		137,559	178,258
Financial assets held to maturity	2.8	22,270,714	24,157,604
Current tax assets	2.9	339,671	229,206
Deferred tax assets	2.9	84,450	296,287
Accruals and other assets	2.10	3,412,488	3,163,141
Non-current assets held for sale		0	2,349
Deferred profit-sharing		0	0
Investments in associates	2.11	3,226,660	2,917,881
Investment property	2.12	0	0
Property, plant and equipment	2.12	661,900	657,030
Intangible assets	2.12	519,456	499,565
Goodwill	2.13	160,227	190,510
TOTAL		229,577,420	218,707,978
LIABILITIES			
Central banks		0	0
Financial liabilities at fair value through profit or loss	2.2	600,095	657,456
Hedging derivatives	2.3	914,107	326,058
Liabilities due to credit institutions	2.14	19,003,276	15,741,232
Liabilities to customers	2.15	175,994,407	171,771,151
Debt securities	2.16	10,483,528	9,054,583
Revaluation differences on interest rate risk hedged portfolios		1,050,505	704,319
Current tax liabilities	2.9	17,489	13,787
Deferred tax liabilities	2.9	123,126	127,620
Accruals and other liabilities	2.17	4,965,332	5,199,159
Underwriting provisions of insurance companies and shadow accounting	2.18	2,231,202	2,008,711
Provisions	2.19	590,190	770,523
Subordinated debt	2.20	3,780,398	3,189,017
Equity, Group share		9,744,578	8,905,790
Capital		4,046,408	4,046,408
Consolidated reserves and others		3,821,817	3,299,020
Gains and losses recognised directly in equity		1,182,528	853,551
Profit/(loss) for the period		693,825	706,811
Non-controlling interests		79,187	238,570
TOTAL		229,577,420	218,707,978

Statement of net income and gains and losses recognised directly in equity

(€ '000s)	31.12.2016	31.12.2015
NET INCOME	734,285	743,681
ITEMS RECYCLABLE IN PROFIT OR LOSS	317,649	8,757
Exchange rate differences	0	0
Revaluation of available-for-sale financial assets	170,713	(22,133)
Change in revaluation reserves	305,042	31,608
Reclassification under net income	(134,329)	(53,741)
Revaluation of hedging derivatives	154,934	(7,731)
Change in reserves	154,934	(7,731)
Recycling under net profit	0	0
Deferred tax	(145,458)	53,197
Item of the share in gains and losses recognised directly in equity from associates ⁽¹⁾	137,459	(14,576)
ITEMS NOT RECYCLABLE IN PROFIT OR LOSS	(6,327)	(522)
Actuarial differences under defined benefit schemes	(5,966)	686
Other changes	0	0
Deferred tax	0	0
Items of the share in gains and losses recognised directly in equity from associates ⁽¹⁾	(361)	(1,208)
TOTAL GAINS AND LOSSES RECOGNISED DIRECTLY IN EQUITY NET OF TAXES	311,322	8,236
NET INCOME AND GAINS AND LOSSES RECOGNISED DIRECTLY IN EQUITY NET OF TAXES	1,045,607	751,917
Including net income and gains and losses recognised directly in equity, Group share	1,022,801	715,563
Including net income and gains and losses recorded directly in equity, non-controlling interests	22,805	36,354

(1) Amounts presented net of deferred tax.

Statement of changes in equity

(€ '000s)	Capital ⁽¹⁾	Issue premium	Legal reserves, retained earnings and other reserves	Consolidated reserves	Gains or losses, net of tax, recognised directly in equity		Profit/(loss), Group share	Equity, Group share	Equity, non-controlling interests	Total consolidated equity
					Actuarial adjustments	Translation reserves, Change in fair value of financial instruments ⁽²⁾				
IFRS equity restated as at 31 December 2014	4,046,408	16,719	1,244,375	1,584,316	(19,856)	864,651	677,186	8,413,797	201,668	8,615,464
Appropriation of 2014 net income	0	0	375,451	301,735	0	0	(677,186)	0	0	0
Distribution	0	0	(304,712)	(39,681)	0	0	0	(344,393)	(12,906)	(357,299)
Sub-total of movements linked to relations with shareholders	0	0	70,738	262,055	0	0	(677,186)	(344,393)	(12,906)	(357,299)
Changes in gains and losses recognised directly in equity	0	0	0	0	0	25,450	0	25,451	(2,527)	22,923
Net profit as at 31 December 2015	0	0	0	0	0	0	706,811	706,811	36,870	743,681
Sub-total	0	0	0	0	0	25,450	706,811	732,262	34,343	766,604
Share in changes in the equity of associates consolidated using the equity method	0	0	0	(3,276)	(1,208)	(14,576)	0	(19,060)	0	(19,060)
Other changes ⁽³⁾	0	0	1	124,093	686	(1,595)	0	123,185	15,466	138,651
IFRS equity as at 31 December 2015	4,046,408	16,719	1,315,114	1,967,188	(20,378)	873,929	706,811	8,905,790	238,570	9,144,361
Appropriation of 2015 net income	0	0	513,695	193,116	0	0	(706,811)	0	0	0
Distribution ⁽⁶⁾	0	0	(318,083)	(41,965)	0	0	0	(360,048)	(22,250)	(382,298)
Sub-total of movements linked to relations with shareholders	0	0	195,612	151,151	0	0	(706,811)	(360,048)	(22,250)	(382,298)
Changes in gains and losses recognised directly in equity	0	0	0	0	0	171,569	0	171,569	8,379	179,948
Net profit as at 31 December 2016	0	0	0	0	0	0	693,825	693,825	40,460	734,285
Sub-total	0	0	0	0	0	171,569	693,825	865,393	48,839	914,232
Impact of acquisitions and disposals on non-controlling interests ⁽⁴⁾	0	0	0	(80,006)	(15)	26,161	0	(53,860)	(208,725)	(262,585)
Share in changes in the equity of associates consolidated using the equity method	0	0	0	3,844	(361)	137,459	0	140,942	0	140,942
Other changes ⁽⁵⁾	0	0	0	252,196	(5,951)	114	0	246,359	22,754	269,113
IFRS equity as at 31 December 2016	4,046,408	16,719	1,510,725	2,294,374	(26,705)	1,209,233	693,825	9,744,578	79,187	9,823,765

(1) As at 31 December 2016, the capital of La Banque Postale consisted of 35,186,153 shares with a nominal value of €115 each.

(2) Gains or losses recognised directly in equity include translation reserves arising from foreign subsidiaries consolidated by the CNP Assurances and AEW Europe groups.

(3) The other changes observed during the 2015 financial year stem mainly from €115.5 million in disposals of La Banque Postale Asset Management shares to Aegon, €24 million from SOFIAP badwill, a dilution effect from La Banque Postale Assurance Santé for €10.2 million and a loss of €26.7 million in changes in put options on minority interests.

(4) The buyback of the minority interests of La Banque Postale Prévoyance had a total negative impact of -€49.7 million on the Group's equity, including +€34 million on the share of equity associates.

(5) The other changes observed during the 2016 financial year stem mainly from fine-tuning the methodology for puts on non-controlling interests, which had an impact of €268.6 million on Group equity and €33.1 million on non-controlling interests.

(6) including €42 million relating to the coupon payment net of deferred tax on the bond debt issued.

Net cash flow statement

The statement of cash flows is presented according to the indirect method model.

Investment activities represent cash flows relating to acquisitions and disposals of holdings in consolidated companies, and property, plant and equipment and intangible assets.

Financing activities represent changes linked to structural financial transactions involving equity, subordinated debt and acquisition of non-controlling interests.

Operating activities include those cash flows that fall outside the two previous categories. More specifically, securities relating to strategic investments included in "Available-for-sale financial assets" and "Financial assets held to maturity" are classified in operating activities.

(€ '000s)	31.12.2016	31.12.2015
Pre-tax income	1,022,676	1,093,670
+/- Net depreciation and amortisation of property, plant and equipment and intangible assets	175,995	224,107
- Changes in goodwill and impairment of other non-current assets	(188)	1,392
+/- Net provisions and impairment charges	100,189	287,618
+/- Share of profits of equity associates	(190,981)	(206,793)
+/- Net losses or gains on investment activities	1,726	(19,470)
+/- Other movements	257,558	155,376
= Total non-cash items included in pre-tax profit and other adjustments	344,299	442,230
+/- Cash flows relating to transactions with credit institutions	8,007,108	4,310,065
+/- Cash flows relating to customer transactions	(1,006,657)	(1,968,667)
+/- Cash flows relating to other transactions that have an impact on financial assets or liabilities	(861,343)	174,864
+/- Cash flows relating to other transactions that have an impact on non- financial assets or liabilities	(12,434)	(705,589)
- Taxes paid	(248,225)	(380,982)
= Net increase/(decrease) in assets and liabilities from operating activities	5,878,449	1,429,691
Total net cash generated by operating activities (A)	7,245,424	2,965,591
+/- Flows linked to financial assets and investments	(209,669)	88,181
+/- Flows linked to property, plant and equipment and intangible assets	(217,950)	(214,126)
Total net cash generated by investing activities (B)	(427,619)	(125,945)
+/- Cash flows from or to shareholders	(404,301)	(357,194)
+/- Other net cash flows from financing activities	599,144	874,219
Total net cash generated by financing activities (C)	194,843	517,025
Net increase (decrease) in cash and cash equivalents (A+B+C)	7,012,648	3,356,671
Net cash flows generated by operating activities (A)	7,245,424	2,965,591
Net cash flows generated by investment activities (B)	(427,619)	(125,945)
Net cash flows generated by financing activities (C)	194,843	517,025
Opening cash and cash equivalents	5,220,102	1,863,432
Cash and central banks (assets and liabilities)	1,811,631	1,949,649
Current accounts (assets and liabilities) and overnight loans with credit institutions	3,408,471	(86,217)
Opening cash and cash equivalents	12,232,749	5,220,102
Cash and central banks (assets and liabilities)	2,732,044	1,811,631
Current accounts (assets and liabilities) and overnight loans with credit institutions	9,500,705	3,408,471
CHANGE IN NET CASH	7,012,648	3,356,671

The concept of net cash includes cash, receivables and payables to central banks, as well as current accounts (assets and liabilities) held by credit institutions.

5.2 NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Legal and financial framework

1 Highlights over the period

1.1 Memorandum of understanding between La Banque Postale and CNP Assurances

The final agreements renewing the partnership between La Banque Postale and CNP Assurances were signed on 25 March 2016.

The renewed partnerships include the following sections:

- ▶ the renewal of the partnership for a period of ten years from 1 January 2016, the scope being extended to include BPE, the subsidiary bank of La Banque Postale Group specialised in wealth management;
- ▶ the establishment with La Banque Postale of a direct partnership in group loan insurance for property loans for a period of ten years, CNP Assurances taking over this market segment from La Banque Postale Prévoyance for new business;
- ▶ the acquisition by La Banque Postale of CNP Assurances' interest in La Banque Postale Prévoyance, which amounts to 50%. The latter notably retains the contingency insurance activities for individuals (see below).

1.2 Buyback of the minority interests of La Banque Postale Prévoyance

On 28 June 2016, La Banque Postale acquired 50% of the securities of La Banque Postale Prévoyance from CNP Assurances for €291.6 million, bringing the Group's holding to 100% in this fully consolidated subsidiary. Restated for the net profit of internal disposals from the share of profits of CNP Assurances equity associates, the buyback of minority interests had a total negative impact of -€49.7 million on the Group's equity, including +€34 million on the share of equity associates.

1.3 Subordinated bond issues

La Banque Postale conducted two bond issues, on 9 June and 5 October 2016, for €500 million and €100 million respectively, both being 12-year bonds. They were issued as part of the bank's policy to strengthen its equity, in line with prudential ratios.

1.4 Structural transactions on Ciloger and AEW Europe

Following the agreement between SF2 and AEW Europe signed on 21 July 2016, the following transactions were conducted during the second half:

- ▶ acquisition by SF2 of the remaining 10% of the Ciloger interest held by CNP Assurances,
- ▶ buyback by AEW Europe of 100% of Ciloger remunerated by contributing 40% of AEW Europe securities to SF2, resulting in the equity consolidation of the Company in La Banque Postale's financial statements.

The inclusion of AEW Europe in the scope of consolidation of La Banque Postale led to the recognition of goodwill, which is included in that company's equity associate value in the amount of €30.3 million at 31 December 2016.

1.5 Mergers of Fédérés and La Banque Postale Structured Asset Management in La Banque Postale Asset Management

Fédérés and La Banque Postale Structured Asset Management were merged in La Banque Postale Asset Management on 29 April and 30 November 2016, respectively, effective retroactively to 1 January 2016. There was no impact on La Banque Postale Group's consolidated financial statements.

1.6 Disposal of the Visa Europe share to Visa Inc.

The Visa transaction took place in June 2016. The impact on the Group's financial statements amounts to a gross capital gain of €106.8 million, broken down between an immediate payment, a receivable deferred over three years and preference shares. The preference shares were recorded under assets available for sale and the deferred payment under receivables.

1.7 Highlights for CNP Assurances

1.7.1 Signature of a framework partnership agreement between AG2R La Mondiale and CNP Assurances

A framework partnership agreement was signed on 15 December 2015 between CNP Assurances and AG2R La Mondiale, effective in 2016.

The main components of this partnership are:

- ▶ a 40% investment by CNP Assurances in Arial Assurance, a subsidiary of AG2R La Mondiale;
- ▶ a reinsurance undertaking covering the new business won by the new company Arial CNP Assurance, pro rata to each partner's holding;
- ▶ a contribution of contracts relating to the supplementary collective pension schemes business invested in the unit-linked and euro-denominated funds of each of the partners. The contributions would be subject to the condition precedent of a treaty reinsurance contract between Arial Assurance and each of the contributors. The transferred contracts would be fully (100%) reinsured.

Following signature of the shareholders' agreement on 1 April 2016 between CNP Assurances and La Mondiale, in the presence of Arial Assurance and AG2R Réunica Prévoyance, CNP Assurances and AG2R La Mondiale announced the start of operations of their strategic partnership on 4 April 2016. The transaction was approved by the French Prudential Supervision and Resolution Authority (ACPR) and the French Competition Authority (ADLC).

The acquisition price paid by CNP Assurances for Arial Assurances was €43.3 million.

At 31 December 2016, the joint subsidiary Arial CNP Assurances was consolidated according to the equity method in the consolidated balance sheet of the CNP Assurances group for €45.0 million. Its contribution to consolidated income was €1.4 million.

1.7.2 Signature of an agreement between EDF, Caisse des Dépôts and CNP Assurances

On 14 December 2016 EDF, Caisse des Dépôts and CNP Assurances signed a binding agreement for the acquisition by Caisse des Dépôts and CNP Assurances of a 49.9% stake in Réseau de Transport d'Electricité (RTE). The deal aims to set new governance in place in RTE to provide long-term support for RTE's investment strategy for the optimisation of the electricity transmission infrastructure to advance energy transition.

CNP Assurances booked an off-balance sheet liability of €1,080 million (or 20% of the capital of the joint holding company which would hold 100% of RTE's capital, this transaction is part-financed by the holding company through external borrowing) for this investment.

1.7.3 Private placement of a \$500 million subordinated bond

On 15 January 2016, CNP Assurances completed the private placement of a \$500 million subordinated bond with a major institutional investor. CNP Assurances took advantage of a specific request from the investor. The issue will support growth and strengthen the Group's financial structure.

The fixed-for-life issue will pay a 6% coupon in dollars. The legal maturity is 33 years, with a first call date after 13 years.

The issue is structured to be eligible as Tier 2 capital under Solvency 2 prudential standards. The issue is hedged against the foreign exchange risk (cash flow hedge) of this debt under IFRS.

2 Post balance sheet events

2.1 LBP Group excluding CNP

None.

2.2 CNP (consolidated under the equity method)

Cancellation of the proposed acquisition by CNP Assurances of 51% of Pan Seguros and Pan Corretora.

On 21 April 2016, CNP Assurances announced the signature of a contract for the acquisition from Banco BTG Pactual (BTGP) of 51% of Pan Seguros (excluding major exposures) and Pan Corretora, companies in which Caixa Economica Federal (CEF) holds an indirect 49% stake.

At 31 December 2016, the completion of this acquisition remained subject to obtaining the necessary approvals to the necessary approvals from the competent regulatory authorities with respect to prudential requirements and bank concentration, and the approval of CEF, the joint shareholder in Pan Seguros and Pan Corretora.

Since some of these conditions had not been met on 2 February 2017, both parties acknowledged that their agreement for the proposed deal was now void.

Detailed summary of notes

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NOTE 1 PRINCIPAL VALUATION AND PRESENTATION RULES APPLYING TO THE CONSOLIDATED FINANCIAL STATEMENTS

1.1 Regulatory framework

Regulation (EC) No. 1606/2002 of 19 July 2002 requires companies whose debt securities are listed on a regulated market to apply the accounting basis established by the International Accounting Standard Board (IASB). Accordingly La Banque Postale Group has since 1 January 2007 prepared its consolidated financial statements under International Financial Reporting Standards (IFRS) as approved by the European Union. More specifically, the Group has chosen to apply the provisions of European Commission Regulation No. 2086/2004 by adopting IAS 39, with the exception of certain provisions. This European regulation therefore allows certain macro-hedging transactions performed as part of asset and liability management (including notably customer demand deposits) to be treated as fair value hedges.

The full set of standards adopted in the European Union can be consulted on the European Commission's website at the following address:

http://ec.europa.eu/internal_market/accounting/ias/index_fr.htm.

The consolidated financial statements are presented in thousands of euros.

Presentation of the financial statements

In the absence of a model imposed by IFRS, the Group has used the summary statement format suggested in Recommendation No. 2013-04 of 7 November 2013 issued by the French National Accounting Authority.

1.2 Standards and interpretations applied by the group from 1 January 2016

With respect to the consolidated financial statements for the year ended 31 December 2015, the Group has applied the following standards and interpretations mandatory within the European Union from 1 January 2016:

Standards or Interpretations	Date of adoption by the EU
IAS 19 amendment – Defined Benefit Plans - Employee Contributions"	17 December 2014
Annual improvements to IFRS – Cycle 2010-2012	17 December 2014
Amendments to IFRS 11 "Recognition of acquisitions of interests in joint operations"	24 November 2015
Amendments to IAS 16 and IAS 38: "Clarifications of acceptable methods of depreciation and amortisation"	2 December 2015
Annual improvements to IFRS – Cycle 2012-2014	15 December 2015
Amendments to IAS 1: "Disclosure initiative"	18 December 2015
Amendments to IAS 27: "Equity method in separate financial statements"	18 December 2015

These amendments have no material impact on the Group's financial statements at 31 December 2016.

1.3 Standards and interpretations not yet applied

The IASB and IFRIC have issued standards and interpretations that were not compulsory as at 31 December 2016. Standards or interpretations published by the IASB but not yet adopted by the European Union will be mandatory only once they have been adopted.

Standards or Interpretations	Date of adoption by the European Union	Date of entry into force ⁽¹⁾
Amendment to IFRS 10, IFRS 12 and IAS 28: Investment entities – Applying the consolidation exception	22 September 2016	1 January 2016
Amendment to IAS 12: Recognition of deferred tax assets for unrealised losses	Not adopted	1 January 2017
Amendment to IAS 7: Disclosure initiative	Not adopted	1 January 2017
IFRS 9 Financial instruments	22 November 2016	1 January 2018
IFRS 15 Revenue from contracts with customers	22 September 2016	1 January 2018
Amendment to IFRS 15: Clarifications to IFRS 15	Not adopted	1 January 2018
Amendment to IFRS 2: Classification and measurement of share-based payment transactions	Not adopted	1 January 2018
IFRS 16 - Leases	Not adopted	1 January 2019
Amendment to IFRS 4: Applying IFRS 9 with IFRS 4	Not adopted	1 January 2018
Annual improvements to IFRS – Cycle 2014-2016	Not adopted	1 January 2017/2018
Amendment to IAS 40: Transfers of investment property	Not adopted	1 January 2018

(1) Effective for financial years started on the dates mentioned, and subject to adoption by the European Union.

As at 31 December 2016, the Group had not applied these standards.

- IFRS 9 "Financial instruments" has to replace IAS 39 "Financial instruments: recognition and measurement". It defines new classification and measurement rules for financial instruments, a new method for impairment of financial assets, as well as the processing of the affected hedging transactions.

IFRS 9 was adopted by the European Union on 22 November 2016 and will be mandatory as of 1 January 2018

Classification and measurement under IFRS 9

According to IFRS 9, financial assets are classified as measured at amortised cost or at fair value, with changes recognised in equity (recyclable or not), or at fair value with changes recognised in profit or loss. Classification of a financial asset in each category is made according to a business model test defined by the entity and a cash flow characteristics test ("basic loan" criterion).

Debt instruments for which the contractual flows consist solely of payments of principal and interest on the principal amount outstanding ("basic loan" criterion) are classified:

- at amortised cost, if the objective of the business model is to hold the financial assets to collect the contractual cash flows;
- at fair value through recyclable equity if the objective of the business model is to hold the financial assets to both collect the contractual cash flows and to sell the assets.

All debt instruments that cannot be measured at amortised cost or at fair value through equity must be measured at fair value through profit or loss.

Investments in equity instruments will be measured at fair value through profit or loss, with the exception of those not held for trading and for which the standard offers the irrevocable option, at initial recognition of each instrument, to measure them at fair

value through non-recyclable equity. In this case, unrealised gains or losses recognised in equity may not be recycled to profit or loss on disposal.

Based on studies of the “basic loan” criterion and the business models, the Group expects limited impacts in terms of the classification of financial assets. Studies of the “basic loan” criterion consisted of analysing contractual clauses by type of instrument (for example, clauses covering early redemption or switching to a fixed rate) that may not correspond solely to payments of the principal and interest on the principal amount outstanding.

With regard to financial liabilities, the standard now requires, for financial liabilities recognised at fair value through profit or loss using the fair value option, the recognition of changes in fair value attributable to changes in credit risk of the liability in non-recyclable equity, unless where this treatment would create or enlarge an accounting mismatch in profit or loss. Early adoption of this provision is permitted, for financial years starting before 1 January 2018.

La Banque Postale in coordination with its shareholder La Poste, decided to apply these provisions on financial liabilities recognised at fair value in advance, as of the 2016 financial year. Early application of this provision has a limited impact on the financial statements.

Impairment according to IFRS 9

The new provisioning method is henceforth oriented towards a model for writing down credit risk on expected losses, and not solely actual losses incurred.

IFRS 9 defines a provisioning model that applies to all financial assets presenting a counterparty risk (excluding equity instruments) not remeasured at fair value through profit or loss, as well as financing commitments and guarantees.

The current principles of provisioning applied within La Banque Postale Group lead to recognition of asset impairment on an individual and collective basis. Individual provisions are recorded for an asset as soon as there is an objective indication of loss of value. Collective provisions are statistical provisions. They aim to cover the objective indications of loss of value, identified within a portfolio but unable to be allocated individually.

Applying IFRS 9, new impairments, representing the expected credit losses at one year, will be recorded in the amounts outstanding as soon as they enter the balance sheet, or off-balance sheet for financing commitments, as long as they do not present any significant deterioration in credit risk.

Amounts outstanding identified as representing a significant deterioration in credit quality from the date of initial recognition must be impaired in the amount of the expected credit losses over the residual life of the instrument.

Simplified methods are used for trade receivables and lease receivables. Under certain conditions, these methods allow the entity to dispense with monitoring changes in credit quality over time and recognise an impairment over the residual life of the receivable.

Moreover, the standard also includes the option to consider that there has not been a significant increase in credit risk since initial recognition for an asset with a “low” credit risk on the reporting date, without the requirement to conduct a detailed analysis of the change in credit quality.

The methods developed under IFRS 9 overlap significantly with the methods for risk monitoring, particularly internal ratings approaches. They will take into consideration past events such as loss histories, current conditions and reasonable and justifiable economic forecasts.

This provisioning model, based on expected credit losses and now applied to all financial assets, will have an impact on equity on the opening balance sheet date, and a probable increase in the cost of credit risk, in line with changes in outstanding amounts.

Hedging

The standard extends the hedging strategies options (excluding macro-hedging), with notably more items eligible for hedge accounting and a loosening of the requirements for the effectiveness of the hedge relationship.

The standard does not comply with EU provisions on fair value hedging of a portfolio of interest-rate items, which will continue to apply.

Pending the entry into force of the standard on macro-hedging, IFRS 9 gives the option of deferring application of the new provisions on hedge accounting.

The option to maintain the principles of IAS 39 on hedge accounting is being examined.

On the date of first application

The provisions of IFRS 9 regarding classification, measurement and impairment must be applied retrospectively, according to IAS 8.

The standard provides simplifying provisions for the retrospective measurement of some items.

In addition, IFRS 9 permits an exemption from the obligation (as defined by IFRS 7) to restate comparative disclosures.

Preparation for implementation of IFRS 9 in La Banque Postale

The IFRS 9 implementation project initially concerned analysis of the standard and the performance of a diagnosis aiming to identify the various effects of the standard and work to be done, for the classification and provisioning sections.

The bank created a project-based structure to manage the change, in terms of both operations and the IT system, to ensure application to schedule, i.e. on 1 January 2018

The IFRS 9 programme for the Group as a whole is led by the Finance Department, working closely with the Group’s Risk Department, as part of the overall governance structure.

- IFRS 15, published in May 2014, was adopted by the European Union on 22 September 2016 and will be mandatory as of 1 January 2018. IFRS 15 will ultimately replace IAS 11 “Construction contracts” and IAS 18 “Revenue”, along with the interpretations linked to these two standards. This new standard defines a single income recognition model for sales of goods, provision of services and long-term contracts. At the level of the Group, the income concerned is mainly the commissions received that do not come under the scope of IAS 39, i.e. those that are not included at the effective interest rate.

The impact of IFRS 15 on the Group financial statements is currently being analysed.

- IFRS 16 was issued in January 2016 and applies to annual reporting periods beginning on or after 1 January 2019, subject to adoption by the European Union. It will replace IAS 17 - Leases, as well as interpretations relating to the recognition of leases. Retrospective application of IFRS 16 will be necessary to have comparable financial information.

Under IFRS 16, a contract is a lease if an asset can be identified and it conveys the right to control the exclusive use of this asset. Under a lease, the lessee recognises on the balance sheet a right

of use under assets and a liability under liabilities corresponding to the discounted value of the lease payments over the lease term. The right of use is amortised according to the straight line method and the liability according to the amortised cost method, over the lease term. The new standard essentially adopts the current model for lessors.

The impact of IFRS 16 on the Group financial statements is currently being analysed.

1.4 Principles adopted for the preparation of the consolidated financial statements

1.4.1 Determining the scope of consolidation

The consolidated financial statements include the financial statements of La Banque Postale, the consolidated financial statements of the sub-groups and the financial statements as at 31 December 2016 of those subsidiary companies and holdings controlled or significantly influenced by La Banque Postale, where such consolidation has a significant impact on the overall consolidated financial statements. Entities that are excluded even though they meet the control criteria are left out where they are regarded as not significant in view of three non-cumulative criteria: a percentage stated on the balance sheet, net banking income and net income, as well as in view of their multi-year financial histories.

1.4.2 Consolidation methods

The scope of voting rights taken into consideration when assessing the nature of the control exerted by the Group includes the existence and effect of potential substantive voting rights, such as potential voting rights that could be exercised to make a decision pertaining to relevant activities at the next General Meeting.

The consolidation methods are applied according to the nature of the control exercised by La Banque Postale on entities.

Structured entities and subsidiaries controlled by the Group are fully consolidated.

A structured entity is created specifically to manage a transaction or group of similar transactions and designed to ensure that voting rights or similar voting rights are not decisive in establishing the control of the entity. They are consolidated when they are substantially controlled by the Group, even if there is no equity link.

In accordance with IFRS 10, analysis of the control is identical to that conducted for a subsidiary.

The control exercised over a subsidiary or a structured entity is assessed based on the following three criteria:

- the power to direct the key activities of the subsidiary, for example through voting rights or other rights;
- the exposure or rights to variable returns generated by the subsidiary; and
- the capacity to allocate those returns via the power exercised over the subsidiary.

Joint arrangements in which the Group exercises joint control with other partners are recognised using the equity method in the case of a joint venture or proportionally to the share of interests held, in the case of a joint operation.

The Group exercises joint control over a joint arrangement when decisions about the entity's relevant activities contractually require the unanimous consent of all partners.

A joint venture is a joint arrangement in which each partner has an entitlement to a share of the entity's net assets.

A joint operation is a joint arrangement in which the partners have direct entitlements to the entity's assets and obligations over its liabilities. A joint operation is consolidated according to the share of assets, liabilities, income and expenses controlled by the Group.

Companies over which the Group has a material influence are consolidated using the equity method.

Significant influence is defined as the power to participate in the financial and operating policies of a subsidiary without having control of it. More specifically, that control may stem from representation on the subsidiary's management or supervisory bodies, from involvement in strategic decisions, from the existence of significant inter-company operations, from the exchange of management staff, or from technical dependency. Control is assumed to exist from the moment that the Group holds at least 20% of the voting rights, either directly or indirectly.

1.4.3 Consolidation rules

Restatements and eliminations

The restatements and reclassifications required in order to make the financial statements of all consolidated subsidiary companies comply with the Group's accounting principles are carried out.

Reciprocal accounts are eliminated, together with income and expenses arising from internal Group transactions and which have a material impact on the consolidated financial statements.

Conversion of the financial statements of foreign subsidiaries

For companies where the functional currency is not the euro, the balance sheet statements of foreign subsidiaries are converted at the applicable year-end exchange rate.

Income and expenses in the income statement are converted at the average exchange rate for the period.

Exchange rate differences that arise from changes in the exchange rates applied to equity capital, reserves and net profit are entered under "Unrealised or deferred gains and losses - Translation adjustments".

At the time when the Group prepared its first consolidated financial statements according to IFRS, it made use of the option provided by IFRS 1 to transfer the cumulative translation adjustments as at that date to equity capital. This option only applied to foreign entities of

the CNP Assurances group, which became the first adopter of IFRS in financial year 2005. In the event that these entities are subsequently sold, the sale proceeds will only include the reversal of translation adjustments generated from 1 January 2006 onwards.

Business combinations

Business combinations prior to 1 January 2010 were handled by the Group based on the acquisition method, according to the provisions of the initial version of IFRS 3.

Business combinations since 1 January 2010 are handled by the Group based on the acquisition method, in accordance with revised IFRS 3. Business combinations prior to 1 January 2010 were not restated to reflect the implementation of revised IFRS 3, which is prospectively applied.

The cost of acquisition is defined as the total fair value cost on the date of acquisition of the assets acquired, the liabilities transferred, and the equity instruments issued in exchange for control over the acquired company. Any price adjustments are included in the acquisition cost at their estimated fair value on the purchase date, and revalued on each reporting date, with subsequent adjustments recognised in the profit and loss statement.

The identifiable assets, liabilities and contingent liabilities of the purchased entities are recorded at their fair value on the acquisition date. The contingent liabilities of the acquired entities are only recognised on the consolidated balance sheet if they represent an actual obligation at the time of the combination, and if their fair value can be estimated on a reliable basis.

At the takeover date, non-controlling interests may be measured either at fair value or at their proportional share of the fair value of the identifiable assets and liabilities of the purchased entity. The choice between these two methods is made for each business combination.

Costs that are directly attributable to the business combination transaction represent a separate transaction and are recorded in the profit and loss statement.

The positive difference between the sum of the entity's purchase cost, non-controlling interests and the fair value of any previously held share, and the revalued net assets is recorded as an asset in the consolidated balance sheet under "Goodwill"; any negative difference is immediately allocated to the profit and loss statement.

Analyses required for the initial valuation of these items and any potential adjustments may be performed within a period of 12 months from the acquisition date.

Goodwill is retained on the balance sheet at its historical cost in the reference currency of the subsidiary acquired, and is converted at the official exchange rate at the reporting date.

Goodwill is regularly reviewed by the Group, and impairment tests are performed at least once a year, and as soon as any loss of value occurs.

When the recoverable value of the underlying asset, defined as the higher of the market or value in use of the underlying asset concerned, is lower than its carrying amount, a terminal impairment is charged to the net income statement.

The carrying amount of goodwill for associates is included in their valuation using the equity method.

In cases where minority shares are purchased in a subsidiary over which control has already been established, additional goodwill corresponding to the difference between the total acquisition cost of the additional interest and the Group's share in the net assets acquired

is recognised, and deducted from equity if positive and recognised as an addition to equity if negative. Likewise, a fall in the percentage of the Group's interest in an entity over which it retains exclusive control is treated as a transaction within equity.

At the time an entity is taken over, any share previously held in it is revalued at its market value offset against the profit and loss.

Purchase undertakings granted to minority shareholders of fully consolidated subsidiaries

Non-controlling interests are stakes that do not provide control and include instruments that represent current shares, and grant the right to a share of net assets in the event of liquidation, and other equity instruments issued by the subsidiary and not held by the Group.

In their current wording, IFRS 10 "Consolidated Financial Statements" and IAS 32 "Financial Instruments: Presentation" lead the Group to recognise a debt offset against a reduction in non-controlling interests under commitments to purchase non-controlling interests. The Group has chosen to deduct the difference between the amount of the commitment and the non-controlling interests offsetting the debt from equity.

Subsequent movements are recognised under reserves, Group share.

The share of net profit attributable to minority shareholders who hold purchase options is shown under "Non-controlling interests" in the consolidated income statement.

Consolidation of the insurance activities

The financial assets and liabilities of the Group's insurance companies are largely valued and recognised in accordance with IAS 39.

However, the following policies are recognised according to IFRS 4:

- ▶ insurance policies that include a contingency clause for the policy holder. This category covers contingency insurance, pensions, property damage and unit-linked savings policies with a guaranteed floor;
- ▶ financial contracts issued by the insurer that include a discretionary Profit-Sharing (PS) clause.

In accordance with the provisions of IFRS 4, local guidelines for valuing underwriting provisions are retained for both types of contract.

The financial contracts covered by IAS 39 are investment contracts with no discretionary profit sharing: a unit-linked savings policy with no euro-denominated support or minimum guarantee.

Pursuant to the "shadow accounting" principles set out in IFRS 4, a provision for deferred profit-sharing is recorded for insurance policies that included a discretionary profit-sharing clause. This provision is determined in a way that reflects the potential rights of policyholders to share in unrealised gains on financial instruments valued at fair value or in potential losses in the event of unrealised losses on those instruments.

On each reporting date, the Group's insurance companies implement a liability adequacy test which checks that the recognised insurance liabilities, net of deferred acquisition costs and associated intangible assets, are adequate, using current estimates of future cash flows arising from insurance policies and financial policies with discretionary profit-sharing.

Underwriting provisions and actuarial reserves

Underwriting provisions represent commitments to policyholders.

- Actuarial reserves for euro-denominated policies correspond to the difference between the present value of the insurer and the policyholder's commitments.

Life insurance reserves are recorded based on discount rates that are at most equal to prudently estimated rates of return on the underlying assets.

The net present value of commitments is calculated by choosing a discount rate that is at most equal to the pricing rate of the policy involved and by using statutory mortality tables or tables based on experience where these are more cautious. Lower interest rates are factored in to investment income discount rate calculations when the rate is deemed to be too high relative to the expected reinvestment prospects.

Actuarial reserves for on unit-linked policies are valued on the basis of the underlying assets. Gains or losses resulting from the revaluation of these policies are recognised in profit and loss in order to cancel out the impact of movements in underwriting provisions.

- Contractual equalisation reserves are established to meet the exceptional costs relating to transactions covering natural hazard risks, atomic risks, civil liability risks due to pollution, space risks, risks related to air transport, and risks related to terrorism and terrorist attacks.
- Other reserves include reserves for outstanding claims. These reserves are valued on the basis on the estimated value of foreseeable expenses net of any recoveries.

Active deferred profit-sharing

Most financial contracts issued to policyholders by the Group's life insurance subsidiaries include a discretionary profit-sharing clause.

The discretionary profit-sharing clause entitles life insurance policyholders to receive a share in any financial gains, as well as the guaranteed income. Pursuant to the "shadow accounting" principles set out in IFRS 4, the provision for deferred profit-sharing for these policies is adjusted to reflect the policyholders' entitlement to any unrealised gains or to their share of unrealised losses on financial instruments valued at fair value under IAS 39. The share of gains to which policyholders are entitled is determined according to the specific features of the policies likely to benefit from such gains.

The amount of the net deferred share in profits established by "shadow accounting" is recognised either in balance sheet liabilities (Net deferred profit-sharing – Liabilities) or assets (Net deferred profit-sharing – Assets) depending on the situation of the entity concerned.

A recoverability test is conducted on any asset-based deferred profit-sharing. The aim of this test is to show that the profit-sharing

amount is recoverable through sharing in future or unrealised gains, against the background of the Group's business continuity, and will not result in any inadequacy of the commitments recognised in the Group's accounts in respect of these economic commitments. The recoverability test is performed by using current estimates of future policy cash flows. The test is based on tools for modelling the asset-liability management of the subsidiaries involved, and enables a value to be assigned to commitments under a high number of economic scenarios using a stochastic approach.

In accordance with the recommendation on methods for identifying deferred profit-sharing issued by the French National Accounting Council (CNC), on 19 December 2008, profit-sharing recoverability is based on a prudent assessment of the capacity for holding the assets, particularly in terms of their future collection in forecast cash flows.

Likewise the capacity of future returns to absorb unrealised losses was tested, based on an unfavourable repurchase scenario that has never been experienced up until now.

1.4.4 Segment information

The Group is divided into three separate divisions for management purposes:

- the Retail Banking Unit, which includes the banking or credit institution businesses, as well as the Limited Property Investment Partnerships (SCIs) holding operating premises, and the Group holding company;
- the Asset Management Unit, which includes the Group's UCITS management companies, as well as the discretionary asset management business for high-net-worth customers;
- the Insurance Unit, which includes the individual or collective property and casualty, contingency, life and health insurance companies.

The segment information in the Notes to the financial statements is shown without any reallocation of shareholders' equity or return on this equity. The segment results are presented by breaking down the segment's internal and external income and expenditure. The tax shown is the real tax charge for each segment. Potential goodwill impairment charges are shown in the segment that the entity involved belongs to. Asset and liability items are shown after elimination of reciprocal transactions.

No presentation by geographical segment is provided, since the Group's business activities outside the domestic French market are not material.

1.5 Presentation and valuation rules

Introduction: Some information on market risk and the disclosures required by IFRS 7 is included in the Risk Management section of the Registration Document.

The information required under IFRS 7 that is presented – which is part of the Notes to the consolidated financial statements – is covered by the report on the consolidated financial statements issued by the statutory auditors.

1.5.1 Foreign currency transactions

At the reporting date, monetary assets and liabilities denominated in foreign currencies are converted into euros, the Group's functional currency, at the closing rate. Unrealised or realised gains and losses are recognised in the profit and loss statement.

The value of non-monetary assets is converted into euros at the reporting date exchange rate. Exchange differences on non-monetary items denominated in foreign currencies are recognised in the profit and loss statement if the gain or loss on the non-monetary item is recorded in the profit and loss statement, and in equity if the gain or loss on the non-monetary item is recognised in equity.

1.5.2 Financial assets and liabilities

When initially recognised, financial assets and liabilities are valued at fair value, net of acquisition expenses that are directly related to the acquisition (except for financial instruments recognised at fair value through profit and loss).

Financial assets and liabilities are classified in one of the four following categories:

1.5.2.1 Loans and receivables

Loans and receivables are non-derivative financial assets, which are not listed on an active market and for which returns are fixed or can be determined. They include credit institution and customer loans and receivables. Following their initial recognition, they are recognised at amortised cost using the effective interest rate method and may be subject to impairment, if required.

The effective interest rate is the exact rate used for discounting future cash flows at the initial fair value of the loan. It includes transaction costs and ancillary revenues (arrangement fees, commitment fees when drawdown is deemed more likely than not, or participation fees) directly related to the issuance of loans, considered to be an integral part of returns on lending.

Exceptionally, certain securities may be recognised in this category. They are then subject to loans and receivables accounting, valuation, and impairment rules.

In addition to the information required by IAS and IFRS, La Banque Postale has continued to provide the information that was previously required and applied to separate financial statements.

Performing and non-performing doubtful loans outstanding are included in impaired receivables, in accordance with international standards.

Impairment of loans and receivables

The provisioning process applies to unauthorised overdrafts, home loans and consumer credit business, lease finance and loans to corporate customers.

Specific loan impairment

The Group begins by identifying whether there is objective evidence of an event occurring after a loan – or group of loans – was granted that is likely to lead to a loss of value. These may be loans that are at least two months in arrears, outstanding debts that are already the object of a disputed recovery process, or commitments with respect to counterparties whose financial position has deteriorated and is reflected in a risk of non-recovery.

A credit risk is deemed proven within three months of the occurrence of one or more missed payments (six months for home loans backed by security rights or a legal entity), or, in cases where an over-indebtedness plan has been requested from the Banque de France, even if these loans present no payment default. Once risk is proven, the relevant outstanding loans and commitments are identified in a specific category.

► Scope of home loans

In the Group, specific provisioning for home loans in default can be statistic (based on historic data by homogeneous category), or individual by counterparty.

Amounts outstanding in default are weighted by a factor of “best estimate of expected loss on exposure at default”, adjusted to recognise certain elements (such as the effect of a slowdown in the economy). This factor is determined according to the length of default and the type of security.

The amount of the impairment is recognised in “Cost of risk” in the income statement, and the value of the financial asset is reduced through recording an impairment charge.

By applying the contagion principle, all loans outstanding to the same beneficiary are provisioned as soon as one loan to that beneficiary is provisioned within the Group.

In the event of reclassification of impaired home loans, provisions may be reversed fully or in part and loans reclassified as performing loans when all arrears have been paid and regular payment of the amounts corresponding to the contractual instalments have been made again, for a period of at least two months.

► Scope of lease finance and loans to corporate customers

Within this scope, provisioning of amounts outstanding in default is tracked monthly and adjusted as necessary based on an expert opinion. An impairment is then recorded on the difference between the carrying amount and the net present value of the expected cash flows, discounted at the original effective interest rate, and determined taking account of the financial position of the creditor and the present value of guarantees received. The amount of the impairment is recognised in “Cost of risk” in the income statement, and the value of the financial asset is reduced through recording an impairment charge.

By applying the contagion principle, all loans outstanding to the same beneficiary are provisioned as soon as one loan to that beneficiary is provisioned within the Group.

Collective loan impairment

In addition, loans that are not impaired on an individual basis are analysed and impaired on the basis of homogeneous portfolios presenting similar risk features and, where required, impaired on a collective basis. This process involves a group of “sensitive loans” indicating initial signs of default, similar at portfolio level to objective evidence of impairment, even though such impairment cannot be individually allocated.

These cases are provisioned on the basis of a likelihood of a switch to doubtful status, calculated based on historical observations. The risk of loss that takes the nature of the guarantee into account is calculated in the same way as for doubtful cases, and is the subject of a provision, based on the discounted recoverable cash flows.

The amount of the impairment is recognised in “Cost of risk” in the income statement, and the value of the financial asset is reduced through recording an impairment charge.

Impairment of overdrafts not regularised

The provisioning of unauthorised overdrafts applies to active and closed accounts. Downgrades are performed on a monthly basis, and factor in the amount and length of the overdraft for each account. Receivables for very small amounts are immediately expensed as losses.

Provisioning of unclosed accounts is based on the same method applied to home loans.

The Bank examines the position of irregular debt, even when it falls within the authorised overdraft limits, as soon as it involves a counterparty considered as risky and exceeds 30 consecutive days, or else when a payment incident occurs. Impairments on these accounts are then recorded and change with the account balance. The contagion principle applies to other loans of the same category. Beyond a certain period, the account is declared closed.

Forbearance transactions

Forborne loans are receivables for which the entity has modified the original financial conditions due to the borrower's financial difficulties.

Forbearance is defined according to two core criteria:

- ▶ concessions by the bank;
- ▶ the borrower's financial difficulties.

The discount noted when a loan is forborne is recorded under cost of risk and on the balance sheet as a deduction from the relevant amounts outstanding. It is the difference between the nominal value of the debt before the restructuring and the discounted value at the original effective rate of the new expected future flows. The discount is recognised through profit or loss in the interest margin, according to an actuarial method over the term of the loan

- ▶ retail customers

The status of the forborne counterparty switches from default after a probationary period of 12 months of non-performing exposure with no missed payments; it is then reclassified as sensitive for a minimum of 24 months. If after being switched back to outstanding performing loans, the debtor does not comply with the agreed maturity dates, the forborne amounts outstanding are immediately reclassified to doubtful loans and classified as in default on the first day of the missed payment.

- ▶ non-retail customers

When non-retail customers are switched from default, a 12-month probationary period may be required on a case-by-case basis, based on expert opinion and a bank analysis. The recommendation to reclassify to "performing loans on watch" is made by the Customer monitoring Department and approved by the Risk Department.

Note that forborne loans reclassified to performing exposures are subject to a two-year probation period and are returned to default if any payments are missed during this period.

Financing commitments

Financing commitments that are not viewed as derivative instruments are not shown on the balance sheet.

Guarantee commitments

Guarantee commitments are valued according to the likelihood of these guarantees being exercised. Provisions are charged under liabilities.

1.5.2.2 Financial assets and liabilities at fair value through profit and loss

Securities classified in this category represent financial assets and liabilities held for transaction purposes, i.e. securities originally acquired with the intention of reselling them or buying them back in the short-term, together with assets and liabilities that the Group intended from the outset to classify as valued at fair value through profit and loss, pursuant to the option provided by IAS 39, subject to compliance with the conditions set out in that standard, namely:

- ▶ eliminating or significantly reducing accounting mismatch. This is how the Group assesses the fair value of certain structured issues through profit and loss;
- ▶ group of financial assets/liabilities whose management and performance are assessed at fair value;
- ▶ compound financial instruments containing one or more embedded derivatives. The Group has specifically chosen to register some portions of compound financial instruments as financial assets at fair value through profit and loss, without separating out the embedded derivatives that should be recognised separately.

Movements in fair value are recorded in profit/loss for the period under "Net gains or losses on financial instruments at fair value

through profit or loss". The same applies to dividends from variable-rate securities and capital gains or losses on disposals. Income received on fixed-rate securities is recorded in "Interest and similar income".

1.5.2.3 Financial assets held to maturity

Financial assets held to maturity are listed financial assets with a fixed or determinable income and maturity that the Group intends and is able to hold until maturity, and that it has not chosen to classify as financial instruments at fair value through profit or loss, or as financial instruments available for sale.

With a few limited exceptions, IAS 39 prohibits the sale or transfer of these securities before they mature. Infringing this rule may result in the Group being prohibited from classifying securities in this category for two financial years.

Interest-rate risk hedging transactions on this category of securities are not eligible for hedge accounting as defined by IAS 39.

At year-end, the securities are valued at amortised cost according to the effective interest rate method, which includes amortisation of the premiums and discounts that correspond to the difference between their acquisition and repayment values.

Income received in respect of these securities is shown in "Interest and similar income" in the income statement.

Where there is objective evidence of impairment, a provision is recorded to represent the difference between carrying amount and estimated recovery value, discounted at the original effective interest rate. This impairment charge is offset against the cost of risk. In the event of a subsequent improvement, the excess provision, which is redundant, is reversed.

1.5.2.4 Available-for-sale financial assets

Available-for-sale financial assets form a category by default, and include financial assets that are not classified as loans and receivables, or as financial assets held to maturity or at fair value through profit and loss.

These assets are recognised on the balance sheet at their market value at the time of their acquisition and at subsequent year-ends until they are sold. Movements in fair value are recorded in a specific line in equity: "Unrealised or deferred gains and losses". These unrealised gains and losses recognised in equity are not recognised in the income statement unless they are sold or impaired. Income accrued or received from fixed-income securities is recognised in profit and loss according to the effective net interest method in "Interest and similar income". Dividends received on variable-income securities are recognised in "Net gains or losses available-for-sale financial assets" in the income statement.

When the securities are sold, unrealised gains and losses that were previously recorded in equity are recycled through the income statement in "Net gains or losses on available-for-sale financial assets".

Impairment of available-for-sale financial assets

In the event of a prolonged or material reduction in the fair value of equity instruments, an impairment charge is recorded on available-for-sale financial assets. The same applies to equity securities in the event of a significant deterioration in the credit risk. The fall in the fair value of a security is deemed to be significant when an equity instrument has lost at least 40% of its value between the acquisition date and the reporting date. When such objective evidence of impairment is observed, the unrealised loss that had hitherto been directly recognised in equity is automatically recognised through profit and loss. The fall in the fair value of a security is assumed to be long-term when the ongoing fall extends over a period of more than 24 months. In this case, the Group examines whether there

are grounds to recognise the impairment through profit and loss, depending on the level of significance of the unrealised losses.

This approach does not rule out the line-by-line examination of objective evidence of impairment.

Moreover, as part of its insurance company management process, the CNP Assurances group uses specific criteria to determine evidence of impairment on available-for-sale securities. These criteria are not re-estimated when CNP is included in the Group's consolidated financial statements via the equity method. This principle takes into account the specific management and risk framework that is inherent to CNP Assurances.

For debt instruments such as bonds, an impairment is recorded when there is a proven counterparty risk.

Losses on the impairment of variable-income securities recognised in profit and loss cannot be reversed while the instrument concerned is shown on the balance sheet. They are recognised in "Net gains or losses on available-for-sale financial assets". Losses on the impairment of fixed-income securities are reversible and are recognised in cost of risk when they involve credit risk.

1.5.2.5 Date of entry

Securities are recorded on the balance sheet at their settlement and delivery date, while derivative instruments are entered at their negotiation date. Movements in fair value between the negotiation date and the settlement and delivery date are entered in profit and loss or in equity, depending on their accounting classification. Loans and receivables are recorded on the balance sheet at their payment date.

1.5.2.6 Reclassification of financial assets

A number of reclassifications are permitted:

Reclassifications permitted prior to the amendments to IAS 39 and IFRS 7 adopted by the European Union on 15 October 2008

In particular, these include reclassification of available-for-sale financial assets to "Financial assets held to maturity".

All fixed-income securities that meet the definition of securities held to maturity and with a specified maturity may be reclassified, provided the Group modifies its management intention and decides to hold the security to maturity. The Group must also have the capacity to hold the securities to maturity.

Reclassifications permitted since the amendments to IAS 39 and IFRS 7 adopted by the European Union on 15 October 2008

This text sets out the methods for reclassifications to other categories of non-derivative financial assets measure at fair value (with the exception of those measured at fair value as an option):

- reclassification of trading securities to "Available-for-sale financial assets" or "Financial assets held to maturity". All non-derivative financial assets can be reclassified once the Group can prove the existence of "rare circumstances" justifying the reclassification. Note that the IASB described the financial crisis in the second half of 2008 as qualifying as an example of rare circumstances. Only fixed-income securities or securities for which the returns can be determined can be reclassified to "Financial assets held to maturity". The credit institution must also have both the intention and capacity to hold these securities to maturity. Securities in this category cannot be hedged against interest rate risk;

- reclassification of trading securities or available-for-sale securities to "Loans and receivables". Non-derivative financial assets that meet the criteria for "Loans and receivables" and, in particular, any fixed-income securities not listed on an active market, may be reclassified, provided that the Group modifies its management intention and decides to hold the security for the foreseeable future or to maturity. The Group must also have both the intention and capacity to hold these securities to maturity.

Reclassifications are carried out at market value on the date of reclassification and financial assets transferred in this way are then valued according to the rules applicable to their new category. The transfer price at the reclassification date represents the initial cost of the asset when determining potential impairment charges.

A new EIR is then calculated in order to enable the new depreciated cost to converge towards the repayment value of the instrument. At the same time, profits and losses that were previously recorded in equity are amortised in the profit and loss statement over the residual life of the instrument using the effective interest rate method.

In the case of impairment subsequent to the reclassification date of a security that was previously classified under available-for-sale financial assets, the unrealised loss in gains and losses recognised directly in other comprehensive income on the reclassification date must be taken to profit or loss immediately.

1.5.2.7 Debt

Debt that is not classified in financial liabilities at fair value is initially recorded at cost, which corresponds to the fair value of the amounts borrowed net of transaction costs. At the reporting date, the debt is valued at amortised cost according to the effective interest rate and recorded in the balance sheet under "Liabilities due to credit institutions", "Liabilities to customers", "Debt securities" or "Subordinated debt", except in cases where it has been hedged at fair value.

Liabilities due to credit institutions and to customers

Liabilities due to credit institutions and liabilities to customers are broken down according to their initial maturity or the nature of the debt: demand debt (demand deposits, ordinary accounts) or long-term debt (special scheme savings accounts). This debt includes securities and shares assigned under buyback agreements.

Debt securities

Financial instruments are classified as debt instruments if the issuer is required to remit cash or other financial assets or to exchange instruments under potentially unfavourable conditions. Debt securities consist of negotiable debt securities issued by La Banque Postale.

The debt is initially recognised at face value and is then valued at amortised cost using the effective interest rate method at subsequent year-ends.

Subordinated debt

Subordinated debt includes debt where repayment is only possible once other senior or secured creditors have been repaid in the event that the debtor's assets are liquidated. This debt is valued according to the amortised cost method, except where it has been hedged at fair value.

1.5.2.8 Distinction between debt and equity: Perpetual super subordinated notes

A debt instrument or a financial liability amounts to a contractual obligation to remit cash or other financial assets, or to exchange instruments under potentially unfavourable conditions. An equity instrument is a contract that highlights a residual interest in the net assets of an entity.

Subordinated securities are classified as debt or equity instruments according to the analysis of their features, and more specifically according to whether or not their method of payment is discretionary.

In light of the conditions specified by IAS 32 for the analysis of the contractual substance of these instruments, and given their contractual characteristics, the perpetual super-subordinated notes issued by the CNP group are classified as "debt instruments".

Subordinated bonds convertible into common shares issued also meet the criteria for classification as "debt instruments", even though the coupons are treated as dividends arising from a reduction in equity. The active deferred tax associated with the distribution of coupons, representative of a tax saving, is an ancillary to coupons paid and as such is recognised in equity in line with the recognition of coupons.

Subordinated bonds convertible into common shares were analysed, in accordance with IAS 32, as hybrid instruments comprising a debt component and an equity component.

1.5.2.9 Financial derivatives and hedge accounting

According to IAS 39, a derivative is a financial instrument or other contract that has the following three characteristics:

- ▶ its value fluctuates according to an interest rate, the price of a financial instrument, the price of a commodity, an exchange rate, a price or share price index, a credit rating or credit index, or another variable known as the underlying asset;
- ▶ it requires a low or nil initial net investment, or a net investment that is lower than the investment required by a non-derivative financial instrument in order to achieve the same sensitivity to the underlying asset;
- ▶ it is unwound at a future date.

Financial derivatives are broken down into two categories:

Derivatives held for transaction purposes

Derivatives belong to the category of financial instruments held for trading, except for derivatives that are used for hedging purposes. Their fair value is recognised in the balance sheet in "Financial instruments at fair value through profit and loss". Movements in fair value and interest accrued or received are recognised in "Net gains and losses on financial instruments at fair value through profit and loss".

Hedging derivatives

Hedging derivatives that qualify as hedging instruments according to IAS 39 criteria are classified in the "Fair value hedges" or "Cash flow hedges" category, depending on the circumstances. They are recognised among "Hedging derivatives" on the balance sheet. Other derivative instruments are classified in "Assets or liabilities at fair value through profit and loss" by default, even if they have been entered into in order to hedge one or several transactions from an economic perspective.

In order to classify a financial instrument as a hedging derivative, the Group must establish the hedge relationship from the outset (hedging strategy, description of the risk hedged, the item hedged, the hedging instrument and the method used to assess its effectiveness). Effectiveness is assessed at inception and at each year-end while it remains in place.

Depending on the nature of the risk covered, the derivative financial instrument is designated as a fair value hedge, a cash flow hedge, or as an exchange rate hedge linked to a net foreign investment.

Fair value hedge

Fair value hedges enable exposure to fluctuations in the fair value of financial assets or liabilities to be hedged; they are primarily used to hedge interest rate risk on fixed-rate assets and liabilities and on overnight deposits, according to the options approved by the European Union.

Any revaluation of the derivative is recognised in profit and loss in a way that mirrors the revaluation of the item hedged. Gains or losses attributable to the hedged risk are recognised in "Net gains or losses on financial instruments at fair value through profit and loss" in the income statement. As soon as the hedge relationship becomes effective, movements in the fair value of the hedged item are mirrored by the movements in the fair value of the hedging instrument. Any potential failure in the hedge is directly recognised in profit and loss. The portion relating to the accrued income or expenses of the derivative instrument is recognised in Income and interest expense in the income statement at the same time as the interest income and expense relating to the hedged item.

As soon as the derivative instrument no longer meets the effectiveness criteria specified by the standard, or especially if it is sold, the hedge accounting ceases prospectively: the derivative is transferred to "Financial assets at fair value through profit or loss" or "Financial liabilities at fair value through profit and loss" while the re-measurement adjustment of the hedged item is amortised over the remaining period based on the initial life of the hedge.

In the event that the hedged item disappears, the hedging instrument, no longer described as a hedging instrument but still existing, remains recognised on the balance sheet at fair value through profit or loss. A gain or loss on the sale of the hedged item is eventually recognised in profit and loss.

Macro-hedging

The Group applies the provisions of IAS 39, as adopted by the European Union, to macro-hedging transactions that are performed as part of the asset and liability management of fixed-rate positions.

Macro-hedging instruments are mainly interest rate swaps designated as fair value hedges for the Group's fixed-rate resources.

Macro-hedging derivatives are accounted for according to the same principles as those described above. The revaluation of the hedging component is recognised in "Revaluation differences on portfolios hedged against interest rate risk".

Cash flow hedges

Cash flow hedges are used to hedge exposure to movements in cash flows from financial assets or liabilities, firm commitments or future transactions. More specifically, they are used to cover interest rate risk on variable-rate assets and liabilities.

The effective portion of movements in the fair value of a derivative instrument is entered on a specific line in equity capital, while the ineffective portion is recognised in net profit and loss in "Net gains or losses on financial instruments at fair value through profit and loss."

The portion relating to the accrued income or expenses of the derivative instrument is recognised in "Interest income and expense on hedging transactions" in the income statement at the same time as the interest income and expense relating to the hedged item.

Hedged instruments continue to be recognised according to the rules that apply to their accounting category.

In the event of a break in the hedging relationship, or as soon as the derivative instrument no longer meets the effectiveness criteria specified by the standard, or especially if it is sold, the hedge accounting ceases. The aggregate amounts entered in equity in respect of the revaluation of the hedging derivative are gradually transferred to profit and loss as interest income and expense, or immediately recognised in profit and loss. In the event that the hedged item is sold or redeemed, the derivative is reclassified in "Financial assets at fair value through profit and loss", while the revaluation of the hedged item entered in equity capital is immediately recognised in profit and loss.

Foreign currency hedge of a net investment

The Group does not use this type of hedging.

Embedded derivatives

An embedded derivative is a component of a hybrid instrument. It is separated out of the host contract and recorded separately when, from the beginning of the contract, its economic characteristics and the related risks are not closely linked to those of the host contract, except where the hybrid instrument is valued at fair value through profit or loss.

Day one profit

The Group does not generate any margin when negotiating structured instruments.

1.5.2.10 Guarantee commitment

Financial guarantees

According to IAS 39, a contract meets the definition of a financial guarantee if it includes an indemnity clause, according to which the issuer shall compensate the beneficiary for losses that the latter has suffered due to the default of a debtor who was specifically designated to make a payment on a debt instrument.

According to IAS 39, the financial guarantees provided are valued at their initial fair value at the date they were entered into. They are subsequently valued at the higher of the amount of the commitment and the amount initially recorded, less the commission guarantee, where applicable. In the event of objective evidence of impairment, the financial guarantees given are the subject of a provision under balance sheet liabilities. The provision is offset against the cost of risk.

1.5.2.11 Determining fair value or market value

IFRS 13 defines fair value as the price received for the sale of an asset or paid for the transfer of a liability in a standard transaction between market participants on the valuation date.

When an instrument is initially recognised, its fair value is generally the transaction price.

IFRS 13 recommends using a price quoted on an active market in the first instance to determine the fair value of a financial asset or liability. A market is considered to be active if prices are easily and regularly available from a stock exchange, a broker (multiple inputs), an intermediary or a regulatory agency, and if those prices represent real transactions (volume and price range) under normal competition conditions. In the absence of an active market, the fair value must be determined using valuation techniques. These techniques include the use of recent transactions performed in a normal competition environment. They are based on market data, on the fair value of substantially identical instruments, or on cash flow or option valuation discount models, and involve recognised valuation methods. The aim of a valuation process is to establish what the price of an instrument would be under normal market conditions. For example, the fair value

of bonds or of variable-income securities and futures is determined by using quoted prices. The use of valuation techniques that are based on market data usually concerns over-the-counter derivatives, securities where income is taxed at source (treasury bills, certificates of deposit, etc.) and repo deposits.

Three levels of financial instruments are shown in Note 6.2, based on the decreasing level of observability of the prices and parameters used for their measurement:

- level 1: instruments valued using quoted prices (non-adjusted) in active markets for identical assets or liabilities.

These specifically include listed shares and derivatives on organised markets (futures, options, etc.);

- level 2: instruments valued according to data other than the prices listed under level 1 and that can be observed for the asset and liability in question, either directly (prices) or indirectly (derivative price data).

These are instruments measured employing valuation techniques that use observable parameters and standard models or instruments that are valued based on similar instruments listed on an active market. This classification concerns interest-rate swaps, caps, etc.;

- level 3: instruments valued using data that are not based on observable market data.

This primarily involves unlisted equity investments, such as venture capital funds (FCPR) or innovation funds (FCPI).

The market value of unlisted equity investments classified as available-for-sale securities is determined by reference to criteria such as net assets, profitability outlook and discounting of future cash flows. Non-consolidated equity investments whose fair value cannot be assessed on a reliable basis are valued at cost.

The price quoted for an asset held or a liability to be issued is usually the bid price, and it is the ask price for a liability held or an asset to be acquired.

The fair value of financial instruments recognised in the balance sheet at amortised cost is presented in Note 6.1 to the financial statements. All these instruments are considered level 2, the most significant parameters in terms of the market value of these instruments are considered as being indirectly observable.

1.5.2.12 Derecognition of financial assets or liabilities

Financial assets are derecognised when the contractual rights to the cash flows attached to the financial asset expire or when such rights and virtually all the risks and benefits associated with ownership have been transferred to a third party.

When certain risks and advantages have been transferred and while control of the financial asset is retained, that asset remains on the balance sheet so as to reflect the ongoing involvement in the asset concerned.

A gain or loss on disposal is then recorded in the income statement, at an amount equal to the difference between the carrying amount of the asset and the amount received in exchange.

Financial liabilities are derecognised when the contractual obligation is extinguished, cancelled, or expires.

Repurchase agreements

The assignor does not derecognise the securities. The Group records a liability that represents its commitment to refund the cash received. This debt represents a financial liability, which is recorded at amortised cost and not at fair value.

The assignee does not recognise the assets received, but recognises a receivable on the cash loaned by the assignor. At subsequent year-ends, the assignor continues to value the securities according to the rules applicable to their original category. The nominal value of the receivable is shown in loans and receivables.

Securities lending

The lending and borrowing of securities cannot be treated as a financial asset transfer according to IFRS. Therefore, these transactions cannot result in derecognition of the loaned securities. They remain recognised in their original accounting category and valued according to the rules of that category.

1.5.2.13 Offsetting of financial assets and liabilities

A financial asset and liability are offset and a net balance is shown on the balance sheet only if the Group has a legally enforceable right to offset the amounts recognised, and if it has the intention either to settle the net amount or to realise the asset and settle the liability simultaneously. The legally enforceable right must be irrevocable and must be enforceable under all circumstances.

Repo transactions where the operating principles meet both the criteria required by the standard are offset on the balance sheet when:

- ▶ they relate to the same counterparty;
- ▶ they have the same maturity dates set from the outset;
- ▶ they are realised in the same currency;
- ▶ they are settled via a settlement/delivery system that guarantees the delivery of the securities against receipt of the associated cash;
- ▶ the securities are deposited with the same depository.

Offsetting primarily concerns repurchase agreements with the LCH Clearnet clearing house.

1.5.3 Capital lease transactions

Lease transactions are classified as capital lease transactions when they substantially result in the transfer of the risk and benefits relating to the leased asset to the lessee. They are analysed as a financing granted to the lessee for the purchase of an asset.

The present value of the payments due in respect of the agreement, plus the residual value, where applicable, is recorded as a receivable and is shown under customer loans and receivables on the balance sheet.

The interest included in the lease payments is recorded under Interest and similar income in the income statement.

The lease payments received are spread over the term of the capital lease agreement, by dividing them into amortisation of the principal and interest, so as to generate a regular and constant rate of return on the net investment. The interest rate used is the implicit interest rate in the agreement.

In the event of a decrease in the value of the unguaranteed residual values selected for calculating the net investment, the discounted value of this decrease is recorded under expenses relating to other businesses through a reduction in the capital lease receivable under balance sheet assets.

1.5.4 Property, plant and equipment and intangible assets

Fixed assets shown on the balance sheet include property, plant and equipment and intangible operating assets, i.e. assets used for administrative purposes. The Group has no investment property.

Fixed assets are recognised at their acquisition cost plus acquisition expenses that are directly related and required to put them in working order so that they can be used.

Following their initial recognition, fixed assets are valued at cost less accumulated depreciation and any potential loss of value.

The portion of a fixed asset that can be depreciated is determined after deducting its residual value net of disposal costs, if that value can be measured and is significant.

Fixed assets are depreciated in accordance with the estimated consumption rate of the expected economic benefits, which usually corresponds to the life of the asset.

When a fixed asset includes several components that may be replaced at regular intervals, have different uses, or provide economic benefits at different rates, each component is recognised separately from the outset and is depreciated according to a specific depreciation schedule.

Depending on their components, buildings are therefore amortised over periods ranging between 10 and 80 years:

- ▶ structural work: 80 years;
- ▶ roofing: 60 years;
- ▶ joinery and external works: 40 years;
- ▶ major equipment items: 20 years;
- ▶ small equipment items, and fixtures and fittings: 10 years.

When they meet the criteria for fixed assets, proprietary software packages are recognised at their development cost, including third-party expenses and employee benefits expense directly assigned to the project. They are usually amortised over a period of between three and seven years, depending on their useful life.

Fixed assets that are depreciated are subject to impairment tests in cases where evidence of a loss of value is identified at the reporting date. Fixed assets that are not depreciated are subject to impairment tests in cases where potential evidence of a loss of value is identified at the reporting date, and at least once a year.

If evidence of a loss of value is recorded, the recoverable value of the asset is compared with its net book value. In the event of impairment, an impairment charge is recorded in profit or loss; it changes the depreciable base of the asset prospectively. The impairment is reversed in the event of a change in the estimated recoverable value or the evidence of impairment disappears.

Depreciation, amortisation and impairment charges are recognised in "Depreciation, amortisation and provisions for impairment of property, plant and equipment and intangible assets" in the income statement.

Gains and losses on the disposal of operating fixed assets are recorded in the income statement on the "Net gains on other non-current assets" line.

1.5.5 Special scheme savings accounts

The home loan savings accounts (CEL) and home loan savings plans (PEL) offered to individual customers under the provisions of the law of 10 July 1965 include two stages: a stage where funds are gathered in the form of remunerated savings and a stage where they are used to grant home loans.

They generate two kinds of commitments for the lending institution:

- ▶ an obligation to remunerate future savings at a rate fixed at the opening of the account for an indefinite period for PEL accounts opened before 28 February 2011, and at a rate that is reviewed annually for new generation accounts;
- ▶ an obligation to grant customers who request it, a loan at a rate fixed when signing the agreement.

These commitments have potentially unfavourable consequences for the Group, and are the subject of provisions shown in the "Provisions" line in balance sheet liabilities. Movements in those provisions are recorded in the net banking income interest margin.

The provisions are estimated on the basis of customer behaviour statistics and market data for each generation of plans, in order to cover any future expenses arising from the potentially unfavourable interest rate conditions attached to these products relative to the rates offered to retail customers on similar products where the remuneration is unregulated. The provisions only relate to the commitments for home loan savings accounts and plans that exist at the date the provision is calculated.

Provisions are calculated for each generation of home loan savings plans, without offsetting commitments for different generations of home loan savings plans, and for all the home loan savings accounts representing one generation.

At the savings stage, the commitments to be provisioned are evaluated according to the difference between average forecast savings deposits and minimum forecast savings deposits, both of which are determined on a statistical basis by factoring in historical observations on actual customer behaviour.

At the lending stage, the commitments to be provisioned include loans that have already been granted but not yet released at the year-end date, as well as future loans that are viewed as statistically likely based on balance sheet deposits as at the calculation date, and on historical observations on actual customer behaviour.

A provision is recorded when the net present value of future income is negative for a given generation of loans.

That income is assessed relative to the rates offered to retail customers on equivalent savings and lending products that have the same term as the deposits and were agreed on the same day.

1.5.6 Provisions

Provisions recorded in balance sheet liabilities, other than those relating to credit risk or employees benefit obligation, are liabilities whose length or amount is uncertain. A provision is recorded when the Group has an obligation towards a third party and that obligation is likely or certain to cause an outflow of funds for the benefit of the third party with no expectation of a counter-payment that is at least equivalent.

The net present value of the expected outflow is calculated as soon as the impact of that net present value becomes material.

Provisions and provision reversals are recorded in profit and loss on the lines that correspond to the nature of the future expenditure involved.

1.5.7 Interest income and expenses

Interest income and expense are recognised in the income statement for all financial instruments valued at amortised cost using the effective interest rate.

The effective interest rate is the rate that discounts future cash outflows or inflows exactly over the expected life of the financial instrument, so as to arrive at the net carrying amount of the financial asset or liability. The calculation of this rate factors in commissions received or paid, which are by nature an integral part of the effective contract rate.

1.5.8 Commission income and expenses

The Group recognises commissions in profit and loss depending on the services supplied and the way in which the financial instruments to which that service relates are recognised:

Commissions paid for ongoing services are recognised in profit and loss over the length of the service (commissions on means of payment).

Commissions paid for one-off services or for a major transaction are recognised in profit and loss in full when the service is provided or the transaction performed (account management commissions, commissions on payment issues).

Commissions treated as additional interest are an integral part of the effective interest rate. These commissions are therefore recognised under interest income and expenses and not under commissions.

1.5.9 Cost of risk

The cost of credit risk includes impairment charges and reversals on fixed-income securities, and customer loans and receivables, as well as charges and reversals of impairment relating to guarantee commitments given, losses on receivables, and the recovery of amortised receivables.

1.5.10 Income tax

Tax payable

La Banque Postale and some of its French subsidiaries are part of the tax consolidation scope of the La Poste Group.

Deferred tax

A deferred tax charge is recognised on all temporary differences between the carrying amount of an asset or liability and its tax basis, except in exceptional cases.

The tax rates used for valuation purposes are the rates that are expected to be applied when the asset is realised or when the liability is extinguished, to the extent that those rates have been adopted or virtually adopted at the reporting date.

Net deferred tax assets are only taken into account if it is likely that the entity involved has a chance of recovering the tax within a determined time frame.

The Group uses the losses carried forward by its subsidiaries only inasmuch as these entities demonstrate their ability to make them up over a set and reasonable time frame via a multi-year business plan.

Deferred tax is recognised as tax income or expense in the income statement, except for tax relating to unrealised gains and losses on assets available for sale, and for movements in the value of derivatives classified as cash flow hedges, for which deferred tax is charged directly to equity capital.

1.5.11 Employee benefits

La Banque Postale Group provides different types of benefits to its employees, civil servants and contract staff. These benefits fall into four categories:

Short-term benefits

Short-term benefits primarily include salaries, annual paid leave, incentives, profit-sharing and bonuses that are paid within 12 months of the end of the financial year and relate to that year.

They are recognised as expenses for the financial year, including amounts still owing at year-end.

Long-term benefits

Long-term benefits are benefits that usually relate to length of service and are paid to working employees more than 12 months after the end of the financial year, like the Working Hours Savings Accounts, for example.

A provision equivalent to the value of these commitments is recorded at year end.

Termination compensation

This relates to compensation paid to employees when their work contract is terminated before retirement, whether as a result of termination or as part of a voluntary redundancy plan. A provision is recorded for termination compensation. The commitment is valued on the basis of the entitlements earned by all working employees, mainly according to employee turnover, the estimated future salary of beneficiaries at the time they leave the Company, including social security contributions where applicable, and mortality tables (INSEE TH/TF00(02)). A net present value is calculated for compensation payable more than 12 months after the reporting date.

Post-employment benefits

Post-employment benefits for employees include retirement compensation, pensions and benefits for pensioners.

The pension plan for contracted staff is a scheme known as a "defined contribution scheme". Such schemes are based on payments to independent bodies that are responsible for paying the amounts

due to employees, thus releasing the employer from any subsequent obligation. Therefore, once the contributions have been paid, no liability or commitment is shown in the Group's financial statements. Contributions paid to independent bodies are expensed in the period concerned.

A provision is recorded in balance sheet liabilities for Group employee commitments that are not covered by contributions that are expensed and paid to retirement or insurance funds, primarily for retirement compensation.

These commitments are valued according to the projected unit credit method, in accordance with IAS 19R. Actuarial appraisals are performed every year.

The appraisal calculations involve taking third-party actuarial economic assumptions into account (discount rates, inflation rates, the rate of increase in pensions, etc.), together with assumptions that are specific to the Group (employee turnover rates, the rate of salary increase, etc.).

The provision recorded on the balance sheet for defined benefit post-employment schemes corresponds to the present value of the commitment at the reporting date, modified for actuarial adjustments and the cost of past services that have not been recognised. Actuarial adjustments are now recognised in comprehensive income and the cost of services recorded in the profit and loss statement. The present value of the commitment is calculated on an annual basis using the projected credit unit method. That value is determined by calculating the net present value of expected future outflows based on the market rate for top-tier corporate bonds, denominated in the currency in which the benefit will be paid. In addition, the term of the bonds selected is close to the average estimated length of the underlying commitment.

The actuarial assumptions used to value employment commitments to employees are reviewed and updated once a year at year-end.

The calculations factor in the following assumptions:

- ▶ the likelihood of working employees staying within the Group, life expectancy trends and estimated salary trends;
- ▶ retirement assumptions;
- ▶ discount rates that enable the present value of commitments to be determined. The discount rates used for the 2016 and 2015 actuarial valuations, based on private top-tier bonds, are as follows:

Commitment periods	5 years	10 years	15 years	20 years
2016 discount rate (euro zone)	0.3%	1.1%	1.4%	1.6%
2015 discount rate (euro zone)	0.6%	1.3%	1.9%	2.0%

1.5.12 Non-current assets held for sale and discontinued activities

When the Group decides to sell non-current assets or a group of non-current assets, and when it is highly likely that the sale will occur within 12 months, these assets or group of assets are shown separately on the balance sheet under "Non-current assets held for sale". Any liabilities associated with them are also reported under a specific item, "Debts linked to non-current assets held for sale".

In this context, the assets are no longer depreciated and are valued at the lower of their carrying amount or estimated sale price. Impairment losses on an asset or a group of assets held for sale are recognised in the income statement as an impairment that is reversible until the disposal date.

Financial instruments continue to be measured using the IAS 39 accounting principles. Securities classified as available-for-sale financial assets and which are held for sale continue to be valued at their year-end market value, and changes in fair value, with the

exception of impairment, are recorded under a separate item in equity (see Note 1.5.2.4).

1.5.13 Use of estimates in the preparation of the financial statements

The preparation of the financial statements involves making assumptions and estimates that may or may not prove accurate in the future. These estimates, which are based on the information available at the reporting date, call upon the judgement of managers and the parties involved in preparing the financial statements, particularly where assessing the fair value of financial instruments is concerned.

Future achievements depend on many factors: fluctuations in interest and foreign exchange rates, the economic environment, changes in regulations or legislation, etc., which means that the final outcome of the transactions concerned may differ from these estimates and have an impact on the financial statements.

The main valuation processes that require the use of assumptions and estimates:

- ▶ the valuation of financial instruments not listed on organised markets involves the use of models based on observable market data for most OTC instruments. The determination of the value of certain complex instruments that are not traded on an active market is based on valuation techniques which, in certain cases, rely on parameters that are deemed to be non-observable;
- ▶ the determination of the market value of unlisted equity investments classified as "Assets available for sale";
- ▶ the valuation of financial assets and liabilities recognised at cost and for which fair value information must be provided in the notes to the financial statements;
- ▶ credit risk valuations: provisions calculated on a portfolio basis make specific use of estimates on the probability of default, and general use of expert judgements;
- ▶ calculations relating to expenses linked to future employee benefits are based on discount rate assumptions, employee turnover and salary trend assumptions;
- ▶ the valuation of provisions other than those linked to credit risk is also, by its nature, subject to estimates, as it involves liabilities where the maturity or amount is not accurately determined, and where it is likely or certain that there will be an outflow of funds for the benefit of a third party, with no consideration in an amount that is at least equivalent expected from that beneficiary. Notably, the valuation of the home savings provision uses assumptions of changes in customer behaviour based on historical observations which are not necessarily an accurate guide to the future;
- ▶ the value of goodwill recognised when business combinations occur;
- ▶ performing goodwill impairment tests involves a certain number of assumptions;
- ▶ assessing the effectiveness of hedges in place requires the use of assumptions and estimates of their impact on the hedging;
- ▶ valuing commitments to buy out minority shareholders;
- ▶ the determination of insurance companies' underwriting provisions.

NOTE 2 NOTES TO THE BALANCE SHEET

2.1 Cash and central banks

(€ '000s)	31.12.2016	31.12.2015
Cash	814,029	960,805
Central banks	1,918,015	850,826
CASH AND CENTRAL BANKS	2,732,044	1,811,631

2.2 Financial assets and liabilities at fair value through profit or loss

Assets and liabilities at fair value through profit and loss

(€ '000s)	31.12.2016			31.12.2015		
	Transaction	Fair value option	TOTAL	Transaction	Fair value option	TOTAL
Government paper and similar securities	722,554	-	722,554	225,651	-	225,651
Bonds and other fixed-income securities	11,030,946	-	11,030,946	10,180,361	-	10,180,361
Equities and other variable income securities	44,358	-	44,358	74,227	-	74,227
Financial assets at fair value through profit or loss	11,797,858	-	11,797,858	10,480,239	-	10,480,239
Debt securities	-	4,548	4,548	-	4,601	4,601
FINANCIAL LIABILITIES AT FAIR VALUE THROUGH PROFIT OR LOSS	-	4,548	4,548	-	4,601	4,601

Derivatives held for transaction purposes

(€ '000s)	31.12.2016		31.12.2015	
	Assets	Liabilities	Assets	Liabilities
Interest rate derivatives	504,916	500,638	546,240	558,963
Credit derivatives	-	3,954	-	1,845
Exchange rate derivatives	22,809	60,435	2,480	55,695
Other derivative instruments	4,318	30,520	6,315	36,352
TRADING DERIVATIVES AT FAIR VALUE THROUGH PROFIT OR LOSS	532,043	595,547	555,035	652,855

(€ '000s)	31.12.2016		31.12.2015	
	Assets	Liabilities	Assets	Liabilities
TOTAL ASSETS AND LIABILITIES AT FAIR VALUE THROUGH PROFIT OR LOSS	12,329,901	600,095	11,035,274	657,456

(€ '000s)	31.12.2016		31.12.2015	
	Positive fair value	Negative fair value	Positive fair value	Negative fair value
Conditional transactions	4,318	30,520	6,315	36,352
Interest rate options	4,318	30,520	6,315	36,352
Other derivatives	527,725	565,027	548,720	616,503
Exchange rate contract	22,809	60,435	2,480	55,695
Interest rate swaps	504,916	500,638	546,240	558,963
Credit derivatives	-	3,954	-	1,845
TOTAL	532,043	595,547	555,035	652,855

2.3 Hedging derivatives

Fair value hedging derivatives

(€ '000s)	31.12.2016		31.12.2015	
	Assets	Liabilities	Assets	Liabilities
Interest rate derivatives	1,559,775	878,706	1,126,120	310,339
Exchange rate derivatives	1	35,401	-	-
Equity and equity-index derivatives	-	-	56	-
FAIR VALUE HEDGING DERIVATIVES	1,559,776	914,107	1,126,176	310,339

(€ '000s)	Hedging derivatives		
	Notional amount	Positive fair value	Negative fair value
Rates cap	573,206	1,597	-
Interest rate swaps	39,066,431	1,558,178	878,706
Currency swaps	347,811	1	35,401
TOTAL	39,987,448	1,559,776	914,107
Reminder Total 31 December 2015	34,003,540	1,126,120	310,339

Cash flow hedge derivatives

(€ '000s)	31.12.2016		31.12.2015	
	Assets	Liabilities	Assets	Liabilities
Interest rate derivatives	17,725	-	102,391	15,719
CASH FLOW HEDGE DERIVATIVES	17,725	-	102,391	15,719

(€ '000s)	Hedging derivatives		
	Notional amount	Positive fair value	Negative fair value
Interest rate swaps	700,000	17,725	-
TOTAL	700,000	17,725	-
Reminder Total 31 December 2015	4,708,164	102,391	15,719

(€ '000s)	31.12.2016		31.12.2015	
TOTAL HEDGING DERIVATIVES	1,577,501	914,107	1,228,567	326,058

2.4 Available-for-sale financial assets

(€ '000s)	31.12.2016	31.12.2015
Government paper and similar securities	7,526,356	3,165,108
Bonds and other fixed-income securities	10,014,086	10,837,669
Equities and other variable income securities	1,220,049	1,376,546
Non-consolidated equity investments	118,991	231,177
AVAILABLE-FOR-SALE FINANCIAL ASSETS	18,879,482	15,610,500
<i>Including net unrealised gains and losses on fixed-income securities recorded in reserves</i>	246,649	18,118
<i>Including net unrealised gains and losses on variable-income securities recorded in reserves</i>	53,899	162,899

Details of non-consolidated equity investments

(€ '000s)	31.12.2016					31.12.2015
	Book value of securities	Related advances & receivables	Impairment charges	Net value	% interest held	Net value of securities
Visa Inc ⁽¹⁾	-	-	-	-	ND	103,649
Crédit Logement	91,045	-	-	91,045	6%	98,102
Mandarine Gestion	3,948	-	-	3,948	15%	3,640
Bpifrance Financement	4,462	-	-	4,462	0%	4,469
Transactis	2,474	-	-	2,474	50%	2,474
Titres cadeaux SAS	2,493	-	(293)	2,200	50%	2,200
EPF	1,339	-	(1,339)	-	6%	1,339
STET	6,917	-	-	6,917	5%	6,917
LBP Protection	2,183	-	-	2,183	100%	0
Other	6,499	500	(1,237)	5,762		8,387
TOTAL EQUITY INVESTMENTS AND CONSOLIDATABLE ADVANCES	121,360	500	(2,869)	118,991		231,177

(1) Visa Europe shares were disposed of to Visa Inc. The transaction generated a capital gain of €106.8 million posted in profit for the period.

Non-consolidated equity investments that are not listed on an active market and for which fair value cannot be assessed on a reliable basis are valued at cost. These investments stood at €21,905 thousand as at 31 December 2016 as against €26,479 thousand as at 31 December 2015.

2.5 Loans and receivables from financial institutions and similar

(€ '000s)	31.12.2016	31.12.2015
Current accounts in debit	190,726	196,298
Accounts and loans	82,712,054	80,909,917
Securities received under repurchase agreements	765,380	559,073
Subordinated and participating loans	190,186	190,216
Impairment charges	-	-
Accounts and loans – credit institutions and similar	83,858,346	81,855,504
SECURITIES EQUIVALENT TO LOANS AND RECEIVABLES	603,029	1,246,357
LOANS AND RECEIVABLES FROM FINANCIAL INSTITUTIONS AND SIMILAR	84,461,375	83,101,861

The Livret A, the Sustainable Development account (LDD) and the National Savings account (LEP) funds centralised in the Caisse des Dépôts et Consignations (CDC) and shown on the "Accounts and Loans" line amounted to €70,652 million as at 31 December 2016, compared with €75,294 million as at 31 December 2015.

2.6 Loans and receivables – customers

(€ '000s)	31.12.2016	31.12.2015
Current accounts in debit – Customers*	759,342	863,909
Factoring	817,906	146,271
Term loans to financial customers	184,412	-
Short-term credit facilities	4,931,664	4,552,688
Home loans	55,948,430	54,213,869
Corporate loans	5,925,845	3,560,245
Loans to the local public sector	5,678,991	4,495,047
Other customer loans	65,441	67,308
Securities received under repurchase agreements	806,660	3,125,977
Impairment charges	(505,419)	(439,498)
Loans and receivables customers	74,613,272	70,585,816
Capital lease transactions	2,050,516	1,568,401
Impairment charges	(10,624)	(1,651)
Capital lease transactions	2,039,892	1,566,750
Securities equivalent to loans and receivables	2,130,827	1,475,748
Impairment charges	-	-
Securities equivalent to loans and receivables	2,130,827	1,475,748
LOANS AND RECEIVABLES - CUSTOMERS	78,783,991	73,628,314

* Deferred payment cards are included in current accounts in debit.

Capital lease transactions

(€ '000s)	31.12.2016	31.12.2015
Amount of gross investments	1,936,584	1,702,470
Less than 1 year	261,911	184,075
Between 1 and 5 years	705,167	553,591
More than 5 years	969,506	964,803
Discounted value of minimum payments receivable	1,534,493	1,460,365
Less than 1 year	210,598	146,666
Between 1 and 5 years	605,488	449,906
More than 5 years	718,407	863,793
Unearned financial income	161,584	137,167
Unguaranteed residual values accruing to the lessor	240,507	219,418

2.7 Impairment of assets

(€ '000s)	31.12.2015	Provisions	Reversals	Discount	Other	31.12.2016
Loans and receivables customers	(441,149)	(249,554)	170,768	4,141	(249)	(516,043)
<i>including collective provisions</i>	(48,774)	(30,522)	33,530	270	-	(45,496)
Assets available for sale	(15,935)	(3,302)	3,707	-	721	(14,809)
<i>including equity investments</i>	(1,212)	(1,969)	121	-	191	(2,869)
Other impairment charges ⁽¹⁾	(8,194)	(7,806)	11,471	-	1	(4,528)
IMPAIRMENT OF ASSETS	(465,278)	(260,662)	185,946	4,141	473	(535,380)

(1) Other impairment charges primarily comprise impairment losses on doubtful insurance premiums

2.8 Financial assets held to maturity

(€ '000s)	31.12.2016	31.12.2015
Government paper and similar securities	19,884,925	21,777,296
Bonds and other fixed-income securities	2,385,789	2,380,308
FINANCIAL ASSETS HELD TO MATURITY	22,270,714	24,157,604

2.9 Current and deferred tax assets and liabilities

(€ '000s)	31.12.2016	31.12.2015
Deferred tax assets	84,450	296,287
Other tax receivables	339,671	229,206
Tax assets	424,121	525,493
Deferred tax liabilities	123,126	127,620
Other tax payables	17,489	13,787
Tax liabilities	140,615	141,407

Deferred tax assets primarily involve the home-savings provision, temporary differences attached to negative swap fair values and on the spreading of loan commissions at the EIR.

Tax assets are restricted to the capacity of each tax entity to recover them in the near future; deferred tax assets on unrecognised tax losses stand at €50 million.

Deferred taxes materialising in 2020 and beyond were recorded at a rate of 28.92%, in accordance with Article 11 of the 2017 Finance Act.

Breakdown of deferred taxes by type

(€ '000s)	31.12.2015	Net profit	Equity	Other	Changes in scope	31.12.2016
Home-savings provisions	173,536	(67,525)	-	-	-	106,011
Retirement provisions	6,161	1,527	-	(185)	-	7,504
Other non-deductible provisions	67,426	19,040	-	507	-	86,973
Other sources of timing differences	79,728	(23,811)	-	10,882	-	66,799
Deferred taxes arising from timing differences	326,851	(70,768)	-	11,204	-	267,287
Fair value of financial instruments and actuarial adjustments	(158,184)	15,693	(164,035)	563	-	(305,963)
Recycling of the deferred tax on coupon payments on subordinated debt into reserves	-	(22,035)	22,035	-	-	-
Deferred taxes relating to IFRS valuation methods	(158,184)	(6,342)	(142,000)	563	-	(305,963)
NET DEFERRED TAX	168,667	(77,110)	(142,000)	11,767	-	(38,676)

2.10 Accruals & and other assets

(€ '000s)	31.12.2016	31.12.2015
Prepaid expenses and income receivable	295,479	267,706
Collection accounts	33,868	13,146
Other accruals	873,724	1,042,059
Accruals	1,203,071	1,322,911
Other debtors and guarantee deposits paid	1,733,809	1,427,536
Securities transaction settlement accounts	3,740	3,025
Impairment charges	(4,528)	(8,194)
Other assets	1,733,021	1,422,367
Reinsurance companies' share of underwriting provisions	3,609	4,460
Other insurance assets	472,787	413,403
Other insurance assets and reinsurance companies' share of underwriting provisions	476,396	417,863
ACCRUALS AND OTHER ASSETS	3,412,488	3,163,141

2.11 Investments in associates

(€ '000s)	31.12.2016		31.12.2015	
	Valuation of associates consolidated using the equity method	Of which profit	Valuation of associates consolidated using the equity method	Of which profit
Groupe CNP Assurances	3,175,682	189,187	2,917,881	206,793
AEW Europe	50,978	1,794	-	-
INVESTMENTS IN ASSOCIATES	3,226,660	190,981	2,917,881	206,793

The data published by the CNP Assurances Group show a balance sheet total of €419,130.3 million and revenue of €31,536.2 million. Capitalisation stood at €12,084.5 million at 31 December 2016, based on 686,618,477 shares in circulation and a closing price of €17.60 per share.

Goodwill on AEW Europe is included in the share of profits of equity associates, according to current accounting principles.

2.12 Property, plant and equipment and intangible assets

(€ '000s)	31.12.2016			31.12.2015		
	Gross amount	Depreciation, amortisation & impairment	Net amount	Gross amount	Depreciation, amortisation & impairment	Net amount
Software and IT development costs	1,106,301	(854,779)	251,522	992,151	(779,312)	212,839
Intangible assets in progress	112,281	-	112,281	113,837	-	113,837
Other intangible assets	177,842	(22,189)	155,653	189,781	(16,892)	172,889
Intangible assets	1,396,424	(876,968)	519,456	1,295,769	(796,204)	499,565
Land	170,158	(1,696)	168,462	170,158	(1,696)	168,462
Buildings	529,007	(211,750)	317,257	522,735	(201,390)	321,345
Plant, equipment and tools	116,078	(73,481)	42,597	122,049	(76,543)	45,506
IT hardware	5,794	(4,867)	927	5,281	(4,315)	966
Property, plant and equipment in progress	22,184	-	22,184	8,785	-	8,785
Other property, plant and equipment	522,321	(411,848)	110,473	555,066	(443,100)	111,966
Property, plant and equipment	1,365,542	(703,642)	661,900	1,384,074	(727,044)	657,030
TOTAL INTANGIBLE ASSETS AND PROPERTY, PLANT AND EQUIPMENT	2,761,966	(1,580,610)	1,181,356	2,679,843	(1,523,248)	1,156,595

2.13 Goodwill

Movements during the period

(€ '000s)	31.12.2016	31.12.2015
Net value as at 1 January	190,510	146,608
Goodwill arising on investments	-	43,902
Disposals ⁽¹⁾	(30,283)	-
Impairments during the period	-	-
Other movements	-	-
Net book value as at 31 December	160,227	190,510

(1) Disposal of Ciloger

Breakdown of goodwill

(€ '000s)	31.12.2016	31.12.2015
Tocqueville Finance Group	27,498	27,498
La Banque Postale Asset Management	38,429	24,810
La Banque Postale Prévoyance	94,300	94,300
Easybourse	4,722	4,722
Ciloger ⁽¹⁾	-	30,283
Fédéris ⁽²⁾	-	13,619
Total goodwill (gross)	164,949	195,232
Impairment of goodwill	(4,722)	(4,722)
TOTAL GOODWILL (NET)	160,227	190,510

(1) Disposal of Ciloger

(2) Absorption of Fédéris by LBP Acid Management

2.14 Liabilities due to credit institutions and similar

(€ '000s)	31.12.2016	31.12.2015
Current accounts in credit	670,827	345,730
Accounts and loans	2,652,095	1,953,126
Securities assigned under repo agreements	15,652,896	13,421,589
Other amounts payable	27,458	20,787
LIABILITIES DUE TO CREDIT INSTITUTIONS AND SIMILAR	19,003,276	15,741,232

2.15 Liabilities to customers

(€ '000s)	31.12.2016	31.12.2015
Livret A	59,574,992	60,176,604
Home savings schemes and accounts (Compte épargne logement)	31,947,439	30,565,002
Other special accounts	21,743,714	21,666,528
Special scheme savings accounts	113,266,145	112,408,134
Current accounts in credit – customers	58,865,617	54,012,435
Securities loaned	2,744,424	3,448,796
Accounts in credit	389,318	1,082,020
Customer financial borrowings	129,580	100,203
Other amounts payable	599,323	719,563
Liabilities to customers	62,728,262	59,363,017
CUSTOMER TRANSACTIONS	175,994,407	171,771,151

2.16 Debt securities

(€ '000s)	31.12.2016	31.12.2015
Certificates of deposit and treasury bills	6,149,043	4,834,308
Bond borrowings ⁽¹⁾	4,333,117	4,219,612
Other debt securities	1,368	663
DEBT SECURITIES	10,483,528	9,054,583

(1) Including €3,565 million of covered bonds issued by La Banque Postale Home Loan SFH compared to €3,048 million at 31 December 2015.

2.17 Accruals and other liabilities

(€ '000s)	31.12.2016	31.12.2015
Expenses payable and advances	521,555	421,403
Other accruals	1,487,544	1,707,576
Accruals	2,009,099	2,128,979
Securities-related payables	302,171	578,901
Guarantee deposits received	1,508,563	1,313,470
Other payables	970,926	994,482
Securities transaction settlement accounts	7,837	9,162
Other liabilities	2,789,497	2,896,015
Other insurance liabilities	166,736	174,165
Other insurance liabilities	166,736	174,165
ACCRUALS AND OTHER LIABILITIES	4,965,332	5,199,159

2.18 Underwriting provisions of insurance companies

(€ '000s)	31.12.2016	31.12.2015
Life insurance underwriting provisions	778,580	728,273
Non-life insurance underwriting provisions	506,057	437,200
Equalisation reserves	15,746	14,660
Other provisions	819,902	728,688
UNDERWRITING PROVISIONS	2,120,285	1,908,821

(€ '000s)	31.12.2016	31.12.2015
Deferred participating liabilities in profits	110,917	99,890
SHADOW ACCOUNTING	110,917	99,890

The provision for deferred profit-sharing is the result of the application of "shadow accounting": it represents the share of policy-holders, of life insurance subsidiaries, in unrealised gains and losses and impairment charged on assets, when the remuneration of contracts is tied to their returns.

These are provisions built up by La Banque Postale Prévoyance and La Banque Postale IARD.

2.19 Provisions

(€ '000s)	31.12.2015	Provisions	Reversals	Unused reversals	Other	31.12.2016
Provisions for employee benefits	18,564	2,374	(321)	(39)	5,540	26,118
Provisions for risk on home savings accounts ⁽¹⁾	503,996	-	(141,709)		-	362,287
Provisions for employee litigation and employee benefits expenses	6,555	5,993	(3,351)	(1,106)	(50)	8,041
Other provisions	241,408	59,077	(9,804)	(96,518)	(419)	193,744
PROVISIONS	770,523	67,444	(155,185)	(97,663)	5,071	590,190

(1) LBP reviewed the parameters of the savings component of the calculation model for the savings provision

Home savings information (in millions of euros)

Generations	2015 Provision	Deposits collected	Loans granted in respect of PEL and CEL accounts	2016 provision	Net movements
More than 10 years	100	5,873		73	(27)
4 to 10 years	126	10,721		104	(22)
Less than 4 years	246	10,762		166	(80)
Total Home Loan Savings plan	472	27,356	53	343	(129)
Total Home Loan Savings account	32	4,590	368	19	(13)
TOTAL	504	31,946	421	362	(142)

2.20 Subordinated debt

(€ '000s)	31.12.2016	31.12.2015
Subordinated debt ⁽¹⁾	3,780,398	3,189,017
TOTAL	3,780,398	3,189,017

(€ '000s)	Date of issue	Date of maturity	Currency of origin	31.12.2016
Long-term subordinated debt ⁽²⁾	30.11.2010	30.11.2020	EUR	750,000
Long-term subordinated debt ⁽²⁾	23.04.2014	23.04.2026	EUR	750,000
Long-term subordinated debt ⁽³⁾	19.11.2015	19.11.2027	EUR	750,000
Long-term subordinated debt ⁽⁴⁾	09.06.2016	09.06.2028	EUR	500,000
Long-term subordinated debt ⁽⁴⁾	05.10.2016	05.10.2028	EUR	100,000
Perpetual subordinated debt ⁽⁵⁾	13.12.2013		EUR	800,000
TOTAL				3,650,000

(1) Balance sheet value including hedging effect and accrued interest.

(2) The issue includes a mechanism for conversion to senior debt with a 30 basis point reduction in the coupon in the event that the instrument is disqualified by the regulatory authorities.

(3) La Banque Postale issued €750 million in Tier II bonds in 2015.

(4) See Highlights for the period.

(5) Issue of perpetual debt convertible into shares and repayable in the event of tax, accounting or regulatory change or changes before the first call date. This debt is admitted by regulation in core equity capital (Tier 1). Coupons are payable annually.

2.21 Breakdown of balance sheet items by residual maturity

Introduction: The note on liquidity risk is contained in the Risk Management section of the Registration Document.

The disclosures required by IFRS 7 included in this section – and which are an integral part of the notes to the consolidated financial statement – have been approved by the statutory auditors.

La Banque Postale's structural liquidity gap complies with its one-, three- and five-year limits (see Registration Document, Chapter on "Financial management risks", "Liquidity risk exposure"), reflecting excess liquidity of €14 billion, €16.6 billion and €10.6 billion, respectively.

The ratio of financial liabilities to total liabilities was 14% as at the end of 2016 (versus 12% at end 2015).

Almost 78% of these financial liabilities mature in less than one year (issue of certificates of deposit, repurchase agreements and unsecured borrowing) and are covered by a larger liquidity reserve arising in particular from the high-quality financial assets portfolio mentioned above.

The financial commitments (€20 billion) mainly have an overnight drawdown date.

Regarding transactions with the Banque de France, La Banque Postale deposits funds with the Banque de France to constitute mandatory reserves, and marginally, its short-term excess liquidity (€1.9 billion as at 31 December 2016), while it gathers the regulatory minimum enabling the market settlement systems to operate via the 3G pool.

The tables below show the maturity of the Group's financial assets and liabilities according to their contractual maturity date.

Fixed-income securities, loans and debt are broken down according to their contractual maturity date.

Equity investments and UCITs have been entered in the "Indefinite" column.

Overnight receivables and debt are shown in the "Less than three months" column.

The amounts presented in this schedule correspond to those on the balance sheet (including the effects of discounting).

Balance sheet items by remaining periods to maturity as at 31 December 2016

(€ '000s)	Less than 3 months	3 months to 1 year	1 to 5 years	More than 5 years	Indefinite	TOTAL
ASSETS						
Cash and central banks	2,732,044	-	-	-	-	2,732,044
Financial held-for-trading assets	3,906,493	7,878,693	151,098	393,617	-	12,329,901
Financial assets at fair value through profit and loss	-	-	-	-	-	-
Hedging derivatives – Assets	12,581	103	238,006	1,326,811	-	1,577,501
Available-for-sale financial assets	273,792	932,898	7,528,956	8,805,461	1,338,375	18,879,482
Loans and receivables – credit institutions	81,725,444	329,800	1,125,682	1,280,449	-	84,461,375
Loans and receivables customers	5,379,759	6,278,958	27,381,378	39,743,896	-	78,783,991
Revaluation differences on interest rate risk hedged portfolios – Assets	1,341	1,970	76,413	57,835	-	137,559
Financial assets held to maturity	446,444	1,694,997	13,640,888	6,488,385	-	22,270,714
TOTAL	94,477,898	17,117,419	50,142,421	58,096,454	1,338,375	221,172,567
LIABILITIES						
Central Banks	-	-	-	-	-	-
Financial held-for-trading liabilities	28,627	65,253	126,660	375,007	-	595,547
Financial liabilities at fair value through profit and loss	-	-	4,548	-	-	4,548
Hedging derivatives – Liabilities	8,386	5,181	177,425	723,115	-	914,107
Liabilities due to credit institutions	14,668,817	3,786,570	271,276	276,613	-	19,003,276
Liabilities to customers	174,127,180	404,495	1,051,894	410,838	-	175,994,407
Debt securities	3,119,060	3,313,893	1,324,325	2,726,250	-	10,483,528
Subordinated debt	13,325	-	831,448	2,135,625	800,000	3,780,398
Revaluation differences on interest rate risk hedged portfolios – Liabilities	1,596	-	8,227	1,040,682	-	1,050,505
TOTAL	191,966,991	7,575,392	3,795,803	7,688,130	800,000	211,826,316

Balance sheet items by remaining periods to maturity as at 31 December 2015

(€ '000s)	Less than 3 months	3 months to 1 year	1 to 5 years	More than 5 years	Indefinite	TOTAL
ASSETS						
Cash and central banks	1,811,631	-	-	-	-	1,811,631
Financial held-for-trading assets	5,117,316	5,371,347	233,630	312,981	-	11,035,274
Financial assets at fair value through profit and loss	-	-	-	-	-	-
Hedging derivatives – Assets	23,789	29,352	228,266	947,160	-	1,228,567
Available-for-sale financial assets	411,359	876,810	8,298,122	4,425,142	1,599,067	15,610,500
Loans and receivables – credit institutions	80,057,197	312,499	1,310,542	1,421,623	-	83,101,861
Loans and receivables customers	6,487,145	5,245,788	21,251,201	40,577,433	66,747	73,628,314
Revaluation differences on interest rate risk hedged portfolios – Assets	930	4,938	95,652	76,738	-	178,258
Financial assets held to maturity	923,669	1,950,615	10,501,933	10,781,387	-	24,157,604
TOTAL	94,833,036	13,791,349	41,919,346	58,542,464	1,665,814	210,752,009
LIABILITIES						
Central Banks	-	-	-	-	-	-
Financial held-for-trading liabilities	87,099	22,879	204,752	338,125	-	652,855
Financial liabilities at fair value through profit and loss	-	-	4,601	-	-	4,601
Hedging derivatives – Liabilities	11,577	26,542	171,872	116,067	-	326,058
Liabilities due to credit institutions	12,310,303	2,295,106	891,236	244,587	-	15,741,232
Liabilities to customers	159,910,249	1,820,433	9,245,532	794,937	-	171,771,151
Debt securities	3,295,256	2,111,544	1,470,389	2,177,394	-	9,054,583
Subordinated debt	-	5,167	849,893	1,533,957	800,000	3,189,017
Revaluation differences on interest rate risk hedged portfolios – Liabilities	-	202	6,032	698,085	-	704,319
TOTAL	175,614,484	6,281,873	12,844,307	5,903,152	800,000	201,443,816

NOTE 3 NOTES TO THE PROFIT AND LOSS STATEMENT

3.1 Interest income and expense and similar items

(€ '000s)	31.12.2016		31.12.2015	
	Income	Expenses	Income	Expenses
Interest and similar income on cash and inter-bank transactions	1,156,632	(47,450)	1,386,179	14,665
of which negative interest ⁽¹⁾	75,240	(35,034)	23,524	(5,003)
Interest and similar income on customer transactions	2,117,800	(1,364,105)	2,178,189	(1,539,309)
of which negative interest ⁽¹⁾	11,925	(4,667)	4,150	(1,612)
Interest on hedged transactions	311,567	(108,327)	275,607	(85,743)
Interest on assets available for sale and held to maturity	905,297	-	1,010,959	-
Interest on debt securities	397	(143,940)	-	(115,644)
Interest income and expense	4,491,693	(1,663,822)	4,850,934	(1,726,031)
NET INTEREST INCOME AND EXPENSE	2,827,871		3,124,903	

(1) Negative interest income and expense were separated, including at 31.12.2015.

Interest income and remuneration received in respect of the centralisation of the Livret A, the Sustainable Development account and the National Savings account (LEP) amounted to €1,024 million as at 31 December 2016, compared with €1,329 million as at 31 December 2015.

3.2 Commissions

(€ '000s)	31.12.2016		31.12.2015	
	Income	Expenses	Income	Expenses
Commissions on cash and inter-bank transactions	51,227	(3,300)	34,581	(3,308)
Commissions on customer transactions	1,325,618	(138,298)	1,472,499	(57,169)
Commissions on financial services supplied	722,943	(68,802)	628,633	(146,884)
Commissions on securities transactions	405,283	(17,947)	298,198	(17,665)
Commissions on insurance services supplied	101,463	(56,785)	93,457	(49,917)
Commissions on financial instruments	-	(494)	-	(263)
Other commissions	68,132	(25)	40,420	(33)
Commission income and expenses	2,674,666	(285,651)	2,567,788	(275,239)
NET COMMISSIONS	2,389,015		2,292,549	

3.3 Net gains and losses on financial instruments at fair value through profit or loss

(€ '000s)	31.12.2016	31.12.2015
Net income from financial instrument held for trading (excluding derivatives)	2,545	27,472
Net income from trading derivatives	(16,439)	(103,134)
Net income from the revaluation of hedged items and hedging derivatives	2,085	4,045
Net income from financial assets designated at fair value through profit or loss	50	101
Net income from financial liabilities designated at fair value through profit or loss	(494)	(2,255)
NET GAINS AND LOSSES ON FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH PROFIT AND LOSS	(12,253)	(73,771)

3.4 Net gains and losses on assets available for sale

(€ '000s)	31.12.2016	31.12.2015
Gains on disposals of fixed-income securities	173,949	256,937
Losses on disposals of fixed-income securities	(112,251)	(154,106)
Dividends and similar income	21,841	26,744
Gains on disposals of variable-income securities ⁽¹⁾	147,671	7,467
Losses on disposals of variable-income securities and loss of value	(23,212)	(5,841)
Net gains and losses on disposals of loans and receivables	71	4,281
NET GAINS AND LOSSES ON ASSETS AVAILABLE FOR SALE	208,069	135,482

(1) Of which capital gain of €103.1 million on Visa Europe securities.

3.5 Total income and expenses from other activities

(€ '000s)	31.12.2016		31.12.2015	
	Income	Expenses	Income	Expenses
Income paid-out, re-invoiced expenses and transfers of expenses	13,587	-	24,742	-
Other sundry operating income and expenses	194,616	(270,452)	231,475	(217,951)
Insurance income and expenses	813,169	(548,685)	762,403	(520,946)
Provisions and other operating expenses	26,124	(38,766)	13,791	(27,445)
Income and expenses from other activities	1,047,496	(857,903)	1,032,411	(766,342)
NET INCOME AND EXPENSES FROM OTHER ACTIVITIES	189,593		266,069	

3.6 General operating expenses

(€ '000s)	31.12.2016	31.12.2015
Employee benefits expense	(487,727)	(469,237)
Taxes and duties ⁽¹⁾	(10,528)	(72,095)
External services	(3,720,001)	(3,757,065)
Other expenses	(193,373)	(169,275)
Other general operating expenses	(3,923,902)	(3,998,435)
GENERAL OPERATING EXPENSE	(4,411,629)	(4,467,672)

(1) including the Single Resolution Fund and the Deposit Guarantee and Resolution Fund

3.7 Cost of risk

(€ '000s)	31.12.2016	31.12.2015
Impairments on customer accounts	(249,854)	(347,548)
Reversals of impairment on customer accounts	170,467	276,756
Losses on unrecoverable impaired receivables	(88,052)	(126,024)
Losses on unrecoverable non-provisioned receivables	(21,451)	(23,922)
Recovery of amortised receivables	5,883	5,806
Reversals of impairment on doubtful financial assets	121	-
Provisions to/reversals from other impairments	1,672	33,994
COST OF RISK	(181,214)	(180,938)

3.8 Gains and losses on other assets

(€ '000s)	31.12.2016	31.12.2015
Capital gains or losses on sale of intangible & tangible assets	(2,353)	(1,086)
Gains and losses on consolidated equity interests	417	16,846
GAINS AND LOSSES ON OTHER ASSETS	(1,936)	15,760

3.9 Change in value of goodwill

There was no change to the value of goodwill during the 2016 financial year.

3.10 Income tax and deferred taxes

(€ '000s)	31.12.2016	31.12.2015
Current tax	(211,281)	(378,859)
Deferred tax	(77,110)	28,871
TAXES	(288,391)	(349,988)

Deferred tax is generally recognised at a rate of 34.43% for maturities to 31 December 2019. Deferred taxes materialising in 2020 and beyond were recorded at a rate of 28.92%, in accordance with Article 11 of the 2017 Finance Act.

Breakdown of the tax charge

(€ '000s)	31.12.2016	31.12.2015
Net income, Group share	693,825	706,811
Non-controlling interests	40,460	36,870
Share of profits of equity associates	(190,981)	(206,793)
Income tax expense	288,391	349,988
Accounting result before tax	831,695	886,876
	34.43%	38.00%
Theoretical income tax expense	(286,353)	(337,013)
Impact of permanent timing differences	34,646	(240)
Impact of tax rates	(22,442)	(9,227)
Impact of dividend taxation	(13,602)	(6,709)
Other impacts	(641)	3,200
RECOGNISED INCOME TAX EXPENSE	(288,391)	(349,988)
	34.68%	39.46%

NOTE 4 COMMITMENTS GIVEN AND RECEIVED

Contractual value of commitments given and received:

(€ '000s)	31.12.2016	31.12.2015
Financing commitments		
To credit institutions and similar	449,555	137,351
To customers	19,637,367	17,132,244
Total financing commitments given	20,086,922	17,269,595
From credit institutions and similar	1,806,932	1,472,010
From customers	1,500,012	900,717
Total financing commitments received	3,306,944	2,372,727
Guarantees		
To credit institutions and similar	301,171	291,547
To customers ⁽¹⁾	2,234,268	2,774,973
Total guarantees given	2,535,439	3,066,520
From credit institutions and similar	29,093,928	27,924,489
From customers	7,857,843	10,278,875
Total guarantees received	36,951,771	38,203,364
Commitments on securities		
Deliverable securities	2,063,344	1,404,646
Total commitments given on securities	2,063,344	1,404,646
Securities receivable	339,744	387,001
Total commitments received on securities	339,744	387,001
Other commitments		
Other commitments given	8,252,700	7,345,980
Other commitments received	1,425,694	632,792

(1) Including the capital and performance guarantees granted to holders of UCITS units issued by Group entities.

Crédit Logement commitments

La Banque Postale has committed to maintain Crédit Logement's basic equity capital at a level equivalent to their holding in the company, i.e. 6.00%, so that the company can maintain its solvency ratio. La Banque Postale has agreed to replenish Crédit Logement's mutual guarantee fund if required, which underwrites borrower defaults on loans secured by the company. This commitment,

which is equivalent to the portion of amounts outstanding granted by La Banque Postale, stood at €289 million as at 31 December 2016. This amount at 31 December 2015 was €292 million.

Moreover, the guarantees received from credit institutions are primarily made up of guarantees received from Crédit Logement.

Fair value of assets received as guarantee and which are available to the Group

The fair value of securities acquired under repo agreements was €1,572 million at 31 December 2016, versus €3,685 million as at 31 December 2015.

Margin calls on repo securities and derivatives amounted to €1,505 million as at 31 December 2016, compared with €1,303 million as at 31 December 2015.

Other commitments given

Mainly the amount of shares pledged for the benefit of the European Central Bank as part of the financing commitment received from the latter (financing 3G). This guarantee commitment given is recorded at the market value of pledged securities before taking into account different haircuts for securities and receivables into account. The commitment given (€1,644 million) is in return for a financing commitment received (€1,583 million) from the Banque de France (3G funding).

Other commitments also include €6,474 million in home loans pledged to cover the bond issues launched by the Group's home loans company (La Banque Postale Home Loan SFH).

Other commitments received

La Banque Postale received €292 million in securities as collateral at 31 December 2016, as against €632 million at 31 December 2015.

NOTE 5 FAIR VALUE OF BALANCE SHEET ITEMS

5.1 Fair value of balance sheet items recognised at amortised cost

The table below shows the fair value of balance sheet items recognised at amortised cost.

(€ '000s)	31.12.2016		31.12.2015	
	Carrying amount	Fair value	Carrying amount	Fair value
ASSETS				
Loans and receivables – credit institutions	84,461,375	84,498,930	83,101,861	82,435,924
Loans and receivables customers	78,783,991	82,503,722	73,628,314	76,159,200
Financial assets held to maturity	22,270,714	25,347,955	24,157,604	27,132,874
LIABILITIES				
Liabilities due to credit institutions	19,003,276	18,851,002	15,741,232	15,147,640
Liabilities to customers	175,994,407	178,965,022	171,771,151	172,193,943
Debt securities	10,483,528	10,400,522	9,054,583	9,052,912
Subordinated debt	3,780,398	3,780,398	3,189,017	3,319,959

Fair value of loans

The scope selected includes all loans drawn on La Banque Postale and shown on its balance sheet. Loans granted but not yet drawn are not taken into account: the assumption is that since their rates were recently set, their value should not diverge from the nominal amount loaned.

The main assumptions underlying the determination of fair value are as follows for the loans marketed by the Bank:

- ▶ the fair value of current account overdrafts is presumed to correspond to the book value due to their short duration (the customer is required to return the account to credit within one month);
- ▶ the fair value of loans is determined on the basis of internal models, which consist in discounting future recoverable capital and interest flows over the residual term that are discounted based on the rate of internal disposals.

Fair value of deposits

The main underlying assumptions for the calculation are as follows:

- ▶ for deposits on which the interest rate is regulated, Livret B, Livret Jeune, Plan d'Épargne Populaire and term deposit accounts, fair value is assumed to be the carrying amount of the amount outstanding;
- ▶ the fair value of overnight deposits is assumed to correspond to the carrying amount of the amount outstanding, net of the fair cost value of the swaps used to hedge overnight deposits (via the carve-out option).

Held or issued debt instruments

The fair value of listed financial instruments corresponds to the closing price. The fair value of unlisted financial instruments is determined by discounting future cash flows at reporting date market rates.

All these instruments are considered Level 2, the most significant parameters in terms of the market value of these instruments are considered as being indirectly observable.

5.2 Ranking of the financial assets and liabilities recognised on the balance sheet by fair value

Three levels of financial instruments are shown based on the decreasing level of observability of the prices and parameters used for their measurement:

- ▶ level 1: Instruments valued using quoted prices (non-adjusted) in active markets for identical assets or liabilities.

This level primarily includes listed shares and derivatives on organised markets (futures, options, etc.);

- ▶ level 2: Instruments valued according to data other than the prices listed under level 1 and that can be observed for the asset and liability in question, either directly (prices) or indirectly (derivative price data).

These are instruments measured employing valuation techniques that use observable parameters and standard models or instruments that are valued based on similar instruments listed

on an active market. This category includes interest rate swaps, caps, floors, etc.;

- ▶ level 3: Instruments valued using data that are not based on observable market data (non observable data).

This category mainly includes unlisted equity investments.

The market value of unlisted equity investments classified as available-for-sale securities is determined by reference to criteria such as net assets, profitability outlook and discounting of future cash flows. Non-consolidated equity investments whose fair value cannot be assessed on a reliable basis are valued at cost.

The price quoted for an asset held or a liability to be issued is usually the bid price, and it is the ask price for a liability held or an asset to be acquired.

Financial assets

	31.12.2016			31.12.2015		
	Value determined using listed prices on an active market (Level 1)	Valuation technique using observable data (Level 2)	Valuation technique using non-observable data (Level 3)	Value determined using listed prices on an active market (Level 1)	Valuation technique using observable data (Level 2)	Valuation technique using non-observable data (Level 3)
(€ '000s)						
Government paper and similar securities	552,270	170,284	-	225,651	-	-
Bonds and other fixed-income securities	2,694,228	8,336,718	-	2,365,750	7,814,611	-
Equities and other variable income securities	44,358	-	-	74,227	-	-
Financial assets at fair value through profit and loss	3,290,856	8,507,002	-	2,665,628	7,814,611	-
Interest rate derivatives	-	504,916	-	-	546,240	-
Exchange rate derivatives	-	22,809	-	-	2,480	-
Equity and equity-index derivatives	-	4,318	-	-	6,315	-
Transaction derivatives	-	532,043	-	-	555,035	-
Interest rate derivatives	-	1,559,775	-	-	1,126,120	-
Equity and equity-index derivatives	-	-	-	-	56	-
Fair value hedging derivatives	-	1,559,775	-	-	1,126,176	-
Interest rate derivatives	-	17,725	-	-	102,391	-
Cash flow hedge derivatives	-	17,725	-	-	102,391	-
Government paper and similar securities	7,491,245	35,112	-	3,129,746	35,363	-
Bonds and other fixed-income securities	9,794,248	219,838	-	10,556,268	281,399	-
Equities and other variable income securities	747,430	221,040	251,579	902,466	276,601	197,478
Non-consolidated equity investments	-	-	118,992	(1)	-	231,178
Available-for-sale financial assets	18,032,923	475,990	370,571	14,588,479	593,364	428,656

Transfer from level 1 to level 2: €9 million (two fixed-income securities whose prices are no longer representative of a price quoted on the active market).

Transfers from level 2 to level 1: €6 million (one fixed-income security whose transactions now meet the volume and frequency conditions).

Financial liabilities

	31.12.2016			31.12.2015		
	Value determined using listed prices on an active market (Level 1)	Valuation technique using observable data (Level 2)	Valuation technique using non-observable data (Level 3)	Value determined using listed prices on an active market (Level 1)	Valuation technique using observable data (Level 2)	Valuation technique using non-observable data (Level 3)
(€ '000s)						
Debt securities	-	4,548	-	-	4,601	-
Financial liabilities designated at fair value through profit or loss	-	4,548	-	-	4,601	-
Interest rate derivatives	-	500,638	-	-	558,963	-
Exchange rate derivatives	-	60,435	-	-	55,695	-
Other derivative instruments	-	25,388	-	-	28,762	-
Credit derivatives	-	3,954	-	-	1,845	-
Equity and equity-index derivatives	-	5,132	-	-	7,590	-
Trading derivatives	-	595,547	-	-	652,855	-
Financial liabilities at fair value through profit or loss	-	600,095	-	-	657,456	-
Interest rate derivatives	-	878,706	-	-	326,058	-
Exchange rate derivatives	-	35,401	-	-	-	-
Hedging derivatives	-	914,107	-	-	326,058	-

Changes in fair value assigned to Level 3: reconciliation of opening and closing balances

	31.12.2016					
	Financial assets at fair value through profit and loss	Financial assets designated at fair value through profit and loss	Transaction derivatives	Hedging derivatives	Available-for-sale financial assets	Total
(€ '000s)						
OPENING	-	-	-	-	428,656	428,656
Total gains and losses recorded in profit and loss	-	-	-	-	(962)	(962)
Total gains and losses recorded in equity	-	-	-	-	(1,678)	(1,678)
Purchases	-	-	-	-	57,941	57,941
Sales	-	-	-	-	(25,397)	(25,397)
Issues	-	-	-	-	-	-
Redemptions	-	-	-	-	-	-
Transfer to or outside Level 3	-	-	-	-	-	-
Transfer within "Level 3"	-	-	-	-	-	-
Other movements	-	-	-	-	(87,989)	(87,989)
CLOSING	-	-	-	-	370,571	370,571

Available-for-sale financial assets measured at fair value and assigned to Level 3 are non-consolidated equity investments that are not listed on a market and are measured at cost, as well as variable-income securities (primarily venture capital funds and innovation UCITS) and related FGDR/Association certificates.
None.

Measurement of fair value assigned to Level 3: profits and losses for the period recognised in profit or loss

NOTE 6 RECLASSIFICATION OF FINANCIAL ASSETS

The Group took the opportunity to reclassify certain available-for-sale financial assets in the “loans and receivables” category made available by the 13 October 2008 amendment to IAS 39 and IFRS 7. The transfer of a portion of the securities held in the assets available for sale portfolio that no longer displayed the expected liquidity to

the loans and receivables portfolio enables the perception of the way the Bank allocates its resources in the financial statements to be improved.

The net book value and the fair value of securities reclassified at 1st July 2008 became non-material at 31 December 2016.

NOTE 7 OFFSETTING OF FINANCIAL ASSETS AND LIABILITIES

A financial asset and liability are offset and a net balance is shown on the balance sheet, when the Group has a legally enforceable right to offset the amounts recognised, and has the intention either to settle the net amount or to realise the asset and settle the liability simultaneously.

A financial asset and liability covered by master offsetting agreements or similar agreements fulfilling the definition of an enforceable contract (legally enforceable right to offset securities with the same maturity against cash), which can be exercised under all conditions but does not meet the offsetting criteria, are presented as net book value where they are realised with the same legal entity.

The tables below show the amounts of financial assets and liabilities that were offset in the Group's consolidated balance sheet as well as the amounts that could be offset in compliance with the master offsetting agreements or similar agreements, but which are not eligible to be offset in the consolidated financial statements.

The net positions resulting from these offsetting agreements are not intended to measure the Group's exposure to counterparty risk on these financial instruments.

Offsetting of financial assets and liabilities in 2016

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial assets	gross value of financial liabilities	Financial assets presented net	Financial instruments	Cash collateral received	Financial instruments given as guarantee	Net value
(€ '000s)							
Financial instruments at market value through profit and loss	12,329,901		12,329,901	805,403	1,252,330	-	10,272,168
<i>Of which Financial derivatives (includes hedging derivatives)</i>	<i>2,109,544</i>	<i>-</i>	<i>2,109,544</i>	<i>805,403</i>	<i>1,252,330</i>		<i>51,811</i>
Loans and receivables – Customers and credit institutions	83,416,781	4,632,790	78,783,991	515,137	(26,642)	1,081,392	77,214,104
<i>including repurchase transactions</i>	<i>6,202,677</i>	<i>4,632,790</i>	<i>1,569,887</i>	<i>515,137</i>	<i>(26,642)</i>	<i>1,081,392</i>	
Accruals and other assets	3,412,488		3,412,488	6,203			3,406,285
<i>of which guarantee deposits given</i>	<i>7,984</i>		<i>7,984</i>	<i>6,203</i>			<i>1,781</i>
Other assets not offset	135,051,039		135,051,039				135,051,039
TOTAL ASSETS	234,210,210	4,632,790	229,577,420	1,326,743	1,225,688	1,081,392	225,943,597

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial liabilities	Gross value of financial assets offset in the financial statements	Financial liabilities presented net	Financial instruments	Cash collateral paid	Financial instruments given as guarantee	Net value
(€ '000s)							
Financial instruments at market value through profit and loss	914,107		914,107	805,403	664,393	-	(555,689)
<i>Of which Financial derivatives (includes hedging derivatives)</i>	<i>1,509,654</i>		<i>1,509,654</i>	<i>805,403</i>	<i>664,393</i>		<i>39,858</i>
Liabilities due to credit institutions and to customers	180,627,197	4,632,790	175,994,407	515,137	(14,561)	17,881,066	157,612,765
<i>of which repurchase transactions</i>	<i>23,041,875</i>	<i>4,632,790</i>	<i>18,409,085</i>	<i>515,137</i>	<i>(14,561)</i>	<i>17,881,066</i>	<i>27,443</i>
Other debt not offset	42,845,140		42,845,140				42,845,140
TOTAL LIABILITIES	224,386,445	4,632,790	219,753,655	1,320,540	649,832	17,881,066	199,902,217

Offsetting of financial assets and liabilities in 2015

	(a)	(b)	(c) = (a) – (b)	(d)		(e)	(f) = (c) – (d) – (e)
	Gross carrying amount of financial assets	gross value of financial liabilities	Financial assets presented net	Financial instruments	Cash collateral received	Financial instruments given as guarantee	Net value
(€ '000s)							
Financial instruments at market value through profit and loss	11,035,274		11,035,274	540,588	1,223,361		9,271,325
Of which Financial derivatives (includes hedging derivatives)	1,783,603		1,783,603	540,588	1,223,361	-	19,654
Loans and receivables – Customers and credit institutions	160,654,250	3,924,075	156,730,175	118,424	37,411	3,526,423	153,047,917
including repurchase transactions	7,606,389	3,924,075	3,682,314	118,424	37,411	3,526,423	56
Accruals and other assets	3,163,141		3,163,141	1,239			3,161,902
of which guarantee deposits given	5,271		5,271	1,239			4,032
Other assets not offset	47,779,388		47,779,388				47,779,388
TOTAL ASSETS	222,632,053	3,924,075	218,707,978	660,251	1,260,772	3,526,423	213,260,532

	(a)	(b)	(c) = (a) – (b)	(d)		(e)	(f) = (c) – (d) – (e)
	Gross carrying amount of financial liabilities	Gross value of financial assets offset in the financial statements	Financial liabilities presented net	Financial instruments	Cash collateral paid	Financial instruments given as guarantee	Net value
(€ '000s)							
Financial instruments at market value through profit and loss	983,514		983,514	540,588	405,405	-	37,521
Of which Financial derivatives (includes hedging derivatives)	978,913	-	978,913	540,588	405,405	-	32,920
Liabilities due to credit institutions and to customers	191,436,459	3,924,075	187,512,383	118,424	235,663	16,521,563	170,636,733
of which repurchase transactions	20,802,088	3,924,075	16,878,013	118,424	235,663	16,521,563	2,363
Other debt not offset	21,067,720		21,067,720				21,067,720
TOTAL LIABILITIES	213,487,692	3,924,075	209,563,617	659,012	641,068	16,521,563	191,741,974

NOTE 8 SEGMENT INFORMATION

La Banque Postale Group is structured around the following divisions:

- **Retail Banking**, which includes the activities of La Banque Postale, the CRSF Métropole, CRSF Dom and Tertiaire Saint Romain Limited Property Investment Partnerships that own the business premises of La Banque Postale, La Banque Postale Financement, Easybourse, La Banque Postale Crédit aux Entreprises, La Banque Postale Collectivités Locales, La Banque Postale Home Loan SFH, BPE, and SOFIAP as well as the SF2 holding company and FCT Elise 2012;
- **the Insurance Division** consists of the CNP Assurances group, La Banque Postale Prévoyance, La Banque Postale Assurance Santé,

La Banque Postale Assurances IARD, La Banque Postale Conseil en Assurances and Sopassure;

- **asset management** with La Banque Postale Asset Management Group, Tocqueville Finance Holding, Tocqueville Finance SA and AEW Europe.

Except for the foreign subsidiaries of CNP Assurances and AEW Europe, the Group conducts its business activities in France.

Inter-segment and intra-segment transactions are performed under commercial market conditions.

8.1 Breakdown of results by business segment

Net Banking Income by business segment as at 31 December 2016

(€ '000s)	Retail Banking		Insurance		Asset management	
	External activity	Inter-segment eliminations	External activity	Inter-segment eliminations	External activity	Inter-segment eliminations
Interest and similar income	4,447,837	40	43,760	-	96	-
Interest and similar expense	(1,663,081)	-	(740)	-	(1)	(40)
Commission income	2,261,907	260,157	102,417	2,939	310,342	(197)
Commission expenses	(172,124)	(3,542)	(58,152)	(163,938)	(55,375)	(95,419)
Net gains and losses on financial instruments at fair value through profit and loss	(13,027)	-	771	-	3	-
Total net gains and losses on AFS assets	195,985	-	6,842	-	5,242	-
Total income and expense from other activities	(72,369)	9	264,053	-	(2,091)	(9)
Internal/external net banking income	4,985,128	256,664	358,951	(160,999)	258,216	(95,665)
Net banking income by segment		5,241,792		197,952		162,551
NET BANKING INCOME			5,602,295			

Net Banking Income by business segment as at 31 December 2015

(€ '000s)	Retail Banking		Insurance		Asset management	
	External activity	Inter-segment eliminations	External activity	Inter-segment eliminations	External activity	Inter-segment eliminations
Interest and similar income	4,804,022	66	46,910	-	2	-
Interest and similar expense	(1,725,872)	-	(159)	-	-	(66)
Commission income	2,188,786	259,291	90,688	3,863	288,314	905
Commission expenses	(182,230)	(3,560)	(51,382)	(155,185)	(41,627)	(105,314)
Net gains and losses on financial instruments at fair value through profit and loss	(76,418)	-	2,644	-	3	-
Total net gains and losses on AFS assets	127,180	-	7,296	-	1,006	-
Total income and expense from other activities	23,463	-	241,546	-	1,060	-
Internal/external net banking income	5,158,931	255,797	337,543	(151,322)	248,758	(104,475)
Net banking income by segment		5,414,728		186,221		144,283
NET BANKING INCOME			5,745,232			

Net income by business segment as at 31 December 2016 (excluding the remuneration cost of equity capital for each segment)

(€ '000s)	Retail Banking	Insurance	Asset management	Total
Net banking income	5,241,792	197,952	162,551	5,602,295
General operating expense	(4,220,858)	(101,382)	(89,389)	(4,411,629)
Net depreciation, amortisation and impairment of tangible and intangible fixed assets	(167,850)	(4,755)	(3,216)	(175,821)
Gross operating income	853,084	91,815	69,946	1,014,845
Cost of risk	(181,214)	-	-	(181,214)
Operating income	671,870	91,815	69,946	833,631
Share of profit of equity associates	0	189,187	1,794	190,981
Gains and losses on other assets	(1,893)	(4)	(39)	(1,936)
Goodwill	-	-	-	-
Pre-tax income	669,977	280,998	71,701	1,022,676
Income tax	(229,301)	(34,751)	(24,339)	(288,391)
Consolidated net income	440,676	246,246	47,362	734,285
Non-controlling interests	21,886	7,777	10,797	40,460
NET INCOME, GROUP SHARE	418,790	238,469	36,565	693,825

Net income by business segment as at 31 December 2015 (excluding the remuneration cost of equity capital for each segment)

(€ '000s)	Retail Banking	Insurance	Asset management	Total
Net banking income	5,414,728	186,221	144,283	5,745,232
General operating expense	(4,301,254)	(90,929)	(75,489)	(4,467,672)
Net depreciation, amortisation and impairment of tangible and intangible fixed assets	(218,052)	(4,201)	(3,252)	(225,505)
Gross operating income	895,422	91,090	65,542	1,052,054
Cost of risk	(180,829)	0	(109)	(180,938)
Operating income	714,593	91,090	65,433	871,116
Share of profit of equity associates	-	206,793	-	206,793
Gains and losses on other assets	15,782	-	(22)	15,760
Pre-tax income	730,375	297,884	65,411	1,093,670
Income tax	(285,742)	(42,600)	(21,646)	(349,988)
Consolidated net income	444,633	255,283	43,765	743,681
Non-controlling interests	17,048	13,778	6,044	36,870
NET INCOME, GROUP SHARE	427,585	241,505	37,722	706,811

8.2 Balance sheet items by business segment**Balance sheet items by business segment as at 31 December 2016**

(€ '000s)	Retail Banking	Insurance	Asset management	Inter-segment eliminations	Total
SEGMENT ASSETS					
Cash and central banks	2,732,044	-	-	-	2,732,044
Financial assets at fair value through profit and loss	12,280,992	48,909	-	-	12,329,901
Hedging derivatives	1,577,501	-	-	-	1,577,501
Available-for-sale financial assets	18,408,002	2,162,282	75,128	(1,765,930)	18,879,482
Loans and receivables	163,240,391	60,596	14,190	(69,811)	163,245,366
Investments in associates	-	3,175,682	50,978	-	3,226,660
SEGMENT LIABILITIES					
Liabilities at fair value through profit and loss	600,095	-	-	-	600,095
Hedging derivatives	914,107	-	-	-	914,107
Inter-bank transactions and similar: Liabilities due to credit institutions	18,974,951	20,093	(118)	8,350	19,003,276
Customer transactions	176,058,982	1,450	12,136	(78,161)	175,994,407
Debt securities	10,483,528	-	-	-	10,483,528

Balance sheet items by business segment as at 31 December 2015

(€ '000s)	Retail Banking	Insurance	Asset management	Inter-segment eliminations	Total
SEGMENT ASSETS					
Cash and central banks	1,811,631	-	-	-	1,811,631
Financial assets at fair value through profit and loss	10,956,290	78,984	-	-	11,035,274
Hedging derivatives	1,228,567	-	-	-	1,228,567
Available-for-sale financial assets	14,888,765	2,062,104	84,568	(1,424,937)	15,610,500
Loans and receivables	156,722,023	5,755	26,420	(24,023)	156,730,175
Investments in associates	-	2,917,881	-	-	2,917,881
SEGMENT LIABILITIES					
Liabilities at fair value through profit and loss	657,456	-	-	-	657,456
Hedging derivatives	326,058	-	-	-	326,058
Inter-bank transactions and similar: Liabilities due to credit institutions	15,721,335	11,800	(121)	8,218	15,741,232
Customer transactions	171,789,631	1,625	12,136	(32,241)	171,771,151
Debt securities	9,054,583	-	-	-	9,054,583

NOTE 9 RELATED-PARTY DISCLOSURES

The parties related to La Banque Postale Group include the main managers of Le Groupe La Poste and the companies consolidated by that Group, wholly or jointly controlled subsidiaries and companies on which the Group has a significant influence. La Banque Postale is an entity controlled by La Poste.

9.1 Relationships between consolidated entities

As transactions between La Banque Postale Group's fully consolidated entities are eliminated on consolidation, the data provided below refer only to reciprocal transactions with companies over which the group

exercises joint control in respect of the portion of those activities not eliminated on consolidation and to those companies over which it exercises a material influence.

(€ '000s)	31.12.2016			31.12.2015		
	With La Banque Postale Group entities			With La Banque Postale Group entities		
	With La Poste Group entities*	Proportional integration	Equity Method	With La Poste Group entities*	Proportional integration	Equity Method
Interest	(2,811)	-	-	(3,156)	-	-
Commissions	13,881	-	593,518	15,012	-	532,617
Net income from other activities	(45,145)	-	-	(338,375)	-	10,587
NBI items shared with related parties	(34,075)	-	593,518	(326,519)	-	543,204
Breakdown of general operating expenses with related parties	(3,202,741)	4		(3,243,712)	12	-
Financial assets at fair value through profit and loss	9,299	-	-	17,068	-	-
Other assets	599,580	-	125,147	522,346	-	51,368
Total assets with related parties	608,879	-	125,147	539,414	-	51,368
Debt	1,125,652	9,716	-	1,186,669	100	-
Other financial liabilities	242,052	-	-	313,144	-	-
Other liabilities	42,977	-	250,760	67,794	-	133,936
Total liabilities with related parties	1,410,681	9,716	250,760	1,567,607	100	133,936
Commitments given	650,000	-	30,344	650,000	-	23,614
Commitments received	-	-	864,713	-	-	269,314
TOTAL COMMITMENTS SHARED WITH RELATED PARTIES	650,000	-	895,057	650,000	-	292,928

* These are almost exclusively transactions conducted with La Poste.

9.2 Managers' remuneration

The Group treats members of the Executive Board and the members of the Executive Management Committee as related parties according to the meaning of IAS 24.

Executive Board members have no contract of employment with La Banque Postale. They therefore receive no remuneration other than that paid in respect of their appointment as company officers. Likewise, they receive no remuneration in respect of their appointments as company officers of subsidiaries of La Banque Postale Group.

Philippe Wahl received a remuneration amount from La Poste due to the fact that he has an employment contract, which was made necessary by the Post Office Banking system that appointed him Head

of the La Poste Financial Services Department (Financial Centres). This remuneration, for the remuneration deferred in 2012 and payable in 2016, is included in the amounts presented below.

Remuneration of the members of the Executive Board consists of fixed annual remuneration, plus a yearly capped variable component, except for the Chairman of the Executive Board, whose remuneration is fixed.

The total gross remuneration paid to members of the Management Board was €1,216 thousand as at 31 December 2016 and €960 thousand as at 31 December 2015.

The remuneration of the members of the Executive Committee, with the exception of the members of the Executive Board and the members paid by La Poste, is detailed below:

(€ '000s)	31.12.2016	31.12.2015
Remuneration and benefits in kind	5,649	5,191
Post-employment benefits	960	726
TOTAL	6,609	5,917

These items may be supplemented by severance compensation in the event that their appointments at La Banque Postale are terminated.

NOTE 10 STATUTORY AUDITORS' FEES

(amount excluding tax, in € '000s)	Statutory auditors of La Banque Postale			
	PricewaterhouseCoopers Audit		KPMG	
	Amount	%	Amount	%
Statutory audit duties, review of the separate and consolidated financial statements	880	89%	686	83%
Parent company	404	41%	404	49%
Fully consolidated subsidiaries	476	48%	282	34%
Services other than certification of the financial statements	113	11%	138	16%
Parent company	61	6%	128	16%
Fully consolidated subsidiaries	52	5%	10	1%
TOTAL	993	100%	824	100%

NOTE 11 SCOPE OF CONSOLIDATION

Companies	Nationality	Method ⁽¹⁾	Movements	% Control	% Interest	Method	% Control	% Interest
				31.12.2016	31.12.2016	31.12.2015	31.12.2015	31.12.2015
RETAIL BANKING								
La Banque Postale	French	Parent	-	100.00	100.00	Parent	100.00	100.00
SCI CRSF Dom ⁽²⁾	French	Full	-	99.94	99.94	Full	99.94	99.94
SCI CRSF Métropole ⁽²⁾	French	Full	-	99.99	99.99	Full	99.99	99.99
SCI Tertiaire Saint Romain ⁽²⁾	French	Full	-	100.00	100.00	Full	100.00	100.00
SF2	French	Full	-	100.00	100.00	Full	100.00	100.00
La Banque Postale Financement	French	Full	-	65.00	65.00	Full	65.00	65.00
La Banque Postale Crédit Entreprises	French	Full	-	100.00	100.00	Full	100.00	100.00
Easybourse	French	Full	-	100.00	100.00	Full	100.00	100.00
FCT Elise 2012	French	Full	-	95.00	95.00	Full	95.00	95.00
BPE	French	Full	-	99.99	99.99	Full	99.99	99.99
La Banque Postale Collectivités Locales	French	Full	-	65.00	65.00	Full	65.00	65.00
La Banque Postale Home Loan SFH	French	Full	-	100.00	100.00	Full	100.00	100.00
SOFIAP	French	Full	-	66.00	66.00	Full	66.00	66.00
INSURANCE								
Groupe CNP Assurances	French	Equi.	-	36.25	20.15	Equi.	36.25	20.15
La Banque Postale Prévoyance	French	Full	-	100.00	100.00	Full	50.00	50.00
La Banque Postale Conseil En Assurances	French	Full	-	100.00	100.00	Full	100.00	100.00
Sopassure	French	Join	-	50.02	50.02	Join	50.02	50.02
La Banque Postale Assurances IARD	French	Full	-	65.00	65.00	Full	65.00	65.00
La Banque Postale Assurance Santé	French	Full	-	51.00	51.00	Full	51.00	51.00
ASSET MANAGEMENT								
AEW Europe	French	Equi.	Incorporation	40.00	40.00	-	-	-
La Banque Postale Asset Management	French	Full	-	70.00	70.00	Full	70.00	70.00
La Banque Postale Structured Asset Management	French	Full	Merged	-	-	Full	70.00	70.00
Ciloger	French	Full	Disposal	-	-	Full	90.00	90.00
Fédéris	French	Full	Merged	-	-	Full	70.00	70.00
Tocqueville Finance Holding	French	Full	-	92.62	92.62	Full	92.56	92.56
Tocqueville Finance SA	French	Full	-	99.86	92.49	Full	99.89	92.46

- (1) Consolidation method.
Full: Full consolidation.
Equi: Consolidation using the equity method.
Join: Joint control recognised on the basis of a proportionate share of assets, liabilities and income held.
NI: Not incorporated.

- (2) Limited Property Investment Partnerships (SCLs), which own the Bank's operating properties.

NOTE 12 IFRS 12: DISCLOSURE OF INTERESTS IN OTHER ENTITIES

La Banque Postale Group consists of 23 consolidated entities including one partnership, Sopassure, two significant associated companies, the CNP Assurances group and AEW Europe, consolidated by the equity method, and one structured entity (Fonds Commun

de Titrisation Elise). Ten subsidiaries are directly or indirectly owned by the Group with near(100)% interest (in terms of capital), with no significant non-controlling interests.

1.1 Consolidated subsidiaries

At 31 December 2016, following the acquisition of non-controlling interests in La Banque Postale Prévoyance, only La Banque Postale Financement is presented below.

La Banque Postale Financement

The company is 65% owned by La Banque Postale and 35% owned by Franfinance. The contributory balance sheet excluding elimination of reciprocal transactions as at 31 December 2016 was as follows:

(€ '000s)	31.12.2016
ASSETS	
Overnight accounts and loans – Credit institutions	315,489
Long-term loans and receivables – Customers	4,726,039
Financial assets held to maturity	387,305
Tax assets	14,797
Accruals	20,178
Other assets	2,067
Intangible assets	7,223
Property, plant and equipment	3,156
TOTAL ASSETS	5,476,254

(€ '000s)	31.12.2016
LIABILITIES	
Demand liabilities to credit institutions	4,859,950
Overnight liabilities to customers	967
Tax liabilities	9,221
Accruals	893
Other liabilities	31,561
Provisions	1,008
Non-controlling interests in equity	-
Equity, Group share	572,654
TOTAL LIABILITIES	5,476,254

Net income as at 31 December 2016 is €62,242 thousand, of which €21,785 thousand in non-controlling interests. No dividend was paid.

Statutory, contractual or regulatory restrictions may limit the Group's ability to access or transfer certain assets freely to or from other Group entities or to use them and settle the Group's liabilities.

La Banque Postale Group also identified the following points:

- ▶ the Group has made or has committed to make securities repurchase agreements, and pledges securities in favour of the Banque Centrale and Crédit Logement (see Note 2.14 and Note 4);
- ▶ the Group pledges home loans in order to hedge bond issues made by the Group's home finance company (La Banque Postale Home Loan SFH) in favour of holders (see Note 4);
- ▶ the Group has granted capital and performance guarantees to holders of UCITS units issued by the Group (see Note 2.14 and Note 4);
- ▶ the financial assets of insurance subsidiaries locked for the benefit of policy-holders (listed under shadow accounting in liabilities on the balance sheet) and in connection with the acceptance of risk reinsurance (see Note 2.4 and 2.18);
- ▶ guarantee deposits;
- ▶ pledges of securities relating to reinsurance contracts.

Consolidated structured entities

Pursuant to IFRS 10 and 11, and with regard to consolidation thresholds, La Banque Postale Group includes a consolidated structured entity, the securitisation mutual fund: FCT Elise 2012.

The "FCT Elise 2012" entity came within the scope of consolidation in October 2012. This is a French fund whose debt is 95% owned by La Banque Postale and 5% by Crédit Foncier de France.

This fund's assets include zero-interest loans granted to individual customers of La Banque Postale prior to 2010 (the launch date of the commercialisation of zero-interest loans in the Bank's balance sheet). As at 31 December 2016, it represents a total of about €0.5 billion. This fund is fully consolidated.

Partnership

Sopassure is a French entity that is 50% owned by La Banque Postale Group. Meeting the definition of a "joint enterprise", it is presented in the Group's consolidated financial statements on the basis of a proportionate share of assets, liabilities and income held.

The shareholders' agreement established between La Banque Postale and its partner, sets out the conditions for implementation of a joint arrangement and, pursuant to the operating method of the holding company's governance bodies, outlines the direct rights of individual partners on the interest of CNP Assurances, the main asset of Sopassure.

Sopassure has legal reserves that bind the Group to the payment of dividends.

Investments in associates

The state, the Caisse des dépôts, BPCE, the Group La Poste and Sopassure form a shareholders' agreement on CNP Assurances.

La Banque Postale Group has significant influence on the CNP Assurances group with a percentage stake of 20.15% (including an option to purchase a further 2.01%) as at 31 December 2016.

Detailed information on CNP is published in its Registration Document available at <http://www.CNP.fr/Le-Groupe/Nos-publications/Les-documents-de-reference>.

All the information pertaining to CNP's profit and loss statement and balance sheet can be found in Note 2.11. regards the statement of comprehensive income, this information is available in the appropriate note at the beginning of this document.

Reconciliation of financial information with the value obtained using the equity method:

(€ million)	31.12.2016	31.12.2015
Equity, Group share	17,534	17,113
Restatement	(1,829)	(2,688)
Equity as a percentage of interest	3,164	2,906
Net goodwill	12	12
Valuation of associates consolidated using the equity method on the balance sheet	3,176	2,918
Market value	12,085	8,542

Non-consolidated structured entities

At 31 December 2016, La Banque Postale Group identified two families, securitisation and asset management.

In terms of the funds managed by La Banque Postale Asset Management, and given the structuring of derivatives, the guarantee may only be exercised in the event of the default of the providers of performance swaps. The counterparties are market counterparties and the risk of default may be considered as low.

Structured entities with financial interests

At 31 December 2016, the only material transactions with structured entities with financial interests are represented by financial liabilities to the joint venture at fair value through profit or loss in the amount of €155 million on Asset management and €17 million in units held in a Securitisation fund. Income drawn by the Group on these entities stands at €63.5 million and consist mainly of operating expenses. No material loss was recorded at 31 December 2016.

The maximum exposure to risk of loss is, in most cases, limited to units held in funds, with the exception of funds in which La Banque Postale guarantees capital and performance.

Information on structured entities with no financial link

Funds defined as sponsors are those structured by a management company controlled by the

Group principally by La Banque Postale Structured Asset Management.

Income drawn by the Group on these entities stands at €53.3 million and consist mainly of operating expenses.

NOTE 13 IDENTIFICATION DETAILS OF NON-CONSOLIDATED EQUITY INVESTMENTS

Nam	Registered office	% interest held	Currency	Amount of equity during prior financial year	Profit or loss for the prior financial year	Date of most recent certified financial statements
Crédit Logement	50, boulevard de Sébastopol, 75003 Paris	6,0%	EUR	1,749,155,000	236,015,000	31/12/2015
LBP AM European Debt Funds	5, allée Scheffer, L-25 20 Luxembourg	100%	EUR	10,723	0	31/12/2015
Mandarine Gestion	40, avenue George V, 75008 Paris	15,0%	EUR	21,576,000	6,853,000	31/12/2015
Delta Alternative Management	8, place Vendôme, 75001 Paris	10,0%	EUR	330,000	73,000	31/12/2015
BPIfrance Financement	27, avenue du Général Leclerc, 94700 Maisons-Alfort	0,2%	EUR	3,241,800 000	119,200,000	31/12/2015
Transactis	33, place des Corolles, Tour Europe, La Défense 92400 Courbevoie	50,0%	EUR	4,922,745	0	31/12/2015
Titres Cadeaux SAS	34, rue de la Fédération, 75015 Paris	50,0%	EUR	(256,247)	331,519	31/12/2015
Auxiliaire de Transaction Immo	115, rue de Sèvres, 75275 Paris Cedex 06	100%	EUR	1,000,874	(161,371)	31/12/2015
LBP IC	115, rue de Sèvres, 75006 Paris	100%	EUR	2,652,707	1,842,743	31/12/2015
Société d'Investissement France Active	3, rue Franklin, Tour 9 - 93100 Montreuil	0,3%	EUR	150,221,500	1,734,000	31/12/2015
LBP International	115, rue de Sèvres, 75006 Paris	100%	EUR	453,501	43,338	31/12/2015
SG FGAS	13, rue Auber 75009 Paris	12,5%	EUR	1,230,000	12,000	31/12/2015
Eurogiro Holding A/S	Telegade 1, 1 st floor, 2630 Taastrup, Denmark	8,6%	DKK	38,706,930	4,450,594	31/12/2015
Tocqueville Finance Conseil Assurance	34, rue de la fédération, 75015 Paris	92,5%	EUR	285,737	52,735	31/12/2015
Paylib	1, boulevard Haussman, 75009 Paris	20,0%	EUR	1,099,000	(2,000)	31/12/2015
LBP Protection	115 rue de Sèvres, 75275 Paris Cedex 6	100%	EUR	11,722	(15,927)	31/12/2015
Eziness	115 rue de Sèvres, 75275 Paris Cedex 6	100%	EUR	26,039	(2,272)	31/12/2015
GIE CR CESU	155 avenue Galliéni, 93170 Bagnolet	16,7%	EUR	-	-	-
SIAGI	2 rue Jean-Baptiste Pigalle, 75009 Paris	1,3%	EUR	33,339,000	1,181,000	31/12/2015
Society for Worldwide Interbank Financial Telecommunication	Avenue Adele 1, B-1310 La Hulpe, Belgium	-	-	-	-	-
Crédit Coopératif	12 boulevard Pesaro, CS 10002, 92024 Nanterre Cedex	0,01%	EUR	1,385,826,000	37,823,000	31/12/2015
SFHC	14 rue Lord Byron, 75384 Paris Cedex 08	14,3%	EUR	2,387,000	(4,400)	31/12/2014
SFIL	1/3 rue du passeur de Boulogne 92130 Issy-les-Moulineaux	5,0%	EUR	1,385,000,000	(59,000,000)	31/12/2015
STET	100 ESP du Gal de Gaulle Coeur Défense, Tour B, 92932 Paris La Défense Cedex	5,0%	EUR	86,570,000	6,765,000	30/09/2015
Vigeo	40 rue Jean Jaures, 93170 Bagnolet	2,1%	EUR	2,969,000	(405,000)	31/12/2014
Wiseprofits SAS	14 avenue de l'Opera, 75001 Paris	10,0%	EUR	552,651	(51,169)	31/12/2015
LBP Partenariats	115 rue de Sèvres, 75006 Paris	100%	EUR	60,000	First net profit at 31/12/2017	Established in 2016
SCPI Atout Pierre Habitation	43/47 avenue de la Grande Armée, 75116 Paris	1,2%	EUR	30,575,400	636,500	-
SCPI Atout Pierre Habitation 2	43/47 avenue de la Grande Armée, 75116 Paris	1,7%	EUR	22,468,500	485,600	-

Generally speaking, the information concerning the financial statements of the above entities is presented under local GAAP.

5.3 STATUTORY AUDITORS' REPORT ON THE CONSOLIDATED FINANCIAL STATEMENTS

Financial year ending 31 December 2016

To the Shareholders,

LA BANQUE POSTALE
115, rue de Sèvres
CP 5202
75275 PARIS Cedex 06

In accordance with the terms of the assignment entrusted to us by your Annual General Meeting, we hereby submit our report for the financial year ending 31 December 2016, regarding:

- ▶ our audit of the consolidated financial statements of LA BANQUE POSTALE, as appended to this report;
- ▶ the justification of our assessments;
- ▶ the specific verification required by French law.

The consolidated financial statements were prepared by the Executive Board. Our role is to issue an opinion on those financial statements, based on our audit.

I - Opinion on the consolidated financial statements

We have conducted our audit in accordance with the professional standards applicable in France. These standards require that we implement procedures to obtain reasonable assurance that the consolidated financial statements are free of material misstatements. An audit involves examining, by means of spot checks and other selection methods, the evidence supporting the amounts and disclosures shown in the consolidated financial statements. It also involves assessing the accounting principles used, the significant estimates made and the overall presentation of the financial statements. We believe that the evidence we have gathered in order to form our opinion is sufficient and relevant.

We hereby certify that the consolidated financial statements for the financial year present a true and fair view of the net assets, financial position, and profit of the entity formed by the consolidated companies, in accordance with IFRS, as adopted by the European Union.

II - Justification of assessments

Pursuant to the provisions of Article L.823-9 of the French Commercial Code pertaining to the documentation supporting our findings, we would like to bring the following information to your attention:

Depreciation and provisioning of credit and counterparty risks

Your Group recognises impairments and provisions to cover the credit and counterparty risk that is inherent in its business activities (Notes 1.5.2.1, 2.7 and 3.7 to the financial statements). We have examined the control procedures for monitoring risk, for the processes for identifying exposure, for impairment and provision methods, for risk assessment and the hedging of those risks *via* individual and collective impairment charges and provisions.

Valuation and impairment of financial instruments

Your Group holds positions in securities and other financial instruments. Notes 1.5.2.2 to 1.5.2.9 to the financial statements set out the accounting policies and methods relating to securities and financial instruments. We have examined the control procedures for the accounting classification of these positions, and for determining the parameters used to value them. We have verified the appropriateness of the accounting methods selected by the Group and of the information provided in the notes to the financial statements, and have satisfied ourselves that they are applied correctly.

As explained in Notes 1.5.2.4 and 2.7 to the financial statements, your Group recognises impairments on available-for-sale financial assets. We have examined the control procedures for identifying evidence of loss of value, and we have reviewed the valuation of the most significant accounting items, and the estimates that resulted, where applicable, in any loss of value being covered by impairment provisions.

Liabilities related to insurance contracts

Your Group makes underwriting provisions to cover the risks stemming from insurance contracts (Notes 1.4.3 and 2.18 to the financial statements). We have examined the methodology used to assess these liabilities as well as the main assumptions and parameters applied.

Analysis of contingency and loss provisions

Your Group records provisions to address its risks, as indicated in Notes 1.5.5, 1.5.6 and 2.19 to the financial statements. Our work included assessing the data and assumptions on which these estimates are based, reviewing the calculations performed by the Company, and examining the procedures for approval of these estimates by management. More specifically, with respect to the provision intended to cover the risk of potentially unfavourable consequences of the commitments under Home Savings contracts, we have also examined the control procedures for checking the models and determining the parameters used.

Assessment of commitments to purchase equity securities

Your Group records liabilities to meet its commitments to purchase equity securities as indicated in Note 1.4.3 to the financial statements. Our work included assessing the data and assumptions on which these estimates are based, reviewing the calculations performed by the Company, and examining the procedures for approval of these estimates by management.

Our assessments were made in the context of our audit of the consolidated financial statements, taken as a whole, and therefore assisted us in reaching our opinion as expressed in the first part of this report.

III - Specific checks

In accordance with the professional standards applicable in France, we have also performed specific checks on the information about the Group provided in the Group management report, in accordance with French law.

We have no observation to make regarding the fair presentation of this information, and its consistency with the consolidated financial statements.

Neuilly-sur-Seine and Paris la Défense, 28 February 2017

The statutory auditors

PricewaterhouseCoopers Audit

Jacques Lévi
Partner

KPMG Audit

A division of KPMG SA
Marie-Christine Jolys
Partner

5.4 SEPARATE FINANCIAL STATEMENTS

5.4.1 Parent company balance sheet

(€ '000s)	Notes	31.12.2016	31.12.2015
ASSETS			
Cash and central banks	2.1	2,731,892	1,810,629
Government paper and similar securities	2.7	27,458,088	24,763,143
Receivables – Credit institutions and similar	2.3	98,612,691	93,840,801
Customer transactions	2.5	60,154,155	58,721,383
Bonds and other fixed-income securities	2.7	24,406,618	24,681,881
Equities and other variable income securities	2.7	674,868	812,985
Equity investments and other long-term securities	2.11	105,557	73,418
Holdings in related companies	2.10	2,061,577	1,769,943
Intangible assets	2.12	338,722	304,358
Property, plant and equipment	2.12	545,336	547,245
Other assets	2.13	1,875,683	1,538,365
Accruals	2.13	1,494,992	1,478,764
TOTAL		220,460,178	210,342,914
LIABILITIES			
Central banks	2.2		
Liabilities due to credit institutions and similar	2.4	23,308,892	19,615,769
Customer transactions	2.6	175,202,257	171,074,497
Debt securities	2.9	6,663,888	5,810,690
Other liabilities	2.14	2,229,613	2,070,619
Accruals	2.14	2,801,766	2,186,347
Provisions	2.15	729,701	915,070
Subordinated debt	2.17	3,666,525	3,058,367
General banking risk fund (GBRF)		22,000	22,000
Parent company shareholders' equity (excluding GBRF)	2.19	5,835,537	5,589,555
▶ Subscribed capital		4,046,408	4,046,408
▶ Issue and transfer premiums		16,719	16,719
▶ Reserves		481,822	457,909
▶ Revaluation differences			
▶ Regulated provisions and capital grants			3
▶ Retained earnings		726,521	590,256
▶ Profit/(loss) for the period		564,066	478,261
TOTAL		220,460,178	210,342,914

5.4.2 Parent company net profit

(€ '000s)	Notes	31.12.2016	31.12.2015 Restated ⁽¹⁾
Interest and similar income:			
► cash and inter-bank transactions	3.1	1,251,950	1,506,854
► customer transactions	3.2	1,689,156	1,779,616
► bonds and other fixed-income securities	3.3	1,122,779	1,142,996
► other interest and similar income	3.4	229,288	207,633
Interest and similar expenses:			
► cash and inter-bank transactions	3.1	(107,138)	(73,747)
► customer transactions	3.2	(1,374,551)	(1,553,423)
► bonds and other fixed-income securities	3.3	(259,677)	(154,680)
► other interest and similar expenses	3.4	(71,362)	(88,509)
Income from variable-income securities	3.5	214,089	223,306
Commissions (income)	3.6	2,456,817	2,409,108
Commissions (expenses)	3.6	(235,584)	(253,824)
Gains or losses on trading portfolio transactions	3.7	(14,329)	67,266
Gains or losses on investment portfolio transactions and similar	3.8	131,504	27,765
Other bank operating income	3.9	43,736	48,050
Other bank operating expenses	3.9	(108,559)	(81,894)
Net banking income		4,968,120	5,206,517
General operating expenses:			
► Employee benefits expense	3.10	(322,648)	(311,385)
► Other general operating expenses	3.12	(3,831,796)	(3,937,502)
► Re-invoicing	3.13	79,839	84,346
Depreciation, amortisation and impairment charges on non-current assets	3.14	(140,570)	(187,800)
Property, plant and equipment and intangible assets			
Gross operating income		752,945	854,176
Cost of risk	3.15	(110,533)	(120,003)
Operating income		642,412	734,173
Gains or losses on non-current assets	3.16	(1,988)	3,015
Pre-tax profit		640,424	737,187
Non-recurring items		-	-
Income tax	3.17	(76,358)	(258,927)
Net allocations to the GBRF and regulated provisions		-	-
Parent company net income		564,066	478,261
Parent company net earnings per share (in euros)		16.03	13.59

(1) Negative interest income reclassified between aggregate interest and expense and aggregate interest and similar income (see Notes 3.1 and 3.2).

5.4.3 Parent company off-balance-sheet statement

(€ '000s)	31.12.2016	31.12.2015
Financing and guarantee commitments and commitments on securities given		
► Financing commitments		
– To credit institutions	1,085,872	511,054
– To customers	17,985,791	15,799,630
► Guarantees		
– To credit institutions ⁽¹⁾	301,171	291,547
– To customers	4,283,840	3,900,070
► Commitments on securities		
– Deliverable securities ⁽²⁾	2,048,745	1,396,417
Financing and guarantee commitments and commitments on securities received		
► Financing commitments		
– From credit institutions	1,806,867	1,470,165
– From customers ⁽²⁾	1,500,000	900,569
► Guarantees		
– From credit institutions ⁽³⁾	27,850,837	27,130,328
– From customers ⁽⁴⁾	6,570,031	6,509,078
► Commitments on securities		
– Securities receivable	325,145	378,772
Other commitments given and received		
► Other commitments given ⁽⁵⁾	8,182,287	7,261,779
► Other commitments received	292,242	630,018

Off-balance sheet commitments relating to cash and forward foreign exchange transactions and to loans and/or borrowings are described in Note 2.20.

Off-balance sheet commitments relating to forward financial transactions are described in Note 2.21.

1) Crédit Logement commitment: La Banque Postale has committed to maintain Crédit Logement's basic equity capital at a level equivalent to their holding in the company, i.e. 6%, so that the company can maintain its solvency ratio.

Furthermore, La Banque Postale has undertaken to replenish, if necessary, Crédit Logement's mutual guarantee funds, which underwrite borrower defaults on loans secured by the company. The amount of this commitment, which is equivalent to the portion of amounts outstanding granted by La Poste network, amounted to €289,331,000 as at 31 December 2016.

2) The financing commitments received from customers and deliverable securities largely correspond to repurchase agreements after the balance sheet date.

3) The guarantees received from credit institutions are made up, for €27,817 million, of endorsements received from Crédit Logement.

4) The guarantee commitments received from customers (€6,179 million) correspond to the identification of the sureties received on the Bank's issued home loans by guarantee companies other than Crédit Logement.

5) Other commitments given: La Banque Postale pledges part of its financial assets for the 3G refinancing line with Banque de France (€1,643,578 thousand), with Crédit Logement (€64,795 thousand), and part of its outstanding home loans with its home loans company, LBP Home Loan SFH for €6,473,915 thousand.

Detailed summary of notes

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NOTE 1 ACCOUNTING PRINCIPLES AND METHODS

Principal valuation and presentation rules applying to the consolidated financial statements

The separate financial statements have been drawn up in accordance with the general accounting principles applicable to credit institutions in France.

La Banque Postale, which is wholly owned by La Poste, is consolidated in that company's financial statements and is part of its tax consolidation scope. Given the terms of the agreement, the

tax charge recorded in La Banque Postale's financial statements is identical to the charge that would be recorded in the absence of any tax consolidation.

Furthermore, La Banque Postale draws up the consolidated financial statements, of which it is the parent company.

Policy changes and comparability

1 Policy changes

There were no policy changes in the year just ended. The regulations that came into effect in 2016 had no impact on the financial statements.

2 Comparability of financial years

Where the balance sheet, income statement and off-balance sheet statement are concerned, the data shown for the 2016 financial year are directly comparable to those for the previous financial year.

Presentation and valuation rules

The Bank adheres to the rules and principles in French National Accounting Authority (ANC) Regulation 2014-07 of 26 November 2014, which incorporates in a single text all the accounting regulations applicable to banking establishments.

1 Foreign currency transactions

In accordance with ANC Regulation 2014-07, the assets, liabilities and off-balance sheet commitments denominated in foreign currencies are converted on the spot exchange rate on the last day of the period.

Foreign exchange gains and losses arising on day-to-day transactions entered into in foreign currencies are recognised through profit and loss.

Forward currency hedging transactions are recognised in the off-balance sheet statement. The position is originally recorded on the basis of the cash exchange rate, then the swap points (the difference between the forward rate and the cash rate) are recognised in profit and loss on a pro rata basis.

2 Receivables – Credit institutions and customers – Signed commitments

Credit institution and customer receivables are broken down according to their initial maturity, or the nature of the receivable: demand receivables (ordinary accounts and day-to-day transactions) and long-term receivables (loans, transactions relating to pensions) for credit institutions; commercial receivables, current accounts, short-term credit facilities, equipment lease or home loans and other customer loans. These receivables include loans granted and current accounts in debit, as well as securities received via repo agreements and borrowed securities.

Guarantees received are recorded off-balance sheet and regularly remeasured and capped at the carrying amount of the loan.

The credit risk (credit institution and customer receivables, fixed-income securities, signed commitments and financial instruments) is processed in accordance with the provisions of ANC Regulation 2014-07.

The credit risk for a given counterparty is characterised by the existence of a potential loss relating to the possibility of that counterparty defaulting on the commitments that it has entered into.

The monitoring of receivables is based on an expert system, which uses external or internal ratings or a mix of the two, depending on the category of customers (individuals, corporate customers, etc.).

Loans

Loans are recorded under assets at their repayment value. The corresponding interest is recognised through profit and loss on a pro rata basis.

Doubtful receivables

The doubtful receivables downgrading process applies to unauthorised overdrafts, home loans and consumer credit business, lease finance and loans to corporate customers. Receivables where the recovery outlook has deteriorated significantly are specifically identified as doubtful non-performing loans within the doubtful loans category.

The downgrading of unauthorised overdrafts applies to active and closed accounts. The effect of downgrading unauthorised overdrafts on active accounts is to downgrade performing loans to doubtful loans. Downgrades are performed on a monthly basis, and factor in the amount and length of the overdraft for each account. The effect of closing the account is to downgrade the receivable to a doubtful non-performing loan. Receivables for very small amounts are immediately expensed as losses.

Receivables for which the institution sees a probable risk of not receiving all or part of the amounts payable in respect of the commitments entered into by the counterparty are classified as doubtful.

Loans are downgraded to performing doubtful status within three months of the occurrence of one or more missed payments (six months for home loans and public sector entities), or in cases where an over-indebtedness plan has been requested from the Banque de France even though these loans present no payment default.

They must be identified when their term expires or when the relationship with the counterparty is terminated (in the case of undated receivables). In addition, loans are automatically downgraded to non-performing doubtful status one year after being classified as doubtful.

By applying the contagion principle, all loans outstanding to the same beneficiary are downgraded to 'doubtful receivables' as soon as one loan to that beneficiary is downgraded within the Group.

Doubtful home loans can be reclassified in performing loans when all arrears have been paid and regular payment of the amounts corresponding to the contractual instalments have been made again, for a period of at least two months.

Loans that are deemed definitely unrecoverable are recorded under losses, while the corresponding impairment charges are reversed.

Forborne loans

Forborne loans are receivables for which the entity has modified the original financial conditions due to the borrower's financial difficulties.

Forbearance is defined according to two core criteria:

- concessions by the bank;

- the borrower's financial difficulties.

The discount noted when a loan is forborne is recorded under cost of risk and on the balance sheet as a deduction from the relevant amounts outstanding. It is the difference between the nominal value of the debt before the restructuring and the discounted value at the original effective rate of the new expected future flows. The discount is recognised through profit or loss in the interest margin, according to an actuarial methods over the term of the loan.

- retail customers.

The status of the forborne counterparty switches from default after a probationary period of 12 months of non-performing exposure with no missed payments; it is then reclassified as sensitive for a minimum of 24 months. If after being switched back to outstanding performing loans, the debtor does not comply with the agreed maturity dates, the forborne amounts outstanding are immediately reclassified to doubtful loans. They are classified as in default on the first day of the missed payment.

- non-retail customers.

When non-retail customers are switched from default, a 12-month probationary period may be required on a case-by-case basis, based on expert opinion and a bank analysis. The recommendation to reclassify to "performing loans on watch" is made by the Customer monitoring Department and approved by the Risk Department.

Note that forborne loans reclassified to performing exposures are subject to a two-year probation period and are returned to default if any payments are missed during this period.

Specific loan impairment

La Banque Postale begins by identifying whether there is objective evidence of an event occurring after a loan – or group of loans – was granted that is likely to lead to a loss of value. These may be loans that are more than one month in arrears, outstanding debts that are already the object of a disputed recovery process, or when the financial position of the counterparty has deteriorated and is reflected in a risk of non-recovery.

A credit risk is deemed proven within three months of the occurrence of one or more missed payments (six months for home loans backed by security rights or a legal entity), or, in cases where an over-indebtedness plan has been requested from the Banque de France, even if these loans present no payment default. Once risk is proven, the relevant outstanding loans and commitments are identified in a specific category.

- Scope of home loans

Specific provisioning for home loans in default can be statistic (based on historic data by homogeneous category), or individual by counterparty.

Amounts outstanding in default are weighted by a factor of "best estimate of expected loss on exposure at default", adjusted to recognise certain elements (such as the effect of a slowdown in the economy). This factor is determined according to the length of default and the type of security.

The amount of the impairment is recognised in "Cost of risk" in the income statement, and the value of the financial asset is reduced through recording an impairment charge.

By applying the contagion principle, all loans outstanding to the same beneficiary are provisioned as soon as one loan to that beneficiary is provisioned within the Group.

In the event of reclassification of impaired home loans, provisions may be reversed fully or in part and loans reclassified as performing loans when all arrears have been paid and regular payment of the amounts corresponding to the contractual instalments have been made again, for a period of at least two months.

► Scope of lease finance and loans to corporate customers

Within this scope, provisioning of amounts outstanding in default is tracked monthly and adjusted as necessary based on an expert opinion. An impairment is then recorded on the difference between the carrying amount and the net present value of the expected cash flows, discounted at the original effective interest rate, and determined taking account of the financial position of the creditor and the present value of guarantees received. The amount of the impairment is recognised in "Cost of risk" in the income statement, and the value of the financial asset is reduced through recording an impairment charge.

By applying the contagion principle, all loans outstanding to the same beneficiary are provisioned as soon as one loan to that beneficiary is provisioned within the Group.

Collective loan impairment

In addition, some loans that are not impaired on an individual basis are analysed and impaired on the basis of homogeneous portfolios presenting similar risk features and, where required, impaired on a collective basis. This process involves a group of "sensitive loans" indicating initial signs of default, similar at portfolio level to objective evidence of impairment, even though such impairment cannot be individually allocated.

These cases are provisioned on the basis of a likelihood of a switch to doubtful status, calculated based on historical observations. The risk of loss that takes the nature of the guarantee into account is calculated in the same way as for doubtful cases, and is the subject of a provision, based on the discounted recoverable cash flows.

The amount of the impairment is recognised in "Cost of risk" in the income statement, and the value of the financial asset is reduced through recording an impairment charge.

Impairment of overdrafts

The provisioning of unauthorised overdrafts applies to active and closed accounts. Downgrades are performed on a monthly basis, and factor in the amount and length of the overdraft for each account. Receivables for very small amounts are immediately expensed as losses.

Provisioning of unclosed accounts is based on the same method applied to home loans.

The Bank examines the position of irregular debt, even when it falls within the authorised overdraft limits, as soon as it involves a counterparty considered as risky and exceeds 30 consecutive days, or else when a payment incident occurs. Impairments on these accounts are then recorded and change with the account balance. The contagion principle applies to other loans of the same category. Beyond a certain period, the account is declared closed.

Financing commitments

Financing commitments that are not viewed as derivative instruments are not shown on the balance sheet.

Guarantees

Guarantee commitments are valued according to the likelihood of these guarantees being exercised. Provisions are charged under liabilities.

Interest on doubtful loans is recorded in net banking income and is fully impaired. Impairment charges are recorded under cost of risk.

Securities received under repo agreements and borrowed securities

These securities are recorded under assets in an account that represents the receivable arising from them. The corresponding income is recorded in profit and loss for the financial year on a pro rata basis.

Securities received under repo agreements that are subsequently sold are recorded under securities-related debt under liabilities. They are valued at their market value at that point.

3 Securities

Securities are recorded on the balance sheet in accordance with their type:

- government paper (Treasury bills and similar securities);
- bonds and other fixed-income securities (negotiable debt securities, and inter-bank market securities);
- equities and other variable-income securities.

Applying the provisions of ANC Regulation 2014-07, these securities are recognised based on their destination portfolio, which corresponds to the economic purpose of holding them: transaction, held-for-sale, investment, equity holding securities and equity investments, other long-term securities and shares in related companies.

They are subject to specific valuation rules for each portfolio category, as described below.

In the event of proven credit risk, fixed-income securities recorded in the held-for-sale or investment portfolio are identified as doubtful, according to the same criteria as those applicable to doubtful receivables and commitments.

Trading securities

Trading securities include Treasury bills and negotiable debt securities, in addition to marketable securities. They are purchased or sold with the intention of reselling them or buying them back in the short term. They are traded on active markets.

Trading securities are recognised at their acquisition price on the date of acquisition, excluding expenses and including accrued interest, where applicable. They are valued at their latest market price at each accounting period. Any revaluation differences arising from this valuation are recorded in profit and loss.

Unrealised or realised gains or losses are recognised through profit and loss under the heading "Gains or losses on trading portfolio transactions".

The coupons received are recognised under interest income.

Trading securities which are no longer held with the intention of selling them in the short term can be transferred to the "held-for-sale securities" or "investment securities" categories, if:

- an exceptional market situation requires a change in the holding strategy;
- if fixed-income securities can no longer be traded in an active market after their acquisition, and if the Bank has the capacity to hold them for the foreseeable future or until their maturity.

The securities thus transferred are recorded under their new category at the market value on the date of transfer.

If the characteristics of the market on which the trading securities were purchased change, such that this market can no longer be considered active, the institution determines the revaluated value of the concerned securities by using valuation techniques that take the new characteristics of the market into consideration.

Held-for-sale securities

Held-for-sale securities include securities that do not meet the conditions for classification in the transaction or investment portfolios.

Held-for-sale securities are recorded at their acquisition price, excluding expenses, at the date they are acquired. They are managed on a "first-in, first-out" basis and valued as follows, according to homogeneous security groups and without offsetting the gains recorded on other categories of securities:

- ▶ bonds: unrealised losses compared with market value, calculated on the basis of the closing price, are recorded as an impairment;
- ▶ treasury bills, negotiable debt securities and inter-bank market securities: impairment charges are recorded depending on the issuers' solvency and according to market indicators.

Gains on micro-hedging transactions are taken into account when calculating the impairment charges.

Potential premiums or discounts are spread over the residual life of the security on an actuarial basis.

Income from held-for-sale securities are recognised in the income statement under interest income for fixed income securities and under income from floating-rate securities. Otherwise realised gains or losses as well as impairment provisions and reversals are recorded in the income statement under the heading "Gains or losses on investment portfolio transactions and similar".

Held-for-sale securities can be transferred to the investment securities category, if:

- ▶ an exceptional market situation requires a change in the holding strategy;
- ▶ if fixed-income securities can no longer be traded in an active market after their acquisition, and if the Bank has the capacity to hold them for the foreseeable future or until their maturity. The securities thus transferred are recorded under their new category at the market value on the date of transfer.

In the absence of an active market, accounting valuation must be determined using valuation techniques. These techniques include the use of recent transactions performed in a normal competition environment. They are based on market data, on the fair value of substantially identical instruments, or on cash flow or option valuation discount models, and involve recognised valuation methods. The aim of a valuation process is to establish what the price of an instrument would be under normal market conditions. For example, the fair value of bonds or of variable-income securities and futures is determined by using quoted prices. The use of valuation techniques that are based on market data usually concerns over-the-counter derivatives, securities where income is taxed at source (treasury bills, certificates of deposit, etc.) and repo deposits.

Investment securities

Investment securities consist of fixed-income securities, or securities reclassified from the "Held-for-sale securities" or "Trading securities" category, with the clear intention of holding them until maturity. They are recorded at their acquisition price at the date they are acquired, excluding expenses.

Any unrealised losses that may exist between the carrying amount of the securities and their market price are not impaired. Conversely, when it is likely that the institution will not receive all or part of the repayment value when the securities mature, an impairment charge is recorded. The difference between the acquisition and repayment price of the securities (premium or discount) is amortised on an actuarial basis.

The interest from these securities is recognised in the income statement under interest income on fixed-income securities.

Impairment charge provisions or reversals are recognised in the income statement under the heading "Cost of risk".

In case of disposal or transfer of securities to another category constituting a significant amount compared to the total amount of the other investment securities held, they can no longer be classified under this category for the ongoing period and for the two subsequent financial years.

All the securities held and classified under "Investment securities" are then reclassified under the "Held-for-sale securities" category. In exceptional market situations that require a change of strategy, if the trading and held-for-sale securities were transferred to this category, the disposals realised before the maturity of these investment securities do not lead to the application of the rule of reclassification of other securities held, described above, if they can be traded once again on an active market.

Equity holdings

Equity holdings correspond to investments that are made on a regular basis, with a view to realising a medium-term capital gain, without any intention of investing in the expansion of the business assets on a long-term basis, or playing an active role in the operating management of the Company issuing the securities. They are recognised at their acquisition price.

An impairment charge is recorded to cover a permanent impairment in the value of the securities due to the intrinsic deterioration of the Company's situation.

Income from equity holding securities is recognised in the income statement under "Income from floating-rate securities".

Realised gains or losses as well as impairment provisions and reversals are recorded in the income statement under the heading "Gains or losses on investment portfolio transactions and similar".

Equity investments, other long-term securities and holdings in related companies

Equity investments comprise interests in companies over of which La Banque Postale SA has a material influence over the governing bodies of the issuing companies, and strategic investments for the growth and development of La Banque Postale SA. Such influence is presumed when La Banque Postale SA's holding is 10% or more.

Other long-term securities held are shares and similar that La Banque Postale SA intends to hold in the long term to generate sufficient profit in the shorter or longer term, without participating in the management of the issuer, but with the intention of promoting long-term professional relations by forming a special link with the issuer.

Holdings in related companies consist of equities and other variable-income securities in associates over which La Banque Postale SA has exclusive control, i.e. those that could be fully consolidated in the Group's financial statements.

Securities are valued at their value in use, which is estimated based on various criteria, such as net assets, the profitability outlook, and discounted future cash flows. An impairment charge is recorded in the event of permanent impairment of the Company's value in use. Charges net of write-backs, and gains or losses on the disposal of these securities are recognised in the "Gains and losses on non-current assets" item.

Dividends are recorded when the dividend payment resolution is voted on by the General Meeting or on collection, when the Meeting's decision is not known. They are recorded under "Income from variable-income securities".

4 Tangible and intangible assets

Fixed assets are valued at their acquisition cost, to which initial fixtures and fittings costs may be added in the case of buildings.

In application of the provisions of ANC Regulation 2014-03, six components were selected for the Bank's operating properties: structural work, roofing, joinery and external works, major equipment items, small equipment items and fixtures and fittings, and land.

Depreciation is calculated on a straight-line basis over the likely useful life. Depending on their components, buildings are therefore amortised over periods ranging between 10 and 80 years:

- ▶ Structural work: 80 years;
- ▶ Roofing: 60 years;
- ▶ Joinery and external works: 40 years;
- ▶ Major equipment items: 20 years;
- ▶ Small equipment items, fixtures and fittings: 10 years.

Installations, and fixtures and fittings are usually depreciated over ten years.

When they meet the criteria for fixed assets, proprietary software packages are recognised at their development cost, including third-party expenses and employee benefits expense directly assigned to the project. They are usually amortised over three to five years.

5 Liabilities due to credit institutions, and customer accounts in credit

This debt includes deposits, agreed borrowings, securities assigned under repo agreements, and loaned securities.

Borrowings

Borrowings are recorded under liabilities at their repayment value. The corresponding interest is recorded through profit and loss on a pro rata basis.

Securities assigned under repo agreements

The arising liability is recorded under liabilities. The securities are kept in their original portfolio and continue to be valued according to the rules applicable to that portfolio. The corresponding interest is recorded through profit and loss on a pro rata basis.

6 Debt securities

Debt securities consist of negotiable debt securities issued by La Banque Postale.

Interest accrued and not received attached to these securities is included in a related debt account through profit and loss.

The issue costs are amortised on an actuarial basis over the term of the corresponding issues as well as the issue premiums and repayments.

7 Provisions

The following items are currently included under this heading:

- ▶ provisions recorded in order to meet employee-related commitments, which mainly correspond to retirement compensation;
- ▶ other provisions recorded pursuant to the provisions of ANC Regulation 2014-03, regarding the recognition of liabilities. These provisions are intended to cover contingencies and charges where the purpose is clearly specified, and where the amount or maturity cannot be accurately determined. The recording of such provisions is conditional on the existence of an obligation towards a third party at the year-end, and on the absence of an amount that is least equivalent expected as consideration from that third party;
- ▶ provisions to cover signed commitments, where the likelihood of a guarantee call has become very high;
- ▶ The home loan savings accounts (CEL) and home loan savings plans (PEL) offered to individual customers under the provisions of the law of 10 July 1965 include two stages: a stage where funds are gathered in the form of remunerated savings and a stage where they are used to grant home loans.

They generate two kinds of commitments for the lending institution:

- ▶ an obligation to remunerate future savings at a rate fixed at the opening of the account for an indefinite period for PEL accounts opened before 28 February 2011, and at a rate that is reviewed annually for new generation accounts;
- ▶ an obligation to grant customers who request it, a loan at a rate fixed when signing the agreement.

These commitments have potentially unfavourable consequences (Notice No. 2006-02 issued by the French National Accounting Council) for the Bank, and are the subject of provisions shown in the balance sheet liabilities (under "Provisions"); movements of these provisions are recorded in the net banking income interest margin.

The provisions are estimated on the basis of customer behaviour statistics and market data for each generation of plans, in order to cover any future expenses arising from the potentially unfavourable interest rate conditions attached to these products relative to the rates offered to retail customers on similar products where the remuneration is unregulated. The provisions only relate to the commitments for home loan savings accounts and plans that exist at the date the provision is calculated.

Provisions are calculated for each generation of home loan savings plans, without offsetting commitments for different generations of home loan savings plans, and for all the home loan savings accounts representing one generation. At the savings stage, the commitments to be provisioned are evaluated according to the difference between average forecast savings deposits and minimum forecast savings deposits, both of which are determined on a statistical basis by factoring in historical observations on actual customer behaviour.

At the lending stage, the commitments to be provisioned include loans that have already been granted but not yet released at the year-end date, as well as future loans that are viewed as statistically likely based on balance sheet deposits as at the calculation date, and on historical observations on actual customer behaviour.

A provision is recorded when the net present value of future income is negative for a given generation of loans.

That income is assessed relative to the rates offered to retail customers on equivalent savings and lending products that have the same term as the deposits and were agreed on the same day.

8 Subordinated debt

This item includes debt where repayment is only possible once other senior or secured creditors have been repaid in the event that the debtor's assets are liquidated.

Interest accrued and payable is included in a related debt account through profit and loss.

9 General banking risk fund

The aim of this fund is to counter operational risk and the expenses inherent to the banking and financial asset management business that cannot be covered elsewhere.

10 Transactions on forward financial instruments

Transactions involving interest rate, foreign exchange, or equity futures are recorded in accordance with the provisions of ANC Regulation 2014-07. Commitments relating to these transactions are recorded in the off-balance sheet financial statements at the nominal value of the contract.

The recognition of income or losses on these instruments depends on the management intention.

Macro-hedging transactions

Income and expenses relating to macro-hedging transactions are recorded through profit and loss on a pro rata basis. An amount offsetting this entry is recorded in accruals until the date when the funds are received or disbursed.

The balances recorded when interest-rate futures arrangements are terminated are immediately recognised through profit and loss.

Micro-hedging transactions

The income or expense from instruments that are assigned to hedge an item or a homogeneous group from the outset are recorded in profit and loss in a manner that is symmetrical to the hedged item's income or expense.

The balances recorded when interest-rate futures arrangements are terminated are immediately recognised through profit and loss.

Other transactions

These transactions are valued based on their market value at the reporting date.

Where over-the-counter transactions corresponding to isolated open positions are concerned, the income or loss is recorded on a pro rata basis, or when the contract unwinds, depending on their

nature. Unrealised gains are not recognised. Potential unrealised losses, defined as the difference between estimated market value and carrying amount, are subject to a provision charge.

Unrealised or realised gains or losses on transactions performed on an organised market are recorded directly in net profit for the financial year.

11 Off-balance sheet commitments

The off-balance sheet statement mainly shows the financing commitments given (cash facilities, overdrafts, irrevocable financing commitments) and the guarantee commitments received or given, which have not led to fund movements.

Other commitments given correspond primarily to the fair value of securities pledged in favour of the European Central Bank as part of the financing commitment received from the latter or as part of collateral for loans in favour of the home loan company of LBP Group (La Banque Postale Home Loan SFH).

12 Employee-related commitments

Most of the employee-related commitments are covered by contributions that are expensed.

In the case of employees' rights to retirement compensation, which are not covered by insurance policies, pursuant to the preferential method specified in CNC Recommendation No. 03-R-01, these rights are provisioned according to an actuarial method that factors in the age and the seniority of the staff, life expectancies, and their likelihood of remaining at the Group until retirement age, as well as the estimated increase in remuneration.

The pension plan for contracted staff is characterised by payments to bodies that release the employer from any subsequent obligation, as the body is responsible for paying the amounts due to the employee. Therefore, once the contributions have been paid, no liability or commitment is shown in the Group's financial statements. Contributions paid to independent bodies are expensed in the period concerned.

The Amending Finance Act of 2006 introduced a reform of the way in which the pensions for government employees attached to La Poste Group were financed, which was applied retroactively as at 1 January 2006.

Under the scheme introduced in 2006, the Group pays an employer contribution, which discharges it of its liabilities. As a result, no provision for the retirement of civil servants is recorded in the financial statements.

13 Commission income and expenses

La Banque Postale recognises commissions in profit and loss depending on the services supplied and the way in which the financial instruments to which that service relates are recognised:

- ▶ Commissions paid for ongoing services are recognised in profit and loss over the length of the service (commissions on means of payment);
- ▶ Commissions paid for one-off services or for a major transaction are recognised in profit and loss in full when the service is provided or the transaction performed (account management commissions, commissions on payment issues).

14 Cost of risk

The cost of credit risk includes impairment charges and reversals on fixed-income securities and customer loans and receivables, as well as charges and reversals of impairment relating to guarantee commitments given, losses and discounts on receivables, and the recovery of amortised receivables.

15 Corporate income tax

Only the tax payable is recorded in the separate financial statements. The income tax expense indicated in the income statement corresponds to the corporate income tax payable for 2016.

The standard rate is 33.3%, plus a 3.3% social security contribution on earning, giving an effective tax rate of 34.43%.

NOTE 2 NOTE ON THE BALANCE SHEET**Note 2.1 Breakdown of cash and central banks**

(€ '000s)	31.12.2016	31.12.2015
Cash	813,891	959,872
Central banks	1,918,001	850,711
Related receivables and central banks		46
CASH AND CENTRAL BANKS	2,731,892	1,810,629

Note 2.2 Central banks - Liabilities

(€ '000s)	31.12.2016	31.12.2015
Central banks		
Related Liabilities - Central banks (creditors)		
CENTRAL BANKS		

2.3 Debt payable to credit institutions and similar

(€ '000s)	31.12.2016	31.12.2015
Current accounts in debit	24,572	37,355
Overnight accounts and loans	10,000,000	3,612,859
Securities borrowed overnight	-	-
Securities received under repurchase agreements	763,685	556,572
Other securities borrowed	-	-
Non-allocated securities	1	2,477
Doubtful receivables	-	-
Related receivables	1,584	2,501
Gross total	10,789,843	4,211,764
Impairment charges	(0)	(0)
Demand receivables – credit institutions	10,789,843	4,211,764
Term accounts and loans ⁽¹⁾	87,602,783	89,401,733
Securities received under repurchase agreements	-	-
Other securities borrowed	-	-
Subordinated loans ⁽²⁾	190,095	190,095
Doubtful receivables	-	-
Related receivables	29,970	37,209
Gross total	87,822,848	89,629,036
Impairment charges	-	-
Long-term receivables – credit institutions	87,822,848	89,629,036
DEBT PAYABLE TO CREDIT INSTITUTIONS AND SIMILAR	98,612,691	93,840,801

(1) Including accounts opened with the CDC: The balances transferred to the CDC include Livret A, Sustainable Development and National Savings account balances. The balances transferred to the Caisse des dépôts et consignations (CDC) amounted to a total of €70,547,825 thousand in 2016 versus €75,192,329 thousand in 2015. Of which loans to subsidiaries of La Banque Postale Group: €15,069,705 thousand.

(2) These are subordinated loans granted to Crédit Logement to enable the company to comply with its regulatory capital commitments.

2.4 Liabilities due to credit institutions and similar

(€ '000s)	31.12.2016	31.12.2015
Current accounts in credit ⁽¹⁾	1,322,019	1,185,107
Overnight accounts and borrowings	-	47,763
Securities loaned overnight	-	-
Securities assigned under repo agreements	-	-
Other amounts payable	22,717	15,600
Related Liabilities	-	-
Demand liabilities to credit institutions	1,344,736	1,248,471
Term accounts and loans ⁽²⁾	6,272,649	4,909,846
Securities loaned	-	-
Securities assigned under repo agreements	15,664,329	13,429,090
Related Liabilities	27,178	28,361
Long-term liabilities to credit institutions	21,964,157	18,367,298
LIABILITIES DUE TO CREDIT INSTITUTIONS AND SIMILAR	23,308,892	19,615,769

(1) Of which with subsidiaries of La Banque Postale Group: €664,213 million.

(2) Of which with subsidiaries of La Banque Postale Group: €3,887,979 million.

2.5 Receivables – Customer transactions

(€ '000s)	31.12.2016	31.12.2015
Commercial receivables	-	-
Current accounts in debit ⁽¹⁾	745,238	872,569
Loans to financial customers	143,382	-
Short-term credit facilities	1,747,410	1,275,344
Home loans	51,149,776	49,424,001
Equipment leases	3,943,285	3,210,395
Export credits	-	-
Other loans	1,849,122	1,001,829
Non-allocated securities ⁽²⁾	24,709	32,839
Securities received under repurchase agreements	806,659	3,126,355
Subordinated loans	-	-
Lease transactions and similar	-	-
Transactions with customers before impairment charges	60,409,580	58,943,332
Impairment relating to customer receivables		
► On current accounts in debit	(94,433)	(125,534)
► On customer loans	(160,992)	(96,415)
CUSTOMER TRANSACTIONS	60,154,155	58,721,383
Of which related receivables	110,690	120,693
Of which gross doubtful receivables	301,467	262,445
Of which gross non-performing doubtful receivables	384,380	254,581
Of which performing restructured receivables	30,360	21,483

(1) Amount of receivables related to subsidiaries: €83,813 thousand.

(2) This item primarily represents receivables relating to transactions on mandate.

2.6 Liabilities – Customer transactions

(€ '000s)	31.12.2016	31.12.2015
Special overnight accounts	84,707,858	85,574,967
Long-term special accounts	28,067,684	26,393,109
Related Liabilities	251	13
Special scheme savings accounts	112,775,793	111,968,089
Current accounts in credit ⁽¹⁾	58,630,603	53,769,753
Related Liabilities	7,832	10,393
Current accounts in credit – customers	58,638,435	53,780,146
Customer financial borrowings	128,124	98,578
Term deposits in credit	386,603	1,076,596
Securities loaned		
Securities assigned under repo agreements	2,744,756	3,448,923
Other amounts payable to customers	527,782	699,875
Related Liabilities	764	2,290
Other liabilities to customers	3,788,029	5,326,262
CUSTOMER TRANSACTIONS	175,202,257	171,074,497

(1) Including €196,998 thousand with subsidiary companies versus €182,526 thousand in 2015.

2.7 Financial transactions – Breakdown by category

	31.12.2016				
	Securities				
(€ '000s)	Transaction	Held-for-sale	Investment	Equity holdings	Total
GOVERNMENT PAPER AND SIMILAR SECURITIES					
Repayment value	722,554	6,951,060	18,686,205	-	26,359,819
Residual premiums/discounts	-	344,348	297,530	-	641,878
Related receivables	-	49,195	407,195	-	456,390
Impairment charges	-	-	-	-	-
Net book value	722,554	7,344,604	19,390,930	-	27,458,088
of which loaned securities		250,130		-	-
Of which listed securities	722,554	7,334,589	19,390,930	-	-
BONDS AND OTHER FIXED-INCOME SECURITIES ⁽¹⁾					
Repayment value	11,026,409	10,612,681	2,494,700	-	24,133,789
Residual premiums/discounts	-	146,751	(21,916)	-	124,835
Related receivables	-	96,316	69,178	-	165,494
Impairment charges	-	(17,500)	-	-	(17,500)
Net book value	11,026,409	10,838,247	2,541,962	-	24,406,618
of which loaned securities				-	-
of which listed securities	2,956,682	9,887,579	2,378,747	-	-
EQUITIES AND OTHER VARIABLE-INCOME SECURITIES					
Gross value	-	635,239	-	49,381	684,620
Related receivables	-	-	-	-	-
Impairment charges	-	(7,699)	-	(2,053)	(9,752)
Net book value	-	627,540	-	47,328	674,868
of which loaned securities					-
of which listed securities		347,771			-
NET TOTAL BY PORTFOLIO TYPE	11,748,962	18,810,391	21,932,892	47,328	52,539,573

(1) Details of counterparty risk related to fixed-income securities are given in Note 2.22.

The balance sheet value of trading securities amount is indicated under "market value".

During the financial year 2016, no investment securities were transferred to investment portfolios.

During the 2016 financial year, the early repurchase of an investment security for €167.4 million took place in compliance with Article 7bis of CRB 90(01) and generated no gain.

	31.12.2015				
	Securities				
(€ '000s)	Transaction	Held-for-sale	Investment	Equity holdings	Total
GOVERNMENT PAPER AND SIMILAR SECURITIES⁽¹⁾					
Repayment value	225,651	3,098,069	20,419,693	-	23,743,413
Residual premiums/discounts	-	160,031	371,114	-	531,144
Related receivables	-	28,892	482,961	-	511,852
Impairment charges	-	(23,267)	-	-	(23,267)
Net book value	225,651	3,263,725	21,273,767	-	24,763,143
<i>of which loaned securities</i>	-	129,620	72,228	-	-
<i>of which listed securities</i>	225,651	3,253,683	21,273,767	-	-
BONDS AND OTHER FIXED-INCOME SECURITIES⁽¹⁾					
Repayment value	10,175,601	11,012,655	3,152,062	-	24,340,318
Residual premiums/discounts	-	185,258	(27,368)	-	157,890
Related receivables	-	128,139	71,683	-	199,822
Impairment charges	-	(16,149)	-	-	(16,149)
Net book value	10,175,601	11,309,903	3,196,377	-	24,681,881
<i>of which loaned securities</i>	-	-	-	-	-
<i>of which listed securities</i>	2,587,733	10,035,511	2,373,231	-	-
EQUITIES AND OTHER VARIABLE-INCOME SECURITIES					
Gross value	-	779,287	-	49,269	828,556
Related receivables	-	-	-	-	-
Impairment charges	-	(11,247)	-	(4,324)	(15,571)
Net book value	-	768,041	-	44,945	812,985
<i>of which loaned securities</i>	-	-	-	-	-
<i>of which listed securities</i>	-	500,679	-	-	-
NET TOTAL BY PORTFOLIO TYPE	10,401,252	15,341,668	24,470,144	44,945	50,258,010

(1) Details of counterparty risk related to fixed-income securities are given in Note 2.22.

During the 2015 financial year, no investment securities were transferred to investment portfolios.

During the 2015 financial year, the early repurchase of an investment security for €445.4 million took place in compliance with

Article 7bis of the CRB 90(01) and generated a capital gain of €4 million. No investment securities were transferred to investment portfolios.

2.8 Market value of financial transactions

(€ '000s)	Held-for-sale securities		Investment securities		Equity holding securities	
	31.12.2016	31.12.2015	31.12.2016	31.12.2015	31.12.2016	31.12.2015
GOVERNMENT PAPER AND SIMILAR SECURITIES						
Net book value ⁽¹⁾	7,344,604	3,263,725	19,390,930	21,273,767		
Market value	7,762,295	3,370,914	21,747,398	23,844,042		
BONDS AND OTHER FIXED-INCOME SECURITIES						
Net book value ⁽¹⁾	10,838,247	11,309,903	2,541,962	3,196,377		
Market value	11,014,630	11,467,724	2,859,503	3,581,723		
EQUITIES AND OTHER VARIABLE-INCOME SECURITIES						
Net book value	627,540	768,041			47,328	44,945
Market value and/or value in use for equity holdings	649,218	807,325			63,671	59,373

(1) Impairment charges are calculated taking into account unrealised gains and losses relating to any financial instruments assigned as hedges for held-for-sale securities.

2.9 Debt securities

(€ '000s)	31.12.2016	31.12.2015
Short-term securities	-	-
Related Liabilities	-	-
Short-term securities	-	-
Inter-bank market securities	-	-
Certificates of deposit	6,154,997	4,835,253
Negotiable medium-term bills and other negotiable debt securities issued	-	-
Related Liabilities	(5,954)	(945)
Inter-bank market securities and negotiable debt securities	6,149,043	4,834,308
Bond borrowings and similar	510,000	972,000
Issue premium	315	(258)
Related Liabilities	29	139
Bond borrowings and similar	510,344	971,881
Other debt securities	4,500	4,500
Related Liabilities	1	1
Other debt securities	4,501	4,501
DEBT SECURITIES	6,663,888	5,810,690

2.10 Portfolio breakdown – holdings in related companies

(€ '000s)	31.12.2016					31.12.2015				
	Book value of securities	Advances	Impairment charges	Net value of securities	% interest held	Book value of securities	Advances	Impairment charges	Net value of securities	% interest held
SF2	1,143,909			1,143,909	100.00%	1,143,909			1,143,909	100.00%
La Banque Postale Crédit Entreprises	220,000			220,000	100.00%	220,000			220,000	100.00%
BPE	157,626			157,626	99.99%	157,626			157,626	99.99%
LBP Home Loan SFH	210,004			210,004	100.00%	210,004			210,004	100.00%
LBP Collectivités Locales	650			650	65.00%	650			650	65.00%
LBP Prévoyance ⁽¹⁾	291,635			291,635	50.00%					
SOFIAP	37,754			37,754	66.00%	37,754			37,754	66.00%
TOTAL EQUITY INVESTMENTS AND CONSOLIDATABLE ADVANCES	2,061,577			2,061,577		1,769,943			1,769,943	
<i>Of which listed investments</i>										

(1) As part of the renegotiation of agreements tying LBP to CNP Assurances, on 28 June 2016, LBP acquired the 50% holding held by CNP Assurances in the capital of LBP Prévoyance. Since SF2 holds the remaining 50% of the capital of LBP Prévoyance, the company is not wholly owned by LBP.

2.11 Breakdown of the equity investments and other long-term securities portfolio

(€ '000s)	31.12.2016					31.12.2015				
	Book value of securities	Advances	Impairment charges	Net value of securities	% interest held	Book value of securities	Advances	Impairment charges	Net value of securities	% interest held
Association certificates	75,723			75,723		58,269			58,269	
BPI	4,008			4,008	NS	4,008			4,008	NS
Transactis	2,474			2,474	50.00%	2,474			2,474	50.00%
STET	6,917			6,917	5.01%	6,917			6,917	5.01%
Visa Inc.	14,343			14,343	NS					
Other	2,092			2,092		1,749			1,749	NA
EQUITY INVESTMENTS AND OTHER LONG-TERM SECURITIES	105,557			105,557		73,418			73,418	
<i>Of which listed securities</i>										

2.12 Breakdown of non-current assets

(€ '000s)	01.01.2016	Change			31.12.2016			31.12.2015		
	Gross amount	Additions	Transfers	Disposals	Gross amount	Aggregate depreciation, amortisation and impairment	Net amount	Gross amount	Aggregate depreciation, amortisation and impairment	Net amount
Land	-	-			-	-	-	-	-	-
Buildings ⁽¹⁾	375,723	-			375,723	-	375,723	375,723	-	375,723
Other operating non-current assets	705,682	58,950	82	(107,089)	657,624	(488,012)	169,612	705,682	(534,161)	171,522
Property, plant and equipment	1,081,406	58,950	82	(107,089)	1,033,348	(488,012)	545,336	1,081,406	(534,161)	547,245
Start-up costs	-	-	-	-	-	-	-	-	-	-
Franchises, licenses, and patents	255,878	41,277	7,521	(15,529)	289,147	(218,497)	70,650	255,878	(212,302)	43,576
Other intangible assets	795,479	80,511	(7,603)	(1,912)	866,475	(598,403)	268,072	795,479	(534,697)	260,782
Intangible assets	1,051,357	121,788	(82)	(17,441)	1,155,622	(816,900)	338,722	1,051,357	(746,999)	304,358
PROPERTY, PLANT EQUIPMENT AND INTANGIBLE ASSETS	2,132,763	180,738	-	(124,530)	2,188,970	(1,304,912)	884,058	2,132,763	(1,281,160)	851,603

(1) This item consists of the amounts of equity investments in SCI CRSF and SCI Tertiaire Saint Romain, in accordance with the 2007 recommendations of the French Prudential Supervision and Resolution Authority (ACPR).

2.13 Breakdown of accruals and other assets

(€ '000s)	31.12.2016	31.12.2015
Prepaid expenses	33,797	34,443
Income receivable on derivatives	278,800	283,363
Other income receivable	344,491	250,309
Revaluation of derivative and foreign exchange instruments	3	44
Collection accounts	78,114	66,606
Other accruals	759,788	844,000
Accruals	1,494,992	1,478,764
Conditional instruments purchased	12,668	16,821
Collective management of Sustainable Development accounts	-	-
Guarantee deposits paid ⁽¹⁾	1,020,285	850,126
Securities transaction settlement accounts	9,642	3,025
Related receivables	477	254
Other assets ⁽²⁾	839,004	676,891
Impairment charges	(6,393)	(8,752)
Other assets	1,875,683	1,538,365
ACCRUALS AND OTHER ASSETS	3,370,675	3,017,129

(1) Including €25,000 thousand with subsidiary companies.

(2) Including €10,629 thousand with subsidiary companies.

2.14 Breakdown of accruals and other liabilities

(€ '000s)	31.12.2016	31.12.2015
Advances	405,532	297,894
Expenses payable on derivatives	923,856	221,823
Revaluation of derivative and foreign exchange instruments	278	772
Other accruals ⁽¹⁾	1,472,099	1,665,857
Accruals	2,801,766	2,186,347
Conditional instruments sold	14,051	19,246
Securities-related payables	-	-
Other payables ⁽²⁾	2,206,782	2,042,545
Securities transaction settlement accounts	7,821	8,471
Related Liabilities	959	357
Other liabilities	2,229,613	2,070,619
ACCRUALS AND OTHER LIABILITIES	5,031,379	4,256,966

(1) This item primarily represents accruals for means of payment transactions in the Financial Centres.

(2) Including €72,396 thousand with subsidiary companies.

2.15 Breakdown of provisions recorded under liabilities

(€ '000s)	31.12.2015	Provisions	Reversals of provisions used	Reversals of provisions not used	Other changes	31.12.2016
Provisions for retirement and other employee-related commitments ⁽¹⁾	18,519	9,889	(2,700)	-	-	25,707
Home savings provisions	503,500	-	(141,600)	-	-	361,900
Other provisions	393,052	58,710	(7,718)	(101,883)	(67)	342,094
Provisions (excluding counterparty risk)	915,070	68,599	(152,018)	(101,883)	(67)	729,701
Signed commitments	-	-	-	-	-	-
Provisions for counterparty risk recorded under liabilities	-	-	-	-	-	-
PROVISIONS	915,070	68,599	(152,018)	(101,883)	(67)	729,701

(1) La Banque Postale is not bound by any retirement commitments that are not shown in its balance sheet.

2.16 Breakdown of the home savings optionality

Generation	Deposits collected	Loans granted in respect of PEL and CEL accounts	2016 provision	2015 provision	Changes in provision
Over 10 years	5,865		73	100	(27)
4 to 10 years	10,714		104	126	(22)
less than 4 years	10,749		166	246	(80)
PEL account total	27,328	53	343	472	(129)
CEL account total	4,587	368	19	32	(13)
TOTAL	31,915	421	362	504	(142)

2.17 Subordinated debt

(€ '000s)	Date of issue	Maturity date	Rate	Currency of origin	31.12.2016	31.12.2015
Subordinated debt repayable ⁽¹⁾	30/11/2010	30/11/2020	4.375%	EUR	750,000	750,000
Subordinated debt repayable ⁽¹⁾	23/04/2014	23/04/2026	2.750%	EUR	750,000	750,000
Subordinated debt repayable ⁽¹⁾	19/11/2015	19/11/2027	2.750%	EUR	750,000	750,000
Subordinated debt repayable ⁽¹⁾	09/06/2016	09/06/2028	3.000%	EUR	500,000	
Subordinated debt repayable ⁽¹⁾	05/10/2016	05/10/2028	2.250%	EUR	100,000	
Perpetual subordinated debt ⁽²⁾	13/12/2013	NA	8.000%	EUR	800,000	800,000
Interest and similar					16,525	8,367
TOTAL					3,666,525	3,058,367

(1) Called Lower Tier 2 in the calculation of additional equity capital (Article 4d of CRBF Regulation 90-02). These debts are redeemable following approval by the ACPR on the anniversary date of the call or in the event of a regulatory or tax change. The change in the 2016 financial year is explained by the Lower Tier 2 issues for €500 million in June 2016 and €100 million in October 2016.

(2) Called Hybrid Tier One in the calculation of additional equity capital (Article 4c of CRBF Regulation 90-02). This debt can, in particular, be repaid by the Bank in the event of changes in the accounting or tax legislation, in the event of changes in the regulations regarding determination of the solvency ratio or downgrading by rating agencies. These securities include a clause for automatic share conversion if the Tier 1 core equity capital ratio falls below 7%. Interest payment is discretionary.

2.18 Breakdown of transactions with credit institutions and customers by residual maturity

(€ '000s)	Accrued interest	<= 3 months	3 months to 1 year	1 to 5 years	> 5 years	31.12.2016
ASSETS						
Receivables – Credit institutions and similar	31,554	82,275,010	2,641,071	7,253,167	6,411,887	98,612,691
Receivables – Customers	115,045	2,805,718	4,447,146	16,300,502	36,485,728	60,154,138
Securities portfolios (transaction, held-for-sale and investment)						
Government paper and similar securities	456,390	551,391	2,337,149	11,335,989	12,777,167	27,458,088
Bonds and other fixed-income securities	165,494	4,027,746	8,021,657	10,575,620	1,616,101	24,406,618
LIABILITIES						
Liabilities due to credit institutions and similar	27,178	15,263,444	3,681,287	1,310,768	3,026,215	23,308,892
Liabilities to customers	8,847	173,348,341	399,578	1,043,436	402,055	175,202,257
Debt securities						
Bond borrowings	344	-	250,000	260,000	-	510,344
Inter-bank market securities and negotiable debt securities	(5,954)	3,123,300	3,031,697	-	-	6,149,043
Other debt securities	1	-	-	4,500	-	4,501
Subordinated debt	16,525	-	-	750,000	2,900,000	3,666,525
OFF-BALANCE SHEET						
Financing commitments given	-	3,886,467	3,858,826	3,388,236	7,938,134	19,071,663
Guarantees given	-	2,572,029	240,163	511,374	1,261,444	4,585,010

2.19 Equity

(€ '000s)	General banking risk fund	Capital	Issue and transfer premiums	Legal reserves	Other reserves and retained earnings	Parent company net profit	Parent company shareholders' equity (excluding GBRF)	Total parent company shareholders' equity
Equity capital as at 31 December 2013	22,000	3,413,735	16,719	136,179	1,001,433	311,249	4,879,316	4,901,316
Appropriation of N-1 net income				15,562	295,687	(311,249)		
Dividend N paid for N-1 net profit					(260,631)		(260,631)	(260,631)
Capital increase ⁽¹⁾		632,673					632,673	632,673
N net profit						164,649	164,649	164,649
Equity capital as at 31 December 2014	22,000	4,046,408	16,719	151,742	1,036,489	164,649	5,416,007	5,438,007
Appropriation of N-1 net income				8,232	156,417	(164,649)		
Dividend N paid for N-1 net profit					(304,712)		(304,712)	(304,712)
N net profit						478,261	478,261	478,261
Equity capital as at 31 December 2015	22,000	4,046,408	16,719	159,974	888,193	478,261	5,589,555	5,611,556
Appropriation of N-1 net income				23,913	454,348	(478,261)		
Dividend N paid for N-1 net profit					(318,083)		(318,083)	(318,083)
Reversal of regulated provisions					(2)			
N net profit						564,066	564,066	564,066
Equity capital as at 31 December 2016	22,000	4,046,408	16,719	183,887	1,024,456	564,066	5,835,539	5,857,539

(1) On 18 November 2014, La Banque Postale performed a capital increase for a total amount of €632,673 thousand, via the issue of 5,501,503 new shares. The total number of shares is now 35,186,153. This capital increase remunerates the Post Office cash contribution.

2.20 Breakdown of foreign exchange transactions

(€ '000s)	31.12.2016	31.12.2015
Cash foreign exchange transactions:		
Lending and borrowing transactions:		
Forward foreign exchange transactions:		
Euros receivable against currencies to be delivered	(3,338,963)	(2,067,397)
Currencies receivable against euros to be delivered	(7,276,833)	(4,984,929)
Non-accrued swap points:		
Receivable	(5,080)	(3,490)
Payable	(5,370)	(437)

2.21 Breakdown of forward financial instruments

(€ '000s)	31.12.2016				31.12.2015			
	Position management transactions		Hedging transactions		Position management transactions		Hedging transactions	
	Notional amount	Fair value	Notional amount	Fair value	Notional amount	Fair value	Notional amount	Fair value
FIRM TRANSACTIONS	35,027,534	(27,584)	39,798,505	(253,246)	36,974,902	(27,790)	33,719,294	297,184
Organised markets	4,095,409	5,820			4,503,544	623		
Interest rate contracts	4,095,409	5,820			4,503,544	623		
Other contracts								
Over-the-counter markets	30,932,125	(33,404)	39,798,505	(253,246)	32,471,358	(28,413)	33,719,294	297,184
Interest rate swaps	26,003,627	5,733	38,937,670	(224,328)	25,288,315	(11,807)	33,394,578	305,471
Fras								
Other contracts	4,928,497	(39,138)	860,835	(28,918)	7,183,043	(16,605)	324,716	(8,287)
CONDITIONAL TRANSACTIONS	5,469,139	297,369	9,000	33	7,135,384	575,749	10,000	33
Organised markets								
Interest rate options								
Other options								
Over-the-counter markets	5,469,139	297,369	9,000	33	7,135,384	575,749	10,000	33
Caps and floors	4,891,968	(848)	9,000	33	5,636,482	(1,308)	10,000	33
Swaptions					760,000			
Exchange rate options								
Credit derivatives	275,000	(3,954)			160,000	(1,845)		
Other options	302,171	302,171			578,902	578,902		

There was no financial futures transfer from one category to the other.

2.22 Counterparty risk relating to financial futures

A financial asset and liability are offset and a net balance is shown on the balance sheet when La Banque Postale has a legally enforceable right to offset the amounts recognised, and when it intends either to settle the net amount or to realise the asset and settle the liability simultaneously. A financial asset and liability covered by master offsetting agreements or similar agreements fulfilling the definition of an enforceable contract (legally enforceable right to offset securities with the same maturity against cash), which can be exercised under all conditions but does not meet the offsetting criteria, are presented as net book value where they are realised with the same legal entity.

The tables below show the amounts of financial assets and liabilities that were offset in the Bank's balance sheet as well as the amounts that could be offset in compliance with the master offsetting agreements or similar agreements, but which are not eligible to be offset in the Bank's financial statements. The net positions resulting from these different offsetting agreements do not aim to assess the Bank's exposure to counterparty risk on these financial instruments.

2016 Assets

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial assets	Gross value of financial liabilities	Financial assets presented net	Amount not offset		Securities received not recognised on the balance sheet	Net value
(€ '000s)				Financial instruments	Cash collateral received		
Derivatives (Market value)	2,182,312		2,182,312	805,403	1,313,341		63,568
Borrowed and loaned securities (amortised cost)	6,202,677	4,632,790	1,569,887	515,137	(26,642)	1,081,392	-
Other financial liabilities	7,984		7,984	6,203			1,781
TOTAL	8,392,973	4,632,790	3,760,183	1,326,743	1,286,699	1,081,392	65,349

2016 Liabilities

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial liabilities	Gross value of financial assets offset in the financial statements	Financial liabilities presented net	Amount not offset		Securities given not recognised on the balance sheet	Net value
(€ '000s)				Financial instruments	Cash collateral paid		
Derivatives (Market value)	1,511,252		1,511,252	805,403	664,393		41,456
Borrowed and loaned securities (amortised cost)	23,041,875	4,632,790	18,409,085	515,137	(14,561)	17,881,066	27,443
Other financial liabilities							
TOTAL	24,553,127	4,632,790	19,920,337	1,320,540	649,832	17,881,066	68,899

2015 Assets

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial assets	Gross value of financial liabilities	Financial assets presented net	Amount not offset		Securities received not recognised on the balance sheet	Net value
(€ '000s)				Financial instruments	Cash collateral received		
Derivatives (Market value)	1,783,547		1,783,547	540,588	1,223,361	-	19,598
Borrowed and loaned securities (amortised cost)	7,606,389	3,924,075	3,682,314	118,424	37,411	3,526,423	56
Other financial assets	5,271		5,271	1,239		-	4,032
TOTAL	9,395,207	3,924,075	5,471,132	660,251	1,260,772	3,526,423	23,687

2015 Liabilities

	(a)	(b)	(c) = (a) - (b)	(d)		(e)	(f) = (c) - (d) - (e)
	Gross carrying amount of financial assets	Gross value of financial liabilities	Financial assets presented net	Amount not offset		Securities received not recognised on the balance sheet	Net value
(€ '000s)				Financial instruments	Cash collateral received		
Derivatives (Market value)	978,913		978,913	540,588	405,405	-	32,920
Borrowed and loaned securities (amortised cost)	20,802,088	3,924,075	16,878,013	118,424	235,663	16,521,563	2,363
Other financial liabilities			-			-	-
TOTAL	21,781,001	3,924,075	17,856,926	659,012	641,068	16,521,563	35,283

2.23 Breakdown of financial instruments by maturity

(€ '000s)	31.12.2016				31.12.2015			
	<= 1 year	1 to 5 years	> 5 years	Total	<= 1 year	1 to 5 years	> 5 years	Total
FIRM TRANSACTIONS	21,971,732	20,167,946	32,686,360	74,826,039	25,664,181	21,719,903	23,310,112	70,694,196
Interest rate contracts	4,095,409			4,095,409	4,303,544	200,000		4,503,544
Index contracts								
Interest rate swaps	13,377,656	19,821,986	31,741,655	64,941,297	14,179,444	21,193,337	23,310,112	58,682,893
Fras								
Other contracts	4,498,667	345,960	944,705	5,789,332	7,181,192	326,566		7,507,759
CONDITIONAL TRANSACTIONS	1,224,392	3,608,377	645,370	5,478,139	1,485,420	4,769,526	890,438	7,145,384
Caps and floors	1,223,209	3,117,759	560,000	4,900,968	723,787	4,175,835	746,861	5,646,482
Swaptions					760,000			760,000
Exchange rate options								
Credit derivatives		275,000		275,000		160,000		160,000
Other options	1,183	215,618	85,370	302,171	1,633	433,691	143,578	578,902

2.24.1 Credit risk

(€ '000s)	Gross performing loans	Gross doubtful performing loans	Gross doubtful non-performing loans	Gross 31.12.2016	Gross 31.12.2015
Receivables – Credit institutions	98,612,691			98,612,691	93,840,801
Receivables – Customers	59,723,733	301,467	384,380	60,409,580	58,943,332
Of which current accounts in debit	650,120	9,996	85,122	745,238	872,569
Of which short-term credit facilities	1,711,390	35,041	979	1,747,410	1,275,344
Of which home loans	50,645,247	246,900	257,629	51,149,776	49,424,001
Of which equipment leases	3,935,124	8,161		3,943,285	3,210,395
Of which export credits					
Of which other loans	1,807,101	1,370	40,651	1,849,122	1,001,829
Held-for-sale and investment portfolio (fixed-income securities) ⁽¹⁾	24,406,618			24,406,618	24,681,881
Government paper ⁽²⁾	27,458,088			27,458,088	24,763,143
Financing commitments and guarantees given	23,625,995	30,679		23,656,674	20,502,301
TOTAL	233,827,124	332,146	384,380	234,543,650	222,731,457

(1) Excluding government paper.

(2) Excluding trading securities.

2.24.2 Provisions for counterparty risk

(€ '000s)	31.12.2015	Provisions	reversals	Other changes ⁽¹⁾	31.12.2016
Receivables – Credit institutions and similar					
Receivables – Customers ⁽²⁾	221,950	190,156	(155,249)	(1,428)	255,426
Of which current accounts in debit	125,535	66,305	(97,060)	(345)	94,434
Of which short-term credit facilities	978	7,471	(908)	36	7,576
Of which home loans	71,324	101,409	(57,043)	(1,053)	114,636
Of which equipment leases					
Of which export credits					
Of which other loans	24,113	14,971	(238)	(66)	38,780
Other assets ⁽²⁾	8,752	7,857	(10,216)		6,393
Held-for-sale portfolio (Fixed-income securities)					
Investment portfolio					
Total fixed-income securities					
Impairment charges recorded under assets⁽³⁾	230,701	198,013	(165,465)	(1,428)	261,821
Execution risks on signed commitment ⁽²⁾					
Other provisions for counterparty risk					
Provisions recorded under liabilities					
TOTAL IMPAIRMENT FOR COUNTERPARTY RISK	230,701	198,013	(165,465)	(1,428)	261,821

(1) The other changes correspond to the accretion of impairments, which are recorded in the income statement under the item "interest to customers"; as well as reclassifications to Other assets.

(2) Including impairment charges recorded under assets.

Gross performing loans	35,575	26,842	(32,899)	(121)	29,397
Gross doubtful performing loans	51,351	35,741	(49,859)	(1,091)	36,142
Gross doubtful non-performing loans	143,776	135,429	(82,709)	(216)	196,280

NOTE 3 NOTES TO THE INCOME STATEMENT

3.1 Interest on cash and inter-bank transactions

(€ '000s)	31.12.2016	31.12.2015
Interest on current accounts in debit	5,885	1,963
Interest on accounts and loans	1,123,222	1,424,563
Negative interest on overnight and term borrowings ⁽¹⁾	3,042	700
Interest on securities borrowed	-	-
Interest on securities received under repo agreements ⁽¹⁾	14,333	25,697
Negative interest on securities assigned under repo agreements ⁽¹⁾	72,198	22,824
Other interest and similar income	33,270	31,107
INTEREST AND SIMILAR INCOME ON CASH AND INTER-BANK TRANSACTIONS	1,251,950	1,506,854
Interest on current accounts in credit	(1,906)	(813)
Interest on overnight and term borrowings ⁽¹⁾	(69,328)	(61,381)
Negative interest on accounts and loans ⁽¹⁾	(31,031)	(2,597)
Interest on securities assigned under repo agreements ⁽¹⁾	(766)	(6,464)
Negative interest on securities received under repo agreements ⁽¹⁾	(4,003)	(2,406)
Other interest and similar expenses	(104)	(86)
INTEREST AND SIMILAR EXPENSES ON CASH AND INTER-BANK TRANSACTIONS	(107,138)	(73,747)

Interest income on accounts and loans includes the return on funds transferred to the Caisse des Dépôts et Consignations (CDC).

This return includes the interest paid to depositors shown under "Interest and similar expenses – customers" and the additional remuneration received by La Banque Postale.

(1) The opening expense balances and negative interest income have been restated.

3.2 Interest on customer transactions

(€ '000s)	31.12.2016	31.12.2015
Interest on current accounts in debit	47,233	55,565
Interest on commercial receivables and customer loans	-	-
Interest on short-term credit facilities	16,805	19,339
Interest on equipment leases	54,245	58,069
Interest on home loans	1,382,877	1,574,538
Other interest	19,249	18,581
Interest on other loans and borrowed securities	1	3
Negative interest on term accounts in credit, borrowings and securities loaned ⁽³⁾	277	61
Interest on securities received under repo agreements	0	-
Negative interest on securities assigned under repo agreements ⁽³⁾	11,648	4,089
Other interest and similar income ⁽¹⁾	140,264	36,708
Doubtful interest	16,557	12,665
INTEREST AND SIMILAR INCOME ON CUSTOMER TRANSACTIONS	1,689,156	1,779,616
Interest on current accounts in credit	(20,019)	(18,224)
Interest on term accounts in credit, borrowings and securities loaned ⁽³⁾	(2,914)	(4,993)
Interest on securities assigned under repo agreements	-	-
Negative interest on securities received under repo agreements ⁽³⁾	(4,667)	(1,612)
Interest on special savings accounts ⁽²⁾	(1,341,807)	(1,513,501)
Other interest and similar expenses	(5,144)	(15,094)
INTEREST AND SIMILAR EXPENSES ON CUSTOMER TRANSACTIONS	(1,374,551)	(1,553,423)

(1) including €141,600 thousand corresponding to the provision for home savings in 2016.

(2) including €63,400 thousand corresponding to the provision for home savings in 2015.

(3) The opening expense balances and negative interest income have been restated.

3.3 Interest on fixed-income securities

(€ '000s)	31.12.2016	31.12.2015
Interest and similar income on held-for-sale securities	167,720	158,439
Interest and similar income on investment securities	749,496	865,588
Other interest and similar income	205,564	118,969
INTEREST AND SIMILAR INCOME ON BONDS AND OTHER FIXED-INCOME SECURITIES	1,122,779	1,142,996
Interest on negotiable certificates of deposit and negotiable medium-term bills	(2,592)	(8,773)
Interest and expenses on bond borrowings	(22,489)	(1,346)
Other interest expenses	(108,343)	(23,897)
Interest on subordinated debt	(126,252)	(120,665)
INTEREST AND SIMILAR EXPENSES ON BONDS AND OTHER FIXED-INCOME SECURITIES	(259,677)	(154,680)

3.4 Other interest and similar

(€ '000s)	31.12.2016	31.12.2015
Income from foreign exchange instruments	-	-
Income from interest rate instruments	229,288	207,633
OTHER INTEREST AND SIMILAR INCOME	229,288	207,633
Expenses on foreign exchange instruments	-	-
Expenses on interest rate instruments	(71,362)	(88,509)
OTHER INTEREST AND SIMILAR EXPENSES	(71,362)	(88,509)

3.5 Income from variable-income securities

(€ '000s)	31.12.2016	31.12.2015
Income from equities and other variable-income securities	11,944	15,175
Income from equity holding securities	1,646	390
Income from investments	200,499	207,741
INCOME FROM VARIABLE-INCOME SECURITIES	214,089	223,306

3.6 Commissions

(€ '000s)	31.12.2016		31.12.2015	
	Income	Expenses	Income	Expenses
Cash and inter-bank transactions	51,206	(3,238)	34,545	(3,230)
Customer transactions	883,892	(70,471)	971,405	(75,432)
Securities transactions	4	(4,637)	-	(16,507)
Transactions on forward financial instruments	-	(494)	-	(263)
Supply of financial services	1,481,266	(156,738)	1,365,053	(158,392)
Foreign exchange transactions	-	(5)	-	-
Other commissions	40,449	-	38,105	(0)
COMMISSIONS	2,456,817	(235,584)	2,409,108	(253,824)

3.7 Profit on trading portfolio transactions

(€ '000s)	31.12.2016	31.12.2015
Profit on trading securities transactions	1,840	24,927
Profit (loss) on foreign exchange instrument transactions	15,552	70,729
Loss on forward financial instrument transactions	(31,721)	(28,390)
GAINS OR LOSSES ON TRADING PORTFOLIO TRANSACTIONS	(14,329)	67,266

3.8 Profit on investment portfolio transactions

(€ '000s)	31.12.2016	31.12.2015
Profit from disposal of held-for-sale securities	101,675	173,474
Other interest and expenses on held-for-sale securities	-	-
Impairment charges and reversals on held-for-sale securities and profit (loss) on related hedging transactions	(74,992)	(145,670)
Gains or losses on equity holding securities transactions	26,682	27,803
Profit or loss from disposal of equity holding securities ⁽¹⁾	102,550	(39)
Impairment charges and reversals on equity holding securities	2,271	-
Gains or losses on equity holding securities transactions	104,822	(39)
GAINS OR LOSSES ON INVESTMENT PORTFOLIO TRANSACTIONS AND SIMILAR	131,504	27,765

(1) including a capital gain of €102,6 million on the disposal of Visa Europe securities.

3.9 Other banking operating income and expenses

(€ '000s)	31.12.2016		31.12.2015	
	Income	Expenses	Income	Expenses
Re-invoiced expenses, income paid out, and transfers of expenses	10,436	-	21,189	-
Other sundry operating income and expenses	10,977	(70,546)	17,789	(56,517)
Provisions and reversals on other operating income and expenses	22,322	(38,013)	9,072	(25,376)
Other banking operating income and expenses	43,736	(108,559)	48,050	(81,894)
NET AMOUNT OF BANKING OPERATING INCOME AND EXPENSE	(64,823)		(33,843)	

3.10 Employee benefits expense

(€ '000s)	31.12.2016	31.12.2015
Wages and salaries	(178,062)	(172,750)
Pensions	(23,221)	(17,775)
Social security contributions	(75,356)	(72,282)
Incentives and employee profit-sharing	(6,733)	(13,535)
Tax, duties and similar payments on employee compensation	(24,921)	(24,807)
Other expenses	(14,354)	(10,236)
EMPLOYEE BENEFITS EXPENSES	(322,648)	(311,385)
Amount of attendance fees paid to directors	307	347

Compensation paid during the year to members of the Executive Board for the financial year amounted to €1,216 thousand.

No Executive Board member enjoys supplementary retirement benefits.

No other transaction was concluded with members of the Board under previous conditions.

3.11 Headcount

	31.12.2016	31.12.2015
Civil servant staff	547	583
Non-civil servant staff	1,994	1,918
TOTAL HEADCOUNT⁽¹⁾	2,541	2,501
Executives	2,281	2,225
Non-executives	260	276
TOTAL HEADCOUNT⁽¹⁾	2,541	2,501

(1) Headcount expressed as agent equivalents for the year ending 31 December.

3.12 Other general operating expenses

(€ '000s)	31.12.2016	31.12.2015
Taxes and duties ⁽¹⁾	12,925	(51,955)
Lease payments	-	-
Rents and rental expenses	(110,562)	(114,078)
Fees	(90,390)	(95,505)
Other operating expenses ⁽²⁾	(3,643,768)	(3,675,965)
OTHER GENERAL OPERATING EXPENSES	(3,831,796)	(3,937,502)

(1) Including the Single Resolution Fund and the Deposit Guarantee and Resolution Fund.

(2) This item includes in particular expenses related to the service agreements between La Poste and La Banque Postale for €3,111.455 million.

3.13 Re-invoicing

(€ '000s)	31.12.2016	31.12.2015
Employee benefit expenses are re-invoiced on a euro for euro basis ⁽¹⁾	23,425	21,943
General expenses excluding employee benefits expenses are re-invoiced on a euro for euro basis	56,414	62,403
RE-INVOICING	79,839	84,346

(1) Including the re-invoicing of staff belonging to both companies of La Poste, which amounted to €6,469 thousand.

3.14 Depreciation, amortisation and impairment charges

(€ '000s)	31.12.2016	31.12.2015
Depreciation and amortisation of operating non-current assets	(140,570)	(187,800)
Depreciation and amortisation of operating non-current assets		
<i>Of which amortisation of tangible operating non-current assets</i>	(53,460)	(85,179)
<i>Of which amortisation of intangible operating non-current assets</i>	(87,110)	(102,621)
Reversals of depreciation and amortisation on operating non-current assets	-	-
Net depreciation and amortisation	(140,570)	(187,800)
Impairment of operating non-current assets	-	-
Reversals of impairment charges on operating non-current assets	-	-
Net impairment charges	-	-
NET DEPRECIATION, AMORTISATION AND IMPAIRMENT OF TANGIBLE AND INTANGIBLE NON-CURRENT ASSETS	(140,570)	(187,800)

3.15 Cost of risk

(€ '000s)	31.12.2016	31.12.2015
IMPAIRMENTS ON		
Customers and credit institutions	(192,090)	(288,896)
Other debtors	(7,690)	(4,291)
Impairment charges	(199,779)	(293,187)
REVERSALS OF IMPAIRMENT CHARGES ON		
Customers and credit institutions	155,243	252,615
Signed commitments	-	35,632
Other debtors	9,614	2,332
Reversals of impairment charges	164,857	290,578
LOSSES AND RECOVERIES		
Losses on signed commitments	-	(35,404)
Losses on unrecoverable impaired receivables	(59,914)	(64,209)
Losses on unhedged unrecoverable impaired receivables	(21,081)	(23,048)
Recovery of amortised receivables	5,384	5,266
Losses and recoveries	(75,611)	(117,395)
COST OF RISK	(110,533)	(120,003)

Changes in impairment charges relating to a counterparty risk are described in Note 2.24.2.

3.16 Gains or losses on non-current assets

(€ '000s)	31.12.2016	31.12.2015
Gains or losses on disposal of property, plant and equipment	(1,782)	(1,026)
Gains or losses on disposal of intangible assets	(206)	(0)
Gains or losses on disposal of property, plant and equipment and intangible assets	(1,988)	(1,027)
Gains or losses on sale of investments, and gains or losses on advances	-	4,041
Gains or losses on equity investments and other long-term securities transactions	-	4,041
GAINS OR LOSSES ON NON-CURRENT ASSETS	(1,988)	3,015

3.17 Income tax expense

(€ '000s)	31.12.2016	31.12.2015
Corporate income tax	(76,358)	(258,927)
INCOME TAX EXPENSE	(76,358)	(258,927)
Losses carried forward	-	-

3.18 Nature of differences

(€ '000s)		31.12.2016	31.12.2015
Temporary	Loans & Deposits	26,973	64,281
	Home Savings Provision Optionality	(141,600)	63,400
	Corporate Social Solidarity Contribution	(743)	(491)
	UCITS	(15,292)	(19,056)
	Financial instruments	(5,559)	(12,947)
	Other temporary differences	19,813	1,434
Permanent	Parent-subsidiary regime	(190,472)	(197,353)
	Tax credit	(992)	38,782
	Fines	(61,018)	(18,139)
	Other differences	(38,781)	30,883
DIFFERENCES		(407,670)	(49,206)

NOTE 4 INFORMATION ON THE AUDIT OF THE FINANCIAL STATEMENTS

Information on the statutory auditors' fees is given in the notes to the consolidated financial statements of La Banque Postale Group;

as a consequence, this information is not provided in the notes to the La Banque Postale S.A. annual financial statements.

NOTE 5 BUSINESS LOCATION DETAILS

List of investments in the regions that have not entered into a tax assistance agreement

Name	Status	% of capital held	Voting rights	Legal form	Business
None					

NOTE 6 INFORMATION CONCERNING THE SUBSIDIARIES AND EQUITY STAKES HELD BY LA BANQUE POSTALE AS AT 31 DECEMBER 2016

Subsidiaries (+50% of capital held)

	SF2 ⁽¹⁾	SCI Tertiaire Saint Romain ⁽²⁾	SCI CRSF METROPOLE ⁽³⁾	SCI CRSF DOM ⁽⁴⁾	BPE ⁽⁵⁾	LBP Home Loan SFH ⁽⁶⁾	LBP Partenariats ⁽⁷⁾
SIREN number	424,176,238	478,301,286	445,061,369	445,047,442	384,282,968	522,047,570	823,423,215
Capital	1,053,573,881	64,001,500	256,411,996	2,333,111	102,410,685	210,000,000	60,000
Reserves and retained earnings before appropriation of net income	332,659,637	9,440,637	11,372,713	1,105,097	12,344,200	3,109,685	
Share of capital held (%)	100%	100%	100%	100%	100%	100%	100%
Carrying amount of securities held							
► Gross	1,143,908,526	116,999,885	256,391,996	2,331,611	157,626,139	210,004,000	60,000
► Net	1,143,908,526	116,999,885	256,391,996	2,331,611	157,626,139	210,004,000	60,000
Loans and advances granted by the Company and not yet repaid	-	80,000,000	-	-	1,765,898,000	25,000,000	
Amount of sureties and guarantees given by the Company	-	-	-	-	592,606,559	6,473,914,648	
Revenues* for the previous financial year (excluding tax)	277,833	13,808,276	39,036,971	910,331	86,041,361	3,744,426	-
Net income for the last financial year	175,678,865	4,079,780	9,467,966	458,329	13,127,427	1,353,268	-
Dividends received by the Company in the previous financial year	181,442,115	-	7,050,780	-	11,904,104	-	-
Comments	Holding company	Property letting company	Property letting company	Property letting company	Bank	Financial services advisory company	Partnership development

(1) 115, rue de Sèvres 75275 PARIS Cedex 06.

(2) 35-39, boulevard Romain Rolland 75014 PARIS.

(3) 115, rue de Sèvres 75275 PARIS Cedex 06.

(4) 115, rue de Sèvres 75275 PARIS Cedex 06.

(5) 62, rue du Louvre, 75002 PARIS.

(6) 115, rue de Sèvres 75275 PARIS Cedex 06.

(7) 115, rue de Sèvres 75275 PARIS Cedex 06.

* Depending on the subsidiary's business, revenue is presented if it is a trading company, and net banking income is presented if it is a bank or financial company.

Subsidiaries (+50% of capital held)					Subsidiaries (10% to 50% of capital held)				
LBP Collectivités Locales ⁽⁷⁾	La Banque Postale Credit Entreprises ⁽⁸⁾	SOFIAP ⁽⁹⁾	Galliéni SF2-6 ⁽¹⁰⁾	LBP Prévoyance ⁽¹¹⁾	TRANSACTIS ⁽¹²⁾	PayLib ⁽¹³⁾	GIE CR- CESU ⁽¹⁴⁾	SGFGAS ⁽¹⁵⁾	WiseProfits ⁽¹⁶⁾
792,665,572	514,613,207	391,844,214	522,058,544	419,901,269	479,874,257	522,048,032	487,708,455	390,818,235	812,309,284
700,000	220,000,000	60,137,760	40,000	5,202,000	4,948,120	1,099,725	420,000	942,870	4,546
1,314,146	(47,557,231)	28,754,080	(13,961)	191,650,099	(25,375)	3,036		275,038	599,274
65.00%	100.00%	66.00%	100.00%	50.00%	50.00%	20.00%	16.67%	12.50%	10.00%
649,997	220,000,000	37,754,126	40,000	291,634,500	2,474,062	219,945	70,000	140,465	333,105
649,997	220,000,000	37,754,126	40,000	291,634,500	2,474,062	219,945	70,000	140,465	333,105
6,753,037,000	1,721,803,000		-		26,250,000	-	-	-	
- 2,608,539,166	60,000,000		-		-	-	-	-	
3,000,000	61,245,840	21,721,177	-	516,568,114	57,586,004	1,232,798	NA	4,343,600	-
(470,417)	2,276,672	70,284	(2,714)	44,566,818	-	(2,891)	NA	11,870	(51,169)
0	0	0	0	0	0	0	-	-	0
Mortgage brokerage company	Financial company	Financial company	Financial services advisory company	Insurance company	Financial services holding company	Payment company	Universal employment services cheques	Guarantee fund management company	Participative investment advisory company

- (7) 115, rue de Sèvres 75275 Paris Cedex 06.
 (8) 115, rue de Sèvres 75275 Paris Cedex 06.
 (9) 7 rue Pierre Levée 75011 Paris.
 (10) 115, rue de Sèvres 75275 Paris Cedex 06.
 (11) 10 Place de Catalogne 75014 Paris.
 (12) 33, places des Corolles – Tour Europe La Défense II -92400 Courbevoie.
 (13) 115, rue de Sèvres 75275 Paris Cedex 06.
 (14) 155, avenue Galliéni 93170 Bagnolet.
 (15) 13, rue Auber 75009 Paris.
 (16) 14 avenue de l'Opéra 75001 Paris.

NOTE 7 LA BANQUE POSTALE – TABLE FEATURING KEY FINANCIAL DATA FOR THE PAST FIVE YEARS

(in €)	2012	2013	2014	2015	2016
FINANCIAL POSITION					
Share capital	3,185,734,830	3,413,734,750	4,046,407,595	4,046,407,595	4,046,407,595
Number of shares	27,702,042	29,684,650	35,186,153	35,186,153	35,186,153
COMPREHENSIVE INCOME					
Revenue *	8,652,820,008	7,912,903,096	7,474,544,915	7,378,305,936	7,110,660,813
Profit before corporate income tax, depreciation, amortisation and net provision charges	879,964,839	891,541,339	927,845,727	960,973,920	630,611,923
Income tax	(229,083,049)	(267,492,028)	(310,824,005)	(258,926,682)	(76,357,888)
Profit after corporate income tax, depreciation, amortisation and provisions	460,769,474	311,249,224	164,648,962	478,260,808	564,066,406
Proposed profit for distribution	258,183,031	260,631,227	304,712,085	318,082,823	312,101,177
EARNINGS PER SHARE					
Profit after corporate income tax, and before depreciation, amortisation and provisions	23.50	20.84	17.52	19.95	15.72
Profit after corporate income tax, depreciation, amortisation and provisions	16.63	10.49	4.68	13.59	16.03
Proposed profit for distribution	9.32	8.78	8.66	9.04	8.87
EMPLOYEES					
Average headcount	2,159	2,275	2,389	2,473	2,526
Payroll expenses	134,089,621	142,101,291	153,564,624	161,840,302	163,848,588
Amounts paid for employee benefits (Social Security, social welfare organisations, etc.)	59,876,174	64,044,525	70,300,209	82,518,567	89,710,337

* This is all the bank operating income (profits or losses from financial transactions are taken at their net amount).

5.5 STATUTORY AUDITORS' REPORT ON THE SEPARATE FINANCIAL STATEMENTS

La Banque Postale S.A.

Registered office: 115, rue de Sèvres – 75275 Paris Cedex 06

Share capital: €4,046,407,595

Statutory auditors' report on the separate financial statements

Financial year ending 31 December 2016

Ladies and Gentlemen,

In accordance with the terms of the assignment entrusted to us by your Annual General Meeting, we hereby submit our report for the financial year ending 31 December 2016, regarding:

- ▶ our audit of the La Banque Postale SA parent company separate financial statements, as appended to this report;
- ▶ the justification of our assessments;
- ▶ the specific checks and information required by law.

The separate financial statements have been prepared by the Executive Board. Our role is to issue an opinion on those financial statements, based on our audit.

I - Opinion on the separate annual financial statements

We have conducted our audit in accordance with the professional standards applicable in France. These standards require that we implement procedures to obtain reasonable assurance that the separate financial statements are free of material misstatements. An audit involves examining, by means of spot checks and other sampling methods, the evidence supporting the amounts and disclosures shown in the separate financial statements. It also involves assessing the accounting principles used, the significant estimates made and the overall presentation of the financial statements. We believe that the evidence we have gathered in order to form our opinion is sufficient and relevant.

We hereby certify that the separate financial statements for the financial year present a true and fair view of the results of the transactions for the year just-ended, as well as of the Company's financial position and net assets at the end of that financial year.

II - Justification of assessments

Pursuant to the provisions of Article L.823-9 of the French Commercial Code relative to the justification of our assessments, we bring the following information to your attention:

Depreciation and provisioning of credit and counterparty risks

Your Company records provisions for impairment to cover the direct and indirect credit and counterparty risks inherent in its activities (as described in Note 1 "Accounting principles and methods – Presentation and valuation rules", in Sections 2 "Receivables – Credit institutions and customers – Signed commitments", 3 "Securities", 7 "Provisions", and detailed in Notes 2.5 "Receivables – Customer transactions", 2.24.1 "Credit risk", 2.24.2 "Provisions for counterparty risk" and 3.15 "Cost of risk" to the financial statements. We have examined the control procedures for identifying and monitoring credit and counterparty risk, for the processes for identifying exposures, for impairment and provision methods, and for risk assessment and the hedging of those risks via individual and collective impairment charges and provisions.

Valuation of securities and financial instruments

Paragraphs "3-Securities" and "10-Transactions on forward financial instruments" in Note "1-Accounting principles and methods – Presentation and valuation rules" of the Notes to the financial statements set forth the accounting policies and methods applicable to securities and financial instruments. We have examined the control procedures relating to accounting categories, the definition of transactions, and the determination of the parameters utilised for the valuation of the Bank's positions concerning securities and financial instruments. We have verified the appropriateness of the accounting methods selected by your organisation and have satisfied ourselves that they are applied correctly.

Analysis of contingency and loss provisions

Your organisation records provisions for liabilities in the balance sheet, as indicated in Paragraph 7 "Provisions" of Note 1 "Accounting principles and methods – Presentation and valuation rules" and in Note 2.15 "Breakdown of provisions recorded in liabilities" to the financial statements. Our work included assessing the data and assumptions on which these estimates of provisions are based and examining the procedures for approval of these estimates by management.

More specifically, with respect to the provision intended to cover the potentially unfavourable consequences of commitments under home savings contracts (Note 2.16 "Breakdown of the home loan savings option"), we have also examined the control procedures for checking the models and determining the parameters used and we have conducted a review of the calculations carried out by the Company.

Our assessments were made in the context of our audit of the separate financial statements, taken as a whole, and therefore assisted us in reaching our opinion as expressed in the first part of this report.

III - Specific checks and information

We also performed the specific checks specified in law, in accordance with the professional standards applicable in France.

We have no observation to make as to the true and fair presentation and consistency with the separate financial statements of the information on the Company's financial position and annual accounts provided in the Executive Board's management report and in the documents sent to you.

With regard to the information provided pursuant to the provisions of Article L.225-102-1 of the French Commercial Code on the remuneration and benefits awarded to corporate officers, and on the commitments granted for their benefit, we checked that this information matched the financial statements or the data used to prepare these financial statements, and where applicable, the information gathered by your Company from companies that control your Company or that it controls. Based on this work, we hereby certify the accuracy and truthfulness of that information.

In accordance with the law, we have verified that the information relating to the acquisition of equity interests and controlling interests was disclosed to you in the management report.

Paris La Défense, 28 February 2017

KPMG Audit

A division of KPMG SA

Marie-Christine Jolys

Partner

Neuilly-sur-Seine, 28 February 2017

PricewaterhouseCoopers Audit

Jacques Lévi

Partner

CORPORATE SOCIAL RESPONSIBILITY

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NB: The whole of this chapter meets the regulatory reporting obligation under Article 225 of the Grenelle law II and decree No. 2012-557 of 24 April 2012 on the transparency obligations of corporate, social and environmental responsibility.

NB: The acronym CSR stands for Corporate Social Responsibility

6.1 CSR GOVERNANCE AT LA BANQUE POSTALE

Since its creation, La Banque Postale, a public service bank serving the real economy, has chosen a unique, solid, responsible and sustainable business model. As a bank for everyone, it has always welcomed every person with respect and consideration, irrespective of their situation. A useful bank, it offers responsible, simple and innovative services along with quality advice. La Banque Postale maintains close relationships with all of its customers, individual and corporate, thanks to the post offices' unique network and its numerous interconnected and long-distance access services. Focused on regional development, La Banque Postale harnesses French people's savings for local development and energy transition projects in the country. The bank built on trust, it gives first priority to its customers' interests and to the management of both financial and extra-financial risks. As a "civic-minded bank", it shares and creates a new relationship with money and the bank along with its customers. This relationship of trust, acclaimed by its customers and stakeholders alike, is its greatest pride and its finest quality; it is built each day through respect for the men and women working in its organisation, and through respect for the environment.

The Banque Postale's governance of Corporate Social Responsibility (CSR) is ensured by the **Bank's Management Committee** or CoDir (former Executive Committee), which is chaired by the Chairman of the Executive Board and which meets twice a year. The Management Committee validates the selected projects, decides on the major

strategic guidelines regarding CSR and ensures that the proposed projects can produce results that will make CSR a factor of differentiation, performance and profitability for La Banque Postale. The Management Committee's actions in 2016 included the validation of the Responsible Financing Charter for legal entities, confirmation of the new budget for the Internal Carbon Fund and its enlargement to emissions from the Network's banking business (see "Environmental Commitment" chapter), and ratifying the action plans proposed following the extra-financial rating results.

The Banque Postale's **CSR policy** is centred on four economic, employment, societal and environmental commitments. Historically this policy has covered 12 missions and 25 project priorities, each one supported by follow-up indicators and qualitative and quantitative targets (see "La Banque Postale CSR's Policy" section). In 2017, the amalgamation of the Bank's CSR, Financial Services and Network teams will be an opportunity to reconsider the CSR strategy and to lay the foundations for a common policy between now and 2022.

La Banque Postale's **CSR framework**, developed in accordance with ISO 26000, was used as the basis for constructing a matrix of CSR challenges. In 2015, this materiality analysis measured the importance of these challenges in the eyes of internal and external stakeholders and provided the information to map the most relevant issues for the Bank. This exercise will be renewed in 2017.

Materiality analysis

The in-house **materiality matrix** has shown that four out of five customer concerns are located in the first quartile of the matrix: Responsible customer relations, responsible offering, protection and confidentiality of customer data, and accessibility to products and services. The analysis confirms La Banque Postale's strategic plan and its focus on continually putting customers' interests first, at a time when banks are facing competition from FinTech and new entrants in the banking sector wishing to capitalise on the opportunities offered by Big Data.

The fifth topic, new consumer modes and practices, is close to the first quartile and can therefore be viewed as emerging. This positioning is in line with the improvement priorities identified by extra-financial ratings agencies and with the internal CSR diagnostic conducted in 2015, which found that CSR was not adequately considered in designing products and services.

A response was provided by the launch of the Green Range in the framework of COP21 (see "Responsible Offering" section). La Banque Postale's range now includes products and services with environmental added value both in terms of the offer of credit for legal entities and individual customers, and of insurance and saving offers.

Another concern that becomes clear from the materiality matrix is the importance of embedding CSR in governance bodies. La Banque Postale responded to this concern through its awareness-raising work with the members of its Supervisory Board in the first

half of 2016. Furthermore, the decision taken in 2015 to incorporate a CSR criterion (the Bank's extra-financial rating) into the calculation of employee profit-sharing was renewed in 2016.

Finally, this awareness initiative is reflected by two separate and complimentary CSR courses available in the catalogue of the École de la Banque et du Réseau (see "Raising Players' Awareness" section below).

Another concern that emerged from the materiality matrix as deserving of particular attention is the identification and management of extra-financial risks. When considered in light of Article 173 of the French Energy Transition and Green Growth Act (*Loi Transition Énergétique et pour la Croissance Verte*), the centrality of the risks associated with climate change comes to the fore. Thus, in 2016, La Banque Postale reinforced the approach initiated in 2015 of measuring the exposure to climate risk during the half yearly analyses of the exposure of its trading room portfolios to extra-financial risks. The Bank assesses the carbon intensity of its portfolios and the findings inform the Bank's investment decisions taking the companies' environmental impact into account (see the section on "Management of extra-financial risks").

In conclusion, a comparison between the results of La Banque Postale's materiality matrix and the action programmes that emerged from the CSR Diagnostic exercise confirms that the decisions made in this respect are firmly within the guidelines established.

Raising awareness

Throughout the year, the CSR Department and the CSR correspondents in the various entities and establishments raise employee awareness on CSR issues and projects. The teams are mobilised every year during the five weeks of nationwide events organised around the following themes: sustainable development, mobility, socially responsible investment, employment of disabled persons and reducing waste. For instance, the Bank's policy was highlighted during the 2016 Sustainable Development Week through pedagogical actions to raise employee awareness throughout France of each of the environmental, employment, societal and economic issues.

The Internal CSR network, for its part, with about 140 employees, receives special attention as the main driver for the reporting and consolidation of extra-financial information. Conference calls are organised every two months to pass on information from head office to the field and to share local best practices. The CSR Division

held an information and discussion seminar on 1 December 2016 which brought together and federated actors from all the Bank's departments, subsidiaries and sites, and restated the importance of the Bank's commitment to CSR in general and to Energy Transition in particular. La Banque Postale also updated its **two CSR training modules in 2016**: the first tackles "The fundamentals of Sustainable Development and CSR" and the second focuses on "Being a player and deploying La Banque Postale's CSR policy". The two modules form part of the training catalogue offered by the École de la Banque et du Réseau and may be taken by the 70,000 employees of the Bank, Financial Services and La Poste Network who are interested in Corporate Social Responsibility and its operational implications on the ground.

Finally, the Supervisory Board's awareness of the CSR challenges facing the Bank was raised at a strategic seminar in April 2016.

6.2 LA BANQUE POSTALE'S CSR POLICY

La Banque Postale's CSR policy is designed around 12 missions and 25 flagship/priority projects. It will be reviewed in 2017 after the CSR teams are brought closer together. The table below shows where to find the results of this roadmap in the pages that follow.

Missions	Projects	Revenues
Help to maintain social links (teaching the use of banking services and budget management, face-to-face relationships, etc.)	Assist financially-vulnerable youths in the management of their budgets and bank accounts	See chapter on Economic commitment > Banking accessibility > A partnership approach to contribute to the development of financial education
	Offer employees a programme which enables them to get involved on a voluntary basis in the teaching of budget and bank account management	See chapter on Economic commitment > Banking accessibility > A partnership approach to contribute to the development of financial education
Promote access to financial products and services for all	Expand the offer dedicated to vulnerable customers	See chapter on Economic commitment > Banking accessibility > Promote access to financial products and services for all
	Give advisors solutions to meet the expectations of disabled persons	See chapter on Societal commitment > Customer accessibility to premises and services
Identify and spread good customer relations practices, over and above regulatory requirements	Lay down a Responsible Customer Relations Charter	NA
	Assist vulnerable customers in their relationship with the Bank	See chapter on Economic commitment > Responsible customer relations > Listening to customers
Engage in responsible commercial management with bank advisors	Design and share a framework to measure the expected quality of service and that delivered to customers	NA
	Set up variable remuneration partly based on the contribution to collective results and qualitative performance	See chapter on Economic commitment > Responsible customer relations > Appropriate and responsible counselling
Assist people undergoing financial difficulties	Use synergy with local players to expand the regional map of social assistance organisations	See chapter on Economic commitment > Responsible customer relations > Assistance to people experiencing financial difficulties
Put forward a transparent, simple, clear and responsible offering focused on essentials	Take social and environmental responsibility criteria into account in the entire product/service offering	See chapter on Economic commitment > Responsible offering > ESG Checklist: integration of ESG criteria
Integrate Corporate Social Responsibility in a dedicated eco-responsible offering	Develop a range of eco-responsible products with social and/or environmental added value (savings products, credit products, insurance products, etc.)	See chapter on Economic commitment > Responsible offering > Products and services with added social and/or environmental value
	Involve all Asset Management subsidiaries in ESG integration	See chapter on Economic commitment > Responsible offering > Responsible asset management
	Extend the ESG integration process to the Insurance Division	See chapter on Economic commitment > Responsible offering > Responsible insurance
Systematically take into account extra-financial risks in the management of all projects conducted by La Banque Postale	Raise risk managers' awareness of the need to integrate ESG risks in their risk management	See chapter on Economic commitment > Management of extra-financial risks > Integrating extra-financial risks into operational risks
	Offer the business lines an opportunity study tool integrating Corporate Social Responsibility and suited to the Project Management Method	See chapter on Economic commitment > Management of extra-financial risks > Integrating extra-financial risks into operational risks
Provide the business lines concerned with appropriate extra-financial risk management tools	Lay down sector-specific policies or investment guidelines for higher-risk sectors covering asset management and the financing activities of corporate customers	See chapter on Economic commitment > Management of extra-financial risks > Measuring the level of exposure to extra-financial risks
	Analyse the extra-financial risk level -of the stock market portfolio at regular intervals	See chapter on Economic commitment > Management of extra-financial risks > Measuring the level of exposure to extra-financial risks
Be a responsible employer	Develop responsible management (respect for employees, giving meaning, managing change)	See chapter on Social commitment > Career development and employee support and Occupational health, safety and -well-being
	Integrate Corporate Social Responsibility criteria in the managers' variable remuneration	See chapter on Social commitment > Comprehensive and competitive compensation policy
	Promote equal opportunities	See chapter on Social commitment > Diversity, disability and equal opportunity

Missions	Projects	Revenues
Promote the societal values of the Bank with its internal and external stakeholders	Promote employees' civic commitment	See Societal Commitment chapter > Sponsorship and Partnership > Solidarity leave and skills based volunteering
	Deploy a responsible purchasing policy, both in-house and with the supply chain	See chapter on Societal commitment > A responsible purchasing process
	Control CO ₂ emissions	See chapter on Environmental commitment > Combating climate change
Control the environmental impact of business activities	Control paper consumption	See chapter on Environmental commitment > Paper Consumption
	Roll out the Green IT project	See chapter on Environmental commitment > Combating climate change > Greenhouse gas emissions related to computer equipment

6.2.1 Economic commitment

6.2.1.1 Banking accessibility

Originating from La Poste's Financial Services, La Banque Postale is the only bank that was granted **a banking accessibility function** through the Economy Modernisation Act of 2008. Welcoming every person, irrespective of their situation, and offering them appropriate banking solutions – such is the Bank's commitment. Under the law of 9 February 2010, La Banque Postale must also **prevent over-indebtedness** and **promote micro-loans**.

In the new public service contract for 2013-2017, La Banque Postale has confirmed its commitment to provide information to and raise awareness among people in financial difficulty by offering the most appropriate products and services, especially in terms of modern and inexpensive means of payment. La Banque Postale has also committed to facilitate social home ownership through loans suited to the resources of low-income people.

In addition to its banking accessibility function and its reasonable pricing policy, La Banque Postale thus plays an essential role in combating banking exclusion through its daily actions to enable access to quality banking services to the greatest number of people, and by providing guidance to financially vulnerable customers, notably to prevent over-indebtedness and **develop an original, comprehensive approach to banking inclusion**.

A partnership approach to contribute to the development of financial education and to combat banking exclusion

La Banque Postale's commitment to assisting customers in financial difficulty involves setting up several **banking pedagogical actions**.

For example, La Banque Postale, in partnership with, notably, the Missions Locales network, has offered **budget management workshops for young people since 2012**. These workshops, run by volunteer employees of Le Groupe La Poste, cover budget management, how to use a bank account, how to use credit and how to save. Since 2014, almost 700 employees have volunteered for voluntary skills-based missions with non-profit association partners. In 2016, 75 new employees volunteered to attend training sessions in Paris, Bordeaux or Marseille where they were awarded a diploma as Ambassadors for the *Dilemme* personal finance and budget educational game created by the Crésus Association. On average each employee runs one session in Mission Locale per month for ten young people.

La Banque Postale and La Poste Network have also encouraged their employees to support the *Entreprendre Pour Apprendre* (Start a Business to Learn) initiative by becoming "sponsors of mini-businesses" created by students at mid schools and secondary schools. In 2016, 20 employees teamed up with *La Finance Pour Tous* to help Year 13 Management Sciences and Technologies students at the *Académie de Créteil* with their baccalaureate case study.

These actions are complimentary **to the partnerships throughout France with non-profit associations which accompany vulnerable members of the public** at post offices in the La Poste Network. Therefore more than 150 voluntary partnerships (e.g.: PIMMS, FACE, Unis-Cité, etc.) were active in 45 Regional Departments across the entire national territory at the end of 2016 with interpreters or mediators in over 300 post offices in ZUPs (Deprived Urban Areas) and QPVs (Urban Priority Neighbourhoods).

La Banque Postale and La Poste also provides training sessions to local associations, as well as a turnkey kit of instructive tools on the use of postal services, including banking services (La Poste guide according to customers' real-life situations, "step-by-step" fact sheets on transactions carried out in an office/the internet/by phone, training materials, model bank letters).

Regarding instruction on budgeting and finance, La Banque Postale also supports the non-profit association, ***L'Institut pour l'éducation financière du public*** (IEFP) (Institute for the financial education of the public), which is accredited by the French Ministry of Education. This public interest organisation, better known under the name *Finance pour tous*, was created to help citizens acquire basic knowledge of finance. Goal: for everyone to understand the economic challenges in the world in which we live so they can make informed decisions. Since 2014, La Banque Postale has sat on the Board of Directors of this non-profit association and has circulated educational and instructive documents on how to properly manage a budget to its advisors. The *Finance Pour Tous* team now also has an employee in the Bank under a skill-based sponsorship scheme.

La Banque Postale and La Poste Network also decided to support the plan to create the **magazine *Debout***, aimed not only at the 8.6 million people living below the poverty line (14% of the population according to INSEE) but also at low-income households, students and social workers. This free educational magazine is distributed to social and non-profit associations and offers advice, fact sheets, tips and instruction leaflets. Within Le Groupe La Poste, it is sent to the

Company's social workers in particular, who are in charge of providing support to La Poste employees in distress.

La Banque Postale also strengthened its ties with the *Entreprendre pour apprendre* (EPA; Start a business to Learn) non-profit Association in 2016, by hosting the jury for junior businesses in its premises and by becoming a member of the Association's Board of Directors.

Lastly, La Banque Postale supports the non-profit association **CRESUS**, recognised as being of public interest, in its initiatives to promote budget management education. La Banque Postale accordingly takes part in promoting the DYLEMME game and in the Budget Days initiated in the City of Strasbourg in 2014.

To expand its knowledge of the needs and practices of customers in a situation of financial vulnerability, La Banque Postale has, since 2012, undertaken a programme of exchange and cooperation with its stakeholders involved in combating banking exclusion. For example, La Banque Postale actively participates **in the public authorities' deliberations on banking inclusion**. In December 2012, it was a member of the working group that led to the production of an action plan to combat banking exclusion, part of the Multi-Year Plan to combat poverty and promote social inclusion that was adopted in January 2013.

In 2014, La Banque Postale accordingly contributed to the **Caisse des dépôts report** to encourage the growth and promotion of micro-loans in France, and to the **CCSF report** to develop education in banking and budget management.

In 2016, La Banque Postale supported the launch of experimental Budget Advice Points (PCB). An agreement was signed with the *Crédit Municipal de Paris* to experiment with a level 2 Budget Advice Point for Paris and the Ile de France, providing a physical reception point adapted to this region. La Banque Postale possesses remote PCB 2 expertise for the rest of France, via its partnership with Crésus.

Lastly, La Banque Postale sits, alongside representatives of the government, consumer and family non-profit associations, non-profit associations combating exclusion, and other lending institution representatives, on the **Observatoire de l'Inclusion Bancaire** (OIB). The creation of this observatory, provided for by the Banking Act of 26 July 2013, is one of the key measures of the multi-year plan to combat poverty and promote social inclusion. Its purpose is to monitor lending institutions' practices with regard to banking inclusion, especially towards populations in financial difficulties. The work of the Observatory provide public authorities and all the stakeholders with objective data, both quantitative and qualitative, to assess practices and changes in practices in order to identify potential improvements.

La Banque Postale has also **initiated direct exchanges and nurtured relations with public players in the social sector and non-profit associations** combating exclusion so as to promote "banking inclusion", i.e. the establishment of schemes facilitating access to and use of financial services for customers in a socially vulnerable situation.

Convinced that only active and organised cooperation will make it possible to meet the challenges of banking and financial exclusion, in October 2012, La Banque Postale founded a think tank tasked with developing new practices in response to the needs of customers in a situation of financial vulnerability. The goal of this think-tank called **L'Initiative contre l'exclusion bancaire (Action against Banking Exclusion)** is to:

- ▶ ensure that populations in financial difficulties and banking and other players who interact with them have a better understanding of each other;
- ▶ learn together in order to create and test products, services and practices that take into account the real expectations of these customers;

- ▶ promote and defend, especially to public authorities, the most appropriate solutions created collectively.

As an open organisation, this think tank welcomes all players in the social, non-profit association and banking world who share its goals and want to develop new initiatives to combat banking and financial exclusion. It includes, at present, ADIE (*Association pour le droit à l'initiative économique*; Association for the Right to Economic Initiative), ANDML, the Salvation Army, ATD Fourth World, La Banque Postale, CRESUS (*Chambre régionale du surendettement Social*; Regional Chamber for Social over-indebtedness), the French Red Cross, Emmaüs France, Habitat et Humanisme, Restos du cœur, Secours catholique, Secours populaire, Soliha and UNCCAS (The National Union of Municipal Centres for Social Action), ANDML (*Association Nationale des Directeurs de Mission Locale*; National Association of Local Mission Directors) and the Soliha Federation. Three new players joined the organisation in 2016: l'Union Nationale des PIMMS (UNPIMMS; National Union of Information and Mediation Points), the *Fondation Agir Contre l'Exclusion* (FACE; Act Against Exclusion Foundation) and l'Union Nationale des Affaires Familiales (UNAF; The National Union of Family Associations). The year was also marked by a co-training course for La Banque Postale's employees, with ATD Fourth World's overlapping methodology and expertise on banking themes to improve services for financially vulnerable customers.

La Banque Postale also **supports the Action Tank Entreprise et Pauvreté** ("Company and poverty"), a non-profit association (association de loi 1901) that aims to promote the development of experimental entrepreneurial projects having an impact on the reduction of poverty and exclusion in France. The Malin, Mobiliz and Optique Solidaire programmes are promoted by account managers of La Banque Postale's support platform (*L'Appui*). In 2016, La Banque Postale continued to offer car insurance as part of a "mobility flat rate" offer via its subsidiary La Banque Postale IARD, within the scope of Action Tank *Entreprise et Pauvreté*, as well as developing its work on comprehensive housing insurance for low income customers.

Promote access to financial products and services for all

Under French law, everyone is entitled to open a deposit account and to basic banking services. Through the network of post offices, La Banque Postale undertakes to welcome any person, irrespective of their situation.

True to its postal values of providing local services to the greatest number of people, La Banque Postale's guided by a principle, to serve all, and by an approach: offering the most suitable banking and insurance services to each customer at a reasonable price irrespective of their personal circumstances (*concerning accessibility to premises and services for disabled customers see the "Societal commitment" chapter*).

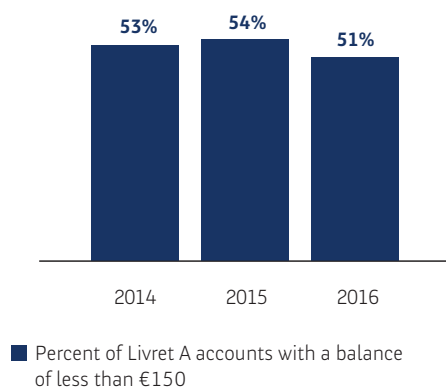
Regarding affordability, La Banque Postale reasserts its policy of moderate prices and customer service. As a civic-minded bank, La Banque Postale has chosen to use reasonable prices, i.e. prices that cover the costs inherent in a sustainable high-quality service and robust coverage of its customers' essential needs, while ensuring a reasonable margin for the Bank to finance its expansion. La Banque Postale is accordingly one of the least expensive major retail banks.

Regarding the accessibility of its bank product offering, La Banque Postale offers thresholds of accessibility to its products that are the lowest on the market.

La Banque Postale allows every French resident, including the most impoverished, to have a bank account for domiciliation of their income, withdrawing cash and issuing payment orders at its counters. As part of this public service and access to banking mission, the bank is therefore obliged to open a **Livret A** account "for any person who requests it" and to effect deposits and withdrawals of a minimum of €1.50 on such accounts (compared with €10 at

other banks). It is used by over 2 million customers and is the only pre-banking offer available in France. At the end of 2016, almost 51% of La Banque Postale's Livret A accounts held by individuals, i.e. more than 8 million accounts, had an average balance of less than €150. These accounts, which amount to only 0.31% of deposits outstanding, nonetheless generate very substantial management costs because they are amongst the most used savings accounts, accounting for more than 48% of the transactions made on Livret A accounts. **The Advisory Committee on Banking Services (CCSF)**, after a large consultation, declared itself in favour of maintaining the bank accessibility programme which is represented by the LBP's special Livret A account facilities for 2015-2020: "This assignment is a balanced response to the specific and concrete use requirements of specific populations, sometimes in extremely precarious situations, and which are not covered by other accessibility mechanisms⁽¹⁾". This role therefore makes the bank a major player in banking inclusion.

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Moreover, La Banque Postale has always promoted access to accounts and basic banking services for financially vulnerable populations. It offers them a range of alternative payments to cheques ("GPA"), the **Formule de Compte simplicité** ("easy account"). The Bank makes this offer to customers who have had their banking services suspended or have had a card suspended for misuse or over-indebtedness. Since October 2014, in accordance with the July 2013 Banking Act, it also offers it to customers in vulnerable situations who have had recurring payment incidents for three consecutive months. With this **Formule de Compte**, it is possible to pay for purchases and settle invoices with a systematic authorisation card (the Réalys card), unlimited debits, two free bank cheques per month, and four free funds transfers per month, including one standing order. To facilitate management of their account, the customer receives a monthly statement online or by mail, online account management services, and a "balance" alert service via SMS, with three free alerts per month. In the event of an incident, the costs of rejection of debit and intervention fees are capped at five transactions each per month, at a special rate. The subscription to the **Formule de Compte simplicité**, consistent with the Bank's moderate pricing policy, is below the ceiling provided for in the decree.

In addition, in January 2014, La Banque Postale launched a **frequent-authorisation Visa card** in response to the needs of the greatest number of customers. This card provides access to services such as insurance and roadside assistance, and to the payment and withdrawal caps of a conventional Visa card. It also makes it possible to pay into revenue collection systems (motorway tolls and some car parks), which do not accept the Réalys card (systematic authorisation).

With more extensive services while maintaining risk control, this card is a real innovation allowing adaptation to customers' use.

Lastly, since April 2013, La Banque Postale has launched the **Protectys Card**, the first prepaid and rechargeable bank card for protected adult customers or their legal representatives. This international Visa card, when used with a PIN code, allows withdrawals and payments to be made within the limits of a weekly amount set by the legal representative. In addition, an alert system keeps the representative, as well as the protected adult, informed of the amounts used. In addition to simplifying management of everyday expenses and budgets, all transactions can be very clearly followed. More than one protected adult in four has an account with La Banque Postale. This new card therefore makes a real difference and has no equivalent with the competition. At the end of 2016, 3,900 Protectys Cards had been distributed (versus 2,210 at the end of 2014); they represent 4% of the number of prepaid cards.

Since 2016, La Banque Postale has set up five agencies for protected adult customers. In the future over 150 expert customer advisors will perform transactions for legally protected customers. They will liaise with the main institutional and professional players.

Facilitating access to credit

La Banque Postale also **promotes access to credit for customers on a modest budget**, while remaining extremely vigilant regarding the solvency of its borrowers. It offers responsible credit with follow-up and guidance aimed at protecting the customer, and within this mode of operation unique to the Bank, it grants home loans and consumer loans, both redeemable and renewable.

Regarding **home loans**, La Banque Postale enables young people under the age of 36 to benefit from home loans, even without a down payment. Although it is extremely demanding with regard to the solvency of loan applicants, it has also enhanced access to credit via an offering of **"PAS" loans providing access to social home ownership**. With this offer, introduced at the end of 2012 in response to the needs of its customers, La Banque Postale helped more than 54,000 customers obtain access to home ownership. Thanks to all the home buying solutions proposed in partnership with social housing organisations, in 2016, La Banque Postale placed €2 billion on the market in loans for low-cost home ownership. At the end of 2016, La Banque Postale had 220 partners, a large majority of which are social housing associations.

At the end of 2016, the monthly household income for 22.4% of home loans applicants was less than two net minimum monthly wages, which represents over 16,000 people on very low incomes who were helped to acquire their homes.

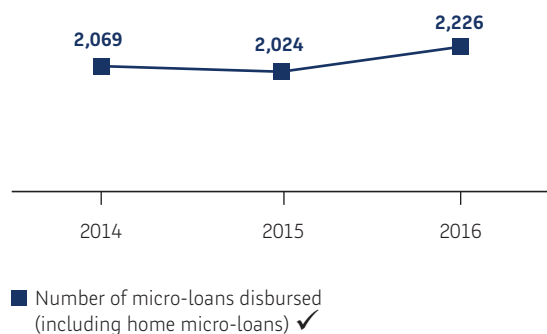
La Banque Postale Financement also offers some of the lowest interest **consumer loans** on the market with accessible durations and financing amounts: personal loans (car loans, loans for work and projects) loan refinancing, loans for young people, and temporary workers.

With personal student loans, apprenticeship loans and €1 driving licence loans, La Banque Postale also responds to the specific needs of young people.

The personal loan for temporary workers enables La Banque Postale Financement to fulfil its role as a civic-minded Bank by offering financing to customers often excluded from other organisations.

(1) Extract of the CCSF Opinion on the public consultation concerning the public accessibility mission entrusted to La Banque Postale, July 2016.

Since February 2014, La Banque Postale has gone even further: via the La Banque Postale Financement platform for people who have been refused personal loans. The **assisted micro-loan** mechanism is intended for customers suffering from banking exclusion because of poor solvency ratings. They are either directed to the platform of the Credit Municipal de Paris, a partner of the La Banque Postale (for Ile de France customers), or for other customers, to the www.france-microcredit.org website, where they can identify the closest micro-loans financing partner to their residence. Since 2007, La Banque Postale has offered **micro-loans** financing in partnership with local associations, which are responsible for detecting and assisting projects for private individuals who suffer from bank exclusion due to a poor solvency rating (examples of partner associations: Secours Catholique, UDAF, French Red Cross, Les Restos du Cœur, etc.). In 2016, there were 146 active partnerships with social assistance organisations in 76 French regional departments (compared with 75 in 2015). In 2016, 2,226 personal micro-loans were paid out (+9.9% in one year). In all, since 2007, La Banque Postale disbursed 10,246 personal micro-loans for a total amount of €24.4 million, representing a market share of 10.2% (+0.6% in one year), according to provisional data from the Caisse des dépôts et consignations (CDC). La Banque Postale is therefore the fourth biggest personal micro-loans operator in France.



Since August 2013, La Banque Postale has received the authorisation of the Social Cohesion Fund to finance, via **personal micro-loans, so-called Précarité énergétique (fuel poverty) projects**. Granted for a maximum amount of €10,000 for a maximum period of 72 months, this personal micro-loan is aimed at financing work that reduces a home's fuel poverty, adaptation or accessibility renovation work on a home occupied by an elderly or disabled person, and slum clearance work. In 2016, 52 non-profit associations worked with the Bank to develop this type of financing across partnership agreements covering 33 departments. La Banque Postale has been particularly active in proposing a wider financing offer to renovate homes with fuel poverty. France's Energy transition for Green Growth Act (*Loi transition énergétique pour la croissance verte*) sets out the basic principles of interest-free eco loans (dubbed Eco-PTZ) and home improvement grants (ANAH) which will enable more effective responses to the needs of owners in 2017.

Since 2012, La Banque Postale has offered **business micro-loans** in partnership with ADIE. This non-profit association, which is a specialist in aid for micro-entrepreneurs, provides its expertise to train the Bank's advisors in providing assistance to these project leaders. The two partners are especially interested in financially vulnerable customers residing in deprived urban areas who want to lead a project. The goal is to help people excluded from the labour market and having no access to bank loans to set up their business thanks to a small

loan over a short period of time. La Banque Postale customers in search of this financing are identified in post office branches and, since 2014, also via La Banque Postale's Online Bank in Châlons-en-Champagne, which directs them to the ADIE's national phone platform in Lille, so that ADIE can assist them with their career plan. Since the introduction of this partnership, around 1,745 micro-entrepreneurs have been assisted and more than 340 have been able to complete their projects thanks to ADIE financing. Also, since 2015, customer support managers have received ADIE training in promoting entrepreneurship. By offering appropriate financing solutions with a benchmark non-profit association, La Banque Postale combats banking exclusion in a concrete manner and fully plays its role with small business operators.

6.2.1.2 Responsible customer relations

The welcome given customers, customer management and quality of service are perfectly in line with La Banque Postale's "civic-minded bank" strategy. A responsible customer relationship is a relationship based on quality advice, ensured by an appropriate counselling method and customer-focused commercial management and advisor remuneration. Responsible practices are implemented in all circumstances and throughout the banking relationship: trust, support, listening, monitoring and transparency.

Appropriate and responsible counselling

The counselling method is based on La Banque Postale's professional ethics handbook (see the section on "Management of Extra-Financial Risks"), which clearly emphasises the importance of responsible sales practices. In addition, La Banque Postale's semantic guide reflects its fundamentals and its values, and enforces clear, simple, and transparent marketing pitches.

Since its creation in 2006, La Banque Postale has ensured that its products are adapted to the personal circumstances and needs of its customers.

Thus, the 7G sales method recognised by the extra-financial rating agencies which has structured the customer-advisor relationship since 2006.

After modifications in 2012 and 2015 to improve customer discovery and the quality of the advice, the 7G method was revised again in 2016 in accordance with 3 themes. It is single method for all types of interviews incorporating new tools and all contact channels (physical or remote) and is adapted to all kinds/profiles of customer.

The 2017 7G method is based on a long term customer relationship, through exhaustive customer knowledge, which is regularly updated to take the needs detected into account.

Lastly it is a personalisable method which permits better customer knowledge during preparation, responsiveness, and the adaptation of the interview to the customer's needs, and the integration of new customer relationship tools. **Almost 9,900 advisors will be trained on the 7G 2017 method between January and April 2017.**

In parallel, La Banque Postale has changed its home loan distribution model: Therefore **4,000 general advisors will be trained by the end of April 2017** in addition to the existing 690 specialist loan advisors and property managements.

Upstream, La Banque Postale pays close attention to the way in which it promotes its products to its customers, using clear, and

informative communication material. Instruction manuals, videos, essentials, guides. The various communication campaigns based on transparency, simplicity and clarity contribute to building a long-term, quality relationship right from the start. A property guide is available on La Banque Postale's website, and is updated regularly so that all customers may stay informed.

Lastly the quality of the advice and the development of a lasting relationship are based **on a commercial management system which is focused on accompanying advisors and a variable system of remuneration** based on the attainment of individual and collective goals. In 2016, La Banque Postale made changes to the variable remuneration system applicable to advisors, by adopting a remuneration method which is based, equally, on the team's group performance and the quality of each employee's contribution to the team's results. Our advisors commit to these objectives every year in a Performance Contract and their progress is assessed three times a year during assessment interviews with their managers. This contract is focused on collective quantitative targets and individual qualitative targets:

- ▶ the collective targets are aimed at improving the results which are the fruit of the synergies and the collective efforts of the advisors;
- ▶ individual quantitative targets are focused on our shared strategic priorities: Improvement of the customer relationship, increasing sales, risk control and compliance.

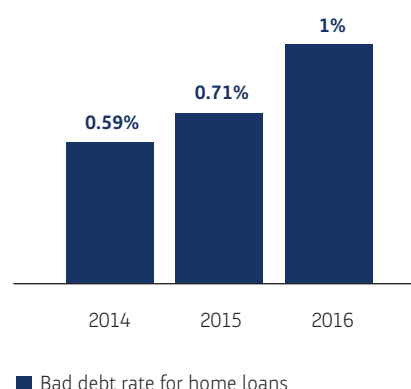
On 17 December 2014, the Bank signed a labour agreement for its bank marketing line with the trade unions. In force as of 1 January 2015, the agreement embodies La Banque Postale's commitment to developing its advisory role, while guarding against the risk of flawed advisory services that could result from a situation where variable remuneration forms too significant a portion of total remuneration.

La Banque Postale is pursuing its ambition, through these different changes, of having a remuneration system which corresponds to its principles of quality of advice and a lasting relationship with its customers.

The signing and follow-up of the contract Prudent risk management, regular monitoring, prevention of over-indebtedness

The signing of a product contract and its subsequent monitoring are crucial stages in building a responsible customer relationship. Prudent risk management and regularly monitoring the customer's situation are thus essential.

For example, in the commercialisation of a **home loan** offer, the specialist property advisors carry out a personalised study of the real estate transaction and consider the acquisition project within a comprehensive approach (taking into consideration the remaining disposable income, promoting home savings schemes, etc.). Thanks to appropriate advisory services and an objective analysis of customers' situations, La Banque Postale's bad debt rate remains among the lowest on the market (1% as of 31 December 2016 versus 0.71% as of 31 December 2015 and 1.99% for the market average at the end of 2015), while managed outstanding loans exceeded €51,114 million.



La Banque Postale's bad debt rate is among the lowest on the market (market average as of the end of 2015: 1.99%)

The criteria for granting **consumer loans** are demanding and based on a strict policy and prudent risk management to prevent customer over-indebtedness. In point of fact, since its creation, La Banque Postale Financement has put the prevention of over-indebtedness and assisting its customers at the heart of its approach as a responsible lender. For this purpose, it designed and established a comprehensive and coherent system for preventing over-indebtedness, coming into play during the lending stage and continuing throughout the contract period. The guidelines are intended to anticipate and identify potential financial difficulties to be in a position to act early and provide support:

- ▶ La Banque Postale Financement calculates the customer's repayment capacity, **during the personal loan procedure**, based on the documents provided. Revenue and expenses are set out in the loan agreement signed by the customer. The customer's history is also taken into account when granting a loan;
- ▶ **throughout the duration of the loan**, La Banque Postale remains vigilant under its customer relations management scheme in order to detect any signs of financial difficulty as early as possible. To this effect, all the advisors in the Customer Relations Centre of La Banque Postale Financement are trained in detecting signs of vulnerability;
- ▶ **as part of customer relations, on each contract anniversary date**, the borrower is offered a budget assessment to update his/her situation and check that it corresponds to the outstanding loan. These personalised assessments between the advisor and the customer allow a verification of his/her financial position and administrative data and if necessary, the adjustment of the monthly repayment.

Revolving credits have become generalised since the redefinition of the **revolving credit** in the Hamon Act of 17 March 2014 which improves customer protection. This offer, fully compatible with the provisions of the law, now forms an integral part of La Banque Postale's range of consumer loans.

Positioned between an overdraft facility and a personal loan, it enables customers to cope with temporary cash flow shortfalls and unexpected expenses, or carry out small projects under well-managed conditions. Moreover, the Extension Option, which can be activated or deactivated at any time via phone or internet, makes it possible to credit the CCP post office account, if the overdraft facility is exceeded.

The revolving credit offer sets itself apart by its simplicity and its responsible nature: one of the lowest interest rates on the market, different speeds of repayment including an accelerated speed (30% quicker than the statutory obligation), a partial or total early repayment option without costs, at any time by telephone or internet.

In keeping with the Bank's values, this offer is clear, detailed, transparent and responsible. It is entirely based on knowledge of the customer, developed through the quality of the banking relationship. Indeed, preventing over indebtedness has been a core concern in the designing of this offer. The offer is accordingly reserved for customers of La Banque Postale having a *Compte courant Postal* (CCP: post office bank account). It is offered mainly in Post Office branches, following a detailed examination of the customer's expenses and income. An introductory guide setting out the good and bad uses of revolving credit is also available to customers.

Customers also receive comprehensive information throughout the term of their loan, through a dedicated account statement, real-time information and SMS/e-mail alerts.

Lastly, to identify any financial difficulty, an annual budget assessment is offered to all customers and special assistance is always available in the event of hard times.

Assistance to people undergoing financial difficulties

In parallel with its banking accessibility actions, La Banque Postale is very committed to assisting people undergoing financial difficulties. For this purpose, it now has an original scheme, set up with the help of non-profit associations involved in combating social exclusion, such as the French national union of communal social action centres (UNCCAS) and the regional chamber for social over-indebtedness (CRESUS).

In November 2013, La Banque Postale created "**L'Appui de La Banque Postale**", a banking and budgetary advisory and guidance platform accessible to customers via a unique toll-free number. This new service has a dual purpose: firstly, assisting customers of La Banque Postale experiencing one-off or recurring financial difficulties, and, secondly, improving the prevention of financial difficulties. The customer service managers on this new platform assess the customer's spendable income after reviewing their budget to check for any non-conferred rights or to identify any cases of heavy indebtedness or over-indebtedness.

The customer advisors for the *Appui* platform are therefore able to propose contacts with partners or non-profit associations (CCAS, *Union départementale des associations familiales* (UDAF), *Fonds d'action sociale du travail temporaire* (FASTT), *Fondation agir contre l'exclusion* (FACE), etc.) to promote access to favourable rights or rates; and to address situations of bad debts with credit institutions specialised in restructuring or refinancing loans, such as La Banque Postale Financement, or for situations of over-indebtedness with CRESUS. Finally, under certain conditions, the platform can provide access to social offers suited to the needs of customers in difficult financial situations, developed by *Action Tank Entreprise et Pauvreté*. By the end of **December 2016, over 70,000 customers had been assisted** and almost 30,000 had benefited from the full assistance of the *Appui* platform since the service was launched.

On 25 June 2014, *L'Appui de La Banque Postale* was selected among "15 solidarity involvement initiatives that are changing France". These initiatives are supported by the President of the Republic as part of the programme called *La France s'engage*. In November 2014, La Banque Postale was honoured by the website www.choisir-ma-banque.com, winning the special *Banque de tous* prize for 2015, notably thanks to *L'Appui* (<http://www.lestropheesdelabanque.com/#prixspeciaux>).

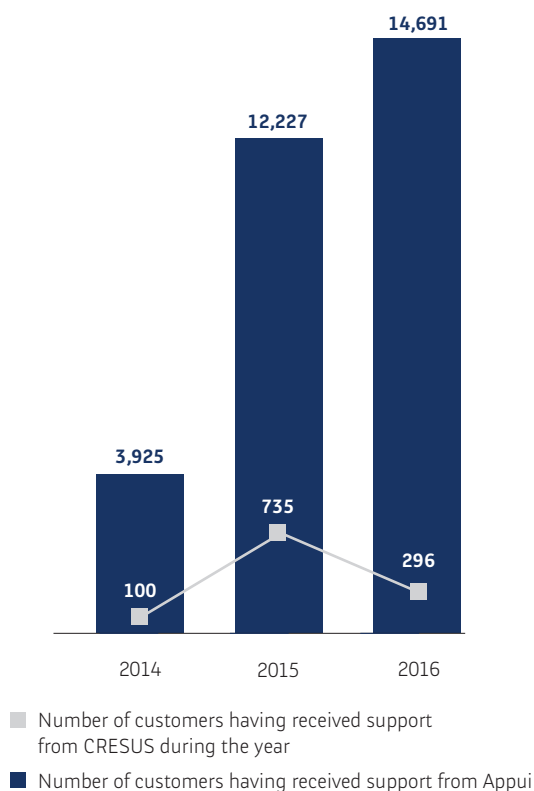
La Banque Postale, a **partner of CRESUS** since 2010 within the framework of the business of its specialist consumer lending subsidiary, therefore, with the launch of the *L'Appui* platform, strengthened its ties with this non-profit association recognised as a mission in the public interest. From now on, active customers of La Banque Postale undergoing financial difficulties associated with heavy indebtedness or over-indebtedness and who cannot be effectively assisted by the *L'Appui* platform will be directed to the non-profit association CRESUS. This organisation will provide intermediation support with various creditors to obtain coordinated and long-lasting adjustments as well as social and economic assistance for the customer's financial recovery. This collaboration was developed as part of a partnership agreement between La Banque Postale and CRESUS, signed in December 2013.

In November 2015, the French data protection authority (CNIL) approved the general outline of the proposed trial of the platform and authorised La Banque Postale to extend the scope of its *L'Appui* actions to all Bank customers experiencing temporary or more long-term financial difficulties and to all of its contact channels. The year-end saw the *L'Appui* team grow to 38 employees, all of them trained in providing support for customers with limited budgets. The scope of *L'Appui* also extends to La Banque Postale customers in the French overseas departments.

Furthermore the customer support by the *Appui* platform is complimentary to the **Budget Advice Points** experiment launched in 2016. La Banque Postale concluded an agreement with the Crédit Municipal de Paris to test its support as a level 2 Budget Advice Point for 2017.

As part of its consumer lending and revolving credit business since 2012, La Banque Postale Financement has established a **two-level support system** in order to monitor customers experiencing financial difficulties:

- ▶ a **support unit**, dedicated to vulnerable customers who accept specific monitoring based on listening and education, was established when this activity was launched. With the help of the customer, the advisor carries out a detailed analysis of the person's financial situation and difficulties, draws up a diagnostic to guide the customer towards loan restructuring or loan consolidation, or more comprehensive support if needed. Regular meetings are scheduled to ensure on-going monitoring;
- ▶ in addition to this service, La Banque Postale Financement also set up a **preferred partnership with L'Appui** to provide guidance for heavily indebted customers, based on loan consolidation applications rejected by the loan application unit at the Customer Relations Centre.

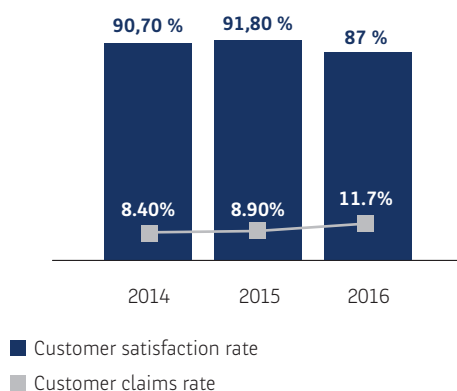


Listening to customers

Quality of service is a major lever **to ensure customer satisfaction and loyalty**. Various systems make it possible to monitor changes in the quality of service delivered:

- national **satisfaction surveys were conducted**. Thus in 2016 the customer satisfaction rate was 87% (with 34% of customers "very satisfied") and the rate of complaining customers was 11.7%. Lastly, in terms of image, La Banque Postale has maintained its leading position on rates and geographical proximity.

La Banque Postale remains in second place for overall satisfaction according to the benchmark used to analyse the results of the nine leading French banks. Overall, it remains very well positioned for the other criteria.



- Listening to customers also means **listening to their complaints**. More than 400 employees handle customer complaints on a daily basis: the Financial Centres handle the first processing phase and the Customer Relations Department the second phase, processing

appeals. In 2016, 78% of claims were processed in five days in the Financial Centres. In 2013, the Claims project, carried out to comply with the regulatory obligations of the Prudential Supervision and Resolution Authority (ACPR), led to increased awareness of "where and how to file a complaint", in particular with the creation of a new level of referral, the "appeal", and the modification of the Mediator's Charter. In terms of processing, this project allowed for homogenisation of claims processing and follow-up for all business lines and products. Since 2014, analysing the causes of complaints has enabled us to set up action plans to eradicate failures and bad practices. All of these projects fully contribute to improving the quality of service for our customers. In 2016, the 18 Complaints Departments of the Financial Centres were transformed into six Customer Solution Departments of the same size to manage customer dissatisfaction and propose mutually advantageous solutions for a lasting relationship.

- Moreover, the quality measuring systems established by the Quality Department, the Quality Barometer of Information Systems, Participative Innovation, Qualirritants and Quality Intelligence, all contribute to improving the customer experience from end to end by simplifying products, processes and organisations. They are important drivers for continuously improving **service quality**. In order to reinforce this initiative even further, a Customer Experience Department for the Network and La Banque Postale was created in 2016.
- Lastly, in 2012, the Bank launched the **Customer Lab**, a collaborative customer platform to involve them even more in the life of the Bank. Customers are asked for their views on current developments, to give their opinion on the Bank's products and services, discuss the latest trends and exclusively beta-test certain new services. Listening to customers and involving them in product design and adjustment promotes innovation, transparency, community and trust. To date, this exchange platform has around 60,000 users (compared to 25,000 in 2015) more than 2,000 discussion topics posted, and around 8,500 published comments.
- La Banque Postale is close to its customers including on **social media**. It cultivates a personalised relationship with its customers using innovative formats. It handles over 1,000 customer questions every month and broadcasts simple and pedagogical content through its **Twitterorials**, a new and original service of entertaining and informative banking tutorials.
- La Banque Postale was the first French bank to experiment with **Facebook** and has over 50 advisors (all volunteers) on social media via their individual business page called "La Banque Postale advisor". The community of over 3,000 customers grows by 10% per week.
- La Banque Postale also joined Instagram in June 2016 with the **#TalentBooster** operation. It is the first 360 social web campaign which helps young people to develop their talents and carry out their projects. It has motivated over 2,000 participants and has won 220,000 likes. This operation won the Best Social Media Strategy prize at the *Argus de l'Assurance Digitale* awards in December 2016.
- La Banque Postale also won the **TOP COM OR** best social media strategy for its real-time campaigns, whilst it was crowned as the most reactive brand on Twitter by the Brandwatch survey (July 2016).

Other systems have been established by the Network:

- **the quality measuring systems established** by the Network Quality Department and the Operations Department were enhanced, to supplement and refine the insights obtained from the customer satisfaction indices and optimise management control over the fundamentals of quality of service;

- ▶ **the quality inspection system:** waiting, handling, BRASMA, clarity, and making bank appointments;
- ▶ **assessment of the bank advisor:** the reception, responsiveness and effectiveness of the advisor;
- ▶ **measuring phone accessibility;**
- ▶ **the perceived service:** customer feedback systems designed to go further with customers, gain in-depth knowledge of their perceptions and to re-contact them if they so wish. Customers can directly express their views regarding their satisfaction, with their intent enabling La Banque Postale to optimise the fluidity of circuits from end to end.

Responsible marketing data protection policy

The **Marketing Ethics Charter governing how banking, financial and insurance products are marketed** is the basis of the responsible marketing and **client data protection** policy of La Banque Postale. La Banque Postale's data protection and freedom policy is overseen by a dedicated individual, the Personal Data Protection Officer, or *Correspondant Informatique et Libertés* (CIL), who ensures that the Bank's marketing (and internal) procedures, do not infringe the main principles of protecting its customers' right to privacy. La Banque Postale's data policy was strengthened by the formalisation of the **Data Charter** at the Group level in 2016 which makes it a reference in terms of ethics in the digital sector.

The training provided to La Banque Postale advisors includes a module on knowledge of the customer and compliance with data confidentiality. The general conditions of sale for post office bank accounts, savings and online banking also include terms and conditions relating to customers' confidential information.

La Banque Postale's marketing procedures that refer to access to products and services require employees to accurately enter information in the Customer Relations File tool. Good customer knowledge helps to prevent abusive canvassing to concentrate on customers' actual needs.

The security section on our website labanquepostale.com provides information for all users on best practices and how to ensure the security of personal data when managing accounts online. The legal information section on the site sets out our policy for protecting all our users' data.

With regard to mass **marketing**, La Banque Postale's sales and solicitation practices are based on processes that define the eligibility of customers targeted by marketing campaigns and the degree of commercial pressure by distribution channel. The Bank has an array of tools, such as its Marketing Plan and Customer Dictionary, to help define marketing and solicitation strategies suited to every customer segment, thereby avoiding blanket mass marketing campaigns and fruitless canvassing of customers.

The marketing procedures followed by the post office network include the **facility for customers to unsubscribe from La Banque Postale's marketing efforts**. The same principles apply to digital marketing, where our data protection policy explicitly mentions:

- ▶ general information on the use of cookies and collection of information on labanquepostale.fr website: the generic message is displayed to all users the first time they visit the LBP site. It reappears for users who deleted their cookies before returning to the site. Clicking on the message brings up all the required information and the process for accepting or rejecting cookies;
- ▶ how to access the general legal notices which can be consulted at the bottom of any page on the site: these legal notices include a specific paragraph on cookies and how customers' information is managed;

- ▶ information on the unsubscribe link for our emails is given in all our newsletters to customers and opt-in prospects (who have agreed to prospecting) and our solicitation emails to customers or opt-in prospects;
- ▶ information on the customer section (where customers are logged in), where users can update their personal data and opt-in for sales prospection directly from their customer space on labanquepostale.fr.

Naturally, all of these legal notices have been approved by the Legal Department and by the French data protection authority (CNIL).

6.2.1.3 Responsible offering

La Banque Postale is committed to proposing to its customers a simple, clear and responsible offering of products and services, focused on essentials, at an affordable price.

ESG Checklist: integration of ESG criteria

Since June 2009, La Banque Postale has made sure that ESG (Environmental, Social and Governance) criteria are systematically taken into account in the design of its range of products and services. It therefore has set up an **ESG checklist**: a tool which sets out the Bank's five founding values (accessibility, performance, difference, responsibility, cohesion) through 19 ESG fundamentals for La Banque Postale (e.g.: ethical advice, transparency, simplicity, clarity, fight against climate change, fight against tax evasion).

Following the set-up of the tool, the product managers were trained in its use. They are thus aware of the main CSR requirements.

The ESG checklist is supervised by the Compliance and Permanent Control Department, which ensures that it is present in each product file presented to the new Product Review Committee ("CEP"). In 2016 La Banque Postale held 33 Product Review Committee meetings. All of La Banque Postale's new products must therefore meet extra-financial criteria covering their design, their distribution and customer support.

Products and services with added social and/or environmental value

In addition to integrating ESG criteria into its offering, right from its design phase, La Banque Postale offers various products with added social or environmental value.

For example, the **Livret A** account helps to finance social housing and is consistent with the principle of banking accessibility for all. Through **personal micro-loans**, customers who would generally be excluded from bank credit can get loans for amounts from €300 to €3,000 and up to €10,000 for **entrepreneurial micro-loans**. In August 2013, La Banque Postale also received the authorisation of the Social Cohesion Fund to grant the new **Précarité énergétique** (fuel poverty) personal micro-loans (home micro-loans) allowing customers to borrow up to €10,000. The **Formule de compte simplicité** provides an alternative to payment by cheque (see the section on "Banking Accessibility").

A civic-minded bank, La Banque Postale also offers its customers its new **"Intérêts Solidaires" service**, which allows them to transfer all or part of the interest from a passbook savings account (Livret A account, Sustainable Development account (LDD) or National Savings account (LEP)) to one of the 11 non-profit associations that are members of the "Initiative against banking exclusion" think tank, which the Bank is a founding member of (see section on "Promoting access for all to financial products and services" in the "Economic Commitment" chapter). It supports this solidarity initiative by making

a 10% contribution to the amount of their donation. This service was awarded Finansol certification in 2015. La Banque Postale is the first financial institution to obtain Finansol certification for a service.

The Banque Postale also supports the non-profit association Solidarité Sida and UNICEF by offering customers affinity payment cards.

As part of its partnership with the Pasteur Institute, BPE, La Banque Postale's Private bank, offers its high-net worth customers, BPE Altruïs, which combines card payments with donations: Each payment above €20 irrespective of the amount of the transaction, generates a donation of an amount which is pre-fixed by the customer (€0.50, €1 or €2). The donation is automatically paid to the Pasteur Institute every month by debiting the card holder's account. In 2016, BPE's customers paid almost €30,000 to the Pasteur Institute.

For the COP21 in Paris at the end of 2015, La Banque Postale launched an offer of loans tailored for private individuals, legal entities and local authority players committed to energy transition. This offer became permanent in 2016. La Banque Postale offers a "green range" (*Gamme verte*) with interest-free eco loans (Eco PTZ), a "green" home improvement loan to improve energy efficiency, home micro-loans, electric or hybrid vehicle loans (for cars, but also bikes, motorcycles, and even electric scooters), together with a dedicated insurance product. To encourage its private customers to embrace environmental issues, La Banque Postale is committed to offering advantageous terms on these loans.

Besides financing solutions La Banque Postale also offers private individuals the opportunity to combine financial investment and sustainable development, via the ISR Investir Autrement (ISR Invest Otherwise) offer. La Banque Postale offers **three solidarity funds** in this range so customers can use their savings to support organisations with high social value. LBPAM Responsible Actions Solidaire and Décisiel Responsible Actions 70 Solidaire (Employee savings funds) have a part of their savings deposits (5 to 10% in accordance with the legislation) invested directly in the capital of organisations which promote insertion through employment or housing. Half of the income generated by the Libertés & Solidarité Fund is paid in the form of a donation to the International Federation for Human Rights, an international NGO with 184 organisations in 112 countries. These three funds have received the **Finansol label** for their transparency and genuinely supportive nature.

Lastly, La Banque Postale offers a savings solution favouring the energy transition through its thematic **SRI fund "LBPAM Responsible Actions Environnement"**. This fund is invested specifically in European companies in the environmental sector committed to sustainable development and energy transition. This fund was also awarded the **government TEEC label** (energetic and Ecological Transition for the Climate) in January 2017.

Since 2015, La Banque Postale has offered a **range of LBP Ethic Euro formula funds** to customers looking for ethical and responsible financial investment options. It is a range which enables customers to diversify their investments on the financial markets whilst benefiting from capital protection/guarantee at maturity. The performance of the LBP Ethic Euro range is based on changes in an "Ethical Europe Equity" stock market index of 30 European securities selected on the basis of ethical and financial ESG (Environmental, Social and Governance) criteria. To date, almost €1 billion has been marketed to our customers

In 2016, La Banque Postale became the market's leading lender to local authorities and public hospitals with €6.8 billion of loans granted. A large number of the projects financed concern energy transition, which the public sector bodies are responsible for: new buildings,

renovation of public buildings, rehabilitation of social housing estates, clean transport, etc. Thus, for example, La Banque Postale lent €225 million to the *Syndicat des transports d'Ile de France* (the Ile de France Transport Union) to renovate part of its rolling stock.

To do this, it grants medium/long term loans (up to 30 years) in cooperation with CAFFIL (French Local Financing Fund) or the EIB, which introduced a special "Energy Efficiency Optimisation" funding package for construction works for new buildings or the renovation of buildings to bring them up to standard. The EIB also introduced a "schools" funding package for work on schools in all French regions (see chapter on societal commitment).

For businesses, the Bank offers a range of financing solutions, including clean vehicle fleet leasing. It is also active in funding many specialist renewable energy companies in the photovoltaic, wind energy and other sectors. To date over €500 million has been disbursed to finance energy transition projects, and the target is to triple this sum by 2020.

Responsible asset management

In keeping with its signature brand, "a civic-minded bank", La Banque Postale is committed to responsible asset management.

In 2013, a Responsible Asset Management Committee was set up. Its goal is to recommend and implement programmes for integrating extra-financial criteria into the Banque Postale's asset management business lines, so they are a factor for differentiation, performance and profitability. Chaired by Daniel Roy, a member of the Bank's Executive Committee and Chairman of La Banque Postale Asset Management (LBPAM), the Committee's members also include all the Management Directors of the asset management companies in La Banque Postale Group.

A direct application of the principles of sustainable development to asset management, **Socially Responsible Investment (SRI)** is based on the integration of ESG (Environmental, Social and Governance) criteria into investment decisions and portfolio management, in addition to financial criteria. In SRI management, companies are no longer selected solely on the basis of their ability to generate profit, but also for their ability to preserve natural resources for future generations, improve the working conditions of their employees and develop balanced relationships with all of their partners (customers, suppliers, shareholders, civil society). SRI strives to reconcile performance with social and environmental impact, encouraging companies to make societal responsibility a central part of their practices and strategies.

Therefore, La Banque Postale Asset Management (LBPAM), the main management company in La Banque Postale Group, has made SRI one of its growth engines for satisfying its individual and institutional customers. SRI management applies to open funds marketed to individual and legal entity customers (FCP, SICAV), and also to dedicated mandates managed for institutional investors such as insurance companies. For retail customers, in 2006 La Banque Postale launched the Investir autrement range, which meets the expectations of customers who are particularly sensitive to the issue of sustainable development and who wish to give meaning to their investments.

BPAM developed a "SRI philosophy" around four themes after the merger with Fédérïs Gestion d'Actifs in 2016:

- ▶ support for energy and ecological transition;
- ▶ regional development;
- ▶ sustainable management of resources;
- ▶ responsible governance.

The SRI analysis of the LBPAM's teams aims to assess the alignment of the companies' strategies and practices with each of these four themes.

To bolster the credibility of its range and help it to stand out in an emerging SRI market, the Bank encourages subsidiaries to have funds evaluated by external agencies. Thus, in 2015, 14 SRI funds obtained the **SRI label from Novethic**, a SRI research centre and a subsidiary of Caisse des dépôts, which was valid up until 31 December 2016. Six of these 14 funds belong to the "Invest Differently" (Investir autrement) range (LBPAM *Responsable Actions Euro*, LBPAM *Responsable Actions Europe*, LBPAM *Responsable Actions Environnement*, LBPAM *Responsable Actions Monde*, LBPAM *Responsable Actions Solidaire, Libertés et Solidarité*). The Novethic SRI label notably aims to guarantee a transparent SRI selection process and an ESG analysis of at least 90% of the portfolio.

Following the launch of the **Governmental SRI label** in 2016, LBPAM will submit applications for all its SRI dossiers in 2017.

Also meeting customers' expectations with regard to solidarity-based financing, two of the Investir autrement funds (LBPAM *Responsable*

Actions Solidaire, Libertés et Solidarité) received the **Finansol label**, which has recognised solidarity-based savings investments since 1997.

Moreover, to promote these responsible solutions, every year La Banque Postale takes part in the Responsible Finance Week (formerly SRI Week), during which it offers its customers and advisors information and promotional materials for its *Investir autrement* range. Equally, during their initial training after being appointed, advisors receive training on SRI funds in order to reinforce their understanding of these products.

Applying ESG criteria can therefore have a different impact on investment decisions and the composition of funds depending on the class of assets, the customers' expectations and the strategy adopted. SRI deposits are therefore divided into three categories established by Novethic in order to differentiate between these different cases:

- conviction SRIs;
- significant impact SRIs;
- moderate impact SRIs.

Conviction SRIs	Significant impact SRIs	Moderate impact SRIs
► Best in class selection approach eliminating 50% of the investment universe ► Best in universe selection approach which eliminates over 25% of securities ► Thematic investments	► Assets managed using a financial valuation or best in class selection which eliminates between 25% and 50% of the investment universe.	► Amounts outstanding to which ESG constraints are applied and for which less than 25% of securities are eliminated for ESG criteria

2016 was marked by a strong increase in deposits for thematic investments. The LBPAM *Responsable Actions Environnement* funds therefore benefited from interest in the climate following the COP21 and the 2015 Energy Transition Act which encourages institutional investors to do more to fight climate change. Deposits in this fund tripled during the year, reaching almost €90 million by the end of 2016. This fund was also awarded the **governmental TEEC** (Energy and Ecological Transition for the Climate) label in January 2017.

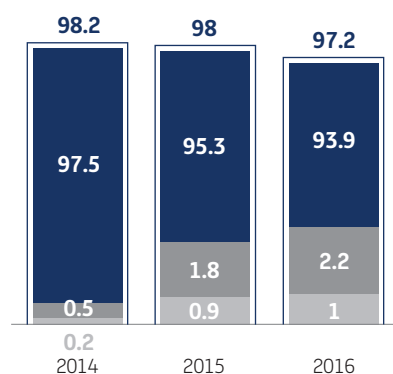
The introduction of a SRI analysis in the debt fund launched by the LBPAM in 2016 is also a highlight. The SRI analysis was therefore adapted to the specificities of debt funds invested in real estate, infrastructures and private debt. Classified in the "moderate impact SRI" category, the deposits concerned totalled €142 million by the end of 2016.

At the end of 2016, the LBPAM's SRI deposits totalled €97.18 billion, i.e. 54% of total deposits under management.

SRI amounts outstanding have been almost stable over the last three years. Conversely, high-impact SRIs (i.e. the two categories "Conviction SRIs" and "Significant Impact SRIs") have increased sharply, reaching €3.2 billion at the end of 2016 compared to €2.7 at the end of 2015, and €0.7 at the end of 2014.

This increase in the last two years is mainly explained by the following reasons:

- the acquisition of Fédérès Gestion d'Actifs in 2015 which had a range of SRI funds dedicated to institutional investors and especially mutual insurance funds;
- winning, in 2015, an important tender for bids for a French pension fund which is managed using specific SRI criteria;
- positive inflows in 2016 for all classes of assets and especially for SRI shares and monetary funds.



SRI in € millions

- Moderate impact SRIs
- Conviction SRIs
- Significant impact SRIs
- Total SRIs

Besides SRI deposits, the LBPAM has implemented actions to encourage the application of ESG criteria to all amounts outstanding under management:

- in accordance with the law, companies which are suspected of involvement in controversial weapons (anti-personnel mines, cluster bombs) are excluded from all the portfolios apart from those under index-based management (but no investment was made in the companies concerned in 2016). LBPAM extended this ban to all non-conventional weapons (biological, chemical, nuclear, depleted uranium, blinding laser, incendiary). 39 companies were on this list as at 31 December 2016;
- the ESG analyses are circulated to all the management teams;

- ▶ since 2014, monthly meetings have been held between the SRI analysts and the management teams, to discuss the ESG challenges of a given business line;
- ▶ for example, meetings with companies or the resolutions at certain general meetings are prepared between the managers and the SRI analysts.

Lastly, the LBPAM has also established dialogue with issuers to encourage the improvement of ESG practices. LBPAM uses this initiative, which is called "commitment", either individually or collaboratively, i.e. with other asset management companies in accordance with the subjects tackled (for example, in 2016: strategy to fight climate change for the energy sector, policy of access to medicines for the pharmaceutical sector, etc.) LBPAM actively plays its role as shareholder by exercising the voting rights attached to the UCITS managed, according to a single voting policy. LBPAM took part in 249 Annual General Meetings of European companies in 2016 (compared to 196 in 2015). For the voting process, LBPAM gives priority to open discussion with the companies.

For further information on LBPAM's commitments, its methodology and voting policy, visit the webpages on this topic at www.labanquepostale-am.fr/isr.html.

Apart from the actions taken by LBPAM, all the asset management subsidiaries in the Group's Asset and Wealth Management Division reasserted their commitment to integrating extra-financial criteria. Since 2013, a **Responsible Asset Management Committee** has circulated the best practices on Implementing ESG criteria to all asset management players. Its goal is to put forward and implement programmes for integrating extra-financial -criteria common to all the asset management business lines of La Banque Postale in order to make these criteria a factor of differentiation, performance and profitability. This committee, which is chaired by Daniel Roy, Head of Asset Management Division and a member of the Bank's Executive Committee, includes all the Heads of the asset management companies in La Banque Postale Group.

The United Nations **Principles for Responsible Investment** (PRI), serving as a common base for the commitment of the Group's investment management companies, were signed by all the players concerned. After LBPAM in 2009 and Tocqueville Finance in 2012, BPE, the private banking subsidiary of La Banque Postale, signed them in 2013 (at the end of 2016, 32.5% of the amounts outstanding managed by La Banque Postale's Private Banking Division were ESG integrated, i.e. 100% of direct investments in securities).

La Banque Postale published a **sectoral policy on defence in 2015**, which aims to establish a framework for the Group's activities in a business line which presents substantial ESG challenges (see "Management of extra-financial risks"). It is updated by the Responsible Asset Management Committee, with the assistance of an external service provider, and then distributed to the relevant Group entities.

Responsible insurance

La Banque Postale's insurance businesses fully comply with the CSR approach adopted by all Group business activities. La Banque Postale aims to offer insurance solutions corresponding to its socially responsible signature; through its remedial function, insurance plays an essential role in the life of its customers, especially those who are most vulnerable. The aim is to develop simple solutions, designed to protect all its customers in the event of difficulties, and on a sustainable basis.

Offers screened with the ESG checklist

The Insurance Division of La Banque Postale has trained its project managers in risk identification, specifically including an analysis of the Group's CSR objectives in this approach. These ESG criteria are also taken into account in selecting partners for the products distributed by La Banque Postale.

La Banque Postale Assurance IARD innovations

La Banque Postale Assurances **IARD promotes eco-mobility** through its motor insurance policies for green cars (electric or hybrid).

The **idea for Proxi-client** came from internal discussions within La Banque Postale Assurances IARD also, based on the idea that, because of its business, it was too passive when customers were faced with a dramatic event. The role of an insurance provider is to compensate victims, according to the damage they incur. But, aware of the increased vulnerability of those insured after accidents, insurance professionals have a duty to contact them to establish their physical and psychological state of health. Sometimes, the conversation reveals the need for the person to consult a psychologist. La Banque Postale Assurance IARD provides this service free of charge through its specific partner in the field. Thus, the Bank goes the extra mile with a friendly gesture that reflects the Group's DNA as a **civic-minded insurance company**. It goes without saying that there is no sales pitch or promotion of any kind whatsoever during the conversation.

In cases of more serious flooding, LBP Assurance IARD's advisors will go to the local post office to offer assistance to their affected customers. Furthermore, immediate protection for movable and immovable property has been set up to make the home habitable as quickly as possible or to protect property pending the arrival of a loss adjuster.

Dependency insurance range

As life expectancy grows and the population ages, loss of independence is becoming a real social challenge. 50% of French people already grapple with dependency, either their own or that of a close relative. To meet this challenge, La Banque Postale Prévoyance introduced an affordable and very comprehensive range of dependency insurance products designed to meet all needs. *Assurance Autonomie* (Autonomy Insurance) is a complete, modifiable and a personalised insurance offer, which contributes to financing and to offering support for lost autonomy through the payment of a capital sum and a monthly annuity, as well as numerous assistance guarantees: help with administrative and social formalities, psychological counselling, house audit, practical training for the carer, rest for the carer, visit from the postman/postwoman, etc. The person insured can also use these services if they become a carer for a dependent relative themselves. The *Assurance Autonomie* policy is offered to customers who need supplementary income to finance their loss of autonomy or have personal wealth to protect, as well as to customers who wish to sign up to protect a relative.

This product is one of the rare dependent coverage insurance policies to receive the GAD (*Garantie assurance dépendance*) label created by the French Insurance Federation. It quickly garnered the *Trophée Or de l'Assuré* 2015 for La Banque Postale Prévoyance, awarded by French people.

Support for several dedicated insurance initiatives

La Banque Postale is a founding member of the public-interest foundation "**Entrepreneurs de la Cité**", designed to promote insurance protection for entrepreneurs.

La Banque Postale Prévoyance is committed to the "**Elderly dependence**" research chair, founded by the Fondation Médéric Alzheimer, in partnership with the *École d'Économie de Paris*. The purpose of the chair is to promote research into the economics of dependency of elderly people. Some of the missions of the research chair include developing a dynamic microsimulation tool, representative of the population in France, to model supply and demand for care and services connected with loss of autonomy. A major partner of the chair, La Banque Postale Prévoyance will contribute to its work and operation through both scientific and financial support.

Vivre en aidant (Living by helping)

The website *Vivre en Aidant* was created to cater for the basic needs of the 9 million carers who look after an elderly, handicapped or sick relative. This website offers a real service matching the La Banque Postale's fundamental values and positioning as a "civic minded" bank. Every month it provides its 30,000 visitors with practical advice and information and has been totally adapted to mobile consultation on tablets or smartphones since 2016.

6.2.1.4 Management of extra-financial risks**Integrating extra-financial risks into operational risks**

In accordance with the Group Risk Control Mechanism – Operational Risks, the business lines are responsible for identifying and processing operational risks which include extra-financial risks.

This principle is reinforced by La Banque Postale's governance model applied to new products and services. An analysis of extra-financial risks is always included in the risk assessments carried out when proposals are submitted to the Product Review Committee (see "Responsible offering").

Furthermore, to assist project managers to examine the extra-financial risks related to their project, an ESG checklist was drawn up in 2014. Addressing issues from the point of view of corporate, social and environmental responsibility (CSR), the checklist can be used to assess the risks and impacts of a product, raise awareness of sustainable development among the bank's actors, provide ideas for the educational sales argument for customers, as well as for product design.

The ESG checklist is an integral part of the risk assessment process and is a document that must be presented to the Product Review Committee. La Banque Postale's CSR Division mines the results of the ESG checklist to analyse the ESG issues highlighted and to begin awareness-raising actions where necessary.

Lastly, the assessment of ESG criteria remained one of the components of the image impact of the risk rating grid confirming the incorporation of extra-financial factors in the assessment of operational risk. Thus in 2016 an independent external third party analysed the occurrence of operational risks at La Banque Postale from an ESG perspective. Special attention was given to risks which have had a major impact on image risks or HR risks. This experimental approach confirmed the existence of certain social responsibility challenges (respect for customers' interests and protection of their data, ethical behaviour, responsible human resource management, etc.). This experiment can be renewed in more detail in 2017 in accordance with the development work related to the Basel guidelines.

Measuring exposure to climate risk

En 2016, the Group Risk Department carried out several initiatives to quantify its sensitivity to climate change in cooperation with the Bank's CSR Department. These efforts, supplemented by a precise inventory on the Bank's practice for managing this risk, enabled it to respond to a consultation by the French Prudential Supervision and

Resolution Authority (ACPR), under the aegis of the Treasury, following COP21 and the passing of the Energy Transition Act by the French Parliament on 5 January.

The work performed (on the Bank's portfolio at 31 December 2015, excluding exposure linked to the insurance business) shows that in accordance with the methodology proposed by the French supervisor, La Banque Postale has a very low exposure to climate risk:

- ▶ only 1.5% of its exposure (excluding loans to retail customers) could potentially be subject to a physical risk (risk of economic losses caused by an external climatic event);
- ▶ and 0.75% of its exposure at 31 December 2015 could be potentially subject to a transition risk (risk of losses caused by the legislative, economic, and behavioural changes connected with climate change).

Furthermore, after the exceptional spring floods in 2016 in Ile de France, the Group Risk Department also estimated the potential losses to its mortgaged home loan portfolio from these kind of events⁽¹⁾. Ultimately, these appeared to be very limited.

Finally, an analysis of the ESG rating of the Bank's Trading Room and Corporate and Regional Department portfolio was carried out. It showed that only 11% of exposures tested (75% of the total, excluding sovereign exposures) were amongst the worst scores (4 and 5, on a scale of 5), and that this proportion fell to 2% for the environmental criteria alone, which reflected the Bank's policy of favouring responsible players in its financing activities.

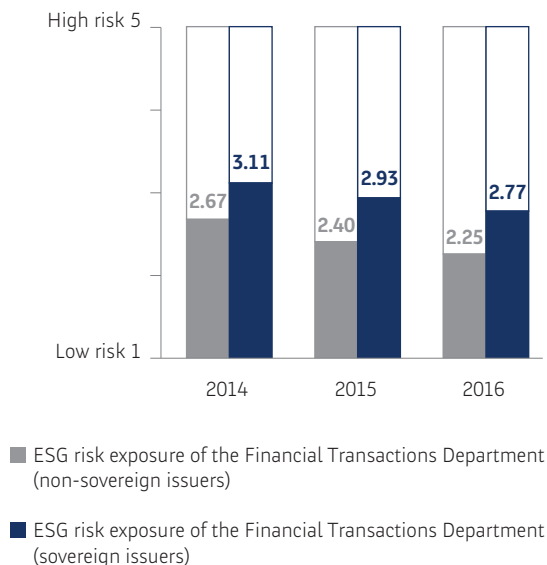
La Banque Postale used another criterion to measure its level of exposure to climate risk by applying a methodology to measure the carbon intensity of its Financial Transactions Department's portfolio. The Bank is able to measure its control of its level of exposure to securities that emit the highest levels of greenhouse gases by applying this method developed by LBPAM to corporate bonds. At the end of December 2016, the carbon intensity of "corporate issuers" was 91.02 tCO₂/€m of revenue (compared to 103.25 tCO₂/€m of revenue at the end of 2015). This is a low and reduced intensity because it is closely correlated with the sector breakdown of the portfolio, which is heavily invested in the financial sector (industrial or energy sectors have far higher carbon intensity). The exercise also helped to identify the most carbon intensive assets and to inform any potential divestments decisions.

Measuring the level of exposure to extra-financial risks

Beyond climate risk, since 2011, in order to measure the ESG risk exposure of proprietary trading carried out by the Financial Transactions Department, La Banque Postale has adapted the method developed by the SRI Department of La Banque Postale Asset Management (LBPAM) to analyse the extra-financial risks of sovereign and non-sovereign counterparties. In 2014, the annual measurements became half-yearly. The results at the end of December 2016 continued to show a globally controlled exposure: for non-sovereign issuers, 77% of securities were invested in low to moderate risk issues (compared to 65% at the end of 2015). Exposure to the riskiest securities remains very low (0.4% at end-December, vs. 1% at end-2015).

(1) By assuming that LBP will provide financing for homes in flood risk areas which is proportional to the number of homes in France in said zones (source: INSEE 2009) and by relying on the measurement parameters for the bank's credit risk measurement.

Overall, non-sovereign issuers have a level of risk of 2.25 (compared to 2.40 in 2015), on a scale of 1 to 5, 5 being the highest risk. Sovereign issuers have a level of risk of 2.77 (compared to 2.93 at the end of 2015).



Taking extra-financial criteria into account in investment and financing activities

As stipulated in the **“Defence sector policy”**, La Banque Postale makes sure that none of the portfolios managed by asset and wealth management actors include companies involved in controversial weapons (antipersonnel mines or cluster bombs) or non-conventional weapons (biological, chemical, nuclear, depleted uranium, blinding laser and incendiary weapons), irrespective of the type of financial instruments issued (shares, bonds, or money-market instruments). To this end, since 2012, La Banque Postale subscribed to a database kept by an independent third-party expert to reinforce its methods and to share an exclusion list used by all members of the Asset and Wealth Management Divisions in the Responsible Asset Management Committee (CGAR). This list is then shared with the Risks Department so that it can also be applied to the Financial Transactions Department for proprietary transactions and the Corporate Department for loan transactions.

At the same time, the CGAR maintained a heightened level of vigilance in 2016 on a certain number of **securities with high extra-financial risk** that contravene international conventions and the principles of the Global Compact. These are frequently controversial and therefore do not align with La Banque Postale's civic values.

Furthermore, in keeping with La Banque Postale's governance principles, agricultural commodities are excluded from the range of its authorised financial instruments.

In January 2016, the Bank's Executive Committee approved the launch of a **Responsible Financing Charter** governing the granting of corporate loans. The Charter stipulates that loan applications will be rejected for a certain number of sectors, deemed too risky from an extra-financial point of view (gambling, pornography, tobacco, nightclubs, the coal industry), as well as organisations and companies that have gravely and repeatedly been in breach of the law, codes of conduct or conventions (infringement of environment law, international codes and conventions, or fundamental rights at work).

Furthermore, La Banque Postale strives to prevent financial and legal risks, and risks to its image from investing in jurisdictions with poor regulation, or which are opaque or uncooperative regarding tax fraud, money laundering and terrorism financing. It has compiled a **list of at-risk countries** where it cannot carry out or participate in any commercial development.

At the same time, since 2010, LBPAM has stepped up its responsible practices by integrating environmental, social and governance (ESG) criteria in selecting its market intermediaries. This is based on a questionnaire from the LBPAM's ESG Research and Management Department which is sent to all market intermediaries (i.e. the financial institutions with which LBPAM conducts market transactions). Around 70 institutions received this questionnaire in 2016.

In 2016, this initiative was presented to the members of the Responsible Investment Forum of French players committed to ESG. The objective is to encourage other investors to contribute to devising a single questionnaire to improve transparency and responsible practices in the financial sector, in terms of governance or compensation for example.

Finally, as an essential player in the French economy, La Banque Postale **combats tax evasion** by strictly complying with applicable rules and prevention measures. As a French retail bank, its activities are almost exclusively conducted on French territory. It has no activities in countries blacklisted by the Tax Justice Network. At the very most, La Banque Postale has pursued very limited business in European countries where La Poste already conducted business at the time of the founding of La Banque Postale. The profits from this business are fully taxable at common law rates. The tax management of all Group entities and companies is handled or controlled directly by La Banque Postale's Tax Department in Paris. This management is based on principles of stringent compliance with applicable regulations and transparency with respect to the authorities. Furthermore, the monitoring of customers' activities in terms of tax compliance is carried out as part of the **fight against money laundering, terrorism financing and fraud**. Measures have been set up to control international transactions between France and countries presenting risks. This monitoring generates alerts which are subsequently handled by a dedicated tool. Over 100 people are dedicated to this activity within the Financial Transactions Security Department.

Following the Paris attacks in 2015, this division developed a new series of alerts based on “weak signals”, below the thresholds used for combating money laundering and focusing more on behavioural indicators, with very satisfactory results.

Professional ethics: better risk management in business processes

True to its values of providing local services to the largest number of people, La Banque Postale is committed to promote ethical and responsible behaviour. The **2016 BVA ethics environment barometer** survey conducted among large French companies and employees of Le Groupe La Poste shows that 88% of employees of La Banque Postale say that they are involved in the Company's ethical actions, down 6 points compared to the 2015 barometer. Nevertheless 73% of bankers state their awareness of ethics was raised in 2016, which is almost the same rate as in 2015. Furthermore 76% of employees (a 5 point increase) state that they have identified the person responsible for professional ethics inside La Banque Postale.

Furthermore, employees consider that La Banque Postale takes effective steps to ensure compliance with rules and regulations (95%)

as well as the rules on fair competition (92%), and the fight against fraud and corruption (92%). The 2016 BVA ethics environment barometer shows that employees' perception of corruption is not limited to the payment of money to obtain a contract but to other actions such as pressure to obtain a contract or a position, acceptance of a gift or an invitation.

The **professional ethics handbook** of La Banque Postale is circulated in La Poste Financial Services, to La Poste Network and the Information Systems Department (DSI-DISFE) shared by La Banque Postale and La Poste Network. It puts emphasis on the best practices to be implemented in banking, financial and insurance matters with respect to customers, employees and third parties. The handbook is part of the internal rules of procedure of La Banque Postale and La Poste, and is enforceable against all employees. The professional ethics handbook was revised during 2016 and a new code of conduct will be published in 2017 setting out the ethical commitments and rules for combating corruption, protecting customers especially their personal data, monitoring vulnerable customers and having a responsible and lasting relationship with customers. This revision will be combined with training courses and awareness-raising actions for employees.

The projects initiated in previous years were continued in 2016. The note on processing suspicions of weakness detected in Financial Centres was circulated and implemented (29 suspicious files processed). The Ethics and HR Departments jointly reflected on the conditions required to conduct complimentary activities to those carried out at the La Banque and La Poste. This resulted in an information document for employees and their management.

Work to ensure global steering of regulatory accreditations (inspection, insurance, certification) continued in 2017. The result was an update of the AMF certification note and an expression of need regarding the revisions of IS management for regulatory accreditations. In future, this IS will cover all the management and information processes for current and future accreditations, in order to ensure that employees in contact with customers possess the required knowledge and skills.

The intranet ethics sections were further developed during 2016, notably by putting online a resource that lists the rules applicable to additional activities.

Employees receive training in business ethics as soon as they take up their duties and throughout their professional career. Campaigns for training in rules of good conduct have been conducted since 2006. They concern the areas covered by the professional ethics handbook: respecting customer needs, banking secrecy and data confidentiality, prevention of conflicts of interest, compliance with the rules of use of Information Systems. Moreover, the head of business ethics contacts newcomers to LBP: he uses an awareness-raising film presenting

several sequences of business ethics rules followed by discussions with the participants. He also plays a role during the integration of new organisations, e.g. for La Banque Postale's acquisition of SOFIAP. Finally, the Business Line Correspondents are involved with this subject in their organisations. Thus in 2016, over **850** employees were trained by different business ethics councillors and contact people. A new e-learning awareness-raising campaign was started in the DSI-DISFE: Around 1,000 employees logged on. The business ethics correspondent for this division also spoke to new employees during the induction day.

The continuous system for controlling compliance with ethical rules uses the process **for detecting and monitoring ethical breaches**. The notifications issued concerned breaches of professionalism, and non-compliance with the good conduct rules. It should be recalled that the system can notify managers of any breach of the rules so that they may take the necessary measures. There were several follow-ups to notifications in 2016 to check that actions were being correctly implemented.

With regard to governance issues, nine monthly cross-cutting business **ethics committees**, led by the head of business ethics, were held regularly in 2016. These committees make it possible to monitor the progress of the 2016 business ethics action plan. They notably made it possible to monitor the progress of work on combating corruption, and the revisions of the IT resource use charter and the business ethics handbook.

Five major business **ethics risks** are integrated into the Operational Risk Department's tools and risk matrices. A summary of these risks was presented at a 2016 Business Ethics Committee meeting. The changes to the operational risk management tools and processes will lead to a re-examination of the methods of integrating and monitoring business ethics risks.

The Business Ethics Division of La Banque Postale takes part in the **Ethics Committee of La Poste**, a body that brings together the Ethics Departments of La Poste's four business lines.

In case of suspected breaches of ethical rules or faults, the **whistleblowing process and alert system** provide for the relay of information to La Banque Postale's Head of Business Ethics. He/-she is also informed by the compliance officers working in the Bank's various departments, at the subsidiaries, in La Poste Network and the IS Department. Whistleblowing is done via a strictly confidential, secure e-mail address. The name of the whistle blower is kept secret to protect them from any retaliatory measures. In 2017, this whistleblowing system will be included in the guidelines resulting from the work undertaken on the fight against corruption.

6.2.2 Social commitment

To meet its commercial development and customer satisfaction challenges, La Banque Postale pays close attention to all of its teams, without exception, whether at La Banque Postale and its subsidiaries, at La Poste Financial Services or within the Banking Advisory Line of La Poste Network.

By setting up a single HR Department for La Banque Postale, the Financial Services and La Poste Network in 2014, a centralised, simplified and people-centred management system was established. In 2015, the HR Department equipped itself with strategic and operational bricks (creation of the l'École de la Banque et du Réseau, establishing Recruitment and Career Teams, legal entity HR). In 2016, La Banque Postale continued to develop the level of skills and accountability of its teams. It is developing new business lines to satisfy its customers' expectations, which involve jobs with a future for each one of its employees.

Because the HR Department recognises that employees must be both the agents and beneficiaries of change, it implements the resources necessary to support and assist them in their jobs every day, to develop their professional skills and to act proactively to create and consolidate the business lines of the future.

6.2.2.1 Career development and employee support

La Banque Postale's human resources policy aims to provide the Bank's 29,206 employees with a working environment that promotes their **personal and professional commitment and development**. In a changing context, the HR Department of La Banque Postale, Financial Services and La Poste Network ensures on a daily basis that the changes needed for the development of La Banque Postale are implemented with respect for all.

It places great emphasis on supporting each employee in their professional ambitions throughout their career, but also on providing support for retraining of all those affected by a transformation project in their area. In doing so, it is committed to the Bank's social model.

Accordingly, the staff agreement concerning the banking advisory business lines, signed on 17 December 2014, embodies the Bank's commitment to supporting bank advisors as their role changes and to offering them career development opportunities. Besides immediate salary measures, which is a sign of the recognition of these functions, and after the signature of a sales management agreement in 2015, a banking advisors job and career agreement was signed in 2016. This agreement lays down the terms for accessing banking advisor jobs, it enhances these jobs and reinforces the support for banking advisors so they can progress to tomorrow's jobs.

Some key commitments have been made in the mobility agreement for employees of La Banque Postale Group:

- ▶ on training to support employees' professional mobility plans;
- ▶ on support for employees with minimum individual contractual guarantees and specific measures for geographical mobility with respect to Le Groupe La Poste;
- ▶ on greater visibility regarding career paths and development.

These two flagship agreements demonstrate the commitment of the Human Resources Department of La Banque Postale, Financial Services and La Poste Network to placing the Group's men and women and their development first as part of a holistic approach to managing the changes in the sector.

The **mobility of employees** of La Banque Postale Group is therefore a key issue for the Company.

No less than 337 combined career paths were created in 2016 among employees of the Bank, the Financial Services and the Banking Advisory Line (including banking support) of La Poste, i.e. 32.6% more than in 2015.

At the same time, 1,996 people were also promoted as part of their career progression.

46 Career Development advisors (CDA) in the Financial Centres, 75 CDAs in the Network and around 30 career managers at the registered office of the Bank and the Network provide personalised support for employees: Regular individual interviews, visibility of job offers, discussions with HR professionals on profiles, career management advice. To encourage mobility between La Banque Postale branches and the Network, especially in banking activities, the HR Department created 13 Recruitment and Paths (ER&P) teams throughout the country (60 employees). The teams are tasked with internal recruitment between branches and external recruitment, in accordance with standardised methods. These teams have four objectives: improve employee knowledge for proactive career management, provide new sourcing solutions for recruiters, simplify the experience of recruiting managers, improve the experience of employees in situations of mobility.

Their action draws on two innovative approaches which are in permanent synergy with local HR players: the direct approach with employees to propose they apply for job offers that might match their expectations, and formalising individual development plans to help candidates achieve their goals.

La Banque Postale Group is also **an open group**. This year it recruited 337 people from outside Le Groupe La Poste, 21% in our Banking Advisory Lines and 114 in the subsidiaries.

In addition, Le Groupe La Poste, which has held a "career week" since 2013, decided to launch a new concept in 2016: "The 4 Seasons of Career Development" to give postal workers more time to obtain information, attend a workshop, visit a site or meet colleagues,

Each season is therefore the chance for employees to obtain information, consider different career paths, participate in an event, meet HR staff, etc.

Given current and future changes and developments – business line change, creation of new functions, etc. – the teams of La Banque Postale and the Financial Services naturally mobilised for each season. Through the events offered, "The 4 Seasons of Career Development" forms part of a policy of developing a culture of career development in employees, with HR players and managers, by inviting them to become involved individually and collectively in designing, recognising and providing support for career plans.

The actions organised throughout France (visits to sites and subsidiaries, workshops, forums and talks, etc.) were intended to inform personnel and managers about professional development opportunities (growing business lines, possible career paths), and

about mechanisms facilitating job transfers and career development within and between branches, and also outside the Group (business start-ups, etc.). All these are opportunities from which everyone can build their career path.

New methods of information on business lines and career opportunities are now permanently implemented in the entities on the Bank/SF/Network scope, notably by the ER&P: web conferences presenting jobs on the Job Exchange, information meetings or workshops on developments in banking business lines, information campaigns using all channels to make recruiting business lines more visible.

Employee training

Since it was set up in July 2015, the École de la Banque et du Réseau has supported the career development of the 70,000 employees of La Banque Postale, the Financial Services, and La Poste Network, by training them on the new skills and business lines of Le Groupe La Poste.

The École de la Banque et du Réseau has set up training courses throughout the year:

- ▶ qualifying courses for the managerial line to reinforce banking skills to serve development:
 - modular courses of 10 to 20 days for the 4,000 n-1s of the Sector Directors;
 - an 11-week training course for 1,600 Sector Directors with the Training Centre for the Banking Professions (CFPB);
 - a 15-day training course for Regional Directors with the CFPB;
 - a 14-day course for Regional Directors and Financial Centres Directors with Paris Dauphine University, which illustrates the synergy between La Poste Network and La Banque Postale;
 - a 12-day course for Executive Directors with HEC;

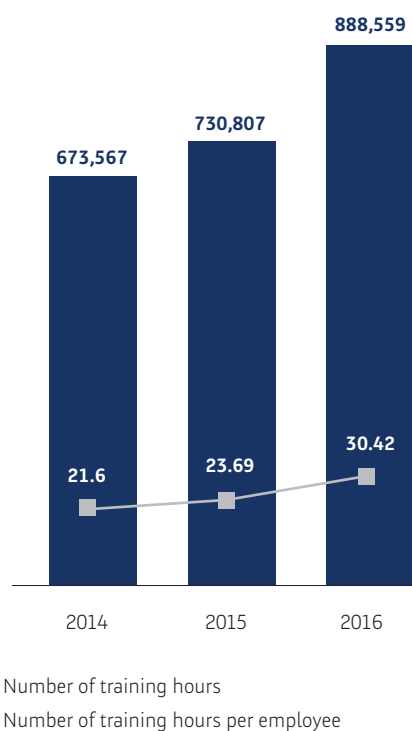
- ▶ taking up duties for existing business lines (inspectors) and for the new business lines of La Banque Postale and the Financial Services and in particular the 150 Professional Customer Managers and 65 Financial Savings Development Officers;
- ▶ supporting the extension of the Crédit Immobilier sales force to 7,600 employees (CSP, CGP, RC Part, DSDR, DT, COCLI). All of which will amount to 38,000 trainee days.

Building on these initial training programmes, the École will also be responsible for onboarding for new hires and continuing professional development for employees to maintain skills levels or to learn new skills to develop their careers. The École therefore supported 1,200 employees in their qualifying training courses in 2016 (professional banking certificate, banking BTS certificate, degree, ITB, CESB (Centre for Higher Banking Studies) in management, CESB in asset management, etc.). The dynamic is accelerating to develop innovative courses to help develop the skills and performance required for our business activity.

For example, 888,559 hours of training were provided in 2016, i.e. a little over 30.42 hours per employee.

The École's objective is to optimise the visibility and accessibility of its training offer to ensure that it successfully serves all employees. It uses teams of designers and in house trainers, as well as partnerships with prestigious benchmark partners such as the *École Supérieure de La Banque-CFPB*, HEC, Dauphine.

Backed by a **scientific committee** of experts in banking, business and education, which ensures the academy remains abreast of best practices in its environment, the École de la Banque et du Réseau is structured to meet the strategic challenges facing the Group's various branches.



6.2.2.2 Youth employment, integration and training

Since 2013, to facilitate the integration of young people into the Company, both managers and young people have a dedicated HR contact person who assists them in defining their needs and in the recruiting process. He / she ensures the integration of students into the teams and the satisfactory performance of their assignment.

La Banque Postale has consolidated its relations with the student sector: it has **32 partner schools**, including business schools, engineering schools and universities throughout France. The Bank conducted over 60 initiatives at trade shows, forums, presentations, educational games, case studies, recruiting workshops, and even examination boards. In this way, it makes its business lines and subsidiaries more well-known, improves its attractiveness and promotes student access to the world of work.

For example it participated in the 5th **EDHEC Open Innovation** seminar where students grappled with unresolved problems in the digital environment assisted by 70 managers from different companies. La Banque Postale won 3rd place out of 24 companies thanks to the work of students who designed a serious game to promote responsible financing to the general public.

Also among the year's highlights was the renewal of the disability partnership agreements with ESSEC and Sciences Po Paris, in order to improve the access to further studies for students with disabilities.

Actively involved in the **integration and training** of young people into the labour market, La Banque Postale had 1,100 apprentices as of 31 December 2016 under apprenticeship or occupational contracts with a level of education ranging from Bac+1 to Bac+5 for a term of 1 to 2 years.

A new survey amongst sandwich course students with the bank during the summer of 2016 showed that 92% of them (+1 pt compared to the previous survey) considered that their professional experience with La Banque Postale had allowed them to acquire new skills, while 86% of them considered that it was a real asset for their CV (+2 pts). With regard to students at the end of their studies, a more precise qualitative follow-up of their internship or apprenticeship within La Banque Postale has been introduced in order to replenish the pool of young talent.

La Banque Postale was awarded the "Happy Trainees" label in 2016, which is an important and innovative ranking: of the 150 best French companies for work placements or sandwich courses. This label currently rewards the commitment of HR managers and teams in this area. Almost 92% of students and trainees recommend La Banque Postale, and 80.3% of them have a favourable opinion of their employer (a figure which is slightly above the figure in the banking sector in general).

6.2.2.3 A comprehensive and competitive remuneration policy

La Banque Postale's ambitions for the future are to accelerate its commercial development and build the bank of tomorrow. The Bank supports this ambition with employees whose everyday dedication makes quality of service a catalyst of customer satisfaction and retention. To meet these new challenges, La Banque Postale has a human resources policy based on a comprehensive compensation system, applying fundamental principles of fairness and transparency. It aims to recognise skills development, establish a link between employees and performance, retain loyalty and support career paths.

La Banque Postale has set aside a budget of 0.8% of total payroll for raising fixed remuneration in recognition of professional training, and this budget notably includes general increases reserved for employees on lower salaries. This budget is consistent with Le Groupe La Poste's budget for the compulsory annual salary negotiations for employees in Financial Services. As part of the revaluation campaigns at La Banque Postale and the Financial Services, for equivalent levels in Group A, the annual rate of salary increase for women employees was, as has been the case for several years, more favourable than the one applied to men.

In 2016, La Banque Postale renewed a €100,000 budget dedicated to professional equality. This budget, which is set aside to tackle pay differences between men and women, in similar job positions, and to address the individual situations of employees beginning their careers, was used to improve the pay of 104 bank employees, 67% of whom were women and 53% of whom were employees starting their career.

La Banque Postale also shares the fruits of its expansion and performance in the form of variable collective remuneration: incentives and profit sharing. Incentives, which are calculated on the basis of the operating result and the CSR rating, reflect everyone's contribution to La Banque Postale's commitment to sustainable development. The incentive budget in 2016 totalled €6.7 million net. This result reflects La Banque Postale's performance in terms of sustainable development: its extra-financial rating means that it is amongst the most successful world banks in this area for the second year running. The Group's incentive agreements in 2016 also concerned eight subsidiaries of La Banque Postale. Profit sharing in the amount of €2.8 million net was also added to this budget.

La Banque Postale also gives its employees the opportunity to constitute medium or long-term savings via the PEG (Group savings plan) and PERCO (collective pension savings plan) mechanisms. La Banque Postale supports this investment effort by making an employer's contribution of as much as €1,150 gross per employee including €150 which is paid to their Group PERCO without a corresponding payment. This unilateral measure set up in 2016 means that all employees can receive an employer's contribution and that their awareness of the importance of saving for retirement is raised. Lastly, La Banque Postale uses this employer's contribution, boosted by solidarity funds, to encourage employees to opt for socially responsible investments. The total employer's contribution in 2016 amounted to €2.5 million net. Furthermore, all La Banque Postale subsidiaries can join the PEG and since 2015 La Banque Postale's PERCO.

Le Groupe La Poste's results for FY 2015 enabled the Financial Services to pay an incentive budget of €5.6 million net to its employees. To encourage medium and long-term savings, Le Groupe La Poste offers its employees the possibility of taking out group savings plans and collective pension savings plans (Group PEG & PERCO). The supports for investment comprise at least 30% socially responsible assets. La Poste supports its employees' investment efforts every year by contributing up to €2,400 gross to the amounts they have invested individually. In 2016, the total employer's contribution for financial services employees totalled €2.7 million net.

A mobility agreement for La Banque Postale Group was also signed in 2016. This agreement reflects its intention to put its employees at the centre of its strategic transformation by offering job and career opportunities inside a large multi-activity group whilst defining a set of principles and individual guarantees for remuneration during mobility.

6.2.2.4 Dialogue and employee relations

Right from its launch, La Banque Postale has paid special attention to ensuring **high-quality employee relations**, based on trust and mutual respect. The Bank negotiated five agreements in 2016 on mobility within the Group, working from home, professional equality, diversity and the generations contract.

The standards of La Banque Postale's employee relations have thus been improving constantly since 2006. Between 2006 and 2016, 129 **collective agreements** were signed between La Banque Postale and the Financial Services, including five this year.

Continuing on from previous years, the Financial Services continued their employee relations method based on transparency and openness. 14 plenary trade union meetings and five national Committee meetings took place in 2016 under the 2016-2020 agreement on the future of jobs in the banking sector (*Avenir des Métiers Bancaires des Centres financiers 2016-2020*), and more than 50 preparatory bilateral meetings were held with employee relations bodies.

These meetings enabled **large transformation projects** to be discussed. They include the continuation of the EXCELLO (Operational Excellence) programme, the development of the Bank for Professionals, the creation of the Remote Bank, or the change in the organisation of the IT Department of La Banque Postale (DISFE). These initiatives were presented to the Financial Services employee relations committee before presentation to the relevant regional employee relations bodies (local employee relations committees, CHSWCs (committee for health, safety and working conditions) and the technical committees). The projects are managed according to the **change management model** developed by Le Groupe La Poste, which entails an initial phase of listening to personnel, followed by an impact assessment and meetings with employee relations bodies.

2016 was the first year in which the 2016-2020 agreement on the future of jobs in the banking sector was deployed and followed-up on. Its first actions were in support of the large transformation programmes on various subjects such as training, management, working conditions (launch of the working time organisation programme) and supporting change in all its forms.

As regards cross-cutting Financial Services/Network/La Banque Postale activity, 2016 was devoted to the presentation of materials covering the entire range mentioned above (Maison de l'Habitat, CAP client 3.0, 2020 skills, etc.) and involving the same large number of bodies.

The labour negotiations on the banking advisors' scope also continued. It should be recalled that the Framework Agreement of 17 December 2014 foresaw three areas of negotiation for this population:

- ▶ sales management (agreement signed on 15 July 2015);
- ▶ jobs and careers (agreement signed on 2 March 2016);
- ▶ working conditions (agreement in the process of negotiation).

2016 was particularly rich in this respect. Although one area was opened for negotiation, the two others, one of which was signed during the year, were monitored by monitoring commissions.

Lastly, an electoral process was held to provide the National Online Banking Centre (*Centre National Banque à Distance*) with personnel representatives (almost 190 employees). These partial professional elections, which used electronic voting, were carried out without a problem with, notably, an important turnout, as almost 90% of the people concerned voted in the ballot.

6.2.2.5 Health, safety and well-being at work

The Financial Services continue the deployment of a policy for the prevention of occupational risks through initiatives adapted to the actual work.

Thus, **preventative initiatives connected to musculoskeletal disorders** (MSDs) have been launched, raising awareness with regard to working on a screen, intended for all persons working on a computer. Since early 2014, a training course for employees entitled "I protect my back and my joints", concerning movements and positions, has been provided by OSH experts and medical personnel. This one-day training course presents concepts of anatomy, ergonomics, observation of work situations, and practical exercises on the layout of computer work stations and stretching and relaxation exercises.

A project to prevent and to manage incivility internally and externally continued in 2016, as part of **the prevention and management of psychosocial risks and incivilities** inside Financial Services, with the presentation of a diagnostic to the CNSST SF which was compiled from roundtable discussions and the analysis of a questionnaire. The diagnostic notably resulted in a new experimental training course, from the end of 2016, for employees who have contact with customers by phone. This innovative training course makes it possible, firstly, to work on behavioural skills (management of emotions, objective consideration of problems, etc.) and, secondly, to take advantage, on a voluntary basis, of coaching or psychological advice from experts.

2016 was also a year of **experimenting with "Work Discussion Areas" (EDT)** inside the Financial Services of La Poste. It was decided that the training of trainers would be internalised to provide solutions which were closer to the field. The EDTs enable managers and their teams to build operational solutions for daily problems and to extend already existing best practices.

The synergy between our Health at Work Services, our Human Resources and our management line on the subject of **"job retention"** has been strengthened in multiple ways. Firstly by the creation of "return to work" and "job retention" committees that make it possible to conduct multidisciplinary work to support postmen and postwomen in need. A durable working group of occupational health doctors from La Poste, the HR Department and other key actors was created to elaborate and build innovative methods for job retention. Lastly a co-development experiment between occupational health doctors, the HR Departments and entity Directors was launched to foster as many synergies as possible.

2016 was also marked by the launch of the absenteeism project with work to diagnose absenteeism, which since December 2016 has tested managerial training on "returning to work" interviews with seven Financial Centres. The purpose of this training is to explain the different stages of the "return to work" interview and the attitudes to adopt for each of these stages. The "return to work" guide for managers was also revised.

Financial Services continue to implement the occupational **stress assessment and monitoring procedure** (DESSP) which has been in place since 2009. This procedure, carried out as part of the medical check-up, aims to establish an objective record of the stress level, identify its factors, and determine appropriate actions to reduce occupational stress.

The Financial Services continue to deploy human impact analyses within the scope of transformation projects. This tool, deployed within each entity, makes it possible to reinforce the taking into account of work conditions during projects, through a multidisciplinary approach (occupational health services, preventive personnel, HR, social assistants, CHSWC (Committee for Health, Safety and Working Conditions, etc.) and with the active participation of employees and managers.

The **National Committee for Occupational Health and Safety** (*Commission nationale santé sécurité au travail* or CNSST) of the Financial Services continues to monitor and propose prevention initiatives, as well as bear in mind the human factor in projects. Different subjects were discussed such as the "internal/external incivilities" project, the creation of Return to Work and Job Retention Committees, the new "Absenteeism" project, the New project for

training on emotional control during telephone activities, the feedback on the deployment of "Work Discussion Areas", training on the "Return to Work" interview, etc.

Following the signature of the "Avenir des Métiers Bancaires III" Agreement in December 2015, a working group was set up to study the new measures to be implemented to improve working conditions inside the Financial and National Centres. This working group was composed of employee-relations partners sitting on the Financial Services CNSST and different key experts. The discussions take into account the impacts of, among others, digital technologies and changes in customer relations.

The prevention sector and occupational health services continue their work of accompanying employees and managers, and ensuring that work conditions are taken into account within their respective entities, in particular by the adaptations of workstations and the organisation of working groups. In addition, a new professional training programme began for the whole of the sector. The purpose was to provide new tools and methods to offer the best support to La Poste's Financial Services with a view to improving working conditions.

Well-being at work

Based on the principles stated in the Health and Well-being at Work Agreement, in 2016 La Banque Postale set up:

- ▶ an annual prevention plan;
- ▶ the DUERP (*Document unique d'évaluation des risques professionnels*, or single occupational risk assessment document).

In addition, to reaffirm that La Banque Postale and the Financial Services are permanently concerned for the well-being of their personnel at work, the Commitment and Life at Work Division, created in September 2014 within La Banque Postale's HR Department, the Financial Services, and La Poste Network, continued to perform its mission: "encourage, create and foster employee commitment in their work".

Since 2015, the HR Departments of La Banque Postale, the Financial Services, and the Network, voluntarily posted an updated policy of "consideration of people."

A postal worker should be considered and treated as having "a purpose in his own right," on the one hand because it is the moral duty of a business such as La Poste to act in that manner, and on the other hand, because he will become an excellent resource all the more when he is not being treated as a resource, but as having a purpose in his own right. The overhauled management must also translate this strong will to generate commitment on the part of the greatest number of postal workers by the manifestation of true consideration for people.

The quality of life in the workplace is above all connected to the **ability of individuals to lose themselves** in their work, itself the fruit of a considerate work environment.

This philosophy of consideration for people in service to their willingness to commit is taken into account in the **management modules** taught at the École de la Banque et du Réseau.

The manager's Roadmaps integrate in a significant manner indicators of the reality and quality of this commitment: a social barometer and short-term absenteeism. A certain number of accompaniment measures are put in the service of the managers to assist the implementation of their missions: coaching, mentoring, and mediation. Practices are developed in order to contribute to the advancement of the awareness of the need to go beyond messages, by knowing how to modify one's behaviours: feedback, 360 degrees, discussion space, networking workshops, etc.

It is important to understand how much this philosophy, intellectually seductive for a great number, demands a very strong requirement from

all, from the business's managers to the line managers, in matters of coherence, conscience, courage and serenity.

In June 2016, the Human Resources Department of La Banque Postale and the Financial Services carried out its second satisfaction survey of the quality of life at work among all employees: Financial Centres and National Centres, DISFE, DEDT, Remote Banking, DSF, and LBP's Divisions.

This **social barometer** has as its ultimate goal to offer a vision of the perception in time of the quality of life in the workplace within establishments, in order to act on common themes such as finding a balance between private and professional life, the work environment, recognition, management, etc.

Thus, 54% of employees answered the questionnaire from 7 to 29 June 2016 (+7 points compared to 2015).

In addition, a **special mediation and support position** inside the Operational HR Department of the Financial Services supports and advises managers and local teams on how to deal with complex individual situations faced by the Financial Services and the Bank. Solutions are implemented on a case-by-case basis: individual support, professional or geographical mobilities, etc.

Moreover, as part of the improvements in work/life balance, but also with a view to participating in stress reduction, a **work from home** agreement was signed on 25 June 2013 at Le Groupe La Poste.

To promote this balance, La Banque Postale also renewed an agreement on working from home within the UES companies on 22 January 2016. So far, since work-from-home was set up at La Banque Postale, 444 employees and managers have embarked on this experiment in remote work and communication, based on mutual trust, with great satisfaction.

Finally, in view of the increase in uncivil behaviour in post offices, the Department for Safety and Prevention of Incivilities of La Poste Network continues to provide training for all post office employees in preventing incivilities. To date, over 36,000 employees have participated in a training course. In 2016, 15,000 complaints of incivilities were recorded on the ORAS application (tool to record uncivil behaviour). Specific actions were taken, notably by setting up the CTPI (Regional Committees for the Prevention of Incivilities) and the DCI (Uncivil Behaviour Initiative).

The purpose of the CTPI is to analyse the specific situations concerning the prevention of incivilities, to perform a diagnostic of the offices concerned and to propose actions to improve employees' working conditions. The regional department has discretionary authority to make local adaptations to ease tension in the sales rooms of these institutions. This new body, the deployment of which is being extended, already exists in 70% of the volunteer regional departments. The DCI supplements the tools which are available to postmen and postwomen in the behavioural field. From now on, an overall policy for incivility prevention is available to all the players concerned.

6.2.2.6 Diversity, disability and equal opportunity

Commitments and agreements

Respecting and promoting the principle of equal opportunity and equal treatment is something which applies to all company players, at all levels and at all stages of their working lives. As "a caring, socially responsible bank", La Banque Postale is committed to promoting diversity and equal opportunity, to give everyone access to its various business lines. It also pursues an employment development policy for people with disabilities, promoting their integration and ensuring their career development.

A third disability agreement, signed in February 2014 at La Banque Postale, concerns employees of La Banque Postale and of La Banque Postale Crédit Entreprises. This agreement makes it possible to continue the actions started in 2008 by La Banque Postale: recruitment, integration, training, remaining in employment and awareness-raising among different company actors. Employees are made more aware of disability throughout the year through key events (an Employment of Disabled Persons Week, Health-Disability meetings which make it possible to focus on certain themes: incapacitating illnesses, visual disability, etc.). They are also informed of these events by the distribution of flyers, the dissemination of articles on the intranet and dedicated communication screens, etc.

Various jobs are also the target of specific awareness-raising (buyers, trainers, etc.). External awareness raising is also implemented via participation in hiring forums, partnerships with grandes écoles, universities, non-profit associations working with disabled persons, etc.

With respect to La Poste's Financial Services, the **sixth La Poste disability agreement was signed in May 2015**. Through this new agreement, La Poste is pursuing and reinforcing its commitments to promote the retention of disabled persons in their jobs. In particular, the agreement gives priority to keeping disabled persons in their jobs by creating a Committee for Return to Work and Job Retention in each entity. It also aims at pursuing efforts in matters of hiring persons with a disability, and turning to the subsidised/sheltered worker sector. Moreover, the mobilisation to develop digital accessibility is being reinforced.

Since 2012, a network of 29 local disabled-persons' representative officers have been contributing to the implementation of the commitments of the agreements and are the preferred spokespersons with respect to disability, both in job retention and in raising employee awareness. Their roles, duties and contact data are disseminated by posting up in the entities and on the intranet. Each officer organises at least one awareness raising initiative per year and receives all the employees who so request.

As proof of its commitment to **diversity, gender parity at work and the generations contract**, La Banque Postale renewed its **agreement on these key subjects on 7 November 2016**. New commitments have been established as part of this agreement, such as the donation of rest days, when each employee can give his or her rest days anonymously to colleagues with a seriously ill child, or parent, and implementation of the right to disconnection.

La Banque regularly establishes initiatives for raising its employees' awareness and there are training courses on diversity in the training catalogue so that everyone has a good understanding of what diversity is, and its challenges.

In addition, since 18 April 2013, the signature date of the **Diversity Charter**, La Banque Postale has been pursuing its wish to integrate and to promote each person on the basis of his or her competencies, without discrimination, in order to best reflect in its workforce the diversity of the French population.

The **Professional Equality Agreement of Le Groupe La Poste** was signed in July 2015 and covers all aspects connected to relations between men and women, and in particular, the weight of stereotypes in the relations, a job gender mix through hiring and promotion, equality

between men and women, and separation between personal and work life, right to disconnection, etc. It is promoted by the HR Department of each entity which ensures its implementation at all levels. Communication tools are used, such as, for example, an "HR Guide to Parenthood" which informs employees, particularly young parents, of existing services, a "Caregiver's Guide" for family caregivers, etc.

In terms of actions, the entities arrange local forums with non-profit organisations and address subjects according to their population (skill-based sponsorship oriented towards older workers, solidarity leave, stereotypes, gender equality, etc.).

The La Poste agreement on the integration of young people and the employment of seniors was renewed in October 2016 in order to continue the active policy of age management. The agreement aims to improve young people's access to employment, the job retention of seniors and the intergenerational transfer of knowledge.

Actions of the diversity, disability and equal opportunity mission

To achieve its goals, the disability and diversity mission of the La Banque Postale branch and the disability and diversity officers carried out numerous actions and participated in numerous events in 2016.

As regards disability, the commitment to **recruiting people with disabilities** led, in 2016, to the recruitment of four people with disabilities at La Banque Postale (one of whom on a work-study contract) and of six people in the Financial Services (including two people on apprenticeships). To achieve this result, La Banque Postale participated in several events (video chat, job teaser, "Adapt" forum, etc.). Moreover, actions were carried out with our partner schools (ESSEC, Sciences Po, IGS, etc.) to raise awareness amongst students and future managers of the professional integration of disabled people and to help develop accessibility and knowledge.

On the subject of **job retention**, La Banque Postale and the Financial Services supported around 900 disabled employees. In La Poste's Financial Services, close to **600 actions** to keep employees in their jobs were carried out in 2016, at a cost of over **€700,000**. The Disability Mission carried out a dozen position adaptations within La Banque Postale's scope: notably by adapting hours and paying for transport costs between home and work, and for training costs in excess of the Company's training plan. In addition, half-days of leave were granted to employees of the Bank for administrative or medical procedures related to their disabilities, or those of their disabled close relatives. So that disabled employees may have better access to training, since November 2013 they may indicate their training adaptation needs directly in the management tool. The work of the project on accessibility to e-learning modules continued in 2016 with the aim of giving everyone the same access to training.

The Disability Mission has also set up **awareness-raising** actions aimed at all employees of La Banque Postale to break down barriers and stereotypes linked to disability or its representation. In 2016, La Banque Postale accordingly renewed the programme for learning French Sign Language. An awareness-raising initiative for managers of La Banque Postale was deployed at the end of 2016, to inform them of the Disability Policy and its challenges, their day to day role, and key players to assist them. This awareness-raising action conducted

through the Company will continue during the first quarter 2017 in order to train all La Banque Postale's managers.

Finally, the Disability Mission informed employees of **purchases in the protected and assisted work sector** during the **Sustainable Development Week** in June by inviting ESATs (Assisted Employment Centres) and adapted companies to present their business. Purchases by the La Banque Postale from the disabled and sheltered sector increased by 10% in 2016 compared with 2% in 2015 thanks to everyone's efforts (purchasers, consultants, etc.). In addition, every year La Banque Postale takes part in the European **Week for Employment of Persons with Disabilities** (*"Semaine pour l'emploi des personnes handicapées"* – SEPH), a week which in 2016 was the "diversity and disability week" in order to take all of La Banque's commitments to the employees. Theatrical presentations followed by discussions on disability were held at the La Banque Postale's Head Office Departments together with different events relating to visual and auditive disabilities and disabling diseases.

A wealth of actions were again carried out in the Financial Services this year: Disability officers held different events during disability and diversity week in November. On the agenda: awareness-raising workshops on disability, Handy'Fest (Toulouse), "Les Discriminables", "Les Invisibles" and a "Braille" workshop (Bordeaux), a meal in the dark and sketches on stage (Rouen), a Handibasket tournament with eight teams of postmen and postwomen at the Financial Centre (Lille), a silent coffee shop where employees could order a coffee using sign language (Bordeaux), and lots of other actions to raise awareness and change attitudes among employees. As part of Le Groupe La Poste's action in this respect, silhouettes accompanied by a poster campaign were set up to challenge employees and raise their awareness of the different aspects of diversity and disability, to encourage exchanges and discussions and to foster changes in behaviour that were not respectful of diversity.

6.2.3 Societal commitment

Its employees' commitment over the last 10 years has made La Banque Postale a **trusted** and essential player for banking services in France. It reaffirms its identity around its unique character and its values as a **civic-minded bank**. Its goal is to be an **engine for social and economic progress** by placing itself at the inflection point between individual and collective interests.

La Banque Postale is a reference in terms of responsibility and commitment. It is successful and robust and wishes to be deserving of the trust of its customers and stakeholders by supporting their projects and participating in **regional development**.

6.2.3.1 Responsive to stakeholders

The discussions that it conducts with non-profit associations within the framework of the Alliance Dynamique in order to promote the social and solidarity economy (see below) or as part of the Initiative against banking exclusion (see section on "Banking Accessibility") shows to what extent La Banque Postale is open to dialogue with external stakeholders.

In the **discussions held with the consumer associations** of Le Groupe La Poste (since 1989), La Banque Postale takes part in the first discussion level. Twice a year, the Chairman of the Executive Board meets the national spokespersons of approved consumer associations.

True to its values of local presence and transparency, La Banque Postale maintains its ties with local public-sector players, notably through its **local finance steering committee**, composed of elected representatives, former parliamentarians and experts. This committee has a prospective, observation and advisory role: assessment of risks, monitoring, proposing new services, etc.

In order to meet its commitments as regards social home ownership, La Banque Postale pursues its exchanges with the players of the social housing sector in the framework of **its steering committee for access to social home ownership** (a committee made up of notable people from the fields of housing and social home ownership). Chaired by the Chairman of La Banque Postale's Executive Board, this committee is responsible for advice, planning, and observation. Meeting at least twice per year, it thus plays a role in setting up an innovative model for home loans aimed at low-income households, one of La Banque Postale's key strategic aims (see chapter on "Banking Accessibility").

Since 2010, La Banque Postale has been issued **extra-financial agency ratings** on a regular basis. La Banque Postale remained the leading French financial institution and was the third at international level for extra-financial performance according to an evaluation carried out by **Oekom** in January 2017, and was given a rating of C+ and a "Premium" status. This ranking attests to the quality of the CSR measures implemented. At the time of its last evaluation in April 2015, **Vigeo** ranked La Banque Postale as the second bank of those which the panel evaluated, only one point away from the leader. Among La Banque Postale's strong points, the agencies emphasised its responsible marketing policy and the transparency of contracts, the measures taken to ensure access to financial services for all, the development of financial services with significant social benefits, and a good integration for social and environmental issues in asset management.

La Banque Postale's responsible behaviour is also acknowledged by the French people. According to the **Annual observatory of sustainable development** published by the IFOP (Institut français d'opinion publique, French Institute of Public Opinion), once again in 2015 the French chose La Banque Postale as the top French bank for its commitment to sustainable development, this for the seventh consecutive year. Its status as a "civic-minded bank" is thus confirmed.

Moreover, La Banque Postale strives to convey its values by participating in the **major committees tasked with promoting CSR**. It also actively participates in various working groups led by the Finance Club of the ORSE ("Observatoire de la Responsabilité Sociétale des Entreprises", the Observatory of Corporate Social Responsibility), in the Greater Public Commission of the Forum for Responsible Investment ("Commission Grand Public du Forum pour l'Investissement Responsable") (FIR), in the CSR/SRI steering committees of Paris Europlace, in the CSR Club of the Fédération Bancaire Française (FBF) and in Medef's CSR and Extra-Financial Performance Committees to advance major CSR projects (taking into account extra-financial criteria in the insurance sector, promotion of SRI with private customers, enhancement of actions in the finance sector to promote the environment, measurement of the carbon footprint of the financial sector, etc.).

In 2016, La Banque Postale was particularly involved in the work conducted by the ACPR (French Prudential Supervision and Resolution Authority) and the DG Trésor (Public Treasury Department), after the **Task Force on Climate Related Financial Disclosure** was set up. La Banque thus contributed to discussions and illustrated how it takes environmental factors into account in its financing activities, as well as the impact of climate challenges on its activities (see section on the "Management of Extra-Financial Risk").

6.2.3.2 Accessible by all and for all

La Poste Network, a showcase for La Banque Postale in the regions, has committed itself, since 2007, to a major programme of modernisation designed to **facilitate the accessibility of post office branches**, products and services for disabled persons. The commitment within the scope of the programmed accessibility agendas (Ad'AP) was to extend the accessibility programme to post offices between 2016 to 2024. By the end of December 2016, 5,652 post offices (63%) had accessible sales areas for all disabled people and 3,741 of them (42% of the fleet) had external access for disabled people.

At the end of 2016, 98.9% of **Automatic Teller Machines** (ATMs) situated on Post Office façades are either directly accessible to persons with reduced mobility (PRMs), or situated in direct proximity to another ATM which is accessible to PRMs in the same Post Office. The provision of accessible ATMs and SSTs (Self-Service Terminals) of La Banque Postale for blind persons or persons with poor vision is also underway, with a steadily-increasing accessibility rate at the end of 2016 of 98%, or 7,453 machines. ATMs which are located inside the offices are all accessible.

La Banque Postale also monitors **the digital accessibility** of the tools it provides in three main areas:

- ▶ La Banque Postale's internet banking site has been accessible to users of voice devices since 2010, and was audited twice in 2016 with a 93% automatic accessibility rate. No blocking point was reported during user tests. This site was remodelled on 12 October 2016 (and new elements are planned during 2017), and its level of accessibility is constantly improving;
- ▶ La Banque Postale's institutional website has an automatic accessibility rate of 99%; and no blocking point has been identified to date during manual tests. This site is frequently updated and modified and special attention is paid to preventing any risk of regression in terms of accessibility;
- ▶ the LBP's universal applications is 100% accessible to iOS devices and offers an unparalleled experience in the mobile banking world. Our teams are involved in all the stages of the new versions of the application.

This day-to-day action to ensure digital accessibility means that La Banque Postale is positioned as one of France's most accessible banks.

Moreover, the Bank's monthly newsletter is available on the internet in a version accessible to the visually impaired. At the end of 2016, 1,108 customers had registered to receive their **bank statements in Braille**. In addition, electronic account statements can be consulted by speech synthesis for visually impaired and blind people (Jaws software).

In rural areas, La Poste is involved in reducing **the digital divide** and in improving customer service. Thus, more than 3,200 digital tablets have been installed (compared to 2,500 in 2015) in La Poste Agence Communale service points. Available to customers on a self-service basis, they provide access to banking and postal services, but also to town hall and institutional partner websites, such as the CAF (family benefits fund) or Pôle Emploi (the French national employment agency).

Specific measures have been taken in 120 reference post office branches located close to asylum seeker reception/accommodation centres to facilitate the reception at and access to La Poste and La Banque offers for **migrant or asylum seeker segments of the public**. These measures fall within the framework of partnership agreements established with immigrant aid organisations FTDA and OFII. Over 300 post offices in **deprived and priority urban areas** are assisted by partner associations to help vulnerable customers with their postal and banking actions. To this end, sociocultural mediators or interpreters perform standby duties in post offices.

6.2.3.3 Committed to serving the regions

La Banque Postale accompanies the development of all economic actors: companies, the local public sector, professionals, actors in the social economy.

There were numerous highlights during 2016: development of the sales force dedicated to business professionals, where there are already 220 Professional Customer managers at post offices; financing of large renewable energy projects (photovoltaic, wind); and becoming the leading lender to local authorities and public hospitals.

Committed to regional development, this year La Banque Postale supported the Ile-de-France transport union (Syndicat des transports d'Ile-de-France - STIF) in its work to modernise its rolling stock, providing €225 million in financing for this operation.

Lastly, in order to support the eco-mobility approach of companies and local authorities, La Banque Postale and Bemobi signed a business contributor partnership agreement for the long-term leasing of Le Groupe La Poste's vehicle fleet.

La Banque Postale continued to strengthen its position as a regional bank by supporting and financing the real economy in very close touch with its customers' needs. True to its commitments, it supports its customers by offering them a comprehensive range of simple, accessible, useful and responsible products, consolidating its positioning as a "civic-minded bank" with all its corporate customers.

The benchmark bank in the public sector

The offer to local authorities

Four years after launching its local authority financing offer, La Banque Postale is now the leading lender on the local authority and public hospitals market. As a civic-minded bank, it addresses both small local bodies and large urban areas. Whatever the size of their territory, it aims to be a long-term partner for all and for all local projects.

Around half of the local communities that it assists are towns of less than 5,000 inhabitants.

Its comprehensive range of finance products is now proposed to all local public players. It further enlarged its offer by offering longer-term loans, revolving loans as well as investment solutions.

In 2016, La Banque Postale, true to its values as a civic-minded bank, renewed its commitment to the ODAS (National Observatory for Social Action) to promote the creation of "Citizens Days" in our municipalities among elected representatives. Such days are an opportunity to mobilise the population in order to carry out projects to improve their quality of life, bringing together people around civic actions, by facilitating exchanges and sharing.

Renewal of the partnership with the European Investment Bank (EIB)

In 2016, La Banque Postale renewed its partnership with the EIB, with four budgets totalling €350 million to support large Government-launched projects:

The renewal of a €100 million budget for the Hôpital Avenir plan. This budget enables healthcare institutions to have access to financing.

A new €100 million budget to support energy optimisation, which is dedicated to constructing and rehabilitating public buildings in France to reduce energy consumption whilst optimising energy performance.

La Banque Postale renewed its commitment to rolling out internet access over the whole country, by signing a new €100 million budget. This financing is part of the **France Très Haut Débit** plan with the goal of providing the whole of French territory with very high speed internet between now and 2022.

Lastly, La Banque Postale signed a European **Investment Fund guarantee agreement** and a **€50 million EIB budget for SMEs/mid-sized companies**. This agreement gives shape to its development strategy on the corporate market.

Supporting social housing landlords and tenants

Two out of three social housing associations are customers of La Banque Postale, which covers all their routine banking needs. The Bank also remains close to the needs of council housing tenants. It makes their life easier, through **simple and secure solutions for the payment** of their rents: withdrawals, transfers, interbank payment orders, cash with the Eficash service in post offices, or cheques with specific and automated processing: Externet. These services make the collection activity social housing associations flexible and safe.

Committed to **social home ownership**, La Banque Postale proposes a financing offer for council housing organisations, in the form of various PSLAS (prêts sociaux à la location accession, rent-to-own social loans). In 2014, it signed a partnership agreement with the Fédération nationale des sociétés coopératives d'HLM (FNSCHLM) to promote social home ownership and support the expansion of council housing cooperative companies. Under this partnership, La Banque Postale joined the Board of Investors of the Société de financement de l'habitat coopératif (SFHC), on which FNSCHLM relies, particularly for complementary financing for its projects. It thus plays an active role in supporting cooperative housing projects and contributes to the search for innovative solutions in the production and management of rental property. Since 2015, La Banque Postale has been authorised to distribute the social rent loan (Prêt Locatif Social - PLS).

A player in the social and solidarity economy (SSE)

La Banque Postale supports the **Social and Solidarity Economy (SSE)** by proposing a comprehensive banking offer completely dedicated to mutual insurance companies and social welfare players.

Moreover, after having established a major two-year partnership with the Conseil national des chambres régionales de l'économie sociale (CNCRES), La Banque Postale contributes to regional recognition of the SSE. Mindful of rewarding social innovation, the Bank awarded the "2016 Local and Proximity Initiative" prize at the 7th "Argus de l'innovation mutualiste et paritaire" awards to La Mutuelle des Etudiants (Groupe Intérieure) for the "Les Noct'Ambules" project. The latter is a prevention initiative aimed at young people, which contributes to education, health and the reduction of public health risks.

La Banque Postale has also supported Orphéopolis for four years, the mutual insurance fund for national police orphans. Its action also addressed the recognition of the qualities of national police orphans through an annual grant of €20,000. In the framework of this initiative, five young adults from across France received an award on 27 October 2016 in relation to the following four areas: Excellence at school or university / Sporting excellence or high sporting level / Civic and voluntary involvement / Artistic excellence or high artistic level (cinema, dance, etc.).

Committed to the Dynamic Alliance

In 2014, Le Groupe La Poste began a Dynamic Alliance, a commitment charter that reinforces its cooperation with 30 actors from the social and solidarity economy. A legitimate and committed partner of non-profit associations as part of its contribution to regional development, La Banque Postale is naturally involved in this approach. It thus continues to deploy a varied range of goods and services adapted to the needs of the social and solidarity economy focusing on solidarity financing and savings.

Close relationships under associative partnerships

La Banque Postale has been a partner of the **Union nationale interfédérale des œuvres et organismes privés non lucratifs sanitaires et sociaux** (UNIOPSS) since 2012. It shares a set of values with this federation, including commitment, solidarity, social innovation, and combating exclusion. The Bank signed an agreement with several regional members of this federation in September 2014, reflecting its goal of being as close to the regions as possible.

In the teaching sector, La Banque Postale has strengthened its ties with the **Fédération nationale des organismes de gestion des établissements de l'enseignement catholique** (FNOGEC), which promotes catholic teaching to over 2 million pupils, by becoming a partner of its national days. Lastly, the Bank extended its partnership with the **ASPTT sports federation**. Both want to strengthen their historical relationship in order to develop new projects.

A partner bank to small and large businesses

Accompanying all businesses

An historical player in the provision of cash flow services and cash management, La Banque Postale bases its customer relationship on its values of local availability, accessibility and trust. By now meeting the essential **requirements of business customers** with simple and appropriate offers, La Banque Postale enables these customers to manage their businesses with equanimity.

In 2016, La Banque Postale increased equipment for its small and medium-sized business customers with account management products and cash flow products.

It also supports them with a complete financing offer which responds to all their investment and cash requirements. As part of its innovation strategy and to encourage the financing of the real economy and the development of SMEs, La Banque Postale also acquired a 10% stake in WeShareBonds, a new crowdfunding player approved by the French Financial Markets Authority (approval as an advisor in Crowd Funding) and a specialist in loans to SMEs.

La Banque Postale also has a dedicated team capable of handling all the needs of its large business and institutional customers. To date, more than 250 large customers trust it as an innovative banking partner, expert on its business lines, with high quality results.

Equally, in 2016 La Banque Postale validated the launch of a **Responsible Financing Charter** which proscribes any interaction with organisations and businesses which have violated legislation, codes of conduct, or international conventions in a serious and repeated manner.

Developing local banking services for professional customers

La Banque Postale created a banking subsidiary for professional customers and local associations which assists customers with their professional and personal projects.

There will be 1,000 of Professional Customer Managers by 2020, 220 of which will be deployed in post offices to assist professional customers. These customers will also receive remote assistance from the Agence Pros dedicated to them.

The launch of medium and long-term financing in 2016 supplements the day-to-day management of services, flows and money, as well as of investment and protection offers. La Banque Postale has also created a division to advise franchise businesses and companies. Professional customers therefore receive a range of local services at the Post Office, whether these relate to banking, letters-parcels, telephony or another service.

Committed to the collaborative economy

Since June 2011, La Banque Postale has also supported the collaborative economy thanks to a partnership agreement signed with **KissKissBankBank**, a crowdfunding platform that enables project starters to raise funds through their friends and the general public. Every month, La Banque Postale finances 50% of a project selected by the public voting on the Banque Postale's "Comme le disent les gens" Facebook page. Over 70 projects have been supported in this way since the partnership was launched. This partnership has also included, since 2013, **hellomerci**, a platform for solidarity lending between private individuals.

Lastly, in 2016, La Banque Postale also pursued its commitment to the Social Cup, the first French cup for student social entrepreneurship, launched with KissKissBankBank and MakeSense. This third competition saw more than 1,400 students mobilise in the 12 participating cities, to propose nearly 120 innovative social-enterprise projects. 12 projects were selected for the final, which took place in January 2016, in Paris, where E-Sign, the project from Toulouse, won. These 12 finalist projects received a financial allowance from La Banque Postale for their first crowdfunding campaign launched on KKBB. Via these partnerships and initiatives, La Banque Postale encourages entrepreneurial spirit and the expansion of the collaborative economy.

Lastly, as part of its commitment to crowdfunding, the Bank acquired an interest in the capital of **WeShareBonds** in October 2016 in order to accelerate the financing of French SMEs. WeShareBonds makes it easier for French SMEs to access new sources of financing: the savings of private customers and the cash of companies.

6.2.3.4 Attentive to its suppliers

La Banque Postale's **responsible purchasing policy**, implemented since the end of 2009, is fully consistent with the Purchasing Department's cost control policy. It is based on the following four pillars:

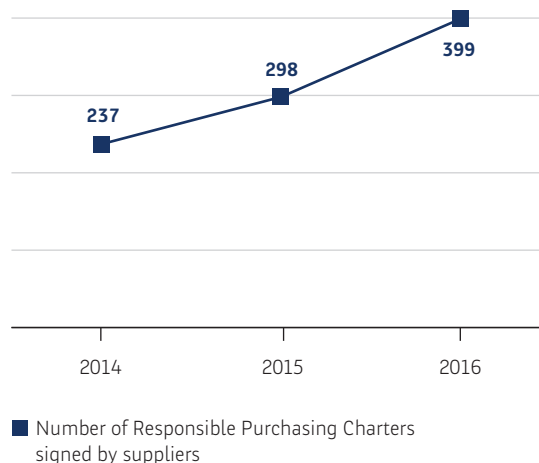
- ▶ the signing of a Responsible Purchasing Charter;
- ▶ turning to the disabled and sheltered sector;
- ▶ integrating extra-financial criteria into the selection and monitoring of suppliers;
- ▶ making La Banque Postale's invitations to tender accessible to small and medium-sized enterprises.

The Responsible Purchases Charter

Set up in June 2009 and updated in 2014, it sets out the policy for suppliers. This document raises their awareness of La Banque Postale's CSR policy and encourages them to commit -to a CSR approach. Moreover, in the Charter, the supplier undertakes to comply with the regulations in force, which are worded in a more formal manner.

La Banque Postale's Responsible Purchasing Charter must be signed for each new contract with a supplier, or in the steering committees for ongoing contracts when the Charter has not been already signed. In signing this Charter, the supplier undertakes to:

- ▶ comply with the 10 principles of **the Global Compact** and the eight Fundamental Conventions of the **ILO** (International Labour Organization);
- ▶ develop within their enterprise a management system and working conditions respectful of **human dignity and workers' rights**;
- ▶ **comply with social and environmental** regulations by establishing practices (transport policy, recyclability criteria, final waste management, etc.) for themselves and their subcontractors.



At the end of 2016, **79% of the TOP 150 suppliers** (compared to 72% at the end of 2015) had a responsible commitment covering 57% of the total purchasing volume managed by La Banque Postale.

An increasing contribution to the indirect employment of disabled people

The actions pursued by the Purchasing Department have enabled it in particular to meet objectives set in terms of purchases from the **disabled and sheltered employment sector**. In 2016, purchases by La Banque Postale from the disabled and sheltered sector amounted to

€1,006,000 VAT inclusive, an amount that has, moreover, continually increased in recent years.

The Purchasing Department, with the support of consultants, is always identifying new services in connection with the disabled and sheltered employment sector for tenders. Services such as printing, intersite shuttling or catering are in part dedicated to this sector, and competitive bidding is done with the ordinary sector.

Extra-financial criteria in supplier selection and monitoring

Every buyer at La Banque Postale ensures that **social, societal and environmental criteria** in line with the purchased service is integrated into the supplier specifications and during the supplier selection process. The supplier carries out an annual assessment during the service monitoring phase, which, if applicable, includes its sustainable development actions.

An ongoing discussion in collaboration with the consultants is also conducted on the improvement of supplier specifications to ensure that services are in line with the CSR policy of La Banque Postale.

In 2016, the Purchasing Department led the consultation to raise the **awareness of La Banque Postale's Managers** with regard to disability during **sessions** which took place over the second half of the year, with the assistance of La Banque Postale's Diversity, Disability and Citizen Commitments Manager.

Furthermore, the Purchasing Department's study to optimise La Banque Postale's car fleet won the 2016 Carbon Fund prize. The purpose of this study by Bemobi Conseil, a subsidiary of Le Groupe La Poste, was to identify driving practices in order to adapt La Banque Postale's car fleet and the costs of mobility.

Depending on the purchasing categories, environmental and social concerns represent in general **10% of the global weighting** of the rating criteria of the invitations to tender.

Supplier risk assessment

The CSR Division, in collaboration with the Purchasing Department, created a kit with a number of **tools to raise awareness of and conduct dialogues** on the challenges, risks and opportunities of having a responsible purchasing approach: the analysis matrix of CSR challenges, risks and opportunities regarding purchasing; CSR sheets per purchase family; an awareness-raising poster, an intranet section dedicated to responsible purchasing.

The La Poste **matrix** was updated in 2014 by La Banque Postale and the CSR Department of La Poste. This tool provides possibilities to be considered in order to mitigate legal, social, environmental and societal risks, and also to improve the positive impact of the purchasing act on various levels:

- ▶ employment, e.g. the inclusion of employees with disabilities by taking into account accessibility when purchasing IT upgrades;
- ▶ societal, e.g. regional development by buying from the social and solidarity economy;
- ▶ environmental, e.g. improvement of the quality of life at work by buying a partition capable of reducing air pollution; in September 2014, the introduction of an electric vehicle for mail shuttles between locations;
- ▶ economic, e.g. the possibility of developing a competitive advantage for a La Poste product or service through an evaluation of the suppliers' variants.

Making La Banque Postale's invitations to tender accessible to small and medium-sized enterprises

In order to allow small and medium-sized companies access to its invitation to tenders, La Banque Postale pays attention to:

- ▶ reducing the risk of financial dependency via the dependency rate measurement;
- ▶ apportioning invitation for tenders so that very small and small and medium-sized businesses in very specialised sectors can tender directly and not as co-contractors or subcontractors: specific batches for independent services with specific intervention requirements.

6.2.3.5 Encouraging equal opportunities

L'Envol, La Banque Postale's campus

Because education is one of our country's greatest concerns, La Banque Postale is committed to **societal sponsorship** to prepare for the future through **equal opportunities**. It therefore created an association under law 1901, in 2012: "L'Envol, le campus de La Banque Postale", which embodies its values and those of Le Group La Poste, and which actively involves its employees by encouraging their **civic commitment**.

This initiative has been supported by the Ministry of National Education since it was launched, and its partnership was renewed in 2016. Its mission is to **foster educational pathways for young and talented pupils** from low income households from across France (rural and urban), including the overseas territories and departments, by providing individualised support for them, from the time they enter school until they register in higher levels of superior general, technological or professional (vocational) education, and/or until they become a part of the workforce.

L'Envol runs two programmes for pupils and students. They have common objectives but are tailored to the specificities of the training courses followed:

- ▶ every year the **"general and technological" programme**, which started in 2012, sponsors 60 pupils from high school (*Seconde*) through to graduate level (Bac +3, on average), in partnership with Frateli;
- ▶ each year the **"career path" programme**, which started in 2015, sponsors 45 students who have chosen superior vocational sectors (catering trade, metal working industry, art and fashion), in partnership with *Réussir Moi Aussi*.

The sponsorship programme strives to be complete and consistent in order to develop talent in all its forms, **foster diversity in superior educational/career pathways** and contribute greater social openness. To do so, the programme has six dimensions:

- ▶ relationship with studies: to have the knowledge, working methods and motivation to improve or maintain results;
- ▶ relationship with the future: to project oneself into the future, make informed choices and prepare for them;
- ▶ relationship with other people: to know how to communicate and interact with other people and to learn from differences;
- ▶ relationship with self: to be self-confident, believe in one's chances, manage stress and difficulties, and assert tastes and opinions;
- ▶ relationship with the world: to extend one's horizons by developing general knowledge and critical thinking and by being open to new experiences; studying abroad;
- ▶ relationship to commitment: to respect one's commitments and take initiatives and responsibilities in one's activities.

In 2016, L'Envol sponsored 375 young people, i.e. five "general and technological" generations and two "career path" generations.

All La Banque Postale and Le Groupe La Poste employees can volunteer for the **Mentors' Community**. They can either provide individualised support for a young person when they are at secondary school and/or during their further studies. The Mentor contributes to the development of the young person they are responsible for, to the success of their educational and professional path, and to their openness to the world. Sponsors can also help to organise and coordinate large national and regional gatherings. In 2016, **525 mentors** were involved in the Community, and their commitment represented almost **1,000 volunteer days**!

A sign of its success, L'Envol has won many prizes since it was launched: the France Mécénova trophy in 2013, the Europe hallmark in 2013, the Entreprise Citoyenne national trophy in 2014.

L'Envol joined the Conférence des Grandes Ecoles in 2016, along with Mozaik RH, Fondation FACE, Frateli, Institut Télémaque, Passeport Avenir, APEC, Fondation Deloitte and **Pacte pour l'Ouverture Sociale et l'Egalité des Chances**.

In 2016, L'Envol gave over **300 hours of English courses** to small groups of secondary school students and over **1,350 hours of tutoring**. 24 intensive courses were offered to secondary school students to prepare for the demands of the medical school and Science Po entry exams.

Because preparing a student budget is essential, L'Envol, in partnership with **La Finance pour Tous**, also offered students financial education workshops, as well as material support on a case-by-case basis; thus, 38 computers were made available to them, in partnership with Ecodair (an organisation which recycles old IT equipment).

Every year, **L'Envol holds 12 large gatherings** to foster initiative among students, according to their academic level: integration course for "general paths" (2015 and 2016 generations, 2nd and 1st) and "professional paths" (2015 and 2016 generations); *cap sur le sup* course and field trip to Berlin (2014 generation, final year); *Campus vers le sup* course (2012 and 2013 generations, students); field trip to Malta (2015 generation, 1st); as well as six large gatherings in the provinces (Guadeloupe, La Réunion, Rennes, Nancy, Clermont-Ferrand and Montpellier).

All these actions encourage the students to succeed in their studies: in 2016, 70% of them received a special mention in their exam results! They choose their vocations in conjunction with L'Envol, which assists them in their thinking to work out their **career plan**. They pursue their post-secondary studies in a great variety of sectors (political sciences, medicine, preparatory classes, etc.) while continuing to receive counselling from their mentor.

For the first time, the students from the first generation, of 2012, have left the programme and are ready to begin their careers. They created an alumni association called "**L'Envol Alumni**" in 2016 to, in turn, provide mentoring for young people. They regularly attend the gatherings where they are facilitators for younger people.

Skills-based volunteering

In 2016, the **skills volunteer programme** initiated by La Banque Postale and La Poste Network continued its development. Almost 80 new employees were trained through **budget workshops**, which they

were mainly able to roll-out among those benefiting from the Garantie Jeunes en Mission Locale, as well as among those who were the first arrivals in the collaboration with the FACE association. Around 20 employees sponsored mini-companies as part of the **Entreprendre pour Apprendre** programme. The tests for the national EPA championship for mini companies, secondary school category, were also held at La Banque Postale's head office in June 2016. Lastly, 20 Ile-de-France employees teamed up with **La Finance pour Tous** to mentor final-year students on the Management Sciences and Technologies course at the Creteil Academy and support their work on their corporate case study as part of their baccalaureate. Counting the volunteers who continued their commitment from previous years, almost 200 of the Bank's and Network's employees are active in skills-based volunteering.

6.2.3.6 Respecting and defending major international commitments

As a subsidiary of Le Groupe La Poste, which has been a signatory to the **UN Global Compact** since 2003, La Banque Postale upholds the principles set forth by the Global Compact regarding Human Rights, Labour Standards, Environmental Protection and the Combat against Corruption.

Regarding Respect for Human Rights and Labour Standards, La Banque Postale, which is a French retail bank operating exclusively on French territory, is not concerned by the issues inherent in the activities of corporate and investment banking (CIB). Nevertheless, it undertakes to promote and respect the Human Rights described in the Universal Declaration of Human Rights for its business and within the framework of its relations with its suppliers. It considers the International Labour Organization's Declaration on Fundamental Principles and Rights at Work as a benchmark platform (see section on "Corporate Responsibility"). The Bank upholds freedom of association and recognises collective bargaining rights. Forced or compulsory labour and child labour are of course prohibited. Any form of discrimination is prohibited at La Poste and La Banque Postale. The Company reiterates its attachment to compliance with rules of equality and respect for diversity in all its forms. As an example, the trade union organisations signed various agreements concerning job equality between men and women, employment of disabled persons, and the inter-generational contract designed to promote corporate values. The Company's internal rules also reiterate the prohibition of any harassment at work, and establishes procedures for reporting any presumed situation of discrimination or harassment to the operational Human Resources Department. A mediation unit was also put into place to address suspicious cases (see section on "Corporate Responsibility").

In France, the employee training sessions on business ethics cover the **Combat against Corruption** (see "Management of Extra-Financial Risks"). Moreover, La Banque Postale ensures that its suppliers share its values by having them sign a Responsible Purchasing Charter (see "Societal Responsibility"), underlining the importance of respect for Human Rights, Labour Standards and the Environment.

As proof of its commitment, in its February 2017 survey on business and human rights, the ratings agency VigeoEiris ranked La Banque Postale in first place among French banks and in third place among French companies from all sectors. 6.2.4

6.2.4 Environmental commitment

In terms of environmental measures, La Banque Postale implements simple, concrete, rated measures which contribute to the protection of the environment. The goal of this environmental policy is to reduce its direct and indirect impacts on the environment.

La Banque Postale is committed to fighting climate change

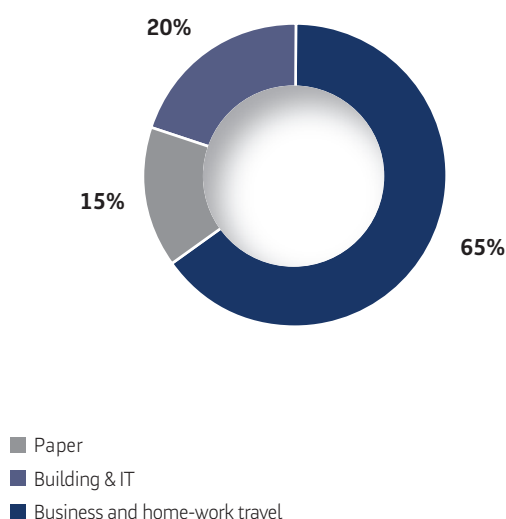
Le Groupe La Poste has set itself new environmental objectives, particularly to **lower its greenhouse gas emissions by 15%** to fight climate change, as part of the **"Energy Transition"** priority programme in its new strategic plan for the period 2015-2020. La Banque Postale also intends to fully contribute to achieving these ambitious goals, by reducing the greenhouse gas emissions associated with its main emitting lines by 15%: buildings and IT, employee business trips and paper consumption.

In order to structure this initiative, La Banque Postale is participating in the project started by Le Groupe La Poste in 2016 to deploy an environmental management system. **An ISO 50001 certified SME will be constituted by 2019** and will form the base for the coherent convergence of all the Group's energy transition actions. This initiative illustrates the Bank's structural commitment to Energy Transition.

In addition, La Banque Postale remains mindful of the impact of certain indirect emissions connected to its products, as well as of reducing the environmental impact of its means of payment or its information systems. It also works to foster the circular economy of its resources and to control its water consumption. Externally it is also involved in the promotion of biodiversity.

6.2.4.1 Controlling La Banque Postale's GHG emissions

Aware of its impact and its role, La Banque Postale carefully monitors its direct greenhouse gas emissions connected to buildings, IT, its employees' business trips, and its paper consumption. The carbon footprint of its main emitting lines in 2016 totalled 58,337 tonnes of CO₂ equivalent, compared to 64,029 in 2015, i.e. an 8% reduction. This data incorporates the emissions from the Banking Advisory Line and takes the purchase of 100% renewable electricity into account. The control of its main emitting lines is supported by an innovative mechanism, the Carbon Fund, which strengthens the management of its direct footprint in respect of the **energy performance of its buildings, the Green IT performance of its computer park, the promotion of sustainable mobility, and responsible paper consumption.**



La Banque Postale's Carbon Fund

La Banque Postale launched its first "Carbon Fund" in 2015 to take concrete action on its CO₂ emissions. This is an internal **mechanism to monetise La Banque Postale's carbon footprint** (excluding LCB) in order to internalise the cost of this negative externality. The first two versions of the Carbon Fund thus made available a total budget of €664,216 exclusive of VAT, both for **internal projects** to reduce the Bank's greenhouse gas emissions and for **external high added value environmental projects** in France. This budget is calculated on the basis of the tonnes of carbon generated by the Bank's three main emitting lines - transport, buildings & IT and paper consumption (internal and external), based on €7 per tonne of CO₂ equivalent.

Invitation for tenders are launched every year for the internal projects and they are selected on the basis of several criteria including economic profitability and the carbon emissions potentially avoided. Thus, the 21 projects which have already been financed by the 2015 and 2016 Carbon Fund are directly involved in achieving La Banque Postale's goal of reducing its greenhouse gas emissions by 15% by 2020. Examples are renovation and energy efficiency works on buildings, awareness-raising campaigns on sustainable development in partnership with NGOs and associations, and the deployment of fleets of electrically-powered bicycles. Innovative pilot projects have also been financed, such as eco-driving training courses, a study to

optimise La Banque Postale's vehicle fleet, or remote eco-metering of energy resources, which uses intelligent sensors to itemise building consumption. According to projections, all the projects funded since the Fund was launched in 2015 have the potential to cut out almost 3,000 tonnes of CO₂ emissions by 2020.

Externally, the Carbon Fund has made it possible to finance three environmental projects with La Branche-Service-Courrier-Colis of Le Group La Poste, in the framework of the *Climat + Territoires* programme: two projects focused on improving the management of forests in Aquitaine and in the Massif Central, and one "Agr'eau" project initiated by the AFAF, IAD and Arbres & Paysages 32, focusing on agro-forestry and sustainable farming.

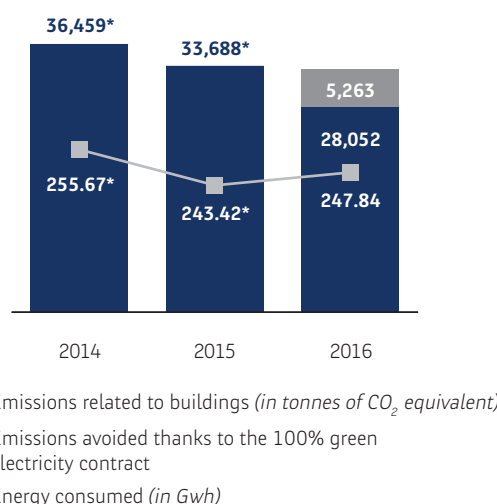
In view of the mechanism's success, the call for candidacies for the 2017 Carbon Fund was launched at the end of 2016 through the CSR Division, with an important difference compared to previous years: the increase in the price of a tonne of carbon from €7 to €8 to keep the budget at an equivalent level despite the reduction in La Banque Postale's emissions. Moreover, reinforcing the mechanism yet further, La Poste Network will join La Banque Postale in this approach in 2017. This new Fund will promote the implementation of projects fostering energy efficiency at post offices where over 50% of activities are dedicated to the Bank's business lines. This commitment by La Poste Network allows the Bank to offer an effective mechanism to promote the reduction of its environmental footprint across the whole of its banking, financial services, subsidiaries and Banking Advisory Line activities.

An energy performance policy for its buildings

The **policy on the energy performance of buildings** overseen by La Banque Postale's Real Estate Department is based on the following three main axes:

- ▶ promoting energy savings work on buildings;
- ▶ optimising the energy efficiency of its real estate assets on a daily basis: inside temperature of premises, lighting, detection of leaks, etc.;
- ▶ encouraging ecologically responsible behaviour among employees.

The measures taken in this respect have enabled La Banque Postale to maintain its building-related greenhouse gas emissions in recent years despite the increase in business. Between 2013 and 2016, La Banque Postale's CO₂ emissions linked to buildings fell by 38% on a like-for-like basis. The ratio in terms of the number of employees is also positive with a 35% reduction in CO₂ emissions per employee in 2016 compared to 2013. In 2016, emissions linked to buildings totalled 28,052 tonnes of CO₂ equivalent (-17% compared to 2015) across the most exhaustive scope available at this time, *i.e.* covering 11 out of 14 subsidiaries and taking the emissions caused by the banking activity (LCB) in post offices into account. This sharp reduction is notably due to purchasing 100% renewable electricity for certain La Banque Postale buildings from 2016.



La Banque Postale expects that its **reduction objectives** will be standardised from 2016, in line with its 2016-2022 strategic plan:

- ▶ 5% reduction in 2017;
- ▶ 10% reduction in 2018;
- ▶ 15% reduction in 2020;
- ▶ 20% reduction in 2022.

These objectives are consistent with Le Groupe La Poste's goal of reducing its CO₂ emissions by 15% by 2020.

In order to achieve these objectives, La Banque Postale and its main landlord, Poste Immo, are already committed to various structuring actions and real estate projects which concretely reflect the energy performance policy's main axes.

In response to the first axis for the implementation of work on energy efficiency:

- ▶ La Banque Postale's Real Estate Department regularly orders, for its premises, heat insulation, roof repairs, heat regulation, replacement of obsolete air-conditioning, boilers or fitting of movement detection LED lighting in communal areas;
- ▶ in addition, La Banque Postale was able to identify energy emission-reducing actions that will feed into its 2016-2022 energy performance policy thanks to 11 **energy audits** (Daddue Act, 2015) over more than 70% of the direct energy bill of La Banque Postale SA.

In response to the second axis for optimising the energy management of its real estate park on a day-to-day basis:

- ▶ La Banque Postale has purchased **100% renewable electricity since 1 October 2015** to supply all its major sites (power above 36 kVA), which represents 60% of total electricity consumption. This exemplary decision is part of Le Groupe La Poste's commitment to the **RE 100 initiative** which undertakes to supply the real estate park managed by Poste Immo with 100% renewable electricity between now and 2020. This is another example of linking economic performance and the reduction of the ecological footprint. It contributes to the responsible economic development of the French regions, and fosters the development of renewable energy in France. La Banque Postale thus avoided emitting 5,263 tonnes of CO₂ in 2016 thanks to its suppliers of 100% renewable energy;

* Data restated on a historical basis.

* The total energy consumption includes the consumption of electricity, natural gas, fuel oil, district heating, and propane gas.

- ▶ La Banque Postale works on a daily basis with its landlord Poste Immo which has developed a range of skills for promoting energy performance, such as the **Green Lease committees** which aim to improve maintenance, the quality of amenities and their use by the occupiers. This green lease approach covers 25 of La Banque Postale's buildings affected by the environmental annex (leases for premises over 2,000 m² used as offices or shops). Moreover, in anticipation of the decree on service sector renovation, Poste Immo is a signatory to the **Tertiary Charter** committing it to improving the energy performance of its properties of more than 5,000 m² by 25% between 2011 and 2020. 12 buildings used by La Banque Postale's employees are covered by this charter whilst the Green Lease initiative has been extended to this new scope;
- ▶ in this respect, the **ECOTERRE** project, which the Real Estate Department presented to the 2016 Carbon Fund, was financed and launched in 2016. This pilot project for the remote metering of energy resources and networks in the Financial Centre in Lille has a potential to reduce GHG emissions by 15% in 2 years;
- ▶ also in this respect, the **SOBRE solution** (a joint venture between Poste Immo, la Caisse des dépôts and Egis), which was created in 2016, also aims to be deployed in 2017, across the most energy-consuming sites of Le Groupe La Poste's real estate park. During the experimental phase, 24 of La Banque La Poste's sites, i.e. 181,350 m², will use the SOBRE box. In view of the challenges regarding energy savings, compliance with regulatory requirements, and the mobilisation of users to support the energy transition, Sobre offers a simple tool which makes it possible to have a better understanding of real estate assets, and to streamline and improve energy consumption. It aims to optimise how installations function and to influence behaviour and good practices in the Company to make savings of 10% to 15% without investment.

Lastly, in response to the last axis of the energy performance policy, which involves fostering ecologically responsible behaviour among employees:

- ▶ La Banque Postale promotes multiple **awareness-raising** activities every year (eco-gesture campaigns, awareness-raising stand, thematic exhibitions) in offices throughout France thanks to the work of its CSR correspondents, who raise employees' awareness of the importance of adopting ecologically responsible habits;
- ▶ furthermore, La Banque Postale is taking part in the **CUBE 2020** competition organised by the IFPEB⁽¹⁾ through its landlord, Poste Immo. The users of the 123 buildings taking part in the competition have to reduce their energy consumption over a period of a year. Poste Immo won the second competition with three buildings on the prize-winning podium and six buildings in the first 10 places. Overall energy savings of 12.6% were made on the 40 sites entered by Poste Immo, which won 20 medals including a bronze awarded to the Clermont-Ferrand Financial Centre.

A Green IT performance policy for its computers

The energy efficiency assessment conducted in 2007 and 2008 revealed that the share of electricity consumption attributable to IT systems was between 40% and 50%.

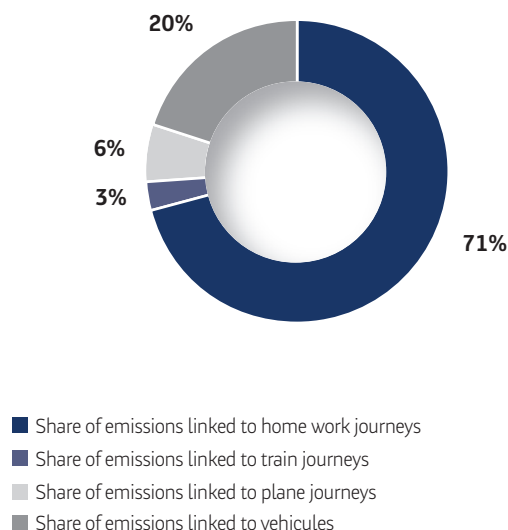
In parallel to a responsible purchases approach to IT hardware and services, the Information Systems Department of the Bank and the Retail Brand Network (DISFE) has a Green IT action plan.

For example, all the desktop and laptop PCs of La Banque Postale, the Financial Centres and the Network (post office branches) bought since 2012, and gradually replaced, bear the EPEAT eco-label. Likewise, all of the printers and photocopiers of La Banque Postale, the Financial Centres and the Network (post office branches) bought, or hired, since 2014 are labelled Energy Star (gradual replacement over four years).

Finally, measuring the carbon footprint of the various installed computer bases has been possible since 2013 at the level of Le Groupe La Poste, thanks to the "Green Argile" IT tool. Thus, in 2016, the information distributed and the Data Centres of La Banque Postale represented about 8,968 tonnes of CO₂ equivalent (versus 6,150 tonnes of CO₂ equivalent in 2015). It should be noted that these data should not be added to the building-related greenhouse gas emissions as it already includes the use phase of the computer equipment.

A responsible mobility policy for its employees

La Banque Postale has taken various measures to reduce the environmental impact of journeys made in relation to its business, firstly by reducing the number of journeys made by employees, and secondly by promoting the most environmentally-friendly modes of transport among them. The responsible mobility policy concerns long business trips and home-work journeys by employees by car, train, plane, or soft transport methods.



Totally consistent with this policy, La Banque Postale began, in 2016, with Le Groupe La Poste, an initiative to assist its sites to perform the **"Company Journey Plans"** on a national scale. The purpose of Journey Plan is to optimise the environmental and economic costs of **business and home-work trips** for employees whilst respecting the relevant legislation. During the coming months in 2017, the works will

(1) Institut français pour la performance des bâtiments (French Institute for Building Performance).

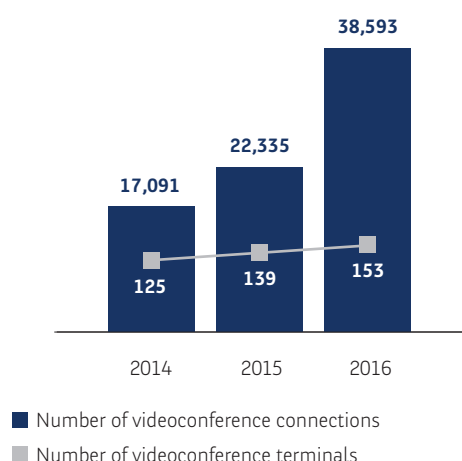
involve the employees, notably through the mobility survey (managed electronically) and consultation workshops. This project will notably satisfy the regulatory obligations concerning the Atmosphere Protection Plans and the "Energy Transition for Green Growth" Act, whose implementing decree is scheduled to come into force on 1 January 2018. Four pilot sites, including two La Banque Postale Financial Centres, entered the pilot phase in 2016, with support from Bemobi Conseil (subsidiary of Le Groupe La Poste), while the roll-out at national level to over 40 of the La Banque Postale's sites is planned in 2017.

In order to reduce the impact of the movement of La Banque Postale employees, awareness-raising actions are also conducted during the year, and notably during the European Mobility Week. This week allows the Bank to recall its commitment to responsible mobility and to raise employees' awareness of these challenges. Numerous events were again carried out at national and regional entities during the 2016 edition of the event:

- ▶ a national "number of steps" challenge was carried out at 65 Le Groupe La Poste sites in order to promote walking and physical exercise. The employees of the sites with the highest number of steps enabled their entity to equip itself with a "soft" mode of transportation. The Bank was more than well represented by the Financial Centre of Nantes, which won the challenge, and got an additional electric bicycle, whilst the Financial Centre of La Réunion gave its prize for second place, an electric scooter, to an association;
- ▶ the CSR correspondents also organised various parallel initiatives such as bike repair workshops, electric powered bike tests, fitness sessions, running, guided visits of city centres, and many other mobility-associated events.

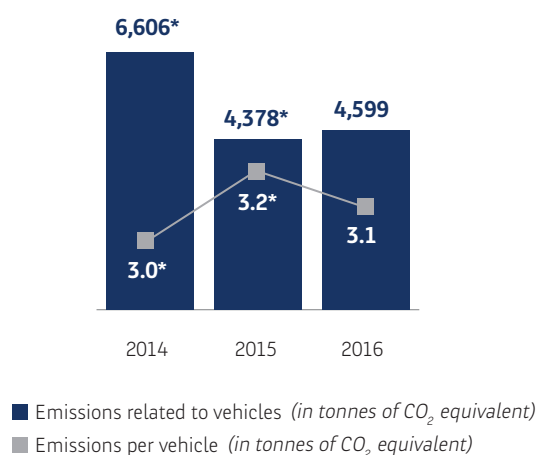
Limiting the impact of business journeys

Part of La Banque Postale's responsible mobility policy involves the installation of videoconference terminals in its buildings to fluidise exchanges and meetings between its employees whilst limiting their business journeys. Thus, 153 **videoconference** terminals have been deployed since 2011 inside La Banque Postale's head offices, the Financial Services and certain subsidiaries. Since then, the number of connections has increased sharply reaching 38,593 in 2016, i.e. a number of connections which has more than doubled two years, proof of this service's success among users.



The La Banque Postale vehicles

With respect to the fleet of La Banque Postale's company-owned vehicles, 85% of the fleet's in-service vehicles were emitting less than 119 grammes of CO₂ per km at the end of 2016, of which 41% emitted less than 101 grammes. In 2016, despite a 5% increase in the emissions of tonnes of CO₂ equivalent linked to the use of La Banque Postale's service, executive and company cars (4,599 tonnes of CO₂ equivalent in 2016) the average volume of tonnes of CO₂ equivalent emitted per vehicle fell by almost 3%. This slight reduction is consistent with the policy of integrating more energetically efficient vehicles into the fleet, and of fostering responsible driving habits among the employees. Since 2012, the total volume of tonnes of CO₂ equivalent emitted by the fleet has fallen by 24%.



A study led by the Purchasing Department on the optimisation of the vehicle fleet, which won the 2016 Carbon Fund, was launched at the end of 2016. The purpose of this study by Bemobi Conseil, a subsidiary of Le Groupe La Poste, was to identify driving practices in order to adapt La Banque Postale's vehicle fleet and the costs of mobility.

In parallel, since 2014, La Banque Postale has looked into the possibility of integrating **electric or hybrid vehicles** into the vehicle fleet when possible. In line with the roll-out of the first electric vehicle to the Financial Centre of Marseilles in 2014, the Centres of Lyon and Limoges also each benefited from a vehicle in 2015. Subject to the need for renewal, the deployment of other electric vehicles will be bore in mind. The registered office, for its part, acquired **four new hybrid** petrol vehicles in 2015 and 2016 (to replace diesel service vehicles). This was made possible by incorporating a few electric vehicle references into the service vehicle catalogue of the Bank's suppliers in 2015, as well as two hybrid vehicle references in the Company car vehicle catalogue in 2016.

Apart from the impact in relation to the technical features and the management of the vehicle fleet, La Banque Postale also raises its drivers' awareness of the importance of **eco-responsible driving** in training courses given by the Financial and National Centres. At the end of 2016, 2,158 employees were trained in the framework of this programme.

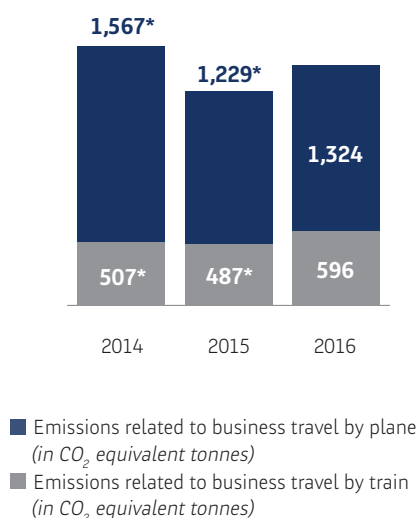
In addition, the pilot project **on training to prevent road risks and eco-driving** run by Mobigreen, a subsidiary of Le Groupe La Poste, and financed by the 2015 Carbon Fund enabled 19 volunteer employees from La Banque Postale to be trained in 2016. They were given seven theoretical training sessions followed by seven thematic telephone workshops coordinated by Mobigreen's teams. Thirteen telematic

* Data restated on a historical basis.

consumption measuring boxes were fitted in the volunteer's vehicles to analyse the change in the consumption of the vehicles concerned: there was an average reduction in consumption of 6%, equivalent to 1,301 litres of fuel saved over the training period from May to November.

Train and plane journeys

In 2016, employee travel by rail accounted for 596 tonnes of CO₂ equivalent (versus 487 in 2015) and air travel accounted for some 1,324 tonnes of CO₂ equivalent (versus 1,229 in 2015). Between 2012-2016, the CO₂ emissions related to air travel decreased by 2.2%, while those related to rail travel increased (+23%). These figures are consistent with La Banque Postale's travel policy of providing different transport methods for its employees according to their destinations. This policy encourages "green" journeys by train for all journeys in metropolitan France apart from exceptions, while air travel is reserved for journeys to the overseas departments and abroad.



Promoting green transport

To encourage travel by green transport systems, 24 bikes including 16 power-assisted bikes are made available to employees in the Financial and National Centres. The head offices also became involved in the initiative, starting with Bords de Seine II, the winner of the 2015 Carbon Fund, which was the first head office to be equipped with eight electric powered bicycles in 2016. Financial assistance can be offered to certain employees to purchase an electric powered bicycle for their home-work journey. All the Village La Poste sites (Lemnys, Brune and Crossing) were also fitted with electric powered vehicles in 2016 to encourage green transport between sites. The 2016 Carbon Fund also enabled the Financial Centre in Rennes to acquire six electric bikes and four standard bikes for its employees to use free of charge on their business trips and home-work journeys.

Taking employee travel between home and work into account:

Thanks to the participation of employees in the home-work survey distributed during the 2015 **Mobility Week**, La Banque Postale was able to calculate trends in the environmental footprint related to its employees' travel between home and work. The results of this survey show that 127,682,788km were travelled by La Banque Postale

employees this year, or the equivalent of 3,192 revolutions of the Earth and 16,266 tonnes of CO₂ equivalent. While the number of kilometres travelled increased by 11% in comparison with 2013 (115,342,651km in 2013), the carbon footprint (tonnes of CO₂ equivalent emitted) increased only by 1% (16,092 tonnes of CO₂ equivalent in 2013) pointing to a favourable trend in employee behaviours. In 2015, 11% of km, compared to 7% in 2013, were travelled by La Banque Postale's employees using non-polluting means of transport, also called active means of transport: bicycle, scooter, roller blades, or walking. Moreover, 10,916 tonnes of CO₂ equivalent were saved thanks to the use of public transportation (41% of the kilometres were travelled using public transportation) and 2,836,260 km and 682 tonnes of CO₂ equivalent were avoided thanks to ride-sharing, i.e. 408,745 km more than in 2013. However, the main means of transport for 38% of employees is still single passenger car use (as compared with 37% in 2013). The survey is performed every two years and will therefore be repeated in 2017.

These figures, which have increased since 2014, are consistent with La Banque Postale's efforts to promote green transport among its employees. This policy is also reinforced by the development of home working for employees, part of an effort to improve their work-life balance, which has reduced their number of journeys (see Chapter 6.2.2.5. Well-being at work).

Encouraging responsible paper consumption

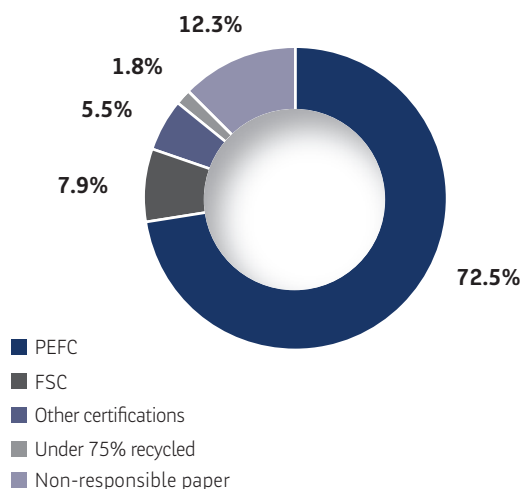
For the second consecutive year, La Banque Postale was able to integrate into its scope of publication (with historic reprocessing) the greenhouse gas emissions connected to the consumption of paper of the Banking Advisory Line (allocation external consumption direct to customers and communication).

Thus, of the 8,162 tonnes of paper consumed in 2016 (compared to 8,684 tonnes in 2015, i.e. a 6% reduction):

- ▶ 8% was consumed internally, representing 24 kg per employee, or, on average, a 2 kg reduction in the paper consumed by each employee compared to 2015;
- ▶ 92% was external (directly to customers and communications) and represented 0.70 kg per active customer.

In 2016, the **portion of "responsible" paper**, in other words, recycled or sourced from forests which are sustainably managed, was 91.2% as compared with 97.1% at the end of 2015.

* Data restated on a historical basis.

Breakdown of paper per type of certification

In the LBP scope, Financial Services, 84.5% of Subsidiaries and excluding LCB, or 70% of total consumption.

It should be noted that, since 2014, till receipts have not included bisphenol A.

Total paper consumption fell by 10% between 2013 and 2016 after the Banking Advisory Line was incorporated in the reporting scope for paper in 2013. Over the same period, this decrease resulted, in particular, from an 8% drop in "external paper" consumption for customers and communications as a result of a paperless approach (for example, online account statements, etc.), and from a 24% drop in "internal paper" consumption, notably thanks to the awareness-raising among, and increased accountability of, employees concerning paper consumption.

6.2.4.2 Management of indirect GHG emissions linked to La Banque Postale's products

La Banque Postale's goal is to control the indirect greenhouse gas emissions related to its products. In this framework, La Banque Postale Asset Management calculated the carbon intensity (which corresponds to greenhouse gas emissions based on the level of activity) of about 2,000 businesses, with the aid of a database dedicated to environmental impacts. As an initial step for an improved integration of the efforts to combat climate change in investments, this information is made available to all LBPAM's fund managers.

2015 was marked by an important growing awareness by investors of their role with respect to climate change. This shift was fostered by the outlook of the COP21 which took place in Paris. It was accentuated by the Energy Transition Act for green growth enacted on 17 August 2015, which created new obligations for transparency and commitment for institutional investors, through its Article 173. In 2016, LBPAM set up a portfolio analysis and reporting tool to measure three indicators: the carbon intensity of each portfolio (invested in shares or in bonds,) the share of the portfolio invested in energy transition solutions (companies with at least 20% of their activities linked to environmental solutions, "green bonds") and finally the portfolio's exposure to companies with coal-related activities.

In addition, carbon intensity is an active parameter to be taken into account in the process of defining the investment universe of the

three SRI funds of the Investir Autrement range: LBPAM Responsible Actions Euro, LBPAM Responsible Actions Europe and LBPAM Responsible Actions Monde. Accordingly, the securities of European companies having relatively high greenhouse gas emissions relative to their sector of activity are excluded from these two funds. The funds' average carbon intensity is compared to the one of their respective benchmarks. This information is sent to investors quarterly via the LBPAM website.

Other projects support this ambition:

- ▶ the creation of a thematic fund dedicated to energy transition: the LBPAM Responsible Actions Environnement fund, created in 2009, which aims to invest, via European markets, in environmental endeavours, particularly in the fight against climate change; The amounts outstanding of this fund tripled in 2016;
- ▶ investment in "responsible bonds" (or "green bonds"): since the end of 2013, LBPAM has implemented a specific methodology to evaluate "green bonds". These bonds are distinguished from conventional instruments by the issuer's commitment to use the funds raised for environmental or social projects. The issuers of these bonds are varied, including business development banks and local authorities. Built jointly by the SRI analysts and credit fund managers, this methodology factors in the issuer's ESG rating and a qualitative evaluation of the projects related to the issue (ESG quality of the issue, transparency regarding the projects financed, reporting). Via this dedicated rating, fund managers are encouraged to pay special attention to responsible bond issues. The total assets invested in responsible bonds by LBPAM amounted to €514 million (compared to €295 million at the end of 2015);
- ▶ compiling an ESG checklist (see Responsible offering section): it includes an item on combating climate change. Each product is therefore examined in terms of its impact on the reduction of CO₂ greenhouse gas emissions.

Within this framework, LBPAM has proven its commitment to energy transition by associating itself with various initiatives in place.

- ▶ in 2015, LBPAM joined the IIGCC (Institutional Investors Group on Climate Change), a forum whose mission is to change investment practices by encouraging the adoption of public policies promoting transition towards a low carbon economy and the development of solutions for adaptation to climate change;
- ▶ in 2015, LBPAM also signed the Montreal Carbon Pledge, which undertook to measure and publish the average intensity of its open share portfolio investments. The first measure was communicated in December 2015: on 30 October 2015, the average carbon intensity of its open funds invested in shares totalled 223 tonnes of CO₂ equivalent per million euros of revenue. In comparison, the average carbon intensity of the stock-market indexes "Euro Stoxx 300" and "MSCI World" were, respectively, 230 and 234 tonnes of CO₂ equivalent per million euros of revenue⁽¹⁾. The carbon intensity measurements to December 2016 will cover a larger scope: not only open funds invested in shares, as in 2015, but also funds invested in bonds and debt securities (excluding securities issued by States).

6.2.4.3 Promoting a circular economy

La Banque Postale, in parallel to reinforcing social and environmental criteria and specifications for the service providers that clean and manage waste at its premises, has also, for several years, offered awareness-raising activities to its employees during **the European Week for Waste Reduction (EWWR)**. In 2016, the CRS Division

(1) http://www.labanquepostale-am.fr/actualites/archives/2015/lbpam_mesure_L_intensite.html

circulated a "Reduce our waste" toolbox to its CSR correspondents in the field. This toolbox aims to facilitate the "turnkey" implementation of different awareness-raising actions to promote the circular economy among employees in accordance with the "3Rs" rule: Reduce waste - Reuse products - Recycle materials. This kit supplies adaptable communication items to facilitate the organisation of themed awareness-raising activities such as: a photo exhibition, a support kit to donate furniture or to organise collections of various materials (writing instruments, bottle tops, bottles, cans, batteries, coffee capsules, etc.) or practical worksheets to set up a collaborative library or an up-cycling workshop.

In addition to these awareness-raising operations, La Banque Postale works every day to reduce, reuse and recycle the materials used in its business activity.

Collecting WEEE

Like any other company in the service sector, the management of end-of-life WEEE is an important challenge for waste management policies. The PAPREC service provider is responsible for the majority of WEEE collection and recycling processes at La Banque Postale. In 2016, over 80 tonnes of WEEE were collected inside the Financial and National Centres. Since 2012, Disfe, which is responsible for La Banque Postale's IT assets, also set up a policy for processing and recycling WEEE with Valdelec, a service provider which collects, dismantles and processes the WEEE from IT assets.

Combating food waste

The catering offering of the DNAS (National Social Activities Directorate) of Le Groupe La Poste, which partly manages La Banque Postale's catering facilities, includes various initiatives to promote responsible collective catering by combating food wastage and encouraging healthy eating by its users.

The specifications for collective catering incorporate CSR requirements, notably with regard to combating waste, which are reflected by:

- ▶ setting up processes and methods to avoid daily waste and food losses. For example: inventorying before ordering, analysing the number of users of restaurants to adapt the quantities produced daily, FIFO stock management, etc;
- ▶ raising the awareness of kitchen teams: daily briefings, training on eco-gestures, having conversations with users in order to serve quantities matching their requirements.

We can therefore cite the following 2016 best practices:

- ▶ experimenting with local supply followed by a campaign on this matter among restaurant managers;
- ▶ two food wastage awareness-raising campaigns in June and October 2016;
- ▶ the introduction of paid bread;
- ▶ the donation of restaurant equipment to Secours Populaire for a solidarity canteen project after a restaurant closed.

Recy'go, the paper recycling offer

Recy'go, created by Le Groupe La Poste, demonstrates its commitment to energy transition. This **office paper recycling service** is offered by the mail and parcel service branch (*Branche Service Courrier Colis*). The principle is simple: during his/her rounds, the postal worker collects office paper and deposits it on their platform. Nouvelle Attitude, a

subsidiary of Le Groupe La Poste, then carries out the sorting of the paper, in order to enhance its value, before transmitting it to nearby paper recyclers located in France.

Recy'go has two positive results:

- ▶ first of all, environmental, through its initiative of circular savings (recycling) and of neutral carbon emission inverse logistics, thanks to the optimisation of the return trips of the postal workers to their mail platform;
- ▶ solidarity, on the other hand, through Nouvelle Attitude, a Le Groupe La Poste subsidiary which operates with the vocational integration sector through economic activity. Nouvelle Attitude in fact employs persons needing vocational integration, provides them with training, and promotes their return to work.

In tune with the Group and its CSR policy, La Banque Postale has been deploying, since 2013, the Recy'Go paper service in its Financial and National Centres. At the end of 2016, 19 Financial and National Centres were equipped, as well as the Bords de Seine II head office; Crossing's head office de-archived its offices during the relocations that took place when the Village La Poste was set up, and asked Recy'go to work with it, which made it possible to collect 3 tonnes of paper for recycling this summer and to equip it with the solution during 2017.

In 2016, Recy'go made it possible to collect 635 tonnes of paper for recycling, i.e. 56% more than in 2015 (407.7 tonnes collected in 2015).

It should be noted that the Recy'go solution also enabled 233 tonnes of paper and 20 tonnes of cardboard to be collected for recycling inside La Poste Network (including the Banking Advisory Line). Collections took place at 1,458 sites at least once in 2016, i.e. 54.5% of the objective aiming to collect from the 2,600 target sites which produce 80% of the Network's used paper.

Collecting used ink cartridges from post offices

Lexmark sorts, cleans, reuses or recycles the cartridges which are sent to it. In this way, 100% of cartridges collected are recycled or reused.

Reused cartridges: represent around 1/3 of the volumes collected. These cartridges follow the same manufacturing processes as new cartridges during the reconditioning phases (change of used or defective parts, tests, same quality processes); in addition, by purchasing these cartridges, the Network sees its cost per page reduced by 30% to 50%.

Recycled cartridges: are those which are not reusable. They are recycled in accordance with Lexmark's policy of zero incineration and zero dumping. Their recycling generates 99% of directly reusable recycled material (ferrous/non-ferrous metals, aluminium, polymers). The remaining 1% generate energy recovery.

Equally, by returning their used cartridges, the offices are making a strong gesture for the environment. The deployment of Lexmark's collection solution inside La Poste Network (post offices and service sites) has enabled around 8,007 cartridges to be recycled or reused in 6 months.

6.3 CSR INDICATORS

The CSR indicators published in this section support La Banque Postale's transparency objective and substantiate the qualitative elements described in the previous sections. They were grouped into four categories: Economic indicators, employment indicators, societal indicators, and environmental indicators

As an introduction to the indicator tables, the following methodology notice provides the required information for the proper understanding of the indicators, their scope and their possible limitations.

6.3.1 Note on methodology

The reporting protocol supports the definition of the CSR indicators established in order to report on the CSR performance of La Banque Postale. The information is reported by a network of over one hundred CSR correspondents who contribute to the extra-financial reporting process.

The CSR indicators were built with regard to the indicators suggested by the French NRE Act on new economic regulations, Article 225 of the Grenelle II Act, and according to their relevance to La Banque Postale's business activity. The indicators put forward by the Global Reporting Initiative (GRI), in particular in its Financial Services Sector Supplement (FSSS), were also taken into account.

National methodology such as ADEME's Bilan Carbone® (carbon footprint) was used as a guideline, particularly for the calculation of environmental indicators.

For each indicator, the figures for the last three years were included whenever possible. The data is presented on a like-for-like basis and the changes in the scope are explained. Due to a change in scope, a change in methodology and a subsequent data correction, the 2013, 2014 and 2015 data have been adjusted since the previous publications for comparison purposes and are therefore followed by an asterisk*.

6.3.1.1 Scopes of the extra-financial reporting process

The aim of La Banque Postale's feedback process is to cover all of the Bank's business activities and their impacts, all of the physical entities (buildings) and all of the players at La Banque Postale. Various scopes have therefore been defined in order to account for the corporate, social and environmental impacts of business activities in a relevant way. The table below presents the data from the targeted **extra-financial scope as at 31 December 2016**.

La Banque Postale (legal entity)	▶ Head office of La Banque Postale ▶ Regional banking departments ▶ Regional representatives	2,468 employees (i.e. 8% of the personnel of La Banque Postale Branch) as at 31 December 2016 27,968 m² (i.e. 2% of the surface area occupied) as at 31 December 2016
Financial Services (employees of Le Groupe La Poste working under the name of and on behalf of La Banque Postale)	▶ 19 metropolitan Financial Centres, four Financial Centres in the French overseas departments, six National Centres ▶ IT Department of Financial Services and the Retail Brand (DISFE) ▶ Bank Marketing Department ▶ Department of Businesses and Regional Development	15,217 employees (i.e. 52% of the personnel of La Banque Postale Branch) as at 31 December 2016 296,756 m² (i.e. 22% of the surface area occupied) as at 31 December 2016.
Banking Advisory Line (employees of Le Groupe La Poste working under the name of and on behalf of La Banque Postale) –The functions taken into account in the LCB are as follows: customer advisor, financial advisor, customer manager, wealth management advisors, specialist real estate advisor, CFAS, CPCI, banking support function (ASB); banking sales monitor, youth coordinator, credit assistant and DOPI.	▶ Advisors working in post offices	9,741 employees (i.e. 33% of the personnel of La Banque Postale Branch) as at 31 December 2016 1,004,784 m² (i.e. 73% of the surface area occupied) as at 31 December 2016 Operating in post offices, the surface area and the energy and paper consumption of the Banking Advisory Line is calculated on the basis of the financial pro rata used for breaking down the charges, i.e.: 52.6%.
Subsidiaries (16 subsidiaries are consolidated in the extra-financial report)	▶ Employees working in the 16 subsidiaries within the scope of consolidation	1,780 employees (i.e. 6% of the personnel of La Banque Postale Branch) as at 31 December 2016 44,700 m² (i.e. 3% of the surface area occupied – excluding LCB) as at 31 December 2016

The scope is the same for all the economic indicators which cover all of La Banque Postale. However, for the other indicator categories, the scope may vary from one indicator to another. For each indicator, the scopes actually covered are specified in a reference box as shown below and followed by an explanatory sentence where required:

Scope covered: Entity Scope not covered: Entity

Where applicable, for the corporate and social indicators, the coverage rate is calculated according to the number of employees. For the environmental indicators, it is calculated according to the area occupied.

Consolidation of subsidiaries

The consolidation of subsidiaries within the extra-financial scope is based on the principle of accounting consistency as well as on the principle of relevance of their various impacts. The goal is thus to include all consolidated subsidiaries in which the Group holds an interest of at least 50% (fully consolidated), as well as certain non-consolidated subsidiaries which have relevant impacts on the Bank's interests (see organisation chart in Section 1.4 of the Registration Document). In 2016, the 16 consolidated subsidiaries were the following:

- ▶ Retail Banking: La Banque Postale Financement (LBPF), EasyBourse, Titres Cadeaux, La Banque Postale Immobilier Conseil (LBPIC), La Banque Postale Crédit Entreprises (LBPCE), La Banque Postale Collectivités Locales (LBPCL), BPE (merger with LBP Gestion Privé), SOFIAP and SFH Home Loan;
- ▶ asset management: La Banque Postale Asset Management (LBPAM) (integrates LBPSAM and Fédérés following a merger in January 2016), Tocqueville Finance SA;
- ▶ insurance: La Banque Postale Prévoyance (LBPP), La Banque Postale Conseil en Assurances (LBPCA), La Banque Postale Assurances IARD (LBPIARD), La Banque Postale Assurances Santé (LBPAS) and SOP ASSURE.

In 2016, these 16 subsidiaries were either all included, all excluded, or partially included in the calculation of the indicators. Where only part of the subsidiaries was covered, in addition to the coverage rate shown in the scope reference box, details of the subsidiaries covered are given below the indicator.

SOP ASSURE and SFH HOME LOAN, having neither staff nor area at their disposal, are in effect excluded from the scope of extra-financial reporting.

Fédérés (merged with LBPAM) was deliberately left out of the extra-financial environmental reporting consolidation scope, while a reliable reporting procedure to integrate it is set up.

The scope of the corporate and societal indicators covers 14 subsidiaries (excluding SFH Home Loan and SOP ASSURE).

The scope of the environmental indicators covers 14 subsidiaries (excluding SFH Home Loan and SOP ASSURE).

6.3.1.2 Information feedback in 2016

Economic indicators

- ▶ the amounts outstanding of funds where at least 90% of assets integrate ESG criteria (Environmental, Social and Governance) are included in the SRI amounts outstanding;
- ▶ for more clarity, the notion of ESG integration used in the previous publications has been removed and is replaced by a graduation of the SRI amounts outstanding on three levels (moderate impact, significant impact, conviction), inspired by the Novethic research

centre. The 2014 and 2015 data were recalculated using the new definition;

- ▶ included in the calculation of the SRI portion in the employee savings plans for 2015, 2014 and 2013 are investments made in all of La Banque Postale's Décisiel funds, and no longer in the one Décisiel solidarity fund, as was the case for the preceding 2014 report.

Social and societal indicators

- ▶ the 14 subsidiaries included in the extra-financial scope were covered by most of the social indicators;
- ▶ only working employees are included in the total workforce (staff on permanent contracts, civil servants, staff on permanent contracts and emplois d'avenir (jobs of the future workers). Apprenticeship contracts, occupational contracts, work-study scheme trainees and corporate officers are no longer included in the total workforce as part of the protocol harmonisation process with Le Groupe La Poste. The distribution by age of the staff numbers only takes into account permanent contracts;
- ▶ the permanent workforce is made up of permanent employees and civil servants;
- ▶ the Banking Advisory Line has no strategic women executives and thus reports 0. In 2015, the Tocqueville subsidiary was taken into account in the indicator;
- ▶ days' absence for work-related accidents are monitored on a calendar basis;
- ▶ monitoring of occupational diseases is performed by La Banque Postale but the quantification is not consolidated at present, since the materiality of this indicator is not considered relevant to its service activity;
- ▶ the number of sick days is reported in calendar days, and takes into account permanent employees and state employees. A change of method took place in 2015: the indicator includes days of absence over the period from 1 January 2015 to 31 December 2015. During previous fiscal years, the recorded days corresponded to the days for which the absence began during fiscal year N, and could extend over to fiscal year N+1: the number of days of absence for N+1 was estimated;
- ▶ dismissals do not include the revocation of the appointments of state employees and the termination of trial periods at the employer's initiative;
- ▶ the training indicator takes into account completed training to date, chargeable or non-chargeable, and e-learning;
- ▶ subcontracting at La Banque Postale is not significant and does not concern La Banque Postale's core business activities. Subcontractors remain in all circumstances under the authority of the Service Provider, who retains sole responsibility for performance of all the services, and more specifically for compliance with quality, security and confidentiality levels. See Article 28 of the contracts signed by suppliers.

Environmental indicators

- ▶ the following indicators are tracked over a sliding 12-month period, from 1 December 2015 to 30 November 2016, with regard to: energy consumption and greenhouse-gas emissions related to buildings, greenhouse-gas emissions related to vehicles, the number of employees trained in eco-responsible driving, water consumption and tonnes of Waste from Electrical and Electronic Equipment (WEEE) collected;
- ▶ energy consumption is monitored mainly on the basis of invoices and, in the possible case of an invoicing delay, on the basis of meter readings, in order to report the most exhaustive data possible;

- ▶ in 2016, the data was converted into CO₂ equivalents based on Version 7.61 of ADEME's Bilan Carbone® with the goal of harmonising it with Le Groupe La Poste. All data has been adjusted on a historical basis since 2012. The emission factors only include combustion (excluding upstream) for gas, propane gas, fuel oil, diesel and petrol. The emission factor used for the conversion of LCB's district heating consumption is the French average of the District Heating Energy Factor of Version 7.61 of the Bilan Carbone;
- ▶ the emission factor for electricity consumption does not include online losses; grey electricity is calculated separately from green electricity. The average emission factor for the renewable energy mix in France is used for green electricity;
- ▶ since 2015, the Banking Advisory Line was integrated in the scope of publication of building-related energy consumption and paper consumption, according to a distribution key based upon the accounting base, making it possible to distribute the charges attributable to LCB employees working in the name and on behalf of La Banque Postale;
- ▶ the National Customer Introduction Centres (CNMRs) of La Banque Postale were not integrated into the scope of Financial Services; the work to integrate these new sites is ongoing;
- ▶ the four Financial Centres located in the French overseas departments are not included in the environmental criteria, except for the vehicle indicators;
- ▶ the water consumption of two sites of the IT Department of the Financial Services and the Retail Brand (DISFE) is not included in the extra-financial report;

- ▶ paper scrap in production is included in total consumption. "Urgent" paper consumption excluding framework contracts is not taken into account in the graphic chain's paper consumption. The contribution is marginal;
- ▶ for certain missing data, and in cases where such an approach would be considered relevant, an extrapolation of missing or erroneous consumption could be performed based on the actual consumption data deemed most reliable.

6.3.1.3 Data verification

In 2011, La Banque Postale initiated a verification process for its CSR indicators by an independent third party. In the framework of Article 225 of the Grenelle II Act, La Banque Postale has since continued this process. All of the audit missions were the subject of a moderate assurance opinion, published in La Banque Postale's Registration Documents. In 2016, for the second year running, certain indicators will be the subject of a reasonable assurance opinion.

On 13 May 2013, the decree determining the procedures used by the independent third party to carry out its mission was published. Accordingly, pursuant to Article L. 225-102-1 of the French Commercial Code, the report of one of the statutory auditors of La Banque Postale, designated as an independent third party, can be found after this section on responsible development indicators. This report concerns the presence of the CSR Information set out by Article R. 225-105-1 of the French Commercial Code, and expresses a reasoned opinion on the sincerity of the information published in the Management report included in the Registration Document for the financial year ended 31 December 2016.

6.3.2 Economic indicators

The indicators presented in the following table supplement the Banking Accessibility, Responsible Customer Relations, Responsible Offering and Management of Extra-Financial Risks sections of this document. For all of these indicators, the scope is as follows:

	2016	2015	2014
BANKING ACCESSIBILITY			
Number of personal micro-loans disbursed (including home micro-loans) √	2,226	2,024	2,069
To facilitate the extension of personal micro-loans, 9 new partnership agreements were signed in 2016. In 2016, there were 146 active partnerships with social assistance organisations 2016 market share: XX% (vs. 13.5% in 2015).			
Percentage of consumer loans less than or equal to €1,500	7.00%	7.00%	7.00%
Home loans: percentage of borrowers earning less than 2 minimum wages per month	22.40%	20.32%	22.12%
Percentage of Livret A accounts with a balance of less than €150	51.00%	54.00%	53.00%

	2016	2015	2014
RESPONSIBLE CUSTOMER RELATIONS			
Customer satisfaction rate	87.00%	91.8%	90,70%
Customer claims rate	11.70%	8,90%	8,40%
Home loans: Bad debt rate	1,00%	0.71%	0,59%
La Banque Postale's bad debt rate is among the lowest on the market (market average as of the end of 2015: 1.99%).			
Number of customers having received support from CRESUS during the year	296	735	100
Number of customers supported by L'Appui	14,691	12,277	3,925

	2016	2015	2014
RESPONSIBLE OFFERING			
Socially Responsible Investment (SRI) assets in € billions ✓	97.18	98.03	98.19
o/w conviction SRIs	2.20	1.78	0.51
o/w significant impact SRIs	1.01	0.90	0.18
o/w moderate impact SRIs	93.98	95.35	97.50

In 2016, SRI investments accounted for 54% of all investments managed by LBPAM.

	2016	2015	2014
MANAGEMENT OF EXTRA-FINANCIAL RISKS			
ESG risk exposure of the Financial Transactions Department (non-sovereign issuers)	2.25	2.40	2.67
ESG risk exposure of the Financial Transactions Department (sovereign issuers)	2.77	2.93	3.11

	2016	2015	2014
Number or Percentage of employees trained in combating money laundering and terrorism financing over the last three years			
La Banque Postale Employees	46.40%	61.00%	55.00%
Financial Centre Employees	86.30%	90.00%	83.70%
Network employees	85.20%	89.00%	94.00%

The percentage La Banque employees has dropped sharply, due to major incidents on the e-learning training platform in 2016.

6.3.3 Social indicators

The indicators presented in the following table supplement the Social Responsibility section of this document.

	2016	2015	2014
EMPLOYMENT: TOTAL WORKFORCE, HIRES AND DISMISSALS			
Number of employees of the La Banque Postale Group as a number of people	29,206	30,855	31,182
La Banque Postale	2,468	2,438	2,351
Financial Services	15,217	15,934	16,492
Banking Advisory Line	9,741	10,742	10,784
Subsidiaries	1,780	1,741	1,555

Includes permanent employees, state employees, temporary employees, and "contrat d'avenir" personnel (excluding work-study employees and dormant contracts), and banking support positions.

The **29,206** employees of the La Banque Postale Group work in France.

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

Percentage of employees aged under 25 in the permanent workforce	0.77%	1.15%	1.46%
Percentage of employees aged 55 and over in the permanent workforce	26.61%	24.69%	23.61%

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

Number of CDI (permanent) employees recruited	617	726	819
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Includes the number of permanent hires following a temporary contract, an apprenticeship contract or an occupational contract, and external permanent hires.

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

* Restated data.

Number of redundancies	103	93	88
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La Banque Postale has not made anyone redundant on economic grounds over the past three years.

Excluding termination of a trial period by the employer (impossibility of distinguishing whether the employers or employees are the cause) and excluding revocation, numbering 1 in 2014 for the Financial Services

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

	2016	2015	2014
REMUNERATION			
Average gross annual remuneration for women in euros	38,103	37,682	36,575
Average gross annual remuneration for men in euros	45,641.07	45,014	43,537

Indicators calculated using the average annual FTE headcount (permanent, state employees).

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

Subsidiaries: Excluding Ciloger

Annual remuneration of the Chairman / gross median remuneration of the employees	25.6 times the minimum wage	NC	NC
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Fixed gross annual salary for permanent employees. The value selected is the minimum wage as at 01.01.2016, i.e. €1,466.62,

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

Amount of the incentive plans in euros	12,298,963	18,480,534	11,386,351
Amount of profit sharing in euros	2,862,417	10,513,569	6,921,837
Amount of employer's contribution in euros	5,218,271	5,519,269	4,735,505
Portion of socially responsible investment in employee savings	37.26%	29.06%	30.43%

Includes amounts paid yearly in respect of the previous financial year.

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

4 of the 18 subsidiaries included in the HR scope: LBPCE, LBP IARD, LBPCA and LBPGP

	2016	2015	2014
FIGHT AGAINST DISCRIMINATION: GENDER EQUALITY AT WORK AND EMPLOYMENT OF DISABLED PERSONS			
Percentage of women in the workforce	61.98%	61.81%	61.93%
Percentage of women in executive positions	56.57%	55.77%	55.48%
Percentage of women in strategic executive posts ✓	36.59%	35.80%	35.02%

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

	2016	2015	2014
Percentage of women on the Executive Board of La Banque Postale	27%	33%	33%
Percentage of women on the Supervisory Board of La Banque Postale	40%	40%	46.67%

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

	2016	2015	2014
Percentage of Employment Obligation Beneficiaries	3.21%	2.97%	3.07%

Percentage calculated according to AGEFIPH rules.

In 2016, indirect employment represented 39.04 units resulting from contracts concluded with the subsidised/sheltered sector.

Scope: ☒ La Banque Postale ☐ Financial Services ☐ Banking Advisory Line ☐ Subsidiaries

	2016	2015	2014
Number of disabled employees assisted	859	812	799

Moreover, the percentage of Employee Obligation Beneficiaries is only calculated at Le Groupe La Poste level.

Scope: ☐ La Banque Postale ☐ Financial Services ☐ Banking Advisory Line ☐ Subsidiaries

	2016	2015	2014
WORK ORGANISATION: OVERTIME, PART-TIME, ACCIDENTS AND ABSENCES			
Amount of overtime per employee in hours	1.89	1.88	2.02

Includes the number of overtime hours declared by each employee under permanent contract and state employees.

Scope: ☒ La Banque Postale ☒ Financial Services ☒ Banking Advisory Line ☒ Subsidiaries

	2016	2015	2014
Percentage of part-time employees in the workforce	9.63%	9.01%	10.60%

Includes employees on permanent contracts and state employees who have chosen to work part-time.

In 2015, 88.9% of part-time employees were women (86.3% in 2014).

Scope: ☒ La Banque Postale ☒ Financial Services ☒ Banking Advisory Line ☒ Subsidiaries

	2016	2015	2014
Number of teleworking employees	444	237	185*

Scope: ☒ La Banque Postale ☒ Financial Services ☒ Banking Advisory Line ☐ Subsidiaries

	2016	2015	2014
Frequency rate of work accidents	5.00	4.62	4.28
Severity rate of work accidents	0.18	0.14	0.13
Number of days of work stoppage due to work accidents and travel per employee	0.57	0.49	0.54

Includes accidents and days off work for permanent, state and temporary employees.

Scope: ☒ La Banque Postale ☒ Financial Services ☒ Banking Advisory Line ☒ Subsidiaries

	2016	2015	2014
Rate of absenteeism due to illness	5.54%	5.23%	4.91%
Number of days of work stoppage due to illness per employee	20.89	19.52	18.38

Includes accidents and days off work for permanent and state employees.

Scope: ☒ La Banque Postale ☒ Financial Services ☒ Banking Advisory Line ☒ Subsidiaries

* Restated data.

	2016	2015	2014
EMPLOYEE RELATIONS			
Number of collective agreements signed	28	35*	17*

Between 2006 and 2016, 152 collective agreements were signed. Some of these agreements affect employees from the Banking Advisory Line and subsidiaries. Please refer to the publications from previous years for more information on agreements, particularly those pertaining to health and safety at work.

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

The agreements made by La Banque Postale concern the UES (economic and social unit), comprising La Banque Postale and the following two subsidiaries: LBPGP and LBPCÉ.

	2016	2015	2014
TRAINING			
Number of training hours	888,559	730,807	673,567
Number of training hours per employee	30.42	23.69	21.6

In 2016, 27,630 employees attended at least one training programme during the year.
12 subsidiaries covered, excluding LBPCÉ and LBP FI

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

Number of employees on banking courses leading to a qualification or diploma	2,351	138	153
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Includes employees in first and second years of banking courses leading to a qualification or diploma. The sharp rise in 2016 is explained by the generalisation of home loans and the complete overhaul of Financial Centre organisation.

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

6.3.4 Societal indicators

The indicators presented in the following table supplement the Societal Responsibility section of this document.

	2016	2015	2014
RESPONSIBLE PURCHASING			
Number of Responsible Purchasing Charters signed by suppliers	399	298	237

Certain subsidiaries use La Banque Postale contracts.

Please refer to the information dedicated to La Banque Postale's responsible purchasing in the Societal Responsibility section for more information regarding the consideration of extra-financial issues and supplier and subcontractor relationships.

In order to ensure the reliability of the data, we have used, since 2015, information obtained from the www.provigis.com internet platform, on which La Banque Postale's suppliers have agreed to file and update the various contractual documents, including the Responsible Purchasing Charter.

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

Progression of purchases from the subsidised/sheltered employment sector	10.00%	2.00%	9.00%
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Progression calculated relative to the previous year.

* Restated data.

Please refer to the subsections on diversity, disability and equal opportunity in the Social Responsibility section for further information.

Scope: **La Banque Postale** **Financial Services** **Banking Advisory Line** **Subsidiaries**

	2016	2015	2014
CIVIC COMMITMENT			
Financial commitment for sponsorship in euros	3,798,630	3,210,782	2,363,428

Scope: **La Banque Postale** **Financial Services** **Banking Advisory Line** **Subsidiaries**

Number of employees away on international solidarity assignments			10
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The international solidarity assignments are conducted in partnership with the non-profit associations Planète Urgence and France Volontaires.

Scope: **La Banque Postale** **Financial Services** **Banking Advisory Line**

Territorial, economic and social impact and stakeholder relations

Please refer to the Societal Responsibility section of this document as well as the Social Responsibility section in which a paragraph is dedicated to La Banque Postale's relationships with academic institutions.

Compliance with the fundamental conventions of the ILO (International Labour Organisation)

Please refer to the end of the Societal Responsibility section of this document regarding compliance with fundamental labour rights for employees, suppliers and subcontractors.

Corruption Prevention

Please refer to the end of the Management of extra-financial risks section of this document focusing on business ethics.

Health and Safety of customers

Please refer to the Banking Accessibility (combating banking exclusion) and Responsible Customer Relations (preventing over-indebtedness and support in the event of financial insecurity) sections of this document.

6.3.5 Environmental indicators

The indicators presented in the following table supplement the Environmental Responsibility section of this document.

	2016	2015	2014
Total Carbon footprint of La Banque Postale (tonnes of CO ₂ equivalent)	58,337	64,029	69,192

The CO₂ footprint takes account of the following emission items: buildings, business and home-work travel, paper consumption LCB's consumption is included in the building and paper consumption items.

	2016	2015	2014
BUILDINGS			
Energy consumed (in Gwh)	247.84	243.42*	255.67*
Emissions related to buildings in tonnes of CO ₂ equivalent	28,052	33,688*	36,459*
Emissions avoided thanks to the 100% green electricity contract in tonnes of CO₂ equivalent	5,263		
Emissions per employee in kg of CO ₂ equivalent	960	1,104*	1,196*

The total energy consumption includes the consumption of electricity, natural gas, fuel oil, district heating, and propane gas.

* Restated data.

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries: 82.10% of m²

11 of the 14 LBP subsidiaries: LBPFI, LBPIARD, Easybourse, LBPAM, Titres Cadeaux, LBPCE, LBPAS, LBPCCL, Tocqueville Finance SA, LBPP, BPE. The Banking Advisory Line is integrated on an accounting pro rata basis.

	2016	2015	2014
TRAVEL			
Emissions related to vehicles in tonnes of CO₂ equivalent	4,599	4,378*	6,606*
Emissions per vehicle in tonnes of CO₂ equivalent	3.1	3.2*	3.0*

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries: 81.11% of m²

12 of the 14 subsidiaries included: LBPFI, LBPIARD, Easybourse, LBPCA, LBPAM, Titres Cadeaux, LBPCE, LBPIC, LBPGP, LBPAS, LBPCCL, BPE. Exclusion of the vehicles from the former Bank Marketing Department transferred to the Network in October 2014.

Emissions related to business travel by train in tonnes of CO₂ equivalent	596	487*	501*
Emissions related to business travel by plane in tonnes of CO₂ equivalent	1,324	1,229*	1,561*

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries: 81.49% of m²

12 of the 14 subsidiaries included: LBPFI, LBPAS, Titres Cadeaux, LBPIC, Tocqueville, LBPCE, Easybourse, IARD, LBPCA, BPE, LBPAM, LBPCCL.

Number of employees trained in eco-responsible driving	22	38	20
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By the end of 2016, 2,158 employees had therefore been trained since 2008 in the Financial Centres and in the head offices (excluding awareness-raising activities). This data includes the eco-driving course conducted for 19 La Banque Postale employees, financed by the 2015 Carbon Fund.

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

Number of videoconference terminals	153	139	125
Number of videoconference connections	38,593	22,335	17,091

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries: 18.95%

6 of the 14 subsidiaries included: LBP GP (included in BPE), LBP P, LBP FI (federation only), LBP IARD (federation only), LBP AM, LBP AS, Tocqueville Finance SA

	2016	2015	2014
RESOURCES			
Paper consumption in tonnes	8,162	8,684	8,676
Emissions related to paper in tonnes of CO₂ equivalent	7,501	7,981*	7,973*
Portion of responsible paper out of total paper consumption	91.19%	97.06%	99.78%
Consumption of paper for internal purposes per employee in kg	24	26	28
Consumption of paper for external purposes per active customer in kg	0.70	0.73	0.73

Paper is the main raw material used by La Banque Postale, which is mindful of the quality of the paper as well as the volumes consumed.

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries: 84.48% of m²

11 of the 14 subsidiaries included: LBP FI, LBP IARD, Easybourse, LBP AS, LBP CA, LBP P, LBP LBP AM, LBP CE, LBP CL, LBP IC and BPE. The Banking Advisory Line is integrated on an accounting pro rata basis.

	2016	2015	2014
CIRCULAR ECONOMY			
Number of tonnes of paper waste collected by Recygo for recycling	635.10	407.70	50

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

Included: the head office of Bords de Seine and 19 Financial and National Centres (excluding DISFE).

	2016	2015	2014
Water consumption in millions of litres	129.46	137.33*	146.05*
Consumption per employee per day in litres	32	33*	35*

With respect to La Banque Postale's business activities, only the water consumed by company restaurants and sanitary appliances is taken into account. La Banque Postale consumes only potable water coming from French municipal utilities and is therefore not faced with the issue of depletion of water resources. However, as part of its policy of controlling the use of resources, reducing water consumption is a constant operating objective of the locations and is covered by monitoring and reporting.

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries^s

6 of the 14 subsidiaries included: LBP FI, LBP IARD (excluding Customer Relations Centre), LBP AM, LBPAS, Tocqueville Finance SA, BPE.

	2016	2015	2014
Collection of WEEE (Waste Electrical and Electronic Equipment) in tonnes	81,747	87.95	60.67

Scope: La Banque Postale Financial Services Banking Advisory Line Subsidiaries

Only the Financial Centres, which account for 88.2% of the area occupied by Financial Services, are included in the scope.

Use of soil

This item does not apply to La Banque Postale's business activities.

Atmospheric discharges

Please refer to the Environmental responsibility section of this document concerning the fight against climate change as well as the related environmental indicators in this section. For further information, also refer to La Banque Postale's response to Article 75 of the Grenelle II Act.

Discharges into the soil and water

This item does not apply to La Banque Postale's business activities.

Noise and olfactory pollution

This item does not apply to La Banque Postale's business activities.

Measures taken to ensure compliance with legal provisions relating to the environment

In view of its business activities and its culture as a public-interest organisation, La Banque Postale has implemented particularly thorough procedures to control its business activities, which involve the Risk Department (in a regulatory monitoring) and the Compliance Department. La Banque Postale therefore fulfils its obligations in respect of caring for the environment, particularly in terms of collecting and sorting its waste, and of the renovation work done on its buildings.

Measures taken to preserve and promote biodiversity

The actions and initiatives conducted by La Banque Postale, particularly to control its CO₂ emissions, or through the inclusion of environmental criteria in purchasing specifications, help to limit its impact on the environment. Furthermore, La Banque Postale took part in the FBF Working Group on the carbon footprint of means of payment, with a view to moving the banking sector forward on this issue. In addition, La Banque Postale installed beehives on the roofs of its Paris Head Office in 2012, thereby contributing to plant pollination and the protection of biodiversity.

Company environmental assessment or certification initiatives

Please refer to the paragraph concerning the extra-financial agency ratings in the Societal Responsibility section of this document.

Expenses incurred in order to prevent the Bank's activities from having a negative impact on the environment

The expenses incurred in order to protect the environment are not identified among the overall expenses incurred by La Banque Postale's CSR section.

Internal organisation, employee training and awareness-raising

Please refer to the Governance of responsible development at La Banque Postale section of this document on governance bodies and employee awareness-raising.

Resources dedicated to preventing risks

Please refer to the Management of extra-financial risks section of this document.

Amount of provisions and guarantees for environmental risks

The nature of La Banque Postale's business activities does not require provisions or guarantees for environmental risks.

Combating food waste

* Restated data.

6.4 REPORT BY ONE OF THE STATUTORY AUDITORS DESIGNATED AS AN INDEPENDENT THIRD PARTY, ON THE CONSOLIDATED SOCIAL, ENVIRONMENTAL AND SOCIETAL INFORMATION IN THE MANAGEMENT REPORT

Financial year ending 31 December, 2016

To the shareholders,

In our capacity as statutory auditors of La Banque Postale S.A., as an independent third party, accredited by COFRAC under number 3-1049⁽¹⁾, we hereby present our report on the consolidated social, environmental and societal information for the financial year ended 31 December 2016 presented in the management report (hereinafter, the "CSR Information"), pursuant to the provisions of Article L. 225-102-1 of the French Commercial Code.

Responsibility of the Company

It is the responsibility of the Executive Board to prepare a management report that includes the CSR Information pursuant to Article R. 225-105-1 of the French Commercial Code, prepared in accordance with the reporting protocol used by the Company (hereinafter, the "Framework"), a summary of which is included in the management report and available upon request at the Company's registered office.

Independence and quality control

Our independence is defined by regulatory provisions, the professional code of ethics and the provisions of Article L. 822-11 of the French Commercial Code. In addition, we have implemented quality control procedures that include documented policies and procedures whose purpose is to ensure compliance with the applicable ethical rules and legal and regulatory provisions.

Responsibility of the independent third-party organisation

It is our duty, based on our work:

- ▶ to certify that the required CSR Information is included in the management report or, if it is omitted, that such omission is explained in accordance with Article R. 225-105, Paragraph 3, of the French Commercial Code (Certification of presentation of CSR Information);
- ▶ to provide limited assurance as to whether the CSR Information, taken as a whole, is fairly presented in all material respects in accordance with the Framework (Reasoned opinion as to the fair presentation of the CSR Information);
- ▶ to express, on the Company's request, a conclusion of reasonable assurance on the fact that the information selected by the Company and identified by the symbol ✓ in Chapter 6.3 "CSR indicators" of the management report, have been drawn up, with regard to all their significant elements, pursuant to the Framework (report of reasonable assurance on selected CSR Information).

Our work, mobilising five people, took place between November 2016 and February 2017 for a total intervention of approximately eight weeks. We called upon our experts in Corporate Social Responsibility to assist us.

We performed the work described hereinafter in accordance with the order of 13 May 2013 determining the terms and conditions under which the independent third-party organisation performs its mission as well as the professional doctrine of the National Association of Statutory Auditors relating to this intervention and, with respect to the motivated opinion of genuineness and the reasonable assurance report, with international standard ISAE 3000⁽²⁾.

1. Certificate of presentation of CSR Information

Nature and extent of work

On the basis of interviews with the relevant department managers, we have familiarised ourselves with the Company's sustainable development policies, in terms of the social and environmental consequences of the Company's activity and its societal commitments, as well as, where applicable, the actions or programmes arising therefrom.

We have compared the CSR Information presented in the management report with the list provided for in Article R. 225-105-1 of the French Commercial Code.

Where certain consolidated information was missing, we verified that explanations were provided in accordance with the provisions of Article R. 225-105, Paragraph 3 of the French Commercial Code.

We have verified that the CSR Information covers the consolidation scope, namely the Company and its subsidiaries within the meaning of Article L. 233-1, as well as the companies that it controls within the meaning of Article L. 233-3 of the French Commercial Code, subject to the limits specified in the Paragraph entitled "Methodology Notice" in the management report.

Conclusion

On the basis of this work, and in light of the limits referred to above, we attest that the required CSR Information is presented in the management report.

(1) The scope of which is available on the www.cofrac.fr website.

(2) ISAE 3000 – Assurance engagements other than audits or reviews of historical financial information.

2. Reasoned opinion on the fairness of the CSR Information

Nature and extent of work

We conducted approximately 20 interviews with the persons responsible for preparing the CSR Information within the departments charged with collecting information. Where necessary, we also interviewed the persons responsible for internal control and risk management procedures. We conducted these interviews in order to:

- analyse the appropriateness of the Framework in terms of its relevance, completeness, reliability, neutrality and clarity, taking into consideration industry best practices;
- verify the implementation of procedures for collecting, compiling, processing and auditing the CSR Information to ensure that it is exhaustive and consistent, and to familiarise ourselves with the internal control and risk management procedures with respect to the preparation of CSR Information.

We determined the nature and extent of our tests and audits based on the nature and amount of CSR Information and in light of the Company's characteristics, the social and environmental effects of its activities, its sustainable development policies and industry best practices.

For the CSR Information that we deemed the most significant, presented in the tables below:

- at the level of the consolidating entity, we reviewed documents and conducted interviews to corroborate the qualitative information (such as organisation, policies, and actions), we implemented analytic procedures with respect to the quantitative information, and we verified, on a sampling basis, the calculations and consolidation of data. We verified the consistency of the information and its concordance with the other information included in the management report;
- using a representative sample of entities that we chose⁽¹⁾ based on their activity, their contribution to consolidated indicators, their location and a risk analysis, we conducted interviews to verify the proper implementation of procedures and to identify possible omissions, and implemented detailed tests based on sampling, which consisted in verifying the calculations performed and reconciling the data with the supporting documentation. The sample thus selected represents 20% of the workforce, considered to be a characteristic quantity for the employment segment, between 12% and 74% of the environmental data, considered to be a characteristic⁽²⁾ quantity for the environmental segment, and 100% of the quantitative societal and economic information presented.

Social information	Level of assurance
Total headcount and breakdown by age, gender and geographic area	Moderate
Recruitment and dismissal of permanent employees	
Number of sick days	
Number of training hours	
Number of teleworking employees	Reasonable
Percentage of women in strategic executive posts	
Environmental information	Moderate
Energy consumption and related CO ₂ emissions	
CO ₂ emissions related to vehicles	
Paper consumed and proportion of responsible paper	Reasonable
Societal and economic information	
Fight against corruption: number of employees trained to combat money laundering	
Banking accessibility: number of customers supported by L'Appui and breakdown by type of customer guidance	
Number of micro-loans granted in the year	Reasonable
Assets integrating ESG criteria (Environment, Social and Governance)	
Qualitative information	
Workforce themes	The review of collective labour agreements and their impact on the economic performance of the Company as well as on its employees' working conditions. The training policies implemented
Environmental themes	The organisation of the Company in order to take into account environmental issues, and, if applicable, approaches for assessment or certification in environmental matters. Environmental approach policy: Carbon project - Adapting to the consequences of climate change
Societal themes	Partnership and sponsorship actions Actions undertaken in order to prevent corruption

(1) Environmental information: the Financial Centres of Ajaccio, Chalons and Nancy, Poste Immo, Véhiposte and the Purchasing Department.

Employment information: head office of La Banque Postale, the Human Resources Services Centre (CSRH) of Montpellier.

Societal and economic information on Sustainable Development: head office of La Banque Postale.

(2) Environmental indicators presented in the tables in this report.

For the other consolidated CSR Information, we analysed its consistency with our knowledge of the Company.

Finally, we analysed the relevance of any explanations relating to the total or partial omission of certain information.

We believe that the sampling methods and sample sizes that we used, exercising our professional judgement, enable us to reach a conclusion of limited assurance. A higher level of assurance would have required more extensive verification work. Due to the use of sampling techniques, as well as other limits inherent in the functioning of any information and internal control system, the risk of a failure to detect a significant anomaly in the CSR Information cannot be entirely eliminated.

Conclusion

On the basis of this work, we have found no significant anomalies that would cause us to doubt that the CSR Information, taken as a whole, is fairly presented in accordance with the Framework.

3. Report of reasonable assurance on selected CSR Information

Nature and extent of work

Concerning the information selected by the Company and identified by the symbol ✓, we carried out work of a similar nature to that described in Paragraph 2 above for the CSR Information considered to be the most important, but in a more in-depth manner, in particular with respect to the number of tests.

The selected sample represents 100% of the headcount and 100% of the quantitative societal and economic information identified by the sign ✓.

We consider that this work makes it possible for us to state a reasonable assurance as to the information selected by the Company and identified by the sign ✓.

Conclusion

In our opinion, the information selected by the Company and identified by the sign ✓ was established, in all its significant aspects, in accordance with the Framework.

Paris-La Défense, 22 February 2017

KPMG S.A.

Anne Garans
Partner
Sustainability Services

Marie-Christine Jolys
Partner

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7.1 PUBLICLY AVAILABLE DOCUMENTS

All documents made available to the public under legal conditions may be consulted at La Banque Postale's registered office at 115, rue de Sèvres, 75275 PARIS Cedex 06. La Banque Postale's Registration Documents are also available on the www.labanquepostale.com website.

The Company's Articles of Association are included in this Registration Document. All reports, letters and other documents, historical

financial information, assessments and statements drawn up by an expert at the Company's request, where a section is included or mentioned in this document, together with all financial information, including information related to the subsidiaries for each of the two years prior to the publication of this document, can be consulted on the La Banque Postale Group website, or otherwise by writing to the Company Secretary at the Bank's registered office.

7.2 SIGNIFICANT CHANGES

There has been no significant change in the Group's financial or commercial position since the close of the last financial year for which audited financial statements have been published, and specifically

since the signing of the statutory auditors' report on the consolidated financial statements on 22 February 2017.

7.3 MATERIAL CONTRACTS

To La Banque Postale's knowledge, no material contract have been entered into other than agreements entered into as part of the normal course of business, or in relation to the shareholders (as presented in Chapter 1, which provides an Overview of the Group).

7.4 SITUATION OF DEPENDENCY

Not applicable.

7.5 REGULATIONS

7.5.1 Banking activities

La Banque Postale, a subsidiary of La Poste which holds the entirety of the share capital, is a Limited Company with Executive and Supervisory Boards, which was licensed as a bank by the French Credit Institution and Investment Firms Committee (CECEI) in 2005, and has been registered as an insurance intermediary by the French Insurance Intermediaries Registration Body (ORIAS) since May 2007.

In this respect, La Banque Postale meets the needs of all types of customers and provides a complete banking, financial, savings and insurance offering:

- ▶ banking services: holding of postal current accounts and payment services, short-term overdrafts, home and consumer loans, loans to businesses and the local public sector;
- ▶ financial instruments: holding of securities accounts, investment in financial securities including units or shares of collective investment funds and forward financial instruments;
- ▶ savings products: savings products subject to the specific tax regime and unregulated savings products, employee savings products and insurance-related products.

It also offers payment services not related to a bank account, such as postal mandates, money transfers, manual currency exchange and travellers' cheques.

Banking and related transactions, investment and related services, savings products, and manual foreign exchange are regulated by the French Monetary and Financial Code.

Insurance products are governed by the French Insurance Code.

These codified provisions, together with the non-codified legal and regulatory provisions, govern the activity of La Banque Postale in their respective fields.

Moreover, La Banque Postale is subject to supervision by the relevant industry authorities: the European Central Bank (ECB) and the French Prudential Supervision and Resolution Authority (ACPR) as part of the single supervision mechanism in effect since for November 2014, and the French Financial Markets Authority (AMF).

The Single Supervisory Mechanism (SSM) is the system of banking supervision in Europe. It comprises the ECB and the national supervisory authorities of the participating countries.

Its main aims are to ensure the safety and soundness of the European banking system, increase financial integration and stability, and ensure consistent bank supervision.

The ECB has the authority to conduct prudential reviews, on-site inspections and investigations; to grant or withdraw banking licences; to assess banks' acquisition and disposal of qualifying holdings; and to set higher capital requirements ("buffers") in order to counter any financial risks.

The ECB directly supervises the 126 significant banks of the participating countries.

The SSM is one of the two pillars of the EU banking union, along with the Single Resolution Mechanism (SRM). Established in response to the 2008 financial crisis, its purpose is to increase the transparency, resilience and integration of the European banking sector.

The Single Resolution Mechanism (SRM) entered fully into effect on 1 January 2016. Its purpose is to ensure efficient resolution of failing banks, at minimal cost to the taxpayer and the real economy. It was created pursuant to the transposition into European law of the Bank Recovery and Resolution Directive (BRRD). The Single Resolution Board (SRB) Board was established on the same date and is tasked with expediting the decision-making process. The Single Resolution Fund (SRF) is a fund formed to finance the bank resolution measures.

It is funded by contributions from the banking sector and must reach the target of 1% of the amount of covered deposits by 31 December 2024 at the latest (Article 102 BRRD).

The BRRD provides a European system for bank resolution and recovery, and was transposed into French law in August 2015. It provides for the preparation and maintenance of preventive plans for recovery and resolution.

La Banque Postale updates its recovery plan and submits it annually for the approval of the ECB.

La Banque Postale is one of the banks under the responsibility of the Brussels-based Single Resolution Board which is tasked with drawing up its resolution plan.

In the context of its resolution, La Banque Postale very carefully monitors progress in Europe of measures on loss absorption capacity, with particular attention focused on the work of the Single Resolution Board to set a Minimum Requirement for own funds and Eligible Liabilities (MREL).

7.5.2 The banking accessibility function

The legislator has entrusted La Poste with a public interest role to ensure banking accessibility⁽¹⁾: "in the banking, financial and insurance fields, La Poste shall offer products and services as widely as possible, particularly the 'Livret A' accounts"⁽²⁾. La Poste shall carry out this role via La Banque Postale, its subsidiary, a credit institution⁽³⁾.

The banking accessibility function is exercised through Livret A accounts.

Until 1 January 2009, La Banque Postale, Caisses d'Épargne and, subject to specific conditions, Crédit Mutuel, were the only institutions allowed to distribute Livret A accounts.

The law on the Modernisation of the Economy dated 4 August 2008 generalised the distribution of the Livret A to all banks as at January 2009. However, it set out specific obligations for La Banque Postale in terms of the distribution and operation of the Livret A in respect of its banking accessibility function:

- ▶ La Banque Postale is obliged to offer, free of charge, a Livret A to any natural person, any association mentioned in 5 of Article 206 of the French General Tax Code, to low-rent housing bodies and to co-ownership syndicates which request it;
- ▶ the minimum amount of individual cash withdrawal or deposit transactions is set at €1.50;
- ▶ La Banque Postale is obliged to allow holders of the Livret A to make payment and withdrawal transactions free of charge in all post offices where it offers these same transactions to holders of postal current accounts;
- ▶ La Banque Postale is obliged to authorise, on the Livret A, in accordance with the conditions set out in the general regulations, all the transactions listed in the decrees of 4 December 2008 and 14 May 2010:

- payment transactions relating to social security payments made by public authorities and social security bodies, and civil servants' pensions,
- direct debits relating to the payment of income taxes and duties, residence tax, property taxes, water, gas, and electricity bills, and subsidised housing rents payable to social housing associations;
- ▶ La Banque Postale is obliged to provide the following additional services free of charge: transfer to a current account by the holder of the Livret A (or his legal representative or agent) regardless of which institution holds the account; bank cheques drawn in favour of the holder of the Livret A (or his legal representative or agent); provision of a cash withdrawal card which is usable in the ATMs of La Banque Postale.

At the end of 2016, almost 51% of La Banque Postale's Livret A accounts held by individuals, i.e. more than 8 million accounts, had an average balance of less than €150. These accounts, which amount to only 0.31% of deposits outstanding, nonetheless generate very substantial management costs because they are amongst the most used savings accounts, accounting for around 48% of the transactions made on Livret A accounts.

La Banque Postale has also undertaken, under the terms of the law of 9 February 2010, to fight and prevent over-indebtedness and to promote micro-loans.

In respect of these specific obligations which are incumbent on it in terms of the distribution and operation of the Livret A, La Banque Postale receives annually a "compensation in proportion to the public economic interest service role which is entrusted to it". This compensation is fixed by decree:

- ▶ for the period 2009-2014 (decrees of 4 December 2008 and 29 July 2013, in application of Article R. 221-8-1 of the French Monetary and Financial Code);

(€ million)	2009	2010	2011	2012	2013	2014
Amount	280	270	260	250	246	242

(1) Law of 2 July 1990.

(2) Article L. 518-25 of the French Monetary and Financial Code.

(3) Article L. 518-25-1 of the French Monetary and Financial Code.

- for the period 2015-2020 (decree of 26 February 2015 in application of Article R. 221-8-1 the French Monetary and Financial Code).

€ million	2015	2016	2017	2018	2019	2020
Amount	235	225	210	190	170	150

On 23 January 2013, the European Commission approved the public service compensation granted to La Banque Postale in order to guarantee accessibility to "Livret A" banking. The European Commission considered that the public financing granted by France to La Banque Postale from 2009 to 2014, intended to improve banking accessibility, is compliant with EU regulations in terms of state aid.

In an opinion dated 12 July 2016, the Advisory Committee on Banking Services (CCSF) favoured maintaining the banking accessibility programme which is represented by the La Banque Postale's special Livret A account facilities for the period 2015-2020.

7.5.3 Eckert law on dormant accounts and unclaimed life insurance contracts: volume and amounts outstanding

Law no. 2014-617 of 13 June 2014 on dormant accounts and unclaimed life insurance contracts, known as the "Eckert" law, came into force on 1 January 2016. Under the terms of this law, amounts in dormant bank accounts must be transferred to the Caisse des dépôts et consignations (CDC) after a ten year dormancy period (i.e. with no transactions or contact between a customer and their bank). In addition, the bank is obliged to publish an annual list of dormant accounts and the total deposits and credits in its books.

Starting in 2015, La Banque Postale S.A. and its subsidiaries put arrangements in place to identify all accounts that qualify as dormant under the law: identification of the date the account was last active for all customer accounts and the date of the last contact with La Banque Postale or its subsidiaries (through any communication channel).

The scope of application of this system concerns the customers of La Banque Postale S.A. (and subsidiaries of La Banque Postale Group). The measures are applied directly by insurance providers CNP Assurances, Allianz and La Banque Postale Prévoyance for their policies distributed by La Banque Postale.

The arrangements for transferring the funds to the CDC do not concern customers that make regular transactions on at least one of their accounts, or customers that contact their bank on a regular basis (either by checking their account online, by contacting their Financial Centre, or by visiting a post office in person).

In 2016, La Banque Postale (and its subsidiaries) contacted all customers to inform them about the new law.

As soon as a customer is classed as dormant, La Banque Postale (and its subsidiaries) performs their obligations under the law: providing customers with annual information, closing dormant accounts, transferring amounts in credit (in euro only) to the CDC, filing information and documents concerning the customer (or any rightful owners known to the bank).

The first year of application of the Eckert law can be deemed specific and atypical for all depositors, including La Banque Postale. In light of the Bank's more than 23 million customers and their customer profiles (long-term distributor of the Livret A accounts, some of which have been in existence for a long time), both the number of dormant customers and amounts outstanding to be transferred to the CDC were high. The scope of application will be significantly reduced in future years.

As part of our continuing dialogue with the CDC throughout 2016, La Banque Postale ensured continuity for customers. Once the outstanding balances are transferred, customers can request information on these amounts and recover their funds by going to www.ciclade.fr, the website set up by the CDC and live as of 1 January 2017.

Volumes and amounts outstanding within the scope of the Eckert law, for which LBP S.A. and its subsidiaries are the account custodians (individuals/legal entities):

	Dormant accounts closed in 2016	Dormant accounts at 31.12.2016
Number of accounts		
LBP SA and subsidiaries	1,854,469	1,915,866
of which LBP S.A.	1,854,438	1,914,155
of which BPE	15	893
of which EasyBourse	0	46
of which Tocqueville	0	0
of which LBP Epargne Salariale	16	772
Amounts outstanding (€ '000s)		
LBP S.A. and subsidiaries	372,836	1 065,424
of which LBP S.A.	372,797	1,061,751
of which BPE	38	2,098
of which EasyBourse	0	797
of which Tocqueville	0	0
of which LBP Epargne Salariale	1	778

7.6 LEARN MORE ABOUT LA BANQUE POSTALE

All the information is available at www.labanquepostale.com

This website provides an overview of La Banque Postale, its business lines, news, etc.

All financial information is available at www.labanquepostale.com/groupe/Investisseur.html

This section of the site is completely dedicated to financial information. It can be used to download information on all financial and institutional editions, financial press releases, the financial timetable, and presentations to investors.

ARTICLES OF ASSOCIATION

8

LBP's Articles of Association are available on our website www.labanquepostale.com. The Articles of Association below are up-to-date as of the date of this document.

TITRE I. CHARACTERISTIC FEATURES OF THE COMPANY

Article 1. Form

The Company was set up in the form of a Limited Company with a Board of Directors, and registered with the Paris Trade and Companies Registry.

It was turned into a Limited Company with Executive and Supervisory Boards by a decision of the Combined General Meeting of Shareholders of 12 December 2005.

The Company is governed by current laws and regulations, and specifically by:

- ▶ the provisions of the French Commercial Code regarding commercial companies;
- ▶ the provisions of the French Monetary and Financial Code regarding credit institutions;
- ▶ the provisions of law No. 2005-516 of 20 May 2005 regarding the regulation of postal business;
- ▶ the provisions of order No. 2014-948 of 20 August 2014 regarding governance and transactions involving the share capital of companies with public shareholdings; and
- ▶ these Articles of Association.

Article 2. Corporate purpose

- a) The corporate purpose of the Company, in France and abroad, is:
- banking transactions, as defined in Article L. 311-1 of the French Monetary and Financial Code, and specifically loan transactions;
 - transactions relating to banking transactions, as defined in Article L. 311-2 of the French Monetary and Financial Code;
 - the execution of investment services, of order reception and transmission on behalf of third parties, of order execution services on behalf of third parties, of trades on its own account, of investment advisory services, of underwriting services, and of guaranteed placement and non-guaranteed placement services, within the meaning of Article L. 321-1 of the French Monetary and Financial Code covering financial instruments as a whole;
 - services relating to investment services, as defined in Article L. 321-2 of the French Monetary and Financial Code.
- b) The Company may also perform all transactions other than those listed above on a habitual basis, including acting as an insurance intermediary, including insurance broking, in accordance with the provisions of the French Insurance Code, under the conditions defined by a decree of the Minister in charge of the Economy and Finance.
- c) The Company receives Livret A deposits and distributes them in accordance with the provisions of Article L. 518-25-1 of the French Monetary and Financial Code.
- d) Generally speaking, the Company may perform all financial, commercial, industrial, securities or property transactions that may relate to the above businesses, directly or indirectly, or that

may facilitate the performance of such transactions on its own account and on behalf of third parties, or in concert.

Article 3. Name

The Company's name is "*La Banque Postale*".

The Company's name must always be immediately and legibly followed by the words "Limited Company with Executive and Supervisory Boards", written in full, by a statement of the amount of the share capital, and by the place where and the number under which the Company is registered with the Trade and Companies Registry in all deeds and documents issued by the Company and intended for third parties, including letters, invoices, announcements, and miscellaneous publications.

Article 4. Registered office

The registered office is situated at 115 rue de Sèvres – 75275 Paris Cedex 06, France.

It may be transferred to any other location in the same French *département*, or to a neighbouring *département*, by simple decision of the Supervisory Board, which shall be subject to ratification by the next Ordinary General Meeting.

In this case, the Supervisory Board shall also be authorised to amend the Articles of Association accordingly.

Article 5. Duration

The duration of the Company is 99 years from the date of its registration with the Trade and Companies Registry, except in the event of dissolution, or of an extension decided by the Extraordinary General Meeting.

Article 6. Share capital

The share capital is set at four billion forty-six million four hundred and seven thousand five hundred and ninety-five euros (€4,046,407,595).

It is divided into thirty-five million one hundred and eighty-six thousand one hundred and fifty-three (35,186,153) fully paid-up shares of a single class.

In accordance with the provisions of Article 16-II-1 of law No. 2005-516 of 20 May 2005 on the regulation of postal business, La Poste owns a majority interest in the Company's share capital.

These Articles of Association do not provide for any specific advantage in favour of anyone whatsoever.

Article 7. Changes to the share capital

The share capital may be increased, decreased, or redeemed in accordance with the current laws and regulations.

TITLE II RIGHTS AND OBLIGATIONS OF THE SHAREHOLDERS

Article 8. Share payments – Rights and obligations

Shares shall be paid up as provided for under the current laws and regulations.

The amounts still payable on the shares to be paid up in cash shall be called up by the Executive Board. However, subscribers and shareholders may pay all or part of said amounts in advance, if they wish to do so.

Subscribers and shareholders shall be made aware of calls for funds by any means, at least fifteen days before the date set for each payment.

Any shareholder who does not make the payments required for the shares that they own when these payments are due shall automatically be liable to pay a late interest charge to the Company at the legal rate.

In addition to a voting right, each share grants the right to ownership of the Company's assets, and to a share of the profits and liquidation premiums, which shall be proportional to the number of shares outstanding.

Whenever holding several shares is required in order to exercise any right, single securities, or a number of securities that is lower than the one required shall not confer upon their owners any rights with respect to the Company; in this event, shareholders shall be personally responsible for assembling the number of shares required.

Article 9. Form of the shares

The shares are registered shares.

They shall be registered in individual accounts in accordance with the terms and conditions provided for by current legal and regulatory provisions.

Article 10. Disposal and transfer of shares

Ownership of the shares results from their being recorded in an individual account in the name of the holder(s) in the registers held for this purpose at the Company's registered office.

Share transfers shall be carried out by electronic transfer.

Except in the event of:

- i) inheritance;
- ii) dissolution of joint ownership of assets between spouses;

iii) disposal to a spouse, an ascendant or a descendant;

iv) disposal or transfer of shares for the benefit of a private individual or a company that is already a shareholder; or

v) disposal of shares for the benefit of an individual who is a member of the Supervisory Board;

where there are no restrictions on transfer;

the transfer of shares to a non-shareholder third party, regardless of the reason and in any form, is subject, in addition to compliance with regulation No. 96-16 and to the provisions applicable to companies in the public sector, to the approval of the Supervisory Board, in accordance with the provisions of Article L. 228-24 of the French Commercial Code, under the following conditions:

- the seller must forward to the Company the approval request, including the surname, names and address of the buyer, the number of shares that they plan to sell, and the price proposed,
- the approval is granted (i) either by the seller being informed of the decision of the Supervisory Board, acting on a simple majority of its members present or represented, (ii) or within a period of three months from when the request was made, if there is no answer from the Supervisory Board,
- in the event that the suggested buyer is not approved, and unless the seller decides to abandon the planned sale, the Executive Board is required to have the shares purchased, either by a shareholder or by a third party, or by the Company, with the seller's agreement, within three months from the date when the refusal is delivered, in order to reduce the share capital. The seller may abandon the planned sale on condition that they inform the Company via an extra-judicial deed, or by registered letter with request for an acknowledgement of receipt within thirty (30) days from the date the Company notified the seller of the name of the buyer suggested by the Supervisory Board,
- if the purchase has not occurred when the three-month period provided for above expires, the approval is considered as having been granted. However, this period may be extended by a court ruling this at the Company's request,
- if no agreement is reached between the parties in the sale scenarios listed above, the price of the shares shall be determined through an expert appraisal, under the conditions specified in Article 1843-4 of the French Civil Code.

Shares issued for cash and shares representing contributions in kind are only marketable once the Company has been registered with the Trade and Companies Registry, and upon completion of a capital increase.

TITLE III. ADMINISTRATION AND CONTROL OF THE COMPANY

The Company is managed by an Executive Board, which performs its duties under the control of a Supervisory Board.

A. Executive Board

Article 11. Executive board – Composition

The Executive Board consists of at least two and at most five members, who are appointed by the Supervisory Board.

The members of the Executive Board must be private individuals, who may be chosen from outside the Company's shareholders, and even among the Company's salaried employees. The members of the Executive Board must fulfil the conditions of good repute, knowledge, skills and experience required by the regulations applicable to companies exercising the business activities described in Article 2 of these Articles of Association.

If a member of the Supervisory Board is appointed to the Executive Board, that Supervisory Board member's office shall lapse upon his or her taking up the new duties.

In the event that a seat falls vacant, the Supervisory Board must fill it within two months. The substitute member shall be appointed for the period remaining until the Executive Board is renewed.

Failing that, any interested party may ask the Chairman of the Commercial Court, acting in summary proceedings, to make this appointment on a provisional basis.

Article 12. Length of term of office – Age limit

The Supervisory Board appoints members of the Executive Board for a period of five years, which expires at the first Supervisory Board meeting held following the fifth anniversary of this appointment. The Executive Board is renewed in its entirety when a five-year period has elapsed.

Members of the Executive Board may be re-elected.

Any member of the Executive Board may be dismissed by the Supervisory Board, or by the General Meeting. In the event that the interested party has entered into an employment contract with the Company, the termination of his or her duties as a member of the Executive Board shall not result in the termination of this contract.

No private individual who has reached the age of 65 May be appointed as a member of the Executive Board, or be reappointed to this position.

When the interested party has reached the age limit, he or she is automatically considered to have resigned from the date of the next meeting of the Supervisory Board, which shall see to his or her replacement.

Article 13. Chairmanship of the Executive Board – Chief Executive Officers – Effective manager

13.1. Chairman

The Supervisory Board shall appoint one of the Executive Board members as Chairman.

The Chairman shall perform his or her duties during the term of office as a member of the Executive Board.

The Chairman shall represent the Company in its dealings with third parties.

The Supervisory Board may dismiss the Chairman of the Executive Board from his or her duties as Chairman at any time, based on a majority vote of the members present or represented.

13.2. Chief Executive Officers

The Supervisory Board may assign the same power of representation to one or several members of the Executive Board, who shall then bear the title of Chief Executive Officer. In such a case, one of the Chief Executive Officers appointed in this way will also act in the capacity of effective manager, within the meaning of Article 13.3 below.

The Supervisory Board may dismiss the Chief Executive Officer(s) from his or her duties as Chief Executive Officer(s).

The Supervisory Board may remove from the Chief Executive Officer(s) the powers to represent the Company in its dealings with third parties under the same conditions.

13.3. Effective managers

The Supervisory Board assigns the capacity of effective manager to at least two of the members of the Executive Board. These directors are responsible for effectively determining the Company's management policy in accordance with the provisions of Article L. 511-13 of the French Monetary and Financial Code, and must fulfil the conditions of good repute, knowledge, skills and experience listed in Article L. 511-51 of the aforementioned Code, it being specified that the Chairman of the Executive Board shall be one of the effective managers.

13.4. Representation of the Company

Any action committing the Company towards third parties shall be duly performed by the Chairman of the Executive Board or by any other member who has been granted the title of Chief Executive Officer by the Supervisory Board.

The Chairman of the Executive Board, and the Chief Executive Officer(s), where applicable, are authorised to delegate part of their powers to any corporate officers that they deem appropriate. They may in particular delegate any power to represent and commit the Company in its dealings with any third parties to a member of the Executive Board who has the skills required, as resulting from the division of duties set out under Article 13.5.

13.5. Division of management duties

Members of the Executive Board may divide the management tasks between them, with the authorisation of the Supervisory Board. However this division of powers may not prevent the effective managers, within the meaning of the banking regulations, from performing their tasks and fulfilling their remits and obligations as defined by the French Monetary and Financial Code. Moreover, it may not result in stripping the Executive Board of its role as a collective management body. The effective managers must effectively manage the Company's affairs. They shall also present the division of their respective powers to the Supervisory Board. Measures that each member of the Executive Board takes individually, within his or her area of responsibility, shall be deemed to have been accomplished collectively by the Board, and shall commit it in its entirety.

However, the Executive Board may decide that any action committing the Company beyond an amount that it shall determine on a regular basis must be authorised in advance by the Board itself. Failure to secure this approval may result in the individual concerned being personally liable towards the Company and its shareholders.

Article 14. Powers of the Executive Board

The members of the Executive Board shall manage the Company on a collective basis.

The Executive Board has been invested with the most extensive powers to act in the Company's name under all circumstances. It exercises these powers within the limits of the corporate purpose, and subject to those powers expressly granted to the Supervisory Board and to shareholders' meetings in law and by these Articles of Association.

In its dealings with third parties, the Company shall be committed even by actions of the Executive Board that are not related to the corporate purpose, unless it proves that the third party was aware that the action exceeded that purpose, or could not be unaware of this fact given the circumstances, although the sole publication of the Articles of Association is not enough to amount to this proof.

However, the following actions shall be subject to the prior authorisation of the Supervisory Board, pursuant to the legal provisions:

- ▶ disposals of property assets;
- ▶ full or partial disposals of equity investments;
- ▶ the provision of security with the exception of deposits, endorsements and guarantees granted by the Company in the ordinary course of its business activities as a credit institution.

The Supervisory Board may, with powers to delegate and within a maximum amount that it sets for each transaction, authorise the Executive Board to dispose of property assets, to dispose of equity investments partially or in full and to provide security. When a transaction exceeds the amount set in this way, the Supervisory Board's authorisation shall be required in each case.

The following corporate transactions and decisions are also subject to the prior authorisation of the Supervisory Board:

- ▶ the approval of the strategic plan and of any significant changes made to it;
- ▶ investment or divestment decisions for amounts exceeding €12,000,000 in France and abroad, and relating to:
 - any projects involving the creation of subsidiaries or branches,
 - any projects involving a contribution, merger, split, restructuring or transfer of assets, including through a universal transfer of assets, with the exception of transactions within La Banque Postale Group where the amount of such transaction is lower than €30,000,000,
 - any joint venture or equity partnership with the exception of transactions within La Banque Postale Group where the amount of such transaction is lower than €30,000,000,
 - any acquisition or equity investments with the exception of transactions within La Banque Postale Group where the amount of such transaction is lower than €30,000,000;
- ▶ decisions relating to the allocation of shares subscription or purchase options, or of equivalent securities, to the corporate officers and/or managers, as well as the allocation of free shares;
- ▶ decisions relating to financing transactions for terms exceeding one year and having a significant impact on the consolidated balance sheet of La Banque Postale (in excess of €1 billion) or any issuance of debt securities falling within Tier 1 or Tier 2 (additional own funds) for an amount in excess of €500 million;

- ▶ draft resolutions to be submitted to the Shareholders' Meeting, pursuant to Article L. 228-92 of the French Commercial Code, and relating to the issuance of marketable securities, giving access to other equity securities or giving the right to the allocation of debt securities or to the issue of marketable securities that give access to equity securities to be issued, and to the setting of the issuance terms and conditions for said marketable securities;
- ▶ dividend distribution proposals and related transactions.

The Executive Board shall present a report on the conduct of the Company's affairs to the Supervisory Board at least once a quarter.

In the three months following the close of each financial year, the Executive Board shall approve the separate financial statements, and, where applicable the consolidated financial statements and the related management report, and present them to the Supervisory Board for examination and checking. It will suggest the appropriation of net income for the year just ended.

The Executive Board shall convene the General Meetings of Shareholders, shall set their agenda and execute their decisions.

Article 15. Structure and operation of the Executive Board

The Executive Board shall meet as often as the Company's interests require it to do so, on the invitation of its Chairman, its Chief Executive Officer, if it has one, or of at least half of its members, either at the registered offices, or at any other location mentioned in the notice of meeting.

The agenda shall be set by the person notifying the meeting, no later than the day before the scheduled meeting. However, in the event of urgency, the agenda may be set at the time of the meeting.

The notice of meeting may be communicated by any means.

The statutory auditors shall be invited to those Executive Board meetings at which the separate or interim financial statements are reviewed or approved.

A member of the Executive Board may ask another member to represent him or her.

The Chairman, or in his or her absence, a member who is present and appointed by the Executive Board and takes the title of Chairman, shall chair the meetings.

The actual presence of at least half of the members is required for the discussions to be valid, or the presence of both members, if the Executive Board consists of only two members. For the purpose of calculating the quorum and majority, members who take part in the Executive Board meeting by video-conferencing facilities that comply with technical characteristics guaranteeing effective participation in the Executive Board meeting, where proceedings must be broadcast on an uninterrupted basis, shall be deemed present, except for the approval of the separate and consolidated financial statements and the management report.

In the event of a tied vote, the Chairman shall have the casting vote.

Regardless of their form, the discussions of the Executive Board shall be recorded in minutes drawn up in a special register, or on serially numbered loose-leaf sheets. These sheets or the register shall be kept at the Company's registered office. They shall be signed by the Chairman and all the Executive Board members present, and shall be circulated to all members of the Executive Board.

Copies or excerpts of the minutes of the discussions are duly certified by the Chairman of the Executive Board, or by one of the members of the Executive Board or a person empowered for this purpose by the Executive Board.

Where applicable, the Executive Board ratifies the internal rules specifying its operating procedures.

Article 16. Remuneration of Executive Board members

The Supervisory Board shall set the remuneration method and amount for each member of the Executive Board in accordance with the current legal provisions and regulations.

Article 17. Holding of multiple offices by Executive Board members

Members of the Executive Board must comply with the rules governing the plurality of offices as defined by the current laws and regulations, and in particular the provisions of the French Commercial Code, and the French Monetary and Financial Code.

Any private individuals who find themselves in breach of the above provisions after having accepted a new office, must resign from one of their offices within three months of their appointment.

Article 18. Liability of Executive Board members

Without prejudice to the specific liability that may arise from the Company entering receivership, the members of the Executive Board shall be liable, individually or jointly, depending on the case, towards the Company or third parties, either for breaching the legal or regulatory provisions applicable to limited companies, or for breaching the Articles of Association, or for errors committed under their management.

B. Supervisory Board

Article 19. Supervisory Board

19.1. Composition

19.1.1 - The Supervisory Board shall consist of at least three, and at most eighteen members, one-third of whom shall be employee representatives and, where applicable, a representative appointed by the Government and/or members of the Supervisory Board appointed by the General Meeting based on a proposal by the Government, pursuant to Articles 4, 6 and 7 of order No. 2014-948 of 20 August 2014.

The members of the Supervisory Board must fulfil the conditions of legal capacity, skills and good repute required by the regulations applicable to companies exercising the business activities described in Article 2 of these Articles of Association.

Members of the Supervisory Board other than employee representatives are appointed from among private individuals or companies by the Ordinary General Meeting.

The General Meeting may dismiss any member of the Supervisory Board it has appointed at any time.

19.1.2 - Employee representative members of the Supervisory Board are elected under the conditions specified by the provisions of order No. 2014-948 of 20 August 2014.

Any employee representative may be dismissed for gross misconduct in the exercise of his or her office as a member of the Supervisory Board, through a summary ruling of the President of the District Court at the request of the majority of the members of the Supervisory Board.

In the event of severe dissent impeding the management of the Company, any dismissal decided upon by the General Meeting may include the employee representatives, in accordance with the provisions of order No. 2014-948 of 20 August 2014.

19.2. Reappointment

The offices of all members of the Company's Supervisory Board shall end on the same day, at the end of a five-year term. During the existence of the Company, the members of the Supervisory Board may be reappointed under the current legal and regulatory provisions.

The members representing the employees are eligible for reappointment.

In the event that a Supervisory Board member's seat falls vacant, for any reason whatsoever, the replacement member shall only exercise

his or her office for the period remaining until the renewal of the entire Board.

In the event that a new member is appointed to the Board by the General Meeting outside the date when the entire Board is renewed, the new member shall only hold his or her office for the period remaining until the renewal of the entire Board.

19.3. Restrictions on the holding of multiple offices

Members of the Supervisory Board must comply with the rules governing the plurality of offices as defined by the current laws and regulations, and in particular by the provisions of the French Commercial Code and the French Monetary and Financial Code.

Any private individuals who find themselves in breach of the above provisions after having accepted a new office, must resign from one of their offices within three months of their appointment.

19.4. Combining office with an employment contract

In accordance with legal provisions, the number of members of the Supervisory Board who have an employment contract with the Company may not exceed one-third of the serving members on the Board. In accordance with the provisions of Article 15 of law No. 73-1196 of 27 December 1973, the members of the Supervisory Board representing the employees are not included in this number.

19.5. Incompatibility – Restrictions

The performance of the office of a Supervisory Board member must not be incompatible with the holding certain public or professional duties.

No member of the Supervisory Board may be a member of the Executive Board. If a member of the Supervisory Board is appointed to the Executive Board, that Supervisory Board member's office shall lapse upon his or her taking up the new duties.

In addition, no one may be appointed to the Supervisory Board or remain on the Board if they find themselves subject to any court order that results in them being prohibited from running or directing any firm or company.

19.6. Membership of the Board by legal entities

A legal entity may be appointed as a member of the Supervisory Board. The legal entity is required to appoint a Permanent Representative at the time it is appointed.

Permanent representatives are subject to the same rules as members who are private individuals, particularly where restrictions and disqualifications, and the age limit, are concerned.

In cases where the legal entity withdraws its Permanent Representative's mandate, it is required to provide for his replacement at the same time. The same applies in the event of the death or resignation of the Permanent Representative. The legal entity is required to notify the Company of this death or resignation, together with the identity of the member's successor without delay, by registered letter with request for an acknowledgement of receipt.

19.7. Status of the Employee representative members of the Supervisory Board in accordance with order No. 2014-948 of 20 August 2014

A Supervisory Board employee representative member's term of office is incompatible with any other office involving the representation of employees' interests within the Company or its subsidiaries, and particularly with the positions of trade-union representative, member of the works council, staff representative or member of the committee on health, safety and working conditions. The aforementioned mandates and their related protection shall lapse upon at the date of taking up the new office.

An employee representative's membership of the Supervisory Board is also incompatible with holding the position of full-time union representative. In the event of the appointment to the Supervisory Board of an employee who holds the position of full-time union representative, his or her duties as representative shall be terminated and the person concerned shall resume his or her position as an employee.

Employee representative members of the Supervisory Board shall be granted a minimum time period of 15 hours per month to fulfil their mandate. The length of the Supervisory Board meetings is not deductible from this allowance, nor is the time spent on their training in company management.

The employee representatives' mandates shall end automatically when they no longer fulfil the eligibility conditions.

Article 20. Shares held by members of the Supervisory Board

Members of the Supervisory Board are not required to own a minimum number of Company shares.

Article 21. Length of term of office – Age limit

Without prejudice to the application of Article 19.2 of these Articles of Association, members of the Supervisory Board are appointed for a period of five years. They may be re-elected.

No private individual or legal entity representative who is aged over seventy may be appointed, elected or reappointed as a member of the Supervisory Board. In addition, the number of members of the Supervisory Board who have reached the age of seventy shall not exceed one-third of the serving members of the Supervisory Board.

If the proportion of one-third is exceeded due to the fact that a serving member of the Supervisory Board comes to be older than seventy, the oldest member of the Supervisory Board shall automatically be deemed to have resigned.

Article 22. Vacancy – Co-option – Ratification

In the event of a vacancy due to the death or resignation of one or more members appointed by the General Meeting, the Supervisory Board may replace them on a temporary basis. The appointment of the replacement members must be approved at the next General Meeting.

If ratification is not granted, the resolutions voted and the actions accomplished by the Supervisory Board or by this member during their management term would nonetheless remain valid.

When a seat is left vacant by an employee representative, the candidate on their list immediately after the last candidate elected shall be called upon to replace them. If the list in question is not sufficient to fill the vacancies, the seats that are not filled shall remain vacant up until the following election. However, if the number of vacancies exceeds half the employee representative seats, a partial election shall be organised, except during the remaining six months of the term of office.

Substitute members shall only hold their office for the period remaining until the renewal of the entire Supervisory Board.

If the number of Supervisory Board members falls below the legal minimum, the Supervisory Board must immediately convene the Ordinary General Meeting in order to supplement the numbers on the Board.

Article 23. Board officers

The Supervisory Board shall elect a Chairman and a Vice-Chairman among its members. The Chairman, or in the absence of the Chairman, the Vice-Chairman, where applicable, is responsible for convening the Supervisory Board and directing its discussions. The Chairman and the Vice-Chairman, where applicable, shall hold their office for the duration of their term of office as a member of the Supervisory Board.

The Supervisory Board shall determine their remuneration, where applicable.

The Supervisory Board may appoint a secretary, who may be chosen from outside its members.

Article 24. Supervisory board proceedings – Minutes

The Supervisory Board shall meet at the registered office or in any other location specified in the notice of meeting, as often as the Company's interests require it to do so, and at least once a quarter, in order to review the Executive Board's report.

The Supervisory Board shall consider any matter included in the agenda by the Chairman or the Board, taking decisions on the basis of a simple majority.

The agenda may be set at the time of the meeting.

The Supervisory Board is convened by the Chairman, by any means.

By derogation to Article 12 of order No. 2014-948 of 20 August 2014, in the absence of the Chairman of the Supervisory Board, the Vice-Chairman may convene the Supervisory Board by any means.

The Company's Works Council shall be represented at the meetings of the Supervisory Board in accordance with the provisions of Article L. 2323-64 of the French Labour Code.

However, the Chairman must convene the Supervisory Board at a date that cannot be later than within 15 days, when a member of the Board or at least one-third of the members of the Supervisory Board presents them with a reasoned request to this effect. If the request is not acted upon, its authors may convene the Board themselves, and specify the agenda for the meeting.

Pursuant to Article 13 of order No. 2014-948 of 20 August 2014, meetings of the Supervisory Board may be convened by over one-third of the members of the Supervisory Board on an agenda and at a location established in the notice of meeting.

A member of the Supervisory Board may give another member of the Board a mandate to represent him or her at any Supervisory Board meeting by letter, email, or fax.

Each member of the Supervisory Board may only have one proxy for a given meeting.

Under the conditions and subject to the exceptions provided by law, the Supervisory Board's resolutions may be voted by videoconference or through the use of all means of telecommunication or remote transmission that enable the members to be identified under the conditions set by the current legislation.

An attendance register is kept, which is signed by the Supervisory Board members taking part in the meeting. The actual presence of at least half the Supervisory Board members is required for the discussions to be valid. Members of the Supervisory Board who take part in the Supervisory Board meeting via videoconference, or by any of the telecommunication or remote broadcasting means listed in the previous Paragraph, shall be deemed present for the purpose of calculating the quorum and majority. The minutes shall mention the members of the Supervisory Board who took part in said Board meeting by videoconference or any other telecommunication or remote broadcasting means.

Decisions are taken by majority vote of the members who are present or represented; each member who is present or represented has one vote. The Chairman of the meeting has the casting vote in the event of a tied vote.

The Supervisory Board's discussions shall be recorded in minutes written in a special register or on serially numbered loose-leaf sheets. These sheets or the register shall be kept at the Company's registered office. They shall be signed by the Chairman of the meeting and one of the Supervisory Board members present. In the event that the Chairman of the meeting is unable to attend, they shall be signed by two members of the Supervisory Board. The minutes shall be circulated to all members of the Supervisory Board.

Article 25. Remit and powers of the Supervisory Board

The Supervisory Board exercises ongoing control over the management of the Company through the Executive Board, and grants the latter prior authorisation to enter into transactions that the Executive Board cannot perform without its authorisation, in accordance with Article 14 of these Articles of Association.

The Supervisory Board shall hold discussions on the Company's main strategic, economic, financial and technological orientations, and specifically on the corporate or programme contract, prior to the Executive Board's decisions.

The Supervisory Board shall perform the tasks assigned to the supervisory body pursuant to the order of 3 November 2014 on internal control for companies in the banking, payment services and investment services sectors under the supervision of the French Prudential Supervision and Resolution Authority (ACPR).

In addition, the Supervisory Board shall authorise the disposal of shares to a third party, in accordance with the provisions of Article 10 of these Articles of Association.

The Board shall perform the checks and controls that it deems necessary at any time of the year, and may ask for disclosure of the documents that it considers necessary to perform its remit.

It shall authorise agreements, in accordance with the provisions of Article L. 225-86 of the French Commercial Code.

It shall present its observations on the Executive Board's report, and on the financial statements for the year to the Annual Ordinary General Meeting.

It shall decide on relocating the registered office within the same French *département*, or to a neighbouring *département*, subject to the approval of this decision by the next Ordinary General Meeting.

The Supervisory Board may assign to one or more of its members any special duties for one or more determined purposes.

The Supervisory Board shall approve the internal rules specifying its operating procedures, and those of the special committees that it may have set up.

The Supervisory Board shall appoint, and may dismiss the members of the Executive Board.

The Supervisory Board shall suggest the appointment or renewal of the statutory auditors to the General Meeting.

Article 26. Remuneration of Supervisory Board members

The General Meeting may award an annual fixed amount, in the form of attendance fees, to members of the Supervisory Board, as remuneration for their duties. This amount shall be recognised under operating expenses.

The Supervisory Board shall divide the total amount allocated between its members in accordance with legal and regulatory provisions in effect.

The remuneration of the Chairman and Vice-Chairman shall be determined by the Supervisory Board, in accordance with the current legal and regulatory provisions.

The Supervisory Board may award exceptional remuneration amounts for special duties or remits assigned to members of the Board. These exceptional remuneration amounts are subject to the provisions of Article L. 225-86 of the French Commercial Code.

The expenses incurred by members of the Supervisory Board in the exercise of their functions shall be reimbursed by the Company on production of substantiating documentation.

Office held by members representing the employees is unpaid.

Article 27. Liability of Supervisory Board members

The Supervisory Board members are liable for personal errors committed in the performance of their duties of office. They shall incur no liability for management actions or for their outcome.

They may be pronounced civilly liable for the offences committed by members of the Executive Board, if they did not disclose them to the General Meeting when they became aware of them.

The employee representative members of the Supervisory Board, elected under order No. 2014-948 of 20 August 2014, may not under any circumstances be declared liable jointly and severally with the members of the Supervisory Board who represent the shareholders. Their liability shall be assessed paying due regard to the fact that their tenure of office is unpaid.

Article 28. Supervisory Board Committees

The Supervisory Board may decide to set up Board committees responsible for assisting it, and shall determine the composition, the special powers and the potential remuneration of their members, who shall execute their tasks under its responsibility. The Chairman of each committee is appointed by the Supervisory Board.

The Supervisory Board shall in particular establish the committees as provided by the French Commercial Code and the French Monetary and Financial Code.

Article 29. Non-voting advisors

The Supervisory Board may appoint one or several non-voting advisors, whose remit is to assist the Supervisory Board in performing its control duties, and who take part in Supervisory Board meetings on a non-voting basis.

Each non-voting advisor is appointed for a period of one year, which is renewable indefinitely.

Non-voting advisors are not required to be shareholders, and their work on behalf of the Company may be remunerated as determined by the Supervisory Board.

TITLE IV. SHAREHOLDERS' MEETINGS**Article 30. General meetings – Convening – Composition**

General Meetings are convened by the Executive Board under the conditions determined by law, or, where applicable, by the Supervisory Board, the statutory auditors, or a corporate officer appointed by the Chairman of the Commercial Court, acting on a summary basis at the request of one or several shareholders who represent at least 5% of the share capital.

The meetings shall take place at the registered office or at any other location in France specified in the notice of meeting.

The General Meeting meets at least once a year before 31 May in order to approve the separate financial statements.

The notice of meeting is sent to shareholders no later than fifteen days before the meeting date, either via a standard letter, or via a registered letter with request for an acknowledgement of receipt or by email, in accordance with Article R. 225-63 of the French Commercial Code.

Where a meeting has been unable to deliberate validly, due to the lack of the required quorum, a second meeting, and where applicable, the extended second meeting shall be called in the same manner as the first meeting, and the notice of meeting shall remind the recipients of the date of the first meeting, and shall set out its agenda again. The notice of meeting shall be sent at least ten days before the meeting upon the second notice of meeting.

All shareholders may take part in the meetings, in person or by proxy, on presentation of proof of identity and of the ownership of their shares, in the form of a registered entry in their name in the Company's registers, made at least two days before the meeting. The Executive Board may cancel or shorten this time limit, but only for the benefit of all shareholders.

All shareholders may also vote remotely, according to the legal and regulatory procedures.

Shareholders who take part in the meeting via video-conference, or via any other means that enables them to be identified, the nature and conditions for which are determined by Council of State decree, shall be deemed present for calculating the quorum and majority.

A shareholder may be represented only by his/her spouse, partner in a civil solidarity pact or another shareholder.

Corporate shareholders shall take part in meetings through their legal representatives or through any person the latter may appoint for this purpose.

The meetings are chaired by the Chairman of the Supervisory Board or, in his or her absence, by the Vice-Chairman specifically appointed to this effect by the Supervisory Board. Failing this, the General Meeting shall appoint its own Chairman.

In the event that the meeting is convened by a statutory auditor or by a court-appointed representative, the General Meeting shall be chaired by the issuer of the notice of meeting.

The Board of officers thus constituted shall appoint a secretary, who may be chosen from outside the members of the General Meeting.

The tellers' duties shall be fulfilled by the two members of the General Meeting who are present and accept their office, both for themselves and as proxies, and who hold the largest number of shares.

The General Meeting's discussions are recorded in minutes signed by the Board officers, and written on a special register in accordance with the law. Copies and excerpts of these minutes are duly certified under the conditions set in law.

Article 31. General meeting proceedings

Ordinary and Extraordinary General Meetings, sitting under the quorum and majority conditions specified by the respective provisions that govern them, exercise the powers that are assigned to them in law.

TITLE V. COMPANY FINANCIAL YEAR – FINANCIAL STATEMENTS – AUDIT

Article 32. Company financial year

Every company financial year shall run for a period of 12 months beginning on 1 January and ending on 31 December each year.

Article 33. Appropriation of net income

If a distributable profit, as defined by law, arises from the financial statements for the year, as approved by the General Meeting, the latter may decide to assign that profit to one or more reserves, for which the meeting sets the allocation and use, to carry it forward to retained earnings, or to distribute it.

Upon noting the existence of reserves available to it, the General Meeting may decide to distribute amounts drawn from those reserves. In this case, the decision shall expressly indicate the specific reserves from which the drawings are made.

However, dividends shall be deducted first from the distributable profit for the year.

The General Meeting has the power to grant each shareholder the option of payment of the dividend or interim dividends in cash or in shares, for all or part of the dividend or interim dividend distributed.

The procedures for paying dividends in cash are set by the General Meeting, or, failing which, by the Executive Board.

However, the dividend payment must occur within a maximum period of nine months after the close of the financial year, unless that period is extended by a court order.

When a balance sheet drawn up during or at the end of the financial year, and certified by a statutory auditor, shows that the Company has made a profit since the close of the previous financial year, after recording the required depreciation and amortisation and provision charges, and after deducting prior losses, where necessary, as well as the amounts to be recorded under reserves pursuant to the law and to the Articles of Association, and taking earnings carried forward into

account, an interim dividend may be distributed, before the approval of the financial statements for the year. The amount of this interim dividend may not exceed the amount of the profit thus determined.

The Company may not demand that shareholders return a dividend, unless it was distributed in breach of legal provisions, and the Company establishes that the beneficiaries were aware of the irregular nature of this distribution at the time it was made, or could not have been unaware of it, given the circumstances.

Any right of action in recovery shall lapse three years after these dividends are made payable. Dividends that are not claimed within five years of their payment shall lapse.

Article 34. Statutory auditorS

The Company is audited by at least two statutory auditors, who fulfil the legal eligibility conditions.

Each statutory auditor is appointed by the Ordinary General Meeting for six financial years, in compliance with the special regulations that apply depending on the Company's business activities. Their term of office shall expire following the General Meeting that approves the financial statements for the sixth financial year.

The Ordinary General Meeting shall appoint at least two alternate statutory auditors, who shall be called upon to replace the principal statutory auditors in the event of their refusal, unavailability, resignation or death.

Article 35. Government commissioner

A Government Commissioner appointed pursuant to the provisions of Section II of Article 615-1 of the French Monetary and Financial Code shall discharge his or her duties within the Company's bodies, under the conditions specified in Articles D. 615-3 et seq. of the French Monetary and Financial Code.

TITLE VI. DISSOLUTION – DISPUTES

Article 36. Dissolution

When the Company's term expires, or in the event of early dissolution, the General Meeting shall choose the method of liquidation and shall appoint one or more liquidators, whose powers it shall determine, and who shall fulfil their duties in accordance with the law.

The liquidator(s) shall represent the Company. Following asset liquidation and the settlement of liabilities, the liquidator(s) shall distribute any available balance.

The remaining net assets following the redemption of the shares at their nominal value shall be shared among the shareholders in proportion to their interest in the share capital.

Article 37. Disputes

Any disputes on company-related issues that may arise during the life of the Company or on its liquidation, either between the shareholders, the members of the Board, or the statutory auditors and the Company, or between the shareholders themselves, shall be judged in accordance with the law and subject to the jurisdiction of the competent courts.

SUPERVISORY BOARD CHARTER AND INTERNAL RULES

9

9.1 SUPERVISORY BOARD MEMBERS' CHARTER

At its meeting of 25 January 2006, La Banque Postale's Supervisory Board adopted this Charter for the Board member (the "Charter"), which aims to specify the rights, obligations and principles applicable to the members of La Banque Postale's Supervisory Board.

Article 1. Assumption of office

When they assume office, each member of the Supervisory Board is given a copy of the legal and regulatory provisions that apply to their position within La Banque Postale, a copy of the internal rules of the Supervisory Board and of the special committees set up within the Board, and this Charter, as well as the provisions relating to the rights and obligations of Board members, as defined in Articles 7 to 13 of Section II, Chapter I, of the law of 26 July 1983 on the democratisation of the public sector.

Article 2. Compliance with laws and regulations and the corporate interest

2.1 - Every member of the Board must be fully aware of their rights and obligations at all times. Specifically, they must understand and comply with the legal and regulatory provisions applicable within La Banque Postale, and with the provisions of the internal rules of the Supervisory Board and of the existing special committees.

2.2 - Every member of the Board shall act in the Company's corporate interest at all times. They shall abide by the principles listed in the Charter.

2.3 - Every member of the Board may, at any time, consult the Supervisory Board's Secretariat regarding the scope of the provisions governing the rights and obligations relating to their office.

Article 3. Holding of office – Guiding principles

Every member of the Board shall fulfil their duties with independence and loyalty, and in a professional manner, and shall undertake to take the measures required when they believe in good faith that they are no longer fully able to carry out their mandate.

Article 4. Personal involvement

4.1 - Every member of the Board undertakes to devote all the time and attention required by their mandate to examine the applications submitted to the Board and the issues that are entrusted to them on a more specific basis, as well as to the work of the committee(s) of which they are a member. They undertake to take part in all the Supervisory Board meetings in an attentive and diligent manner, unless they are prevented from doing so.

4.2 - Every member of the Board is responsible for requesting the information that they believe is useful to them within the appropriate time frame, in order to be able to discuss it with the Board in full knowledge of the facts.

4.3 - Every member of the Board must familiarise themselves with the Company's business lines and specific features, its challenges, its values, and its regulatory environment. Every member of the Board must make efforts to update the knowledge that is useful to them in fulfilling their mandate properly.

Article 5. Duty to speak

5.1 - Every member of the Board has a duty to express the questions and opinions resulting from the fulfilment of their mandate.

5.2 - In the event of a disagreement, they shall ensure that their position or proposals are expressly entered in the minutes of the discussions.

Article 6. Independence

6.1 - Every member of the Board undertakes to maintain their independence of analysis, judgement, decision and action under any circumstance, and to reject any direct or indirect pressure that may be exercised on them.

6.2 - Every member of the Board undertakes not to accept any benefits of any kind from La Banque Postale or from related firms or companies, either directly or indirectly, which are likely to be considered of a nature to compromise their independence during the term of their mandate or beyond it.

6.3 - Every member of the Board undertakes, during the term of their mandate, to notify the Chairman of the Supervisory Board immediately of any situation involving the holding of multiple offices, within companies or other legal entities governed by French or foreign law.

Article 7. Potential conflicts of interest

7.1 - Without prejudice to the application of the French Commercial Code provisions relating to the control of regulated agreements, every member of the Board shall inform the Supervisory Board and its Chairman of any situation concerning them that is likely to create a conflict, even one that is potential or temporary, with the interests of La Banque Postale or any of its subsidiaries, as soon as they become aware of it.

7.2 - In such cases, the member of the Supervisory Board shall:

- ▶ abstain from taking part in the discussions and from any decision on the issues in question, if the conflict of interest is temporary;
- ▶ take all measures aimed at ending said conflict of interest, including tendering their resignation from their office as a member of the Board to the Chairman of the Supervisory Board, if it turns out that the conflict of interest is ongoing.

7.3 - Generally speaking, every member of the Board shall undertake to avoid any conflict that may exist between their material or moral interests and those of La Banque Postale or any of its subsidiaries.

Article 8. Confidentiality

8.1 - Every member of the Board personally undertakes to respect the absolute confidentiality of the information that they receive, of the discussions in which they participate, and of the decisions taken by the Supervisory Board, under the conditions determined in Article 8 of the Supervisory Board internal rules.

8.2 - Every member of the Board shall refrain from using, revealing or disclosing, for their own benefit or for the benefit of any third party, any non-public information regarding La Banque Postale or any of its subsidiaries, their activities or their projects, that they are aware of due to their capacity as a Board member.

Article 9. Effectiveness of the Board's operations

9.1 - Every member of the Board shall contribute, through their active participation, to the collective spirit and effectiveness of the work performed by the Supervisory Board and by any special committees set up within it, and to the tasks in which they participate.

9.2 - Every member shall express any recommendation that they believe will improve the operating procedures of the Supervisory Board, particularly within the context of any meeting of the Supervisory Board that addresses its operations. The same goes for any of the special committees where they participate in the tasks.

9.3 - Along with the other members of the Supervisory Board, every member shall strive to ensure that the control bodies fulfil their remit effectively, and without hindrance. Specifically, members shall ensure that they are informed of the implementation of procedures enabling

controls on compliance with the laws and regulations within the Company.

9.4 - Every member shall ensure that, without exception, the positions adopted by the Supervisory Board are the subject of formal decisions, which are correctly reasoned and registered in the minutes of its meetings.

9.5 - In the event that a member of the Supervisory Board ceases to be in a position to fulfil their mandate in compliance with the Charter, whether of their own volition or for any other reason, they must inform the Chairman and the Board, seek solutions to resolve the situation and, failing that, make their mandate available to the Board.

Article 10. Endorsement of the Charter

Every member of the Supervisory Board shall endorse this Charter as soon as they assume their office.

9.2 INTERNAL RULES OF THE SUPERVISORY BOARD OF LA BANQUE POSTALE

The Supervisory Board of La Banque Postale (the **Company**) decided at its meeting of 25 January 2006 to adopt the present internal rules of the Board (the "**Internal Rules**") which are designed to supplement the articles of Section III of the Company's Articles of Association, particularly with regard to the functioning and organisation of the Supervisory Board and its relations with the Executive Board.

Article 1. Powers of the Supervisory Board

The Supervisory Board exercises the powers granted to it by law and regulations, and by the Company's Articles of Association.

Moreover, in accordance with the provisions of Article L. 225-68 of the French Commercial Code and Article 14 of the Company's Articles of Association, the following corporate transactions and decisions are subject to the prior authorisation of the Supervisory Board:

- ▶ disposals of property assets;
- ▶ full or partial disposals of equity investments;
- ▶ the provision of security with the exception of deposits, endorsements and guarantees granted by the Company in the ordinary course of its business activities as a credit institution.

The Supervisory Board may, with powers to delegate and within a maximum amount that it sets for each transaction, authorise the Executive Board to dispose of property assets, to dispose of equity investments partially or in full and to provide security. When a transaction exceeds the amount set in this way, the Supervisory Board's authorisation shall be required in each case.

The following corporate transactions and decisions are also subject to the prior authorisation of the Supervisory Board:

- ▶ the approval of the strategic plan and of any significant changes made to it;
- ▶ investment or divestment decisions for amounts exceeding €12 million in France and abroad, and relating to:
 - any projects involving the creation of subsidiaries or branches,
 - any projects involving a contribution, merger, split, restructuring or transfer of assets, including through a universal transfer of assets,

with the exception of transactions within La Banque Postale Group where the amount of such transaction is lower than €30 million,

- any joint venture or equity partnership with the exception of transactions within La Banque Postale Group where the amount of such transaction is lower than €30 million,
- any acquisition or equity investments with the exception of transactions within La Banque Postale Group where the amount of such transaction is lower than €30 million;
- ▶ decisions relating to the allocation of shares subscription or purchase options, or of equivalent securities, to the corporate officers and/or managers, as well as the allocation of free shares;
- ▶ decisions relating to financing transactions for terms exceeding one year and having a significant impact on the consolidated balance sheet of La Banque Postale (in excess of €1 billion) or any issuance of debt securities falling within Tier 1 or Tier 2 (additional own funds) for an amount in excess of €500 million;
- ▶ draft resolutions to be submitted to the Shareholders' Meeting, pursuant to Article L. 228-92 of the French Commercial Code, and relating to the issuance of marketable securities, giving access to other equity securities or giving the right to the allocation of debt securities or to the issue of marketable securities that give access to equity securities to be issued, and to the setting of the issuance terms and conditions for said marketable securities;
- ▶ dividend distribution proposals and related transactions.

Moreover, the Supervisory Board ensures performance of the duties assigned under the French Monetary and Financial Code and by the decree of 3 November 2014 on the internal control of banking sector companies, payment services and investment services supervised by the French Prudential Supervision and Resolution Authority (ACPR). Pursuant to these provisions, it adopts and regularly revises the general principles of the remuneration policy; in particular, it approves the overall risk limits and determines guidelines regarding the programme of periodic audit assignments, compliance obligations and the risk management function.

The Board may ask the Chairman, or a member of the Board appointed for this purpose, or else one of the committees provided for in Article 2, for verifications or specific information or any other assignments regarding specific items.

Article 2. Supervisory Board Committees

In order to prepare some of the Supervisory Board's work, the Board creates committees. It determines their composition and responsibilities and appoints the Chairman:

- ▶ Risk Committee;
- ▶ Financial Statements Committee;
- ▶ Appointments Committee;
- ▶ Compensation Committee;
- ▶ Strategy Committee.

Article 3. Participants in Supervisory Board meetings

3.1 Appointment of participants

In addition to the members of the Supervisory Board appointed in accordance with the legal and regulatory provisions, the following shall take part in meetings of the Supervisory Board, in a non-voting role:

- ▶ the statutory auditors, who by law must be invited to attend any Supervisory Board meetings at which the Company's annual or interim financial statements are examined;
- ▶ the Secretary of the Works Council, who must be invited to attend by law⁽¹⁾;
- ▶ the Government Commissioner⁽²⁾;
- ▶ the members of the Executive Board;
- ▶ the Secretary of the Board;
- ▶ any person whose skills and expertise the Chairman may deem necessary to the accomplishment of the Board's tasks.

The persons thus invited may, like the members of the Supervisory Board, attend the Board meeting by the means and under the conditions stipulated in Article 5.4 hereafter.

Their attendance at the Board meeting shall be mentioned in the minutes of each meeting.

3.2 Chairmanship and Secretariat of the Supervisory Board

- a) The Chairman, or the Vice-Chairman where applicable in the absence of the Chairman, directs the discussions and ensures compliance with the legal and regulatory provisions in relation to the internal rules. He may, if necessary, order any adjournment of the meeting.
- b) The Board may appoint, under the conditions of Article 23 of the Articles of Association, a permanent secretary of the Company's Supervisory Board, with the following powers:
 - organising meetings of the Supervisory Board, in accordance with the principles set out in Article 4 of these regulations, keeping an up-to-date schedule of meetings of the Board and preparing minutes reporting the proceedings of each meeting in accordance with the provisions of Article 6 of these regulations;
 - certifying any copy or excerpt of the minutes of the decisions of the Supervisory Board and of the proceedings of the Company's General Meeting;
 - maintaining the register of share movements and the Company's shareholder registers, maintaining them up-to-date and certifying any copy of these documents;

- the register of Supervisory Board minutes and the register of minutes of General Meetings; and
- in general, completing all legal formalities of filing, publicity and registration with the Trade and Companies Registry (RCS).
- c) The Secretary of the Supervisory Board nominated, except in the case of absence, as meeting secretary at each Supervisory Board meeting, is in charge of maintaining the Supervisory Board attendance register, counting the votes and drawing up the minutes of the meeting under the responsibility of the Chairman of the Board.

Article 4. Convening the Supervisory Board

4.1 Meeting notice

a) Frequency

The Supervisory Board shall meet as often as the Company's interests require it to do so, when convened by the Chairman, and at least once each quarter to review the Executive Board's report.

However, the Chairman must convene the Supervisory Board at a date that cannot be later than within 15 days, when a member of the Board or at least one-third of the members of the Supervisory Board presents them with a reasoned request to this effect. If the request is not acted upon, its authors may convene the Board themselves, and specify the agenda for the meeting.

Pursuant to Article 13 of order No. 2014-948 of 20 August 2014, meetings of the Supervisory Board may be convened by over one-third of the members of the Supervisory Board on an agenda and at a location established in the notice of meeting.

b) Form and content

The participants are invited to attend Supervisory Board meetings by any means, and for this purpose shall provide their contact details to the Secretary of the Board. The notice of meeting shall be issued by the Chairman, or the Vice-Chairman where applicable in the absence of the Chairman, except in the cases provided above in Paragraphs 2 and 3 of Article 4.1 (a). It may be communicated by the Secretariat of the Board.

The notice of meeting shall indicate the date, venue and agenda of the meeting, and, where applicable, the necessary information to allow members of the Board to take part in meetings by the means referred to in Article 5.4 below. This latter information may, however, be specified subsequently by the author of the notice of meeting with the same formal requirements as the notice of meeting itself.

Meetings of the Supervisory Board shall take place either at the registered office or at any other location indicated in the notice of meeting.

c) Provisional schedule

At the last Board meeting for the financial year, at the latest, the Supervisory Board shall establish a provisional schedule of its upcoming meetings. This provisional schedule shall be updated by the Board during the year.

4.2 Deadlines for meeting notices

A period of at least ten days must be observed between the date of sending the notice and the date on which the Supervisory Board meeting covered by said notice takes place.

(1) Pursuant to Article L. 2323-64 of the French Labour Code.

(2) Pursuant to Article D. 615-4 of the French Monetary and Financial Code.

However, the Chairman is authorised to add to or amend the agenda of a meeting convened previously by sending another notice before the planned date of the meeting, specifying the agenda thus added to or amended and giving a reminder of the date and venue of the meeting.

The Chairman may also, in case of emergency, convene an extraordinary meeting of the Supervisory Board on a defined agenda. In this case, the minimum period of ten days does not apply.

4.3 Documents and information

The necessary and relevant internal documents to enable the participants to give an informed decision regarding the items on the agenda shall be sent by mail or by secure electronic media, if possible at the same time as the notice of meeting and except in exceptional cases at least six days before the date of the Board meeting.

The documents communicated to the participants shall be treated as strictly confidential, in the terms specified in Article 9 below, unless otherwise decided at the Supervisory Board meeting.

The minutes of the previous meeting shall be approved at the next Supervisory Board meeting.

Article 5 Proceedings of Supervisory Board meetings

5.1 Attendance register

An attendance register is maintained, which is initialled at the start of the meeting by the Supervisory Board members attending either in their personal capacity or in their capacity as proxy.

When persons participate in the Board meeting by the means referred to in Article 5.4 below, the attendance register shall be initialled in their name by the meeting Chairman with an indication of the means of participation of the persons concerned.

5.2 Quorum for the Board meeting and verification of the quorum

- a) The quorum for the Supervisory Board meeting is reached when at least half the Board members are effectively present. Members of the Supervisory Board who take part in the Supervisory Board meeting by the means referred to in Article 5.4 below shall be deemed present for the purpose of calculating the quorum.

The quorum shall be recorded by the Secretary at the start of each meeting. His observation shall be recorded in the minutes of the meeting.

- b) When the Supervisory Board deliberates on an agreement that is within the scope of application of Articles L. 225-86 *et seq.* of the French Commercial Code (so-called regulated agreements), the Board members having an interest in the agreement are not counted for calculating the quorum. The Supervisory Board can in that case conduct business only if half the Board members not having an interest in the agreement are effectively present.

5.3 Powers

A member of the Supervisory Board may give another member of the Board a mandate to represent him or her at any Supervisory Board meeting by letter, email, or fax.

Each member of the Supervisory Board may only have one proxy for a given meeting.

5.4 Proceedings

Under the conditions and subject to the exceptions provided for in law, the Supervisory Board's resolutions are voted (i) either through the actual presence of the members at the meeting venue, (ii) or by videoconferencing or other means of telecommunication, or any other means authorised by the regulations, that enable the members to be identified under the conditions set by the laws and regulations in force except for the examination and review of the annual and consolidated financial statements, or (iii) by a combination of these means.

If videoconferencing or telecommunications facilities are provided to enable all or part of the members to take part in the meeting, the Chairman of the Board shall ensure that the facilities thus implemented by the Company offer technical characteristics ensuring continuous effective participation and retransmission of the discussions. Otherwise, the Board members in question cannot be considered present and, given the lack of a quorum, the meeting must be postponed.

It is the responsibility of each Board member or each participant to be equipped to take part remotely in the meetings via these facilities.

5.5 Voting procedures

Voting in the Supervisory Board takes place by a show of hands.

The Supervisory Board's decisions are taken by majority vote of the Board members present or represented; each member has one vote. In the event of a split vote, the meeting Chairman shall have the casting vote.

Members of the Board who take part in the Supervisory Board meeting by the means referred to in Article 5.4 above shall be deemed present for the purpose of calculating the majority.

When voting on a so-called regulated agreement as referred to in Article L. 225-86 of the French Commercial Code, those persons having an interest in the agreement shall declare themselves before voting on the decision and may not take part in the vote in accordance with the current legal provisions. For this ballot, the majority is calculated taking into account only those members with voting rights.

Any member of the Supervisory Board who leaves a Board meeting when it is in progress is deemed not to take part in voting on the resolutions put to the vote in his absence, unless he has given an explicit proxy in writing to another member of the Board before leaving. This departure must be taken into account with regard to the quorum needed for the Board to be able to duly conduct business.

Article 6. Minutes

6.1 Contents of the minutes

The minutes of each meeting of the Supervisory Board shall mention the date, time and place of the meeting and state the meeting agenda. It shall indicate the names of the Board members, specifying whether they are present or participating in the meeting by the means referred to in Article 5.4 above, represented or absent and, where applicable, the names and job titles or positions of the other participants in the meeting. The minutes shall also mention, where applicable, any technical incident relating to videoconferencing, when said incident has disturbed the meeting proceedings.

The minutes report the substantive statements of each of the Board members and other participants, contains, *in extenso*, the text of the resolutions voted on by the Board members and mentions departures as provided for above in Article 5.5 Paragraph 5. For any vote on the text of a resolution, the minutes report the result of the vote, giving

details of votes for, votes against, abstentions and, where applicable, the opinions of persons attending the Board meeting in an advisory role. They specify whether the resolution has been passed or not as a result of this vote.

Where applicable, the minutes record statements, reservations or specific opinions that any Board member expressed the wish to see mentioned in the minutes during the meeting.

6.2 Procedure for drawing up the minutes

As soon as possible following each meeting of the Supervisory Board, draft minutes containing all the information referred to in Article 6.1 above shall be drawn up by the Secretary of the Board.

This draft shall be forwarded to each Board member with the information and documents mentioned in Article 4.3 above relating to the next meeting.

The Board members may express their comments at the Supervisory Board meeting, which establishes the final terms of the minutes allowing them to be re-transcribed on the legal register.

This formal approval does not prevent the possibility of establishing excerpts of the minutes necessary for the accomplishment of legal formalities between two meetings of the Supervisory Board.

6.3 Form of the minutes

The minutes are typewritten and paginated with continuous page numbers in a register kept by the Secretary of the Supervisory Board and stored by the Board at the Company's registered office.

After approval by the Board, the minutes shall be signed by the meeting Chairman and at least one member of the Board. In the event that the Chairman of the meeting is unable to attend, they shall be signed by two members of the Board. The minutes shall be circulated to all members of the Supervisory Board.

6.4 Copies or excerpts produced in evidence or made public

Copies or excerpts of minutes to be produced in evidence or made public shall be certified in compliance with the original by the Chairman of the Supervisory Board, the Vice-Chairman of the Supervisory Board, a member of the Executive Board or by the Secretary.

6.5 Confidentiality of the debates and the minutes

Minutes and all excerpts shall be confidential, under the terms specified in Article 8 below, except when their publication is required by law or by binding regulations, or except if the Supervisory Board decides otherwise.

The same holds true for any position expressed during Supervisory Board meetings by any of its members or participants. By derogation, each member of the Board may freely state their personal position on the subjects discussed by the Board, except if such statements or positions mention information that is confidential.

Article 7. Information conveyed to the Supervisory Board and committees

7.1 - Each member of the Supervisory Board or committees may request any information necessary to accomplish their remit from the Executive Board.

7.2 - Requests for information shall be sent to the Executive Board by the Chairman of the Supervisory Board, or, if the Chairman is absent or unavailable, by the Vice-Chairman, or by the Chairman of the committee in question. The Executive Board shall send the information and documents that it has obtained to the Board or committee making the request by return mail.

7.3 - For this purpose, on appointment, the members of the Executive Board shall become acquainted with the respective powers of the committees and agree to forward to the Supervisory Board, via its Chairman, the documents needed for its remit and to accept any request for information or the production of documents.

Article 8. Resources made available to the members of the Supervisory Board

8.1 - The members of the Supervisory Board must have the necessary means to perform their mandate.

8.2 - The Company shall provide to the members of the Supervisory Board the ability to send and receive all correspondence related to their remit, with a guarantee of confidentiality.

8.3 - Every member of the Supervisory Board elected by the personnel shall have, for this purpose, a time credit of 35 hours per month to perform their mandate.

Article 9. Obligation of confidentiality

9.1 - Every member of the Supervisory Board and any person taking part in a meeting of the Supervisory Board is required to observe the utmost confidentiality with regard to the documents and information of which they have knowledge when performing their duties and may not disclose any of it, in any way, to outsiders.

9.2 - In particular, except for documents for which the Chairman explicitly authorises disclosure to third parties, the documents and exhibits forwarded to Board members before Supervisory Board meetings, or during or as a consequence of said meetings (or outside of any meeting, within the more general framework of the Board members' performance of their mandate), are of a strictly confidential nature and may not be disclosed to third parties in any way.

9.3 - If necessary, these documents may be marked as a reminder of their confidential nature. The absence of such an indication in no case amounts to a derogation from the rule of confidentiality.

9.4 - Regarding confidential operations, the Chairman is not required to provide written information to the Board members. He may thus choose to communicate the information in question orally at Board meetings intended to provide knowledge of these plans. Board members and participants are in that case required to preserve the oral nature of the information thus transmitted, and may not report it to third parties or disclose it.

9.5 - The confidentiality rules summarised in the internal rules apply in the same terms to the Board members and to any person called upon to take part in the work of the Supervisory Board, in any capacity.

9.6 - Failure to comply with the obligation of confidentiality mentioned in this article exposes the faulty Board member or participant to a civil suit for damages brought by the Company, without prejudice to any other legal action which could also be considered.

Article 10. Liability of Supervisory Board members

10.1 - The Supervisory Board members are liable, under civil and penal law, for the faults they commit when performing their mandate under the conditions set by the current legislation.

10.2 - The employee representative members of the Supervisory Board, elected under order No. 2014-948 of 20 August 2014, may not under any circumstances be declared liable jointly and severally with the members of the Supervisory Board who represent the shareholders. Their liability shall be assessed paying due regard to the fact that their tenure of office is unpaid.

Article 11. Remuneration of Supervisory Board members – Reimbursement of expenses

11.1 - The General Meeting that approves the annual financial statements may determine a total amount of attendance fees which may be awarded to Board members for their duties performed in the current financial year and in subsequent financial years, until a further resolution.

The Supervisory Board distributes this amount among the Board members except for the members representing the employees, who perform their duties on a non-remunerated basis, in accordance with law and regulations in force.

11.2 - The Board members representing the employees and those representing the shareholders are entitled, upon presentation of substantiating documents, to the reimbursement of travel and travel-related expenses they have reasonably paid to perform their duties.

Article 12. Date of adoption and amendment of the Internal Rules

12.1 - The Internal Rules came into effect on 25 January 2006. They were revised by the Supervisory Board on 29 March 2007, 16 December 2014, 19 February 2016, 15 April 2016 and 25 May 2016.

12.2 - Any amendment of the Supervisory Board's Internal Rules is adopted by a majority vote of the Board members present or represented, under the conditions summarised above.

Article 13. Communication of the Internal Rules

13.1 - The texts of these internal rules and the Internal Rules of the committees, together with the Board Members' Charter, appended to the Internal Rules to which they must subscribe by signing the deed of membership attached in appendix, shall, notably, be communicated to every member of the Supervisory Board at the time of their appointment.

13.2 - The text of these regulations is also communicated to the members of the Executive Board when they are appointed.

13.3 - The members of the Supervisory Board and/or the Executive Board may also consult them at any time by contacting the Secretary of the Supervisory Board.

13.4 - At each meeting of the Supervisory Board, the text of the Internal Rules is made available to anyone taking part in the meeting, particularly the invited persons mentioned in Article 3.1 above, to whom the Internal Rules are applicable.

STATUTORY AUDITORS' SPECIAL REPORT ON RELATED-PARTY AGREEMENTS AND COMMITMENTS

10

GENERAL MEETING TO APPROVE THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016

La Banque Postale S.A.

115, rue de Sèvres - 75275 Paris Cedex 06

To the Shareholders,

In our capacity as your Company's statutory auditors, we hereby present our report on related-party agreements and commitments.

Our role is to inform you, based on the information that has been provided to us, of the features and main conditions of the agreements and commitments that have been disclosed to us, or of which we may have become aware during our assignment, and of the reasons underlying their interest to the Company. It is not incumbent upon us to issue an opinion on their usefulness and legitimacy, or to determine whether other agreements and commitments exist. Your role, in accordance with the terms of Article R. 225-58 of the French Commercial Code, is to assess the Company's interest in entering into these agreements and commitments, with a view to their approval.

Furthermore, it is our role, where applicable, to disclose the information specified in Article R. 225-58 of the French Commercial Code on the execution of the agreements and commitments that have already been approved by the General Meeting during the past financial year.

We have performed the checks that we considered necessary, in light of the professional standards of the French National Institute of Statutory Auditors relating to this assignment. These checks consisted in ensuring that the information provided to us was consistent with the background material from which it was derived.

Agreements and commitments submitted for the approval of the General Meeting

Agreements and commitments approved during the financial year just ended

We hereby inform you that we have not been advised of any agreement or commitment authorised during the past financial year to be submitted for the approval of the General Meeting pursuant to the provisions of Article L. 225-86 of the French Commercial Code.

Agreements and commitments already approved by the General Meeting

Pursuant to Article R. 225-57 of the French Commercial Code, we have been informed that implementation of the following agreements and commitments, which had already been approved by the General Meeting in prior financial years, was ongoing during the financial year just ended.

Memorandum of understanding with CNP Assurances regarding life insurance, capitalisation of borrowers' insurance, and pensions

Nature and purpose

The Supervisory Board meeting of 9 December 2015 authorised the renewal of the partnership with CNP Assurances and the conclusion of a distribution agreement with CNP Assurances concerning group credit insurance policies. A non-binding Preliminary Memorandum of Understanding was signed on 18 December 2015.

Terms and conditions

The purpose of the preliminary memorandum of understanding was to define the principles to be implemented within the framework of the negotiation of final contracts pertaining to the Draft Renewed Partnership Agreement, built around three major components:

- ▶ the renewal of the partnership agreement with CNP Assurances for a term of ten years, according to revised terms and conditions;
- ▶ the buyback of the entire equity interest held by CNP Assurances in La Banque Postale Prévoyance;
- ▶ the conclusion of a distribution contract with CNP Assurances on group credit insurance policies.

The general framework memorandum between CNP Assurances and your Company and its related agreements were signed on 25 March 2016.

Pursuant to the terms of these agreements, La Banque Postale:

- ▶ acquired the shares owned by CNP Assurances in La Banque Postale Prévoyance valued at €287.5 million;
- ▶ received, in 2016, from CNP Assurances commissions of €599 million for the distribution of insurance policies;
- ▶ recorded an income of €725 thousand in the additional contribution commission provided by the agreement. This commission, in the amount of €75 million, is based on a forward-looking benchmark business plan agreed between the parties for a period running until the agreement expires (2025), which may be adjusted according to the business plan's execution.

The persons concerned by this agreement are the following: Philippe Wahl, Chairman of the Supervisory Board of La Banque Postale, director of CNP Assurances; and Rémy Weber, Chairman of La Banque Postale's Executive Board, director of CNP Assurances.

Memorandum of agreement between La Banque Postale and CNP Assurances regarding the increased autonomy of La Banque Postale Prévoyance

Nature and purpose

The agreement signed on 17 January 2011 aims to determine the terms and conditions under which La Banque Postale Prévoyance may acquire greater autonomy to perform services described in the agreement, immediately or gradually depending on the area, within three years at the most from the date of the agreement, by granting La Banque Postale Prévoyance the appropriate means and resources. This agreement was tacitly renewed until La Banque Postale Prévoyance resumed the financial, cash flow and financial services management for the funds collected, as indicated in the MoU reviewed by the Supervisory Board meeting of 9 December 2015.

The agreement had no impact on La Banque Postale Prévoyance's financial statements for the financial year ending 31 December 2016; it no longer applies following the acquisition of all of La Banque Postale Prévoyance's shares by Le Groupe La Banque Postale on 28 June 2016 for €287.5 million.

Framework memorandum of understanding between La Banque Postale, Malakoff Médéric, La Mutuelle Générale and La Banque Postale Assurance Santé in relation to health insurance.

Nature and purpose

Your Supervisory Board, at its meeting of 20 January 2015, authorised the conclusion of a framework memorandum of understanding between La Banque Postale, acting jointly with SF2, Malakoff Médéric (MM), La Mutuelle Générale (LMG) and La Banque Postale Assurance Santé (LBPAS), providing for a health insurance agreement under the terms presented to it.

Terms and conditions

The framework memorandum of understanding was signed on 3 April 2015, as well as the Health Insurance Agreement, which was entered into between La Banque Postale, SF2, LMG, Malakoff Médéric Assurance (MMAss), Malakoff Médéric Santé (MMS) and LBPAS.

The Health Insurance Agreement provides that LMG and MMAss shall hold together 49% of the share capital and of the voting rights of LBPAS and that La Banque Postale shall hold 51%.

The Health Insurance Agreement includes the terms and conditions pertaining to the Health Insurance section, in particular (i) the objectives and scope of the partnership agreement over all of the health insurance operations, (ii) the operational and commercial model for the Small Group Offer (*Offre Petites Collectives*), (iii) the modalities for the implementation of Extra Opportunities (*Opportunités Additionnelles*), and (iv) the financial elements over all of the health insurance operations.

The term of the agreement is for 15 years, renewable each 5-year period.

According to the terms of this agreement, LBPAS has exclusive rights to supply products developed by the new group and La Banque Postale is the exclusive distributor for LBPAS on its distribution channels, in metropolitan France and in the overseas departments, without prejudice to the possibility that LBPAS may distribute the exclusive products through other channels authorised by La Banque Postale. Also, LBPAS may distribute the exclusive products through Remote Health Insurance Platforms.

The terms relating to the governance of LBPAS and the rules for the transfer of LBPAS securities are feature in a new shareholders' agreement signed by La Banque Postale, SF2, LMG, and MMAss in the presence of LBPAS (the "LBPAS agreement") which will take effect as from the Completion Date, replacing the Initial Agreement which shall terminate on the aforesaid date.

Pursuant to this framework memorandum of understanding, La Banque Postale has received commissions related to the distribution of this new group's products, representing €15.3 million for the financial year ending 31 December 2016.

The person concerned with this agreement is Rémy Weber, Chairman of La Banque Postale's Executive Board, and Director of La Banque Postale Assurance Santé.

La Banque Postale's commitment granting compensation to Rémy Weber in the event of termination of his term of office

Nature and purpose

Subject to the approval of the Minister of the Economy, your Supervisory Board, at its meeting of 15 October 2013, authorised severance compensation to be paid to the Chairman of the Executive Board in the event of termination of his duties.

Managers concerned

Rémy Weber, Chairman of La Banque Postale's Executive Board;

Terms and conditions

Subject to the approval of the Minister of the Economy and fulfilment of the performance condition set out below, in accordance with and under the conditions provided for in Article L. 225-90-1 of the French Commercial Code, compensation will be paid to Rémy Weber, Chairman of the Executive Board, except in the case of gross misconduct or gross negligence having a material impact on the Company's financial position, in the following cases:

- ▶ dismissal during their term of office;
- ▶ merger, change of control or change of strategy leading to his departure.

Payment of this compensation shall be subject to fulfilment of a performance condition, according to which a success rate of 80% or above in meeting the annual targets set by the Executive Board, as defined by the Supervisory Board, for two out of the last three full financial years.

The severance compensation shall be equal to a maximum of twice his fixed annual remuneration as on the day of termination of his duties.

This commitment had no impact on the financial statements for financial year 2016.

La Banque Postale's commitment granting compensation to Marc Batave in the event of termination of his term of office

Nature and purpose

Your Supervisory Board, at its meeting of 31 July 2013, amended the clause granting compensation to Executive Board members in the event of termination of their term of office.

Subject to the approval of the French Government Shareholding Agency (APE), the Supervisory Board meeting of 27 February 2013 authorised severance compensation payments to be made to Executive Board members in the event of termination of their duties.

Terms and conditions

The initial commitment stipulated that severance compensation would be made in the event of dismissal during their term of office and in the event of a merger, change of control or change of strategy resulting in the departure of the Executive Board member, except in cases of gross misconduct or serious professional misconduct having a material impact on the Company's financial position. It also stipulated that where a director's term of office is not renewed, the decision of whether to make a compensation payment would be at the Supervisory Board's discretion, on the basis of advice received from the Appointments and Remuneration Committee.

During the Supervisory Board meeting of 31 July 2013, the APE ruled out making severance compensation payments in case of non-renewal of the office term. The other terms and conditions authorised by the Supervisory Board meeting of 27 February 2013 remained unchanged.

Compensation is due subject to fulfilling a performance condition according to which a success rate of 80% or above in meeting the annual targets set by the Executive Board for two out of the last three full financial years.

The severance compensation due to Mr Marc Batave will be equal to the aggregate amount of the fixed portion of his annual remuneration for the last year, on the day of termination of his duties, and the average variable portion of his annual remuneration for the last three years.

Should an executive rejoin the public sector within two years of his or her forced departure from the Company, the compensation will be reduced commensurate with the remuneration received at that time (including bonuses).

Mr Marc Batave will be entitled to an unemployment insurance policy taken out by La Banque Postale and providing compensation capped at one year's remuneration over the chosen compensation period. This insurance policy will replace the severance compensation listed above on completion of the waiting period.

This commitment had no impact on the financial statements for financial year 2016.

The statutory auditors

Neuilly-sur-Seine, 8 March 2017

PricewaterhouseCoopers Audit

Jacques Lévi
Partner

Paris la Défense, 8 March 2017

KPMG Audit
A division of KPMG SA

Marie-Christine Jolys
Partner

PERSON RESPONSIBLE FOR THE REGISTRATION DOCUMENT

11

Person responsible for the Registration Document

Rémy Weber

Chairman of the Executive Board

La Banque Postale

Statement by the person responsible for the Registration Document

I hereby certify that I have taken all reasonable steps to ensure that the information contained in this Registration Document is, to my knowledge, consistent with reality, and does not contain any omission likely to affect its import.

I certify that, to my knowledge, the financial statements have been drawn up in accordance with applicable accounting standards, and give a true and fair view of the assets, financial position and results of the Company and of all companies included in the scope of consolidation, and that the management report (set out in the table from the annual financial report featured on page 320 of this Registration Document) provides an accurate picture of the business, results and financial position of the Company and of all companies included in the scope of consolidation, together with a description of the main risks and uncertainties that they face.

I have received a letter from the statutory auditors stating that they have completed their assignment, and in which they mention that they have checked the information relating to the financial position and financial statements provided in this document, and have read this document from end to end.

Paris, 14 March 2017

Rémy Weber

Chairman of the Executive Board

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12.1 REGISTRATION DOCUMENT CORRELATION TABLE

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12.2 ANNUAL FINANCIAL REPORT CORRELATION TABLE

Pursuant to Article 222-3 of the French Financial Markets Authority General Regulations (*Autorité des marchés financiers*, AMF), the annual financial report mentioned in Section I of Article L. 451-1-2 of the French Monetary and Financial Code includes the items described in the following pages of the Registration Document:

	Page No.
ANNUAL FINANCIAL REPORT	
Statement by the person responsible for the document	316
Management report	
▶ Review of the results, financial position, risks of the parent company and the consolidated entity and list of delegations of authority relating to capital increases (Article L. 225-100 and L. 225-100-2 of the French Commercial Code)	70-80; 81-150
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▶ Consolidated financial statements	152-200
▶ Statutory auditors' report on the consolidated financial statements	201-202

In addition, and pursuant to Article 28 of EC Regulation 809/2004 of 29 April 2004, the following documents have been included in this Registration Document for reference purposes:

- ▶ the separate and consolidated financial statements for the 2015 financial year, together with the statutory auditors' reports on the separate and consolidated financial statements, which are shown on pages 172–173 and 213-214 respectively of the 2015 Registration Document, filed with the AMF on 16 March 2016 under No. D.16-0147;
- ▶ the separate and consolidated financial statements for the 2014 financial year, together with the statutory auditors' reports on the separate and consolidated financial statements, which are shown on pages 171–172 and 211-212 respectively of the 2014 Registration Document, filed with the AMF on 16 March 2015 under No. D.15-041.

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Design and execution: La Banque Postale Communications Department

 PUBLICORP - 01 55 76 11 11 - 14469.

Designed & published by  LABRADOR +33 (0)1 53 06 30 80



Limited company with Executive and Supervisory Boards, with a capital of €4,046,407,595.00
Registered office and postal address: 115, rue de Sèvres - 75275 Paris cedex 06 - France
RCS Paris 421 100 645 - APE code 6419Z, insurance intermediary
at Orias under N° 07 0234 24
labanquepostale.com

